



THE WORKMEN'S COMPENSATION ACT, 1923



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THE WORKMEN'S COMPENSATION ACT, 1923

¹ACT No. VIII OF 1923

[5th March, 1923]

An Act to provide for the payment by certain classes of employers to their workmen of compensation for injury by accident.

WHEREAS it is expedient to provide for the payment by certain classes of employers to their workmen of compensation for injury by accident; it is hereby enacted as follows:—

CHAPTER I

PRELIMINARY

1. Short title, extent and commencement.— (1) This Act may be called the Workmen's Compensation Act, 1923.

²[(2) It extends to the whole of Pakistan].

(3) It shall come into force on the first day of July, 1924.

2. Definitions.— (1) In this Act, unless there is anything repugnant in the subject or context,—

- (a) “adult” and “minor” mean respectively a person who is not and a person who is under the age of fifteen years ;
- (b) “Commissioner” means a Commissioner for Workmen's Compensation appointed under section 20;
- (c) “compensation” means compensation as provided for by this Act ;

³[(d) “dependent” means any of the following relatives of a deceased workman, namely:—

¹For Statement of Objects and Reasons, see Gazette of India, 1922, Pt. V, p. 313; and for Report of Joint Committee, see *ibid.*, 1923, Pt. V, p. 37. See also the Work men's Compensation (Amdt.) Act, 1939 (13 of 1939), s. 3.

It has been—

(i) extended to the Leased Areas of Baluchistan, see the Leased Areas (Laws) Order, 1950 (G.G.O. 3 of 1950) (w.e.f. 15-8-1947); as amended by the Baluchistan States Union (Federal Laws) (Extension) (Second Amendment) Order, 1953 (G.G.O. 19 of 1953) (w.e.f. 26-8-1953);

(ii) applied in the Federated Areas of Baluchistan, see Gazette of India, 1937, Pt. I, p. 1499;

(iii) extended to the Baluchistan States Union, see the Baluchistan States Union (Federal Laws) (Extension) Order, 1953 (G.G.O. 4 of 1953) (w.e.f. 15-4-1953);

(iv) extended to the State of Bahawalpur, see the Bahawalpur (Extension of Federal Laws) Order, 1953 (G.G.O. 11 of 1953) (w.e.f. 20-4-1953) as amended by the Bahawalpur (Extension of Federal Laws) (Amdt.) Order, 1953 (G.G.O. 21 of 1953) (w.e.f. 3-11-1953);

(v) extended to the Khairpur State, see the Khairpur (Federal Laws) (Extension) Order, 1953 (G.G.O. 5 of 1953) (w.e.f. 16-4-1953) as amended by (G.G.O. 24 of 1953) (w.e.f. 22-12-1953);

(vi) applied to the Railway Servants employed within the Area of the Khyber Agency, see Gazette of India, 1936, Pt. I, p. 1403;

(vii) The Act has been applied to the Provincially Administered Tribal Areas or to the parts of those areas to which it does not already apply, see Regulation No. I of 1972, s. 2 and Sch.

(viii) The Act has been and shall be deemed to have been brought into force in Gwadur with effect from the 8th September, 1958 by the Gwadur (Application of Central Laws) Ordinance, 1960, (37 of 1960).s. 2.

² The original sub-section (2) as amended by A.O., 1949 (w.e.f. 28-3-1949) and the Federal Laws (Revision and Declaration) Act, 1951 (26 of 1951), s. 8 (w.e.f. 10-5-1951) has been subs. by the Central Laws (Statue Reform) Ordinance, 1960 (21 of 1960), s. 3 and 2nd Sch. (w.e.f. 14-10-1955).

³Subs. by the workmen's Compensation (Amdt.) Act, 1933 (15 of 1933), section 2, for the original clause (d).

- (i) a ¹[widow], minor legitimate son, and unmarried legitimate daughter, or a widowed mother ; and
- (ii) if wholly or in part dependent on the earnings of the workman at the time of his death, a ²[widower], a parent other than a widowed mother, a minor illegitimate son, an unmarried illegitimate daughter, a daughter legitimate or illegitimate if married and a minor or if widowed, a minor brother, an unmarried or widowed sister, a widowed daughter-in-law, a minor child of a deceased son, ³[a minor child of a deceased daughter where no parent of the child is alive,] or, where no parent of the workman is alive, a paternal grandparent;]
- (e) “employer” includes anybody of persons whether incorporated or not and any managing agent of an employer and the legal representative of a deceased employer and, when the services of a workman are temporarily lent or let on hire to another person by the person with whom the workman has entered into a contract of service or apprenticeship, means such other person while the workman is working for him ;
- (f) “managing agent” means any person appointed or acting as the representative of another person for the purpose of carrying on such other person’s trade or business, but does not include an individual manager subordinate to an employer ;
- (g) “partial disablement” means, where the disablement is of a temporary nature, such disablement as reduces the earning capacity of a workman in any employment in which he was engaged at the time of the accident resulting in the disablement, and, where the disablement is of a permanent nature, such disablement as reduces his earning capacity in every employment which he was capable of undertaking at that time:

Provided that every injury specified in Schedule I shall be deemed to result in permanent partial disablement;

- (h) “prescribed” means prescribed by rules made under this Act ;
- (i) “qualified medical practitioner” means any person registered ⁴* * * under any Act of ⁵[the ⁶[Federal] Legislature or any Provincial Legislature] providing for the maintenance of a register of medical practitioners (21 & 22 Vict., c.1990), or, in any area where no such last-mentioned Act is in force, any person declared by the ⁷[Provincial Government], by notification in the

¹Subs. by the Work men’s Compensation (Amdt.) Act, 1938 (9 of 1938), section 2 (w.e.f. 5-4-1938), for “wife”.

²Subs. by Act 15 of 1933, s. 2, for “husband”.

³Ins. *ibid*.

⁴Certain words omitted by the Federal Laws (Revision and Declaration) Ordinance, 1981 (27 of 1981), s.3. and Sch., II.

⁵Subs. by A.O., 1949 (w.e.f.28-3-1949), for “any Legislature in British India”.

⁶Subs. by A.O., 1975, Art. 2 and Table, for “Central” (w.e.f. 14-8-1973).

⁷Subs. by A.O., 1937 (w.e.f. 1-4-1937) for “L.G.”.

¹[official Gazette], to be a qualified medical practitioner for the purposes of this Act ;

²* * * * *

(k) “seaman” means any person forming part of the crew of any ³* ship, but does not include the master of ⁴[the] ship ;

(l) “total disablement” means such disablement, whether of a temporary or permanent nature, as incapacitates a workman for all work which he was capable of performing at the time of the accident resulting in such disablement:

Provided that permanent total disablement shall be deemed to result from the permanent total loss of the sight of both eyes or from any combination of injuries specified in Schedule I where the aggregate percentage of the loss of earning capacity, as specified in that Schedule against those injuries, amounts to one hundred per cent ;

⁵[(ll) “Tribunal” has the same meaning as in the Industrial Relations Ordinance, 1969 (XXIII of 1969);]

(m) “wages” includes any privilege or benefit which is capable of being estimated in money, other than a travelling allowance or the value of any travelling concession or a contribution paid by the employer of a workman towards any pension or provident fund or a sum paid to a workman to cover any special expenses entailed on him by the nature of his employment ;

(n) “workman” means any person (other than a person whose employment is of a casual nature and who is employed otherwise than for the purposes of the employer's trade or business) who is—

(i) a railway servant as defined in section 3 of the Railways Act, 1890 (IX of 1890), not permanently employed in any administrative, district or sub-divisional office of a railway and not employed in any such capacity as is specified in Schedule II, or

¹Subs. by A.O. 1937 (w.e.f 01-04-1937) for “local official Gazette”.

²Cl. (j) was omitted by the Work men’s Compensation (Amdt.) Act, 1933 (15 of 1933), s. 2.

³The word “registered” omitted, *ibid*.

⁴Subs. *ibid.*, for “any such”.

⁵Cl. (ll) ins. by the Labour Laws (Amdt.) Act, 1975 (11 of 1975), section 2 and Sch. (w.e.f. 25-1-1975).

- (ii) employed ¹***²***, in any such capacity as is specified in Schedule II, whether the contract of employment was made before or after the passing of this Act and whether such contract is expressed or implied, oral or in writing; but does not include any person working in the capacity of a member of ³*** naval, military or air forces ⁴***; and any reference to a workman who has been injured shall, where the workman is dead, include a reference to his dependants or any of them.

(2) The exercise and performance of the powers and duties of a local authority or of any department ⁵[acting on behalf of the Government] shall, for the purposes of this Act, unless a contrary intention appears, be deemed to be the trade or business of such authority or department.

⁶[(3) The ⁷[Provincial Government], after giving, by notification⁸ in the ⁹[Official Gazette], not less than three months' notice of ¹⁰[its] intention so to do, may, by a like notification, add to Schedule II any class of persons employed in any occupation which ¹¹[it] is satisfied is a hazardous occupation, and the provisions of this Act shall thereupon apply ¹²[within the Province] to such classes of persons:

Provided that in making such addition the ⁷[Provincial Government] may direct that the provisions of this Act shall apply to such classes of persons in respect of specified injuries only.]

CHAPTER II WORKMEN'S COMPENSATION

3. Employer's liability for compensation.—(1) If personal injury is caused to a workman by accident arising out of and in the course of his employment, his employer shall be liable to pay compensation in accordance with the provisions of this Chapter:

Provided that the employer shall not be so liable—

- (a) in respect of any injury which does not result in the total or partial disablement of the workman for a period exceeding ¹³[four] days ;
- (b) in respect of any ¹⁴[injury, not resulting in death, caused by] an accident which is directly attributable to—
- (i) the workman having been at the time thereof under the influence of drink or drugs, or
- (ii) the wilful disobedience of the workman to an order expressly given, or to a rule expressly framed, for the purpose of securing the safety of workmen, or

¹ The words "either by way of manual labour or" omitted by the Work men's Compensation (Amdt.) Act, 1933 (15 of 1933),s. 2.

²Omitted by Act IV of 2007, s. 2 (w.e.f. 1-7-2007).

³The words "His Majesty's omitted by the Federal Laws (Revision and Declaration) Ordinance, 1981 (27 of 1981), s. 3 and Sch., II.

⁴The words " or of the Royal Indian Marine Service" omitted by A.O., 1937 (w.e.f. 1-4-1937).

⁵The original words "of the Govt." were first subs. by A.O., 1937 and then amended by A.O., 1961, Art. 2 (w.e.f. 23-3-1956), to read as above.

⁶ Subs. by Act 15 of 1933, s. 2, for the original sub-section (3).

⁷ Subs. by A.O., 1937, for "G.G. in C."

⁸ For such a notification, see Gazette of India, 1935, Pt. I, p. 745

⁹Subs. by A.O., 1937, for "Gazette of India".

¹⁰Subs. ibid., for "his".

¹¹Subs. ibid., for "he". ¹²Ins. ibid

¹³ Subs. by the Work men's Compensation (Amdt.) Act, 1957 (11 of 1957), s. 3 (w.e.f.15-3-1957), for "seven" which had been subs. by the Work men's Compensation (Amdt.) Act, 1933 (15 of 1933),s. 3, for "ten".

¹⁴ Subs. by Act 15 of 1933, s. 3, for injury of workman resulting from.

- (iii) the willful removal or disregard by the workman of any safety guard or other device which he knew to have been provided for the purpose of securing the safety of workmen,^{1*}

2* * * * *

(2)³[If a workman employed in any employment specified in Part A of Schedule III contracts any disease specified therein as an occupational disease peculiar to that employment], or if a workman, whilst in the service of an employer in whose service he has been employed for a continuous period of not less than six months in any employment specified in ⁴[Part B of] Schedule III, contracts any disease specified therein as an occupational disease peculiar to that employment, the contracting of the disease shall be deemed to be an injury by accident within the meaning of this section and, unless the employer proves the contrary, the accident shall be deemed to have arisen out of and in the course of the employment.

Explanation.—For the purposes of this sub-section a period of service shall be deemed to be continuous which has not included a period of service under any other employer ⁵[in the same kind of employment].

(3) The ⁶[Provincial Government], after giving, by notification in the ⁷[official Gazette] not less than three months' notice of ⁸[its] intention so to do, may, by a like notification, add any description of employment to the employments specified in Schedule III, and shall specify in the case of the employments so added the diseases which ⁹[within the Province] shall be deemed for the purposes of this section to be occupational diseases peculiar to those employments respectively, and the provisions of sub-section (2) shall thereupon apply ⁹[within the Province] as if such diseases had been declared by this Act to be occupational diseases peculiar to those employments.

(4) Save as provided by sub-sections (2) and (3), no compensation shall be payable to a workman in respect of any disease unless the disease is ^{10*} directly attributable to a specific injury by accident arising out of and in the course of his employment.

(5) Nothing herein contained shall be deemed to confer any right to compensation on a workman in respect of any injury if he has instituted in a Civil Court a suit for damages in respect of the injury against the employer or any other person ; and no suit for damages shall be maintainable by a workman in any court of law in respect of any injury—

- (a) if he has instituted a claim to compensation in respect of the injury before a Commissioner ; or

¹ The word “or” was omitted by the Work men’s Compensation (Amdt.) Act, 1929 (5 of 1929), s. 2 (w.e.f. 29-3-1929).

² CL(c) was omitted, *ibid.*

³ The original words beginning “If a workman” and ending “disease of anthrax” were first amended by the Work men’s Compensation (Amdt.) Act, 1926 (29 of 1926), s. 2, and then by the Work men’s Compensation (Amdt.) Act, 1938 (9 of 1938), s. 3 (w.e.f. 5-4-1938), to read as above.

⁴ Ins. by Act 9 of 1938, s. 3.

⁵ Added *ibid.*

⁶ Subs. by A.O., 1937 (w.e.f. 1-4-1937), for “G.G. in C.”.

⁷ Subs. *ibid.*, for “Gazette of India”.

⁸ Subs. *ibid.*, for “his”.

⁹ Ins. *ibid.*

¹⁰ The words “solely and” omitted by the Work man’s Compensation (Amdt.) Act, 1933 (15 of 1933), s. 3.

- (b) if an agreement has been come to between the workman and his employer providing for the payment of compensation in respect of the injury in accordance with the provisions of this Act.

4. Amount of Compensation.— ¹[(1) Subject to the provisions of this Act, the amount of compensation shall be as follows, namely :

- ²[A. Where death results from the injury to a workman in receipt of monthly wages falling within limits shown in the first column of Schedule IV the amount shown against such limits in the second column thereof.]
- ³[B. Where permanent total disablement results from injury to a workman in receipt of monthly wages falling within the limits shown in the first column of Schedule IV the amount shown against such limits in the third column thereof.]
- C. Where permanent partial disablement results from the injury—
- (i) in the case of an injury specified in Schedule I, such percentage of the compensation which would have been payable in the case of permanent total disablement as is specified therein as being the percentage of the loss of earning capacity caused by that injury, and
- (ii) in the case of an injury not specified in Schedule I, such percentage of the compensation payable in the case of permanent total disablement as is proportionate to the loss of earning capacity permanently caused by the injury;

Explanation.-Where more injuries than one are caused by the same accident, the amount of compensation payable under this head shall be aggregated but not so in any case as to exceed the amount which would have been payable if permanent total disablement had resulted from the injuries ;

- D. Where temporary disablement, whether total or partial, results from the injury, a half-monthly payment payable on the sixteenth day after the expiry of a waiting period of ⁴[four] days from the date of the disablement, and thereafter half-monthly during the disablement or during a period of five years, whichever period is shorter,—

(i) in the case of ³[a workman] in receipt of monthly wages falling within limits shown in the first column of Schedule IV-of the sum shown against such limits in the fourth column thereof, and

³
* * *

Provided that

- (a) there shall be deducted from any lump sum or half-monthly payments to which the workman is entitled the amount of any payment or allowance which the workman has received from the employer by way of compensation during

¹Subs. by Workmen's Compensation Act, 1933 (15 of 1933), s. 4, for the original sub-section (1).

²Subs. by Act XI of 1994, s. Sch.

³Subs. & Omitted by Act XI of 1994, Sch.

⁴Subs. by Act 11 of 1957, s. 4, for "seven".

the period of disablement prior to the receipt of such lump sum or of the first half-monthly payment, as the case may be ¹[except payments made to the worker during the period of his convalescence towards medical treatment ²[and the half -monthly payments made for the first four months of disablement] ; ^{3*}

- (b) no half-monthly payment shall in any case exceed the amount, if any, by which half the amount of the monthly wages of the workman before the accident exceeds half the amount of such wages which he is earning after the accident ⁴[;and]
- ⁵[(c) the amount of half-monthly payments to which a workman is entitled shall in no case be less than the amount of half monthly payments to which a workman drawing lesser monthly wages than such workman is entitled.]

(2) On the ceasing of the disablement before the date on which any half-monthly payment falls due, there shall be payable in respect of that half-month a sum proportionate to the duration of the disablement in that half-month.

⁶[5. Method of calculating wages.—^{7*}] ⁸[In this Act and for the purposes thereof the expression “monthly wages” means the amount of wages deemed to be payable for a month’s service (whether the wages are payable by the month or by whatever other period or at piece rates), and calculated] as follows, namely:

- (a) where the workman has, during a continuous period of not less than twelve months immediately preceding the accident, been in the service of the employer who is liable to pay compensation, the monthly wages of the workman shall be one-twelfth of the total wages which have fallen due for payment to him by the employer in the last twelve months of that period;
- ⁹[(b) where the whole of the continuous period of service immediately preceding the accident during which the workman was in the service of the employer who is liable to pay the compensation was less than one month, the monthly wages of the workman shall be ^{10*} * * the average monthly amount which, during the twelve months immediately preceding the accident, was being earned by a workman employed on the same work by the same employer, or, if there was no workman so employed, by a workman employed on similar work, in the same locality;]

¹ Ins. by the Work man’s Compensation (Amdt.) Act, 1957 (11 of 1957), s. 4 (w.e.f. 15-3-1957).

² Added by the Work man’s Compensation (Amdt.) Act, 1973 (14 of 1973), s. 3 (w.e.f. 7-2-1973)

³ The word “and” omitted by the Labour Laws (Amdt.) Ordinance, 1972 (9 of 1972), s. 2 and 1st Sch. (w.e.f. 13-4-1972)

⁴ Subs. *ibid.*, for full stop.

⁵ Cl. added *ibid.*

⁶ The original section 5 was re-numbered as sub-section (1) of that section by the Work man’s Compensation (Amdt.) Act, 1929 (5 of 1929), s. 3 (w.e.f. 29-3-1929).

⁷ The brackets and figure “(1)” omitted by the Work man’s Compensation (Amdt.) Act, 1938 (9 of 1938), s. 4 (w. e.f. 5-4-1938).

⁸ Subs. by the Work man’s Compensation (Amdt.) Act, 1939 (13 of 1939), s.2 (w.e.f. 30-6-1934), for “For the purposes of [this Act] the monthly wages of a workman shall be calculated”. The words in crotchets were subs. by the Work man’s Compensation (Amdt.) Act, 1933 (15 of 1933), s. 5, for “section 4”.

⁹ Cl. (b)ins. by Act 15 of 1933, s. 5.

¹⁰ The words “deemed to be” omitted by the Work men’s Compensation (Amdt.) Act, 1939 (13 of 1939), s. 2 (w.e.f. 30-6-1939).

¹[(c)] in other cases, the monthly wages shall be thirty times the total wages earned in respect of the last continuous period of service immediately preceding the accident from the employer who is liable to pay compensation, divided by the number of days comprising such period.

2* * * * *

Explanation.— A period of service shall, for the purposes of ³[this section] be deemed to be continuous which has not been interrupted by a period of absence from work exceeding fourteen days.

4* * * * *

6. Review.—(1) Any half-monthly payment payable under this Act, either under an agreement between the parties or under the order of a Commissioner, may be reviewed by the Commissioner, on the application either of the employer or of the workman accompanied by the certificate of a qualified medical practitioner that there has been a change in the condition of the workman or, subject to rules made under this Act, on application made without such certificate.

(2) Any half-monthly payment may, on review under this section, subject to the provisions of this Act, be continued, increased, decreased or ended, or if the accident is found to have resulted in permanent disablement, be converted to the lump sum to which the workman is entitled less any amount which he has already received by way of half-monthly payments.

7. Commutation of half-monthly payments.— Any right to receive half-monthly payments may, by agreement between the parties or, if the parties cannot agree and the payments have been continued for not less than six months, on the application of either party to the Commissioner be redeemed by the payment of a lump sum of such amount as may be agreed to by the parties or determined by the Commissioner, as the case may be.

8. Distribution of Compensation.—⁵[(1). No payment of compensation in respect of a workman whole injury has resulted in death, and no payment of a lump sum as compensation to a woman or a person under a legal disability, shall be made otherwise than by deposit with the Commissioner, and no such payment made directly by an employer shall be deemed to be a payment of compensation:

⁶[Provided that, in the case of a deceased workman, an employer may make to any dependant advances on account of compensation not exceeding an aggregate of one hundred rupees, and so much of such aggregate as does not exceed the compensation payable to that dependant shall be deducted by the Commissioner from such compensation and repaid to the employer.]

¹The original cl. (b) was re-lettered as cl. (c) by the Work men's Compensation (Amdt.) Act, 1933 (15 of 1933), s. 5.

²The proviso omitted, *ibid*.

³The original words "this section" were subs. first by the Work men's Compensation (Amdt.) Act, 1929 (5 of 1929), s. 3 (w.e.f. 29-3-1929) and then by the Work men's Compensation (Amdt.) Act, 1938 (9 of 1938) (w.e.f. 5-4-1938) to read as above.

⁴Sub-section (2) which had been ins. by Act 5 of 1929, was omitted by Act 15 of 1933, s. 5.

⁵Subs. by the Work men's Compensation (Amdt.) Act, 1929 (5 of 1929), s.4 (w.e.f. 29-3-1929), for the original sub-section (1) to (3).

⁶Subs. by the Work men's Compensation (Amdt.) Act, 1933 (15 of 1933), s. 6, for the original proviso.

(2) Any other sum amounting to not less than ten rupees which is payable as compensation may be deposited with the Commissioner on behalf of the person entitled thereto.

(3) The receipt of the Commissioner shall be a sufficient discharge in respect of any compensation deposited with him.]

(4) On the deposit of any money under sub-section (1) ¹[as compensation in respect of a deceased workman] the Commissioner ²[shall deduct] therefrom the actual cost of the workman's funeral expenses, to an amount not exceeding ³[twenty-five rupees] and pay the same to the person by whom such expenses were incurred, and shall, if he thinks necessary, cause notice to be published or to be served on each dependant in such manner as he thinks fit, calling upon the dependants to appear before him on such date as he may fix for determining the distribution of the compensation. If the Commissioner is satisfied after any inquiry which he may deem necessary, that no dependant exists, he shall ⁴[not less than two years after the date of deposit, transfer the balance of the money to such fund or funds for the benefit of workmen as the Provincial Government may by notification in the official Gazette specify or establish]. The Commissioner shall, on application by the employer, furnish a statement showing in detail all disbursements made.

⁵[(5) Compensation deposited in respect of a deceased workman shall, subject to any deduction made ⁶[under the proviso to sub-section (1) or] under sub-section (4), be apportioned among the dependants of the deceased workman or any of them in such proportion as the Commissioner thinks fit, or may, in the discretion of the Commissioner, be allotted to any one dependant.

(6) Where any compensation deposited with the Commissioner is payable to any person, the Commissioner shall, if the person to whom the compensation is payable is not a woman or a person under a legal disability, and may, in other cases, pay the money to the person entitled thereto.

(7) Where any lump sum deposited with the Commissioner is payable to a woman or a person under a legal disability, such sum may be invested, applied or otherwise dealt with for the benefit of the woman, or of such person during his disability, in such manner as the Commissioner may direct; and where a half monthly payment is payable to any person under a legal disability, the Commissioner may, of his own motion or on an application made to him in this behalf, order that the payment be made during the disability to any dependant of the workman or to any other person whom the Commissioner thinks best fitted to provide for the welfare of the workman.]

⁷[(8)] Where, on application made to him in this behalf or otherwise, the Commissioner is satisfied that, on account of neglect of children on the part of a parent or on account of the variation of the circumstances of any dependant or for any other sufficient cause, an order of the Commissioner as to the distribution of any sum paid as compensation or as to the manner in which any sum payable to any such dependant is to be invested, applied or otherwise dealt with, ought to be varied, the Commissioner may make such orders for the variation of the former order as he thinks just in the circumstances of the case:

¹ Ins. by Act 5 of 1929, s. 4.

² Subs. by Act 15 of 1933, s. 6, for "may deduct".

³ Subs. *ibid.*, for the words "fifty rupees [or so much of that cost or of fifty rupees, whichever is less, as has not already been advanced by the employer on account of such expenses]". The words in crochets were ins. by Act 5 of 1929, s. 4.

⁴ Subs. by the Work men's Compensation (Amdt.) Act, 1957 (11 of 1957), s. 5 (w.e.f. 15-3-1957), for "repay the balance of the money to the employer by whom it was repaid".

⁵ Sub-section (5) to (7) were subs. by Act 5 of 1929, s. 4, for the original sub-section (5).

⁶ Ins. by Act 11 of 1957, s. 5.

⁷ Sub-section (6) re-numbered as sub-section (8) by the Work men's Compensation (Amdt.) Act, 1929 (5 of 1929), s. 4 (w.e.f. 29-3-1929).

Provided that no such order prejudicial to any person shall be made unless such person has been given an opportunity of showing cause why the order should not be made, or shall made in any case in which it would involve the repayment by a dependant of any sum already paid to him.

¹[(9) Where the Commissioner varies any order under subsection (8) by reason of the fact that payment of compensation to any person has been obtained by fraud, impersonation or other improper means, any amount so paid to or on behalf of such person may be recovered in the manner hereinafter provided in section 31.]

9. Compensation not to be assigned, attached or charged.—Save as provided by this Act, no lump sum or half-monthly payment payable under this Act shall in any way be capable of being assigned or charged or be liable to attachment or pass to any person other than the workman by operation of law, nor shall any claim be set off against the same.

10. Notice and claim.—(1) ²[No claim for compensation shall be entertained by a Commissioner unless notice of the accident has been given in the manner hereinafter provided as soon as practicable after the happening thereof and unless the claim is preferred before him within ³[three years] of the occurrence of the accident or, in case of death, within ³[three years] from the date of death]:

Provided that, where the accident is the contracting of a disease in respect of which the provisions of sub-section (2) of section 3 are applicable, the accident shall be deemed to have occurred on the first of the days during which the workman was continuously absent from work in consequence of the disablement caused by the disease:

⁴[Provided further that the want of or any defect or irregularity in a notice shall not be a bar to the ⁵[entertainment of a claim]

- (a) if the claim is ⁶[preferred] in respect of the death of a workman resulting from an accident which occurred on the premises of the employer, or at any place where the workman at the time of the accident was working under the control of the employer or of any person employed by him, and the workman died on such premises or at such place, or on any premises belonging to the employer, or died without having left the vicinity of the premises or place where the accident occurred, or
- (b) if the employer ⁷[or any one of several employers or any person responsible to the employer for the management of any branch of the trade or business in which the injured workman was employed] had knowledge of the accident from any other source at or about the time when it occurred :]

¹ Sub-section (9) added, by Act 5 of 1929, s.4.

² Subs. by the Work men's Compensation (Amdt.) Act, 1938 (9 of 1938), section 5 (w.e.f. 5-4-1938), for certain words.

³ Subs. by the Work men's Compensation (Amdt.) Act, 1973 (14 of 1973), section 4 (w.e.f. 7-2-1973), for "one year".

⁴ Proviso ins. by the Work men's Compensation (Amdt.) Act, 1933 (15 of 1933), s. 7.

⁵ Subs. by Act 9 of 1938, s. 5, for "maintenance of proceeding".

⁶ Subs. *ibid.*, for "made".

⁷ Ins. by Act No. 9 of 1938.

Provided, further, that the Commissioner may ¹[entertain] and decide any claim to compensation in any case notwithstanding that the notice has not been given, or the claim has not been ²[preferred], in due time as provided in this sub-section, if he is satisfied that the failure so to give the notice or ³[prefer] the claim, as the case may be, was due to sufficient cause.

(2) Every such notice shall give the name and address of the person injured and shall state in ordinary language the cause of the injury and the date on which the accident happened, and shall be served on the employer or upon ⁴[any one of] several employers, or upon any person ^{5*} responsible to the employer for the management of any branch of the trade or business in which the injured workman was employed.

⁶[(3) The ⁷[Provincial Government] may require that any prescribed class of employers shall maintain at their premises at which workmen are employed a notice-book, in the prescribed form, which shall be readily accessible at all reasonable times to any injured workman employed on the premises and to any person acting *bona fide* on his behalf.

(4) A notice under this section may be served by delivering it at, or sending it by registered post addressed to, the residence or any office or place of business of the person on whom it is to be served, or, where a notice-book is maintained, by entry in the notice-book.]

⁸[10A. Power to require from employers statements regarding fatal accidents.—(1) Where a Commissioner receives information from any source that a workman has died as a result of an accident arising out of and in the course of his employment, he may send by registered post a notice to the workman's employer requiring him to submit, within thirty days of the service of the notice, a statement, in the prescribed form, giving the circumstances attending the death of the workman, and indicating whether, in the opinion of the employer, he is or is not liable to deposit compensation on account of the death.

(2) If the employer is of opinion that he is liable to deposit compensation, he shall make the deposit within thirty days of the service of the notice.

(3) If the employer is of opinion that he is not liable to deposit compensation, he shall in his statement indicate the grounds on which he disclaims liability.

(4) Where the employer has so disclaimed liability, the Commissioner, after such enquiry as he may think fit, may inform any of the dependants of the deceased workman that it is open to the dependants to prefer a claim for compensation, and may give them such other further information as he may think fit.

10B. Reports of fatal accidents.—(1) Where, by any law for the time being in force, notice is required to be given to any authority, by or on behalf of an employer, of any accident occurring on his premises which results in death, the person required to give the notice shall, within seven days of the death, send a report to the Commissioner giving the circumstances attending the death:

¹ Subs. *ibid.*, for “admit”.

² Subs. *ibid.*, for “instituted”.

³ Subs. *ibid.*, for “institute”.

⁴ Subs. by the Repealing and Amending Act, 1924 (7 of 1924), s. 2 and Sch. I (w.e.f. 15-3-1924), for “any one or”.

⁵ The word “directly” omitted by the Work men’s Compensation (Amdt.) Act, 1938 (9 of 1938), s. 5 (w.e.f. 5-4-1938).

⁶ Subs. by the Work men’s Compensation (Amdt.) Act, 1933 (15 of 1933), s. 7, for the original sub-section (3).

⁷ Subs. by A.O., 1937 (w.e.f. 1-4-1937), for “L.G.”.

⁸ Ss. 10A and 10B were ins. by Act 15 of 1933, s. 8.

Provided that where the ¹[Provincial Government] has so prescribed the person required to give the notice may instead of sending such report to the Commissioner send it to the authority to whom he is required to give the notice.

(2) The ¹[Provincial Government] may, by notification in the ²[official Gazette], extend the provisions of sub-section (1) to any class of premises other than those coming within the scope of that sub-section and may by such notification, specify the persons who shall send the report to the Commissioner.]

³[10C. Officers authorized may refer cases for payment of compensation.]—A Labour Commissioner, an Inspector of Factories or any other officer authorized by the Provincial Government for this purpose may refer, in the prescribed manner, to the Commissioner cases of workmen who have not been paid due compensation by employers under the provisions of this Act.

10D. Fixation of abstracts of the Act or rules at the entrance of the premises.—There shall be affixed in some conspicuous place near the main entrance of every place where workmen are employed, in English and in the language of the majority of the workmen, such abstracts of this Act and of the rules made thereunder as may be prescribed.]

11. Medical Examination.—⁴[(1) Where a workman has given notice of an accident, the employer shall, before the expiry of three days from the time at which service of the notice has been effected, have the workman examined free of charge by a qualified medical practitioner, and the workman shall submit himself for such examination, and any workman who is in receipt of a half-monthly payment under this Act, shall if so required, submit himself for such examination from time to time:

Provided that a workman not examined free of charge as aforesaid may get himself examined by a qualified medical practitioner and the expenses of such medical examination shall be reimbursed to the workman by the employer:

Provided further that a workman shall not be required to submit himself for examination by a medical practitioner otherwise than in accordance with rules made under this Act, or at more frequent intervals than may be prescribed.]

(2) If a workman, on being required to do so by the employer under sub-section (1) or by the Commissioner at any time, refuses to submit himself for examination by a qualified medical practitioner or in any way obstructs the same, his right to compensation shall be suspended during the continuance of such refusal or obstruction unless, in the case of refusal, he was prevented by any sufficient cause from so submitting himself.

(3) If a workman, before the expiry of the period within which he is liable under sub-section (1) to be required to submit himself for medical examination, voluntarily leaves without having been so examined the vicinity of the place in which he was employed, his right to compensation shall be suspended until he returns and offers himself for such examination.

¹ Subs. by A.O., 1937 (w.e.f. 1-4-1937), for "L.G.".

² Subs. *ibid.*, for "local official Gazette".

³ Ins. by the Work men's Compensation (Amdt.) Act, 1957 (11 of 1957), section 6 (w.e.f. 15-3-1957).

⁴ Subs. *ibid.*, s. 7, for the original sub-section (1).

(4) Where a workman, whose right to compensation has been suspended under sub-section (2) or sub-section (3), dies without having submitted himself for medical examination as required by either of those sub-sections, the Commissioner may, if he thinks fit, direct the payment of compensation to the dependants of the deceased workman.

(5) Where under sub-section (2) or sub-section (3) a right to compensation is suspended, no compensation shall be payable in respect of the period of suspension, and, if the period of suspension commences before the expiry of the waiting period referred to in clause D of sub-section (1) of section 4, the waiting period shall be increased by the period during which the suspension continues.

(6) Where an injured-workman has refused to be attended by a qualified medical practitioner whose services have been offered to him by the employer free of charge or having accepted such offer has deliberately disregarded the instructions of such medical practitioner, then,¹[if it is proved that the workman has not thereafter been regularly attended by a qualified medical practitioner or having been so attended has deliberately failed to follow his instructions and that such refusal, disregard or failure was unreasonable] in the circumstances of the case and that the injury has been aggravated thereby, the injury and resulting disablement shall be deemed to be of the same nature and duration as they might reasonably have been expected to be if the workman had been regularly attended by a qualified medical practitioner²[whose instructions he had followed], and compensation, if any, shall be payable accordingly.

12. Contracting. —(1) Where any person (hereinafter in this section referred to as the principal) in the course of or for the purposes of his trade or business contracts with any other person (hereinafter in this section referred to as the contractor) for the execution by or under the contractor of the whole or any part of any work which is ordinarily part of the trade or business of the principal, the principal shall be liable to pay to any workman employed in the execution of the work any compensation which he would have been liable to pay if that workman had been immediately employed by him ; and where compensation is claimed from the principal, this Act shall apply as if references to the principal were substituted for references to the employer except that the amount of compensation shall be calculated with reference to the wages of the workman under the employer by whom he is immediately employed.

(2) Where the principal is liable to pay compensation under this section, he shall be entitled to be indemnified by the contractor,³[or any other person from whom the workman could have recovered compensation and where a contractor who is himself a principal is liable to pay compensation or to indemnify a principal under this section he shall be entitled to be indemnified by any person standing to him in the relation of a contractor from whom the workman could have recovered compensation] and all questions as to the right to and the amount of any such indemnity shall, in default of agreement, be settled by the Commissioner.

(3) Nothing in this section shall be construed as preventing a workman from recovering compensation from the contractor instead of the principal.

¹Subs. by the Workmen's Compensation (Amdt.) Act, 1938 (9 of 1938), s. 6 (w.e.f. 5-4-1938), for "if it is thereafter proved that the workman has not been regularly attended by a qualified medical practitioner and that such refusal, failure or disregard was unreasonable".

²Ins. *ibid.*

³Ins. by the Workmen's Compensation (Amdt.) Act, 1933 (15 of 1933), section 9.

(4) This section shall not apply in any case where the accident occurred elsewhere than on, in or about the premises on which the principal has undertaken or usually undertakes, as the case may be, to execute the work or which are otherwise under his control or management.

13. Remedies of employer against stranger.—Where a workman has recovered compensation in respect of any injury caused under circumstances creating a legal liability of some person other than the person by whom the compensation was paid to pay damages in respect thereof, the person by whom the compensation was paid and any person who has been called on to pay an indemnity under section 12 shall be entitled to be indemnified by the person so liable to pay damages as aforesaid.

14. Insolvency of employer.— (1) Where any employer has entered into a contract with any insurers in respect of any liability under this Act to any workman, then in the event of the employer becoming insolvent or making a composition or scheme of arrangement with his creditors or, if the employer is a company, in the event of the company having commenced to be wound up, the rights of the employer against the insurers as respects that liability shall, notwithstanding anything in any law for the time being in force relating to insolvency or the winding up of companies, be transferred to and vest in the workman, and upon any such transfer the insurers shall have the same rights and remedies and be subject to the same liabilities as if they were the employer, so, however, that the insurers shall not be under any greater liability to the workman than they would have been under to the employer.

(2) If the liability of the insurers to the workman is less than the liability of the employer to the workman, the workman may prove for the balance in the insolvency proceedings or liquidation.

(3) Where in any case such as is referred to in sub-section (1) the contract of the employer with the insurers is void or voidable by reason of non-compliance on the part of the employer with any terms or conditions of the contract (other than a stipulation or the payment of premia), the provisions of that sub-section shall apply as if the contract were not void or voidable, and the insurers shall be entitled to prove in the insolvency proceedings or liquidation for the amount paid to the workman:

Provided that the provisions of this sub-section shall not apply in any case in which the workman fails to give notice to the insurers of the happening of the accident and of any resulting disablement as soon as practicable after he becomes aware of the institution of the insolvency or liquidation proceedings.

(4) There shall be deemed to be included among the debts which under section 49 of the ¹[Insolvency (Karachi Division) Act]. (XXVII of 1981)], or under section 61 of the Provincial Insolvency Act, 1920 (V of 1920), or under section 230 of the Companies Act, 1913 (VII of 1913), are in the distribution of the property of an insolvent or in the distribution of the assets of a company being wound up to be paid in priority to all other debts, the amount due in respect of any compensation the liability where for accrued before the date of the order of adjudication of the insolvent or the date of the commencement of the winding up, as the case may be, and those Acts shall have effect accordingly.

(5) Where the compensation is a half-monthly payment, the amount due in respect thereof shall, for the purposes of this section, be taken to be the amount of the lump sum for which the half-monthly payment could, if redeemable, be redeemed if application were made

¹Subs. by the Federal Laws (Revision and Declaration) Ordinance, 1981 (27 of 1981), s. 3 and Sch., II, for "Insolvency (Karachi Division and Dacca) Act", which was previously amended by various enactments.

(6) The provisions of sub-section (4) shall apply in the case of any amount for which an insurer is entitled to prove under sub-section (3), but otherwise those provisions shall not apply where the insolvent or the company being wound up has entered into such a contract with insurers as is referred to in sub-section (1).

(7) This section shall not apply where a company is wound up voluntarily merely for the purposes of reconstruction or of amalgamation with another company.

15. Special provisions relating to masters and seamen.— This Act shall apply in the case of workmen who are masters of ¹* ships or seamen subject to the following modifications, namely:

(1) The notice of the accident and the claim for compensation may, except where the person injured is the master of the ship, be served on the master of the ship as if he were the employer, but where the accident happened and the disablement commenced on board the ship, it shall not be necessary for any seamen to give any notice of the accident.

(2) In the case of the death of a master or seaman, the claim for compensation shall be made within six months after the news of the death has been received by the claimant or, where the ship has been or is deemed to have been lost with all hands, within eighteen months of the date on which the ship was, or is deemed to have been, so lost.

(3) Where an injured master or seaman is discharged or left behind ²* * * in a foreign country, any depositions taken ²* * * by any Consular Officer in the foreign country and transmitted by the person by whom they are taken to the ³[Federal Government] or any ⁴[Provincial Government] shall, in any proceedings for enforcing the claim, be admissible in evidence—

- (a) if the deposition is authenticated by the signature of the ⁵* * * Consular Officer before whom it is made ;
- (b) if the defendant or the person accused, as the case may be, had an opportunity by himself or his agent to cross-examine the witness ; and
- (c) if the deposition was made in the course of a criminal proceeding, on proof that the deposition was made in the presence of the person accused ;

and it shall not be necessary in any case to prove the signature or official character of the person appearing to have signed any such deposition and a certificate by such person that the defendant or the person accused had an opportunity of cross-examining the witness and that the deposition if made in a criminal proceeding was made in the presence of the person accused shall, unless the contrary is proved, be sufficient evidence that he had that opportunity and that it was so made.

¹The word “registered” omitted by the Work men’s Compensation (Amdt.) Act, 1933 (15 of 1933), s. 10.

²Certain words omitted by the Federal Laws (Revision and Declaration) Ordinance, 1981 (27 of 1981), s. 3 and Sch., II.

³Subs. by A.O., 1975, Art. 2 and Table for “Central Government” (w.e.f. 14-8-73), which had been subs. by A.O., 1937 (w.e.f. 1-4-1937) for “G.G. in C.”

⁴Subs. by A.O., 1937, for “L.G.”.

²[(4) No ³[half-monthly payment] shall be payable in respect of the period during which the owner of the ship is, under any law in force for the time being in ⁴[Pakistan] relating to merchant shipping, liable to defray the expenses of maintenance of the injured master or seaman.

⁵[(5) No compensation shall be payable under this Act in respect of any injury in respect of which provision is made for payment of a gratuity, allowance or pension under the War Pensions and Detention Allowances (Mercantile Marine, etc.) Scheme, 1939 (2 & 3 Geo 6.c.83.), or the War Pensions and Detention Allowances (Indian Seamen, etc.) Scheme, 1941, made under the Pensions (Navy, Army, Air Force and Mercantile Marine) Act, 1939, or under the War Pensions and Detention Allowances (Indian Seamen) Scheme, 1942, made by the ⁶[Federal Government].

(6) Failure to give a notice or make a claim or commence proceedings within the time required by this Act shall not be a bar to the maintenance of proceedings under this Act in respect of any personal injury, if

- (a) an application has been made for payment in respect of that injury under any of the schemes referred to in the preceding clause, and
- (b) the Provincial Government certifies that the said application was made in the reasonable belief that the injury was one in respect of which the scheme under which the application was made, makes provision for payments, and that the application was rejected or that payments made in pursuance of the application were discontinued on the ground that the injury was not such an injury, and
- (c) the proceedings under this Act are commenced within one month from the date on which the said certificate of the Provincial Government was furnished to the person commencing the proceedings.]

16. Returns as to compensation.—The ⁷[Provincial Government] may, by notification in the ⁸[official Gazette], direct that every person employing workmen, or that any specified class of such persons, shall send at such time and in such form and to such authority, as may be specified in the notification, a correct return specifying the number of injuries in respect of which compensation has been paid by the employer during the previous year and the amount of such compensation, together with such other particulars as to the compensation as the ⁷[Provincial Government] may direct.

¹The Original cl. (4) omitted by the Workmen's Compensation (Amdt.) Act, 1938 (9 of 1938), s. 7 (w.e.f. 5-4-1938).

²Cl. (5) renumbered and cl. (4), *ibid.*

³Subs. by the Repealing and Amending Act, 1924 (7 of 1924), s. 2 and Sch. I (w.e.f. 15-3-1924), for "monthly payment".

⁴Subs. and shall be deemed to have been so subs. on the fourteenth day of October, 1955, by the Central Laws (Statute Reform) Ordinance, 1960 (21 of 1960), s. 3 and Second Sch., for the words "the Provinces and the Capital of the Federation" which were subs. by A.O., 1949 (w.e.f. 28-3-1949) for "British India".

⁵Subs. by the Workmen's Compensation (Amdt.) Act, 1942 (1 of 1942), section 2 (w.e.f. 3-9-1939), for cl. (5) which was ins. by the Workmen's Compensation (Second Amdt.) Act, 1939 (42 of 1939), s. 2 (w.e.f. 3-9-1939).

⁶Subs. by F.A.O., 1975, Art. 2 and Table, for "Central Government" (w.e.f. 14-8-1973).

⁷Subs. by A.O., 1937 (w.e.f. 1-4-1937), for "G.G. in C.".

⁸Subs. *ibid.*, for "Gazette of India"

17. Contracting out.— Any contract or agreement whether made before or after the commencement of this Act, whereby a workman relinquishes any right of compensation from the employer for the personal injury arising out of or in the course of the employment, shall be null and void in so far as it purports to remove or reduce the liability of any person to pay compensation under this Act.

18. Proof of age.— Where any question arises as to the age of a person injured by accident arising out of and in the course of his employment in a factory, ¹[a valid certificate granted in respect of such person under section 12 or section 52 of the Factories Act, 1934 (XXV of 1934)], before the occurrence of the injury shall be conclusive proof of the age of such person.

²[**18A. Penalties.**— (1) Whoever—

- (a) fails to maintain a notice book which he is required to maintain under sub-section (3) of section 10, or
- (b) fails to send to the Commissioner a statement which he is required to send under sub- section (1) of section 10A, or
- (c) fails to send a report which he is required to send under section 10B, or
- (d) fails to make a return which he is required to make under section 16; ³[or]
- ⁴[(e) fails to affix the abstracts of this Act and of the rules as required by section 10D,] shall be punish able with fine which may extend to one hundred rupees.

5* * * * *

(2) No prosecution under this section shall be instituted except by or with the previous sanction of a Commissioner, and no court shall take cognizance of any offence under this section, unless complaint thereof is made within six months of the date on which the offence is alleged to have been committed.]

CHAPTER III COMMISSIONERS

19. Reference to Commissioners.—(1) If any question arises in any proceedings under this Act as to the liability of any parson to pay compensation (including any question as to weather a person injured is or is not a workman) or as to the amount or duration of compensation (including any question as to the nature or extend of disablement), the question shall, in default of agreement, be settled by ⁶[a Commissioner].

(2) No Civil Court shall have jurisdiction to settle, decide or deal with any question which is by or under this Act required to be settled, decided or dealt with by a Commissioner or to enforce any liability incurred under this Act.

¹Subs. by the Workmen's Compensation (Amdt.) Act, 1938 (9 of 1938), section 7 (w.e.f 5-4-1938), for "a certificate granted in respect of such person under section 7 or section 8 of the Indian Factories Act, 1911".

²S. 18A ins. by the Work men's Compensation (Amdt.) Act, 1933 (15 of 1933), s. 11.

³Added by the Workmen's Compensation (Amdt.) Act, 1957 (11 of 1957), s.11, section 8 (w.e.f 15-3-1957).

⁴Ins. *ibid*.

⁵Sub-setion (1A) ins. by the Labour Laws (Amdt.) Ordinance, 1972 (9 of 1972), s. 2 and 1st Sch. (w.e.f. 13-4-1972), omitted by the Work men's Compensation (Amdt.) Act, 1973 (14 of 1973), s. 5 (w.e.f. 7-2-1973).

⁶Subs. by Act 15 of 1933, s. 12, for "the Commissioner".

20. Appointment of Commissioners.—(1) The ¹[Provincial Government] may, by notification in the ²[official Gazette], appoint any person to be a Commissioner for Workmen's Compensation for such local area as may be specified in the notification.

³[(2) Where more than one Commissioner has been appointed for any local area, the ¹[Provincial Government] may, by general or special order, regulate the distribution of business between them.]

³[(3) Any Commissioner may, for the purpose of deciding any matter referred to him for decision under this Act, choose one or more persons possessing special knowledge of any matter relevant to the matter under inquiry to assist him in holding the inquiry.

³[(4) Every Commissioner shall be deemed to be a public servant within the meaning of the Pakistan Penal Code (Act XLV of 1860).

21. Venue of Proceedings and transfer.—(1) Where any matter is under this Act to be done by or before a Commissioner, the same shall, subject to the provisions of this Act and to any rules made hereunder, be done by or before ⁴[a Commissioner] for the local area in which the accident took place which resulted in the injury:

Provided that, where the workman is the master of a ⁵* ship or a seaman, any such matter may be done by or before ⁴[a Commissioner] for the local area in which the owner or agent of the ship resides or carries on business.

(2) If a Commissioner is satisfied ⁶[that any matter arising out of any proceedings pending before him] can be more conveniently dealt with by any other Commissioner, whether in the same Province or not, he may, subject to rules made under this Act, order such matter to be transferred to such other Commissioner either for report or for disposal, and, if he does so, shall forthwith transmit to such other Commissioner all documents relevant for the decision of such matter and, where the matter is transferred for disposal, shall also transmit in the prescribed manner any money remaining in his hands or invested by him for the benefit of any party to the proceedings:

⁷[Provided that the Commissioner shall not, where any party to the proceedings has appeared before him, make any order of transfer relating to the distribution among dependants of a lump sum without giving such party an opportunity of being heard :]

Provided ⁸[further] that no matter other than a matter relating to the actual payment to a workman or the distribution among dependants of a lump sum shall be transferred for disposal under this sub-section to a Commissioner in the same Province save with the previous sanction of the ¹[Provincial Government] or to a Commissioner in another Province save with the previous sanction of ⁹[the Provincial Government of that Province], unless all the parties to the proceedings agree to the transfer.

¹Subs. by A.O., 1937 (w.e.f.1-4-1937), for "L.G.".

²Subs. *ibid.*, for "local official Gazette".

³A new sub-section (2) was ins. and the old sub-section (2) and (3) were re-numbered as (3) and (4), by the Workmen's Compensation (Amdt.) Act, 1933 (15 of 1933), s. 13.

⁴Subs. *ibid.*, s. 14, for "the Commissioner".

⁵The word "registered" omitted, *ibid.*

⁶Subs. by the Workmen's Compensation (Amdt.) Act, 1938 (9 of 1938), s. 9 (w.e.f. 5-4-1938), for "by any party to any proceedings under this Act pending before him that such matter".

⁷Proviso ins. *ibid.*

⁸Ins. by the Workmen's Compensation (Amdt.) Act, 1938 (9 of 1938), section 9 (w.e.f. 5-4-1938)

⁹Subs. *ibid.*, for "the G.G. in C.".

(3) The Commissioner to whom any matter is so transferred shall, subject to rules made under this Act, inquire thereinto and, if the matter was transferred for report, return his report thereon or, if the matter was transferred for disposal, continue the proceedings as if they had originally commenced before him.

(4) On receipt of a report from a Commissioner to whom any matter has been transferred for report under sub-section (2), the Commissioner by whom it was referred shall decide the matter referred in conformity with such report.

¹[(5) The ²[Provincial Government] may transfer any matter from any Commissioner appointed by it to any other Commissioner appointed by it.]

22. Form of application.—(1) No application for the settlement of any matter by a Commissioner, ³[other than an application by a dependant or dependants for compensation] shall be made unless and until some question has arisen between the parties in connection therewith which they have been unable to settle by agreement.

(2) ⁴[An application to a Commissioner] may be made in such form and shall be accompanied by such fee, if any, as may be prescribed, and shall contain, in addition to any particulars which may be prescribed, the following particulars, namely: —

- (a) a concise statement of the circumstances in which the application is made and the relief or order which the applicant claims ;
- (b) in the case of a claim for compensation against an employer, the date of service of notice of the accident on the employer and, if such notice has not been served or has not been served in due time, the reason for such omission ;
- (c) the names and addresses of the parties ; and
- (d) ⁵[except in the case of an application by dependants for compensation] a concise statement of the matters on which agreement has and ⁶[of] those on which agreement has not been come to.

(3) If the applicant is illiterate or for any other reason is unable to furnish the required information in writing, the application shall, if the applicant so desires, be prepared under the direction of the Commissioner.

⁷[22A Power of Commissioner to require further deposit in cases of fatal accident.]—(1) Where any sum has been deposited by an employer as compensation payable in respect of a workman whose injury has resulted in death, and in the opinion of the Commissioner such sum

¹ Subs. by A.o., 1937 (w.e.f 1-4-1937), for “L.G”.

² Sub-section (5) ins. by the Work men’s Compensation (Amdt.) Act, 1933 (15 of 1933), s. 14.

³ Ins. *ibid.*, s. 15.

⁴ Subs. *ibid.*, for “Where any such question has arisen, the application.”

⁵ Ins. by the Workmen’s Compensation (Amdt.) Act, 1933 (15 of 1933), section 15.

⁶ Subs. by the Repealing and Amending Act, 1925 (37 of 1925), s. 2 and Sch. I (w.e.f. 23-9-1925), for “on”.

⁷ S. 22A ins. by Act 15 of 1933, s. 16.

is insufficient, the Commissioner may, by notice in writing stating his reasons, call upon the employer to show cause why he should not make a further deposit within such time as may be stated in the notice.

(2) If the employer fails to show cause to the satisfaction of the Commissioner, the Commissioner may make an award determining the total amount payable, and requiring the employer to deposit the deficiency.]

23. Powers and procedure of Commissioners.—The Commissioner shall have all the powers of a Civil Court under the Code of Civil Procedure, 1908 (Act V of 1908), for the purpose of taking evidence on oath (which such Commissioner is hereby empowered to impose) and of enforcing the attendance of witnesses and compelling the production of documents and material objects, ¹[and the Commissioner shall be deemed to be a Civil Court for all the purposes of section 195 and of Chapter XXXV of the Code of Criminal Procedure, 1898 (Act of 1898).]

24. Appearance of parties. Any appearance, application or act required to be made or done by any person before or to a Commissioner (other than an appearance of a party which is required for the purpose of his examination as a witness) may be made or done on behalf of such person by a legal practitioner or ²[by an official of an Insurance Company or registered Trade Union authorized in writing by such person or, with the permission of the Commissioner, by any other person so authorized].

25. Method of recording evidence. The Commissioner shall make a brief memorandum of the substance of the evidence of every witness as the examination of the witness proceeds, and such memorandum shall be written and signed by the Commissioner with his own hand and shall form part of the record:

Provided that, if the Commissioner is prevented from making such memorandum, he shall record the reason of his inability to do so and shall cause such memorandum to be made in writing from his dictation and shall sign the same, and such memorandum shall form part of the record:

Provided further that the evidence of any medical witness shall be taken down as nearly as may be word for word.

26. Costs. All costs, incidental to any proceedings before a Commissioner, shall, subject to rules made under this Act, be in the discretion of the Commissioner.

27. Power to submit cases. A Commissioner may, if he thinks fit, submit any question of law for the decision of the ³[Tribunal] and, if he does so, shall decide the question in conformity with such decision.

28.Registration of agreements.—(1) Where the amount of any lump sum payable as compensation has been settled by agreement, whether by way of redemption of a half-monthly payment or otherwise, or where any compensation has been so settled as being

¹ Ins. by the Workmen's Compensation (Amdt.) Act, 1929 (5 of 1929), section, 5 (w.e.f. 29-3-1929).

² Subs. by the Workmen's Compensation (Amdt.) Act, 1938 (9 of 1938), section 10 (w.e.f. 5-4-1938), for "other person authorized in writing by such person".

³ Subs. by the Labour Laws (Amdt.) Act, 1975 (11 of 1975), s. 2 and Sch. (w.e.f. 25-1-1975), for "High Court".

payable ¹[to a woman or a person under a legal disability] ²* * * a memorandum thereof shall be sent by the employer to the Commissioner, who shall, on being satisfied as to its genuineness, record the memorandum in a register in the prescribed manner:

Provided that

(a) no such memorandum shall be recorded before seven days after communication by the Commissioner of notice to the parties concerned;

3* * * *

(c) the Commissioner may at any time rectify the register;

(d) where it appears to the Commissioner that an agreement as to the payment of a lump sum whether by way of redemption of a half-monthly payment or otherwise, or an agreement as to the amount of compensation payable ²[to a woman or a person under a legal disability] ⁴* * * ought not to be registered by reason of the inadequacy of the sum or amount, or by reason of the agreement having been obtained by fraud or undue influence or other improper means, he may refuse to record the memorandum of the agreement ⁵[and may make such order] including an order as to any sum already paid under the agreement, as he thinks just in the circumstances.

(2) An agreement for the payment of compensation which has been registered under sub-section (1) shall be enforceable under this Act notwithstanding anything contained in the Contract Act, 1872 (IX of 1872), or in any other law for the time being in force.

29. Effect of failure to register agreement.—Where a memorandum of any agreement the registration of which is required by section 28, is not sent to the Commissioner as required by that section, the employer shall be liable to pay the full amount of compensation which he is liable to pay under the provisions of this Act, and notwithstanding anything contained in the proviso to sub-section (1) of section 4, shall not, unless the Commissioner otherwise directs, be entitled to deduct more than half of any amount paid to the workman by way of compensation whether under the agreement or otherwise.

30. Appeals.—(1) An appeal shall lie to the ⁶[Tribunal] from the following orders of a commission namely.—

(a) an order awarding as compensation a lump sum whether by way of redemption of a half-monthly payment or otherwise or disallowing a claim in full or in part for a lump sum ;

(b) an order refusing to allow redemption of a half monthly payment;

(c) an order providing for the distribution of compensation among the dependants of a deceased workman, or disallowing any claims of a person alleging himself to be such dependant ;

(d) an order allowing or disallowing any claim for the amount of an indemnity under the provisions of Subsection (2) of section 12 ; or

¹ Subs. by the Workmen's Compensation (Amdt.) Act, 1929 (5 of 1929), section 6 (w.e.f. 29-3-1929), for "to a person under a legal disability".

² The words "or to a dependent" omitted by the Repealing and Amending Act, 1924 (7 of 1924), s. 3 and Sch. II (w.e.f. 15-3-1924).

³ Cl. (b) omitted by Act 5 of 1929, s. 6.

⁴ The words "or to any dependent" omitted by Act 7 of 1924, s. 3 and Sch. II.

⁵ Subs. *ibid.*, s. 2 and Sch. I, for "or may make such order".

⁶ Subs. by the Labour Laws (Amdt.) Act, 1975 (11 of 1975), s. 2 and Sch. (w.e.f. 25-1-1975), for "High Court".

- (e) an order refusing to register a memorandum of agreement or registering the same or providing for the registration of the same subject to conditions:

Provided that no appeal shall lie against any order unless a substantial question of law is involved in the appeal and, in the case of an order other than an order such as is referred to in clause (b), unless the amount in dispute in the appeal is not less than three hundred rupees:

Provided, further, that no appeal shall lie in any case in which the parties have agreed to abide by the decision of the Commissioner, or in which the order of the Commissioner gives effect to an agreement come to by the parties:

¹[Provided further that no appeal by an employer under clause (a) shall lie unless the memorandum of appeal is accompanied by a certificate by the Commissioner to the effect that the appellant has deposited with him the amount payable under the order appealed against.]

(2) The period of limitation for an appeal under this section shall be sixty days.

(3) The provisions of section 5 of the Limitation Act, 1908 (IX of 1908), shall be applicable to appeals under this section.

²[(4) All appeals under this section, and all questions under section 27, pending before any High Court immediately before the commencement of the Labour Laws (Amendment) Act, 1975, shall, on such commencement, stand transferred to, and be disposed of by, the Tribunal within whose jurisdiction the cause of action to which the appeal relates or, as the case may be, the question arose.]

³[**30A. Withholding of certain payments pending decision of appeal.**—Where an employer makes an appeal under clause (a) of sub-section (1) of section 30, the Commissioner may, and if so directed by the ⁴[Tribunal] shall, pending the decision of the appeal, withhold payment of any sum in deposit with him.]

⁵[**31. Recovery.**—(1)] The Commissioner may recover as an arrear of land revenue any amount payable by any person under this Act, whether under an agreement for the payment of compensation or otherwise, and the Commissioner shall be deemed to be a public officer within the meaning of section 5 of the Revenue Recovery Act, 1890 (I of 1890).

⁶[(2) Without prejudice to the provisions of sub-section (1), the Commissioner may recover in the prescribed manner any amount referred to therein by distress and sale of the moveable property belonging to the person by whom the amount is payable, or by attachment and sale of the immoveable property belonging to such person.]

CHAPTER IV RULES

32. Power of the Provincial Government to make rules.—(1) The ⁷[Provincial Government] may make rules⁸ to carry out the purposes of this Act.

¹The proviso ins. by the Work men's Compensation (Amdt.) Act, 1933 (15 of 1933), s. 17.

²Sub-section (4) added by the Labour Laws (Amdt.) Act, 1975 (11 of 1975), s. 2 and Sch. (w.e.f. 25-1-1975).

³S. 30A ins. by the Work men's Compensation (Amdt.) Act, 1933 (15 of 1933), s. 18.

⁴Subs. by Act 11 of 1975, s. 2 and Sch., for "High Court".

⁵S. 31 re-numbered as sub-section (1) of that section by the Labour Laws (Amdt.) Act, 1976 (11 of 1976), s. 2 and Sch. (w.e.f. 12-4-1976).

⁶Sub-section (2) added *ibid*.

⁷Subs. by A.O., 1937 (w.e.f. 1-4-1937), for "G.G. in C.".

⁸For the Workmen's Compensation Rules, 1924, see Gen. R. & O.

(2) In particular and without prejudice to the generality of the foregoing power, such rules may provide for all or any of the following matters, namely:—

- (a) for prescribing the intervals at which and the conditions subject to which an application for review may be made under section 6 when not accompanied by a medical certificate ;
- (b) for prescribing the intervals at which and the conditions subject to which a workman may be required to submit himself for medical examination under sub-section (1) of section 11 ;
- (c) for prescribing the procedure to be followed by Commissioners in the disposal of cases under this Act and by the parties in such cases
- (d) for regulating the transfer of matters and cases from one Commissioner to another and the transfer of money in such cases ;
- (e) for prescribing the manner in which money in the hands of a Commissioner may be invested for the benefit of dependants of a deceased workman and for the transfer of money so invested from one Commissioner to another ;
- ¹[(ee) for prescribing the manner in which any balance of money may under sub-section (4) of section 8 be transferred to a fund or funds for the benefit of workmen and for the establishment and administration of such fund or funds ;]
- (f) for the representation in proceedings before Commissioners of parties who are minors or are unable to make an appearance ;
- (g) for prescribing the form and manner in which memo random of agreements shall be presented and registered ;
- (h) for the withholding by Commissioners, whether in whole or in part of half-monthly payments pending decision on applications for review of the same ; ²*

2* * * * * *

- ²[(i) for regulating the scales of costs which may be allowed in proceedings under this Act ;
- (j) for prescribing and determining the amount of the fees payable in respect of any proceedings before a Com- missioner under this Act;
- (k) for the maintenance by Commissioners of registers and records of proceedings before them ;
- (l) for prescribing the classes of employers who shall maintain notice-books under sub-section (3) of section 10, and the form of such notice-books ;
- (m) for prescribing the form of statement to be submitted by employers under section 10A ; ³*

¹Ins. by the Workmen's Compensation (Amdt.) Act, 1957 (11 of 1957), section 9 (w.e.f. 15-3-1957).

²The word "and" at the end of cl. (h) and the original cl. (i) were omitted and the new cls. (i) to (n), which were the same as cls. (a) to (f) of section 33 were ins. by A.O., 1937 (w.e.f. 1-4-1937).

³The word "and" omitted by Act 11 of 1957, s. 9

- (n) for prescribing the cases in which the report referred to in section 10B may be sent to an authority other than the Commissioner] ¹[;] ²[and
- ²[(o) for prescribing the abstracts of this Act and of the rules required by section 10D.]

33. [Power of Local Government to make rules.] Rep. by A. O., 1937.

34. Publication of Rules.—(1) The power to make rules conferred by ³[section 32] shall be subject to the condition of the rules being made after previous publication.

(2) The date to be specified in accordance with clause (3) of section 23 of the General Clauses Act, 1897, (X of 1897) as that after which a draft of rules proposed to be made under section 32 ⁴* * * will be taken into consideration, shall not be less than three months from the date on which the draft of the proposed rules was published for general information.

(3) Rules so made shall be published in ⁵* * * the ⁶[official Gazette] ⁷* * * and, on such publication, shall have effect as if enacted in this Act.

⁸[35. Rules to give effect to arrangements with other countries for the transfer of money paid as compensation.]⁹[(1)] The ¹⁰[Federal Government] may, by notification in the ¹¹[official Gazette] make rules for the transfer ¹²[to any Acceding State, or] to any part of His Majesty's Dominions or to any other country of money ¹¹[deposited with] a Commissioner under this Act ¹⁴[which has been awarded to, or may be due to,] any person residing or about to reside in such ¹²[State], part or country and for the receipt ¹⁵[distribution] and administration in ¹⁶[Pakistan] of any money ¹⁷[deposited] under the law relating to workmen's compensation ¹²[in any Acceding State, or] in any part of His Majesty's Dominions or in any other country, ¹⁸[which has been awarded to, or may be due to,] any person residing or about to reside in ¹⁶[Pakistan]:]

¹⁹[Provided that no sum deposited under this Act in respect of fatal accidents shall be so transferred without the consent of the employer concerned until the Commissioner receiving the sum has passed orders determining its distribution and apportionment under the provisions of sub-sections (4) and (5) of section 8.]

¹ Subs. *ibid.*, for full-stop.

² The word "and" and cl. (o) added, *ibid.*

³ Subs. by A.O., 1937, for "section 32 and 33".

⁴ The words and figures "or section 33" omitted, *ibid.*

⁵ The words "the Gazette of India or" omitted by A.O., 1937 (w.e.f. 1-4-1937).

⁶ Subs. *ibid.*, for "local official Gazette".

⁷ The words "as the case may be" omitted, *ibid.*

⁸ S. 35 ins. by the Workmen's Compensation (Amdt.) Act, 1933 (15 of 1933), s. 20.

⁹ The original s. 35 was re-numbered as sub-section (1) of that section by the Workmen's Compensation (Amdt.) Act, 1937 (7 of 1937), s. 2 (w.e.f. 4-3-1937).

¹⁰ Subs. by the Labour Laws (Amdt.) Act, 1975 (11 of 1975), s. 2 and Sch. (w.e.f. 25-1-1975), for "Central Government" which had been subs. by A.O., 1937, for "G.G. in C.".

¹¹ Subs. by A.O., 1937, for "Gazette of India".

¹² Ins. by A.O., 1949 (w.e.f. 28-3-1949).

¹³ Subs. by Act 7 of 1937, s. 2, for "paid to".

¹⁴ Subs. *ibid.*, for "for the benefit of".

¹⁵ Ins. *ibid.*

¹⁶ Subs. and shall be deemed to have been so subs. on the fourteen day of October, 1955, by the Central Laws (Statue Reform) Ordinance, 1960 (21 of 1960), s.3 and Second Sch., for the words "the Provinces and the Capital of the Federation" which were sub., by A.O., 1949, for "British India".

¹⁷ Subs. by Act 7 of 1937, s. 2., for "awarded".

¹⁸ Subs. *ibid.*, for "and applicable for the benefit of".

¹⁹ The proviso and sub-section (2) added, *ibid.*

(2) Where money deposited with a Commissioner has been so transferred in accordance with the rules made under this section, the provisions elsewhere contained in this Act regarding distribution by the Commissioner of compensation deposited with him shall cease to apply in respect of any such money.]

¹**[SCHEDULE-I**

²[See section 2 (1) and (4)]

LIST OF INJURIES DEEMED TO RESULT IN PERMANENT TOTAL DISABLEMENT.

Sr. No.	Description of injuries	Percentage of loss of earning capacity.
1.	Loss of both hands or amputation at higher sites ..	100
2.	Loss of a hand and a foot	100
3.	Double amputation through leg or thigh, or amputation through leg or thigh on one side and loss of other foot ..	100
4.	Loss of sight to such an extent as to render the claimant unable to perform any work for which eye-sight is essential.	100
5.	Very sever facial disfigurement	100
6.	Absolute deafness	100

LIST OF INJURIES DEEMED TO RESULT IN PERMANENT PARTIAL DISABLEMENT

Amputation cases-Upper limbs (either arm)

1.	Amputation through shoulder joint	90
2.	Amputation below shoulder with stump less than 8 from tip of acromion	80
3.	Amputation from 8 from tip of acromion to less than 4-1/2" below tip of olecranon	70
4.	Loss of a hand or of the thumb and four fingers of one hand or amputation from 4-1/2" below tip of olecranon	60
5.	Loss of thumb	30
6.	Loss of thumb and its metacarpal bone	40
7.	Loss of four fingers of one hand	50
8.	Loss of three fingers of one hand	30
9.	Loss of two fingers of one hand	20
10.	Loss of terminal phalanx of thumb	20

¹Subs. by the Labour Laws (Amdt.) Ordinance, 1972 (9 of 1972), s. 2 and 1st Sch. (w.e.f. 13-4-1972,) for the existing Shc. I.

² Subs. by the Labour Laws (Amdt.) Act, 1972 (5 of 1972), s. 2 and Sch. (w.e.f. 7-9-1972), for "section 2(1) and 4".

Amputation cases-Lower limbs

11.	Amputation of both feet resulting in end-bearing stumps	90
12.	Amputation through both feet proximal to the metatarsophalangeal joint	80
13.	Loss of all toes of both feet through the metatarsophalangeal joint ..	40
14.	Loss of all toes of both feet proximal to the proximal interphalangeal joint	30
15.	Loss of all toes of both feet distal to the proximal inter phalangeal joint	20
16.	Amputation at hip	90
17.	Amputation below hip with stump not exceeding 5" in length measures from tip of great trochanter	80
18.	Amputation below hip with stump exceeding 5" in length measured from tip of great trochanter but not beyond middle high.	70

SCHEDULE

Sr. No.	Description of injuries	Percentage of loss of earning capacity.
19.	Amputation below middle thigh to 3-1/2" below knee	60
20.	Amputation below knee with stump exceeding 3-1/2in. but not exceeding 5in	50
21.	Amputation below knee with stump exceeding 5in. ..	40
22.	Amputation of one foot resulting in end-bearing ..	30
23.	Amputation through one foot proximal to the metatarso- phalangeal joint	30
24.	Loss of all toes of one foot through the metatarso-phalangeal joint	20

Other Injuries

25.	Loss of one eye, without complications, the other being normal	40
26.	Loss of vision of one eye without complication or disfigurement of eyeball, the other being normal	30

Fingers of right/left hand index finger

27.	Whole	14
28.	Two phalanges	11
29.	One phalanx	9
30.	Guillotine amputation of tip without loss of bone	5

Middle finger

31.	Whole	12
32.	Two phalanges	9
33.	One phalanx	7
34.	Guillotine amputation of tip without loss of bone	4

Ring or little finger

35.	Whole	7
36.	Two phalanxes	6
37.	One phalanx	5
38.	Guillotine amputation of tip without loss of bone	2

Toes of right or left foot great toe

39.	Through metatarsophalangeal joint	14
40.	Part, with some loss of bone	3

Any other toe

41.	Through metatarsophalangeal joint	3
42.	Part, with some loss of bone	1

Two toes of one foot, excluding great toe

43.	Through metatarso-phalangeal joint	5
44.	Part, with some loss of bone	2

Three toes of one foot, excluding great toe

45.	Through metatarso-phalangeal joint	6
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46.	Part, with some loss of bone	3
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Four toes of one foot, excluding great toe

47.	Through metatarso-phalangeal joint	9
48.	Part, with some loss of bore	3

SCHEDULE-II

[See section 2(1) (n)]

List of persons who, subject to the provisions of section 2(1) (n), are included in the definition of workmen

The following persons are workmen within the meaning of section 2(1) (n) and subject to the provisions of that section, that is to say, any person who is

¹[(i) employed, otherwise than ²* * * on a railway, in connection with the operation or maintenance of ³[a lift or a vehicle propelled by steam or other mechanical power or by electricity]; or

(ii) employed ⁴* * * in any premises wherein, or within the precincts whereof, on any one day of the preceding twelve months, ten or more persons have been employed in any manufacturing process, as defined in ⁵[clause (g) of section 2 of the Factories Act, 1934 (XXV of 1934)], or in any kind of work whatsoever incidental to or connected with any such manufacturing process or with the article made, and steam, water or other mechanical power or electrical power is used ⁶* * *; or

(iii) employed ⁷[in any place to which section 5 of the Factories Act, 1934, (XXV of 1934) has been applied or] for the purpose of making, altering, repairing, ornamenting, finishing or otherwise adapting for use, transport or sale any article or part of an article in any premises wherein or within the precincts whereof on any one day of the preceding twelve months, fifty or more persons have been so employed; or

(iv) employed in the manufacture or handling of explosives in any premises wherein, or within, the precincts whereof, on any one day of the preceding twelve months, ten or more persons have been so employed ; or

(v) employed, in any mine as defined in clause (f) of section 3 of the Mines Act, 1923, (IV of 1923) in any mining operation, or in any kind of work, ⁸* * * incidental to connected with any mining operation or with the mineral obtained, or in kind or work whatsoever below ground:

¹ These clauses and the *Explanation* were subs. by the Workmen's Compensation (Amdt.) Act, 1933 (15 of 1933), s. 21, for the original clauses.

² The words "in a clerical capacity or" omitted by the Workmen's Compensation (Amdt.) Act, 1973 (14 of 1973), s. 6 (w.e.f. 7-2-1973).

³ Subs. by the Work men's Compensation (Amdt.) Act, 1938 (9 of 1938), section 11 (w.e.f. 5-4-1938), for "mechanically propelled vehicles".

⁴ The words "otherwise than in a clerical capacity" omitted by the Workmen's Compensation (Amdt.) Act, 1957 (11 of 1957), s. 10 (w.e.f. 15-3-1957).

⁵ Subs. by Act 9 of 1938, s. 11, for "clause (4) of section 2 of the Indian Factories Act, 1911".

⁶ The words "but not persons employed solely in a clerical capacity in any room or place where no manufacturing process is being carried on" omitted by Act 14 of 1973, s. 6, which had been ins. by Act 11 of 1957, s. 10.

⁷ Ins. by Act 11 of 1957, s. 10.

⁸ The words "other than clerical work" omitted by the Work men's Compensation (Amdt.) Act, 1973 (14 of 1973), s. 6. (w.e.f. 7-2-1973).

Provided that any excavation in which on no day of the preceding twelve months more than fifty persons have been employed or explosives have been used and whose depth from its highest to its lowest point does not exceed twenty feet shall be deemed not to be a mine for the purpose of this clause ; or

- (vi) employed as the ¹[master, seaman, sailor or otherwise on]-
 - (a) any ship which is propelled wholly or in part by steam or other mechanical power or by electricity or which is towed or intended to be towed by a ship so propelled, or
 - (b) any ship not included in sub-clause (a) of ²[twenty-five] tons net tonnage or over ; or
- (vii) employed for the purpose of loading, unloading, fuelling, constructing, repairing, demolishing, cleaning or painting any ship of which he is not the master or a member of the crew, or in the handling or transport within the limits of any port subject to the Ports Act, 1908, (XV of 1908) of goods which have been discharged from or are to be loaded into any vessel ; or
- ³[(viii) employed in loading and unloading of goods in the mechanically propelled vehicles in the ⁴[Karachi Division].]
- (viii) employed in the construction, repair or demolition of
 - ⁵[(a) any building or structure; or]
 - (b) any dam or embankment, which is twenty feet or more in height from its lowest to its highest point ; or
 - (c) any road, bridge, or tunnel ; or
 - (d) any wharf, quay, sea-wall or other marine work including any moorings of ships ; or
- (ix) employed in setting up, repairing, maintaining, or taking down any telegraph or telephone line or post or any overhead electric line or cable or post or standard for the same ; or

¹ Subs. by the Workmen's Compensation (Amdt.) Act, 1957 (11 of 1957), s. 10 (w.e.f. 15-3-1957), for "master or as a seaman of".

² Subs. *ibid.*, for "fifty".

³ Ins. by the Ministry of Health and Social Welfare Notification No. LC. 21(73)/58, dated the 30th March, 1959, see Gaz. of P., 1959, Pt. I, pp. 162-163.

⁴ Subs. by A.O., 1964, Art. 2 and Sch. (w.e.f. 28-5-1964), for "Federal Territory of Karachi" which had been subs. by the Repealing and Amending Ordinance, 1961 (1 of 1961), s. 3 and Second Sch. (w.e.f. 24-1-1961), for "Federal Capital".

⁵ Subs. by Act 11 of 1957 s. 10, for the original sub-clause (a).

- (x) employed, ¹* * * in the construction, working, repair or demolition of any aerial ropeway, canal pipe-line, or sewer ; or
- (xi) employed in the service of any fire brigade ; or
- (xii) employed upon a railway as defined in clause (4) of section 3, and sub-section (1) of section 148 of the Railways Act, 1890, (IX of 1890) either directly or through a sub-contractor, by a person fulfilling a contract with the railway administration ; or
- (xiii) employed as an inspector, mail guard, sorter or van peon in the Railway Mail Service, or employed in any occupation ordinarily involving out-door work in the ²* Posts and Telegraphs Department ; or
- ³[(xiiia) employed as treasurer clerks performing out-door duties in the Pakistan Posts and Telegraphs Department in Baluchistan and the ⁴[Karachi Division] ;]
- (xiv) employed, ¹* * * in connection with operations for winning natural petroleum or natural gas ; or
- (xv) employed in any occupation involving blasting operations ; or
- (xvi) employed in the making of any excavation in which on any one day of the preceding twelve months more than ⁵[twenty-five] persons have been employed or explosives have been used, or whose depth from its highest to its lowest point exceeds twenty feet ; or
- (xvii) employed in the operation of any ferry boat capable of carrying more than ten persons ; or
- (xviii) employed, ¹* * *, on any estate which is maintained for the purpose of growing cinchona, coffee, rubber or tea, and on which on any one day in the preceding twelve months twenty-five or more persons have been so employed ; or
- (xix) employed, ¹* * * in the generating, transforming or supplying of electrical energy or in the generating or supplying of gas ; or

¹ The words "otherwise than in clerical capacity", omitted by the Work men's Compensation (Amdt.) Act, 1973 (14 of 1973), s. 6 (w.e.f. 7-2-1973).

² The word "Indian" omitted by A.O., 1949 (w.e.f. 28-3-1949).

³ Added by the Ministry of Law and Labour (Labour Division) Notification No. L.C. 21(2)/49, dated the 20th October, 1949, see Gaz. of P., 1949, Pt. I, p. 498.

⁴ Subs. by A.O., 1964, Art. 2 and Sch. (w.e.f. 28-5-1964), for "Federal Territory of Karachi" which had been subs. by Repealing and Amending Ordinance, 1961 (1 of 1961), s. 3 and Second Sch. (w.e.f. 24-1-1961), for "Capital of the Federation".

⁵ Subs. by the Work men's Compensation (Amdt.) Act, 1957 (11 of 1957), section 10 (w.e.f. 15-3-1957), for "fifty".

(xx) employed in a lighthouse as defined in clause (d) of section 2 of the Lighthouse Act, 1927 (XVII of 1927); or,

(xxi) employed in producing cinematograph pictures intended for public exhibition or in exhibiting such pictures ; or

(xxii) employed in the training, keeping or working of elephants or wild animals ; or

¹[(xxiii) employed in the tapping of palm-trees or the felling or logging of trees, or the transport of timber by inland waters, or the control or extinguishing of forest fires ; or

(xxiv) employed in operations for the catching or hunting of elephants or other wild animals ; or]

²[(xxv)] employed as a diver ; ³[or

⁴(xxvi) employed in the handling or transport of goods in, or within the precincts of,-

(a) any warehouse or other place in which goods are stored, and in which on any one day of the preceding twelve months ten or more persons have been so employed ; or

(b) any market in which on any one day of the preceding twelve months one hundred of more persons have been so employed ; or,

(xxvii) employed in any occupation involving the handling and manipulation of radium, or X-rays apparatus, or contact with radio-active substances.]

Explanation.- In this Schedule, “the preceding twelve months” relates in any particular case to the twelve months ending with the day on which the accident in such case occurred.]

THE PAKISTAN CODE

¹ Cls. (xxiii) and (xxiv) ins. by the Workmen’s Compensation (Amdt.) Act, 1938 (9 of 1938), s. 11 (w.e.f. 5-4-1938).

² The existing cl. (xxiii) re-numbered as cl. (xxv), *ibid.*

³ The word “or” and cls. (xxvi) and (xxvii) ins., *ibid.*

SCHEDULE-III
(See section 3)
List of occupational diseases

Occupational disease	Employment
	¹ [PART A
Anthrax	Any employment-
	(a) involving the handling of wool, hair, bristles or animal carcases or parts of such carcases, including hides, hoofs and horns ; or
	(b) in connection with animals infected with anthrax ; or
	(c) involving the loading, unloading or transport of any merchandise.
Compressed air illness or its sequelae.	Any process carried on in compressed air.
Poisoning by lead tetra-ethyl ..	Any process involving the use of lead tetra-ethyl.
Poisoning by nitrous fumes ..	Any process involving exposure to nitrous fumes.
	² PART B]
Lead poisoning or its sequelae ³ (excluding poisoning by lead tetra-ethyl).	Any process involving the use of lead ⁴ [or any of its preparations or compounds except lead tetra-ethyl].
Phosphorus poisoning or its sequelae.	Any process involving the use of phosphorus or its preparations or compounds.
⁵ [Mercury poisoning or its sequelae.	Any process involving the use of mercury or its preparations or compounds.
Poisoning by benzene and its homologues, or the sequelae of such poisoning.	Handling benzene or any of its homologues and any process in the manufacture or involving the use of benzene or any of its homologues.
Chrome ulceration or its sequelae	Any process involving the use of chromic acid or bichromate of ammonium, potassium or sodium, or their preparations.
⁶ [Arsenical poisoning or its sequelae.	Any process involving the production, liberation or utilization of arsenic or its compounds.
Pathological manifestations due to-	Any process involving exposure to the action of radium, radio-active, substances, or X-rays.
(a) radium and other radioactive substances ;	
(b) X-rays,	
Primary epitheliomatous cancer of the skin.	Any process involving the handling or use of tar, pitch, bitumen, mineral oil, paraffin, or the compounds, products or residues of these substances.]

¹ Ins. by the Workmen's Compensation (Amdt.) Act, 1938 (9 of 1938), section 12 (w.e.f. 5-4-1938).

² This part has been amended in its application to the Federal Capital by S.R.O. 581, dated the 3rd December, 1959, see Gaz. of P., 1959, Pt. I, p. 552.

³ Added by Act 9 of 1938, s. 12.

⁴ Subs. *ibid.*, for "or its preparations or compounds".

⁵ These entries were ins. by the Work men's Compensation (Amdt.) Act, 1933 (15 of 1933), s. 22.

⁶ Subs. by Act 9 of 1938, s. 12, for the entry which was added by Act 15 of 1933, s. 22.

¹SCHEDULE-IV

(See section 4)

COMPENSATION PAYABLE IN CERTAIN CASES.

² * * *	Amount of compensation for		Half-monthly payment as compensation for temporary disablement
	Death	Permanent Total disablement	
1	2	3	4
² * * *			
	Rs.	Rs.	
	³ [2,00,000]	³ [2,00,000]	1/2 of the monthly wages during the period of disablement or a period of one year, reckoned from the date of injury, which ever is less and thereafter only in cases of chronic lung diseases 1/3 of the monthly wages during the period of disablement or for a period of 5 years, reckoned from the date of injury, whichever is less.

¹ Subs. by Act XI of 1994 & Sch.

² First Column Omitted by Act IV of 2007, s. 2 (w.e.f. 1-7-2007).

³ Subs. by ord. 53 of 2001, s. 2, Sch. (w.e.f. 1-7-2001).



THE TEA PLANTATIONS LABOUR ORDINANCE, 1962



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THE PAKISTAN CODE

THE TEA PLANTATIONS LABOUR ORDINANCE, 1962

ORDINANCE No. XXXIX OF 1962

[4th June, 1962]

An Ordinance to provide for the welfare of labour, and to regulate the conditions of work, in tea plantations

WHEREAS it is expedient to provide for the welfare of labour, and to regulate the conditions of work, in tea plantations;

NOW, THEREFORE, in pursuance of the Proclamation of the seventh day of October, 1958, and in exercise, of all powers enabling him in that behalf, the President is pleased to make and promulgate the following Ordinance :-

CHAPTER I

1. Short title, extent, commencement and application.—(1) This Ordinance may be called the Tea Plantations Labour Ordinance, 1962.

(2) It extends to the whole of Pakistan.

(3) It shall come into force at once.

(4) It applies in the first instance to all tea plantations, but the Provincial Government may, by notification in the official Gazette, apply it to any other area of land measuring twenty-five acres or more and used or intended to be used for growing tea whereon less than thirty persons are employed, or were employed on any day of the preceding twelve months.

2. Definitions.—In the Ordinance, unless there is anything repugnant in the subject or context,-

- (a) “adolescent” means a person who has completed his fifteenth year but has not completed his seventeenth year ;
- (b) “adult” means a person who has completed his seventeenth year;
- (c) “child” means a person who has not completed his fifteenth year;
- (d) “day” means a period of twenty four hours beginning at midnight;
- (e) “employer” when used in relation to a tea plantation means the person who has ultimate control over the affairs of the tea plantation, and where the affairs of any tea plantation are entrusted to any other person (whether called a managing agent, manager, superintendent or by any other name) such other person shall be deemed to be the employer in relation to that tea plantation;
- (f) “prescribed” means prescribed by rules made under this Ordinance;

- (g) “tea plantation” means any land used or intended to be used for growing tea which measures twenty five acres or more and whereon thirty or more persons are employed, or were employed on any day of the preceding twelve months ;
- (h) “wages” has the meaning assigned to it in clause (vi) of section 2 of the Payment of Wages Act, 1936 (IV of 1936) ;
- (i) “week” means a period of seven days beginning at midnight on Saturday night or such other night as may be fixed by the Provincial Government in relation to tea plantations in any area after such consultation as may be prescribed with reference to the tea plantations concerned in that area ;
- (j) “worker” means a person employed in a tea plantation for hire or reward, whether directly or through any agency, to do any work, skilled, unskilled, manual or clerical, but does not include-
 - (i) a medical officer at the plantation ;
 - (ii) any person whose monthly wages exceed five hundred rupees; or
 - (iii) a person employed in a tea plantation primarily in a managerial capacity notwithstanding that his monthly wages do not exceed five hundred rupees ;
- (k) “young” person means a person who is either a child or an adolescent.

CHAPTER II

3. Chief Inspector and Inspectors.—(1) The Provincial Government may, by notification in the official Gazette, appoint for the Province a duly qualified persons to be the chief inspector of tea plantations and so many duly qualified persons to be inspectors of tea plantations subordinate to the chief inspector as it thinks fit.

(2) Subject to such rules as may be made in this behalf by the Provincial Government, the chief inspector may declare the local area or areas within which, are the tea plantations with respect to which, inspectors shall exercise their powers under this Ordinance, and may himself exercise the powers of an inspector within such limits as may be assigned to him by the Provincial Government.

(3) The chief inspector and all inspectors shall be deemed to be public servants within the meaning of section 21 of the Pakistan Penal Code (Act XIV of 1860).

4. Powers and functions of inspectors.—Subject to any rules made by the Provincial Government in this behalf, an inspector may within the local limits for which he is appointed-

- (a) make such examination and inquiry as he thinks fit in order to ascertain whether the provisions of this Ordinance and of the rules made thereunder are being observed in the case of any tea plantation;
- (b) with such assistants from amongst persons in the employment of Government or of any municipal body or other local authority, as he thinks fit, enter, inspect and examine any tea plantation or part thereof at any reasonable time for the purpose of carrying out the objects of this Ordinance;

- (c) examine any worker employed in any tea plantation or require the production of any register or other document maintained in pursuance of this Ordinance, and take on the spot or otherwise statement of any persons which he may consider necessary for carrying out the purposes of this Ordinance ; and
- (d) exercise such other powers as may be prescribed:

Provided that no person shall be compelled under this section to answer any question or make any statement tending to incriminate himself.

5. Facilities to be provided to inspector.—Every employer shall afford the inspector all reasonable facilities for making any entry, inspection, examination or inquiry under this Ordinance.

6. Notice to inspector before commencement of work.—Before work is begun in any tea plantation after the commencement of this Ordinance, the employer shall, send to the inspector a written notice containing—

- (a) the name of the tea plantation and its situation;
- (b) the address to which communications relating to the tea plantation should be sent ; and
- (c) such other particulars as may be prescribed for the purposes of this Ordinance.

7. Certifying surgeons.—(1) The Provincial Government may appoint medical practitioners having the prescribed qualifications to be certifying surgeons for the purposes of this Ordinance within such local limits or for such tea plantation or class of tea plantations as it may assign to them respectively.

(2) The certifying surgeon shall carry out such duties as may be prescribed in connection with-

- (a) the examination and certification of workers ; and
- (b) the exercise of such medical supervision as may be prescribed where young persons are, or are to be, employed in any work in any tea plantation which is likely cause injury to their health.

CHAPTER III

8. Drinking water.—In every tea plantation such arrangements as may be prescribed shall be made by the employer to provide and maintain at convenient places in the tea plantation a sufficient supply of wholesome drinking water for all workers.

9. Conservancy.—(1) There shall be provided separately for males and females in every tea plantation a sufficient number of latrines and urinals of prescribed types and number so situated as to be convenient and accessible to workers employed therein.

(2) All latrines and urinals provided under sub-section (1) shall be maintained in a clean and sanitary condition.

10. Medical facilities.—In every tea plantation there shall be provided and maintained so as to be readily available such medical facilities for the workers as may be prescribed.

CHAPTER IV

11. Canteens.—(1) The Provincial Government may make rules requiring that in every tea plantation wherein one hundred and fifty or more workers are ordinarily employed, one or more canteens shall be provided and maintained by the employer for the use of the workers.

(2) Without prejudice to the generality of the foregoing power, such rules may provide for-

- (a) the date by which the canteen shall be provided;
- (b) the number of canteens that shall be provided and the standards in respect of construction, accommodation, furniture and other equipment of the canteens;
- (c) the food-stuffs which may be served therein and the charges which may be made therefor;
- (d) the constitution of managing committee for the canteen and the representation of the workers in the management of the canteen ; and
- (e) the delegation to the chief inspector, subject to such conditions as may be prescribed, of the power to make rules under clause (c).

12. Creches.—The Provincial Government may make rules providing that in every tea plantation wherein forty or more women workers are employed or were employed on any day of the preceding twelve months the employer shall provide and maintain, in such manner and of such standard as may be prescribed, rooms for the use of such of the children of the women workers as are below the age of six years.

13. Recreational facilities.—The Provincial Government may make rules requiring every employer to make provision in his tea plantation for such recreational facilities for the workers and their children as may be prescribed.

14. Educational facilities.—Where the children between the ages of six and twelve of workers employed in any tea plantation exceed twenty five in number, the Provincial Government may make rules requiring every employer to provide educational facilities for the children in such manner and of such standard as may be prescribed.

15. House building facilities.—It shall be the duty of every employer to provide house-building facilities to every worker and his family residing in the tea plantation according to such scale as may be prescribed.

16. Facilities for daily necessities, etc.—It shall be the duty of the employers to provide facilities within easy reach of the employees for obtaining the daily necessities of life through co-operative or other means and also to provide the employees with such amenities for protection from adverse weather conditions as may be prescribed.

17. Welfare Officers.—(1) In every tea plantation wherein three hundred or more workers are ordinarily employed the employer shall employ such number of Welfare Officers as may be prescribed.

(2) The Provincial Government may prescribe the duties, qualifications and conditions of service of officers employed under sub-section (1).

CHAPTER V

18. Weekly hours, spread-over and daily intervals for rest.—The Provincial Government may make rules providing for the regulation of the weekly working hours, their spread-over per day, and the daily intervals for rest, for the workers,

19. Weekly holidays.—(1) The Provincial Government may make rules providing for-

- (a) a day of rest in every period of seven days which shall be allowed to all workers ; and
- (b) payment for work done on a day of rest at such overtime rate as may be prescribed under section 31.

(2) Notwithstanding anything contained in clause (a) of sub-section (1) where a worker is willing to work on any day of rest which is not a closed holiday in the tea plantation, nothing contained in this section shall prevent him from doing so:

Provided that in so doing a worker does not work for more than ten days consecutively without a holiday for a whole day intervening.

Explanation.— Nothing contained in this section shall apply to any worker whose total period of employment, including any day spent on leave, is less than six days.

20. Notice of period of work.—(1) There shall be displayed and correctly maintained in every tea plantation, in such form and manner as may be prescribed, a notice of periods of work showing clearly for every day the periods during which the workers may be required to work.

(2) Subject to the other provisions of this Ordinance, no worker shall be required or allowed to work in any tea plantation otherwise than in accordance with the notice of periods of work displayed in the tea plantation.

(3) An employer may refuse to employ a worker for any day if on that day he turns up for work more than half an hour after the time fixed for the commencement of the day's work.

21. Prohibition of employment of young children.—No child who has not completed his twelfth year shall be required or allowed to work in any tea plantation.

22. Night work for women and children.—Except with the permission of the chief inspector, no woman or child worker shall be employed in any tea plantation otherwise than between the hours of 6 A.M. and 7 P.M.

Provided that nothing in this section shall be deemed to apply to midwives and nurses employed as such in any tea plantations.

23. Non-adult workers to carry tokens.—No child who has completed his twelfth year and no adolescent shall be required or allowed to work in any tea plantation unless-

- (a) a certificate of fitness granted with reference to him under section 24 is in the custody of the employer ; and
- (b) such child or adolescent carries with him while he is at work a token giving a reference to such certificate.

24. Certificate of fitness.—(1) A certifying surgeon shall, on the application of any young person or his parent or guardian accompanied by a document signed by the employer or any other person on his behalf that such person will be employed in the tea plantation if certified to be fit for work, or on the application of the employer or any other person on his behalf with reference to any young person intending to work in the tea plantation, examine such person, and ascertain his fitness for work as a child or an adolescent.

(2) A certificate of fitness granted under this section shall be valid for a period of twelve months from the date thereof, but may be renewed.

(3) Any fee payable for a certificate under this section shall be paid by the employer and shall not be recoverable from the young person, his parents or guardian.

25. Power to require medical examination.— An inspector may, if he thinks necessary so to do, cause any young person employed in a tea plantation to be examined by a certifying surgeon.

CHAPTER VI

26. Application of Chapter.—The provisions of this Chapter shall not operate to the prejudice of any rights to which a worker may be entitled under any other law or under the terms of any award, agreement, or contract of service:

Provided that, where such award, agreement or contract of service provides for a longer leave with wages than provided in this Chapter, the worker shall be entitled only to such longer leave.

Explanation.—For the purpose of this Chapter leave shall not, except as provided in section 27, include weekly holidays or holidays for festivals or other similar occasions.

27. Annual leave with wages.—(1) Every worker shall be allowed leave with wages for a number of days calculated at the rate of.

- (a) if an adult, one day for every thirty days of work performed by him; and
- (b) if a young person, one day for every twenty days of work performed by him:

Provided that a period of leave shall be inclusive of any holiday which may occur during such period.

(2) if a worker does not in any one period of twelve months taken the whole of the leave allowed to him under sub-section (1) any leave not taken by him shall be added to the leave to be allowed to him under that sub-section in the succeeding period of twelve months.

(3) A worker shall cease to earn any leave under this section when the leave with wages due to him amounts to thirty days.

28. Festival holidays.—Every worker shall be allowed in a year not less than five days' paid festival holidays which shall be determined by the employer in consultation with the workers.

29. Sick leave.—Every worker shall be allowed in a year fifteen days sick leave on half average wages.

30. Wages during leave or holiday period.—(1) For the leave or holidays allowed to a worker under section 27 and section 28 he shall be paid at the rate equal to daily average of his total full-time wages for the days on which he worked, exclusive of any overtime earnings and bonus, if any, but inclusive of dearness allowance and cash equivalent of any advantage accruing from the occasional supply by the employer of food grains.

(2) A worker who has been allowed leave under section 27 for any period not less than four days in the case of an adult and five days in the case of a young person shall, before his leave begins, be paid his wages for the period of the leave allowed.

31. Extra wages for overtime.—Where a worker works on any day or in a week for more than the hours fixed under section 18, he shall be entitled in respect of the overtime worked to wages at such rate as may be prescribed.

CHAPTER VII

32. Obstruction.—(1) Whoever obstructs an inspector in the discharge of his duties under this Ordinance or refuses or willfully neglects to afford the inspector any reasonable facility for making any inspection, examination of inquiry authorized by or under this Ordinance in relation to any plantation, shall be punishable with imprisonment for a term which may extend to three months, or with fine which may extend to five hundred rupees, or with both.

(2) Whoever willfully refuses to produce on the demand of an inspector any register or other document kept in pursuance of this Ordinance, or prevents or attempts to prevent or does anything which he has reason to believe is likely to prevent any person from appearing before or being examined by an inspector acting in pursuance of his duties under this Ordinance, shall be punishable with imprisonment for a term which may extend to three months, or with fine which may extend to five hundred rupees, or with both.

33. Penalty for contraventions of provisions relating to medical facilities.—Any employer who contravenes the provisions of section 10 shall be punishable with imprisonment which may extend to three months, or with fine which may extend to five hundred rupees, or with both.

34. Use of false certificate of fitness.—Whoever knowingly uses or attempts to use as a certificate of fitness granted to himself under section 24 a certificate granted to another person under that section, or having been granted a certificate of fitness to himself, knowingly allows it to be used, or allows an attempt to use it to be made by another person, shall be punishable with imprisonment which may extend to one month, or with fine which may extend to fifty rupees, or with both.

35. Contravention of provisions regarding employment of labour.—Whoever except as otherwise permitted by or under this Ordinance, contravenes any provision of this Ordinance or of any rules made thereunder, prohibiting, restricting or regulating the employment of persons in a tea plantation, shall be punishable with imprisonment for a term which may extend to three months, or with fine which may extend to five hundred rupees, or with both.

36. Other offences.—Whoever contravenes any of the provisions of this Ordinance or of any rules made thereunder for which no other penalty is elsewhere provided by this Ordinance or the rules, shall be punishable with imprisonment for a term which may extend to three months, or with fine which may extend to five hundred rupees, or with both.

37. Enhanced penalty after previous conviction.—If any person who has been convicted of any offence punishable under this Ordinance is again guilty of an offence involving a contravention of the same provision, he shall be punishable on a subsequent conviction with imprisonment which may extend to six months, or with fine which may extend to one thousand rupees, or with both.

38. Exemption of employer from liability in certain cases.—Where an employer charged with an offence under this Ordinance alleges that another person is the actual offender, he shall be entitled upon complaint made by him in this behalf to have, on giving to the prosecutor in this behalf three clear days' notice in writing of his intention so to do, that other person brought before the court on the day appointed for the hearing of the case and if, after the commission of the offence has been proved, the employer proves to the satisfaction of the court that—

- (a) he has used due diligence to enforce the execution of the relevant provisions of this Ordinance ; and
- (b) that the other person committed the offence in question without his knowledge, consent or connivance ; the said other person shall be convicted of the offence and shall be liable to the like punishment as if he were the employer and the employer shall be acquitted:

Provided that—

- (a) the employer may be examined on oath and his evidence and that of any witness whom he calls in his support shall be subject to cross-examination on behalf of the person he charges to be the actual offender and by the prosecutor; and
- (b) if, in spite of due diligence, the person alleged as the actual offender cannot be brought before the court on the day appointed for the hearing of the case, court shall adjourn the hearing thereof from time to time so, however, that the total period of such adjournment does not exceed three months, and if, by the end of the said period, the person alleged as the actual offender cannot still be brought before the court, the court shall proceed to bear the case against the employer.

39. Cognizance of offences.— No court shall take cognizance of any offence punishable under this Ordinance except on complaint made by the chief inspector or any person authorized by him in this behalf and no court inferior to that of a Magistrate of the first class shall try any offence punishable under this Ordinance.

40. Limitation of prosecutions.—No court shall take cognizance of any offence punishable under this Ordinance unless the complaint thereof has been made or is made within three months from the date on which the alleged commission of the offence comes to the knowledge of an inspector:

Provided that, where the offence consists of disobeying a written order made by an inspector, complaint thereof may be made within six months of the date on which the offence is alleged to have been committed.

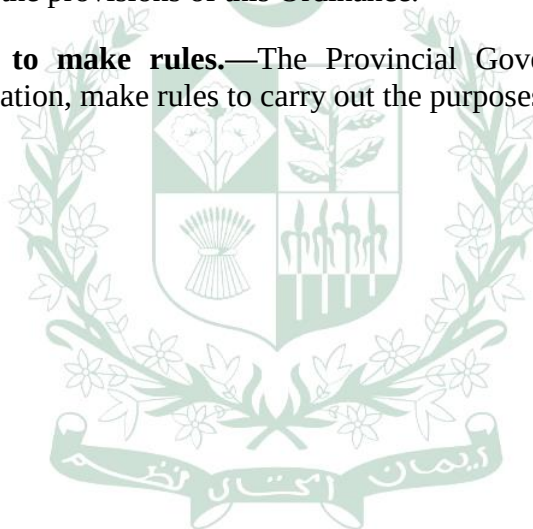
41. Indemnity.—No suit, prosecution or other legal proceeding shall lie against any person for anything which is in good faith done or intended to be done under this Ordinance.

CHAPTER VIII

42. Leave for person simultaneously engaged in a tea factory and a tea plantation.—If a person is employed within the same year both in the tea plantation covered by this Ordinance and a tea processing factory covered by the Factories Act, 1934 (XXV of 1934), under the same management, he shall be entitled to the maximum facilities provided under either this Ordinance or that Act so far as annual leave, sick leave and other similar conditions are concerned.

43. Power to exempt.—The Provincial Government may, by order in writing, exempt, subject to such conditions and restrictions as it may think fit to impose, any employer or class of employers from all or any of the provisions of this Ordinance.

44. General power to make rules.—The Provincial Government may, subject to the conditions of previous publication, make rules to carry out the purposes of this Ordinance.



THE PAKISTAN CODE

Dated: 05.04.24



SMALL AND MEDIUM ENTERPRISES DEVELOPMENT AUTHORITY ORDINANCE, 2002



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THE PAKISTAN CODE

SMALL AND MEDIUM ENTERPRISES DEVELOPMENT AUTHORITY ORDINANCE 2002

ORDINANCE XXXIX OF 2002

An
Ordinance

to provide for the, establishment of the Small and Medium Enterprises Development Authority as an autonomous body under the Federal Government for encouraging and facilitating the development and growth of small and medium enterprises in Pakistan

WHEREAS it is expedient for the establishment of a Small and Medium Enterprises Development Authority to provide requisite support services for encouraging and facilitating the development and growth of small and medium enterprises in Pakistan by way of policy making and through the provisions of resources and support services and to provide for matters connected therewith and ancillary thereto;

AND WHEREAS the President is satisfied that circumstances exist which render it necessary to take immediate action;

NOW, THEREFORE, in pursuance of the Proclamation of Emergency of the fourteenth day of October, 1999, and the Provisional Constitution Order No. 1 of 1999, read with the Provisional Constitution (Amendment) Order No. 9 of 1999, and in exercise of all powers enabling him in that behalf, the President of the Islamic Republic of Pakistan is pleased to make and promulgate the following Ordinance:—

CHAPTER I PRELIMINARY

1. Short title, extent and commencement.—(1) This Ordinance may be called the Small and Medium Enterprises Development Authority Ordinance 2002.

(2) It extends to the whole of Pakistan.

(3) It shall come into force at once.

2. Definitions. In this Ordinance, unless there is anything repugnant in the subject or context,—

- (a) “Authority” means the Small and Medium Enterprises Development Authority established under section 3;
- (b) “Board” means the Board of the Authority constituted under section 5;
- (c) “Chairman” means the Chairman of the board;

- (d) “Chief Executive Officer” means the Chief Executive Officer of the Authority
- (e) “Committee” means a committee constituted by the Board;
- (f) “employee” means any officer or servant of the Authority;
- (g) “Executive Secretary” means the Executive Secretary of the Board;
- (h) “Federal Government” for purposes of this Ordinance means the Ministry of Industries and Production;
- (i) “Fund” means the fund established under section 22;
- (j) “Member” means a member of the Board including the Chairman;
- (k) “Person” means any natural person or Legal entity, including an individual, association of persons, partnership, company, corporation, statutory body, trust, society, or any other legal entity;
- (l) “prescribed” means prescribed by the rules made under this Ordinance;
- (m) “private sector” means any field of activity not in the public sector or of any statutory body or anybody which is owned or controlled, wholly or partially, by the Federal Government or a Provincial Government except a university or an educational or research institute;
- (n) “regulations” means the regulations made under this Ordinance;
- (o) “rules” means the rules made under this Ordinance; and
- (p) “S.M.E.s” means all entities declared or defined by the Federal Government to be small or medium enterprises for the purposes this Ordinance.

CHAPTER II THE AUTHORITY

3. Establishment of the Authority.—(1) There shall be established an Authority to be called the Small and Medium Enterprises Development Authority for carrying out the purposes and objectives of this Ordinance.

(2) The Authority shall be a body corporate having perpetual succession and a common seal, with power, subject to the provisions of this Ordinance, to acquire, take-over, hold and dispose of property, both moveable and immovable, to enter into contracts and shall by the said name sue and be sued.

(3) The Authority shall have the sole and exclusive right to have and use all emblems, motto, logo, decorations, descriptive or designating marks and title now or heretofore used by the

Authority, the name “Small and Medium Enterprise Development Authority or any similar grammatical variation thereof and shall also have the sole and exclusive right to have and to use any emblems, motto, logo decorations, descriptive or designating marks or titles hereafter adopted by the Authority for carrying out its objectives.

(4) The Head Office of the Authority shall be at Lahore or at any other place as the Federal Government may, by notification in the official Gazette, specify.

(5) The Authority may establish regional offices at such other places and in such numbers as the Board may, from time to time, deem fit.

4. Powers and functions of the Authority.—(1) The Authority shall have all such powers as may be necessary to perform its duties and functions under this Ordinance.

(2) Without prejudice to the generality of the foregoing provision, the Authority shall exercise and perform the following powers and functions, namely:—

- (a) to facilitate on policy-making and to provide overall planning, programming, research and evaluation of matters relating to S.M.E.s in Pakistan;
- (b) to identify research parameters and priorities and broad thrusts;
- (c) to conduct professional overall monitoring and external evaluation of S.M.E.s;
- (d) to advise the Federal Government for allocation of funds to identify research and planning priorities;
- (e) to initiate, take, continue, implement and perform any and all activities for encouraging and facilitating the growth and development of S.M.E.s';
- (f) to protect the interests of S.M.E.s in accordance with the provisions of this Ordinance and any rules and regulations made thereunder;
- (g) to act as a resource base for providing expertise, information, data, statistics including but not limited to, economic, commercial, business and industrial areas and such other resources as deemed appropriate or necessary for S.M.E.s;
- (h) to provide, arrange and facilitate support services, including but not limited to technical, financial, managerial, legal, marketing, commercial industrial and such other services as deemed appropriate or necessary for S.M.E.s.
- (i) to establish any association of persons, firm, company, body or corporation concerning S.M.E.s in Pakistan;
- (j) to engage and enter into agreements with financial and other institutions, and financial, legal, accounting, valuation and other specialists, for the

purposes of fulfilling the aims and objectives of the Authority;

- (k) to borrow money and secure or discharge any debt or obligation binding on the Authority in such manner as may be thought fit;
- (l) to sell, improve, manage, develop; exchange, mortgage, let or rent, grant licences, easements, options, servitudes and other rights over and in any other manner deal with or dispose the real and personal property, assets, rights and effects of the Authority;
- (m) to open and maintain the Authority's accounts with banks and financial institutions
- (n) to enter into any agreements with any authorities, Federal or Provincial, autonomous, semi-autonomous, municipal, local or otherwise that may be conducive to the Authority's aims or objectives, or any one of them, and to obtain from any such authority, rights, privileges and concessions which the Authority may deem desirable to obtain and to carry out, exercise and comply with any such arrangements, rights, privileges and concessions ;
- (o) to have and possess all powers and functions enumerated in sections 7, 11 and 15 as entrusted to the Board, the Chairman and the Chief Executive Officer respectively;
- (p) to perform such other functions as may be assigned by the Federal Government to achieve the aims and objectives of this Ordinance; and
- (q) to do all other acts, deeds and things incidental to or ancillary for the purposes of achieving the objects of this Ordinance.

CHAPTER III

BOARD AND COMMITTEES

5. Exercise of the powers and functions of the Authority to be vested in a Board. The powers and functions of the Authority and the general and overall direction, management, control and superintendence of the affairs of the Authority shall vest in a Board and all actions, decisions, guidelines, directions, orders and policies made or issued by the Board in the exercise of the said powers and functions shall be deemed to have been made and issued by the Authority.

6. Composition of the Board.—(1) The Board shall consist of the following members, namely:—

- (a) the Chairman;
- (b) the Secretary, Industries and Production Division, Government of Pakistan;
- (c) the Secretary, Finance Division, Ministry of Finance, Revenue and Economic Affairs, Government of Pakistan;

- (d) the Secretary, Commerce Division, Government of Pakistan;
- (e) the Chairman, Central Board of Revenue, Government of Pakistan;
- (f) the Chief Executive Officer;
- (g) six persons from the private sector and, as far as possible, amongst them at least one from each Province of Pakistan who are reputed for their integrity, competence, expertise, knowledge and experience in the spheres including but not limited to economics, commerce, business, trade, industry, law, actuarial sciences, accountancy, banking, finance, marketing, technology, academia, or other spheres of expertise and who are capable of and able to positively contribute towards the aims, objectives and functions of the Authority.

(2) The Members mentioned in clauses (b) to (e) of sub-section (1) shall be ex officio Members.

(3) If any Member referred to in clauses (b) to (e) of sub-section (1) sent from Pakistan, or is unable to attend a Meeting of the Board, he may authority officer, not below the rank of Additional Secretary or Joint Secretary of his Division, to act as a Member and such officer, if approved by the Board, may act, as Member and participate in the Board Meeting for such period of time and for such number of Meetings as may be permitted by the Board.

(4) A Member, other than an ex officio member, shall be appointed by the Federal Government in consultation with the Chairman, and shall hold office for a term of three years and may be eligible for re-appointment for only one additional term not exceeding three years.

7. Powers and functions of the Board. Subject to the provisions of this Ordinance, the Board shall,—

- (i) exercise executive control over the affairs of the Authority;
- (ii) manage and administer affairs of the Authority;
- (iii) approve the annual budget of the Authority;
- (iv) ask for any information or call for the record of any matter relating to S.M.E.s, pending before or decided by the Authority or any committee constituted by the Authority;
- (v) ask for any information or call for the record of any matter relating to S.M.E.s, from any ministry, division, department, section, statutory body, corporation, agency of the Federal or Provincial Government concerning any policy, relating to S.M.E.s subject to the constitutional and legal requirements, for review and appropriate action as and if necessary. The concerned ministry, division, department, section, statutory body, corporation,

agency of the Federal or Provincial Government, which after the receipt of such request, shall, within a reasonable period of time, provide the requisite information or record to the Authority;

- (vi) assist and facilitate banks and other institutions in developing appropriate programmes for the promotion and development of S.M.E.s;
- (vii) enter into all such negotiations, agreements and contracts and rescind or vary all such agreements or contracts, and to execute all such documents and do all acts, deeds and things, in the name and on behalf of the Authority as may, be considered necessary, expedient or proper or in relation to any of the matters aforesaid or otherwise, for the purposes of the Authority ;
- (viii) deal with, make arrangements, sign contracts with Government, semi-Government, autonomous bodies, corporations, local Government and other institutions;
- (ix) sell, deal in and dispose of all articles and goods of the Authority ;
- (x) engage, employ, fix and pay the remuneration and remove, dismiss or discharge all employees and other persons employed in, or in connection with, the Authority's business;
- (xi) transfer employees from one department to another department;
- (xii) employ advisers, experts and consultants for the Authority;
- (xiii) review the performance of any person employed or engaged by the Board or the Chief Executive Officer, from time to time, and issue such directions as it may deem fit, appropriate or necessary;
- (xiv) make and give receipt, release and discharge, all moneys payable to the Authority or for the claims and demands of the Authority;
- (xv) receive money or goods on behalf of the Authority;
- (xvi) give effectual discharge for moneys payable to the Authority and for its claims and demands;
- (xvii) draw, accept, endorse and negotiate all such cheques, bills of exchange, promissory notes and Government and other securities as shall be necessary in or for carrying on the affairs of the Authority whether the account may be overdrawn or not.
- (xviii) provide for the welfare of employees or ex-employees of the Authority and the wives, widows or families or the dependents of such persons in such manner as it may think fit;

- (xix) open, maintain and operate accounts or letters of credit for any amount with any bank or banks and to give instructions for operation of such accounts;
- (xx) institute, commence, defend, compromise, withdraw or abandon any legal proceedings by or against the Authority or its employees or otherwise concerning the affairs of the Authority;
- (xxi) Appear before any Court of law, civil, criminal, revenue excise income-tax, special courts, tribunals, whether original or appellate, Provincial High Courts and the Supreme Court of Pakistan and other authorities for and on behalf of the Authority and to institute, apply for transfer of suits and other proceedings, conduct, prosecute and defend suits and legal jurisdiction, sign powers of attorney or other authorizations, statements, pleadings and petitions on behalf of the Authority and to represent, defend and safeguard the interest of Authority;
- (xxii) purchase or take on lease or otherwise acquire for the Authority, land, buildings, rights and privileges for the purpose of offices or premises of the Authority at such prices and generally on such terms as it may think necessary and expedient, to build, alter and furnish offices, houses or premises and let or sub-let any such houses or premises in, portion or otherwise;
- (xxiii) demand and enforce payment, delivery, transfer of any dues for recovery and receive from all and any persons, body corporate or corporations, firm or companies whatsoever, all moneys, securities for moneys, debts and claims of all kinds and demand; enforce, deliver and receive any property of all kinds whether belonging to the Authority as security or in trust or held by any person or company in trust or by way of security for the Authority;
- (xxiv) appoint and nominate attorneys, agents, managers for the Authority for such purposes and with such powers, authorities and discretion and for such period and subject to such conditions as he may, from time to time, think fit and authorise them to exercise any or all such powers and functions;
- (xxv) assign or sub-contract work of the Authority to private sector persons or otherwise; (xxvi) see that the Ordinance and the rules and regulations made thereunder are duly observed and to ensure such observance;
- (xxvii) make, formulate, lay down, review and approve policies and plans relating to the aims and objectives of the Authority;
- (xxviii) advise the Authority on all matters relating to its policies, plans, aim and objectives;
- (xxix) review the development and growth of S.M.E.s in Pakistan and make recommendations and policies therefore;
- (xxx) make, formulate, lay down and approve regulations on behalf of the Authority;

- (xxxi) approve the annual financial budget of the Authority;
- (xxxii) seek advice from any person relating to any matter under its jurisdiction;
- (xxxiii) constitute such committees as it may deem fit or consider necessary or expedient to assist the Board in the performance of its functions under this Ordinance and to review the performance of such committees
- (xxxiv) maintain and preserve the Fund of the Authority;
- (xxxv) lay down the terms and conditions of the employees, experts, advisers and consultants of the Authority;
- (xxxvi) to assist and facilitate banks and other institutions in developing appropriate programmes for promotion and development of S.M.E.s;
- (xxxvii) recommend suitable persons for the appointment as the Chief Executive Officer; and
- (xxxviii) do or to perform such other acts, deeds and things as may be necessary and incidental thereto.

8. Meetings of the Board.—(1) The Board shall meet not less than twice in a calendar year.

(2) the Meetings of the Board shall be presided over by the Chairman or, in his absence, by any other Member as the Board may determine;

(3) Six Members including at least two ex-officio Members shall constitute a quorum for a meeting of the Board.

(4) The decision of the Board shall be taken by the Majority of its Members, each of whom shall have a single vote, including the Chairman. In case of a tie, the Chairman or, in his absence, the person chairing the meeting, shall have a casting vote.

(5) No actor proceeding of the Board shall be invalid merely on the ground of the existence of any vacancy in, or any other defect in the constitution of, the Board.

9. Committees. The Board may, for the purpose of obtaining advice and assistance in carrying out the purposes of this Ordinance, constitute committee consisting of the Members of the Board and any other suitable person or persons as it may deem fit.

CHAPTER IV THE CHAIRMAN

10. The Chairman of the Board. The Federal Minister for Industries and Production, Government of Pakistan, shall be the ex-officio Chairman of the Board.

11. Powers and functions of the Chairman.—(1) The Chairman may ask for any information or call for the record of any matter, pending before or decided by the Board, the Chief Executive Officer or any committee, relating to S.M.E.s and may ask for information, from any Ministry, statutory body, corporation, agency of the Federal or Provincial Government concerning any policy, relating to S.M.E.s for review and appropriate action, as and if necessary. The concerned Ministry, statutory body, corporation, agency of the Federal or Provincial Government, which after the receipt of such request, shall, within a reasonable period of time, provide the requisite information or record to the Chairman.

(2) The Chairman may take appropriate and necessary action on any report submitted to him by the Board, the Chief Executive Officer, a member or a committee.

(3) The Chairman may review the performance of the Board, the Chief Executive Officer, a Member or a committee, from time to time, and issue such directions as the Chairman may deem fit.

CHAPTER V THE CHIEF EXECUTIVE OFFICER

12. The Chief Executive Officer.—(1) There shall be a Chief Executive Officer of the Authority who shall be appointed by the Federal Government subject to such terms and conditions as may be determined by the Federal Government.

(2) The Chief Executive Officer shall be appointed for a term of three years which may be extended to only one additional term of not exceeding three years.

13. Qualifications of the Chief Executive Officer. A person shall not be qualified to be appointed as the Chief Executive Officer or a Member of the Authority unless he—

- (a) is a citizen of Pakistan;
- (b) is not less than forty years of age;
- (c) is a person who is well-qualified, experienced and of known integrity and competence.

14. Disqualification of the Chief Executive Officer. No person shall be appointed or continue as a Chief Executive Officer of the Authority if he—

- (a) is of unsound mind and has been so declared by a competent authority;
- (b) is adjudged an undischarged insolvent;
- (c) ceases to be a citizen of Pakistan, or acquires the citizenship of a foreign state;
- (d) has at any time been convicted of an offence which, in the opinion of the

Federal Government, is an offence involving moral turpitude;

- (e) has been dismissed, removed or compulsorily retired from the service of Pakistan on the ground of misconduct;
- (f) is found guilty of a corrupt or illegal practice under any law for the time being in force;
- (g) has after the establishment of Pakistan, worked against the integrity of the country;
- (h) is not capable of discharging his duties by reason of physical, psychological or mental unfitness or ill-health and has been so declared by a medical board appointed by the Board and comprising of three registered and licensed medical practitioners;
- (i) absents himself from all the Meetings of the Board, without sufficient cause and leave of absence from the Board, for a continuous period of six months or, if less than three meetings are held within such a period, from three consecutive meetings of the Board;
- (j) remains absent without leave from the Authority for more than seven days, or
- (k) refuses or fails to discharge or, in the opinion of the Board, becomes incapable of effectively discharging his responsibilities under this Ordinance.

15. Powers and functions of the Chief Executive Officer. The Chief Executive Officer shall exercise such powers and perform such functions as may be assigned to him by the Board.

CHAPTER VI DELEGATION OF POWERS

16. Delegation of powers, duties and functions. The Board may, subject to such conditions and limitations as it may deem fit to impose, delegate all or any of its powers, duties or functions to the Chairman, the Chief Executive Officer, a member, a committee or any officer of the Authority, as it may deem fit.

CHAPTER VII THE EXECUTIVE SECRETARY

17. The Executive Secretary.—(1) There shall be an Executive Secretary who shall be appointed by the Board on the basis of such qualification and on such terms and conditions as may be prescribed.

(2) The Executive Secretary shall exercise all such powers and perform all such functions, as may be assigned to him by the Board.

(3) The Executive Secretary shall be responsible for calling the meetings of the Board on the direction of the Chairman, the Chief Executive Officer or on a requisition by the majority of the Members, as the case may be.

CHAPTER VIII ESTABLISHMENT

18. Appointment of employees, etc.—(1) The authority may appoint such employees as it may consider necessary for the efficient performance of its functions on such terms and conditions as may be prescribed.

(2) All appointments and promotions in the Authority shall be in accordance with the service rules and regulations of the Authority.

(3) The Authority may engage experts, advisers and consultants on contract on such terms and conditions as it may determine.

19. Conditions of service and disciplinary powers. The Authority shall prescribe the procedure for the appointment and removal and other terms and conditions of service of its employees and shall be competent to take disciplinary action against its employees.

CHAPTER IX RESIGNATION AND REMOVAL

20. Resignation.—(1) The Chief Executive Officer or a Member, other than an ex officio Member, may, at any time, resign his office by writing under his hand addressed to the Chairman, subject to the terms and conditions of his office.

(2) An employee may, at any time, resign his post by writing under his hand addressed to the Chief Executive Officer, subject to the terms and conditions of his employment.

21. Removal of Member. The Federal Government may, on the recommendation of the Chairman, at any time, remove any Member, other than an ex officio Member, on any one or more of the grounds specified in section 14.

CHAPTER X FINANCE, AUDIT AND ACCOUNTS

22. Fund.—(1) There shall be established a Fund vested in the Authority which shall be utilized by the Authority to meet all such costs and charges incurred in connection with its functions under this Ordinance.

(2) The Fund shall consist of—

- (a) such funds as the Federal Government may, from time to time, grant to the Authority;

- (b) allocations made by the Federal Government from the Federal Consolidated Fund or any other financial source available with the Federal Government;
- (c) annual grant (budget) obtained from the Federal Government;
- (d) non-repayable fees, and income, accruing to it under the law, donation, bequests, endowments, contributions, and other receipts provided to the Authority by any person, agency, body, corporate (statutory or otherwise), institution approved by the Board; and
- (e) all other sums or property which may, in any manner, become payable to or be vested in the Authority.

23. Expenditure to be charged to the Fund. The Fund shall be expended for the purposes of—

- (a) paying any expenditure lawfully incurred by the Authority or its constituents for the purposes of this Ordinance; and
- (b) repaying any financial accommodation received or moneys borrowed under this Ordinance and the profit, return, mark-up or interest due thereon, howsoever called.

24. Accounts, annual financial report and audit.—(1) The Authority shall maintain proper books of accounts and records on generally acceptable accounting principles, to explain all its transactions and to give true and fair view of its state of affairs. The books of accounts relating to a period of not less than ten years immediately preceding the current year shall be preserved in good order.

(2) The Chief Executive Officer shall, in consultation with the Board, soon as may be practicable after the end of each financial year, cause an annual financial report to be prepared on the accounts and financial activities of the Authority during that financial year which shall include a balance sheet of the annual profits and losses and an account of the annual income and expenditure incurred by the Authority.

(3) The accounts of the Authority shall be audited annually by a reputable firm of chartered accountants selected by the Board and, together with the report of the Auditors thereon, be submitted to the Board for approval by the 31st December each year.

(4) A copy of the annual financial report shall be sent to the Chairman and shall also be made available to the general public.

(5) The audit shall be carried out in accordance with the professional standards of auditing prescribed by the Pakistan Institute of Chartered Accountants, and shall issue a report on the audit.

25. Investment. The Authority may insofar as moneys are not required to be expended

under this Ordinance, make such investments as it may determine from time to time.

26. Bank accounts. The Authority shall open, maintain and operate one or more bank accounts in its name with any scheduled bank in Pakistan.

CHAPTER XI ANNUAL REPORT

27. Annual report.—(1) The Authority shall prepare, in such manner and form and at such time each year, as may be prescribed, an Annual Report which shall include, among others, a comprehensive review of its performance, the steps taken by the Authority towards the fulfilment of its aims and objectives and a true and full account of its operations and activities during the previous year.

(2) The Annual Report of the Authority shall be prepared under the direction of the Chief Executive Officer.

(3) The Annual Report shall be presented to the Board for its approval by the 31st December each year.

(4) After its approval by the Board, a copy of the Annual Report shall be submitted to the Federal Government and it shall also be made available to the general public.

CHAPTER XII GENERAL AND MISCELLANEOUS PROVISIONS

28. Limitation of liability. The Authority shall not have any liability to any financial institution save in accordance with law.

29. Right of recovery as arrears of land revenue. Subject to law, the Authority shall be entitled to recover all outstanding amounts due to it as if they are arrears of land revenue under the Land Revenue Act, 1967 (West Pakistan Act XVII of 1967).

POWER OF THE FEDERAL GOVERNMENT TO ISSUE POLICY GUIDELINES

30. Power of the Federal Government to issue policy guidelines. The Federal Government may, as and when it considers it necessary, issue guideline to the Authority on matters of policy, not inconsistent with the provisions of this Ordinance or any rules made thereunder.

31. Chief Executive Officer, Members, employees, etc. of the Authority to be public servants. The Chief Executive Officer, Members and employees of the Authority, when acting or purporting to act in pursuance of any of the provisions of this Ordinance shall be deemed to be public servants within the meaning of section 21 of the Pakistan Penal Code, 1860 (Act XLV of 1860).

32. Indemnity. No suit, prosecution or other legal proceedings shall lie against the Authority, the Chairman, the Chief Executive Officer, the Members or employees of the Authority, in respect of anything done intended or purported to be done orders passed or proceedings taken by the Authority, in good faith under this Ordinance or any of the rules or regulations made thereunder.

33. Winding up. No provision of law relating to the winding up of bodies corporate shall apply to the Authority and the Authority shall not be wound up except by the orders of the Federal Government in such manner as the Federal Government may direct.

34. Common seal. The Authority shall have a common seal and such seal shall be kept in the custody of the Chief Executive Officer or such other person as may be authorized by the Board. All documents that are required or permitted to be executed under seal shall be specified and authenticated in such manner as may be prescribed.

35. Ordinance to override other laws. This Ordinance shall have effect notwithstanding anything contained in any other law for the time being in force.

36. Power to make rules.—(1) The Federal Government may, by notification in the official Gazette, make rules for carrying out the purposes and provisions of this Ordinance.

(2) In particular, and without prejudice to the generality of the foregoing power, such rules may provide for all or any of the following matters, namely:—

- (a) administration and conduct of business of the Authority;
- (b) conduct of business at the meetings of the Board and the Committees;
- (c) constitution of the Committees;
- (d) finance, audit and accounts of the Authority;
- (e) employment and service matters of the Authority;
- (f) control, restrictions and conditions subject to which the Authority may appoint employees;
- (g) terms and conditions of service of the Chairman, Members and the Chief Executive Officer;
- (h) terms and conditions of service of the employees of the Authority;
- (i) powers, duties and functions of the Chairman and Chief Executive Officer;
- (j) conditions under which the Board may enter into arrangements with other institutions and organizations, whether public, private, government owned or autonomous bodies;

- (k) manner in which the accounts of the Authority shall be maintained;
- (l) manner in which the Authority may invest its money;
- (m) manner, form and time in which the annual statement of accounts and annual report shall be prepared;
- (n) any other matter which is to be, or may be prescribed or in respect of which provision is to be, or may be made, by the rules.

37. Power to make regulations.—(1) The Board may, by notification in the official Gazette, make regulations, not inconsistent with the rules, to provide for all matters for which provision is necessary or expedient for carrying out the purposes and provisions of this Ordinance.

(2) In particular, and without prejudice to the generality of the foregoing power, such regulations may provide for all or any of the following matters, namely:—

- (a) time and place of the meetings of the Board and the Committees and the procedure to be followed at such meetings;
- (b) manner in which and the purpose for which persons may be co-opted by the Authority;
- (c) recruitment, selection and the terms and conditions of service of the employees;
- (d) recruitment, selection and the terms and conditions of service of the Executive Secretary;
- (e) duties, conduct and functions of the employees;
- (f) conduct and discipline of the employees;
- (g) constitution and management of provident or other funds for the employees;
- (h) preparation of annual estimates of income and expenditure, profit and loss and supplementary estimates;
- (i) annual report;
- (j) manner in which payments are to be made by or on behalf of the Authority and the officers by whom orders for making deposits or investments for withdrawals or any other disposal of the income or fund of the Authority shall be authenticated, made or signed;
- (k) custody and use of the common seal of the Authority;
- (l) efficient conduct and expeditious disposal of the affairs of the Authority generally; and
- (m) any other matter which is to be, or may be prescribed or in respect of which

provision is to be, or may be made, by the regulations.

38. Removal of difficulties. If any difficulty arises in giving effect to any provision of this Ordinance, the Federal Government may, by notification published in the Gazette, make such provisions, not inconsistent with the provisions of this Ordinance, as may appear to it to be appropriate or necessary for the purpose of removing such a difficulty.

39. Savings.—Upon the commencement of this Ordinance,—

- (a) all funds, moneys, properties, rights and interests of whatever kind, issued, used, enjoyed, possessed owned or vested in the Small and Medium Enterprises Development Authority in existence immediately before such commencement and all liabilities legally subsisting against the said Small and Medium Enterprises Development Authority shall pass onto the Authority as established under this Ordinance;
- (b) everything done, action taken, obligations and liabilities incurred, persons appointed or authorized and orders issued prior to such commencement shall be continued and be deemed to have been done, taken, incurred, appointed or authorized, instituted or issued by the Authority; and
- (c) all acts, deeds and thing done, orders passed, decisions taken, directions issued in pursuance of the Federal Government's Notification No. 5(20) E&FI/98, dated the 13th October, 1998, shall be deemed to have been done, passed, taken or issued under this Ordinance.

40. Repeal. The Federal Government's Notification No. 5(20) E&FI/98, dated the 13th October, 1998, is hereby repealed.

THE PAKISTAN CODE



THE ROAD TRANSPORT WORKERS ORDINANCE, 1961



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THE PAKISTAN CODE

THE ROAD TRANSPORT WORKERS ORDINANCE, 1961

ORDINANCE No. XXVIII of 1961

[4th July, 1961]

An Ordinance to regulate the hours of work and other conditions of employment of road transport workers in Pakistan.

WHEREAS it is expedient to regulate the hours of work and other conditions of employment of road transport workers in Pakistan;

Now, THEREFORE, in pursuance of the Proclamation of the seventh day of October, 1958, and in exercise of all powers enabling him in that behalf, the President is pleased to make and promulgate the following Ordinance:—

1. Short title and commencement.—(1) This Ordinance may be called the Road Transport Workers Ordinance, 1961.

(2) It extends to the whole of Pakistan.

(3) It shall come into force at once.

2. Definitions.— In this Ordinance, unless there is anything repugnant in the subject or context,—

- (1) “day” means a period of 24 hours beginning at midnight ;
- (2) “employer” means the owner of any road transport service in which workers are employed, and where the business of such service is not directly managed by the owner, means the Manager, Agent, or Representative of such owner in the said service, and where the owner is a minor, the guardian of such minor, and in relation to any vehicle which is the subject of hire-purchase agreement, the person in possession of the vehicle under that agreement ;
- (3) “Government” means the Provincial Government ;
- (4) “hours of work” means the time during which the workers employed are at the disposal of the employer excluding any interval allowed for rest and meals ;
- (5) “prescribed” means prescribed by rules made under this Ordinance ;
- (6) “public place” means a road, street, way or other place, whether a thoroughfare or not, to which the public have a right of access, and includes any place or stand at which passengers are picked up or set down by a vehicle;
- (7) “road transport service” means a service carrying passengers or goods or both by road in vehicles for hire or reward ;

- (8) “vehicle” means any mechanically propelled vehicle, used or capable of being used for the purpose of road transport and includes a tramcar, a trolley-vehicle and a trailer;
- (9) “week” means a period of seven days;
- (10) “worker” means a person engaged on mobile duty, and includes drivers, cleaners, conductors and checkers employed by or in a road transport service ;
- (11) “year” means a period of twelve months starting from the date a worker is employed in a road transport service and ending on the date immediately preceding in the following calendar year.

3. Age limit.—(1) No person, other than a driver, shall be employed in any road transport service unless he has attained the age of eighteen years.

(2) No person shall be employed in any road transport service for the purpose of driving a vehicle unless he has attained the age of twenty-one years.

¹**[3A. Order of appointment etc.**— An employer—

- (a) who has employed a worker before the commencement of the Road Transport Workers (Amendment) Act, 1975, shall within one month of such commencement, and
- (b) who employs, transfers or promotes a worker after such commencement shall on the day of such employment, transfer or promotion,

furnish such worker with an order in writing in such form as may be prescribed specifying the terms and conditions of his employment, transfer or promotion, as the case may be.]

4. Hours of work and rest.—(1) No worker shall be employed on a vehicle—

- (a) for more than five hours at a time before he has had an interval for rest of at least half an hour nor for more than ¹[seven] hours before he has had at least two such intervals ;
- (b) for more than ¹[eight] hours in a day ; and
- (c) for more than ¹[forty-eight] hours in a week.

¹**[Explanation.**— A worker who is required to wait for not less than 30 minutes to be employed on a vehicle shall be deemed to be employed on a vehicle during the time he is so required to wait.]

(2) Every worker shall be entitled to have at least twenty-four hours of consecutive rest in a week.

¹Ins. and subs. by Act No. XII of 1975, ss.2-3.

(3) The Government may, by rules made under section 10, grant such exemptions from the provisions of sub-section (1) and sub-section (2) as it thinks fit, to meet cases of emergency or of delay by reason of circumstances which could not be foreseen:

Provided that—

- (a) no worker shall be employed overtime in any year in excess of one hundred and fifty working hours ; and
- (b) the worker employed overtime shall be paid remuneration at twice the rate of his normal wages calculated by the hour.

(4) Where as a result of the making of a rule exempting any worker from the provisions of sub-section (2), a worker is deprived of any of the weekly hours of rest for which provision is made in the sub-section he shall be allowed, as soon as circumstances permit, compensating hours of rest of equal number so lost ;

Provided that no worker shall be caused or allowed to work for more than ten consecutive days without a compensating rest for at least twenty-four hours at one time.

(5) The Government or, if authorised in this behalf by the Government by rules made under section 10, the competent authority, may require an employer to fix beforehand the hours of work of the workers so as to conform with the provisions of sub-section (1) and may provide for the recording of the hours so fixed.

(6) No worker shall work or cause or allow any other worker to work outside the hours fixed or recorded for the work of the said worker in compliance with any rule made under sub-section (5).

5. Restriction on cumulative hours of work.—No worker shall work or be allowed to work on a vehicle or two or more vehicles in excess of the period during which he may be lawfully employed under this Ordinance.

6. Leave.—(1) In addition to the period of daily and weekly rest, every worker, who has been in continuous employment for a period of one year, shall be entitled to not less than 14 days' leave with full pay or, if he has been continuously employed for a period of six months, he shall be entitled to not less than seven days' leave with full pay.

(2) For the purpose of computing the period during which a worker has been in continuous employment within the meaning of sub-section (1), the period during which he was on leave under this section shall be included.

¹[6A. Festival holidays.— (1) Every worker shall be entitled to festival holidays with full wages for twelve days in a year and the employer shall notify the days and dates for such holidays to workers within a week,—

- (a) in the case of a road transport service operating immediately before the commencement of the Road Transport Workers (Amendment) Act, 1975,—

¹Ins. by Act No. XII of 1975, s.4.

- (i) for the year 1975, of the commencement of the said Act; and
- (ii) for subsequent years, of the beginning of each calendar year; and
- (b) in the case of a road transport service which starts operating after the commencement of the said Act,—
 - (i) for the year in which it starts operating, of the starting of its operation; and
 - (ii) for subsequent years, of the beginning of each calendar year.

(2) A worker may be required to work on any festival holiday but a substitute holiday shall be allowed to him within ten days of the festival holiday, or, at his option, he shall be paid wages in respect of such work at double the ordinary rate of wages payable to him.

6B. Casual Leave.— Every worker shall be entitled in a year to ten days casual leave on full wages:

Provided that casual leave admissible under this section shall not be accumulated and carried forward to the succeeding year.]

¹**[7. W. P. Ordinance No. VI of 1968 to apply to road transport service.**—The provisions of Standing Orders 10B, 10C, 12, other than those contained in clause (2) thereof, 13, 14, other than the proviso thereto, and 15 of the West Pakistan Industrial and Commercial Employment (Standing Orders) Ordinance, 1968 (W.P. Ordinance No. VI of 1968), as in force for the time being, shall apply to every road transport service as if such road transport service were an industrial establishment to which the aforesaid Ordinance had been applied by a notification under clause (c) of sub-section (4) of section 1 thereof, and as if a worker was a workman or permanent workman, as the case may be, within the meaning of that Ordinance:

Provided that for the purpose of calculating the period for which gratuity is due under Standing Order 12, no period of service preceding the commencement of the Road Transport Workers (Amendment) Act, 1975, shall be taken into account:

Provided further that Standing Order 10B, or 10C, or Standing Order 12, in so far as it relates to gratuity, shall apply only to a road transport service wherein the workers and the other persons employed on any day within the twelve months immediately preceding the commencement of the said Act were, or on the day of commencement of the said Act or on any day thereafter are,—

- (a) in the case of Standing Order 10B, more than forty-nine: or
- (b) in the case of Standing Orders 10C, and 12, more than nineteen]

8. Maintenance of registers, etc.— (1) Every employer shall, in the prescribed form and in the prescribed manner, keep in the office of the road transport service a record of the hours worked and the amount of leave taken by, and of the intervals allowed for rest and meals to, every worker in accordance with the provisions of this Ordinance and particulars of all employment overtime shall be separately entered in the record.

¹Subs by Act No. XII of 1975, s.5.

(2) Every employer shall, for the purposes of this Ordinance, maintain such other records and registers and display such notices or other documents as may be prescribed.

9. Inspection of registers and calling for information.—It shall be the duty of every employer to produce for inspection of such inspectors as may be appointed by the Government all accounts or other records required to be kept for the purposes of this Ordinance and to give to such officer any other information in connection therewith as may be required.

10. Power to make rules.—The Government may make rules for the purpose of carrying into effect the provisions of this Ordinance.

11. Penalties.—Whoever contravenes any of the provisions of this Ordinance, or any of the rules made thereunder, shall be ¹[punishable—

- (a) for the first offence, with fine not exceeding one thousand rupees ; and
- (b) for every subsequent offence, with imprisonment which may extend to six months and fine not exceeding one thousand rupees.]

Provided that—

- (a) in the case of any contravention of the provisions of section 8, the employer shall be liable, on conviction, to a fine not exceeding ten rupees for every day on which the contravention occurs or continues, and
- (b) if any employer, with intent to deceive, makes or causes or allows to be made, in any record, register, notice or other document as provided under section 8 an entry which is to his knowledge false in any material particular, or wilfully omits or causes or allows to be omitted from any such record, register, notice or document an entry required to be made therein, shall be liable on conviction to simple imprisonment for a term not exceeding six months or to a fine not exceeding five hundred rupees or both.

12. Protection of action taken under the Ordinance.—No suit, prosecution or other proceedings shall lie against any person for anything which is in good faith done or intended to be done in pursuance of this Ordinance or rules made thereunder.

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¹Subs. by Act No. XII of 1975, s.6.



THE RAILWAYS ACT, 1890



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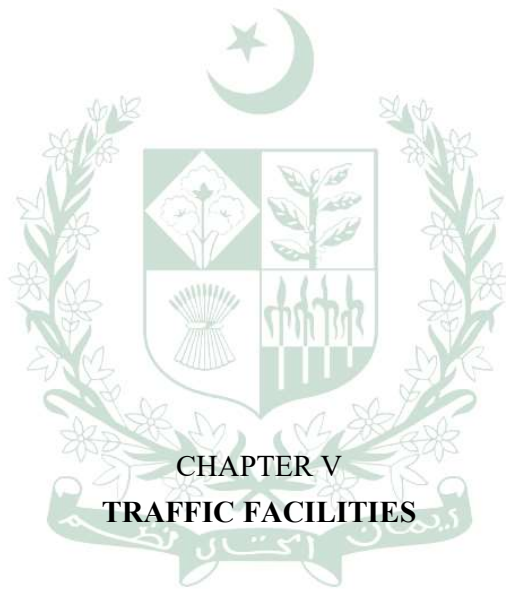
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THE FIRST SCHEDULE.— [REPEALED]

THE SECOND SCHEDULE

THE RAILWAYS ACT, 1890

¹Act NO.IX OF 1890

[21st March, 1890]

An Act to consolidate, amend and add to the law relating to Railways ²* *.

WHEREAS it is expedient to consolidate, amend and add to the law relating to railways ²* *; It is hereby enacted as follows:—

CHAPTER I PRELIMINARY

1. Title, extent and commencement.—(1) This Act may be called the ³[*] Railways Act, 1890.

⁴[(2) It extends to the whole of Pakistan and applies also to all citizens of Pakistan wherever they may be.]

(3) It shall come into force on the first day of May, 1890.

2. [Repeal.] Rep. by the Repealing Act, 1938 (1 of 1938), s.2 and Schedule.

⁵**[3. Definitions.**—In this Act, unless there is anything repugnant in the subject or context,—

- (a) “**accident**” means as defined in the Ordinance,
- (b) “**Authority**” means as defined in the Ordinance,
- (c) “**Collector**” means the chief officer in charge of the land-revenue administration of a district, and includes any officer specially appointed by the Provincial Government to discharge the functions of a Collector under this Act;
- (d) “**ferry**” includes a bridge of boats, pontoons or rafts, a swing bridge, a flying bridge and a temporary bridge, and the approaches to, and landing places of, a ferry;
- (e) “**goods**” means as defined in the Ordinance;

¹For Statement of Objects and Reasons, see Gazette of India, 1888, Pt.V, p.133; for Report of the Select Committee, see *ibid.*, 1890, Pt.V, p.23 and for debates in Council, see *ibid.*, 1888, Pt.VI, pp. 124 and 137, and *ibid.*, 1890, Pt.VI, pp.15 and 48.

This Act has been extended to the Leased Areas of Baluchistan, see the Leased Areas (Laws) Order, 1950 (G.G.O. 3 of 1950), and in the Federated Areas of Baluchistan, see Gazette of India, 1937, Pt.I.p.1499.

Chapter VIA of this Act has been extended to—

- (a) the Baluchistan States Union, see, G.G.O. 4 of 1953, as amended,
- (b) the Khairpur State, see G.G.O. 5 of 1953, as amended by G.G.O. 24 of 1953, and
- (c) the State of Bahawalpur, see G.G.O. 11 of 1953

The Railway Board Ordinance, 1959 (48 of 1959), shall be read with, and taken as part of this Act, and shall be construed accordingly, see section 2 of the said Ordinance.

The Act has been and shall be deemed to have been brought into force in Gwadur with effect from the 8th September, 1958, by the Gwadur (Application of Central Laws) Ordinance, 1960 (37 of 1960), s.2.

²The words “in India” omitted by A.O., 1949, Sch.

³The word “Indian” omitted by A.O., 1949, Sch.

⁴Subs. by the Central Laws (Statute Reform) Ordinance, 1960 (21 of 1960), s.3 and 2nd Sch. (with effect from the 14th October, 1955), for the original sub-section (2) as amended by the Burma Laws Act, 1898, (13 of 1898), s.18, A.O., 1949, Sch. And the Federal Laws (Revision and Declaration) Act, 1951 (26 of 1951), s. 8.

⁵Subs. by ord. 92 of 02, s.44 and Sch. II.

- (f) **“inland water”** means any canal, river, lake or navigable water;
- (g) ¹[* * *];
- (h) **“licence”** means as defined in the Ordinance;
- (i) **“licensee”** means as defined in the Ordinance;
- (j) **“one kilogram”** means a weight of one thousand grams, each gram being a weight of one thousand milligrams;
- (k) **“Ordinance”** means the Railway Regulatory Authority Ordinance, 2002 (XCII of 2002);
- (l) **“pass”** means an authority given by a licensee, or by a person appointed by such licensee in this behalf, and authorizing the person to whom it is given to travel gratuitously on a train operated by that licensee;
- (m) **“railway”** means a railway, or any portion of a railway, for the public carriage of passengers, animals or goods, and includes—
- (i) all land within the fences or other boundary-marks indicating the limits of the land appurtenant to a railway;
 - (ii) all lines of rails, sidings, or branches worked over for the purposes of, or in connection with, a railway;
 - (iii) all stations, offices, warehouses, wharves, workshops, manufactories, fixed plant and machinery and other works constructed for the purposes of, or in connection with, a railway;
 - (iv) all ferries, ships, boats and rafts which are used on inland waters for the purposes of the traffic of a railway and belong to or are hired or worked by the authority administering the railway; and
 - (v) railway infrastructure, as defined in the Ordinance;
- (n) **“railway administration”** means as defined in the Ordinance;
- (o) ¹[* * *];
- (p) **“railway employee”** means as defined in the Ordinance;
- (q) **“rate”** includes any fare, charge or other payment for the carriage of any passenger, animal or goods;
- (r) **“rolling-stock”** means as defined in the Ordinance;
- (s) **“terminals”** includes charges in respect of stations, wharves, depots, warehouses, cranes and other similar matters and of any services rendered thereat;
- (t) **“through traffic”** means traffic which is carried over the railway of two or more railway administrations;
- (u) **“ticket”** includes a single ticket, a return ticket and a season ticket;

¹Omitted by ord. 92 of 02, s.44 and Sch. II.

- (v) “**traffic**” includes rolling-stock of every description, as well as passengers, animals and goods; and
- (w) “**tramway**” means a tramway constructed under the Tramways Act, 1886 (XI of 1886), or any special Act relating to tramways.]

CHAPTER II

INSPECTION OF RAILWAYS

4. to 6. ¹[Omitted]

CHAPTER III

CONSTRUCTION AND MAINTENANCE OF WORKS

²7. **Authority of railway administrations to execute all necessary works.**—(1) Subject to the provisions of this Act and, in the case of immoveable property not belonging to the ³[licensee], to the provisions of any enactment for the time being in force for the acquisition of land for public purposes and for companies, ³[and subject also, in the case of licensees, to the provisions of their licence, a railway or the accommodation or other works connected therewith, and notwithstanding anything in any other enactment for the time being in force],—

- (a) make or construct in, upon, across, under or over any lands, or any streets, hills valleys, roads, railways or tramways, or any rivers, canals, brooks, streams or other waters, or any drains, water-pipes, gas-pipes or telegraph lines, such temporary or permanent inclined planes, arches, tunnels, culverts, embankments, aqueducts, bridges, roads, ⁴[lines of railway], ways, passages, conduits, drains, piers, cuttings and fences as the ³[licensee] thinks proper;
- (b) alter the course of any rivers, brooks, streams, or watercourses, for the purpose of constructing and maintaining tunnels, bridges, passages or other works over or under them, and divert or alter, as well temporarily as permanently, the course of any rivers, brooks, streams or watercourses or any roads, streets or ways, or raise or sink the level thereof, in order the more conveniently to carry them over or under or by the side of the railway, as the ³[licensee] thinks proper;
- (c) make drains or conduits into, through or under any lands adjoining the railway for the purpose of conveying water from or to the railway;
- (d) erect and construct such houses, warehouses, offices and other buildings, and such yards, stations, wharves, engines, machinery, apparatus and other works and conveniences as the ³[licensee] thinks proper;

¹section 4-6 omitted by ord. 92 of 02, s.44 and Sch. II.

²Cf the Railways Clauses Act, 1845 (8 & 9 Vict., C. 20), s. 16.

³Subs. by ord. 92 of 02, s.44 & Sch.II.

⁴Ins by the Indian Railways Act (1890) Amendment Act, 1896 (9 of 1896), s.1

- (e) alter, repair or discontinue such buildings, works and conveniences as aforesaid or any of them and substitute others in their stead; and

¹[(f) subject to the terms of a licence, do all other acts necessary for making maintaining, altering or repairing and using the railway.]

¹[(2) The exercise of the powers conferred on a licensee by sub-section (1) shall be subject to the control of the Federal Government or, the Authority, as the case may be.]

8. Alteration of pipes, wires and drains. A ¹[licensee] may, for the purpose of exercising the powers conferred upon it by this Act, alter the position of any pipe for the supply of gas, water or compressed air or the position of any electric wire or of any drain not being a main drain:

Provided that—

- (a) when the ¹[licensee] desires to alter the position of any such pipe, wire or drain, it shall give reasonable notice of its intention to do so, and of the time at which it will begin to do so, to the ²local authority or company having control over the pipe, wire or drain, or, when the pipe, wire or drain is not under the control of a local authority or company, to the person under whose control the pipe, wire or drain is;
- (b) a local authority, company or person receiving notice under proviso (a) may send a person to superintend the work, and the ¹[licensee] shall execute the work to the reasonable satisfaction of the person so sent and shall make arrangements for continuing during the execution of the work the supply of gas, water, compressed air or electricity or the maintenance of the drainage, as the case may be.

³**[8A. Protection for Government property.** Nothing in the two last preceding sections shall authorise the doing of anything on or to any works, lands, or buildings vested in, or in the possession of, ⁴* * * the ⁵[Federal Government] without the consent of that Government, or the doing of anything on or to any works, lands or buildings vested in, or in the possession of, ⁴* * * a Province without the consent of the Provincial Government ⁶[or the doing of anything on or to any works, lands or buildings vested in, or in the possession of, the Government of an Acceding State without the consent of that Government].]

⁷9. Temporary entry upon land for repairing or preventing accident. The ¹[Authority] may authorise any ¹[licensee], in case of any slip or other accident happening or being apprehended to any cutting, embankment or other work under the control of the ¹[licensee], to enter upon any lands adjoining its railway for the purpose of repairing or preventing the accident, and to do all such works as may be necessary for the purpose.

¹Subs. by Ord. 92 of 02, s.44 & Sch.II.

²For definition of "local authority", see s. 3 (28) of the General Clauses Act, 1897 (10 of 1897).

³Section 8A ins. by A.O., 1937.

⁴The words "His Majesty for the purposes of" omitted by A.O., 1961, Art. 2 and Sch. (with effect from the 23rd March, 1956).

⁵Subs. by F. A. O., 1975, Art. 2 and Table, for "Central Government".

⁶Added by A. O., 1949, Sch.

⁷Cf. the Railway Regulation Act, 1842 (5 & 6 Viet., c. 55), s. 14.

(2) In case of necessity the ¹[licensee], may enter upon the lands and do the works aforesaid without having obtained the previous sanction of the Federal Government ¹[or the Authority, as the case may be], but in such a case shall, within seventy-two hours after such entry, make a report to the ¹[Authority], specifying the nature of the accident or apprehended accident, and of the works necessary to be done, and the power conferred on the ¹[licensee] by this sub-section ¹[or a licence] shall cease and determine if the ¹[Authority], after considering the report, considers that the exercise of the power is not necessary for the public safety.

10. Payment of compensation for damage caused by lawful exercise of powers under the foregoing provisions of this Chapter.—(1) A ¹[licensee] shall do as little damage as possible in the exercise of the powers conferred by any of ²[the foregoing provisions of this Chapter], and compensation shall be paid for any damage caused by the exercise thereof.

(2) A suit shall not lie to recover such compensation, but in case of dispute the amount thereof shall, on application to the Collector, be determined and paid in accordance, so far as may be, ³[with the provisions of sections 11 to 15, both inclusive, sections 18 to 34, both inclusive, and sections 53 and 54 of the Land Acquisition Act, 1894, (I of 1894)and the provisions of sections 51 and 52 of that Act shall apply to the award of compensation].

⁴11. Accommodation works.—(1) A ¹[licensee] shall make and maintain the following works for the accommodation of the owners and occupiers of lands adjoining the railway, namely:—

- (a) such and so many convenient crossings, bridges, arches, culverts and passages over, under or by the sides of, or leading to or from, the railway as may, in the opinion of the ⁵[Provincial Government], be necessary for the purpose of making good any interruptions caused by the railway to the use of the lands through which the railway is made, and
- (b) all necessary arches, tunnels, culverts, drains, water courses or other passages, over or under or by the sides of the railway, of such dimensions as will, in the opinion of the ⁵[Provincial Government], be sufficient at all times to convey water as freely from or to the lands lying near or affected by the railway as before the making of the railway, or as nearly so as may be.

(2) Subject to the other provisions of this Act, the work specified in clauses (a) and (b) of sub-section (1) shall be made during or immediately after the laying out or formation of the railway over the lands traversed thereby and in such manner as to cause as little damage or inconvenience as possible to persons interested in the lands or affected by the works.

(3) The foregoing provisions of this section are subject to the following provisos, namely:—

¹Subs. & Ins. by Ord. 92 of 02, s.44 & Sch.II.

²Subs. by A.O., 1937, for “the three last foregoing sections”.

³Subs. by the Indian Railways Act (1890) Amendment Act, 1896 (9 of 1896), s. 2, for “with the provisions of sections 11 to 15, both inclusive, and sections 18 to 42, both inclusive, of the Land Acquisition Act, 1870, and the provisions of sections 57 and 58 of that Act shall apply to the award of compensation”.

⁴Cf the Railways Clauses Act, 1845 (8 & 9 Vict., c. 20), s. 68.

⁵Subs. by A. O., 1937, for “G. G. in C.”.

- (a) a ¹[licensee] shall not be required to make any accommodation works in such a manner as would prevent or obstruct the working or using of the railway, or to make any accommodation works with respect to which the owners and occupiers of the lands have agreed to receive and have been paid compensation in consideration of their not requiring the works to be made;
- ²(b) save as hereinafter in this Chapter provided, a ¹[licensee] shall not, except on the requisition of the ³[Provincial Government], be compelled to defray the cost of executing any further or additional accommodation works for the use of the owners or occupiers of the lands after the expiration of ten years from the date on which the railway passing through the lands was first opened for public traffic;
- (c) where a ¹[licensee] has provided suitable accommodation for the crossing of a road or stream, and the road or stream is afterwards diverted by the act or neglect of the person having the control thereof, the ¹[licensee] shall not be compelled to provide other accommodation for the crossing of the road or stream.

⁴(4) The ³[Provincial Government] may appoint a time for the commencement of any work to be executed under sub-section (1), and if for fourteen days next after that time the ¹[licensee] fails to commence the work or, having commenced it, fails to proceed diligently to execute it in a sufficient manner, the ³[Provincial Government] may execute it and recover from the ¹[licensee] the cost incurred by ⁵[it] in the execution thereof.

⁶12. Power for owner-occupier or local authority to cause additional accommodation works to be made. If an owner or occupier of any land affected by a railway considers the works made under the last foregoing section to be insufficient for the commodious use of the land, ⁷[or if the Federal Government desires to construct a national highway or a strategic road], or if the ⁸[Provincial Government] or a local authority desires to construct a public road or other work across, under or over a railway, he or it, as the case may be, may at any time require the ¹[licensee] to make at his or its expense such further accommodation works as he or it thinks necessary and are agreed to by the ¹[licensee] or as, in case of difference of opinion, may be authorized by the ⁹[Federal Government].

¹⁰**13. Fences, screens, gates and bars.** The ¹[Authority] may require that, within a time to be specified in the requisition, or within such further time as ¹¹[it] may appoint in this behalf, —

¹Subs. by Ord. 92 of 02, s.44 & Sch.II.

²*Cf* the Railways Clauses Act, 1845 (8 & 9 Vict., c. 20), s. 78.

³Subs. by A. O., 1937, for “G. G. in C.”.

⁴*Cf* the Railways Clauses Act, 1845 (8 & 9 Vict., c. 20), s. 70.

⁵Subs. by A. O., 1937, for “him”.

⁶*Cf* the Railways Clauses Act, 1845 (8 & 9 Vict., c. 20), s. 71.

⁷Ins. by F. A. O., 1975, Art. 2 and Sch.

⁸Subs. by A. O., 1937, for “L.G.”.

⁹Subs. by F.A.O, 1975, Art.2 and Sch., for “Provisional Government” which was previously subs. by A.O., 1964, Art.2 and Sch., for “Central Government” as amended by A.O., 1937 and A.O., 1961.

¹⁰*Cf* the Railway Regulation Act, 1842 (5 & 6 Vict., c. 55), s. 10.

¹¹Subs. by A. O., 1937, for “he”.

- (a) boundary-marks or fences be provided or renewed by a ¹[licensee] for a railway or any part thereof and for roads constructed in connection there-with;
- ²(b) any works in the nature of a screen near to or adjoining the side of any public road constructed before the making of a railway be provided or renewed by a ¹[licensee] for the purpose of preventing danger to passengers on the road by reason of horses or other animals being frightened by the sight or noise of the rolling-stock moving on the railway;
- ³(c) suitable gates, chains, bars, stiles or hand-rails be erected or renewed by a ¹[licensee] at places where a railway crosses a public road on the level;
- ⁴(d) persons be employed by a ¹[licensee] to open and shut such gates, chains or bars.

⁵14. Over and under bridges.—(1) Where a ¹[licensee] has constructed a railway across a public road on the level, the ⁶[Federal Government] may at any time, if it appears to ⁷[it] necessary for the public safety, require the ¹[licensee], within such time as ⁸[it] thinks fit, to carry the road either under or over the railway by means of a bridge or arch, with convenient ascents and descents and other convenient approaches, instead of crossing the road on the level, or to execute such other works as, in the circumstances of the case, may appear to the ⁶[Federal Government] to be best adapted for removing or diminishing the danger arising from the level crossing.

⁹(2) The ⁶[Federal Government] may require as a condition of making a requisition under subsection (1), that the local authority, if any, which maintains the road, shall undertake to pay the whole of the cost to the ¹[licensee] of complying with the requisition or such portion of the cost as the ⁶[Federal Government] thinks just.

¹[14A. The term “licensee” as used in this Chapter means the ¹[licensee] or such other licensee who is the holder of an integrated licensee the terms of which shall make it the duty of such licensee to carry out the functions set out in this Chapter.]

¹⁰15. Removal of trees dangerous to or obstructing the working of a railway.—(1) In either of the following cases, namely:—

- (a) where there is danger that a tree standing near a railway may fall on the railway so as to obstruct traffic,

¹Subs. and Ins. by Ord. 92 of 02, s.44 & Sch.II.

²*Cf* the Railways Clauses Act, 1845 (8 & 9 Vict., c. 20), s. 63.

³*Cf* the Railway Regulation Act, 1842 (5 & 6 Vict., c. 55), s. 9.

⁴*Cf* the Railways Clauses Act, 1845 (8 & 9 Vict., c. 20), s. 48.

⁵*Cf* the Railways Clauses Act, 1863 (26 & 27 Vict., c. 92), s. 7.

⁶Subs. by F.A.O, 1975, Art.2 and Sch., for “Provisional Government” which had been amended by A.O., 1937, A.O., 1949 and A.O., 1964, Art.2 and Sch. to read as above.

⁷Subs. by A. O., 1937, for “him”.

⁸Subs. by A. O., 1937, for “he”.

⁹*Cf* the Railways Clauses Act, 1845 (8 & 9 Vict., c. 20), s. 46; and the Railway and Canal Traffic Act, 1888 (51 & 52 Vict., c. 25), s. 16.

¹⁰*Cf* the Regulation of Railways Act, 1868 (31 & 32 Vict., c. 119), s. 24.

- (b) when a tree obstructs the view of any fixed signal, the ¹[licensee] may, with the permission of any Magistrate, fell the tree or deal with it in such other manner as will in the opinion of the ¹[licensee] avert the danger or remove the obstruction, as the case may be.

(2) In case of emergency the power mentioned in sub-section (1) may be exercised by a ¹[licensee] without the permission of a Magistrate.

(3) Where a tree felled or otherwise dealt with under sub-section (1) or sub-section (2) was in existence before the railway was constructed or the signal was fixed, any magistrate may, upon the application of the persons interested in the tree, award to those persons such compensation as he thinks reasonable.

(4) Such an award, subject, where made ²* * * by any Magistrate other than the District Magistrate, to revision by ³* * * the District Magistrate, ⁴* * *, shall be final.

(5) A Civil Court shall not entertain a suit to recover compensation for any tree felled or otherwise dealt with under this section.

CHAPTER IV OPENING OF RAILWAYS

16-25. ⁵[Omitted]

CHAPTER V ⁶[TRAFFIC FACILITIES]

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26 to 40. [Relating to Railway Commissions.] Rep. by A.O., 1937.

⁸41. Bar of jurisdiction of ordinary Courts in certain matters. Except as provided in this Act, no suit shall be instituted or proceeding taken for anything done or any omission made by a railway administration in violation or contravention of any provision of this Chapter ⁹* * *

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42-44. ¹¹[Omitted]

¹Subs. by Ord. 92 of 02, s.44 & Sch.II.

²The words "in a presidency town by any Magistrate other than the Chief Presidency Magistrate or where made elsewhere" omitted by A.O., 1949, Sch.

³The words "the Chief Presidency Magistrate, or" omitted, *ibid*.

⁴The words "as the case may be" omitted, *ibid*.

⁵Sections 16-25 Omitted by Ord. 92 of 02, s.44 & Sch.II.

⁶Subs. by the Repealing and Amending Act, 1939 (34 of 1939), s. 2 and Sch. I, for "Railway Commissions and Traffic Facilities".

⁷The sub-heading "Railway Commissions" omitted, *ibid*.

⁸*Cf* the Railway and Canal Traffic Act, 1854 (17 & 18 Vict., c. 31), s. 6.

⁹The words "or of any order made thereunder by the Commissioners or by a High Court" rep. by A. O., 1937.

¹⁰The sub-heading "Traffic Facilities" omitted by Act 34 of 1939, s. 2 and Sch. I.

¹¹Sections 42,42A,42B, 43,and 44 omitted by Ord. 92 of 02, s.44 & Sch.II.

45. Terminals.—A ¹[licensee] may charge reasonable terminals.

46. Power of ¹[Authority] to x terminals.—²[(1) The ¹[Authority] shall decided any question or dispute which may arise with respect to the terminals charged by a ¹[licensee]].

(2) ¹[* * * * *]

¹46A. * * * * *

³46B. [*Saving for functions of Railway Rates Committee and Railway Tribunal.*] Omitted by A. O., 1949, Schedule.

CHAPTER VI

WORKING OF RAILWAYS

General

47-52. ⁴[omitted]

Carriage of Property

⁵53. Maximum load for wagons.— (1) Every ¹[licensee] shall determine the maximum load for every wagon or truck in its possession, and shall exhibit the words or figures representing the load so determined in a conspicuous manner on the outside of every such wagon or truck.

(2) Every person owning a wagon or truck which passes over a railway shall similarly determine and exhibit, the maximum load for the wagon or truck.

(3) The gross weight of any such wagon or truck bearing on the axles when the wagon or truck is loaded to such maximum load shall not exceed such limit as may be fixed by the ¹[Authority] for the class of axle under the wagon or truck.

54. Power for railway administrations to impose conditions for working traffic.— (1) Subject to the control of the ¹[Authority], a ¹[licensee] may impose conditions, not inconsistent with ¹[with its powers and functions] with respect to the receiving, forwarding or delivering of any animals or goods.

(2) The ¹[licensee] shall keep at each station on its railway a copy of the conditions for the time being in force under sub-section (1) at the station, and shall allow any person to inspect it free of charge at all reasonable times.

(3) A ¹[licensee] shall not be bound to carry any animal suffering from any infectious or contagious disorder.

¹Subs. and omitted by Ord. 92 of 02, s.44 & Sch.II.

²Subs. by A. O., 1937, for the original sub-section (1).

³S. 46B was ins. by A. O., 1937.

⁴Sections 47,48,49,50,51,51A and 52 omitted by Ord. 92 of 02, s.44 & Sch.II.

⁵Cf, the Railway Regulation Act, 1842 (5 & 6 Vict., c. 55), s. 16.

¹55. Lien for rates, terminals and other charges.—(1) If a person fails to pay on demand made by or on behalf of a ²[licensee] any rate, terminal or other charge due from him in respect of any animals or goods, the ²[licensee] may detain the whole or any of the animals or goods or, if they have been removed from the railway, any other animals or goods of such person then being in or thereafter coming into its possession.

(2) When any animals or goods have been detained under sub-section (1), the ²[licensee] may sell by public auction, in the case of perishable goods at once, and in the case of other goods or of animals on the expiration of at least fifteen days' notice of the intended auction, published in one or more of the local newspapers, or where there are no such newspapers, in such manner as the ²[Authority] may prescribe, sufficient of such animals or goods to produce a sum equal to the charge, and all expenses of such detention, notice and sale, including, in the case of animals, the expenses of the feeding, watering and t ending thereof.

(3) Out of the proceeds of the sale the ²[licensee] may retain a sum equal to the charge and the expenses aforesaid, rendering the surplus, if any, of the proceeds, and such of the animals or goods (if any) as remain unsold, to the person entitled thereto.

(4) If a person on whom a demand for any rate, terminal or other charge due from him has been made fails to remove from the railway within a reasonable time any animals or goods which have been detained under sub-section (1) or any animals or goods which have remained unsold after a sale under sub-section (2), the ²[licensee] may sell the whole of them and dispose of the proceeds of the sale as nearly as may be under the provisions of sub -section (3).

(5) Notwithstanding anything in the foregoing sub-sections, the ²[licensee] may recover by suit any such rate, terminal or other charge as aforesaid or balance thereof.

56. Disposal of unclaimed things on a railway.—(1) When any animals or goods have come into the possession of a ²[licensee] for carriage or otherwise and are not claimed by the owner or other person appearing to the ²[licensee] to be entitled thereto, the ²[licensee] shall, if such owner or person is known, cause a notice to be served upon him, requiring him to remove the animals or goods.

(2) If such owner or person is not known, or the notice cannot be served upon him, or he does not comply with the requisition in the notice, the ²[licensee] may within a reasonable time, subject to the provisions of any other enactment for the time being in force, sell the animals or goods as nearly as may be under the provisions of the last foregoing section, rendering the surplus, if any, of the proceeds of the sale to any person entitled thereto.

57. Power for railway administrations to require indemnity on delivery of goods in certain cases. Where any animals, goods or sale-proceeds in the possession of a ²[licensee] are claimed by two or, more persons, or the ticket or receipt given for the animals or goods is not forthcoming, the ²[licensee] may withholds delivery of the animals , goods or sale-proceeds until the person entitled in its opinion to receive them has given an indemnity, to the satisfaction of the ²[licensee] against the claims of any other person with respect to the animals, goods or sale-proceeds.

¹Cf. the Railways Clauses Act, 1845 (8 & 9 Vict., c. 20), s. 97.

²Subs. by Ord. 92 of 02, s.44 & Sch.II.

58. Requisitions for written accounts of description of goods.—(1) The owner or person having charge of any goods which are brought upon a railway for the purpose of being carried thereon, and the consignee of any goods which have been carried on a railway, shall, on the request of any ¹[railway employee] appointed in this behalf by the ¹[licensee] deliver to such servant an account in writing signed by such owner or person, or by such consignee, as the case may be, and containing such a description of the goods as may be sufficient to determine the rate which the ¹[licensee] is entitled to charge in respect thereof.

(2) If such owner, person or consignee refuses or neglects to give such an account, and refuses to open the parcel or package containing the goods in order that their description may be ascertained, the ¹[licensee] may,

- (a) in respect of goods which have been brought for the purpose of being carried on the railway, refuse to carry the goods unless in respect thereof a rate is paid not exceeding; the highest rate which may be in force at the time on the railway for any class of goods or,
- (b) in respect of goods which have been carried on the railway, charge a rate not exceeding such highest rate.

(3) If an account delivered under sub-section (1) is materially false with respect to the description of any goods to which it purports to relate, and which have been carried on the railway, the ¹[licensee] may charge in respect of the carriage of the goods a rate not exceeding double the highest rate which may be in force at the time on the railway for any class of goods.

²(4) If any difference arises between a ¹[railway employee] and the owner or person having charge, or the consignee, of any goods which have been brought to be carried or have been carried on a railway, respecting the description of goods of which an account has been delivered under this section, the ¹[railway employee] may detain and examine the goods.

(5) If it appears from the examination that the description of the goods is different from that stated in an account delivered under sub-section (1), the person who delivered the account, or, if that person is not the owner of the goods, then that person and the owner jointly and severally, shall be liable to pay to the ¹[licensee] the cost of the detention and examination of the goods, and the ¹[licensee] shall be exonerated from all responsibility for any loss which may have been caused by the detention or examination thereof.

(6) If it appears that the description of the goods is not different from that stated in an account delivered under sub-section (1), the ¹[licensee] shall pay the cost of the detention and examination, and be responsible to the owner of the goods for any such loss as aforesaid.

59. Dangerous or offensive goods.—(1) No person shall be entitled to take with him, or to require a ¹[licensee] to carry, any dangerous or offensive goods upon a railway.

(2) No person shall take any such goods with him upon a railway without giving notice of their nature to the stationmaster or other ¹[railway employee] in charge of the place where he brings the goods upon the railway, or shall tender or deliver any such goods for carriage upon a railway

¹Subs. by Ord. 92 of 02, s.44 & Sch.II.

²Cf., the Railways Clauses Act, 1845 (8& 9 Vict., c. 20), s. 101.

without distinctly marking their nature on the outside of the package containing them or otherwise giving notice in writing of their nature to the ¹[railway employee] to whom he tenders or delivers them.

(3) Any ¹[railway employee] may refuse to receive such goods for carriage, and, when such goods have been so received without such notice as is mentioned in ²[sub-section (2)] having to his knowledge been given, may refuse to carry them or may stop their transit,

(4) If any ¹[railway employee] has reason to believe any such goods to be contained in a package with respect to the contents whereof such notice as is mentioned in sub-section (2) has not to his knowledge been given, he may cause the package to be opened for the purpose of ascertaining its contents,

(5) Nothing in this section shall be construed to derogate from the Explosives Act, 1884, (V of 1884) or any rule under that Act, and nothing in sub-sections (1), (3) and (4) shall be construed to apply to any goods tendered or delivered for carriage by order or on behalf of the Government or to any goods which an officer, soldier, sailor, ³[airman] or police-officer or ⁴[a member of the Pakistan National Guard,] may take with him upon a railway in the course of his employment or duty as such.

⁵60. Exhibition to the public of authority for quoted rates. At every station at which a ¹[licensee] quotes a rate to any other station for the carriage of traffic other than passengers and their luggage, the ¹[railway employee] appointed by the ¹[licensee] to quote the rate shall, at the request of any person, show to him at all reasonable times, and without payment of any fee, the rate books or other documents in which the rate is authorised by the ¹[licensee] or administrations concerned.

⁶61. Requisitions on railway administrations for details of gross charges.— (1) Where any charge is made by and paid to a ¹[licensee] in respect of the carriage of goods over its railway, the ¹[licensee] shall, on the application of the person by whom or on whose behalf the charge has been paid, render to the applicant an account showing how much of the charge comes under each of the following heads, namely:—

- (a) the carriage of the goods on the railway;
- (b) terminals;
- (c) demurrage; and
- ⁷(d) collection, delivery and other expenses;

but without particularizing the several items of which the charge under each head consists.

(2) The application under sub-section (1) must be in writing and be made to the ¹[licensee] within one month after the date of the payment of the charge by or on behalf of the applicant, and the account must be rendered by the ¹[licensee] within two months after the receipt of the application.

¹Subs. by Ord. 92 of 02, s.44 & Sch.II.

²Subs. by the Indian Railways Act, (1890) Amendment Act, 1896 (9 of 1896), s. 3, for “sub-section (1)”.

³Ins. by the Repealing and Amending Act, 1927 (10 of 1927), s. 2 and Sch. I.

⁴The original words and figures “a person enrolled as a volunteer under the Indian Volunteers Act, 1869,” were first subs. by the Repealing and Amending Act, 1923 (11 of 1923). s.2 and Sch. I and then amended by A. O., 1949, Sch., to read as above.

⁵*Cf* the Regulation of Railways Act, 1873 (36 & 37 Viet., c. 48), s. 14. and the Railway and Canal Traffic Act, 1888 (51 & 52 Viet., c. 25), s. 33.

⁶*Cf* the Regulation of Railways Act, 1868 (31 & 32 Viet., c.119), s.17.

⁷*Cf* the Regulation of Railways Act, 1873 (36 & 37 Viet., c. 48), s. 14.

Carriage of Passengers

¹62. Communication between passengers and ²[railway employees] in charge of trains. The ²[Authority] may require any ²[licensee] to provide and maintain in proper order, in any train worked by it which carries passengers, such efficient means of communication between the passengers and the ²[railway employees] in charge of the train as the ²[Authority] has approved.

63. Maximum number of passengers for each compartment. Every ²[licensee] shall fix, subject to the approval of the ²[Authority], the maximum number of passengers which may be carried in each compartment of every description of carriage, and shall exhibit the number so fixed in a conspicuous manner inside or outside each compartment, in English or in one or more of the vernacular languages in common use in the territory traversed by the railway, or both in English and in one or more of such vernacular languages as the ²[Authority], after consultation with the ²[licensee], may determine.

64. Reservation compartments for females.—(1) On and after the first day of January, 1891, every ²[licensee] shall, in every train carrying passengers, reserve for the exclusive use of females one compartment at least of the lowest class of carriage forming part of the train.

³[(2) * * * * *]

65. Exhibition of time-tables and tables fares at stations. Every ²[licensee] shall cause to be posted in a conspicuous and accessible place at every station on its railway, in English and in a vernacular language in common use in the territory where the station is situate, a copy of the time tables for the time being in force on the railway, and lists of the fares chargeable for traveling from the station where the lists are posted to every place for which card-tickets are ordinarily issued to passengers at that station.

66. Supply of tickets on payment of fares.— (1) Every person desirous of traveling on a railway shall, upon payment of his fare, be supplied, ⁴[by a ²[railway employee] or an agent authorized by the ²[licensee] in this behalf] with a ticket, specifying the class of carriage for which, and the place from and the place to which, the fare has been paid, and the amount of the fare.

(2) The matters required by sub-section (1) to be specified on a ticket shall be set forth—

- (a) if the class of carriage to be specified thereon is the lowest class, then in a vernacular language in common use in the territory traversed by the railway, and
- (b) if the class of carriage to be so specified is any other than the lowest class, then in English.

67. Provision for case in which tickets have been issued for trains not having room available for additional passengers.— (1) Fares shall be deemed to be accepted, and tickets to be issued, subject to the condition of there being room available in the train for which the tickets are issued.

¹*Cf* the Regulation of Railways Act, 1868 (31 & 32 Viet., c. 119), s.22.

²Subs. by Ord. 92 of 02, s.44 & Sch.II.

³Omitted by Act No.IV of 1995, s.7.

⁴Ins. by the Railway (Amdt.) Act, 1976 (25 of 1976), s. 2.

(2) A person to whom a ticket has been issued and for whom there is not room available in the train for which the ticket was issued shall on returning the ticket within three hours after the departure of the train be entitled to have his fare at once refunded.

(3) A person for whom there is not room available in the class of carriage for which he has purchased a ticket and who is obliged to travel in a carriage of a lower class shall be entitled on delivering up his ticket to a refund of the difference between the fare paid by him and the fare payable for the class of carriage in which he travelled.

¹[68. (1)] **Prohibition against traveling without pass or ticket.**— No person shall, without the permission of a ²[railway employee], enter ³[or remain in] any carriage on a railway for the purpose of traveling therein as a passenger unless he has with him a proper pass or ticket.

⁴(2) A ²[railway employee] when granting the permission referred to in sub-section (1) shall ordinarily, if empowered in this behalf by the ²[licensee], grant to the passenger a certificate that the passenger has been permitted to travel in such carriage upon condition that he subsequently pays the fare payable for the distance to be travelled.]

69. Exhibition and surrender of passes and tickets. Every passenger by railway shall, on the requisition of any railway employee appointed by the ²[licensee] in this behalf, present his pass or ticket to the ²[railway employee] for examination, and at or near the end of the journey for which the pass or ticket was issued, or, in the case of a season pass or ticket, at the expiration of the period for which it is current, deliver up the pass or ticket to the ²[railway employee].

⁵[70. **Prohibition against transfer of certain tickets.** A ticket against which reservation of a seat or berth has been made, or a return ticket or season ticket, shall not be transferable and may be used only by the person for whose journey to and from the places specified thereon it was issued:

Provided that nothing herein shall prevent mutual transfer of seats or berths reserved against a proper ticket by passengers traveling by the same train.]

71. Power to refuse to carry persons suffering from infectious or contagious disorder. (1) A ²[licensee] may refuse to carry, except in accordance with the conditions prescribed ²[by rules] a person suffering from any infectious or contagious disorder.

(2) A person suffering from such a disorder shall not enter or travel upon a railway without the special permission of the station-master or other ²[railway employee] in charge of the place where he enters upon the railway.

(3) A ²[railway employee] giving such permission as is mentioned in sub-section (2) must arrange for the separation of the person suffering from the disorder from other persons being or traveling upon the railway.

¹S. 68 re-numbered as 68 (1) by the Indian Railways (Amdt.) Act, 1941 (6 of 1941), s. 2.

²Subs. by Ord. 92 of 02, s.44 & Sch.II.

³Ins. by the Indian Railways (Amdt.) Act, 1941 (6 of 1941), s. 2.

⁴Sub-section (2) added, by the Indian Railways (Amdt.) Act, 1941 (6 of 1941), s. 2.

⁵Subs. by the Railways (Amdt.) Act, 1976 (25 of 1976), s. 3, for the existing section.

¹[CHAPTER VI-A

LIMITATION OF EMPLOYMENT OF RAILWAY SERVANT]

71A -71H. ²[Omitted]

CHAPTER VII

³[RESPONSIBILITY OF LICENSEES AS CARRIERS]

72. Measure of the general responsibility of a ³[licensee] as a carrier of animals and goods.—

(1) The responsibility of a ³[licensee] for the loss, destruction or deterioration of animals or goods delivered to the ³[licensee] to be carried by railway shall, subject to the other provisions of this Act ³[and the ordinance], be that of a bailee under sections 151,152 and 161 of the Contract Act, 1872 (IX of 1872).

(2) An agreement purporting to limit that responsibility shall, in so far as it purports to effect such limitation, be void, unless it—

- (a) is in writing signed by or on behalf of the persons sending or delivering to the ³[licensee] the animals or goods, and
- (b) is otherwise in a ⁴form approved by the ³[Authority].

(3) Nothing ⁵* * * in the Carriers Act, 1865 regarding the responsibility of common carriers with respect to the carriage of animals or goods, shall affect the responsibility as in this section defined of a railway administration.

⁶73. Further provision with respect to the liability of a ³[licensee] as a carrier of animals.—

⁷[(1) The responsibility of a ³[licensee] under the last foregoing section for the loss, destruction or deterioration of animals delivered to the ³[licensee] to be carried on a railway shall not, in any case, exceed—

- (a) in the case of elephants ⁸[fifty thousand] rupees per head,
- (b) in the case of horses ⁸[ten thousand] rupees per head,
- (c) in the case of mules, camels or horned cattle, ⁸[fifteen thousand] rupees per head, and per head,

¹Chapter VI-A was ins. By the Indian Railways (Amdt.) Act, 1930 (XIV of 1930) for statement of objects and reasons of which *see*, Gazette of India 1929, pt. v, p.147; and for report of the select committee *see. ibid.*, 1930, pt., p.56.

This chapter to be deemed to have been inserted with effect on and from the twenty-sixth day of March, 1930, *see* the Railways (Amdt.) Act, 1950 (41 of 1950), s.2.

This Chapter has been extended to—

- (1) the Baluchistan States Union by G.G.O. 4 of 1953, as amended and
- (2) the States of Bahawalpur and Khairpur by G.G.O. 11 of 1953 and G.G.O.5 of 1953, respectively.

²Sections 71A-71H omitted by Ord. 92 of 02, s.44 & Sch.II.

³Subs. by Ord. 92 of 02, s.44 & Sch.II.

⁴For risk-note forms prescribed under this clause, *see* Gen. R. & O.

⁵Certain words omitted by the Federal Laws (Revision and Declaration) Ordinance, 1981 (27 of 1981), s. 3 and 2nd Sch.

⁶*Cf* the Railway and Canal Traffic Act, 1854 (17 and 18 Viet., C. 31), section 7.

⁷Subs. by Railway (Amdt.) Act, 1957 (26 of 1957), s.3. for the original sub-section (1), as amended by the Indian Railways Act, (1890) Amendment Act, 1896 (9 of 1896), s.4.

⁸Subs. by Act IV of 1995, s.9.

- (d) in the case of donkeys, sheep, goats, dogs or other animals ¹[one thousand] rupees per head, unless the person sending or delivering them to the ²[licensee] caused them to be declared or declared them, at the time of their delivery for carriage by railway, to be respectively of higher value than one thousand five hundred, seven hundred and fifty, two hundred or thirty rupees per head, as the case may be].

(2) Where such higher value has been declared, the ²[licensee] may charge, in respect of the increased risk, a percentage upon the excess of the value so declared over the respective sums aforesaid.

(3) In every proceeding against a ²[licensee] for the recovery of compensation for the loss, destruction or deterioration of any animal, the burden of proving the value of the animal, and, where the animal has been injured, the extent of the injury, shall lie upon the person claiming the compensation.

74. Further provision with respect to the liability of a ²[licensee] as a carrier of luggage.

A ²[licensee] shall not be responsible for the loss, destruction or deterioration of any luggage belonging to or in charge of a passenger unless a ²[railway employee] has booked and given a receipt therefor.

³75. Further provision with respect to the liability of a ²[licensee] as a carrier of articles of special value.—(1) When any articles mentioned in the second schedule are contained in any parcel or package delivered to a ²[licensee] for carriage by railway, and the value of such articles in the parcel or package exceeds ¹[ten thousand rupees], the ²[licensee] shall not be responsible for the loss, destruction or deterioration of the parcel or package unless the persons sending or delivering the parcel or package to the ²[licensee] caused its value and contents to be declared or declared them at the time of the delivery of the parcel or package for carriage by railway, and, if so required by the ²[licensee], paid or engaged to pay a percentage on the value so declared by way of compensation for increased risk.

(2) When any parcel or package of which the value has been declared under sub-section (1) has been lost or destroyed or has deteriorated, the compensation recoverable in respect of such loss, destruction or deterioration shall not exceed the value so declared, and the burden of proving the value so declared to have been the true value shall, notwithstanding anything in the declaration, lie on the person claiming the compensation.

(3) A ²[licensee] may make it a condition of carrying a parcel declared to contain any article mentioned in the second schedule that a ²[railway employee] authorised in this behalf has been satisfied by examination or otherwise that the parcel actually contains the article declared to be therein.

76. Burden of proof in suits in respect of loss of animals or goods. In any suit against a ²[licensee] for compensation for loss, destruction or deterioration of animals or goods delivered to a ²[licensee] for carriage by railway, it shall not be necessary for the plaintiff to prove how the loss, destruction or deterioration was caused.

¹Subs. by Act IV of 1995, ss.9-10.

²Subs. by Ord. 92 of 02, s.44 & Sch.II.

³Cf the Carriers Act, 1830 (11 Geo. 4 & 1 Will, 4,c. 69),s.1.

77. Notification of claims of refunds of overcharges and to compensation for losses. A person shall not be entitled to a refund of an over charge in respect of animals or goods carried by railway or to compensation for the loss, destruction or deterioration of animals or goods delivered to be so carried, unless his claim to the refund or compensation has been preferred in writing by him or on his behalf to the ¹[licensee] within six months from the date of the delivery of the animals or goods for carriage by railway.

78. Exoneration from responsibility in case of goods falsely described. Notwithstanding anything in the foregoing provisions of this Chapter, a ¹[licensee] shall not be responsible for the loss, destruction or deterioration of any goods with respect to the description of which an account materially false has been delivered under sub-section (1) of section 58 if the loss, destruction or deterioration is in any way brought about by the false account, nor in any case for an amount exceeding the value of the goods if such value were calculated in accordance with the description contained in the false account.

79. Settlement of compensation for injuries to officers, soldiers, airmen and followers on duty. Where an officer, soldier, ²[sailor], ³[airman] or follower, while being or traveling as such on duty upon a railway belonging to, and worked by, the Government ⁴***, loses his life or receives any personal injury in such circumstances that, if he were not an officer, soldier, ²[sailor], ³[airman] or follower being or traveling as such on duty upon the railway, compensation would be payable under Act⁵ No. XIII of 1855 or to him, as the case may be, the form and amount of the compensation to be made in respect of the loss of his life or his injury shall, where there is any provision in this behalf in the military, ²[naval] ³[or air-force] ⁶[law] to which he was immediately before his death, or is, subject, be determined in accordance with ⁷[that] ⁶[law], and not otherwise.

80. Suits for compensation for injury to through booked traffic. Notwithstanding anything in any agreement purporting to limit the liability of a ¹[licensee] with respect to traffic while on the railway of another ¹[licensee], a suit for compensation for loss of the life of, or personal injury to, a passenger, or for loss, destruction or deterioration of animals or goods where the passenger was or the animals or goods were booked through over the railways of two or more railway administrations, may be brought either against the ¹[licensee] from which the passenger obtained his pass or purchased his ticket, or to which the animals or goods were delivered by the consignor thereof, as the case may be, or against the ¹[licensee] on whose railway the loss, injury, destruction or deterioration occurred.

81. *[Limitation of liability of railway administration in respect of traffic on inland waters by vessel not being part of railway.] Rep. by the Indian Railways Act (1890) Amendment Act, 1896 (IX of 1896), s. 5.*

82. *[Limitation of liability of railway administration in respect of accidents at sea.] Omitted by the Federal Laws (Revision and Declaration) Ordinance. 1981 (27 of 1981), s. 3 and Sch. II.*

¹Subs. by Ord. 92 of 02, s.44 & Sch.II.

²Ins. by the Amending Act, 1934 (35 of 1934), s. 2 and Sch.

³Ins. by the Repealing and Amending Act, 1927 (10 of 1927), s. 2 and Sch. I.

⁴The words "or an Acceding State" which was ins. by A. O., 1949, have been omitted by the Federal Laws (Revision and Declaration) Ordinance, 1981 (27 of 1981), s. 3 and Sch. II.

⁵The- Fatal Accidents Act, 1855.

⁶Subs. by the Federal Laws (Revision and Declaration) Ordinance, 1981, (27 of 1981), s.3 and 2nd Sch., for "regulations".

⁷Subs. by Act IV of 1995, s. 11.

⁸Cf. the Regulation of Railways Act, 1868 (31 & 32 Vict., c. 119), s. 14. and the Regulation of Railways Act, 1871 (34 & 35 Vict, c. 78), s. 12.

¹[82A. Liability of ²[licensee] in respect of accidents to trains carrying passengers.— (1) When in the course of working a railway an accident occurs, being either a collision between trains of which one is a train carrying passengers or the derailment of or other accident to a train or any part of a train carrying passengers, then, whether or not there has been any wrongful act, neglect or default on the part of the ²[licensee] such as would entitle a person who has been injured or has suffered loss to maintain an action and recover damages in respect thereof, the ²[licensee] shall, notwithstanding any other provision of law to the contrary, be liable to pay compensation ³[as provided in sub-section (2)] for loss occasioned by the death of a passenger dying as a result of such accident, and for personal injury and loss, destruction or deterioration of animals or goods owned by the passenger and accompanying the passenger in his compartment or on the train, sustained as a result of such accident[:]³—

³[Provided that where in such accident a person other than a passengers dies or is injured, the ²[licensee] shall, after such inquiry as to the wrongful act, neglect or default of ²[licensee], pay compensation to the heirs of deceased or, as the case may be to the injured to the extent as provided in sub-section (2)].

³[(2) The liability of ²[licensee] under this section shall be one hundred thousand rupees for a passenger dying as a result of railway accident referred to in sub-section (1) and ten thousand rupees for an injured passenger.]

CHAPTER VIII ACCIDENTS

²[83. Report of the railway accidents. When any of the following accidents occur in the course of working a railway, namely:—

- (a) any accident attended with loss of human life, or with grievous hurt as defined in the Pakistan Penal Code (Act XLV of 1860), or with serious injury to property,
- (b) any collision between trains of which one is a passenger train;
- (c) the derailment of any train carrying passengers or of any part of such train;
- (d) any accident of a description usually attended with loss of human life or with such grievous hurt as aforesaid or with serious injury to property; and
- (e) any other accident which the Federal Government on advice of the Authority may notify in this behalf in the official Gazette;

the nearest Judicial Magistrate, in which the accident occurred; and the officer incharge of the police station within the local the licensee working in the railway and, if such accident happens to a train

¹S.82A. ins. by the Indian Railways (Amdt.) Act, 1943 (3 of 1943), s.2.

²Subs. by ord. 92 of 02, s. 44 & Sch. II.

³Subs. added by Act IV of 1995, s. 12.

belonging to any other licensee, the other license also shall, without unnecessary delay, send notice of the accident to the Federal Government and the Authority and the station-master nearest to the place at which the accident occurred or, where there is no station-master, the railway employee incharge of that section of the railway on which the accident occurred shall, without unnecessary delay give notice of the accident to limits of which it occurred, or to such other Magistrate and police officer the Federal Government appoints in this behalf.]

84. Power to make rules regarding notices of and inquiries into accidents. The ¹[Authority] may make rules ²consistent with this Act ¹[the ordinance] and any other enactment for the time being in force for all or any of the following purposes, namely: —

- (a) for prescribing the forms of the notices mentioned in the last foregoing section, and the particulars of the accident which those notices are to contain;
- (b) for prescribing the class of accidents of which notice is to be sent by telegraph immediately after the accident has occurred ;
- (c) for prescribing the duties of railway servants, police officers, ¹[the Authority] and Magistrates on the occurrence of an accident.

85. Submission of return of accidents. Every ¹[licensee] shall send to the ¹[Authority] a return of accidents occurring upon its railway, whether attended with personal injury or not, in such form and manner and at such intervals of time as the ¹[Authority] directs².

³86. Provision for compulsory medical examination of person injured in railway accident. Whenever any person injured by an accident on a railway claims compensation on account of the injury, any Court or person having by law or consent of parties authority to determine the claim may order that the person injured be examined by some duly qualified medical practitioner named in the order and not being a witness on either side, and may make such order with respect to the cost of the examination as it or he thinks fit.

THE PAKISTAN CODE

CHAPTER IX

PENALTIES AND OFFENCES

Forfeitures by Railway Companies

87. Penalty for default in compliance with requisition under section 13. If ¹[the railway administration and a licensee who is the holder of an integrated license] fails to comply with any requisition made under section 13, it shall forfeit to the ¹[Authority] the sum of two hundred rupees for the default and a further sum of fifty rupees for every day after the first during which the default continues.

488. * * * * *

¹Subs. and Ins. by ord. 92 of 02, s. 44 & Sch. II.

²For rules under ss.84 and 85 as to notices of accidents occurring in the course for working a railway, see Gen R. & O.

³Cf the Regulation of Railways Act, 1868(31 & 32 Vict., c. 119), s.26.

⁴Section 88 omitted by ord. 92 of 02, s. 44 & Sch. II.

89. Penalty for not having certain documents kept or exhibited at stations under section 54 or 65. If a ¹[licensee] fails to comply with the provisions of ²* * *section 54, sub-section (2), or section 65, with respect to the books or other documents to be kept open to inspection or conspicuously posted at stations on its railway, it shall forfeit to the ¹[Authority] the sum of fifty rupees for every day during which the default continues.

90 & 91. ¹[Omitted]

92. Penalty for delay in submitting returns under ¹* * * 85. If a ¹[licensee] fails to comply with the provisions of ¹* * * section 85 with respect to the submission of any return, it shall forfeit to the ¹[Authority] the sum of fifty rupees for every day during which the default continues after the fourteenth day from the date prescribed for the submission of the return.

93. Penalty for neglect of provisions of section 53 or 63 with respect to carrying capacity of rolling-stock. If a ¹[licensee] contravenes the provisions of section 53 or section 63, with respect to the maximum load to be carried in any ¹[rolling stock] or the maximum number of passengers to be carried in any compartment, or the exhibition of such load on the ¹[rolling stock] or of such number in or on the compartment, or knowingly suffers any person owning a ¹[rolling stock] passing over its railway to contravene the provisions of the former of those sections, it shall forfeit to the ¹[Authority] the sum of twenty rupees for every day during which either section is contravened.

4* * * * *

⁵94. Penalty for failure to comply with requisition under section 62 for maintenance of means of communication between passengers and ¹[railway employees]. If a ¹[licensee] fails to comply with any requisition of the ¹[Authority] under section 62, for the provision and maintenance in proper order, in any train worked by it, which carries passengers, of such efficient means of communication as the ¹[Authority] has approved, it shall forfeit to the ¹[Authority] the sum of twenty rupees for each train run in disregard of the requisition.

95. Penalty for failure to reserve compartments for females under section 64. If a ¹[licensee] fails to comply with the requirements of section 64 with respect to the reservation of compartments for females ³[* * *], it shall forfeit to the ¹[Authority] the sum of twenty rupees for every train in respect of which the default occurs.

96. Penalty for omitting to give the notices of accidents required by section 83 and under section 84. If a ¹[licensee] omits to give such notice of an accident as is required by section 83 and the rules for the time being in force under section 84, it shall forfeit to the ¹[Authority] the sum of one hundred rupees for every day during which the omission continues.

97. Recovery of penalties.— (1) When a ¹[licensee] has through any act or omission forfeited any sum ⁶* * * under the foregoing provisions of this Chapter, the sum shall be recoverable by suit in the District Court having jurisdiction in the place where the act or omission or any part thereof occurred.

¹Subs. and Omitted by ord. 92 of 02, s. 44 & Sch. II.

²The words and figures "section 47, sub-section (6)" rep. by A. O. 1937.

³Omitted by Act IV of 1995, s.14.

⁴Second paragraph which was first ins. by A. O., 1937, and then amended by A. O., 1949, has been omitted by A. O., 1961, Art. 2 and Sch. (with effect from the 23rd March, 1956).

⁵Cf. the Regulation of Railways Act, 1868 (31 & 32 Vict., c. 119), s. 22.

⁶The words "to the Govt." rep. by A. O., 1937.

¹[(2) Nothing in this Chapter shall be construed as requiring any authority to recover any penalty in any case in which it thinks it proper to refrain from so doing.]

98. Alternative or supplementary character of remedies afforded by the foregoing provisions of this Chapter. Nothing ²[in the foregoing provisions of this Chapter] shall be construed to preclude the ³[Authority] from resorting to any other mode of proceeding instead of, or in addition to, such a suit as is mentioned in the last foregoing section, for the purpose of compelling a ³[licensee] to discharge any obligation imposed upon it by this Act.

Offences by Railway Servants

499. Breach of duty imposed by section 60. If a ³[railway employee] whose duty it is to comply with the provisions of section 60 negligently or willfully omits to comply therewith, he shall be punished with fine which may extend to twenty rupees.

5[100. Drunkenness. If a ³[railway employee] is in a state of intoxication while on duty he shall, without prejudice to any penalty to which he may be liable under any other law for the time being in force, be punished with fine which may extend to fifty rupees, or, where the improper performance of the duty is likely to endanger the safety of any person traveling or being upon a railway, with imprisonment for a term which may extend to one year, or with fine, or with both.]

6101. Endangering the safety of persons. If a ³[railway employee], when on duty, endangers the safety of any person—

- (a) by disobeying any general rule made, sanctioned, published and notified under this Act, ³[or ordinance], or
- (b) by disobeying any rule or order which is not inconsistent with any such general rule, and which such servant was bound by the terms of his employment to obey, and of which he had notice, or
- (c) by any rash or negligent act or omission, ⁷[or]
- ⁷[(d) by tampering with railway's equipment, machinery or installation or misuse or non-use thereof,]
- ³[(e) by disobeying any provision of this Act or the Ordinance.]

he shall be punished with imprisonment for a term which may ⁷[five years imprisonment of either description] extend to or with fine which may extend to ⁷[ten thousand] rupees, or with both.

¹Subs. by A. O., 1937, for the original sub-sections (2) and (3).

²Subs. by the Repealing and Amending Act, 1939 (34 of 1939), s. 2 and Sch. I, for "in those provisions".

³Subs. Ins. and added by ord. 92 of 02, s. 44 & sch. II.

⁴Cf. the Railway Regulation Act, 1842 (5 & 6 Vict., c. 55), s. 17.

⁵Subs. by the Federal Laws (Revision and Declaration) Ordinance, 1981 (27 of 1981), s. 3 and 2nd Sch., for the existing section.

⁶Cf. the Railway Regulation Act, 1840 (3 & 4 Vict., c. 97) ss. 13 and 14, and the Railway Regulation Act, 1842 (5 & 6 Vict., c. 55) s. 17.

⁷Added and subs. by Act IV of 1995, s.15.

102. Compelling passengers to enter carriages already full. If a ¹[railway employee] compels or attempts to compel, or causes, any passenger to enter a compartment which already contains the maximum number of passengers exhibited therein or thereon under section 63, he shall be punished with fine which may extend to twenty rupees.

103. Omission to give notice of accident. If a station-master or a ¹[railway employee] in charge of a section of a railway omits to give such notice of an accident as is required by section 83 and the rules for the time being in force under section 84 ¹[or the ordinance] he shall be punished with fine which may extend to ²[five thousand rupees].

³104. Obstructing level-crossings. If a ¹[railway employee] unnecessarily—

- (a) allows any rolling-stock to stand across a place where the railway crosses a public road on the level, or
- (b) keeps a level-crossing closed against the public,

he shall be punished with ²[imprisonment for a term which may extend to six months, or with fine which may extend to one thousand rupees, or with both].

⁴105. False returns. If any return which is required by this Act ¹[or the ordinance] is false in any particular to the knowledge of any person who signs it, that person shall be punished with fine which may extend to ²[two thousand rupees], or with imprisonment which may extend to one year, or with both.

Other Offences

⁵106. Giving false account of goods. If a person requested under section 58 to give an account with respect to any goods gives an account which is materially false, he and, if he is not the owner of the goods, the owner also shall be punished with ²[or with fine which may extend to five thousand rupees] and the fine shall be in addition to any rate or other charge to which the goods may be liable.

⁵107. Unlawfully bringing dangerous or offensive goods upon a railway. If in contravention of section 59 a person takes with him any dangerous or offensive goods upon a railway, or tenders or delivers any such goods for carriage upon a railway, he shall be punished with ²[imprisonment for a term which may extend to two years, or with fine which may extend to five thousand rupees, or with both] and shall also be responsible for any loss, injury or damage which may be caused by reason of such goods having been so brought upon the railway.

⁶108. Needlessly interfering with means of communication in a train. If a passenger, without reasonable and sufficient cause, makes use of or interferes with any means provided by a ¹[licensee] for communication between passengers and the [railway servants in charge of a train, he shall be punished with fine which may extend to ²[two thousand rupees].

¹Subs. and Ins. by ord. 92 of 02, s. 44 & sch. II.

²Subs. by Act IV of 1995, ss. 16-21.

³Cf. the Railway Clauses Act, 1863 (26 & 27 Vict., c. 92), s. 5.

⁴Cf. the Regulation of Railways Act, 1871 (34 & 35 Vict., c. 78), s. 10.

⁵Cf. the Railway Clauses Act, 1845 (2 & 9 Vict., c. 20), ss., 99 and 152, respectively.

⁶Cf. the Regulation of Railways Act, 1868 (31 & 32 Vict., c. 119), s. 22.

109. Entering compartment reserved or already full or resisting entry into a compartment not full.—(1) If a passenger, having entered a compartment which is reserved by a ¹[licensee] for the use of another passenger, or which already contains the maximum number of passengers exhibited therein or thereon under section 63, refuses to leave it when required to do so by any railway employee, he shall be punished with fine which may extend to ²[one thousand rupees].

(2) If a passenger resists the lawful entry of another passenger into a compartment not reserved by the ¹[licensee] for the use of the passenger resisting or not already containing the maximum number of passengers exhibited therein or thereon under section 63, he shall be punished with fine which may extend to ²[one thousand rupees].

²[(3) In addition to the fine imposed on the passenger referred to in sub-sections (1) and (2), he shall be removed from the compartment.]

110. Smoking.— (1) If a person, without the consent of his fellow passengers, if any, in the same compartment, smokes in any compartment except a compartment specially provided for the purpose, he shall be punished with fine which may extend to twenty rupees.

(2) If any person persists in so smoking after being warned by any ¹[railway employee] to desist, he may, in addition to incurring the liability mentioned in sub-section (1), be removed by any ¹[railway employee] from the carriage in which he is traveling.

³111. Defacing public notices. If a person, without authority in this behalf, pulls down or willfully injures any board or document set up or posted by order of a ¹[licensee] on a railway or any rolling-stock, or obliterates or alters any of the letters or figures upon any such board or document, he shall be punished with fine which may extend to ²[one thousand] rupees.

⁴[112.—(1)] Fraudulently traveling or attempting to travel without proper pass or ticket. If a person, with intent to defraud a ¹[licensee],—

- (a) enters ⁵[or remains in any carriage on a railway in contravention of section 68],
or
- (b) uses or attempts to use a single pass or single ticket which has already been used on a previous journey or, in the case of a return ticket, a half thereof which has already been so used,

he shall be punished ⁶[with imprisonment for a term which may extend to ²[six months] or] with fine which may extend to ²[two thousand rupees] in addition to the amount of the single fare for any distance which he may have traveled. ⁷[The burden of proof that there was no intention to defraud shall lie on the accused.]

⁶[(2) Notwithstanding anything contained in section 65 of the Pakistan Penal Code (XLV of 1860), the Court convicting an offender under this section may direct that the offender in default of

¹Subs. by ord. 92 of 02, s. 44 & sch. II.

²Subs. and added by Act IV of 1995, ss. 22-24.

³Cf the Companies Clauses Act, 1845 (8 & 9 Vict., c. 16), s. 146.

⁴S. 112 re-numbered as 112 (1) by the Indian Railways (Amdt.) Act, 1941 (6 of 1941), s.3.

⁵Subs. *ibid.*, for “in contravention of section 68 any carriage on a railway”.

⁶Ins. by the Indian Railways (Amdt.) Act, 1941 (6 of 1941), s. 3.

⁷Added by the Indian Railways Act (Amdt.) Ordinance, 1948 (2 of 1941), s.2.

payment of any fine inflicted by the Court, shall suffer imprisonment for a term which may extend to three months.]

¹113.Travelling without pass or ticket or with insufficient pass or ticket or beyond authorized distance.—(1) If a passenger travels in a train without having a proper pass or a proper ticket with him, or, being in or having alighted from a train, fails or refuses to present for examination or to deliver up pass or ticket immediately on requisition being made therefor under section 69, he shall be liable to pay, on the demand of any ²[railway employee] appointed by the ²[licensee] in this behalf, the excess charge hereinafter in this section mentioned, in addition to the ordinary single fare ³[from the station from which the train originally started ⁴* * * ¹²[.] ⁵* * *].

(2) If a passenger travels or attempts to travel in or on a carriage, or by a train, of a higher class than that for which he has obtained a pass or purchased a ticket, or travels in or on a carriage beyond the place authorised by his pass or ticket, he shall be liable to pay, on the demand of any ²[railway employee] appointed by the ²[licensee] in this behalf, the excess charge hereinafter in this section mentioned, in addition to any difference between any fare paid by him and the fare payable in respect of such journey as he has made.

⁶[(3) The excess charge referred to in sub-section (1) and sub-section (2) shall be a sum equivalent to the amount otherwise payable under those sub-sections. ⁴* * *

Provided that where the passenger has immediately after incurring the charge and before being detected by a ²[railway employee] notified to the ²[railway employee] on duty with the train the fact of the charge having been incurred, the excess charge shall be one-sixth of the excess charge otherwise payable calculated to the nearest ⁴[rupee].

Provided further that if the passenger has with him a certificate granted under sub- section (2) of section 68, no excess charge shall be payable.]

(4) If a passenger liable to pay the excess charge and fare mentioned in sub-section (1), or the excess charge and any difference of fare mentioned in sub-section (2), fails or refuses to pay the same on demand being made therefor under one or other of those sub-sections, as the case may be, ⁷[any ²[railway employee] appointed by the ²[licensee] in this behalf may apply to ⁸[any ⁹* * ¹⁰[or] Magistrate of the first or second class] for the recovery of the sum payable as if it were a fine, and the Magistrate if satisfied that the sum is payable shall order it to be so recovered, and may order that the person liable for the payment shall in default of payment suffer imprisonment of either description for a term which may extend to one month. Any sum recovered under this sub-section shall, as it is recovered, be paid to the ²[licensee]].

¹¹[113A. Power to remove persons from railway carriage. Any person who, without having obtained the permission of a ²[railway employee], travels or attempts to travel in a carriage without

¹Cf. the French and German Railway Law.

²Subs. by ord. 92 of 02, s. 44 & sch. II.

³Subs. by the Railways (Amdt.) Act, 1957 (26 of 1957), s. 4, for certain words.

⁴Omitted and Subs. by Act. IV of 1995, s.25.

⁵Certain words omitted, by Ord. 2 of 1948,s.2.

⁶Subs. by Act 6 of 1941, s. 4, for the original sub-section (3).

⁷Subs. by the Indian Railways (Amdt.) Act, 1941 (6 of 1941), s. 4, for “the sum payable by him shall, on application made to any Magistrate by any railway employee appointed by the railway administration in this behalf, be recovered by the Magistrate from the passenger as if it were a fine imposed on the passenger by the Magistrate and shall, as it is recovered, be paid to the railway administration”.

⁸Subs. by the Repealing and Amending Act, 1945 (6 of 1945), for “any Magistrate of the first or second class”.

⁹The words “Presidency Magistrate” omitted by the Repealing and Amending Ordinance, 1961 (1 of 1961), s. 3 and 2nd Sch.

¹⁰Seems to be redundant.

¹¹S.113A added by Act, 6 of 1941, s. 5.

¹²Subs. by Ord. 2 of 1948,s.2,for Comma.

having a proper pass or ticket with him, or in a carriage of a higher class than that for which he has obtained a pass or purchased a ticket, or in a carriage beyond the place authorised by his pass or ticket, or who being in a carriage fails or refuses to present for examination or to deliver up his pass or ticket immediately on requisition being made therefor under section 69, may be removed from the carriage by any ¹[railway employee] authorised by the ¹[licensee] in this behalf or by any other person whom such ¹[railway employee] may call to his aid, unless he then and there pays the fare and the excess charge which he is liable to pay under section 113 :

Provided that nothing in this section shall be deemed to preclude a person removed from a carriage of a higher class from continuing his journey in a carriage of a class for which he holds a pass or ticket:

Provided further that women and children, if unaccompanied by male passengers, shall not be so removed except either at the station at which they first enter the train or at a junction or terminal station or station at the headquarters of a civil district and only between the hours of 6 a.m. and 6 p.m.]

²[114. Penalty for transfer of tickets. If a person, not being a ¹[railway employee] or an agent authorised by the ¹[licensee] in this behalf,—

- (a) sells, or attempts to sell any ticket or any half of a return ticket, or
 - (b) parts or attempts to part with the possession of a ticket against which reservation of a seat or berth has been made, or any half of a return ticket or season ticket,
- in order to enable any other person to travel therewith, he shall be punished with imprisonment for a term which may extend to ³[one year, or with fine which may extend to ten thousand rupees, or with both]].

115. Disposal of fines under the two last foregoing sections. That portion of any fine imposed under section 112 or the last foregoing section which represents the single fare therein mentioned shall as the fine is recovered, be paid to the ¹[licensee] before any portion of the fine is credited to the Government.

116. Altering or defacing pass or ticket. If a passenger willfully alters or defaces his pass or ticket so as to render the date, number or material portion thereof illegible, he shall be punished with ³[imprisonment for a term which may extend to six months, or with fine which may extend to two thousand rupees, or with both].

117. Being or suffering person to travel on railway with infectious or contagious disorder.— (1) If a person suffering from an infectious or contagious disorder enters or travels upon a railway in contravention of section 71, sub-section (2), he, and any person having charge of him upon the railway when he so entered or traveled thereon, shall be punished with fine which may extend to ³[five hundred rupees], in addition to the forfeiture of any fare which either of them may have paid, and of any pass or ticket which either of them may have obtained or purchased, and may be removed from the railway by any ¹[railway employee].

¹Subs. by ord. 92 of 02, s. 44 & sch. II.

²Subs. by the Railways (Amdt.) Act, 1976 (25 of 1976). s. 4, for the existing section.

³Subs. by Act IV of 1995, ss. 26-28.

(2) If any such ¹[railway employee] as is referred to in section 71, sub-section (2), knowing that a person is suffering from any infectious or contagious disorder, willfully permits the person to travel upon a railway without arranging for his separation from other passengers, he shall be punished with fine which may extend to ²[one thousand rupees].

118. Entering carriage in motion, or otherwise improperly traveling on a railway. — (1)

If a passenger enter or leaves or attempts to enter or leave, any carriage while the train is in motion, or elsewhere than at the side of the carriage adjoining the platform or other place appointed by the ¹[licensee] for passengers to enter or leave the carriage, or opens the side-door of any carriage while the train is in motion, he shall be punished with fine which may extend to ²[five hundred rupees].

(2) If a passenger, after being warned by a ¹[railway employee] to desist, persists in traveling on the roof, steps or footboard of any carriage or on an engine, or in any other part of a train not intended for the use of passengers, he shall be punished with fine which may extend to ²[one thousand rupees] and may be removed from the railway by any ¹[railway employee].

119. Entering carriage or other place reserved for females. If a male person, knowing a carriage, compartment, room or other place to be reserved by a ¹[licensee] for the exclusive use of females, enters the place without lawful excuse, or, having entered it, remains therein after having been desired by any ¹[railway employee] to leave it, he shall be punished with ²[imprisonment for a term which may extend to six months, or with fine which may extend to one thousand rupees, or with both] in addition to the forfeiture of any fare which he may have paid and of any pass or ticket which he may have obtained or purchased, and may be removed from the railway by any ¹[railway employee].

120. Drunkenness or nuisance on a railway. If a person in ¹[rolling stock] or upon any part of a railway—

- (a) is in a state of intoxication, or
- (b) commits any nuisance or act of indecency, or uses obscene or abusive language, or
- (c) willfully and without lawful excuse interferes with the comfort of any passenger or extinguishes any lamp,

he shall ³[without prejudice to any other penalty to which he may be liable under any other law for the time being in force,] be punished with ²[imprisonment for a term which may extend to six months, or with fine which may extend to two thousand rupees, or with both] in addition to the forfeiture of any fare which he may have paid and of any pass or ticket which he may have obtained or purchased, and may be removed from the railway by any ¹[railway employee].

⁴121. Obstructing ¹[railway employee] in his duty. If a person willfully obstructs or impedes any ¹[railway employee] in the discharge of his duty, he shall be punished with ²[imprisonment for a term which may extend to three months, or with fine which may extend to two thousand rupees, or with both].

¹Subs. by ord. 92 of 02, s. 44 & Sch. II.

²Subs. by Act IV of 1995. ss. 28-32.

³Ins. by the Federal Laws (Revision and Declaration) Ordinance, 1981 (27 of 1981), s.3 and 2nd Sch.

⁴Cf. the Railway Regulation Act, 1840 (3 & 4 Vict., c. 97), s. 16.

¹**122. Trespass and refusal to desist from trespass.**— (1) If a person unlawfully enters upon a railway, he shall be punished with ²[imprisonment for a term which may extend to six months, or with fine which may extend to two thousand rupees, or with both].

(2) If a person so entering refuses to leave the railway on being requested to do so by any ³[railway employee], or by any other person on behalf of the ³[licensee], he shall be punished with ²[imprisonment of either description for a term which may extend to six months, or with fine which may extend to two thousand rupees, or with both], and may be removed from the railway by such servant or other person.

²[(3) Whoever trespasses upon and makes or attempts to make or abets or helps or aids to make an unauthorized temporary or permanent construction over the railway or on its property or commits or attempts to commit any act which may be to the detriment or against the interest of the railway, shall be punished with imprisonment of either description for a term which may extend to three years, or with fine which may extend to twenty thousand rupees, or with both].

123. Disobediences of omnibus drivers to directions of ³[railway employee]. If a driver or conductor of a tramcar, omnibus, carriage or other vehicle while upon the premises of a railway disobeys the reasonable directions of any ³[railway employee] or police-officer, he shall be punished with ²[imprisonment for a term which may extend to three months, or with fine which may extend to one thousand rupees, or with both].

⁴**124. Opening or not properly shutting gates.** In either of the following cases, namely:—

- (a) if a person knowing or having reason to believe that an engine or train is approaching along a railway, opens any gate set up on either side of the railway across a road, or passes or attempts to pass, or drives or takes, or attempts to drive or take, any animal, vehicle or other thing across the railway,
- (b) if, in the absence of a gate-keeper, a person omits to shut and fasten such a gate as aforesaid as soon as he and any animal, vehicle or other thing under his charge have passed through the gate,

the person shall be punished ²[imprisonment for a term which may extend to six months, or with fine which may extend to five thousand rupees, or with both].

125. Cattle trespass.—(1) The owner or person in charge of any cattle straying on a railway provided with fences suitable for the exclusion of cattle shall be punished with fine which may extend to ²[fifty rupees] for each head of cattle, in addition to any amount which may have been recovered or may be recoverable under the Cattle-trespass Act, 1871 (I of 1871).

(2) If any cattle are willfully driven, or knowingly permitted to be, on any railway otherwise than for the purpose of lawfully crossing the railway or for any other lawful purpose, the person in charge of the cattle or, at the option of the ³[licensee], the owner of the cattle shall be punished with fine which may extend to ²[fifty rupees] for each head of cattle, in addition to any amount which may have been recovered or may be recoverable under the Cattle - trespass Act, 1871 (I of 1871).

¹*Cf.* the Railway Regulation Act, 1840 (3 & 4 Vict., c. 97), s. 16.

²Subs. and added by Act IV of 1995, ss. 33-36.

³Subs. by ord. 92 of 02, s. 44 & Sch. II.

⁴*Cf.* the Railways Clauses Act, 1845 (8 & 9 Vict., c. 20), s. 75.

(3) Any fine imposed under this section may, if the Court so directs, be recovered in manner provided by section 25 of the Cattle-trespass Act, 1871 (I of 1871).

(4) The expression “public road” in sections 11 and 26 of the Cattle-trespass Act, 1871 (I of 1871), shall be deemed to include a railway, and any ¹[railway employee] any exercise the powers conferred on officers of police by the former of those sections.

(5) The word “cattle” has the same meaning in this section as in the Cattle-trespass Act, 1871 (I of 1871).

²**126. Maliciously wrecking or attempting to wrecktrain.** If a person unlawfully—

- (a) puts or throws upon or across any railway any wood, stone or other matter or thing, or
- (b) takes up, removes, loosens or displaces any rail, sleeper or other matter or thing belonging to any railway, or
- (c) turns, moves, unlocks or diverts any points or other machinery belonging to any railway, or
- (d) makes or shows, or hides or removes, any signal or light upon or near to any railway, or
- ³[(e) does or attempts to do or causes to be done or abets or conspires the doing of an act which causes or is likely to cause, any explosion by an explosive substance or by any other means upon or near railway or any property belonging to railways,];

with intent, or with knowledge that he is likely, to endanger the safety to any person travelling or being upon the railway ³[or any property belonging to the railway or of such property, he shall, whether and injury to any person or property has actually been caused or not, be punished with ⁴[* *] imprisonment for life and shall also be liable to forfeiture of property and fine which may extend to ⁴[one million rupees, keeping in view the facts of the case]].

³[**Explanation.**— “explosive substance” shall have the same meaning as in the Explosive Substance Act, 1908 (VI of 1908).]

³**[127. Maliciously hurting or attempting to hurt persons travelling by railway or damaging property belonging to railway.**—If a person unlawfully throws or causes to fall or strike at, against, into or upon any property belonging to any railway, including rolling-stock forming part or a train, any explosive substance, wood; stone or other matter or thing with intent, or with knowledge that he is likely, to endanger the safety of any person being in or upon such property, he shall be punished with ⁴[* *] imprisonment for life, and shall also be liable to forfeiture of property and fine which may extend to ⁴[one million rupees, keeping in view the facts of the case]].

¹Subs. by ord. 92 of 02, s. 44 & Sch. II.

²Cf. the Malicious Damage Act, 1861 (24 & 25 Vict., c. 97), s. 35, and the Offences against the Person Act, 1861 (24 & 25 Vict., c. 100) s. 32.

³Subs. & added by Act IV of 1995, ss. 37-38.

⁴Omitted and subs. by the Act of the Railways (Amdt) Act, 2022 (Act No. XXVI of 2022), ss.2 &3.

¹**128. Endangering safety of persons travelling by railway by wilful act or omission.** If a person, by any unlawful act or by any willful omission or neglect, endangers or causes to be endangered the safety of any person travelling or being upon any railway, or obstructs or causes to be obstructed or attempts to obstruct any rolling stock upon any railway, he shall be punished with imprisonment for a term which may extend to two years.

129. Endangering safety of persons travelling by railway by rash or negligent act or omission. If a person rashly or negligently does any act, or omits to do what he is legally bound to do, and the act or omission is likely to endanger the safety of any person travelling or being upon a railway, he shall be punished with imprisonment for a term which may extend to ²[two years,] or with fine, or with both.

130. Special provision with respect to the commission by children of acts endangering safety of persons travelling by railway.—(1) If a minor under the age of twelve years is with respect to any railway guilty of any of the acts or omissions mentioned or referred to in any of the four last foregoing sections, he shall be deemed, notwithstanding anything in section 82 or section 83 of the Pakistan Penal Code, (XLV of 1860) to have committed an offence, and the Court convicting him may ²* * * require the father or guardian of the minor to execute, within such time as the Court may fix, a bond binding himself, in such penalty as the Court directs, to prevent the minor from being again guilty of any of those acts or omissions.

(2) The amount of the bond, if forfeited, shall be recoverable by the Court as if it were a ³fine imposed by itself.

(3) If a father or guardian fails to execute a bond under sub-section (1) within the time fixed by the Court, he shall be punished with fine which may extend to fifty rupees.

Procedure

⁴**[130A. Power to detain and search in cases of suspected theft.** Notwithstanding anything contained in any law for the time being in force, any ⁵[railway employee], not being below the rank of Head Watchman, and authorized in this behalf by the ⁵[licensee], may detain and search any person who is employed in, or is found in or in the vicinity of any railway workshops, store, depot or other place for the deposit or handling of any property entrusted or belonging to the ⁵[licensee], and is suspected of removing such property without authority.]

131. Arrest for offences against certain sections.—(1) If a person commits any offence mentioned in section 100, 101, ²[103, 105, 108, 112, 114,] 119, 120, 121, ²[122, 124,] 126, 127, 128 or 129 or in section 130, sub-section (1), he may be arrested without warrant or other written authority by any ⁵[railway employee] or police-officer, or by any other person whom such servant or officer may call to his aid.

(2) A person so arrested shall, with the least possible delay, be taken before a Magistrate having authority to try him or ²[send] him for trial.

¹Cf. the offences against the Person Act, 1861 (24 & 25 Vict., c. 100), s.33-34, and the Malicious Damage Act, 1861 (24 & 25 Vict., c. 97). s. 36.

²Subs. omitted & Ins. by Act IV of 1995, ss. 39-41.

³See s. 386 to 389 of the Code of Criminal Procedure, 1898 (5 of 1898).

⁴Ins. by the Railways (Amdt.) Act, 1957, s. 5.

⁵Subs. by ord. 92 of 02, s. 44 & Sch. II.

¹[131A. **Summary trial of certain offences.**—Notwithstanding anything contained in the Code of Criminal Procedure, 1898 (Act V of 1898), offences under sections 121, 123, 124 and 125 may be tried summarily.]

²**132. Arrest of persons likely to abscond or unknown.**— (1) If a person commits any offence under this Act other than an offence mentioned in the last foregoing section, or fails or refuses to pay any excess charge or other sum demanded under section 113, and there is reason to believe that he will abscond or his name and address are unknown, and he refuses on demand to give his name and address, or there is reason to believe that the name or address given by him is incorrect, any ³[railway employee] or police-officer, or any other person whom such ³[railway employee] or police-officer may call to his aid, may, without warrant or other written authority, arrest him.

(2) The person arrested shall be released on his giving bail or, if his true name and address are ascertained, on his executing a bond without sureties for his appearance before a Magistrate when required.

(3) If the person cannot give bail and his true name and address are not ascertained, he shall with the least possible delay be taken before the nearest Magistrate having jurisdiction.

(4) The provisions of Chapters XXXIX and XLII of the ⁴[Code of Criminal Procedure, 1898,] (Act V of 1898) shall, so far as may be, apply to bail given and bonds executed under this section.

133. Magistrates having jurisdiction under Act. No Magistrate other ⁵* * * than a Magistrate ⁶[of the first class] shall try any offence under this Act.

⁶[133A. **Certain ³[railway employee] to have powers of Magistrate.** Notwithstanding anything contained in the Code of Criminal Procedure, 1898 or in section 133, any ³[railway employee], not inferior in rank to a ³[railway employee] in ¹[Basic pay scale 17], who is authorised by the Federal Government in this behalf may exercise the powers of a Magistrate of the first class under the said Code, in respect of offences punishable under section 112, section 114, or section 116:

Provided that such ³[railway employee] shall have authority to award a sentence of fine only.]

134. Place of trial.— (1) Any person committing any offence against this Act ³[or the Ordinance] or any rule thereunder shall be triable for such offence in any place in which he may be or which the ³[Authority] may ⁷notify in this behalf, as well as in any other place in which he might be tried under any law for the time being in force.

(2) Every notification under sub-section (1) shall be published in the ⁸[official Gazette], and a copy thereof shall be exhibited for the information of the public in some conspicuous place at each of such railway stations as the ³[Authority] may direct.

¹Ins. & subs. by Act IV of 1995, ss. 42-43.

²Cf. the Companies Clauses Act, 1845 (8 & 9 Vict., c. 16) s. 156.

³Subs. and Ins. by ord. 92 of 02, s. 44 & Sch. II.

⁴Subs. by the Federal Laws (Revision and Declaration), Ordinance, 1981 (27 of 1981), s. 3 and 2nd Sch., for “Code of Criminal Procedure, 1882”.

⁵The words “than a Presidency Magistrate or” omitted by A. O., 1949, Sch.

⁶Subs. and Ins. by the Railways (Amdt.) Act, 1976 (25 of 1976), s. 5 & 6, for certain words and section 133A.

⁷For instances of notifications issued under this power, see different local R. and O.

⁸Subs. by A. O., 1937, for “local official Gazette”.

CHAPTER X

SUPPLEMENTAL PROVISIONS

¹135. Taxation of railways by local authorities. Notwithstanding anything to the contrary in any enactment or in any agreement or award based on any enactment, the following rules shall regulate the levy of taxes in respect of railways and from railway administrations in aid of the funds of local authorities, namely: —

(1) A railway administration shall not be liable to pay any tax in aid of the funds of any ²local authority unless the ³[Federal Government] has, by notification in the official Gazette, declared the railway administration to be liable to pay the tax⁴.

(2) While a notification of the ³[Federal Government] under clause (1) of this section is in force, the railway administration shall be liable to pay to the local authority either the tax mentioned in the notification or, in lieu thereof, such sum, if any, as an officer appointed in this behalf by the ³[Federal Government] may, having regard to all the circumstances of the case, from time to time determine to be fair and reasonable.

(3) The ³[Federal Government] may at any time revoke or vary a notification under clause (1) of this section

(4) Nothing in this section is to be construed as debarring any railway administration from entering into a contract with any local authority for the supply of water or light, or for the scavenging of railway premises, or for any other service which the local authority may be rendering or be prepared to render within any part of the local area under its control.

(5) “Local authority” in this section means a local authority as defined in the ⁵[General Clauses Act, 1897] (X of 1897) and includes any authority legally entitled to or entrusted with the control or management of any fund for the maintenance of ⁶[Chowkidar or Baildar] or for the conservancy of a river.

⁷136. Restriction on execution against railway property.—(1) None of the rolling- stock, machinery, plant, tools fittings, materials or effects used or provided by a ⁸[licensee] for the purpose of the traffic on its railway, or of its stations or workshops, shall be liable to be taken in execution of any decree or order of any Court ⁹[or of any local authority or person having by law power to attach or distrain property or otherwise to cause property to be taken in execution] without the previous sanction of the ⁸[Authority].

¹See also the Railways (Local Authorities' Taxation) Act, 1941 (25 of 1941).

²For definition of “local authority”, see sub-section (5), *infra*, and the General Clauses Act, 1897 (10 of 1897), s. 3 (28).

³Subs. by F.A.O., 1975, Art.2 and Sch., for “Provisional Government” which had been amended by A.O., 1937, A.O., 1949 and A.O., 1964, Art.2 and Sch. For “Central Government” as amended by A.O., 1937, and A.O., 1961.

⁴(1) For notification under this section declaring every railway administration to be liable to pay every tax which it is lawfully required to pay by or on behalf of any local authority in aid of the funds of such authority, see Gazette of India, 1907, Pt. I, p.1075.

(2) For notification imposing water-rates on the East Indian Railway in respect of certain Municipalities, see Gazette of India, 1893 and 1894, Pt. I, pp. 358 and 438, respectively.

⁵Subs. by the Federal Laws (Revision and Declaration) Ordinance, 1981, (27 of 1981), s. 3 and 2nd Sch., for “General Clauses Act, 1887”.

⁶Subs. by Act IV of 1995, s.44.

⁷*Cf.* the Railway Companies Act, 1867 (30 and 31 Vict., c. 127), s. 4.

⁸Subs. by ord. 92 of 02, s. 44 & Sch. II.

⁹Ins. by Indian Railways Act (1890) Amdt. Act, 1896 (9 of 1896), s. 7.

(2) Nothing in sub-section (1) is to be construed as affecting the authority of any Court to attach the earnings of a railway in execution of a decree or order.

137. ¹[Railway employees] to be public servants for the purposes of Chapter IX of the Pakistan Penal Code.—

²* * * * *

(3) A ¹[railway employee] shall not—

- (a) purchase or bid for, either in person or by agent, in his own name or in that of another, or jointly or in shares with others, any property put up to auction under section 55 or section 56, or,
- (b) in contravention of any direction of the ¹[licensee] in this behalf, engage in trade.

²* * * * *

³138. Procedure for summary delivery to ¹[licensee] of property detained by ¹[railway employee].—If a ¹[railway employee] is discharged or suspended from his office, or dies, absconds or absents himself, and he or his wife or widow, or any of his family or representatives, refuses or neglects, after notice in writing for that purpose, to deliver up to the ¹[licensee], or to a person appointed by the ¹[licensee] in this behalf, any station, dwelling-house, office or other building with its appurtenances, or any books, papers or other matters, belonging to the ¹[licensee] and in the possession or custody of such ¹[railway employee] at the occurrence of any such event as aforesaid, ⁴[any ⁵* * * Magistrate of the first class] may, on application made by or on behalf of the ¹[licensee], order any police-officer, with proper assistance, to enter upon the building and remove any person found therein and take possession thereof, or to take possession of the books, papers or other matters, and to deliver the same to the ¹[licensee] or a person appointed by the ¹[licensee] in that behalf.

139. [Mode of signifying communications from the Governor General in Council.] Rep. by A.O., 1937.

140. Service of notices on railway administrations.—Any notice or other document required or authorised by this Act to be served on a ¹[licensee] may be served, ⁶* * * on the Manager ⁷* * * —

- (a) by delivering the notice or other document to the Manager ⁸* * *; or
- (b) by leaving it at his office; or
- (c) by forwarding it by post in a prepaid letter addressed to the Manager ⁸* * * at his office and registered under ⁹[the post office Act, 1898.] (VI of 1898).

¹Subs. by ord. 92 of 02, s. 44 & Sch. II.

²Sub-sections (1), (2) and (4) omitted by the Railways (Amdt.) Act, 1956 (23 of 1956), s. 2.

³Cf. the Railways Clauses Act, 1845 (8 and 9 Vict, c. 20), s.106.

⁴Subs. by the Repealing and Amending Act, 1945 (6 of 1945), s. 3 and Sch. II, for "any Magistrate of the first class".

⁵The words "Presidency Magistrate or" omitted by A. O., 1949.

⁶The words "in the case of a railway administered by the Government or a Native State" rep. by the Federal Laws (Revision and Declaration) Act, 1951 (26 of 1951), s. 3 and 2nd Sch.

⁷The words and commas "and, in the case of a railway administered by a railway company, on the Agent in India of the railway company" rep. *ibid*.

⁸The words "or Agent" rep., *ibid*.

⁹Subs. by the Federal Laws (Revision and Declaration) Ordinance 1981 (27 of 1981), s. 3 and 2nd Sch. for "Part-III of the Indian Post Office Act, 1866".

¹**141. Service of notices by railway administrations.**—Any notice or other document required or authorised by this Act to be served on any Person by a ²[licensee] may be served—

- (a) by delivering it to the person; or
- (b) by leaving it at the usual or last known place of abode of the person; or
- (c) by forwarding it by post in a prepaid letter addressed to the person at his usual or last known place of abode and registered under ³[the Post Office Act, 1898 (VI of 1898).]

142. Presumption where notice is served by post. Where a notice or other document is served by post, it shall be deemed to have been served at the time when the letter containing it would be delivered in the ordinary course of post, and in proving such service it shall be sufficient to prove that the letter containing the notice or other document was properly addressed and registered.

143. Provisions with respect of rules.— (1) A rule under section 22, section 34 or section 84, or the cancellation, rescission or variation of a rule under any of those sections or under section 47, sub-section (4), shall not take effect until it has been published in the ⁴[official Gazette].

(2) Where any rule made under this Act, or the cancellation rescission or variation of any such rule, is required by this Act to be published in the ⁴[official Gazette], it shall, besides being so published, be further notified to persons affected thereby in such manner as the ⁵[authority making, cancelling, rescinding or varying the rule], by general or special order, directs.

6* * * * *

⁷**144.** [*Interpretation as respects Acceding States.*] *Omitted by the Federal Laws (Revision and Declaration) Ordinance, 1981 (27 of 1981), s. 3 and Sch. II.*

145. Representation of Managers and Agents of Railways in Courts.—(1) The Manager of a railway ⁸* * * may, by instrument in writing, authorise any ²[railway employee] or other person to act for or represent him in any proceeding before any Civil, Criminal or other Court.

(2) A person authorised by a Manager ⁹* * * to conduct prosecutions on behalf of a railway administration shall, notwithstanding anything in section 495 of the ¹⁰[Code of Criminal Procedure, 1898 (Act V of 1898)] be entitled to conduct such prosecutions without the permission of the Magistrate.

¹*Cf.* the Companies Clauses Act, 1845 (8 and 9 Viet., c.16), s.136, and the Railways Clauses Act, 1845 (8 and 9 Viet., c. 20), s. 34.

²Subs. by ord. 92 of 02, s. 44 & Sch. II.

³Subs. by the Federal Laws (Revision and Declaration) Ordinance 1981 (27 of 1981), s. 3 and 2nd Sch. for “Part-III of the Indian Post Office Act, 1866”.

⁴Subs. by A. O.1937. for “Gazette of India”.

⁵Subs. by A. O., 1937, for “G.G. in C.”.

⁶Sub-section (3) which read “The G. G. in C. may cancel or vary any rule made by him under this Act,” was rep., *ibid.*

⁷Section 144 ins. by A. O., 1949, Sch. The original section 144 reg: Delegation of Powers of Governor-General in Council was repealed by A. O., 1937.

⁸The words and commas “administered by the Government or a Native State and the Agent in India of a railway administered by a railway company,” rep. by the Federal Laws (Revision and Declaration) Act, 1951 (26 of 1951), s. 3 and 2nd Sch.

⁹The words “or Agent” rep., *ibid.*

¹⁰Subs. by the Federal Laws (Revision and Declaration) Ordinance, 1981 (27 of 1981), s. 3 and 2nd Sch., for “Code of Criminal Procedure, 1882”.

¹[146. **Power to extend Act to certain tramways.**—²[(1) This Act or any portion thereof may, by notification in the official Gazette, be extended to any tramway by the Provincial Government.]

(2) This section does not apply to any tramway not worked by steam or other mechanical power.]

³[147. **Power to exempt railway from the operation of the provisions of the Act.**— The Provincial Government, in relation to sections 8A and 11, and the Federal Government or the Authority, as the case may be, in relation to the remaining provisions of the Act, may, by notification in the official Gazette, exempt any railway from the operation thereof.]

148. Matters supplemental to the definitions of “railway” and “³[railway employee]”. — (1) For the purposes of section 3, clauses (5), (6) and (7), and sections 4 of 19 (both inclusive), 47 to 52 (both inclusive), 59, 79, 83 to 92 (both inclusive), 96, 97, 98, 100, 101, 103, 104, 107, 111, 122, 124 to 132 (both inclusive), 134 to 138 (both inclusive), 140, 141 ⁴* 145, and 147 the word “railway”, whether it occurs alone or as a prefix to another word, has reference to a railway or portion of a railway under construction and to a railway or portion of a railway not used for the public carriage of passengers, animals or goods as well as to a railway falling within the definition of that word in section 3, clause (4).

(2) For the purposes of sections 5, 21, 83, 100, 101, 103, 104, 121, 122, 125 and ⁵* * * 138, the expression “³[railway employee]” includes a person employed upon a railway in connection with the service thereof by a person fulfilling a contract with the ³[licensee].

149. [Amendment of the Indian Penal Code.] *Rep. by the Repealing Act, 1938 (1 of 1938), s. 2 and Schedule.*

150. [Amendment of the Sindh-Pishin Railway Act, 1887.] *Rep. by the Repealing Act, 1938 (1 of 1938), s. 2 and Schedule.*

THE FIRST SCHEDULE.—[ENACTMENTS REPEALED.]

Rep. by the Repealing Act, 1938 (1 of 1938), s. 2 and Schedule.

THE PAKISTAN CODE

THE SECOND SCHEDULE

ARTICLES TO BE DECLARED AND INSURED

(See section 75)

- (a) gold and silver, coined or uncoined, manufactured or unmanufactured;
- (b) plated articles;

¹Subs. by A. O., 1937, for the original section.

²Sub-section (1) as amended by A. O., 1949, and A. O., 1961, has been subs. by A. O., 1964, Art. 2 and Sch.

³Subs. by Ord. 92 of 02, s.44 & Sch.II.

⁴Omitted by the Federal Laws (Revision and Declaration) Ordinance, 1981 (27 of 1981). s.3 and 2nd Sch.

⁵Certain words & figures omitted by the Railway (Amdt.) Act, 1956 (23 of 1956), s.3.

- (c) cloths and tissue and lace of which gold or silver forms part, not being the uniform or part of the uniform of an officer, soldier, sailor, police-officer ¹* * * or of any public officer, ²[Pakistan] or foreign, entitled to wear uniform;
- (d) pearls, precious stones, jewellery and trinkets;
- (e) watches, clocks and timepieces of any description;
- (f) Government securities;
- (g) Government stamps;
- (h) bills of exchange, hundis, promissory-notes, bank-notes, and orders or other securities for payment of money;
- (i) maps, writings and title-deeds;
- (j) paintings, engravings, lithographs, photographs, carvings, sculpture and other works of art ;
- ³[(jj) Pens and pencils (imported);]
- (k) art pottery and all articles made of glass, china or marble;
- (l) silks in a manufactured or unmanufactured state, and whether wrought up or not wrought up with other materials;
- (m) shawls ³["and woollen Carpets"] ;
- (n) lace and furs;
- (o) opium;
- (p) ivory, ebony, coral and sandalwood;
- (q) musk, sandalwood-oil and other essential oils used in the preparation of *itr* or other perfume;
- (r) musical and scientific instruments; ⁴[Mercury (Quick Silver)] ;
- ³[(rr) television sets, tape recorders, washing machines, refrigerators, air-conditioners, electric shavers, knitting machines, X-ray machines, E.C.G. machines, telephone-apparatus, calculators and computers;

¹Certain words omitted by the Federal Laws (Revision and Declaration) Ordinance, 1981 (27 of 1981), s. 3 and 2nd Sch.

²Subs. by A. O., 1961, Art. 2 and Sch., for "British" (with effect from the 23rd March, 1956).

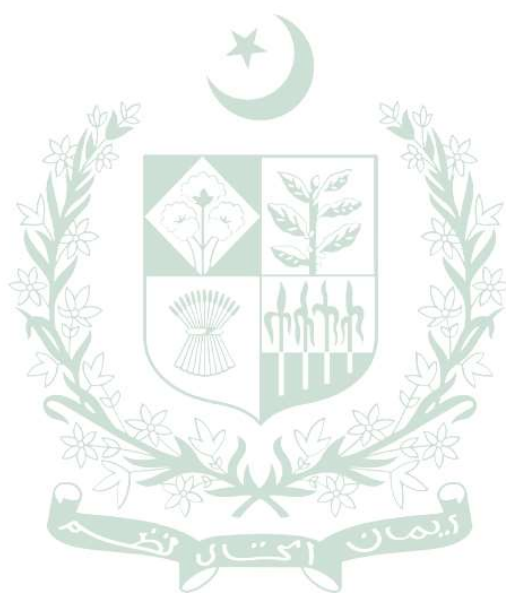
³Ins. by S.R.O. 743(1)/77 dt. the 8th August, 1977, see Gaz., of Pak., 1977 (Ibd.) Ext., Pt. II, p. 1417.

⁴Added by Notification No. 2928 T.C., dated the 2nd August, 1944.

(rrr) motor vehicles and motor tractors exceeding rupees ten thousand in value;]

¹[(rrrr) electric cooking range, electric microwave oven, electric geaser, video cassette recorder, video cassette player, deep freezer, personal computer, amplifier, camera, movie camera, computer disk.]

(s) any article of special value which the ²[Federal Government] may, by notification in the ³[official Gazette] add to this schedule⁴.



THE PAKISTAN CODE

¹Ins.by Act. IV of 1995, s.45

²Subs. by F..A.O., 1975., Art. 2 and Sch., for "Provincial Government" which was previously subs. by A.O., 1964, Art. 2 and Sch., for "Central Government" which had been subs. by A.O., 1949, Sch., for "Federal Railway Authority".

³Subs. by A. O., 1937, for "Gazette of the India".

⁴For Arts. added to this Schedule by Notification, *see* Gen. R. and O. and for such an instance, *see* Gaz. of P., Pt. I, dated the 7th September, 1951. p. 512.



THE PROFESSIONS TAX LIMITATION ACT, 1941



CONTENTS

1. Short title, extent and commencement
2. Limitation of tax on professions, etc.
3. *Saving*



THE PAKISTAN CODE

THE PROFESSIONS TAX LIMITATION ACT, 1941

¹ACT No. XX OF 1941

[26th November, 1941]

An Act to limit to a maximum of ²[one hundred thousand] rupees per annum the amount payable in respect of any person by way of tax on professions, trades, callings or employments.

²[WHEREAS Article 163 of the Constitution of the Islamic Republic of Pakistan provides that a Provincial Assembly may impose taxes, not exceeding such limits as may be fixed by an Act of Majlis-e-Shoora (Parliament), on persons engaged in professions, trades, callings or employments, and no such Act of the Assembly shall be regarded as improving a tax on income;

AND WHEREAS it is expedient to fix the maximum limit of tax payable by persons engaged in professions, trades, callings or employments;]

It is hereby enacted as follows:—

1. Short title, extent and commencement.—(1) This Act may be called the Professions Tax Limitation Act, 1941.

³[(2) It extends to the whole of Pakistan].

(3) It shall come into force ²[at once.]

⁴[2. Limitation of tax on professions, etc.]—(1) Notwithstanding the provisions of any law for the time being in force, a Provincial Assembly may by an Act impose tax not exceeding one hundred thousand rupees on persons engaged in professions, trades, callings or employments.

(2) Notwithstanding anything contained in any law or in any judgment of any court including a High Court and the Supreme Court, the tax on professions, trades, callings or employments levied and collected under an Act of a Provincial Assembly on or after the 1st day of July, 1977, as is not in excess of the limit fixed in sub-section (1), shall be deemed to have been validly levied and collected and shall not be liable to be refunded and the provisions of this Act shall have, and shall be deemed always to have had, effect accordingly.]

3. [Saving]:—*Omitted by the Federal Laws (Revision and Declaration) Ordinance, 1981 (XXVII of 1981), s. 3 and Sch. II.*

THE SCHEDULE.—[TAXES TO WHICH SECTION 2 DOES NOT APPLY.] *Rep. by A. O., 1949.*

¹For Statement of Objects and Reasons, see Gazette of India, 1941, Pt. V, p. 123, and for Report of Select Committee, see *ibid.*, p. 167.

The Act has been applied to Balochistan, see Notification No. 52-F, dated the 5th April, 1942, Gazette of India, 1942, Pt. I, p. 682.

It has been extended to the Leased Areas of Balochistan by the Leased Areas (Laws) Order, 1950 (G. G. O. 3 of 1950).

²Subs. by Act 4 of 1999, s. 2.

³Subs. by the Central Laws (Statute Reform) Ordinance, 1960 (21 of 1960), s. 3 and 2nd Sch. (with effect from the 14th October, 1955), for the original sub-section (2), as amended by A. O., 1949.

⁴Subs. by Act III of 06, s. 3 and shall be deemed to have been so, subs. on 1st July, 1977.



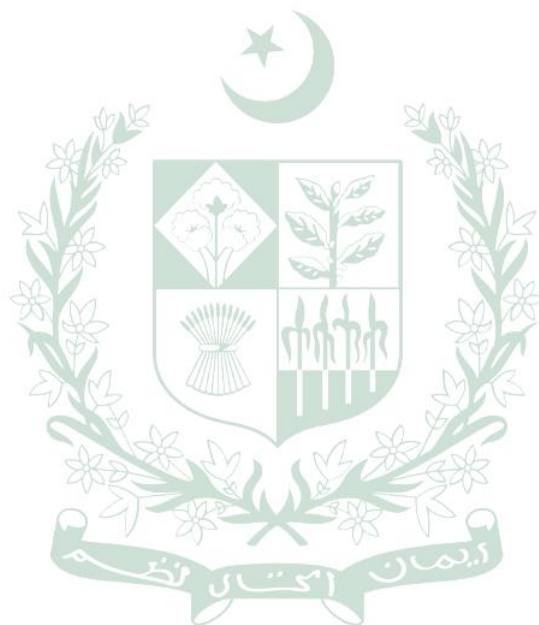
THE PAYMENT OF WAGES ACT, 1936



CONTENTS

1. Short title, extent, commencement and application.
2. Definitions.
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4. Fixation of wage-periods.
5. Time of payment of wages.
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10. Deductions for damage or loss.
11. Deductions for services rendered.
12. Deductions for recovery of advances.
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14. Inspectors.
15. Claims arising out of deductions from wages or delay in payment of wages and penalty for malicious or vexatious claims.
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17. Appeal.
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THE PAKISTAN CODE

THE PAYMENT OF WAGES ACT, 1936

¹ACT NO. IV OF 1936

[23rd April, 1936]

An Act to regulate the payment of wages to certain classes of persons employed in industry.

WHEREAS it is expedient to regulate the payment of wages to certain classes of persons employed in industry; It is hereby enacted as follows:—

1. Short title, extent, commencement and application.—(1) This Act may be called the Payment of Wages Act, 1936.

²[(2) It extends to the whole of Pakistan.]

(3) It shall come into force on such date³ as the ⁴[Federal Government] may, by notification in the ⁵[official Gazette], appoint.

(4) It applies to the payment of wages to persons employed in any factory ⁶[industrial establishment or commercial establishment] and to persons employed (otherwise than in a factory) upon any railway by a railway administration or, either directly or through a sub-contractor, by a person fulfilling a contract with a railway administration.

6* * * * *

THE PAKISTAN CODE

¹For Statement of Objects and Reasons, see Gazette of India, 1935, Pt.V, p.20; and for Report of Select Committee, see *ibid.*, pp.77-79.

This Act has been extended to-

- (i) the Leased Areas of Baluchistan, see the Leased Areas (Laws) Order, 1950 (G.G.O.3 of 1950); and applied in the Federated Areas of Baluchistan, see Gazette of India, 1937, Pt.I, p.1499,
- (ii) the Khairpur State, see the Khairpur (Federal Laws) (Extension) Order, 1953 (G.G.O.5 of 1953) as amended,
- (iii) the Baluchistan State Union, see the Baluchistan State Union (Federal Laws) (Extension) Order, 1953 (G.G.O.4 of 1953), as amended, and
- (iv) the State of Bahawalpur by the Bahawalpur (Extension of Federal Laws) Order, 1953 (G.G.O.11 of 1953), as amended.

The Act has been and shall be deemed to have been brought into force in Gwadur with effect from 8th September, 1958, by the Gwadur (Application of Central Laws) Ordinance, 1960 (37 of 1960), s.2.

The Act has been applied to the Provincially Administered Tribal Areas or to the parts or those areas to which it does not already apply, see, Regulation No. I of 1972, s.2 and Sch.

²Subs. by the Central Laws (Statute Reform) Ordinance, 1960 (21 of 1960), s.3 and 2nd Sch. (*with effect from the 14th October, 1955*), for the original sub-section (2) as amended by A.O., 1949, and the Federal Laws (Revision and Declaration) Act, 1951 (26 of 1951), s.8.

³The 28th March, 1937, see Gazette of India, 1937, Pt.I, p.626.

⁴Subs. by the Labour Laws (Amdt.) Act, 1975, (11 of 1975), s.2 and Sch., for “Central Government”, which was subs. by A.O., 1937, for “G.G. in C”.

⁵Subs. by A.O., 1937, for “Gazette of India”.

⁶Omitted and Ins. by Ord. 2001 (LIII of 2001), s.2 & Sch. (*with effect from 1st July, 2001*).

2. Definitions. In this Act, unless there is anything repugnant in the subject or context,—

- ¹[(i) “commercial establishment” means a commercial establishment as defined in the West Pakistan Industrial and Commercial (Standing Orders) Ordinance, 1968 (W. P. Ordinance VI of 1968).].
- ¹[(ia)] “factory” means a factory as defined in clause (j) of section 2 of the Factories Act, 1934 ;
- (ii) “industrial establishment” means any—
- (a) tramway or motor omnibus service;
 - (b) dock, wharf or jetty;
 - (c) inland steam-vessel;
 - (d) mine, quarry or oil-field;
 - (e) plantation;
 - (f) workshop or other establishment in which articles are produced, adapted or manufactured, with a view to their use, transport or sale;
 - ²[(g) establishment of a contractor who, directly or indirectly, employs persons ³* * * to do any skilled or unskilled, manual or clerical labour for hire or reward in connection with the execution of a contract to which he is a party, and includes the premises in which, or the site at which, any process connected with such execution is carried on;

Explanation.—“Contractor” includes a sub-contractor, headman or agent ;]

- (iii) “plantation” means any estate which is maintained for the purpose of growing cinchona, rubber, coffee or tea, and on which twenty-five or more persons are employed for that purpose ;
- (iv) “prescribed” means prescribed by rules made under this Act ;
- (v) “railway administration” has the meaning assigned to it in clause (6) of section 3 of the Railways Act, 1890 (IX of 1890) ; and

¹Ins. and renumbered by Ord.53 of 2001, s.2 and Sch. (with effect from 1st July, 2001).

²Ins. by the payment of wages (Amdt.) Act, 1973 (17 of 1973),s.3.

³The words “in any industrial establishment” omitted by the Labour Laws (Amdt.) Act, 1977 (17 of 1977),s.2 and First Sch.

- (vi) “wages” means all remuneration, capable of being expressed in terms of money, which would if the terms of the contract of employment, express or implied, were fulfilled, be payable, whether conditionally upon the regular attendance, good work or conduct or other behavior of the person employed, or otherwise, to a person employed in respect of his employment or of work done in such employment, and includes any bonus or other additional remuneration of the nature aforesaid which would be so payable and any sum payable to such person by reason of the termination of his employment, but does not include—
- (a) the value of any house-accommodation, supply of light, water, medical attendance or other amenity, or of any service excluded by general or special order of the ¹***²[Provincial Government];
 - (b) any contribution paid by the employer to any pension fund or provident fund;
 - (c) any travelling allowance or the value of any travelling concession;
 - (d) any sum paid to the person employed to defray special expenses entailed on him by the nature of his employment; or
 - (e) any gratuity payable on discharge.

3. Responsibility for payment of wages. Every employer ³[, including a contractor,] shall be responsible for the payment to persons employed by him of all wages required to be paid under this Act:

Provided that, in the case of persons employed (otherwise than by a contractor)—

- (a) in factories, if a person has been named as the manager of the factory under clause (e) of sub-section (1) of section 9 of the Factories Act, 1934 (XXV of 1934),
- (b) in industrial establishments, if there is a person responsible to the employer for the supervision and control of the industrial establishment,
- (c) upon railways (otherwise than in factories), if the employer is the railway administration and the railway administration has nominated a person in this behalf for the local area concerned,

the person so named, the person so responsible to the employer, or the person so nominated, as the case may be, shall be responsible for such payment.

¹The words “G. G. in C. or” omitted by A. O., 1937.

²Subs., *ibid.*, for “L. G”

³Ins. by the Labour Laws (Amdt.) Ordinance, 1972 (9 of 1972), s.2 and Sch.

4. Fixation of wage-periods.—(1) Every person responsible for the payment of wages under section 3 shall fix periods (in this Act referred to as wage periods) in respect of which such wages shall be payable.

(2) No wage-period shall exceed one month.

5. Time of payment of wages.—(1) The wages of every person employed upon or in—

- (a) any railway, factory or industrial establishment upon or in which less than one thousand persons are employed, shall be paid before the expiry of the seventh day,
- (b) any other railway, factory or industrial establishment, shall be paid before the expiry of the tenth day, after the last day of the wage-period in respect of which the wages are payable.

(2) Where the employment of any person is terminated by or on behalf of the employer, the wages earned by him shall be paid before the expiry of the second working day from the day on which his employment is terminated.

(3) The ¹[Provincial Government] may, by general or special order, exempt, to such extent and subject to such conditions as may be specified in the order, the person responsible for the payment of wages to persons employed upon any railway (otherwise than in a factory) from the operation of this section in respect of the wages of any such persons or class of such persons.

(4) All payments of wages shall be made on a working-day.

6. Wages to be paid in current coin or currency notes. All wages shall be paid in current coin or currency notes or in both.

7. Deductions which may be made from wages.— (1) Notwithstanding the provisions of sub-section (2) of section 47 of the Railways Act, 1890 (IX of 1890), the wages of an employed person shall be paid to him without deductions of any kind except those authorised by or under this Act.

Explanation.— Every payment made by the employed person to the employer or his agent shall, for the purposes of this Act, be deemed to be a deduction from wages.

(2) Deductions from the wages of an employed person shall be made only in accordance with the provisions of this Act, and may be of the following kinds only, namely :—

¹Subs. by A.O., 1937, for “G. G in C.”.

- (a) fines ;
- (b) deductions for absence from duty ;
- (c) deductions for damage to or loss of goods expressly entrusted to the employed person for custody, or for loss of money for which he is required to account, where such damage or loss is directly attributable to his neglect or default ;
- (d) deductions for house-accommodation supplied by the employer ;
- (e) deductions for such amenities and services supplied by the employer as the ^{1*}
* * ²[Provincial Government] may, by general or special order³, authorise;

Explanation.— The word “services” in this sub-clause does not include the supply of tools and raw materials required for the purposes of employment.

- (f) deductions for recovery of advances or for adjustment of over-payments of wages;
- (g) deductions of income-tax payable by the employed person;
- (h) deductions required to be made by order of a Court or other authority competent to make such order;
- (i) deductions for subscriptions to, and for repayment of advances from, any provident fund to which the Provident Funds Act, 1925 (XIX of 1925), applies or any recognised provident fund as defined in section ⁴[clause (37) of section 2 of the Income Tax Ordinance, 1979 (XXXI of 1979)], or any provident fund approved in this behalf by the ²[Provincial Government], during the continuance of such approval; ^{5*}
- (j) deductions for payments to co-operative societies approved by the ²[Provincial Government] or to a scheme of insurance maintained by the ⁶[Pakistan Post Office] ⁷[and
- (k) deductions, made with the written authorisation of the employed person, in furtherance of any War Savings Scheme, approved by the Provincial Government, for the purchase of securities of the ⁸[Government of Pakistan], or the Government of the United Kingdom.]

¹The words “G.G in C. or” omitted *ibid.*

²Subs. *ibid.*, for “L.G”.

³For such Order, see Gaz. of P., 1952, Pt. I, Section 1, p.158.

⁴Subs by the Federal Laws (Revision and Declaration) Ordinance, 1981 (27 of 1981), s. 3 and Sch, II, for “58 A of the Income Tax Act, 1922”.

⁵The word “and” omitted by the Payment of Wages (Amdt.) Ordinance, 1940 (3 of 1940), s. 2

⁶Subs. by the Federal Laws (Revision and Declaration) Act, 1951 (26 of 1951), s. 4 and 3rd Sch., for “Indian Post Office”.

⁷The word “and” and clause (k) ins. by Ordinance 3 of 1940, s. 2.

⁸Subs. by A.O., 1949, for “Government of India”.

8. Fines.— (1) No fine shall be imposed on any employed person save in respect of such acts and omissions on his part as the employer, with the previous approval of the ¹[Provincial Government] or of the prescribed authority, may have specified by notice under sub-section (2).

(2) A notice specifying such acts and omissions shall be exhibited in the prescribed manner on the premises in which the employment is carried on or in the case of persons employed upon a railway (otherwise than in a factory), at the prescribed place or places.

(3) No fine shall be imposed on any employed person until he has been given an opportunity of showing cause against the fine, or otherwise than in accordance with such procedure as may be prescribed for the imposition of fines.

(4) The total amount of fine which may be imposed in any one wage period on any employed person shall not exceed an amount equal to half an anna in the rupee of the wages payable to him in respect of that wage-period.

(5) No fine shall be imposed on any employed person who is under the age of fifteen years.

(6) No fine imposed on any employed person shall be recovered from him by installments or after the expiry of sixty days from the day on which it was imposed.

(7) Every fine shall be deemed to have been imposed on the day of the act or omission in respect of which it was imposed.

(8) All fines and all realisations thereof shall be recorded in a register to be kept by the person responsible for the payment of wages under section 3 in such form as may be prescribed; and all such realisations shall be applied only to such purposes beneficial to the persons employed in the factory or establishment as are approved by the prescribed authority.

Explanation.— When the persons employed upon or in any railway, factory or industrial establishment are part only of a staff employed under the same management, all such realisations may be credited to a common fund maintained for the staff as a whole, provided that the fund shall be applied only to such purposes as are approved by the prescribed authority.

9. Deductions for absence from duty.— (1) Deductions may be made under clause (b) of subsection (2) of section 7 only on account of the absence of an employed person from the place or places, where by the terms of his employment, he is required to work, such absence being for the whole or any part of the period during which he is so required to work.

(2) The amount of such deduction shall in no case bear to the wages payable to the employed person in respect of the wage-period for which the deduction is made a larger proportion than the period for which he was absent bears to the total period, within such wage-period, during which by the terms of his employment, he was required to work:

¹Subs. by A.O., 1937, for “L.G”.

Provided that, subject to any rules made in this behalf by the ¹[Provincial Government], if ten or more employed persons acting in concert absent themselves without due notice (that is to say without giving the notice which is required under the terms of their contracts of employment) and without reasonable cause, such deduction from any such person may include such amount not exceeding his wages for eight days as may by any such terms be due to the employer in lieu of due notice.

²[**Explanation.**—For the purposes of this section, an employed person shall be deemed to be absent from the place where he is required to work if, although present in such place, he refuses, in pursuance of a stay-in-strike or for any other cause which is not reasonable in the circumstances, to carry out his work.]

10. Deductions for damage or loss.—(1) A deduction under clause (c) of sub-section (2) of section 7 shall not exceed the amount of the damage or loss caused to the employer by the neglect or default of the employed person and shall not be made until the employed person has been given an opportunity of showing cause against the deduction, or otherwise than in accordance with such procedure as may be prescribed for the making of such deductions.

(2) All such deductions and all realizations thereof shall be recorded in a register to be kept by the person responsible for the payment of wages under section 3 in such form as may be prescribed.

11. Deductions for services rendered. A deduction under clause (d) or clause (e) of sub-section (2) of section 7 shall not be made from the wages of an employed person unless the house-accommodation, amenity or service has been accepted by him, as a term of employment or otherwise, and such deduction shall not exceed an amount equivalent to the value of the house-accommodation, amenity or service supplied and, in the case of a deduction under the said clause (e), shall be subject to such conditions as ³* * * the ¹[Provincial Government] may impose.

12. Deductions for recovery of advances. Deductions under clause (f) of sub-section (2) of section 7 shall be subject to the following conditions, namely:—

- (a) recovery of an advance of money given before employment began shall be made from the first payment of wages in respect of a complete wage-period, but no recovery shall be made of such advances given for traveling-expenses;
- (b) recovery of advances of wages not already earned shall be subject to any rules made by the ¹[Provincial Government] regulating the extent to which such advances may be given and the installments by which they may be recovered.

¹Subs. by A. O., 1937, for “L.G.”.

²*Explanation* ins. by the Payment of Wages (Amdt.) Act, 1937 (22 of 1937), s. 2.

³The words “the G. G. in C. or” omitted by A. O., 1937.

13. Deductions for payments to co-operative societies and insurance schemes. Deductions under clause (j) ¹[and clause (k)] of sub-section (2) of section 7 shall be subject to such conditions as the ²[Provincial Government] may impose.

14. Inspectors.— (1) An Inspector of Factories appointed under sub-section (1) of section 10 of the Factories Act, 1934 (XXV of 1934), shall be an Inspector for the purposes of this Act in respect of all factories within the local limits assigned to him.

(2) The ³[Provincial Government] may appoint inspectors for the purposes of this Act in respect of all persons employed upon a railway (otherwise than in a factory) to whom this Act applies.

(3) The ⁴[Provincial Government] may, by notification in the ⁵[official Gazette], appoint such other persons as it thinks fit to be Inspectors for the purposes of this Act, and may define the local limits within which and the class of factories and industrial establishments in respect of which they shall exercise their functions.

(4) An Inspector may, at all reasonable hours, enter on any premises, and make such examination of any register or document relating to the calculation or payment of wages and take on the spot or otherwise such evidence of any person, and exercise such other powers of inspection, as he may deem necessary for carrying out the purposes of this Act.

(5) Every Inspector shall be deemed to be a public servant within the meaning of the Pakistan Penal Code (XLV of 1860).

15. Claims arising out of deductions from wages or delay in payment of wages and penalty for malicious or vexatious claims.— (1) The ²[Provincial Government] may, by notifications⁶ in the ⁷[official Gazette], appoint any Commissioner for Workmen's Compensation or other officer with experience as a Judge of a Civil Court or as a stipendiary Magistrate to be the authority to hear and decide for any specified area all claims arising out of deductions from the wages, or delay in payment of the wages, ⁸[or non-payment of dues relating to provident fund or gratuity payable under any law,] of persons employed or paid in that area.

¹Ins. by the Payment of Wages (Amdt.) Ordinance, 1940 (3 of 1940), section 3.

²Subs. by A. O., 1937, for "L. G."

³Subs. by A. O., 1937, for "G. G. in C."

⁴Subs. *ibid.*, for "L. G."

⁵Subs. by A. O., 1937, for "local official Gazette".

⁶For such Notifin:—

(i) see Notifin. No. 1237-P./ 36-III, P. & M.D. (Misc.), dated the 5th April, 1939, published in Sindh Gazette, 1939, Pt. I, p. 630.,

(ii) see Notifin. No. S. R. O. 673 (K)/61, dated the 8th July, 1961, published in the Gaz. of P., 1961, Pt.I, p. 268,

⁷Subs. by A. O., 1937, for "local official Gazette".

⁸Ins. by the Payment of Wages (Amdt.) Act, 1973,(17 of 1973), s. 4.

(2) Where contrary to the provisions of this Act any deduction has been made from the wages of an employed person, or any payment of wages ¹[or of any dues relating to provident fund or gratuity payable under any law,] has been delayed, such person himself, or any legal practitioner or any official of a registered trade union authorised in writing to act on his behalf, or any Inspector under this Act, ¹[or any of the heirs of an employed person who has been died,] or any other person acting with the permission of the authority appointed under sub-section (1), may apply to such authority for a direction under sub-section (3):

Provided that every such application shall be presented within ²[three years] from the date on which the deduction from the wages was made or from the date on which the payment of the wages was due to be made, as the case may be:

Provided further that any application may be admitted after the said period of ²[three years] when the applicant satisfies the authority that he had sufficient cause for not making the application within such period.

(3) When any application under sub-section (2) is entertained, the authority shall hear the applicant and the employer or other person responsible for the payment of wages under section 3, or give them an opportunity of being heard, and, after such further inquiry (if any) as may be necessary, may, without prejudice to any other penalty to which such employer or other person is liable under this Act, direct the refund to the employed person ³[or , if the applicant is one of the heirs of an employed person, the payment to such applicant,] of the amount deducted, or the payment of the delayed wages, together with the payment of such compensation as the authority may think fit, not exceeding ten times the amount deducted in the former case and not exceeding ten rupees in the latter:

Provided that no direction for the payment of compensation shall be made in the case of delayed wages if the authority is satisfied that the delay was due to—

- (a) a *bonafide* error or *bonafide* dispute as to the amount payable to the employed person, or
- (b) the occurrence of an emergency, or the existence of exceptional circumstances, such that the person responsible for the payment of the wages was unable, though exercising reasonable diligence, to make prompt payment, or
- (c) the failure of the employed person to apply for or accept payment.

(4) If the authority hearing any application under this section is satisfied that it was either malicious or vexatious, the authority may direct that a penalty not exceeding fifty rupees be paid to the employer or other person responsible for the payment of wages by the person presenting the application.

(5) any amount directed to be paid under this section may be recovered—

- (a) if the authority is a Magistrate, by the authority as if it were a fine imposed by him as Magistrate, and

¹Ins. by the Labour Laws (Amdt.) Act, 1977 (17 of 1977), s. 2 and First Sch.

²Subs. by the Payment of Wages (Amdt.) Act, 1973 (17 of 1973), s. 4 or “six months”.

³Ins. by the Labour Laws (Amdt.) Act, 1977 (17 of 1977) s. 2 and First Sch.

- ¹[(b) if the authority is not a Magistrate, by the authority as an arrear of land-revenue, or, in the prescribed manner, by the authority by distress and sale of the movable property belonging to the person by whom the amount is to be paid, or by attachment and sale of the immovable property belonging to such person.] to whom the authority makes application in this behalf, as if it were a fine imposed by such Magistrate.

16. Single application in respect of claims from unpaid group.— (1) Employed persons are said to belong to the same unpaid group if they are borne on the same establishment and if their wages for the same wage-period or periods have remained unpaid after the day fixed by section 5.

(2) A single application may be presented under section 15 on behalf or in respect of any number of employed persons belonging to the same unpaid group, and in such case the maximum compensation that may be awarded under sub-section (3) of section 15 shall be ten rupees per head.

(3) The authority may deal with any number of separate pending applications, presented under section 15 in respect of persons belonging to the same unpaid group, as a single application presented under sub-section (2) of this section, and the provisions of that sub-section shall apply accordingly.

17. Appeal.— (1) An appeal against a direction made under ²[sub-section (3) or sub-section (4)] of section 15 may be preferred, within thirty days of the date on which the direction was made, ³* * * before the ⁴[Labour Court constituted under the Industrial Relations Ordinance, 1969 (XXIII of 1969), within whose jurisdiction the cause of action to which the appeal relates arose]—

- (a) by the employer or other person responsible for the payment of wages under section 3, if the total sum directed to be paid by way of wages and compensation exceeds three hundred rupees [:]⁵

⁶[Provided that no appeal under this clause shall lie unless the memorandum of appeal is accompanied by a certificate of the authority to the effect that the appellant has deposited with the authority the amount payable under the direction appealed against, or].

- ⁷[(b) by an employed person or, if he has died, by any of his heirs, if the total amount of wages claimed to have been withheld from the employed person or from the unpaid group to which he belonged exceeds fifty rupees, or]

- (c) by any person directed to pay a penalty under ⁸[sub-section (4)] of section 15.

¹Subs. by the Labour Laws (Amdt.) Act, 1976 (II of 1976), s. 2 and Sch., for clause (b).

²Subs. by the Repealing and Amending Act, 1937 (20 of 1937), s. 2 and 1st Sch., for “sub-section (3)”.

³The words “in a Presidency-town [or in Rangoon] before the Court of Small Causes and elsewhere” omitted by A. O., 1949. The words within crotchets were omitted by A. O., 1937.

⁴Subs. by the Labour Laws (Amdt.) Act, 1975 (11 of 1975), s. 2 and Sch., for “District Court”.

⁵Subs. by the Labour Laws (Amdt.) Act, 1976 (11 of 1976), s. 2 and Sch., for “or”.

⁶Added *ibid*.

⁷Subs. by the Labour Laws (Amdt.) Act, 1977 (17 of 1977), s. 2 and First Sch., for clause (b).

⁸Subs. by the Repealing and Amending Act, 1937 (20 of 1937), s. 2 and 1st Sch., for “sub-section (5)”.

¹[(1A) All appeals pending before any District Court under this section immediately before the commencement of the Labour Laws (Amendment) Act, 1975, shall, on such commencement stand transferred to, and be disposed of by, the Labour Court within whose jurisdiction the cause of action to which the appeal relates arose].

(2) Save as provided in sub-section (1), any direction made under sub-section (3) or ²[sub-section (4)] of section 15 shall be final.

18. Powers of authorities appointed under section 15. Every authority appointed under sub-section (1) of section 15 shall have all the powers of a Civil Court under the Code of Civil Procedure, 1908 (V of 1908), for the purpose of taking evidence and of enforcing the attendance of witnesses and compelling the production of documents, and every such authority shall be deemed to be a Civil Court for all the purposes of section 195 and of Chapter XXXV of the Code of Criminal Procedure, 1898 (V of 1898).

19. Power to recover from employer in certain cases. When the authority referred to in section 15 or the Court referred to in section 17 is unable to recover from any person (other than an employer) responsible under section 3 for the payment of wages any amount directed by such authority under section 15 or section 17 to be paid by such person, the authority shall recover the amount from the employer of the employed person concerned.

20. Penalty for offences under the Act.—(1) Whoever being responsible for the payment of wages to an employed person contravenes any of the provisions of any of the following sections, namely, section 5 and sections 7 to 13, both inclusive, shall be punishable with fine which may extend to five hundred rupees.

(2) Whoever contravenes the provisions of section 4, section 6 or section 25 shall be punishable with fine which may extend to two hundred rupees.

21. Procedure in trial of offences.—(1) No Court shall take cognizance of a complaint against any person for an offence under sub-section (1) of section 20, unless an application in respect of the facts constituting the offence has been presented under section 15 and has been granted wholly or in part and the authority empowered under the latter section or the appellate Court granting such application has sanctioned the making of the complaint.

(2) Before sanctioning the making of a complaint against any person for an offence under sub-section (1) of section 20, the authority empowered under section 15 or the appellate Court, as the case may be, shall give such person an opportunity of showing cause against the granting of such sanction, and the sanction shall not be granted if such person satisfies the authority or Court that his default was due to—

- (a) a *bona fide* error or *bona fide* dispute as to the amount payable to the employed person, or
- (b) the occurrence of an emergency, or the existence of exceptional circumstances, such that the person responsible for the payment of the wages was unable, though exercising reasonable diligence, to make prompt payment, or

¹Ins. by the Labour Laws (Amdt.) Act, 1975, 11 of 1975, s. 2 and Sch.

²Subs. by the Repealing and Amending Act, 1937 (20 of 1937), s. 2 and 1st Sch., for “sub-section (5)”

- (c) the failure of the employed person to apply for or accept payment.

(3) No Court shall take cognizance of a contravention of section 4 or of section 6 or of a contravention of any rule made under section 26 except on a complaint made by or with the sanction of an Inspector under this Act.

(4) In imposing any fine for an offence under sub-section (1) of section 20 the Court shall take into consideration the amount of any compensation already awarded against the accused in any proceedings taken under section 15.

¹[* * * * *]

22. Bar of suits. No Court shall entertain any suit for the recovery of wages or of any deduction from wages in so far as the sum so claimed—

- (a) forms the subject of an application under section 15 which has been presented by the plaintiff and which is pending before the authority appointed under that section or of an appeal under section 17 ; or
- (b) has formed the subject of a direction under section 15 in favour of the plaintiff ; or
- (c) has been adjudged, in any proceeding under section 15, not to be owed to the plaintiff ; or
- (d) could have been recovered by an application under section 15.

23. Contracting out. Any contract or agreement, whether made before or after the commencement of this Act, whereby an employed person relinquishes any right conferred by this Act shall be null and void in so far as it purports to deprive him of such right.

²**24.** [Application of Act to Railways, etc.] Omitted by A. O., 1964, Art. 2 and Sch.

25. Display by notice of abstracts of the Act. The person responsible for the payment of wages to persons employed in a factory shall cause to be displayed in such factory a notice containing such abstracts of this Act and of the rules made thereunder in English and in the language of the majority of the persons employed in the factory, as may be prescribed.

26. Rule-making power.—(1) The ³[Provincial Government] may make rules⁴ to regulate the procedure to be followed by the authorities and Courts referred to in sections 15 and 17.

(2) The ⁵[Provincial Government] may, ⁶* * *, by notification in the ⁷[official Gazette], make rules⁸ for the purpose of carrying into effect the provisions of this Act.

¹Section 21A omitted by the Payment of Wages (Amdt.) Act, 1973 (17 of 1973), s. 5, which was amended by Ord., 9 of 1972, s. 2 and First Sch.

²This section was amended by A.O., 1937 and A.O., 1961.

³Subs. by A. O., 1937., for “G.G. in C.”.

⁴For the Payment of Wages (Procedure) Rules, 1937, made by the Governor General in Council under this provisions, see Gazette of India, 1937, Pt., I, pp. 303-312.

⁵Subs. by A. O., 1937 for “L.G.”.

⁶The words “Subject to the control of the G.G. in C.”, omitted *ibid*.

⁷Subs. *ibid*., for “local official Gazette”.

⁸For the payment of wages (Railways) Rules, 1937, made by the G.G in C. under this provision read with s.24, see Gazette of India, 1937, Pt.I, pp.503-512.

For the payment of wages (Karachi Port) Rules, 1958, see Gaz. of P., 1958, Pt.I, pp.216-223.

(3) In particular and without prejudice to the generality of the foregoing power, rules made under sub-section (2) may—

- (a) require the maintenance of such records, registers, returns and notices as are necessary for the enforcement of the Act and prescribe the form thereof;
- (b) require the display in a conspicuous place on premises where employment is carried on of notices specifying rates of wages payable to persons employed on such premises;
- (c) provide for the regular inspection of the weights, measures and weighing machines used by employers in checking or ascertaining the wages of persons employed by them;
- (d) prescribe the manner of giving notice of the days on which wages will be paid;
- (e) prescribe the authority competent to approve under sub-section (1) of section 8 acts and omissions in respect of which fines may be imposed;
- (f) prescribe the procedure for the imposition of fines under section 8 and for the making of the deductions referred to in section 10;
- (g) prescribe the conditions subject to which deductions may be made under the proviso to sub-section (2) of section 9;
- (h) prescribe the authority competent to approve the purposes on which the proceeds of fines shall be expended;
- (i) prescribe the extent to which advances may be made and the installments by which they may be recovered with reference to clause (b) of section 12;
- (j) regulate the scales of costs which may be allowed in proceedings under this Act;
- (k) prescribe the amount of court-fees payable in respect of any proceedings under this Act; and
- (l) prescribe the abstracts to be contained in the notices required by section 25.

(4) In making any rule under this section the ¹[Provincial Government] may provide that a contravention of the rule shall be punishable with fine which may extend to two hundred rupees.

(5) All rules made under this section shall be subject to the condition of previous publication, and the date to be specified under clause (3) of section 23 of the General Clauses Act, 1897, shall not be less than three months from the date on which the draft of the proposed rules was published.

¹ Subs. by A.O., 1937, for “L.G.”.



THE PAKISTAN ESSENTIAL SERVICES (MAINTENANCE) ACT, 1952



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2. Interpretation
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THE PAKISTAN ESSENTIAL SERVICES (MAINTENANCE) ACT, 1952.

¹ACT NO. LIII OF 1952

[14th December, 1952]

An Act to provide for the maintenance of certain essential services

WHEREAS ²***it is expedient to make provision for the maintenance of certain essential services:

It is hereby enacted as follows :—

1. Short title extent and commencement.— (1) This Act may be called the Pakistan Essential Services (Maintenance) Act, 1952.

3* * * * *

(3) It shall come into force at once.

2. Interpretation. In this Act, unless there is anything repugnant in the subject or context, “employment” includes employment of any nature ⁴[whether paid or unpaid, and whether in or out of Pakistan].

⁵[3. Employment to which this Act applies.]— (1) This Act shall apply to every employment under the ⁶[Federal Government], and, subject to the provisions of subsection (2), to any employment or class of employment which the ⁶[Federal Government] may, by notification in the official Gazette, declare to be an employment or class of employment to which this Act applies.

(2) No declaration under sub-section (1) shall be made in respect of any employment or class of employment unless the ⁶[Federal Government] is of opinion that such employment or class of employment is essential :

(a) for securing the defence or the security of Pakistan or any part thereof, or

¹ For Statement of Objects and Reasons, see Gaz. of P., 1952, Pt. IX, p. 20.

The Act has been applied to Baluchistan with effect on and from the 14th day of December, 1952 see Gaz. of P., 1953, Pt. I, p. 32; and extended to the Leased Areas of Baluchistan, by the Leased Areas (Laws) Order, 1950 (G. G. O. 3 of 1950). It has also been applied in (i) the Federated Areas of Baluchistan, see Gaz. of P., 1953, Pt. II, P. 152.

It has also been extended to-

(i) the Baluchistan States Union, by the Baluchistan States Union (Federal Laws) (Extension) Order, 1953 (G. G. O. 4 of 1953); and (ii) the Khairpur State by the Khairpur (Federal Laws) (Extension) Order, 1953 (G. G. O. 5 of 1953)

This Act has been and shall be deemed to have been brought into force in Gwadur with effect from the 8th September, 1958, by the Gwadur (Application of Central Laws) Ordinance, 1960 (37 of 1960), s. 2.]

This Act has been applied to the Provincially Administered Tribal Areas or to the parts of those areas to which it does not already apply, see Regulation No. I of 1972 Para 2 and Sch.

²The original words, commas and figures “the Declaration of emergency made by the Governor-General under section 102 of the Government of India Act, 1935, continues in force and” omitted by the Essential Services Maintenance (Adaptation) Order, 1956 (P. O. No. 13 of 1956), Art. 2 and Sch.

³ The original sub-section (2) omitted by the Pakistan Essential Services (Maintenance) (Amdt.) Act, 1958, (9 of 1958), s. 2.

⁴ Subs. *ibid.*, s. 3, for “and whether paid or unpaid”.

⁵ Subs. by the Pakistan Essential Services (Maintenance) (Amdt.) Act, 1958 (9 of 1958), s. 4, for original section 3, as amended by the Essential Services Maintenance (Adaptation) Order, 1956 (P.O. No. 13 of 1956).

⁶ Subs. by the F.A.O., 1975 for Central Government 1975 Art., 2 and Table.

- (b) for the maintenance of such supplies or services as relate to any of the matters with respect to which the ²[Central Legislature] has power to make laws and are essential to the life of the community.

(3) A declaration under sub-section (1) shall remain in force for a period of six months which the ¹[Federal Government] may, by notification in the official Gazette, extend for further periods not exceeding six months at any time.]

4. Powers to order persons engaged in certain employments to remain in specified areas.

—(1) In respect of any employment under ³[the ¹[Federal Government] [and in respect of any employment or class of employment ⁴[declared] under section 3 to be an employment or class of employment to which this Act applies, the ⁵[Federal Government], or an officer authorized⁶ in this behalf by that Government may, by general or special order, direct that any person or persons engaged in such employment shall not depart out of such area or areas as may be specified in such order.

(2) An order made under sub-section (1) shall be published in such manner as the ⁷ ⁸[Federal Government] or the officer] making the order considers best calculated to bring it to the notice of the persons affected by the order.

⁹**[5. Offences.—**(1)] Any person engaged in any employment or class of employment to which this Act applies who

- (a) disobeys any lawful order given in the course of such employment, or attempts to persuade any person to disobey any such order to, or
- (b) without reasonable excuse abandons such employment or absents himself from work ¹⁰[or refuses to work or to continue to work, whether or not acting in combination with, or under a common understanding of, any other person engaged in such employment]; or
- (c) departs from any area specified in an order under sub-section (1) of section 4 without the consent of the authority making that order,

and any employer of a person engaged in an employment or class of employment declared under section 3 to be an employment or class of employment to which this Act applies, who without reasonable excuse—

- (i) discontinues the employment of such person, or

¹ Subs. by the F.A.O., 1975 for Central Government 1975 Art., 2 and Table.

² Subs. by A. O., 1964, Art. 2 and Sch., for “Parliament”.

³ Subs. by P. O. No. 13 of 1956, Art. 2 and Sch., for certain original words.

⁴ Ins. *ibid.* .

⁵ Subs. *ibid.*, for “Government making the declaration”.

⁶ For notifiins. authorising certain officers of Posts and Telegraphs Department to exercise certain powers, see Gaz. of P., 1958, P. I, pt. 411, and for notifiins. authorising Accountant General, Pakistan Revenues, to exercise certain powers, see Gaz. of P., Ext., p 625c.

⁷ Subs. by P.O. No. 13 of 1956, Art. 2 & Sch. For Govt or Officer. .

⁸ Subs. by F.A.O. 1975, Art. 2 and Table.

⁹ Section 5 renumbered as subsection (1) of that section by the Pakistan Essential Services (Maintenance) (Amdt.) Act, 1958 (9 of 1958), s. 5.

¹⁰ Certain words, *ins.*, *ibid.*

- (ii) by closing an establishment in which such person is engaged, causes the discontinuance of his employment,

is guilty of an offence under this Act.

Explanation 1.—The fact that a person apprehends that by continuing in his employment he will be exposed to increased physical danger is not a reasonable excuse within the meaning of clause (b).

Explanation 2. —A person abandons his employment within the meaning of clause (b) who, notwithstanding that it is an express or implied term of his contract of employment that he may terminate his employment on giving notice to his employer of his intention to do so, so terminates his employment without the previous consent of his employer.

¹[(2) Whoever instigates or incites any person engaged in any employment or class of employment to which this Act applies to commit an offence under this Act, or knowingly expends or supplies any money or otherwise acts in furtherance of the commission of such an offence, shall be deemed to have committed that offence.]

6. Regulation of wages and conditions of service. —(1) The ²[Federal Government] ³* * *, may make rules⁴ regulating or empowering a specified authority to regulate the wages and other conditions of service of persons or of any class of persons engaged in any employment or class of employment declared under section 3 to be an employment or class of employment to which this Act applies.

⁵[(1A) Notwithstanding any provision in any such rules or directions regulating wages and other conditions of service, including any rules made or directions given before the commencement of the Pakistan Essential Services (Maintenance) (Amendment) Ordinance, 1978, as to the day on which they shall come into force, the Federal Government may direct that they shall be deemed to have taken effect on such day, not preceding the day on which such rules were made or direction were given, as the Federal Government may specify.]

(2) When any such rules have been made or when any directions regulating wages or conditions of service have been given by an authority empowered by such rules to give them, any person failing to comply therewith is guilty of an offence under this Act.

7. Penalties and procedure.— (1) Any person found guilty of an offence under this Act shall be punishable with imprisonment for a term which may extend to one year and shall also be liable to a fine.

¹ New Sub-section (2) ins. by the Pakistan Essential Services (Maintenance) (Amdt.) Act, 1958 (9 of 1958) s. 5.

² Subs. by F.A.O., 1975 Art, 2 and Table.

³ The original words “or Provincial or State Government” omitted by the Essential Services Maintenance (Adaptation Order, 1956 (P.O. No. 13 of 1956), Art. 2 and Sch.

⁴ For the Pakistan Essential Services (Maintenance) Rules, 1962, see Gaz. of P., 1962, Ext., p. 1153a.

⁵ Added by the Pakistan Essential Services (Maintenance) (Amdt.) Ordinance 1978 (36 of 1978.) (s. 2, (w.e.f. 25-1-1978).

(2) Where the person accused of an offence under this Act is a Company or other body corporate, every director, manager, secretary or other officer thereof shall, unless he proves that the offence was committed without his knowledge or that he exercised due diligence to prevent the commission of the offence, be liable to the punishment provided for the offence.

¹[(3) No court shall take cognizance of any offence under this Act except upon complaint in writing made by a servant of any Government in Pakistan authorised in this behalf by the ²[Federal] ³[Government]].

(4) Notwithstanding anything contained in the Code of Criminal Procedure, 1898 (V of 1898), an offence under this Act shall be cognizable.

⁴[(5) Notwithstanding anything contained in the Code of Criminal Procedure, 1898 (V of 1898),—

- (a) no Magistrate other than a Magistrate of the first class the first class shall try an offence under this Act; and
- (b) a Magistrate trying an offence under this Act shall have power to try such offence summarily in accordance with the procedure laid down for summary trial in the said Code.]

⁵[7A. The provisions of this Act shall have effect, notwithstanding to the contrary contained in the ⁶[Industrial Disputes Ordinance, 1969 (XXIII of 1969)], or any other law.]

8. Bar on Legal proceedings. No suit, prosecution or other legal proceeding shall lie against any person for anything which is in good faith done or intended to be done under this Act or the rules made thereunder. .

9. Saving of effect of laws imposing liability to national service. Nothing contained in this Act or in any declaration or order made there-under shall have effect in derogation of any provision of law which is or may be for the time being in force imposing upon a person engaged in an employment or class of employment to which this Act applies any liability to be called up for national service or to undertake employment in the national service.

10. [Repeal of Ordinance XI of 1941 and savings] Omitted by the Federal Laws (Revision and Declaration) Ordinance, 1981 (27 of 1981), s. 3 and 2nd Sch.

¹ Ins. By the Karachi Rent Restriction (Amdt.) Ordinance, 1962 (48 of 1962),s.2.

² Subs. by F.A.O., 1975 Art. 2 and Table.

³ Subs. by P.O. No. 13 of 1956, Art. 2 and Sch., for “or the Provincial State Government concerned”.

⁴ New sub-section (5) added by the Pakistan Essential Services (Maintenance) Ordinance, 1965 (3 of 1965), s. 2.

⁵ New section 7 A ins. by the Pakistan Essential Services (Maintenance) Ordinance, 1965 (3 of 1965), s. 3.

⁶ Subs. by the Federal Laws (Revision and Declaration) Ordinance, 1981, (27 of 1981), s., 3 and 2nd Sch.



THE NEWSPAPER EMPLOYEES (CONDITIONS OF SERVICE) ACT, 1973



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**THE NEWSPAPER EMPLOYEES (CONDITIONS OF SERVICE)
ACT, 1973.**

ACT NO. LVIII OF 1973

[11th August, 1973]

*An Act to repeal and, with certain amendments, re enact the Working Journalists
(Conditions of Service) Ordinance, 1960*

WHEREAS it is expedient to repeal and, with certain amendments, re enact the Working Journalists (Conditions of Service) Ordinance, 1960;

It is hereby enacted as follows:—

1. Short title, extent and commencement.—(1) This Act may be called the Newspaper Employees (Conditions of Service) Act 1973.

(2) It extends to the whole of Pakistan.

(3) It shall come into force at once.

2. Definitions.— In this Act, unless there is anything repugnant in the subject or context,—

- (a) “Board” means the Wage Board constituted under section 9;
- (b) “Commission” means the National Industrial Relations Commission constituted under section 22A of the Ordinance;
- ¹[(ba) “division concerned” means the division to which the business of this Act stands allocated;]
- (c) “newspaper” means any printed periodical work containing public news or comments on public news and includes such other class of printed periodical work as may, from time to time, be notified in this behalf by the Federal Government in the official Gazette;
- (d) “newspaper employee” means any person employed to do any work in, or in relation to, any newspaper establishment and includes —
 - (i) a whole-time journalist, including an editor, a leader writer, news editor, feature writer, reporter, correspondent, copy tester, cartoonist, news-photographer, calligraphist and proof-reader; and
 - (ii) a whole-time non journalist, including a manager, clerk, stenotypist, printing engineer, linotype operator, composer, type-setter, photo studio attendant, printing worker, an accountant and an office peon;

¹Ins. by Act No. XXVI of 2026, s.2.

- (e) “newspaper establishment” means an establishment under the control of any person or body of persons whether incorporated or not, for the production, printing or publication of one or more newspapers or for conducting any news agency or syndicate ;
- (f) “Ordinance” means the Industrial Relations Ordinance, 1969(XXI of 1969);
- (g) “prescribed” means prescribed by rules made under this Act ;
- ¹
[(gg) “Tribunal” means a Tribunal constituted under section 12A;]
- (h) “wages” means wages as defined in the Payment of Wages Act, 1936 (IV of 1936) and includes any gratuity or other payment declared as wages by the Board; and
- (i) all words and expressions used but not defined in this Act and defined in the Ordinance shall have the meanings respectively assigned to them in the Ordinance.

3. Order of appointment, etc.— A newspaper establishment employing a newspaper employee shall, at the time of his appointment, transfer or promotion, furnish to him an order in writing showing the terms and conditions of his service.

4. Termination of employment.— The services of a newspaper employee shall not be terminated by a newspaper establishment without good cause shown, through a notice, in writing, of such termination—

- (a) of one month, if the total period of continuous service of the newspaper employee with the newspaper establishment is not less than three months but less than two years;
- (b) of two months, if the total period of such service is not less than two years but less than three years; and
- (c) of three months, if the total period of such service is not less than three years;

Provided that, if the order of appointment of the newspaper employee provides notice of a longer period, notice shall be given in accordance with the terms of such order:

Provided further that the services of a newspaper employee may be terminated at any time on payment of wages in lieu of the requisite notice.

5. Provident Fund.—(1) Every newspaper establishment shall constitute, for the benefit of its newspaper employees, a Provident Fund in such manner as may be prescribed.

¹ Ins. by the Act No. LVI of 1975, s. 2.

(2) The Provident Fund shall be held and administered by a Board of Trustees consisting of an equal number of representatives of the newspaper establishment constituting the Fund and of the newspaper employees employed in it, chosen and appointed in such manner as may be prescribed.

(3) Every newspaper employee shall, after the completion of the first two years of his service with any newspaper establishment, subscribe to the Provident Fund, every month, a sum not less than 6-1/4 per cent and not more than 10 per cent of his monthly wages, and the employer in relation to that establishment shall contribute to it an equal amount.

(4) During the first three months of his service, the newspaper employee may or may not, at his option, subscribe to the Provident Fund and, if he so subscribe, the employer in relation to the newspaper establishment shall subscribe to it an equal amount.

(5) A newspaper establishment shall be deemed to be a public Institution for the purposes of the Provident Funds Act, 1925 (XIX of 1925).

6. Hours of work.— Subject to the Factories Act, 1934 (XXV of 1934), and any rules that may be made, or deemed to have been made under this Act, no newspaper employee shall be required to work in any newspaper establishment for more than forty-two hours in a week, exclusive of the time for meals.

Explanation.—For the purposes of this section, ‘week’ means a period of seven days beginning at mid-night on Saturday.

7. Leave.— Without prejudice to such holidays as may be prescribed, every newspaper employee shall be entitled to—

- (a) earned leave on full wages, for not less than one eleventh of the period spent on duty;
- (b) leave on medical certificate on one-half of the wages, for not less than one-eighteenth of the period of service subject to a minimum period of ten days in a calendar year ; and
- (c) Fifteen day’s casual leave of absence with wages in a calendar year.

8. Medical care.—(1) A newspaper employee shall be entitled, together with his dependents, to medical care at the cost of the newspaper establishment in, or in relation to, which he is employed.

(2) Medical care shall, subject to rules made under this Act, include—

- (a) treatment by a medical practitioner registered under the ¹[Medical and Dental Council Ordinance, 1962 (XXXII of 1962)], both at the clinic of such practitioner and at the residence of the newspaper employee;
- (b) treatment by specialists in hospitals and by such specialists as may be available outside hospitals ;

¹ Subs. by the Federal Laws (Revision and Declaration) Ordinance, 1981 (XXVII of 1981), s. 3 and Sch., II.

- (c) essential pharmaceutical supplies as prescribed by a medical practitioner under clause (a) or by a specialist under clause (b) ; and
- (d) hospitalization, where necessary.

(3) The manner in which and the scale on which medical care shall be supplied shall be such as may be prescribed.

Explanation.—For the purpose of this section, “dependents” means the spouse, widowed mother and legitimate sons and daughters, including step-sons and step-daughters, of a newspaper employee, residing with and wholly dependent upon him.

9. Wage Board.—(1) The Federal Government may, whenever it so considers necessary, by notification in the official Gazette, constitute a Wage Board for fixing rates of wages in respect of newspaper employees in accordance with the provisions of this Act.

(2) The Board shall consist of a Chairman appointed by the Federal Government, who shall be a person who has been or is, or is qualified to be a Judge of a High Court, and as many members to advise the Chairman as may be appointed by the Federal Government, so, however, that one half of the members shall be persons representing the newspaper employees and the other half the employers in relation to newspaper establishments.

(3) The Board shall give its decision within a period of one hundred and eighty days from the day of its constitution.

10. Fixations of wages.—(1) In fixing rates of wages in respect of newspaper employees, the Board may take into consideration the cost of living, the prevalent rates of wages of comparable employments, the circumstances relating to the newspaper industry in different regions of the country, and any other circumstances which to the Board may seem relevant.

(2) The Board may fix rates of wages for time work and for piece work.

(3) The decision of the Board fixing rates of wages shall be communicated as soon as practicable to the ¹[division concerned].

11. Publication of the decision of the Board.—(1) The decision of the Board shall, within a period of one month from the date of its receipt by the ¹[division concerned], be published in such manner as may be prescribed.

(2) The decision of the Board published under subsection (1) shall come into operation on such date as may be specified in the decision, and where no date is so specified, it shall come into operation on the date of its publication, and shall remain in force until it is modified or varied by a later decision of the Board published in the manner provided in sub- section (1).

¹Subs. by Act No. XXVI of 2026, ss. 3 & 4.

12. Decision of Board to be deemed to be an award of the Commission.—A decision of the Board published under section 11 shall be deemed to be an award of the Full Bench of the Commission and, subject to the provisions of this Act, all the provisions of the Ordinance applicable to such award, including the provisions of sections 51 and 55 thereof, so far as may be and with the necessary modifications, shall apply to the decision of the Board.

Explanation.—For the avoidance of doubt, it is hereby declared that the decision of the Second Wage Board for Working Journalists published in the Extraordinary issue of the Gazette of West Pakistan, dated the 7th January, 1970, shall be deemed to have been published as required by the Ordinance.

¹[12A. Tribunal.]—(1) The Federal Government may, by notification in the official Gazette, constitute a Tribunal consisting of one or more members to implement the decision of the Board under section 11.

(2) The Chairman and members of the Tribunal shall be appointed by the Federal Government on such terms and conditions as it may determine.

(3) Where the Tribunal consists of one member only, that member, and, where the Tribunal consists of more members than one, the member designated by the Federal Government, shall be the Chairman of the Tribunal.

(4) The Chairman of the Tribunal shall be a person who has been, or is, or is qualified to be, a Judge of a High Court.

(5) The qualifications for appointment as a member of the Tribunal shall be determined by the Federal Government.]

13. Powers of the ¹[Tribunal].—(1) Notwithstanding anything contained in section 64 of the Ordinance, the ²[Tribunal] shall have power—

- (a) to try an offence punishable under section 55 of the Ordinance, if the offence relates to failure to implement any decision of the Board;
- (b) of its own motion, or on the application of a party, to withdraw from any Court (except the Supreme Court or a High Court) any application, proceeding or appeal relating to such an offence and dispose of it; and
- (c) refer any such application, proceeding or appeal to any such competent Court for disposal.

(2) Any Court to which any application, proceeding or appeal is referred under clause (c) of subsection (1) shall enquire into it and dispose of the case as if the application or appeal had originally been made to it or, as the case may be, the proceeding had originally commenced before it.

¹ Subs. by Act No. LXXVIII of 1976, ss. 2 & 3.

² Subs. by Act No. LVI of 1975, s. 4,.

(3) For the trial of an offence referred to in sub-section (1), the ¹[Tribunal] shall follow the same procedure and exercise the same powers as ²[the Commission] follows and exercises for the trial of an offence under the Ordinance, and the provisions of the Ordinance other than the provisions of sub-section (9) of section 22A, thereof, shall so far as may be and with the necessary modifications, apply to such trial.

³[⁴(4)] The Tribunal shall have the power to issue a direction which a Labour Court has under sub-section (1) of section 51 of the Ordinance.].

⁵[(5) Subject to any rules of procedure which may be prescribed, the Tribunal may, for the purpose of determining the category of a newspaper establishment or the grade of a newspaper employee or otherwise holding an inquiry for the purpose of implementing the decision of the Board, exercise the same powers and follow the same procedure, so far as may be and with the necessary modifications, as the Commission may exercise or follow for the purpose of adjudicating an industrial dispute under the Ordinance.

(6) The Tribunal may require a newspaper establishment to file a declaration in such form and give such information as the Tribunal may determine or require.].

⁶[**13A. Appeal from sentence of Tribunal.** Any person convicted and sentenced by the Tribunal under section 55 of the Ordinance to imprisonment for any period not less than six months may, with the leave of the Supreme Court, prefer an appeal to that Court.]

⁷[**13B. Benches of the Tribunal, etc.—** (1) The Chairman of the Tribunal shall exercise general superintendence over its affairs.

(2) Where the Tribunal consist of more members than one,—

- (a) the Chairman shall constitute as many benches of the Tribunal consisting of one or more members of the Tribunal as he may deem fit; and
- (b) if any member of the Tribunal who constitutes a bench, or is a member of a bench, is absent from, or otherwise unable to attend, any sitting of a bench, the Chairman of the Tribunal may take over the case himself, or transfer it to another bench, for disposal; and the Chairman, or, as the case may be, the other bench, may continue the proceedings from the stage they had reached.].

¹ Subs. by the Newspaper Employees (Conditions of Service) (Amdt.) Act, 1975 (56 of 1975), s. 4, for “Commission”.

² Subs. *ibid.*, for “it”.

³ New sub-section (3A) added *ibid.*, s. 4.

⁴ Re-numbered as sub-section (4) and shall be deemed to have been so re-numbered on the twenty-first day of July, 1975 by the Newspaper Employees (Conditions of Service) (Amdt.) Act, 1976 (78 of 1976), s. 3.

⁵ New sub-sections (5) and (6) added and shall be deemed always to have been so added on the twenty-first day of July, 1975, *ibid.*

⁶ New S. 13A ins. by Act 56 of 1975, s. 5.

⁷ New S. 13B added by Act 78 of 1976, s. 4.

14. Powers and procedure of the Board. Subject to any rules of procedure which may be prescribed, the Board may, for the purpose of fixing rates of wages, exercise the same powers and follow the same procedure, so far as may be and with the necessary modifications, as the Commission may exercise or follow for the purpose of adjudicating an industrial dispute under the Ordinance.

15. Decision of the Board to be binding on all employers. The decision of the Board shall be binding on all employers in relation to newspaper establishments, and every newspaper employee shall be entitled to be paid wages at a rate which shall, in no case, be less than the rate of wages fixed by the Board.

16. Powers of Board to fix interim rates of wages.—(1) Notwithstanding anything contained in this Act, where the Board is of the opinion that it is necessary so to do, it may, by notification in the official Gazette, fix interim rates of wages in respect of newspaper employees.

(2) Any interim rate of wages so fixed shall be binding on all employers in relation to newspaper establishments, and every newspaper employee shall be entitled to be paid wages at a rate which shall, in no case, be less than the interim rate of wages fixed under sub-section (1).

(3) Any interim rate of wages fixed under subsection (1) shall remain in force until the decision of the Board comes into operation under sub-section (2) of section 11.

¹**[16A. Additional power of Board and Tribunal.** The Board and the Tribunal shall have the same power to punish their respective contempts as the Commission has under section 22C of the Ordinance.

17. W. P. Ordinance VI of 1968 to apply to newspaper establishment. The provisions of the West Pakistan Industrial and, Commercial Employment (Standing Orders) Ordinance, 1968 (W.P. Ord. No. V of 1968), as in force for the time being, other than those contained in Standing Order 2 and clauses (1) and (2) of Standing Order 12 thereof, shall, subject to the other provisions of this Act, apply to every newspaper establishment wherein ten or more newspaper employees are employed or were employed on any day of the twelve months preceding the coming into force of this Act as if such newspaper establishment were an industrial establishment to which the aforesaid Ordinance has been applied by a notification under clause (c) of sub-section (4) of section 1 thereof, and as if a newspaper employee were a workman within the meaning of that Ordinance ¹[:]

¹[Provided that the provisions of this section shall not apply to a person who is employed as the editor of a newspaper].

*Explanation.—*For the avoidance of doubt, it is hereby declared that provisions of Standing Orders 10B and 11, clauses (6) and (8) of Standing Order 12 and Standing Order 15 of the aforesaid Ordinance shall apply only to a newspaper establishment which fulfils the conditions laid down therein.

¹ Added and subs by Act No. LXXVIII of 1976, ss. 5 & 6.

18. Ordinance XXIII of 1969 to apply to newspaper employees.— Subject to the other provisions of ¹[this Act] the provisions of the Ordinance shall apply to, or in relation to, newspaper employees, as they apply to, or in relation to, workmen within the meaning of the Ordinance :

Provided that nothing in this section applies to a newspaper employee—

- (i) who is employed mainly in a managerial or administrative capacity ¹[or is the editor of a newspaper,] or
- (ii) who, being employed in a supervisory capacity, performs, either because of the nature of duties attached to his office or by reason of the powers vested in him functions mainly of a managerial nature.

19. Effect of laws and agreements inconsistent with this Act.—(1) The provisions of this Act shall have effect notwithstanding anything inconsistency therewith contained in any other law or in the terms of any award, agreement or contract of service, whether made before or after the coming into force of this Act:

Provided that, subject to the provisions of section 73 of the West Pakistan Employees' Social Security Ordinance, 1965 (W.P. Ord. No. X of 1965), where under any such award, agreement, contract of service or otherwise, a newspaper employee is entitled to benefits in respect of any matter which are more favourable to him than those to which he would be entitled under this Act, the newspaper employee shall continue to be entitled to the more favourable benefits in respect of that matter notwithstanding that he receives benefits in respect of other matters under this Act.

(2) Nothing contained in this Act shall be construed to preclude any newspaper employee from entering into an agreement with an employer for granting him rights or privileges in respect of any matter which are more favourable to him than those to which he would be entitled under this Act.

20. Inspectors.—(1) The Federal Government may, by notification in the official Gazette, appoint such persons as it thinks fit to be Inspectors for the purposes of this Act within such local limits as it may assign to them respectively.

(2) An Inspector shall perform within the local limits assigned to him such functions in relation to the implementation of the decision of the Board published under section 11 as may be prescribed.

(3) An Inspector may—

- (a) at all reasonable hours enter on the premises of any newspaper establishment and make such examination of any register or document relating to the implementation of the decision of the Board published under section 11 and take on the spot or otherwise evidence of any person relevant to such implementation as he may deem necessary ;

¹ Subs. and ins. by Act No. LXXVIII of 1976, s. 7.

- (b) exercise such other powers of inspection as he may deem necessary for carrying out the purposes of this Act.

21. Offences and penalties.—(1) Whoever contravenes the provisions of section 6 shall be punishable with fine which may extend to two thousand rupees.

(2) Whoever contravenes any of the provisions of this Act or any rule made, or deemed to have been made, thereunder shall, if no other penalty is elsewhere provided by or under this Act for *such* contravention, be punishable with fine which may extend to one thousand rupees.

(3) Where the person guilty of an offence under this Act is a company or other body corporate, every director, manager, secretary and other officer thereof shall, unless he proves that the offence was committed without his knowledge or that he exercised all due diligence to prevent its commission also be guilty of the same offence and liable to the same punishment.

(4) No Court shall take cognizance of an offence under this Act unless the complaint thereof is made within six months of the date on which the offence is alleged to have been committed.

¹[**21A. Chairman, etc., to be public servants.** The Chairman of the Board and the Chairman and members of the Tribunal shall be deemed to be public servants within the meaning of section 21 of the Pakistan Penal Code (Act XLV of 1860)].

22. Indemnity. No suit, prosecution or other legal proceedings shall lie against any person or authority for anything which is in good faith done or intended to be done in pursuance of this Act or any rule made, or deemed to have been made, thereunder.

23. Power to make rules.—(1) The Federal Government may, by notification in the official Gazette, make rules for carrying out the purposes of this Act.

(2) In particular and without prejudice to the generality of the foregoing power, such rules may provide for all or any of the following matters, namely:—

- (a) hours of work of newspaper employees ;
- (b) holidays, earned leave, leave on medical certificate, casual leave or any other kind of leave admissible to newspaper employees;
- (c) the constitution of Provident Fund;
- (d) the constitution of Board of Trustees for the administration of Provident Fund;
- (e) the procedure for regulating the management and administration of Provident Fund and the conditions subject to which such Fund shall operate;
- (f) the procedure to be followed by the Board in fixing rates of wages;

¹ Added by Act No. LXXVIII of 1976, s. 8.

(g) the manner in which the decision of the Board may be published; ^{1*}

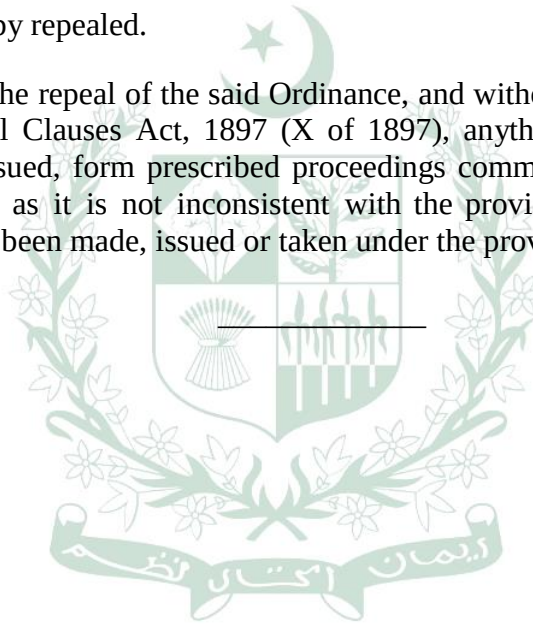
²[(gg) the procedure to be followed by the Tribunal in determining the categories of newspaper establishments or grades of newspaper employees or holding an inquiry for the purpose of implementing the decision of the Board; and].

(h) any other matter which is to be or may be prescribed.

³[**23A. Continuation of powers.** The powers conferred by this Act on the Federal Government shall, as from the fourteenth day of August, 1973, continue to be exercised by the Federal Government.]

24. Repeal and savings.—(1) The Working Journalists (Conditions of Service) Ordinance, 1960, (XVI of 1960), is hereby repealed.

(2) Notwithstanding the repeal of the said Ordinance, and without prejudice to the provisions of section 24 of the General Clauses Act, 1897 (X of 1897), anything done, appointment made, notification, order or rule issued, form prescribed proceedings commenced, or action taken under that Ordinance shall, so far as it is not inconsistent with the provisions of this Act, continue in force and be deemed to have been made, issued or taken under the provisions of this Act.



THE PAKISTAN CODE

¹ The word “and” omitted by the Newspaper Employees (Conditions of Service) (Amdt.) Act, 1976 (78 of 1976), s. 9.

² New Cl. (gg) ins. *ibid.*,

³ New S. 23A ins. and shall be deemed to have been so ins. on the 14th day of August, 1973, by the Labour Laws (Amdt.) Act, 1975 (11 of 1975), s. 2 and Sch.,

Dated 07-04-2026



THE MINIMUM WAGES ORDINANCE, 1961



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THE MINIMUM WAGES ORDINANCE, 1961

ORDINANCE NO. XXXIX OF 1961

[29th September, 1961]

An Ordinance to provide for the regulation of minimum rates of wages for workers employed in certain industrial undertakings.

WHEREAS it is expedient to provide for the regulation of minimum rates of wages for workers employed in certain industrial undertakings, and for matters ancillary thereto ;

NOW, THEREFORE, in pursuance of the Proclamation of the seventh day of October, 1958, and in exercise of all powers enabling him in that behalf, the President is pleased to make and promulgate the following Ordinance :—

1. Short title, extent and commencement.—(1) This Ordinance may be called the Minimum Wages Ordinance, 1961.

(2) It extends to the whole of Pakistan.

(3) It shall come into force at once.

2. Definitions.—In this Ordinance, unless there is anything repugnant in the subject or context,—

(1) “adult” has the same meaning as in clause (b) of section 2 of the Factories Act, 1934 (XXV of 1934) ;

(2) “Board” means a Minimum Wages Board established under section 3;

(3) “Council” means the Minimum Wages Council constituted under section 8;

(4) “employer” means any person who employs either directly or through another person, whether on behalf of himself or any other person, any person for whom a minimum rate of wages may be declared under this Ordinance, and includes—

(a) in relation to a factory, a managing agent or other person who has ultimate control over the affairs of the factory ; and

(b) in other cases, any person responsible to the owner for supervision and control of such worker or for payment of his wages ;

(5) “factory” means a factory as defined in clause (j) of section 2 of the Factories Act, 1934 (XXV of 1934), and includes any place deemed to be a factory under sub-section (3) of section 5 thereof ;

(6) “industry”, with its grammatical variations and cognate expressions, means an industry as defined in ¹[clause (xiv) of section 2 of the industrial Relations Ordinance, 1969 (XXIII of 1969) , and includes a plantation- as defined in clause (iii) of section 2 of the Payment of Wages Act, 1936 (IV of 1936) ;

(7) “juvenile worker” means a worker who is not adult ;

(8) “wages” means all remuneration capable of being expressed in terms of money, which would, if the terms of contract of employment, express or implied, were fulfilled, be payable to a person employed in respect of his employment or of work done in such employment, but does not include—

- (a) any contribution paid by the employer in respect of such person under any scheme of social insurance or to a pension fund or provident fund ;
- (b) any travelling allowance or the value of any travelling concession ;
- (c) any sum paid to such person to defray special expenses incurred by him in respect of his employment ;
- (d) any sum paid as annual bonus ; or
- (e) any gratuity payable on discharge ; and

(9) “worker” means any person including an apprentice employed in any industry to do any skilled or unskilled, intellectual, technical, clerical, manual or other work, including domestic work, for hire or reward, but does not include—

- (i) persons employed by the ²[Federal Government] or a Provincial Government ;
- (ii) persons employed in coal mines in respect of whom minimum wages may be fixed under the Coal Mines (Fixation of Rates of Wages) Ordinance, 1960 (XXXIX of 1960); and
- (iii) persons employed in agriculture.

3. Establishment of Minimum Wages Boards.—(1) As soon as may be after the commencement of this Ordinance, the Provincial Government shall establish a Minimum Wages Board for the Province consisting of the following four members to be appointed by it, namely:—

- (a) the Chairman of the Board ;
- (b) one independent member ;
- (c) one member to represent the employers of the Province ; and
- (d) one member to represent the workers of the Province ;

¹ Subs. by the Federal Laws (Revision and Declaration) Ordinance, 1981 (XXVII of 1981), s. 3 and Sch., II, for certain words.

² Subs. by F.A.O., 1975, Art. 2 and Table, for “Central Government”.

Provided that for the purpose of discharging the function of a Board specified in section 5 the following two more members appointed by the Provincial Government shall be added, namely :—

(i) one member to represent the employers connected with the industry concerned ; and

(ii) one member to represent the workers engaged in such industry.

(2) The Chairman of the Board and the independent member shall be appointed from persons with adequate knowledge of industrial, labour and economic conditions of the Province who are not connected with any industry or associated with any employers' or workers' organization.

(3) The member to represent the employers of the Province and the member to represent the workers of the Province under sub-section (1) shall be appointed after considering nominations, if any, of such organizations as the Provincial Government considers to be representative organizations of such employers and workers respectively.

(4) The members referred to in the proviso to sub-section (1) to represent the employers connected with and the workers engaged in the industry concerned shall be appointed after considering nominations, if any, of such organizations as the Provincial Government considers to be representative organizations of such employers and workers respectively.

(5) The term of office of the members of the Board, the manner of filling casual vacancies therein, the appointment of its committees, if any, the procedure and conduct of the meetings of the Board and its committees and all matters connected therewith, including the fees and allowances to be paid for attending such meetings, and other expenses, including expenses for the services of experts and advisers obtained by the Board, shall be such as may be prescribed by rules made under section 17.

4. Recommendation of minimum rates of wages for unskilled and Juvenile workers.—

(1) A Board shall, upon a reference made to it by the Provincial Government, recommend to such Government, after such enquiry as the Board thinks fit, the minimum rates of wages for adult unskilled workers and juvenile workers employed in industrial undertakings in the Province.

(2) In its recommendations under sub-section (1), the Board shall indicate, whether the minimum rates of wages should be adopted uniformly throughout the Province or with such local variations for such localities as are specified therein.

5. Recommendation of minimum rates of wages for workers with respect to particular industries. —(1) Where in respect of any particular industry in the Province for which no adequate machinery exists for effective regulation of wages, the Provincial Government is of the opinion that, having regard to the wages of the workers employed in the undertakings engaged in such industry, it is expedient to fix the minimum rates of wages of such workers, it may direct the Board to recommend, after such enquiry as the Board thinks fit, the minimum rates of wages either for all such workers or for such of them as are specified in the direction

¹[* * * * *]

¹ The original proviso was omitted by A.O., 1964, Art. 2 and Sch.

(2) In pursuance of a direction under sub-section (1), the Board may recommend minimum rates of wages for all classes of workers in any grade and, in such recommendation, may specify—

- (a) the minimum rates of wages for—
 - (i) time work ;
 - (ii) piece work ;
 - (iii) overtime work ; and
 - (iv) work on the weekly day of rest and for paid holidays ; and
- (b) the minimum time rates for workers employed on piece work so as to guarantee minimum wages on a time basis for such workers.

(3) The time rates recommended by the Board may be on hourly, daily, weekly or monthly basis.

(4) The rates recommended under this section for overtime work and work on paid holidays shall not be less than the minimum rates fixed for such work under any other law for the time being in force.

6. Power to declare minimum rates of wages.—(1) Upon receipt of a recommendation of the Board under section 4 or section 5, the Provincial Government may,—

- (a) by notification in the official Gazette, declare that the minimum rates of wages recommended by the Board for the various workers shall, subject to such exceptions as may be specified in the notification, be the minimum rates of wage for such workers ; or
- (b) if it considers that the recommendation is not in any respect, equitable to the employers or the workers, within thirty days of such receipt, refer it back to the Board for reconsideration with such comments thereon and giving such information relating thereto as the Provincial Government may think fit to make or give.

(2) Where a recommendation is referred back to the Board under clause (b) of sub-section (1), the Board shall reconsider it after taking into account the comments made and information given by the Provincial Government and, if necessary, shall hold further enquiry and submit to such Government—

- (a) a revised recommendation, or
- (b) if it considers that no revision or change in the recommendation is called for, make report to that effect stating reasons therefor.

(3) Upon receipt of the recommendation of the Board under sub-section (2), the Provincial Government may, by notification in the Official Gazette, declare that the minimum rates of wages recommended under that sub-section by the Board for various workers shall, subject to such

modifications and exceptions as may be specified in the notification, be the minimum rates of wages for such workers.

(4) Unless any date is specified for the purpose in the notification under sub-section (1) or sub-section (3), the declaration thereunder shall take effect on the date of publication of such notification.

(5) Where after the publication of a notification under sub-section (1) or sub-section (3) or after the minimum rates of wages declared thereunder have taken effect, it comes to the notice of the Provincial Government that there is a mistake in the minimum rates of wages so declared, or that any such rate is inequitable to the employers or the workers, it may refer the matter to the Board and any such reference shall be deemed to be a reference under sub-section (2).

1[* * * * * *]

(7) The minimum rates of wages declared under this section shall be final and shall not in any manner be questioned by any person in any Court or before any authority.

7. Periodical review of minimum rates of wages.—(1) The Board shall review its recommendations if any change in the economic conditions and cost of living and other relevant factors so demand, and recommend to the Provincial Government any amendment, modification or revision of the minimum rates of wages declared under section 6 :

Provided that no recommendation shall be reviewed earlier than one year from the date on which it was made, unless the special circumstances of a case so required, and later than three years from such date.

(2) Review and recommendation under this section shall be deemed to be an enquiry and recommendation under section 4 or, as the case may be, under section 5, and, so far as may be, the provisions of this Ordinance shall, to such review and recommendation, apply accordingly.

8. ²[Omitted.]

9. Prohibition to pay wages at a rate below the minimum rate of wages.—(1) Subject only to such deductions as may be authorized under this Ordinance or under any other law for the time being in force, no employer shall pay *any worker wages* at a rate lower than the rate declared under this Ordinance to be the minimum rate of wages for such worker.

(2) Nothing in sub-section (1) shall be deemed—

- (a) to require or authorize an employer to reduce the rate of wages of any worker ; or
- (b) to affect, in any way, the right of a worker to continue to receive wages at a rate higher than the minimum rate declared under this Ordinance if, under any agreement, contract or award, or as a customary differential, or otherwise, he is entitled to receive wages at such higher rate, or to continue to enjoy such amenities and other advantages as are customary for such worker to enjoy ; or

¹The original sub-section (6) omitted by A.O., 1964, Art. 2 and Sch.

²Omitted by A.O., 1964, Art. 2 and sch.

(c) to affect the provisions of the Payment of Wages Act, 1936 (IV of 1936).

(3) Any employer who contravenes the provisions of this section shall be punishable with imprisonment for a term which may extend to six months or with fine which may extend to five hundred rupees or with both, and if the Court trying such contravention by order so directs, shall also pay to the worker concerned such sum as may be specified in the order to represent the difference between the amount actually paid to such worker and the amount which would have been paid to him had there been no such contravention.

10. Cognizance of offences.—No Court inferior to that of a Magistrate of the first class shall take cognizance of an offence punishable under this Ordinance or the rules made thereunder, and cognizance shall not be so taken except upon a complaint in writing made by the Provincial Government or by any person authorized in this behalf by such Government.

11. Protection of the proceedings of a Board or the Council.—No act or proceeding of a Board ¹[* * *] shall be invalid or questioned merely on the ground of existence of any vacancy therein or of any defect in the constitution or in the appointment or qualification of any member thereof.

²[**12. Powers of Boards, etc., to collect information.**—(1) Any Board or the Chairman of a Board may, for the purpose of an enquiry under this Ordinance or the rules made thereunder, direct any employer to furnish such records, documents or information and do such other acts as the Board or the Chairman, as the case may be, may require, and every such employer shall comply with such direction.]

(2) The Chairman of the Boards ³[* * *] and such members, officers and servants thereof as are authorized in this behalf by the Chairman, may, for the discharge of any function under this Ordinance or the rules made thereunder,—

- (a) enter, at all reasonable times, any factory ;
- (b) inspect any books, registers and other documents relating to such factory ; and
- (c) record statements of persons connected with the working of such factory;

Provided that no one shall be required under this clause to answer any question tending to criminate himself.

(3) Any employer who contravenes the provisions of sub-section (1), and any person who wilfully obstructs anyone in the exercise of any power under sub-section (2), or fails to produce on demand thereunder any books, registers or other documents, shall be punishable with fine which may extend to five hundred rupees.

13. Certain powers of Court to Boards, etc.—The Boards ⁴[* * *] shall, while holding an enquiry under this Ordinance or the rules made thereunder, be deemed to be Civil Courts and shall have the same powers as are vested in such Courts under the Code of Civil Procedure, 1908 (Act V of 1908), in respect of the following matters, namely :—

¹ The original words “or of the Council” omitted by A.O., 1964, Art. 2 and Sch.

² Subs. *ibid.* for the original, sub-section (1).

³ The words and comma “and the Council,” were omitted, *ibid.*

⁴ The words “and the Council”, omitted *ibid.*

- (a) enforcing the attendance of any person and examining him on oath ;and
- (b) compelling the production of documents and material objects ;
- (c) issuing commissions for the examination of witnesses.

14. Chairmen, etc., deemed to be public servants.— The Chairmen of the Boards ¹[* * *] and the members, officers and servants thereof, shall all be deemed to be public servants within the meaning of section 21 of the Pakistan Penal Code (Act XLV of 1860).

15. Bar to legal proceedings.— No suit, prosecution or other legal proceeding shall lie against any person for anything which is in good faith done or intended to be done under this Ordinance or the rules made thereunder.

16. ²[Omitted.]

17. Rules relating to Boards.—(1) Subject to the provisions of section 16, the Provincial Government may, by notification in the official Gazette, make rules for carrying out the purposes of this Ordinance.

(2) Without prejudice to the generality of the foregoing power, such rules may provide for—

- (a) the matters specified in sub-section (5) of section 3 ;
- (b) the giving of opportunities to persons likely to be affected by the minimum rates of wages to offer comments and make suggestions ;
- (c) fixing normal hours of work for the purpose of determining time work ;
- (d) giving adequate publicity to the minimum rates of wages declared under this Ordinance ;
- (e) the maintenance of wage books, wage slips, registers and other records and prescribe their forms and particulars to be entered therein and the manner of authenticating such entries ;
- (f) the preparation and submission of reports and returns ;
- (g) the appointment of Inspectors or other officers and prescribe their powers and functions ; and
- (h) such other matters for which rules are considered necessary for effectively carrying out the provisions of this Ordinance.

(3) Rules made under this section may provide that any contravention thereof shall be punishable with fine not exceeding five hundred rupees.

18. ³[Omitted.]

Date: 22.04.2024

¹The words and comma “and the Council,” were omitted by A.O., 1964, Art. 2 and Sch.

²Omitted by A.O., 1964, Art. 2 and Sch.

³Omitted by the Federal Laws (Revision and Declaration) Ordinance, 1981 (XXVII of 1981, s. 3) and Sch. II.



THE MINES ACT, 1923



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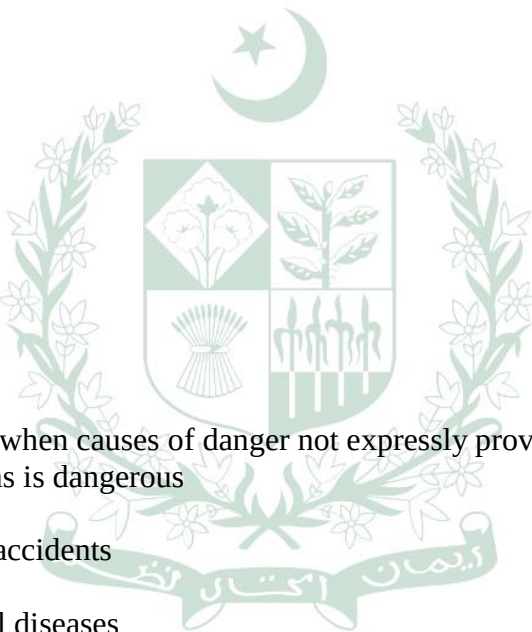
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THE SCHEDULE ¹THE MINES ACT, 1923

²ACT No. IV of 1923

[23rd February, 1923]

An Act to amend and consolidate the law relating to the regulation and inspections of mines

WHEREAS it is expedient to amend and consolidate the law relating to the regulation and inspection of mines; It is hereby enacted as follows:—

CHAPTER I PRELIMINARY

1. Short title extent and commencement.—(1) This Act may be called the ³* Mines Act 1923.

⁴[(2) It extend to the whole of Pakistan.]

(3) It shall come into force on the first day of July, 1924.

2. [Saving the Regulation XII of 1887].—*Omitted by para, 3 and Sch I of the Government of India (Adaptation of Indian Laws) Order, 1937.*

3. Definitions.—In this Act unless there is anything repugnant in the subject or context,—

(a) “agent”, When used in relation to a mine. Means any person appointed or acting as the representative of the owner in respect of the management of the mine or of any part thereof, and as such superior to a Manager under this Act;

⁵[(aa) appropriate Government means in relation to mines of ⁶[nuclear substances mineral oil, natural gas and liquids, and substances declared by Federal Law to be dangerously inflammable oil fields and gas fields the ⁷[Federal Government] and in relation to other mines the Provincial Government;].

¹This act has been applied to the Provincially Administered Tribal Areas or to the parts of those areas to which it does not already apply, see Regulation No. 1 of 1972, s. 2 and Sch.

²This Act has been extended to:—

(i) the Leased Areas of Baluchistan, see the Leased Areas (Laws) Order, 1950 (G.G.O. 3 of 1950), and applied in the Federated Areas of Baluchistan, see Gazette of India, 1937 Pt. I p. 1499;

(ii) the Baluchistan States Union, see the Baluchistan States Union (Federal Laws) (Extension) Order, 1953 (G.G.O. 4 of 1953), as amended by the Baluchistan States Union (Federal Laws) (Extension) (Second Amdt.) Order, 1953 (G.G.O. 19 of 1953);

(iii) the Khairpur State, see G.G.O. 5 of 1953, as amended by G.G.O. 24 of 1953;

(iv) the State of Bahawalpur by the Bahawalpur (Extension of Federal Laws) Order, 1953 (G.G.O. 11 of 1953) as amended by the Bahawalpur (Extension of Federal Laws) (Amdt.) Order, 1953 (G.G.O. 21 of 1953).

The Act has been and shall be deemed to have been brought into force in Gwadar with effect from the 8th September, 1958, by the Gwadar (Application of Central Laws) Ordinance, 1960 (XXXVII of 1960) s. 2.

This Act has been applied to the Provincially Administered Tribal Areas or to the parts of those areas to which it does not already apply, see Regulation No. 1 of 1972, s. 2 and Sch. also applied to FATA, SRO 220 (1)/2000, dated 21-4-2000.

³The word “Indian” omitted by A.O., 1949.

⁴Subs. by the Central Laws (Statue Reform) Ordinance, 1960 (XXI of 1960), s. 3 and 2nd Sch. (with effect from the 14th October, 1955), for sub-section (2), as amended by A.O., 1949, and the Federal Laws (Revision and Declaration) Act, 1951 (XXVI of 1951), s. 8.

⁵Clause (aa) ins. by A.O., 1961, Art. 2 and Sch., (with effect from the 23rd March, 1956), has been subs. by A.O., 1964, Art. 2 and Sch.

⁶Subs. by F.A.O., 1975, Art. 2 and Sch., for “nuclear substances, oilfields and gasfield”.

⁷Subs. *ibid.*, Art. 2 and Table, for “Central Government”.

(b) Chief Inspector means the Chief Inspector to Mines appointed under this Act;

¹[(c) Child means a person who has not completed his fifteenth year;]

²[(cc) day means a period of twenty-four hours beginning at midnight;]

³[* * * * *]

(d) a person is said to be “employed” in a mine who works under appointment by or with the knowledge of the manager, whether for wages or not, in any mining operation, or in cleaning or oiling any part of any machinery used in or about the mine, or in any other kind of work whatsoever incidental to, or connected with, mining operations;

(e) “Inspector” means an inspector of Mines appointed under this Act, and includes a District Magistrate when exercising any power or performing any duty of an inspector which he is empowered by this Act to exercise or perform;

(f) “mine” means any excavation where any operation for the purpose of searching for or obtaining minerals has been or is being carried on, and includes all works, machinery, tramways and sidings, whether above or below ground, in or adjacent to or belonging to a mine:

Provided that it shall not include any part of such premises on which a manufacturing process is being carried on unless such process is a process for coke making or the dressing of:

(g) “owner” when used in relation to a mine, means any person who is the immediate proprietor or lessee or occupier of the mine or of any part thereof, but does not include a person who merely receives a royalty, rent or fine from the mine or is merely the proprietor of the mine subject to any lease, grant or license for the working thereof, or is merely the owner of the soil and not interested in the minerals of the mine but any contractor for the working of a mine or any like part thereof shall be subject to this Act in the same manner as it he were the owner, but not so as to exempt the owner from any liability;

(h) “prescribed” means prescribed by regulations, rules or bye laws;

(i) “qualified medical practitioner” means any person registered ⁴[* * *] under any Act of ⁵[the Central Legislature or any Provincial Legislature], providing for the maintenance of a register of medical practitioners, and includes, in any area where no such last-mentioned Act is in force, any person declared by the ⁶[appropriate Government] by notification in the ⁷[official Gazette], to be a qualified medical practitioner for the purposes of this Act;

¹Subs. by the Indian Mines (Amdt.) Act, 1935 (V of 1935), s. 2. for the original clause (c).

²Clause (cc) ins., *ibid*

³Clause (ccc), omitted by A.O., 1949.

⁴Certain words omitted by the Federal Laws (Revision and Declaration) Ordinance, 1981 (XXVII of 1981), s. 3 and Sch. II.

⁵Subs. by A.O., 1949, for “any Legislature in British India”.

⁶Subs. by A.O., 1964, Art. 2 and Sch., for “Central Government”, which had been subs. by A.O., 1937, for “Local Government”.

⁷Subs. by A.O., 1937, for “local official Gazette”.

- (j) “regulations”, “rules” and “bye-laws” means respectively, regulations, rules and bye-laws under this Act ;
- ¹[(jj) where work of the same kind is carried out by two or more sets of workers working during different periods of the day each of such sets is called a ‘relay’
²[and the period for which it works is called a ‘shift’];
- (k) “serious bodily injury” means any injury which involves, or in all probability will involve, the permanent loss of the use of, or permanent injury to any ³[part of the body], or the permanent loss of or injury to the sight or hearing, or the fracture of any ³[part of the body] or the enforced absence of the injured person from work for a period exceeding twenty days; and
- (l) “week” means the period between midnight on Saturday night and midnight on the succeeding Saturday night.

CHAPTER II INSPECTORS

4. Chief Inspector and Inspectors.—(1) The ⁴[appropriate Government] may, by notification in the ⁵[Official Gazette], appoint a duly qualified person to be Chief Inspector of Mines for the whole of ⁶[Pakistan] ⁷[or, for the Province as the case may be], and duly qualified persons to be Inspectors of Mines subordinate to the Chief Inspector.

(2) No person shall be appointed to be Chief Inspector or an Inspector, or having been appointed shall continue to hold such office who is or becomes directly or indirectly interested in any mine or mining rights in ⁸[Pakistan].

(3) The District Magistrate may exercise the powers and perform the duties of an Inspector subject to the general or special orders of the ⁹[appropriate Government]:

Provided that nothing in this sub-section shall be deemed to empower a District Magistrate to exercise any of the powers conferred by section 19 or section 33.

(4) The Chief Inspector and every Inspector shall be deemed to be a public servant within the meaning of the Pakistan Penal Code (XLV of 1860).

5. Functions of Inspectors.—(1) The Chief Inspector may, by order in writing prohibit or restrict the exercise by any Inspector named, or any class of Inspectors specified, in the order of any power conferred on Inspectors by this Act, and shall, subject as aforesaid, declare the local area or areas within which, or the group or class of mines with respect to which, Inspectors shall exercise their respective powers.

¹Cl. (jj) was ins. by the Indian Mines (Amdt.) Act, 1935 (V of 1935), s.2.

²Added by the Mines (Amdt.) Act 1973 (XLV of 1973), s. 2.

³Subs. *ibid.*, s. 2, for “limb”.

⁴Subs. by A.O., 1964, Art. 2 and Sch., for “Central Government”, which had been subs. by A.O., 1937, for “Governor General in Council”.

⁵Subs. A.O., 1937, for “Gazette of India”.

⁶Subs. by the Central Laws (Statue Reform) Ordinance, 1960 (XXI of 1960), s. 3 and 2nd Sch. (with effect from the 14th October, 1955), for “the Provinces and the Capital of the Federation”, which had been subs. by A.O., 1949, for “British India”.

⁷Ins. by A.O., 1964, Art. 2 and Sch.

⁸Subs. by the Federal Laws (Revision and Declaration) Act, 1951 (XXVI of 1951), s. 4 and III Sch., for "India".

⁹Subs. by A.O., 1964, Art. 2 and Sch., for "Central Government" which had been subs. by A.O., 1937, for "Local Government".

(2) The Inspector shall give information to owners, agents and managers of mines situate within the local area or areas or belonging to the group or class of mines, in respect of which he exercises powers under sub-section (1) as to all regulations and rules which concern them respectively and as to the places where copies of such regulations and rules may be obtained.

6. Powers of Inspectors of Mines.—The Chief Inspector and any Inspector may—

- (a) make such examination and inquiry as he thinks fit in order to ascertain whether the provisions of this Act and of the regulations, rules and bye-laws and of any orders made thereunder are observed in the case of any mine ;
- (b) with such assistant (if any) as he thinks fit, enter, inspect and examine any mine or any part thereof at ¹[* * *] ;
- (c) examine into, and make inquiry respecting, the state and condition of any mine or any part thereof, the ventilation of the mine, the sufficiency of the bye-laws for the time being in force relating to the mine and all matters and things connected with or relating to the safety, ²[health and welfare] of the persons employed in the mine ;
- ³[(d) take, whether on the precincts of the mine or elsewhere, statement of any person which he may consider necessary for carrying out the purposes of this Act;

Provided that no one shall be required under this section to answer or give any evidence tending to criminate himself ;

- (e) require the production of any books, register or other documents, the keeping of which is prescribed in order to see that they are in conformity with the provisions of this Act and rules and regulations framed thereunder and take into his custody, or make copies of, or extracts from, any such book register or other document;
- (f) after informing the manager of a mine or his representative, take or remove, for the purpose of analysis samples of materials and substances used or handled in the mine].

7. Powers of special officer to enter, measure, etc.—Any person in the service of the ⁴[State] duly authorised by a special order in writing of the Chief Inspector or of an Inspector in this behalf may, for the purpose of surveying, levelling or measuring in any mine, after giving not less than three days' notice to the manager of such mine, enter the mine and may survey, level or treasure the mine or any part thereof at any reasonable time by day or night, but not so as unreasonably to impede or obstruct the working if the mine ⁵[:]

¹Certain words omitted by the Mines (Amdt.) Act, 1973 (XLV of 1973), s. 3.

²Ins. ibid.,

³Added ibid.,

⁴Subs. by A.O., 1961, Art. 2 and Sch. (with effect from the 23rd March, 1956), for "Crown", which had been subs. by A.O., 1937, for "Government".

⁵Subs. by the Mines (Amdt.) Act, 1973 (XLV of 1973), s. 4, for full stop.

¹[Provided that no such notice need be given if, for reasons to be recorded, the Chief Inspector or Inspector is of opinion that there is an emergency.]

8. Facilities to be afforded to Inspectors.— Every owner agent and manager of a mine shall afford the Chief inspector and every Inspector and every person authorised under section I all reasonable facilities or making any entry, inspection, survey, measurement, examination or inquiry under this Act.

9. Secrecy of information obtained.—(1) All copies of, and extracts from, registers or other records appertaining any mine, and all other information acquired by the Chief Inspector of an Inspector or by any one assisting him, in the course of the inspection of any mine under this Act or acquired by any person authorised under section 7 in the exercise of his duties thereunder, shall be regarded as confidential, ²[and shall not be disclosed to any person other than a Magistrate ³[or a Commissioner for Workmen's Compensation appointed under the Workmen's Compensation Act, 1923 (VIII of 1923) or an official superior or the owner, agent or manager of the mine concerned, unless the Chief inspector or the Inspector considers disclosure necessary to ensure the or with the safety of any persons].

(2) If the Chief Inspector, or an Inspector, or any other person referred to in sub-section (1) discloses ⁴[contrary to the provisions of sub-section (1)] any such information at aforesaid without the consent of ⁵[the appropriate Government], he shall be guilty of a breach of official trust, and shall be punishable ⁶[with imprisonment for a term which may extend to one year, or with fine or with both].

(3) No court shall proceed to the trial of any offence, under this section ⁷[except with the previous sanction of the ⁸[appropriate Government]].

⁹[9A. Secrecy of source of complaint.—The Chief Inspector or an Inspector shall treat as absolutely confidential the source of any complaint bringing to his notice a defect or breach of any provision of this Act or any rules or regulations made thereunder and shall not give any intimation to the owner of the mine or his representative that a visit of inspection was made in consequence of the receipt of such a complaint.]

CHAPTER III MINING BOARDS, AND COMMITTEE

10. Mining Board.—(1) The ⁸[appropriate Government] may constitute ¹⁰[for any part of Pakistan] ¹¹[or, as the case may be, of the Province], or for any group or class of mines ¹²[* * *], a Mining Board consisting of—

¹Proviso added *ibid.*,

²Added by the Indian Mines (Amdt.) Act, 1937 (XXIX of 1937), s. 3.

³Ins. by Act XLV of 1973, s. 5.

⁴Subs. by the Mines (Amdt.) Act 1973 (XLV of 1973) s. 5 for "to any one, other than a Magistrate or an officer to whom he is subordinate".

⁵The original words "the G.G. in C. or the L.G.", were first subs. by A.O., 1937, and then amended by A.O., 1964, Art. 2 and Sch., to read as above.

⁶Subs. by the Repealing and Amending Act, 1925 (XXXVII of 1925), s. 2 and Sch. I, for "in the manner provided by section 4 of the Indian Official Secrets Act, 1889".

⁷Subs. by Act XXIX of 1937, s. 3, for the original words as amended by A.O., 1937.

⁸Subs. by A.O., 1964, Art. 2 and Sch., for "Central Government" which had been subs. by A.O., 1937, for "Local Government".

⁹Ins. by Act XLV of 1973, s. 6.

¹⁰The original words “for the province, or for any part of the province” were first subs. by A.O., 1937 and then amended by A.O., 1949, and the Central Laws (Statue Reform) Ordinance, 1960 (XXI of 1960), s. 3 and 2nd Sch. (with effect from the 14th October, 1955), to read as above.

¹¹Ins. by A.O., 1964, Art. 2 and Sch.

¹²The words “in the province” were rep. by A.O., 1937.

- (a) a person in the service of ¹[the State], not being the Chief Inspector or an Inspector, nominated by the ²[appropriate Government] to act as Chairman ;
- (b) the Chief Inspector or an Inspector;
- ³[(c) a person, not being the Chief Inspector or an Inspector, nominated by the ²[appropriate Government];]
- (d) two persons nominated by owners of mines or their representatives in such manner as may be prescribed ;
- ⁴[(e) two persons to represent the interest of miners, who shall be nominated in accordance with the following provisions :—
 - (i) if there are one or more registered trade unions having in the aggregate as members not less than one quarter of the miners, the said persons shall be nominated by such trade union or trade unions in such manner as may be prescribed ;
 - (ii) if sub-clause (i) is not applicable and there are one or more registered trade unions having in the aggregate as members not less than 1,000 miners, one of the said persons shall be nominated by such trade union or trade unions in such manner as may be prescribed and the other by the ²[appropriate Government] ;
 - (iii) if neither sub-clause (i) nor sub-clause (ii) is applicable, the said persons shall be nominated by the ²[appropriate Government].

Explanation. — In this clause ‘miner’ means a person employed otherwise than in a position of supervision or management, in any of the mines for which the Mining Board is constituted.]

(2) The chairman shall appoint a person to act as secretary to the Board.

(3) The ²[appropriate Government] may give directions as to the payment of travelling expenses incurred by the secretary or any member of any such Mining Board in the performance of his duty as such secretary or member.

11. Committees.—(1) Where under this Act any question relating to a mine is referred to a Committee, the Committee shall consist of—

- (a) a chairman nominated by the ²[appropriate Government] or by such officer or authority as the ²[appropriate Government] may authorise in this behalf;
- (b) a person nominated by the chairman and qualified by experience to dispose of the question referred to the Committee; and

¹The original words "the Government", were first subs. by the Indian Mines (Amdt.) Act, 1940 (XXIV of 1940), s. 2 and then amended by A.O., 1961, Art. 2 and Sch. (with effect from the 23rd March, 1956), to read as above.

²Subs. by A.O., 1964, Art. 2 and Sch., for "Central Government" which had been subs. by A.O., 1937, for "Local Government".

³Subs. by the Indian Mines (Amdt.) Act, 1935 (V of 1935), s. 3, for the original clause. (c).

⁴Clause (e) and the Explanation added, ibid. by the Indian Mines (Amdt.) Act, 1935 (V of 1935), s. 3.

- (c) two persons of whom one shall be nominated by the owner, agent or manager of the mine concerned, and the other shall be nominated by the ¹[appropriate Government] to represent the interests of the persons employed in the mine.

(2) No Inspector or person employed in or in the management of any mine concerned shall serve as chairman or member of a Committee appointed under this section.

(3) Where an owner, agent or manager fails to exercise his power of nomination under clause (c) of sub-section (1), the Committee may, notwithstanding such failure, proceed to inquire into and dispose of the matter referred to it.

(4) The Committee shall hear and record such information as the Chief Inspector or the Inspector, or the owner, agent or manager of the mine concerned, may place before it, and shall intimate its decision to the Chief Inspector or the Inspector and to the owner, agent or manager of the mine, and shall report its decision to the ¹[appropriate Government].

(5) On receiving such report the ¹[appropriate Government] shall pass orders in conformity therewith unless the Chief Inspector or the owner, agent or manager of the mine has lodged an objection to the decision of the Committee, in which case the ¹[appropriate Government] may proceed to review such decision and to pass such orders in the matter as it may think fit. If an objection is lodged by the Chief Inspector, notice of the same shall forthwith be given to the owner, agent or manager of the mine.

(6) The ¹[appropriate Government] may give directions as to the remuneration, if any, to be paid to the members of the Committee or any of them, and as to the payment of the expenses of the inquiry including such remuneration.

12. Powers of Mining Boards.—(1) Any Mining Board constituted under section 10 and any Committee constituted under section 11 may exercise such of the powers of an Inspector under this Act as it thinks necessary or expedient to exercise for the purpose of deciding or reporting upon any matter referred to it.

(2) Every Mining Board constituted under section 10 and every Committee appointed under section 11 shall have the powers of a Civil Court under the Code of Civil Procedure, 1908 (V of 1908) for the purpose of enforcing the attendance of witness and compelling the production of documents and material objects ; and every person required by any such Mining Board or Committee to furnish information before it shall be deemed to be legally bound to do so within the meaning of section 176 of the Pakistan Penal Code (XLV of 1960).

13. Recovery of expenses.—The ¹[appropriate Government] may direct that the expenses of any inquiry conducted by a Mining Board constituted under section 10 or by a Committee appointed under section 11 shall be borne in whole or in the part by the owner or agent of the mine concerned, and the amount so directed to be paid may, on application by the Chief Inspector or an Inspector to a Magistrate having jurisdiction at the place where the mine is situated or where such owner or agent is for the time being resident, be recovered by the distress and sale of any movable property within the limits of the Magistrate's jurisdiction belonging to such ²[owner or agent].

¹Subs. by A.O., 1964, Art.2 and Sch., for "Central Government", which had been subs. by A.O., 1937, for "Local Government".

²Subs. by the Repealing and Amending Act, 1925 (XXXVII of 1925), s. 2 and Sch I, for "owner, agent or manager."

CHAPTER IV MINING OPERATION AND MANAGEMENT OF MINES

¹[14. Notice before commencement of mining operations.—(1) The owner, agent or manager of a mine shall, in the case of an existing mine within one month from the commencement of the Mines (Amendment) Ordinance, 1973, or in the case of proposed mining operations, not less than fifteen days before the commencement of such operations, give to the Chief Inspector and the District Magistrate of the district in which the mine is situated or the operations will commence notice in writing in such form and containing such particulars as may be prescribed.

(2) If the proposed operations in respect of which notice is given under sub-section (1) are not commenced within sixty days from the date on which the notice was given, the said notice shall be deemed to have expired and no operations shall commence except after a notice has been given in accordance with that sub-section.]

15. Managers.—(1) Save as may be otherwise prescribed, every mine shall be under one manager who shall have the prescribed qualifications and shall be responsible for the control, management and direction of the mine, and the owner or agent of every mine shall appoint himself or some other person, having such qualifications, to be such manager.

(2) If any mine is worked without there being a manager for the mine as required by sub-section (1), the owner and agent shall each be deemed to have contravened the provisions of this section.

16. Duties and responsibilities of owners, agents and managers.—(1) The owner, agent and manager of every mine shall be responsible that all operations carried on in connection therewith are conducted in accordance with the provisions of this Act and of the regulations, rules and bye-laws and of any orders made thereunder.

(2) In the event of any contravention of any such provisions by any person whomsoever, the owner, agent and manager of the mine shall each be deemed also to be guilty of such contravention unless he proves that he had taken all reasonable means, by publishing and to the best of his power enforcing those provisions, to prevent such contravention:

Provided that the owner or agent shall not be so deemed if he proves—

- (a) that he was not in the habit of taking, and did not in respect of the matter in question take, any part in the management of the mine; and
- (b) that he had made all the financial and other provisions necessary to enable the manager to carry out his duties; and
- (c) that the offence was committed without his knowledge, consent or connivance.

(3) Save as hereinbefore provided, it shall not be a defence in any proceedings brought against an owner or agent of a mine under this section that a manager of the mine has been appointed in accordance with the provisions of this Act.

CHAPTER V PROVISIONS AS TO HEALTH AND SAFETY

17. Conservancy.—There shall be provided and maintained for every mine latrine and urinal accommodation of such kind and on such scale, and such supply of water fit for drinking, as may be prescribed.

¹**[17A. Canteens.**—At every mine wherein more than one hundred persons are ordinarily employed, a canteen of such standard as may be prescribed shall be provided for the use of persons employed therein.

17B. Shelters.—There shall be provided and maintained for use of persons working above ground in a mine, during intervals for rest, shelters of such standard and on such scale as may be prescribed.]

18. Medical Appliances. At every mine ²[* * *], such supply of ambulances or stretchers, and of splints, bandages and other medical requirements, as may be prescribed, shall be kept ready at hand in convenient place and in good and serviceable order.

³**18A. First aid rooms.**—At every mine in respect of which the appropriate Government may, by notification in the official Gazette, declare this section to apply, there shall be provided first-aid rooms of such size, with such equipment and in charge of such medical and nursing staff as may be prescribed.]

19. Powers, of Inspectors when causes of danger not expressly provided against exist or whilst employment of persons is dangerous.—(1) If, in any respect when is not provided against by any express provision of this Act or of the regulations, rules or bye-laws or of any orders made thereunder, it appears to the Chief Inspector or the Inspector that any mine, or any part thereof or any matter, tuning or practice in or connected with toe mine, or with the control, management or direction thereof, is dangerous to human life, ⁴[health] or safety, or defective so to threaten, or tend to, the bodily injury of any person, he may give notice in writing thereof to the owner, agent or manager of the mine and shall state in the notice the particulars in which he considers the mine, or part thereof, or the matter, thing or practice, to be dangerous or defective and require the same to be remedied within such time as he may specify in the notice.

⁵[(1-A) Without prejudice to the generality of the provisions contained in sub-section (i), the Chief Inspector or the Inspector may, in any area to which the ⁶[appropriate Government] may by notification in the ⁷[Official Gazette] declares that this sub-section applies, by order in writing addressed to the owner, agent or manager of mine,—

⁸[*] prohibit the extraction or reduction of pillars in any part of the mine if, in his opinion, such operation is likely to cause the crushing of pilars or the premature collapse of any part of the workings or otherwise endanger the mine, or if, in his opinion adequate provision against the out-break of fire ⁹[or flooding] has not been made by providing for sealing off and isolation of the part of the mine in which such operation is contemplated and for restricting the area that might be affected, by a fire ¹⁰[or flooding]. ¹⁰[*]

¹New sections 17A and 17B ins. by the Mines (Amdt.) Act, 1973 (XLV of 1973), s. 8.

²Certain words omitted *ibid.*, s. 9, these words were previously amended by various enactments.

³New section 18A ins. by the Mines (Amdt.) Act, 1973 (XLV of 1973), s. 10.

⁴Ins. *ibid.*, s. 11.

⁵Sub-section (1A) ins. by the Indian Mines (Amdt.) Act, 1936 (XI of 1936), s. 2, as amended by the Indian Mines (Amdt.) Act, 1937 (XXIX of 1937), s. 2.

⁶Subs. by A. O., 1964, Art. 2 and Sch., for “Central Government”, which had been subs. by A. O., 1937, for “Governor General in Council”.

⁷Subs. by A. O., 1937, for “Gazette of India”.

⁸The brackets and letter "(a)" omitted by the Indian Mines (Amdt.) Act, 1940 (XXIV of 1940), s. 3.

⁹Ins. by the Mines (Amdt.) Act, 1973 (XLV of 1973), s. 11.

¹⁰The word "or" omitted by Act XXIV of 1940, s.3.

¹[* * * * *]

And the provisions of sub-sections (3), (4), (5) and (6) shall apply to an order made under this sub-section as they apply to an order made under sub-section (2).]

(2) If the Chief inspector or an Inspector authorised in this behalf by general or special order in writing by the Chief Inspector is of opinion that there is urgent and immediate danger to the life, ²[health] or safety of any person employed in any mine or part thereof he may, by an order in writing containing a statement of the grounds of his opinion, prohibit until the danger is removed, the employment in or about the mine or part thereof any person where employment is not in his opinion reasonably necessary for the purpose of removing the danger.

(3) Where an order has been made under sub-section (2) by an Inspector, the owner, agent or manager of the mine may, within ten days after they confirm, modify or cancel the order.

(4) The Chief Inspector or the Inspector making a requisition under subsection (1) or an order under-section (2), and the Chief Inspector making an order (other than so order of cancellation) in appeal under sub-section (3), shall forthwith report the same to the ³[appropriate Government] and shall inform the owner, agent or manager of the mine that such report has been so made.

(5) If the owner, agent or manager of the mine objects to a requisition made under sub-section (1) or to an order made by the Chief Inspector under sub-section (2), or sub-section (3), he may, within twenty days after the receipt of the notice containing the requisition of the order or after the date of the decision of the appeal, as the case may be, send his objection in writing, stating the grounds thereof, to the ³[appropriate Government], which shall refer the same to a Committee.

(6) Every requisition made under sub-section (1), or order made under sub-section (2) or sub-section (3) to which objection is made under sub-section (5) shall be complied with pending the receipt at the mine of the decision of the Committee:

Provided that the Committee may, on the application of the owner, agent or manager, suspend the operation of a requisition under sub-section (1) pending its decision on the objection.

(7) Nothing in this section shall affect the powers of a Magistrate under section 144 of the Code of Criminal Procedure, 1898 (V of 1898).

20. Notice to be given of accidents.—⁴[(1) Whenever there occurs in or about a mine—

- (a) an accident causing loss of life or serious bodily injury, or
- (b) an accidental explosion, ignition, spontaneous heating, outbreak of fire or eruption or inrush of water or other liquid matter, or
- (c) an influx of inflammable or noxious gases, or
- (d) a breakage of ropes, chains or other gear by which persons or materials are lowered or raised in a shaft or an incline, or

¹The clause (b) omitted by Act XXIV of 1940, s.3.

²Ins. by the Mines (Amdt.) Act, 1973 (XLV of 1973), s. 11.

³Subs. by A.O., 1964, Art.2 and Sch., for "Central Government". Which had been subs. by A.O., 1937, for "Local Government".

⁴Subs. by the Mines (Amdt.) Act, 1973 (XLV of 1973), s. 12, for sub-section (1) which was previously amended by the Indian Mines (Amdt.) Act, 1935 (5 of 1935), s. 4.

- (e) an overwinding of cages or other means of conveyance in any shaft while persons or materials are being lowered or raised, or
- (f) an electric shock or burn caused by contact with a conductor carrying more than 25 volts, or
- (g) any other accident that may be prescribed,

the owner, agent or manager of the mine shall give notice of the occurrence to such authorities, in such form and within such time as may be prescribed.

(1A) Where a notice given under sub-section (1) relates to an accident causing loss of life, the Inspector shall make, or, where the authority receiving the notice is one other than the Inspector, that authority shall cause the Inspector to make, an inquiry into the occurrence as early as possible on receipt of such notice or on Information received otherwise.

(1B) When an accident causing loss of life occurs, the place of accident shall not be disturbed or tampered with for three clear days from the date of such accident unless the Inspector has earlier inspected it or given intimation that it is not proposed to make an inquiry:

Provided that the place of accident may be disturbed if it is necessary for securing the safety of the mine or the persons employed therein, subject to the following conditions :—

- (a) the decision that it is necessary to disturb the place must be taken by the manager ;
- (b) the disturbance must not prejudice subsequent investigation ;
- (c) the workers' representative must have reasonable opportunity to inspect the place if he wishes ;
- (d) an accurate plan must be made and copies thereof made available to the Inspector and the workers' representative ; and
- (e) everything which is relevant to the accident must be preserved as far as possible, in the condition in which it was at the time of the accident.]

¹[(2) The ²[appropriate Government] may, by notification in the ³[Official Gazette] direct that accidents other than those specified in subsection (1) which cause bodily injury resulting in the enforced absence from work of the person injured for a period exceeding forty-eight hours, shall be entered in a register in the prescribed form shall be subject to the provisions of sub-section (1).

(3) A copy of the entries in the register referred to in the sub-section (2) shall be sent by the owner, agent, or manager, of the mine, within fourteen days after the 30th day of June and the 31st. day of December in each year to the Chief Inspector.]

¹Sub-sections (2) and (3) were added, by Act V of 1935, s. 4.

²Subs. by A. O., 1964, Art. 2 and Sch., for "Central Government" which had been subs. by A.O., 1937, for "Local Government".

³Subs. by A. O., 1937, for "local official Gazette".

¹[**20A. Notice of occupational diseases.**—(1) Where any person employed in a mine contracts or is believed to have contracted any disease notified by the appropriate Government in the official Gazette as an occupational disease peculiar to any mining operation, the owner, agent or manager of the mine, as the case may be, shall send notice thereof to the Chief Inspector and to such other authorities, in such form and within such time as may be prescribed.

(2) The appropriate Government may, by order, appoint such qualified medical practitioners on such terms and conditions as it thinks fit to be certifying doctors for the purpose of this section within such local limits as it may specify in the order.

(3) If the Chief Inspector or an Inspector has reason to believe that any person working in a mine has contracted a disease notified under sub-section (1), he may refer that person to the certifying doctor for his opinion.

(4) If any qualified medical practitioner attends on a person who is or has been employed in a mine and who is or is believed by the medical practitioner to be suffering from any disease notified under sub-section (1), the medical practitioner shall without delay send a report in writing to the Chief Inspector stating—

- (a) the name and address of the patient ;
- (b) the disease from which the patient is or is believed to be suffering ; and
- (c) the name and address of the mine in which the patient is or was last employed.

(5) Where the report under sub-section (4) is confirmed to the satisfaction of the Chief Inspector by the certificate of a certifying doctor that the person is suffering from a disease notified under sub-section (1), the Chief Inspector shall pay to the medical practitioner such fee as may be prescribed, and the fee so paid shall be recoverable as an arrear of land revenue from the owner, agent or manager of the mine in which the person contracted the disease.

(6) The Chief Inspector or an Inspector, if so advised by the certifying doctor, may direct the owner, agent or manager of the mine to shift for any specified period a person who has contracted an occupational disease to such working place where there is less or no danger of aggravation of the disease.]

21. Power of Government to appoint court of inquiry in cases of accidents.— (1) When any accidental explosion, ignition, outbreak of fire or irruption of water or other accident has occurred in or about any mine, the ²[appropriate Government], if it is of opinion that a formal inquiry into the causes of, and circumstances attending, the accident ought to be held, may appoint a competent person to hold such inquiry, and may also appoint any person or persons possessing legal or special knowledge to act as assessor or assessors in holding the inquiry.

(2) The person appointed to hold any such inquiry shall have all the powers of a Civil Court under the Code of Civil Procedure, 1908 (V of 1908), for the purpose of enforcing the attendance of witnesses and compelling the production of documents and material objects; and every person required by such person as aforesaid to furnish any information shall be deemed to be legally bound to do so within the meaning of section 176 of the Pakistan Penal Code (XLV of 1860).

¹New section 20A ins. by the Mines (Amdt.) Act, 1973 (XLV of 1973), s. 13.

²Subs. by A. O., 1964, Art. 2 and Sch., for “Central Government” which had been subs. by A.O., 1937, for “Local Government”.

(3) A person holding an inquiry under this section may exercise such of the powers of an Inspector under this Act as he may think it necessary or expedient to exercise for the purposes of the inquiry.

(4) The person holding an inquiry under this section shall make a report to the ¹[appropriate Government] stating the causes of the accident and its circumstances, and adding any observations which he or any of the assessors may think fit to make.

22. Publications of reports.— The ¹[appropriate Government] may cause any report submitted by a committee under section 11 ²[and shall cause every report submitted] by a court of inquiry under section 21 to be published at such time and in such manner as it may think fit.

CHAPTER VI Hours and Limitation of Employment

³**22A. Weekly, day of rest.—** No person shall be allowed to work in a mine on more than six days in any one week.

22B. Hours of work above ground.—(1) A person employed above ground in a mine shall not be allowed to work for more than ⁴[forty eight] hours in any week or for more than ⁵[eight] hours in any day.

(2) The periods of work of any such person shall be so arranged that, along with his intervals for rest, they shall not in any day spread over more than ⁶[ten and a half] hours, and that he shall not work for more than ⁷[five] hours before he has had an interval for rest of at least ⁸[half an] hour.

(3) Persons belonging to two or more relays shall not be allowed to do work of the same kind above ground at the same moment:

Provided that for the purposes of this sub-section persons shall not be deemed to belong to separate relays by reason only of the fact that they receive their intervals for rest at different times.

22C. Hours of work below ground.—(1) A person employed below ground in a mine shall not be allowed to work for more than ⁹[eight] hours in any day.

(2) Work of the same kind shall not be carried on below ground in any mine for a period spreading over more than [eight] hours in any day except by a system of relays so arranged that the periods of work for each relays are not spread over more than ⁸[eight] hours.

(3) No person employed in a mine shall be allowed to be in any part of the mine below ground except during the periods of work shown in respect of him in the register kept under sub-section (1) of section 28.

¹Subs. by A. O., 1964, Art. 2 and Sch., for “Central Government” which had been subs. by A.O., 1937, for “Local Government”.

²Subs. by the Indian Mines (Amendment) Act, 1935 (5 of 1935), s. 5, for “or”

³Sections 22A to 22D were ins. by the Indian Mines (Amdt.) Act, 1935 (V of 1935), s. 6.

⁴Subs. by the Mines (Amdt.) Act, 1973 (XLV of 1973), s. 14, for “fifth four”.

⁵Subs. *ibid.*, for “ten”.

⁶Subs. *ibid.*, for “twelve”.

⁷Subs. *ibid.*, for “six”.

⁸Subs. *ibid.*, for “one”.

⁹Subs. by the Mines (Amdt.) Act, 1973 (XLV of 1973), s. 15, for “nine”.

22D. Special provision for night relays.— Where a worker works in a relay whose period of work extends over midnight, the ensuing day for him shall be deemed to be the period of twenty-four hours beginning at the end of the period of work fixed for the relay, and hours he has worked after midnight shall be counted towards the previous day.

¹[23. Prohibition of employment of certain persons.]— No person shall be allowed to work in a mine who has already been working in any other mine within the preceding twelve bouts.]

²23A. [Limitation of working hours.]— Repealed by the Indian mines [Amendment] Act, 1935 (S of 1935), s. 8.

³[23B. Notices regarding bouts of work.]—(1) The manager of every mine shall cause to be posted outside the office of the mine a notice in the prescribed form stating the time of the commencement and of the end of work at the mine and if it is proposed to work by a system of ⁴[relays] the time of the commencement and of the end of work for each ⁵[relay] ⁶[The notice shall also state the time of the commencement and of the end of the intervals for rest fixed for persons employed above ground] A copy of each such notice shall be sent to the Chief Inspector, if he so requires.

(2) In the case of a mine at which mining operations commence after the 14th day of April, 1930 the notice referred to in sub-section (1) shall in posted not less than seven days before the commencement of work.

(3) Where it is proposed to make any alteration in the time fixed for the commencement or for the end of work in the mine generally or for any ⁷[relay or in the rest intervals fixed for persons employed above ground] an amended notice in the prescribed form shall be posted outside the office of the mine not less than seven days before the change is made, and a copy of such notice shall be sent to the Chief Inspector not less than seven days before such change ⁸[* * *].]

⁹[(4) No person shall be allowed to work in a mine otherwise than in accordance with the notice required by sub-section (1)]

¹⁰[23C. Employment of women.]—(1) No woman shall be employed in any part of a mine which is below ground.

(2) No woman shall be allowed to work in a mine above ground between the hours of 7 P.M. and 6 A. M.

(3) The provisions of this section shall not apply to women who do to perform manual work and are—

- (a) holding positions of managerial or technical character ; or
- (b) employed in health and welfare services.]

¹Subs. by the Indian Mines (Amendment) Act, 1935 (V of 1935), s. 7 for the original section.

²This section was ins. by the Indian Mines (Amdt.) Act, 1928 (XIII of 1928), s. 3.

³Section 23B ins, *ibid*.

⁴Subs. by Act, V of 1935, s. 9 for “shifts”.

⁵Subs. *ibid*. for “shift”.

⁶Ins. *ibid*.

⁷Subs. by the Indian Mines (Amendment) Act, 1935 (V of 1935), s. 9 for “shifts”

⁸The comma and the words “, if he so requires or if the original notice was sent to him” omitted, *ibid*.

⁹Sub-section (4) ins, *ibid*.

¹⁰Subs. by the Mines (Amdt.) Act, 1973 (XLV of 1973), s. 16, for section 23C, which was previously amended by the Mines (Amdt.) Act, 1951 (XXIX of 1951), s. 2.

¹[**24. Supervising staff.**—Nothing in section 22B, section 22C, section 23, sub-section (4) of section 23B, or in section 23C shall apply to persons who may by rules be defined to be persons holding responsible positions of managerial or technical character or employed in health and welfare services or employed in any confidential capacity.]

25. Exemption from provisions regarding employment.—²[(1)] In case of an emergency involving serious risk to the safety of the mine or of persons employed therein, the manager may, subject to the provisions of section 19, permit persons to be employed in contravention of ³[section 22A, section 22B, section 22C, section 23 or sub-section (4) of section 23B] on such work as may be necessary to protect the safety of the mine or of the persons employed therein:

Provided that, where such occasion arises, a record of the fact shall immediately be made by the manager and shall be placed before the Chief Inspector or the Inspector at his next inspection of the mine.

⁴[(2) When as a result of grant of an exemption to any mine from the provisions of section 22A, any person employed therein is deprived of any of the weekly days of rest, he shall be allowed within two months from the date on which the weekly day of rest was due, compensatory days of rest equal in number to the days of rest of which he has been deprived.

(3) In case of prescribed processes which are required by their nature to be carried on continuously by a succession of shifts, fine limit of hours of work provided in section 22B or section 22C may, with the prior approval of the Chief Inspector, be raised to not more than fifty-six hours in any week or ten hours in any day.

(4) In exceptional cases of pressure of work, the Chief Inspector may grant temporary exemption to a mine from the provisions of section 22A, section 22B or section 22C for a period not exceeding ninety days in any calendar year, within the maximum limits of—

- (a) ten hours of work in any one day, and
- (b) twelve hours of spread over, inclusive of intervals for rest or meal, in any one day.

(5) Subject to the maximum limits specified in sub-section (4), the appropriate Government may, by order, grant permanent exemption, to such extent and subject to such conditions as may be specified in the order, to a class of workers engaged either on preparatory or complementary work which must necessarily be carried on outside the mines or on work which is essentially intermittent].

⁵[**25A. Extra stages for overtime.**—(1) Where in a mine a person works for more than eight hours in any day or works for more than forty-eight hours in any week, whether above ground or below ground, he shall in respect of such overtime work be entitled to wages at the rate of twice his ordinary rate of wages, the period of overtime work being calculated on a daily basis or weekly basis, whichever is more favourable to him.

¹Subs. by Act XXIX of 1951, s. 3, for the original s. 24, as amended by the Indian Mines (Amdt.) Act, 1935 (V of 1935), s. 10.

²Re numbered as sub-section (1) of that section by Act XLV of 1973, s. 17.

³Subs. by Act V of 1935, s. 11, for "section 23 or section 23A".

⁴Added by the Mines (Amdt.) Act, 1973 (XLV of 1973), s. 17.

⁵Ins. *ibid.*, s. 18.

Explanation.—In this sub-section ordinary rate of wages means all remuneration capable of being expressed in terms of money which would, if the terms of contract of employment, express or implied, were fulfilled, be payable to a worker in respect of his employment or of work done in such employment, but does not include—

- (i) the value of any house-accommodation, supply of light, water, medical attendance or other amenity ;
- (ii) any contribution paid by the owner to any pension fund or provident fund ;
- (iii) any travelling allowance or the value of travelling concession ;
- (iv) any sum paid to the person employed to defray special expenses entailed on him by the nature of his employment ; or
- (v) any gratuity, bonus, overtime allowance or share in profits of the mine.

(2) Where any person employed in a mine is paid on a piece-rate basis the appropriate Government, in consultation with the employer concerned and the representatives of the persons employed in the mine may, for the purposes of this section fix time rates as nearly as possible equivalent to the average rate of earnings of the persons so employed, and the rates so fixed shall be deemed to be the ordinary rates of wages of such persons.

(3) The appropriate Government may prescribe the registers that shall be maintained in a mine for the purpose of securing compliance with the provisions of this section.]

26. Children.—No child shall be employed in a mine, or be allowed to be present in any part of a mine which is below ground.

¹[**26A.—Young persons not to be employed without certificates of fitness.**— No person who has not completed his seventeenth year shall be ²[employed to any part of a mine], unless:

- (a) a certificate of fitness in the prescribed form and granted to him by a qualified medical practitioner is in the custody of the manager of the mine, and
- (b) he carries while at work a token giving a reference to such certificate.]

³[**26B. Limitation of working hours for young persons.**—No person who his not completed his seventeenth year shall be permitted to work in any part of a mine, either below ground or above ground unless the hours of work of such person for any day are so fixed as to allow an interval of rest of at least twelve consecutive hours which shall include at-least such seven consecutive hours between the hours of 7 p.m. and 7 a.m. as may be prescribed :

Provided that nothing in this section shall apply to any such person while employed or permitted to work in any mine as an apprentice or for the purpose of receiving vocational training, in such circumstances and in accordance with such conditions as may be prescribed ⁴[:]

¹Section 26A ins. by the Indian Mines (Amdt.) Act, 1935 (V of 1935) s. 12.

²Subs. by the Mines (Amdt.) Act, 1967 (VII of 1967), s. 2, for “allowed to be present in any part of a mine which is below ground”.

³Section 26B ins. by the Mines (Amdt.) Act, 1951 (XXIX of 1951), s. 4.

⁴Subs. by the Mines (Amdt.) Act, 1973 (XLV of 1973), s. 19, for the full-stop.

¹[Provided further that such person while so employed or permitted to work, shall be granted a rest period of at least thirteen consecutive hours between two working periods.]

27. Dispute as to age.—(1) If any question arises between the Chief inspector or the Inspector and the manager of any mine as to whether any Person is a child ²[or has not completed his seventeenth year] the question shall, in the absence of a certificate as to the age of such person granted in the prescribed manner, be referred by the Chief Inspector or the Inspector for decision to a qualified medical practitioner.

(2) Every certificate as to the age of a person which has been granted in the prescribed manner and any certificate granted by a qualified medical practitioner on a reference under sub-section (1) shall, for the purposes of this act, be conclusive evidence as to the age of the person to whom it relates.

³28. Register of employees.—(1) For every mine there shall be kept, in the prescribed form and place a. register of all persons employed in the mine showing, in respect of each such person,—

- (a) ⁴[name, date of birth and the nature] of his employment,
- (b) the periods of work fixed for him,
- (c) the intervals for rest, if any, to which he is entitled,
- (d) the days of rest to which he is entitled, and
- (e) where work is carried on by a system of relays, " the relay to which he belongs.

(2) The entries in the register prescribed by sub-section (1) shall be such that workers working in accordance therewith would not be working in contravention of any of the provisions of this Chapter.

(3) No person shall be employed in a mine until the particulars required by sub-section (1) have been recorded in the register in respect of such person and no person shall be employed except during the periods of work shown in respect of him in the register.

(4) For every mine which the ⁵[appropriate Government] may, by general or special order, declare this sub-section to be applicable, there shall be kept in the prescribed form and place a register which shall show at any moment the name of every person then working below ground in the mine.]

⁶[CHAPTER VI-A] LEAVE AND HOLIDAYS WITH WAGES

28A. Application of the Chapter.—Nothing in this Chapter shall affect any right or, privilege to which a person employed in a mine has been entitled on the date of coming into force of the Mines (Amendment) Ordinance, 1973,

¹Proviso added *ibid.*

²Ins. by the Indian Mines (Amdt.) Act, 1935 (V of 1935), s. 13.

³Subs. *ibid.*, s. 14, for the original section 28.

⁴Subs. by the Mines (Amdt.) Act, 1951 (XXIX of 1951), s. 5, for "the nature".

⁵Subs. by A. O., 1964, Art. 2 and Sch., for "Central Government", which had been subs. by A. O., 1937, for "Local Government".

⁶New Chapter VI-A ins by the Mines (Amdt.) Act, 1973 (XLV of 1973),s.20.

under any existing law or under any award, agreement, settlement, contract, custom or usage if such right or privilege is more favourable to him, nor shall such right or privilege be combined with or be in addition to, the benefits under the provisions of this Chapter.

28B. Annual leave with wages.—(1) Every person who has completed one year of continuous service in a mine shall be allowed during the subsequent period of twelve months leave with wages for a number of days calculated, at the rate of—

- (a) one day for every seventeen days of work performed below ground during the previous period of twelve months ;
- (b) one day for every twenty days of work performed above ground during the previous period of twelve months:

Provided that a period of leave shall be inclusive of any holiday which may occur during such period.

(2) If a person employed in a mine does not, in any such period of twelve months, take the leave to which he is entitled under subsection (1), either in whole or in part, such leave not taken by him shall be added to the leave to be allowed to him under that subsection in the succeeding period of twelve months:

Provided that such person shall cease to earn leave under this section when the leave due to him amounts to twenty days: Provided further that any leave applied for by a person but refused by the owner, agent or manager of the mine for any reason shall be added to the credit of such person beyond the aforesaid limit.

(3) If a person entitled to leave under subsection (1) is discharged before he has been allowed the leave or, if having applied for and having been refused the leave, he quits his employment before he has been allowed the leave, the owner, agent or manager shall pay him the amount payable under section 28E in respect of the leave.

(4) For the purpose of this section, a person shall be deemed to have completed a period of continuous service in a mine notwithstanding any interruption in service during that period due to—

- (a) any holiday;
- (b) any leave with wages;
- (c) any leave, with or without wages, due to sickness or accident ;
- (d) any maternity leave not exceeding twelve weeks ;
- (e) any period of layoff arising due to failure, refusal or inability of any owner on account of shortage of coal, power or raw material or the accumulation of stock or the breakdown of machinery or for any other reason, to give employment to a person whose name is borne in the muster rolls of his mine ;
or
- (f) a strike which is not illegal or a lockout which is not legal.

28C. Festival holidays.—Every person employed in a mine shall be allowed, with wages, such festival holidays as are declared by' the appropriate Government to be public holidays.

28D. Casual leave and sick leave.—Every person employed in a mine shall be entitled in a year to ten days' casual leave on full wages and sixteen days' sick leave on half average wages: Provided that casual leave or sick leave admissible under this section shall not be accumulated and carried forward to the succeeding year.

28E. Wages during leave or holiday periods.—For, the leave or holidays allowed to a person under the provisions of this Chapter, he shall be paid.—

- (a) in case of leave with full wages, at the rate equal to the daily average of his wages for the days on which he actually worked during the preceding three months ; and
- (b) in case of leave with half average wages, at the rate equal to half daily average of this wages as aforesaid.

28F. Payment in advance in certain cases.—Any person who has been allowed leave for not less than four days under section 28B shall, before his leave begins, be paid the wages due for the period of the leave allowed.

28G. Power of Inspector to act for workers.—Any Inspector may institute proceedings on behalf of any person who has been or is employed in a mine to recover any sum required to be, but not, paid by an owner, agent or manager in accordance with this Chapter.]

CHAPTER VII REGULATIONS, RULES AND BYE-LAWS

29. Power of appropriate Government to make regulations.—The ¹[appropriate Government] may, by notification in the ²[official Gazette], make regulations consistent with this Act for all or any of the following purposes, namely:—

- (a) for prescribing the qualifications to be required by a person for appointment as Chief Inspector or Inspector ;
- (b) for prescribing and regulating the duties and powers of the Chief inspector and of Inspectors in regard to the inspection of mines under this Act ;
- (c) for prescribing the duties of owners, agents and managers of mines and of persons acting under them ;
- (d) for prescribing the qualifications of managers of mines and of persons acting under them ;
- (e) for regulating the manner of ascertaining, by examination or otherwise, the qualifications of managers of mines and persons acting under them, and the granting and renewal of certificates of competency ;

¹Subs. by A.O., 1964, Art. 2 and Sch., for "Central Government" which had been subs. by A.O., 1937 for "Governor General in Council".

²Subs. by A. O., 1937, for "Gazette of India".

- (f) for fixing the fees, if any, to be paid in respect of such examinations and of the grant and renewal of such certificates ;
- (g) for determining the circumstances in which and the conditions subject to which it shall be lawful for more mines than one to be under a single manager, or for any mine or mines to be under a manager not having the prescribed qualifications;
- (h) for providing for the making of inquiries into charges of misconduct or incompetency on the part of managers of mines and persons action under them and for the suspension and cancellation of certificate of competency ;
- ¹(hh) for providing for the appointment in mines wherein two hundred and fifty or more persons are ordinarily employed of such number of welfare and safety officers as may be specified and for prescribing the qualifications and the duties to be performed by such officer;]
- (i) for regulating, subject to the provisions of the Explosives Act, 1884 (IV of 1884), and of any rules made thereunder, the storage and use of explosives ;
- ¹[(ii) for regulating, subject to the provisions of the Electricity Act, 1910 (IX of 1910), and the rules made thereunder, the generation, storage, transformation, transmission and use of electricity in mines and for providing for the care and the regulation of the use of all electrical apparatus and electrical cables in mines ;]
- (j) for prohibiting, restricting or regulating the employment in mines or in any class of mines of women either below ground or on particular kinds of labour which are attended by danger to the life, safety or health of such women ;
- ¹[(jj) for providing for and regulating the training of persons before they are employed in mines and also during the period of employment at such intervals as may be prescribed;
- (jjj) for providing for and regulating the medical examination of the persons before they are employed in mines and also during the period of employment at such intervals as may be prescribed ;]
- (k) for providing for the safety of the persons employed in a mine, their means of entrance there into and exit therefrom, the number of shafts or outlets to be furnished, and the fencing of shafts, pits, outlets, pathways and subsidences ;
- ²[(kk) for prohibiting the employment in a mine either as manager or in any other specified capacity of any persons except persons paid by the owner of the mine and directly answerable to the owner or manager of the mine] ;

¹Ins. by the Mines (Amdt.) Act, 1973 (XLV of 1973), s. 21.

²Cl. (kk) ins. by the Indian Mines (Amdt.) Act, 1940, (XXIV of 1940), s. 4.

- (l) for providing for the safety of the roads and working places in mines, including the siting and maintenance of pillars and the maintenance of sufficient barriers between mine and mine ;
- ¹[(ll) for prescribing the size of travelling roads in a mine, through which load is carried by human agency and limit of load and the distance to which it is carried ;
- (lll) for providing for and regulating the inspection of workings, disused working and sealed off fire areas in mines and for the restriction of working in a mine under or in the vicinity of goaves or the sea or any lake or river or any other body of surface water, whether natural or artificial, or of any public roads, or buildings;]
- (m) for providing for ²[and regulating] the ventilation of mines and the action to be taken, in respect of dust ³[ionising radiations, radioactive gases and dust, fire and inflammable] and noxious gases ;
- (n) for providing for the care, and the regulation of the use, of all machinery, ⁴[plant, equipment and material in mines];
- ¹[(nn) for providing for the safety of persons present on haulage roads in mines and for prohibiting, restricting or regulating the use of certain classes of locomotives underground;]
- ⁵[(o) for providing for adequate and suitable lighting in mines and for requiring and regulating the use of safety lamps and for the search of persons entering a mine for the prescribed prohibited articles ;]
- ¹[(oo) for prescribing protective equipments and clothings and breathing, apparatus for all persons or classes of persons employed in mines or classes of mines and requiring and regulating the use of such protective equipments, clothings and apparatus;]
- ⁶[(p) for providing against explosions or ignitions or irruptions of or accumulations of water in mines and against danger arising therefrom, and for prohibiting, restricting or regulating the extraction of minerals in circumstances likely to result in or to aggravate irruptions of water or ignitions in mines;]
- (q) for prescribing the notices of accidents and dangerous occurrences, and the notices, reports and returns of minerals output, persons employed and other matters provided for by regulations, to be furnished by owners, agents and managers of mines, and for prescribing the forms of such notices, returns and reports, the persons and authorities to whom they are to be furnished, the particulars to be contained in them, and the time within which they are to be submitted;

¹Ins. by the Mines (Amdt.) Act, 1973 (XLV of 1973), s. 21.

²Ins. by the Indian Mines (Amdt.) Act, 1936 (XI of 1936), s. 3.

³Subs. by Act XLV of 1973, s. 21.

⁴Subs. by Act XLV of 1973, s. 21, for "and plant and of all electrical apparatus used for signaling purposes."

⁵Subs. *ibid.*, s. 21, for clause (o).

⁶Subs. by the Indian Mines (Amdt.) Act, 1936 (XI of 1936), s. 3, for the original clause (p).

- ¹[(qq) for prescribing the form of, the authorities to whom, and the time within which, the notice required by sub-section (1) of section 20A shall be sent by the owner, agent or manager of a mine, and the fees to be paid to the medical practitioners under sub-section (5) of that section;]
- (r) for prescribing the plans to be kept by owners, agents and managers of mines and the manner and places in which such plans are to be kept for purposes of record ;
- (s) for regulating the procedure on the occurrence of accidents or accidental explosions or ignitions in or about mines.
- (t) for prescribing the form of, and the particulars to be contained in the notice to be given by the owner, agent or manager of a mine under section 14; and
- (u) for prescribing the notice to be given by the owner, agent or manager of a mine before mining operations are commenced at or extended to any point within fifty yards of any railway subject to the provisions of the Railways Act, 1890 (IX of 1980), or of any public work or classes of public works: which the ¹[appropriate Government] may, by general or special order, specify in this behalf.

30. Power of appropriate Government to make rules.—The ²[appropriate Government] may, ³[* * *] by notification in the ⁴[official Gazette], make ⁵rules consistent with this Act for all or any of the following purposes, namely:—

- (a) for providing for the appointment of chairman and members of Mining Boards, and for regulating the procedure of such Boards;
- ⁶[(aa) for prescribing the form of the register referred to in sub-section (2) of section 20;]
- ⁷[(aaa) for requiring facilities and security of service to be provided to managers of mines and other persons acting under them for enabling them to efficiently discharge their duties;]
- (b) for providing for the appointment of courts of inquiry under section 21, for regulating the procedure and powers of such courts, for the payment of travelling allowance to the members and for the recovery of the expenses of such courts from the manager, owner or agent of the mine concerned ;
- ⁸[(bb) for requiring the maintenance in mines wherein any women are ordinarily employed of suitable rooms to be reserved for the use of children under the age of six years belonging to such women, and for prescribing either generally or with particular reference to the number of women ordinarily employed in the mine, the number and standards of such rooms, and the nature and extent of the supervision to be provided therein ;]

¹Ins. by the Mines (Amdt.) Act, 1973 (XLV of 1973), s. 21.

²Subs. by A.O., 1964, Art. 2 and Sch., for "Central Government" which had been subs. by A.O., 1937, for "Local Government".

³The words "subject to the control of the Governor General in Council" omitted by A.O., 1937.

⁴Subs. *ibid.*, for "local official Gazette".

⁵For the Consolidated Mines Rules, 1952, see Gaz. of P., 1952, Pt. I, pp. 175-180.

⁶Cl. (aa) ins. by the Indian Mines (Amdt.) Act, 1935 (V of 1935), s. 15.

⁷Ins. by the Mines (Amdt.) Act, 1973 (XLV of 1973), s. 22.

⁸Cl. (bb) ins. by the Mines (Amdt.) Ordinance, 1945 (XVII of 1945), s. 2.

- ¹[(bbb) for requiring for the maintenance at or near pit-heads of bathing places equipped with shower baths and of locker-rooms for the use of men employed in mines and of similar and separate places and rooms for the use of women in mines where women are employed, and for prescribing, either generally or with particular reference to the number of men and women ordinarily employed in a mine, the number and standards of such places and rooms ;]
- ²[(bbbb)for prescribing the standard in respect of construction, accommodation, furniture and other equipment of the canteens, the food-stuffs to be served therein and the charges which may be made therefore and the representation of the persons employed in the mines in the management of such canteens ;]
- (c) for prescribing the scale of latrine and urinal accommodation to be provided at mines, the provision to be made for the supply of drinking-water, ²[the standard of first-aid rooms and shelters, the equipment and furniture therein and the nature and extent of supervision to be provided therefore,] the supply and maintenance of medical appliances and comforts, ³[* * *], and the training of men in ambulance work ;
- ⁴[(cc) for prescribing the forms of notices required under section 23B, and for requiring such notices to be posted also in specified vernaculars ;]
- ⁵[(ccc) to fix seven consecutive hours between 7 p.m. and 7 a.m. for the purposes of section 26 B ;
- (cccc) to specify the circumstances in which and conditions in accordance with which a young person may be employed or permitted to work as an apprentice or for the purposes of receiving vocational training in a mine for the purposes of the proviso to section 26B ;]
- (d) for defining the persons who shall, for the purposes of section 24, be deemed to be persons holding positions of supervision or management or employed in a confidential capacity ;
- (e) for prohibiting the employment in mines of persons or any class of persons who have not been certified by a qualified medical practitioner ⁶[to have completed their fifteenth year], and for prescribing the manner and the circumstances in which such certificates may be granted and revoked ;
- ⁷[(ee) for prescribing the form of the certificates of fitness required by section 26A and the circumstances in which such certificates may be granted and revoked ;]
- (f) for prescribing the form of ⁸[registers] required by section 28;

¹Cl. (bbb) ins. by the Indian Mines (Amdt.) Act, 1946 (II of 1946), s . 2.

²Ins. by the Mines (Amdt.) Act, 1973 (XLV of 1973), s. 22.

³The words “the formation and training of rescue brigades” omitted by the Indian Mines (Amendment) Act, 1936 (XI of 1938), s. 4.

⁴Cl. (cc) ins. by the Indian Mines (Amdt.) Act, 1928 (XIII of 1928), s. 6.

⁵Ins. by the Mines (Amdt.) Act, 1951 (XXIX of 1951),s. 6.

⁶Subs. by the Indian Mines (Amdt.) Act, 1935 (V of 1935), s. 15, for “to be more than thirteen years of age”.

⁷Cl. (ee) ins. *ibid.*

⁸Subs. *ibid.*, for “register”.

- ¹[(ff) to fix the time rates for the persons employed on piece-rated and for requiring the maintenance of payment registers overtime work and prescribing the form thereof ;
- (fff) for prescribing the forms in which record of applications for leave, the grant or refusal thereof and the payment of wages during leave and holidays with wages is to be kept ;]
- (g) for prescribing abstracts of this Act ²[and of the regulations and rules] and the vernacular in which the abstracts and ³[* * *] bye-laws shall be posted as required by sections 32 and 33 ;
- (h) for requiring the fencing of any mine or part of a mine, whether the same is being worked or not, where such fencing is necessary for the protection of the public ;
- (i) for the protection from injury, in respect of any mine when the workings are discontinued, of property vested in ⁴[Government] or any local authority or railway company as defined in the Railways Act, 1890 (IX of 1890) ;
- (j) for requiring notices, returns and reports in connection with any matters dealt with by rules to be furnished by owners, agents and managers of mines, and for prescribing the forms of such notices, returns and reports; the persons and authorities to whom they are to be furnished, the particulars to be contained in them, and the times within which they are to be submitted ; and
- (k) generally to provide for any matter not provided for by this Act or the regulations, provision for which is required in order to give effect to this Act.

⁵[30A. Power of appropriate Government to require rescue stations to be established.—The ⁶[appropriate Government] may, by notification in the ⁷[official Gazette], make ⁸[rules] under this section-

- ⁹[(a) requiring the establishment of central rescue stations for groups of specified mines or for all mines in a specified area, and prescribing how and by whom such stations shall be established ;
- (b) providing for the management of central rescue stations, and regulating the constitution powers and functions of, and the conduct of business by, the authorities (which shall include representatives of the owners and managers of, and of the miners employed in, the mines or groups of mines concerned) charged with such management ;

¹Ins. by the Mines (Amdt.) Act, 1973 (XLV of 1973), s. 22.

²Ins. by the Repealing and Amending Act, 1925 (XXVII of 1925), s. 2 and Sch. I.

³The words “the regulations, rules and” omitted, *ibid*.

⁴Subs. by A.O., 1961, Art. 2, for “His Majesty” (with effect from the 23rd March, 1956).

⁵Section 30-A ins. by the Indian Mines (Amdt.) Act, 1936 (XI of 1936), section 5.

⁶Subs. by A.O., 1964, Art. 2 and Sch., for “Central Government” which had been subs. by A.O., 1937 for “Governor General in Council”.

⁷Subs. by A.O., 1937, for “Gazette of India”.

⁸Subs. by the Indian Mines (Amdt.) Act, 1937 (XXIX of 1937), s. 4, for “regulations”.

⁹Subs. *ibid*., for the original clauses (a), (b), (c) and (d).

- (c) prescribing the position, equipment, control, maintenance and functions of central rescue stations ;
- (d) providing for the levy and collection of a duty of excise (at a rate not exceeding ¹[three paise] per ton), on coke and coal produced in and despatched from mines specified under clause (a) in any group or included under clause (a) in any specified area, the utilisation of the proceeds thereof for the creation of a central rescue station fund for such group or area and the administration of such funds;
- (e) providing for the formation, training, composition, and duties of rescue brigades ; and
- (f) providing generally for the conduct of rescue work in mines.]

31. Prior publication of regulations and rules.—(1) The power to make regulations and rules conferred by sections 29, ²[30 and 30A] is subject to the condition of the regulations and rules being made after previous publication.

(2) The date to be specified in accordance with clause (3) of section 23 of the General Clauses Act, 1897 (X of 1897), as that after which a draft of regulations or rules proposed to be made will be taken under consideration, shall not be less than three months from the date on which the draft of the proposed regulations or rules is published for general information.

(3) Before the draft of any regulation ³[* *] is published under this section it shall be referred ⁴[* *] to every Mining Board constituted in ⁵[Pakistan], ⁶[which is, in the opinion of the ⁷[appropriate Government], concerned with the subject dealt with by the regulation] ⁸[* *]; and the regulation ³[* *] shall not be so published until each such Board has had a reasonable opportunity of reporting as to the expediency of making the same and as to the suitability of its provisions.

⁹[(3A) No rule shall be made unless the draft thereof has been referred to every Mining Board constituted ¹⁰[in the part of ⁵[Pakistan] affected by the rule], and unless each Board has had a reasonable opportunity of reporting as to the expediency of making the same and as to the suitability of its provisions.]

(4) Regulations and rules shall be published in the ¹¹[official Gazette] ¹²[* *], and, on such publication, shall have effect as if enacted in this Act.

¹Subs. by the Mines (Amdt.) Act, 1973 (XLV of 1973), s. 23, for “six paise”

²Subs. by the Indian Mines (Amdt.) Act, 1937 (XXIX of 1937), s. 5, for “and 30”.

³The words “or rule” omitted by the Indian Mines (Amdt.) Act, 1928 (XIII of 1928), s. 7.

⁴The words “in the case of a regulation” omitted, *ibid*.

⁵Subs. by the Central Laws (Statue Reform) Ordinance, 1960 (XXI of 1960), s. 3 and 2nd Sch. (with effect from the 14th October, 1955), for “the Provinces and the Capital of the Federation”, which had been subs. by A.O., 1949, for “British India”.

⁶Ins. by the Indian Mines (Amdt.) Act, 1935 (V of 1935), s. 16.

⁷Subs. by A.O., 1964, Art. 2 and Sch., for “Central Government” which had been subs. by A.O., 1937, for “Governor General in Council”.

⁸The words “and in the case of a rule to every Mining Board constituted in the province” omitted by Act XIII of 1928, s. 7.

⁹Sub-section (3A) ins., *ibid*.

¹⁰Subs. by A.O., 1937, for “in the province for which it is proposed to make the rule”.

¹¹Subs. by A.O., 1937, for “Gazette of India”.

¹²The words “and the local official Gazette, respectively” were omitted, *ibid*.

¹[(5) The provisions of sub-sections (1), (2) and (3A) shall not apply to the first occasion on which rules referred to in clause (bb) ²[or clause (bbb) of section 30 are made.]

³**[31A. Power to make regulations without previous publication.]**—Notwithstanding anything contained in sub-sections (1), (2) and (3) of section 31, regulations under clause (i) and clauses (k) to (s) inclusive of section 29 may be made without previous publication and without previous reference to Mining Boards, if the ⁴[appropriate Government] is satisfied that for the prevention of apprehended danger or the speedy remedy of conditions likely to cause danger it is necessary in making such regulations to dispense with the delay that would result from such publication and reference:

Provided that any regulations so made shall not remain in force for more than two years from the making thereof.]

32. Bye-laws.—(1) The owner, agent or manager of a mine may, and shall, if called upon to do so by the Chief Inspector or Inspector, frame and submit to the Chief Inspector or Inspector a draft of such bye-laws, not being inconsistent with this Act or any regulations or rules for the time being in force, for the control and guidance of the persons acting in the management of, or employed in, the mine as such owner, agent or manager may deem necessary to prevent accidents and provide for the safety, convenience and discipline of the persons employed in the mine.

(2) If any such owner, agent or manager—

- (a) fails to submit within two months a draft of bye-laws after being called upon to do so by the Chief Inspector or Inspector, or
- (b) submits a draft of bye-laws which is not in the opinion of the Chief Inspector or Inspector sufficient,

the Chief Inspector or Inspector may—

- (i) propose a draft of such bye-laws as appear to him to be sufficient, or
- (ii) propose such amendments in any draft submitted to him by the owner, agent or manager as will, in his opinion, render it sufficient,

and shall send such draft bye-laws or draft amendments to the owner, agent or manager, as the case may be, for consideration.

(3) If within a period of two months from the date on which any draft bye-laws or draft amendments are sent by the Chief Inspector or Inspector to the owner, agent or manager under the provisions of sub-section (2), the Chief Inspector or Inspector and the owner, agent or manager, are unable to agree as to the terms of the bye-laws to be made under sub-section (1), the Chief Inspector or Inspector shall refer the draft bye-laws for settlement to the Mining Board or, where there is no Mining Board, to such officer or authority as the ⁵[appropriate Government] may, be general or special order, appoint in this behalf.

¹Added by the Mines (Amdt.) Ordinance, 1945 (XVII of 1945), s. 3, as amended by the Indian Mines (Amdt.) Act, 1946 (II of 1946), s. 3.

²Ins. by Act II of 1946, s. 3.

³Section 31A ins. by the Indian Mines (Amdt.) Act, 1936 (XI of 1936), section 6.

⁴Subs. by A.O., 1964, Art. 2 and Sch., for “Central Government” which had been subs. by A.O., 1937, for “Governor General in Council”.

⁵Subs. by A.O., 1964, Art. 2 and Sch., for “Central Government” which had been subs. by A.O., 1937, for “Local Government”.

- (4) (a) When such draft bye-laws have been agreed to by the owner, agent or manager and the Chief Inspector or Inspector, or, when they are unable to agree, have been settled by the Mining Board or such officer or authority as aforesaid, a copy of the draft bye-laws shall be sent by the Chief Inspector or Inspector to the ¹[appropriate Government] for approval.
- (b) The ¹[appropriate Government] may make such modifications of the draft bye-laws as it thinks fit.
- (c) Before the ¹[appropriate Government] approves the draft bye-laws, whether with or without modifications, there shall be published, in such manner as the ¹[appropriate Government] may think best adapted for informing the persons affected, notice of the proposal to make the bye-laws and of the place where copies of the draft bye-laws may be obtained, and of the time (which shall not be less than thirty days) within which any objections with reference to the draft bye-laws, made by or on behalf of persons affected should be sent to the ¹[appropriate Government].
- (d) Every objection shall be in writing and shall state—
- (i) the specific grounds of objection, and
- (ii) the omissions, additions and modifications asked for,
- (e) The ¹[appropriate Government] shall consider any objection made within the required time by or on behalf of persons appearing to it to be affected, and may approve the bye-laws either in the form in which they were published or after making such amendments thereto as it thinks fit.

(5) The bye-laws, when so approved by the ¹[appropriate Government], shall have effect as if enacted in this Act, and the owner, agent or the manager of the mine shall cause a copy of the bye-laws, in English and in such vernacular or vernaculars as may be prescribed, to be posted up in some conspicuous place at or near the mine, where the bye-laws may be conveniently read or seen by the persons employed; and, as often as the same became defaced, obliterated or destroyed, shall cause them to be renewed with all reasonable despatch.

(6) The ¹[appropriate Government] may, by order in writing, rescind, in whole or in part, any bye-law so made, and thereupon such bye-law shall cease to have effect accordingly.

33. Posting up of abstracts from Act, regulations, etc.—There shall be kept posted up or near, every mine in English and in such vernacular or vernaculars as may be prescribed, the prescribed abstracts of the Act and of the regulations and rules.

CHAPTER VIII PENALTIES AND PROCEDURE

34. Obstruction.—(1) Whoever obstructs the Chief Inspector, an Inspector or any Person authorised under section 7 in the discharge of his duties under this Act, or refuses or wilfully neglects to afford the Chief Inspector, an Inspector or such person any reasonable facility for making any entry, inspection, examination or inquiry authorised by or under this Act in relation to any mine, shall

¹Subs. by A.O., 1964, Art. 2 and Sch., for “Central Government” which had been subs. by A.O., 1937, for “Local Government”.

be punishable with imprisonment for a term which may extend to three months, or with fine which may extend to ¹[one thousand] rupees, or with both.

(2) Whoever refuses to produce on the demand of the Chief Inspector or Inspector any registers or other documents kept in pursuance of this Act, or prevents or attempts to prevent or does anything which he has reason to believe to be likely to prevent, any person from appearing before or being examined by an inspecting officer acting in pursuance of his duties under this Act shall be punishable with fine which may extend to ²[six] hundred rupees.

35. Falsification of records, etc.—Whoever—

- (a) counterfeits, or knowingly makes a false statement in, any certificates, or any official copy of certificates, granted under this Act, or
- (b) knowingly uses as true any such counterfeit or false certificate, or
- (c) makes or produces or uses any false declaration, statement or evidence knowing the same to be false, for the purpose of obtaining for himself or for any other person a certificate, or the renewal of a certificate, under this Act, or any employment in a mine, or
- (d) falsifies any plan or register or record the maintenance of which is required by or under this Act,
- (e) makes, gives or delivers any plan, return, notice, record or report containing a statement, entry or detail which is not to the best of his knowledge or belief true.

shall be punishable with imprisonment for a term which may extend to three months, or with fine which may extend to ³[one thousand] rupees, or with both.

36. Omission to furnish plans, etc.—Any person who, without reasonable excuse the burden of proving which shall lie upon him, omits to make or furnish in the prescribed form or manner at or within the prescribed time any plan, return, notice, register, record or report required by or under this Act to be made or furnished shall be punishable with fine which may extend to ⁴[four] hundred rupees.

37. Contraventions of provisions regarding employment of labour.—Whoever save as permitted by section 25 contravenes any provision of this Act or of any regulation, rule or bye-law or any order made thereunder prohibiting, restricting or regulating the employment or presence of persons in or about a mine shall be punishable with fine which may extend to ⁵[one thousand] rupees.

38. Notice of accidents.—⁶[(1)] Wherever, in contravention of the provision ⁷[of sub-section (1)] of section 20, fails to give notice of any accidental occurrence shall,

¹Subs. by the Mines (Amdt.) Act, 1973 (XLV of 1973), s. 24, for “Five hundred”.

²Subs. by the Mines (Amdt.) Act, 1973 (XLV of 1973), s. 24, for “three”.

³Subs. *ibid.*, s. 25, for “five hundred”.

⁴Subs. *ibid.*, s. 26, for “two”.

⁵Subs. *ibid.*, s. 27, for “five hundred”.

⁶Original section 38 re-numbered as sub-section (1) by the Indian Mines (Amdt.) Act, 1935 (V of 1935), s. 17.

⁷Ins. *ibid.*

if the occurrence results in serious bodily injury be punishable with fine which may extend to ¹[one thousand] rupees or, if the occurrence results in loss of, life, be punishable with imprisonment which may extend to the months or with fine which may extend to ¹[one thousand] rupees, or with both.

²[(2) Whoever in contravention of a direction made by the ³[appropriate Government] under sub-section (2) of section 20 fails to record in the presented register or to give notice of any accidental occurrence shall be punishable with fine which may extend to ¹[one thousand] rupees.]

39. Disobedience of orders.—Whoever contravenes any provisions of the Act or of any regulation, rule or bye-law or of any order made thereunder for the contravention of which no penalty is hereinbefore provided shall be punishable with fine which may extend to ⁴[two] thousand rupees, and, in the case of a continuing contravention, with a further fine which may extend to ⁴[two] hundred rupees for every day on which the offender is proved to have persisted in the contravention after the date of the first conviction.

40. Contravention of law with dangerous results.—(1) Notwithstanding anything hereinbefore contained whoever contravenes any provision of this Act or of any regulation, rule or bye-law or of any order made thereunder, shall be punishable, if such contravention results in loss of life, with imprisonment which may extend to one year, or with fine which may extend to ⁵[four] thousand rupees, or with both; or, if such contravention results in serious bodily injury, with imprisonment which may extend to six months, or with fine which may extend to ⁶[two] thousand rupees, or with both; or, if such contravention otherwise causes injury, or danger to workers or other persons in or about the mine with imprisonment which may extend to one month, or with fine which may extend to ⁷[one thousand] rupees or with both.

(2) Where a person having been convicted under this section is again convicted thereunder, he shall be punishable with double the punishment provided by sub-section (1).

(3) Any Court imposing, confirming in appeal, revision or otherwise, a sentence of fine passed under this section may, when passing judgment, order the whole or any part of the fine recovered to be paid as compensation to the person injured, or, in the case of his death, to his legal representative

Provided that, if the fine is imposed in a case which is subject to appeal, no such payment shall be made before the period allowed for presenting the appeal has elapsed, or, if an appeal has been presented, before the decision of the appeal.

⁸[40A. Special provision regarding fine.—Notwithstanding anything contained in section 32 of the Code of Criminal Procedure, 1898 (Act V of 1898), it shall be lawful for a Magistrate of the first class to pass a sentence of fine exceeding one thousand rupees authorised by this, Act on any person convicted of an offence thereunder.]

41. Prosecution of owner, agent or manager.—No prosecution shall be instituted, against any owner, agent or manager for any offence under this Act except at the instance of the Chief Inspector or of the District Magistrate or of an Inspector authorised in this behalf by general or special order in writing by the Chief Inspector.

¹Subs. by the Mines (Amdt.) Act, 1973 (XLV of 1973), s. 28, for “five hundred”.

²Sub-section (2) added, by Act V of 1935, s. 17.

³Subs. by A.O., 1964, Art. 2 and Sch., for “Central Government” which had been subs. by A.O., 1937, for “Local Government”.

⁴Subs. by Act XLV of 1973, s. 29, for “one”.

⁵Subs. *ibid.*, for “two thousand”.

⁶Subs. *ibid.*, s. 30, for “one thousand”.

⁷Subs. *ibid.*, for “five hundred”.

⁸Ins. by the Mines (Amdt.) Act, 1973 (XLV of 1973), s. 31.

¹[42. Limitation of promotion.]— No court shall take cognizance of any offence under this Act unless complaint thereof has been made—

- (i) within six months of the date on which the offence is alleged to have been committed, or
- (ii) within six months of the date on which the alleged commission of the offence came to the knowledge of the Inspector, or
- (iii) in any case where a person has been appointed by the appropriate Government under section 21 to hold an inquiry, within six months of the date of the making of the report referred to in sub-section (4) of that section, whichever is the later.]

43. Cognizance of Offences.—No Court inferior to that of a ²[* * *] Magistrate of the first class shall try any offence under this Act which is alleged to, have been committed by any owner agent or manager of a mine or any offence which is, by this Act made punishable with imprisonment.

44. Reference to Mining Board or Committee in lieu of prosecution in certain cases.—(1) If the Court trying any case instituted at the instance of the Chief Inspector or of the District Magistrate or of an Inspector under this Act is of opinion that the case is one which should in lieu of a prosecution, be referred to a Mining Board or a Committee, it may stay the Criminal proceedings and report the matter to the ³[appropriate Government] with a view to such reference being made.

(2) On receipt of a report under sub-section (1), the ³[appropriate Government] may refer the case to a Mining Board or a Committee, or may direct the Court to proceed with the trial.

CHAPTER IX MISCELLANEOUS

45. Decision of question whether a mine is under this Act.— If any question arises as to whether any excavation or working is a mine within the meaning of this Act, the ³[appropriate Government] may decide the question, and a certificate signed by a Secretary of the ³[appropriate Government] shall be conclusive on the point.

46. Power to exempt from operation of Act.—(1) The ⁴[appropriate Government] may, by ⁵notification in the ⁶[Official Gazette], exempt ⁷[either absolutely or subject to any specified conditions] any local area or any mine or group or class of mines or any part of a mine or any class of persons from the operation of all or any specified provisions of this Act:

Provided that no local area or mine or group or class of mines shall be exempted from the provisions of section 26 unless it is also exempted from the operation of all the other provisions of this Act ⁸[:]

¹Subs. *ibid.*, s. 32, for the original section 42.

²The words “Presidency Magistrate or” omitted by A.O., 1949.

³Subs. by A.O., 1964., Art. 2 and Sch., for “Central Government” which had been subs. by A.O., 1937, for “Local Government”.

⁴Subs. by A.O., 1964, Art. 2 and Sch., for “Central Government” which had been subs. by A.O., 1937, for “Government General in Council”.

⁵For Notifying Exempting the Attock Oil Co. Ltd., from the provisions of sub-section (2) of section 22B of this Act, see Gaz. of P., 1953, Pt. I, p. 122.

⁶Subs. by A.O., 1937, for “Gazette of India”.

⁷Ins. by the Indian Mines (Amdt.) Act, 1935 (V of 1935), s. 18.

⁸Subs. by the Mines (Amdt.) Act, 1967 (VII of 1967), s. 3, for fullstop.

¹[Provided further that no exemption from the operation of the provisions of section 23C shall be granted unless, in case of an emergency, the national interest so requires and the employers' and workers' organisation have been consulted ²[:]

³[Provided further that no exemption from the operation of the provisions of section 22B or section 22C or section 25A shall be granted except in the event of war or other emergency threatening the national safety.

⁴[* * * * *]

47. Power to alter or rescind orders.—The ⁵[appropriate Government] ⁶[* * *] may reverse or modify any order passed under this Act ⁷[* * *] .

48. Application of Act to Government mines.—This Act shall apply to mines belonging to the ⁸[Government].

49. Saving.—No suit, prosecution or other legal proceeding whatever shall lie against any person for anything which is in good faith done or intended to be done under this Act.

50. [Repeals] *Rep. by the Repealing Act, 1927 (XII of 1927), s. 2 and Schedule.*

THE SCHEDULE. [ENACTMENTS REPEALED.] *Rep. by the Repealing Act, 1927 (XII of 1927), s. 2 and Schedule.*



THE PAKISTAN CODE

Dated: 05.04.24

¹Proviso added. by the Mines (Amdt.) Act, 1967 (VII of 1967), s. 3.

²Subs. by the Mines (Amdt.) Act, 1973 (XLV of 1973), s. 33, for fullstop.

³Proviso added. by the Mines (Amdt.) Act, 1973 (XLV of 1973), s. 33.

⁴Sub-section (2) omitted by A.O., 1937.

⁵Subs. by A.O., 1964, Art. 2 and Sch., for "Central Government" which had been subs. by A.O., 1937, for "Government General in Council".

⁶The words "and every Local Government" omitted, by A.O., 1937.

⁷The words "by any authority subject to his or its control, as the case may be" omitted, ibid.

⁸Subs. by A.O., 1961, Art. 2., for "Crown" (with effect from 23rd March, 1956).



INDUSTRIAL RELATIONS ACT, 2012



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SCHEDULE-I

PUBLIC UTILITY SERVICES

SCHEDULE-II

RIGHTS AND DUTIES OF EMPLOYERS AND WORKERS

INDUSTRIAL RELATIONS ACT, 2012

Act No. X of 2012

[14th March, 2012]

An Act to consolidate and rationalize the law relating to formation of trade unions, and improvement of relations between employers and workmen in the Islamabad Capital Territory and in trans-provincial establishments and industry

WHEREAS, the Constitution of the Islamic Republic of Pakistan recognizes the freedom of association as a fundamental right of the citizens;

AND WHEREAS the Islamic Republic of Pakistan has ratified ILO Convention No.87 on Freedom of Association and Convention No.98 on Right to Organize and Collective Bargaining;

AND WHEREAS it is expedient to consolidate and rationalize the law in Islamabad Capital Territory and at trans-provincial level, relating to formation of trade unions and federations or trade unions, determining the collective bargaining agents, regulation of relations between employers and workers, the avoidance and settlement of any differences or disputes arising between them or matters connected therewith and ancillary thereto;

It is hereby enacted as follows:—

CHAPTER-I PRELIMINARY

1. Short title, extent, application and commencement.— (1) This Act may be called the Industrial Relations Act, 2012.

(2) Subject to sub-section (3), it extends to the whole of Pakistan.

(3) It shall apply to all persons employed in any establishment or industry, in the Islamabad Capital Territory or carrying on business in more than one province, but shall not apply to any person employed—

- (a) in the Police or any of the Defence Services of Pakistan or any services or installations exclusively connected with the Armed Forces of Pakistan including an Ordnance Factory maintained by the Federal Government;
- (b) in the administration of the State other than those employed as workmen;
- (c) as a member of the Security Staff of the Pakistan International Airlines Corporation or drawing wages in pay group not lower than Group V in the

establishment of that Corporation as the Federal Government may, in the public interest or in the interest of security of the Airlines, by notification in the official Gazette, specify in this behalf;

- (d) by the Pakistan Security Printing Corporation or the Security Papers Limited; and
- (e) by an establishment or institution for the treatment or care of sick, infirm, destitute or mentally unfit persons excluding those run on commercial basis.

(4) It shall come into force at once.

2. Definitions.—In this Act, unless there is anything repugnant in the subject or context,—

- (i) “arbitrator” means a person appointed as such under Section 40;
- (ii) “award” means the determination by the Commission or Arbitrator of any industrial dispute or any matter relating thereto and includes an interim award;
- (iii) “Bench” and “Full Bench” mean a Bench and Full Bench of the Commission;
- (iv) “collective bargaining agent” in relation to an establishment, group of establishments or industry, means the trade union of the workmen which under Section 19, is the agent of workmen in the establishment or, as the case may be, industry, in the matter of collective bargaining;
- (v) “collective bargaining unit” means those workers or class of workers of an employer in one or more establishment falling within the same class of industry whose terms and conditions of employment are, or could appropriately be, the subject of collective bargaining together;
- (vi) “Commission” means the Industrial Relations Commission constituted under Section 53;
- (vii) “conciliation proceedings” means any proceedings before a conciliator;
- (viii) “Conciliator” means a person appointed as such under Section 36;
- (ix) “employer” in relation to an establishment, means any person or body of persons, whether incorporated or not, who or which employs workmen in the establishment under a contract of employment and includes—
 - (a) an heir, successor or assign, as the case may be, of such person or body as aforesaid;
 - (b) any person responsible for the management and control of the establishment;

- (c) in relation to an establishment run by or under the authority of any department of the Federal Government, the authority appointed in this behalf or, where no authority is so appointed, the Head of the department;
- (d) in relation to an establishment run by or on behalf of a local authority, the officer appointed in this behalf, or where no officer is so appointed, the chief executive officer of that authority;

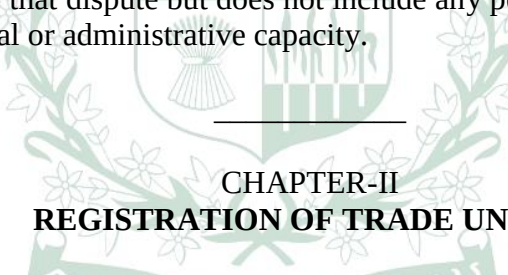
Explanation.—For the purpose of distinction from the category of “workers” or “workmen”, officers and employees of a department of the Federal Government who belong to the superior, managerial, secretarial, directorial, supervisory or agency staff and who have been notified for this purpose in the official Gazette shall be deemed to fall within the category of “employers”; and

- (e) in relation to any other establishment, the proprietor of such establishment and every director, manager, secretary, agent or officer or person concerned with the management of the affairs thereof;
- (x) “establishment” means any office, firm, factory, society, undertaking, company, shop or enterprise, which employs workmen directly or through a contractor for the purpose of carrying on any business or industry and includes all its departments and branches in the Islamabad Capital Territory or falling in more than one province, whether situated in the same place or in different places and except in Section 62 includes a collective bargaining unit, if any, constituted by any establishment or group of establishments;
- (xi) “executive” means the body, by whatever name called, to which the management of the affairs of a trade union is entrusted by its constitution;
- (xii) “Government” means the Federal Government;
- (xiii) “Group of establishments” means establishments belonging to the same employer and the same industry;
- (xiv) “illegal lock-out” means a lock-out declared, commenced or continues otherwise than in the provisions of this Act;
- (xv) “illegal strike” means a strike declared, commenced or continues otherwise than in accordance with the provisions of this Act;
- (xvi) “industrial dispute” means any dispute or difference between employers and employees or between employers and workmen or between workmen and workmen which is connected with the employment or non-employment or the terms of employment or the conditions of work of any person;

- (xvii) “industry” includes any business, trade, calling, employment or occupation for production of goods or provisions of services in the Islamabad Capital Territory and falling in more than province, and excluding those set up exclusively for charitable purposes;
- (xviii) “industry-wise trade union” means a trade union having its membership in more than one province in a group of establishments owned by one employer;
- (xix) “inspector” means an inspector appointed under this Act;
- (xx) “Labour Court” means a Labour Court established in a province;
- (xxi) “lock-out” means the closing of place of employment or part of such place, or the suspension, wholly or partly, of work by an employer, or refusal, absolute or conditional, by an employer to continue to employ any number of workmen employed by him, where such closing, suspension or refusal occurs in connection with an industrial dispute or is intended for the purpose of compelling workmen to accept certain terms and conditions of or affecting employment;
- (xxii) “officer” in relation to a trade union, means any member of the executive thereof but does not include an auditor or legal adviser;
- (xxiii) “organization” means any organization of workers or of employers for furthering and defending the interests of workers or of employers;
- (xxiv) “prescribed” means prescribed by rules;
- (xxv) “public utility service” means any of the services specified in Schedule I;
- (xxvi) “registered trade union” means a trade union registered under this Act;
- (xxvii) “Registrar” means a Registrar of trade unions appointed under Section 4;
- (xxviii) “rules” and “regulations” mean rules and regulations made under this Act;
- (xxix) “settlement” means a settlement arrived at in the course of a conciliation proceeding, and includes an agreement between an employer and his workmen where there is no Collective Bargaining Agent, or Collective Bargaining Agent, as the case may be, arrived at or in the course of any conciliation proceedings, where such agreement is in writing, has been signed by the parties thereto in such manner as may be prescribed and a copy thereof has been sent to the Government, the Conciliator and such other person as may be prescribed;
- (xxx) “strike” means a cessation of work by a body of persons employed in any establishment acting in combination or a concerted refusal, or refusal under a

common understanding of any number of persons who have been so employed to continue to work or to accept employment;

- (xxxi) “trade union” means any combination of workmen or employers formed primarily for the purpose of regulating the relations between workmen and employers, or workmen and workmen or employers and employers, or for imposing restrictive conditions on the conduct of any trade or business, and includes a federation of two or more trade unions;
- (xxxii) “trans-provincial” means any establishment, group of establishments, industry, having its branches in more than one province;
- (xxxiii) “worker” and “workman” mean person not falling within the definition of employer who is employed (including employment as a supervisor or as an apprentice) in an establishment or industry for hire or reward either directly or through a contractor whether the terms of employment are express or implied, and, for the purpose of any proceedings under this Act in relation to an industrial dispute includes a person who has been dismissed, discharged, retrenched, laid off or otherwise removed from employment in connection with or as a consequence of that dispute or whose dismissal, discharge, retrenchment, lay-off, or removal has led to that dispute but does not include any person who is employed mainly in managerial or administrative capacity.



CHAPTER-II REGISTRATION OF TRADE UNIONS

3. Trade unions and freedom of association.— Subject to the provisions of this Act and notwithstanding any other law for the time being in force,—

- (a) workers, without distinction whatsoever, shall have the right to establish and, subject to the rules of the organization concerned, to join international associations of their own choice without previous authorization:

Provided that in the establishment where women are also employed the Trade Union shall include the women in the executive of the said trade union with the same proportion in which they are employed in the establishment:

Provided further that no worker shall be entitled to be a member of more than one trade union at any one time and on joining another union the earlier membership shall automatically stand cancelled;

- (b) employers, without distinction whatsoever, shall have the right to establish and, subject only to the rules of the organization concerned, to join international associations of their own choice without previous authorization:

- (c) every trade union and employers association shall frame its own constitution and rules to elect its representatives in full freedom to organize its administration and activities and to formulate its programmes; and
- (d) workers, and employers organizations shall have the right to establish and join federations and confederations and any such organization, federation or confederation shall have the right to affiliate with international organizations and confederations of workers' and employers' organisations.

4. Registrar of trade unions.— For the purpose of this Act, the Government shall, by notification in the official Gazette, appoint the Registrar of Trade Unions who shall be assisted by one or more Joint Registrars.

5. Powers and functions of Registrar.— The Registrar, and the Joint Registrars, as the case may be, shall have the following powers and functions:—

- (a) the registration of trade unions under this Act and the maintenance of a register for the purpose;
- (b) to lodge, or authorize any person to lodge, complaints with the Commission for action, including prosecution, against trade unions, employers, workers or other persons for any alleged offence or any unfair labour practice or violation of any provision of the Act or for expending the funds of a trade union in contravention of the provisions of its constitution;
- (c) the determination of the question as to which one of the trade unions in an establishment or an industry is entitled to be certified as the collective bargaining agent in relation to that establishment or industry;
- (d) to inspect the accounts and record of the registered trade unions, or investigate or hold such inquiry in the affairs of the trade unions as he deems fit either by himself or through any officer subordinate to him and to authorize him in writing in this behalf; and
- (e) such other powers and functions as may be prescribed.

6. Application for registration.— Any trade union may, under the signature of its President and the Secretary, apply to the Registrar for registration of the trade union under this Act:

Provided that there shall be at least two trade unions in an establishment.

7. Requirements for application.— Every application for registration of Trade Union shall be made to the Registrar and shall be accompanied by—

- (a) a statement showing,—

- (i) the name of the trade union and the address of its Head Office;
 - (ii) date of formation of the union;
 - (iii) the titles, names, ages, addresses and occupations of the officers of the trade union;
 - (iv) statement of total paid membership;
 - (v) the name of the establishment or group of establishments, or the industry, as the case may be, to which the trade union relates along with a statement of the total number of workers employed therein;
 - (vi) the names and addresses of the registered trade unions in the establishment group of establishments or industry, as the case may be, to which the union relates; and
 - (vii) in case of a federation of trade unions, the names, addresses and registration number of member-unions;
- (b) three copies of the constitution of the trade union together with a copy of the resolution by the members of the trade union adopting such constitution bearing the signature of the Chairman of the meeting;
 - (c) a copy of the resolution by the members of the trade union authorizing its President and the Secretary to apply for its registration; and
 - (d) in case of a federation of trade unions, a copy of the resolution from each of the constituent unions agreeing to become a member of the federation.

8. Requirements for registration.— (1) A trade union shall not be entitled to registration under this Act unless the constitution thereof provides for the following matters, namely:—

- (a) the name and address of the trade union;
- (b) the objects for which the trade union has been formed;
- (c) the purposes for which the general funds of the union shall be utilized;
- (d) the number of persons forming the executive which shall not exceed the prescribed limit and shall include not less than seventy five percent from amongst the workmen actually engaged or employed in the establishment or establishments or the industry for which the trade union has been formed;

Provided that the condition of being employed in any establishment or an industry as aforesaid shall not apply to the remaining twenty-five percent of the members of such executives;

- (e) the conditions under which a member shall be entitled to any benefit assured by the constitution of the trade union and under which any fine or forfeiture may be imposed on him;
- (f) the maintenance of a list of the members of the trade union and of adequate facilities for the inspection thereof by the officers and members of the trade union;
- (g) the manner in which the constitution shall be amended, varied or rescinded;
- (h) the safe custody of the funds of the trade union, its annual audit, the manner of audit and adequate facilities for inspection of the account books by the officers and members of the trade union;
- (i) the manner in which the trade union may be dissolved;
- (j) the manner of election of officers by the general body of the trade union and the term, not exceeding two years, for which an officer may hold office upon his election or re-election;
- (k) the procedure for expressing no confidence in any officer of the trade union; and
- (l) the meeting of the executive and of the general body of the trade union so that the executive shall meet at least once in every three months and the general body at least once a year.

(2) Without prejudice to the provisions of sub-section (1), a trade union of workmen shall not be entitled to registration under this Act—

- (a) unless all its members are workmen actually engaged or employed in the industry with which the trade union is connected;

Explanation.— For the purpose of this clause, a dismissed, terminated or retrenched worker, whose dismissal, termination or retrenchment is pending adjudication before a Court of competent jurisdiction, shall be deemed to be an employed worker of that establishment, and

- (b) where there are two or more registered trade unions in the establishment, group of establishments or industry with which the trade union is connected, unless it has as its members not less than one-fifth of the total number of workmen employed in such establishment, group of establishments or industry, as the case may be.

9. Registration.— (1) On receipt of application for registration, the Registrar shall ensure compliance of Sections 7 and 8 of this Act, and issue the registration certificate in the prescribed form within seven days.

(2) In case the application has been rejected or a certificate of registration has not been issued within a period of seven days as provided in sub-section (1), as the case may be, the trade union may appeal to the Commission who, for reasons to be stated in its judgment, may pass an order directing the Registrar to register the trade union and to issue a certificate of registration or may dismiss the appeal.

(3) Notwithstanding anything contained in any other provision of this Act, every alteration made in the constitution of a registered trade union and every change of its officers shall be notified by registered post by the trade union to the Registrar within fifteen days of such change.

(4) The Registrar may refuse to register such change or alteration if it is in contravention of any of the provisions of this Act or if it is in violation of the constitution of the trade union.

(5) Subject to the provision of sub-section (4), every inclusion or exclusion of any constituent unit of a federation of trade unions shall be notified by registered post by the federation to the Registrar within fifteen days of such inclusion or exclusion.

(6) In case there is a dispute in relation to the change of officers of a trade union, or any trade union is aggrieved by the refusal of the Registrar under sub-section (4), the Registrar may, after satisfying himself that a dispute exists, hold fresh elections under his supervision.

10. Certificate of registration.— The Registrar, on registering a trade union under Section 9, shall issue a certificate of registration in the prescribed form which shall be conclusive evidence that the trade union has been duly registered under this Act.

11. Cancellation of registration.— (1) Subject to other provisions of this section, the registration of a trade union may be cancelled by the Registrar if the trade union has—

- (a) contravened or has been registered in contravention of any of the provisions of this Act or the rules;
- (b) applied for such cancellation or ceased to exist;
- (c) obtained registration by fraud or by misrepresentation of facts;
- (d) obtained less than ten percent of total votes polled in an election for determination of a Collective Bargaining Agent, or is not a contestant in such election;
- (e) failed to submit its annual returns to the Registrar as required under this Act or the rules;
- (f) contravened any of the provisions of its constitution; or

- (g) made in its constitution any provision which is inconsistent with this Act or the rules.

(2) Where the Registrar is of opinion that the registration of a trade union should be cancelled, he shall submit an application to the Commission praying for permission to cancel such registration.

(3) The Registrar shall cancel the registration of a trade union within seven days from the date of receipt of permission from the Commission.

(4) The registration of a trade union shall not be cancelled on the ground mentioned in clause (d) of sub-section (1) if the unfair labour practice is not committed within three months prior to the date of submission of the application to the Commission.

(5) Where any person who is disqualified under Section 18 from being 10 member or elected as, or from being an officer of a trade union is elected as an officer of a registered trade union, the registration of that trade union shall be cancelled if the Commission, upon a complaint in writing made in this behalf by the Registrar, so directs.

(6) The registration of a trade union shall be cancelled by the Registrar if, after holding such inquiry as he deems fit, he finds that such trade union has dissolved itself or has ceased to exist.

12. Appeal against the order/decisions etc. of Registrar.— A trade union, its members or an officer may prefer an appeal against the order, decision and proceeding conducted by the Registrar within thirty days before the Commission

13. Incorporation of registered trade union.— (1) Every registered trade union shall be a body corporate by the name under which it is registered, shall have perpetual succession and a common seal and the power to contract and to acquire, hold and dispose of property, both movable and immovable, and shall by the said name sue or be sued.

(2) The Societies Registration Act, 1860 (XXIV of 1860), the Cooperative Societies Act, 1925 (W.P. Act VII of 1925) and the Companies Act, 1984 (XLVII of 1984), shall not apply to any registered trade union and the registration of any trade union under any of these Acts shall be void.

14. Registration of federation of trade unions.— (1) Any two or more registered trade unions may, if their respective general bodies so resolve, constitute a federation by executing an instrument of federation whereas any four or more registered trade unions, (from any two or more provinces) may constitute a federation or confederation and apply to the Registrar for the registration of the federation:

Provided that a trade union of workmen shall not join a federation which comprises a trade union of employers; nor shall a trade union of employers join a federation which comprises a trade union of workmen.

(2) An instrument of federation referred to in sub-section (1) shall, among other things, provide for the procedures to be followed by the federated trade unions and the rights and responsibilities of the federation and the federated trade union.

(3) An application for the registration of a federation of trade unions shall be signed by the Presidents of all the trade unions constituting the federation or by the officers of these trade unions respectively authorized by the trade unions in this behalf and shall be accompanied by three copies of the instrument of federation referred to in sub-section (1).

(4) No trade union federation or confederation shall be formed and registered having same, similar or identical name.

(5) Subject to sub-Sections (1), (2), (3) and (4), the provisions of the Act shall, so far as may be and with the necessary modifications, apply to a federation of trade unions as they apply to a trade union.

15. Registered trade union to maintain register, etc.— Every registered trade union shall maintain in such form as may be prescribed—

- (a) a register of members showing particulars of subscriptions paid by each member;
- (b) an accounts book showing receipts and expenditure; and
- (c) a minute book for recording the proceedings of meetings.

16. Returns.— (1) There shall be sent annually to the Registrar, on or before such date as may be prescribed, a general statement, audited in the prescribed manner, of all receipts and expenditure of every registered trade union during the year ending on the 31st day of December, next preceding such prescribed date, and of the assets and liabilities of the trade union existing on such 31st day of December, as may be prescribed.

(2) Together with the general statement there shall be sent to the Registrar a statement showing all changes of officers made by the trade union during the year to which the general statement refers, together also with statement of the total paid membership and a copy of the constitution of the trade union corrected up to the date of the dispatch thereof to the Registrar.

(3) A copy of every alteration made in the constitution of a registered trade union and of a resolution of the general body having the effect of a provision of the constitution, shall be sent to the Registrar within fifteen days of the making of the alteration or adoption of the resolution.

(4) In case the registered trade union is member of a federation, the name of the federation shall be given in the annual statement.

(5) The Registrar shall audit the return and issue a certificate of acceptance. In case the statement of expenditure is found incorrect, he will submit a complaint before the Commission for initiation of cancellation proceedings of the union.

17. Transfer, etc., of officer of trade union during pendency of application for registration.— Save with the prior permission of the Registrar, no officer or member of a trade union of workmen shall be transferred, discharged, dismissed or otherwise punished during the pendency of an

application for registration of the trade union with the Registrar, provided that the union has notified the names of its officers and members to the employer in writing.

18. Disqualification for being an officer or a member of a trade union.— Notwithstanding anything contained in the constitution or rules of a trade union, a person who has been convicted and sentenced to imprisonment for two years or more or in an offence involving moral turpitude under the Pakistan Penal Code (Act XLV of 1860) shall be disqualified from being elected as, or from being, an officer of a trade union, unless a period of five years has elapsed after the completion of the sentence.

CHAPTER-III

COLLECTIVE BARGAINING AGENT

19. Collective bargaining agent.— (1) Where there is only one registered trade union in an establishment or a group of establishments, that trade union shall if it has as its members not less than one-third of the total number of workmen employed in such establishment or group of establishments, upon an application made in this behalf be certified by the Registrar in the prescribed manner to be the collective bargaining agent for such establishment or group of establishments.

(2) Where there are more registered trade unions than one in an establishment or a group of establishments, the Registrar shall upon an application made in this behalf by any registered trade union of an establishment or group of establishments, hold within fifteen days from the making of the application, a secret ballot to determine as to which one of such trade unions shall be the collective bargaining agent for the establishment or group:

Provided that the Registrar may, in the case of a large establishment having its branches in more than one town, hold the secret ballot within thirty days from the making of the application:

Provided further that the Registrar shall not entertain any application under this sub-section in respect of an establishment or group of establishments, consisting of, or including, a seasonal factory within the meaning of Section 4 of the Factories Act, 1934 (XXV of 1934), unless such application is made during the month in which the number of workmen employed in such factory in a year is usually the maximum.

(3) Upon receipt of an application under sub-section (2), the Registrar shall, by notice in writing call upon every registered trade union in the establishment or group of establishments to which the application relates:—

- (a) to indicate whether it desires to be a contestant in the secret ballot to be held for determining the collective bargaining agent in relation to such establishment or group; and
- (b) if it so desires, to submit to him within the time specified in the notice a list of its members showing, in respect of each member, his parentage, age, the section or

department and the place in which he is employed, his ticket number and the date of his becoming a member and if union is a federation of trade unions, a list of its affiliated trade unions together with a list of members of each such trade union showing in respect of each such member the said particulars.

(4) Every employer shall—

- (a) on being so required by the Registrar, submit a list of all workmen employed in the establishment excluding those whose period of employment in the establishment is less than three months and showing, in respect of each workman, his parentage, age, the Section or department and the place in which he is employed, his ticket number and the date of his employment in the establishment; and
- (b) provide such facilities for verification of the lists submitted by him and the trade unions as the Registrar may require:

Provided that, in computing the period of three months referred to in clause (a) in the case of a workman employed in a seasonal factory within the meaning of Section 4 of the Factories Act, 1934 (XXV of 1934), the period during which he was employed in that factory during the preceding season shall also be taken into account.

(5) The Registrar shall, after verification of the lists submitted by the trade unions, prepare a list of voters in which shall be included the name of every workman whose period of employment as computed in accordance with sub-section (4), is not less than three months and who is a member of any of the contesting trade unions and shall, at least four days prior to the date fixed for the poll, send to each of the contesting trade unions a certified copy of the list of voters so prepared.

(6) Every workman who is a member of any of the contesting trade unions and whose name appears in the list of voters prepared under sub-section (5) shall be entitled to vote at the poll to determine the collective bargaining agent.

(7) Every employer shall provide all such facilities in his establishment as may be required by the Registrar for the conduct of the poll, including actual expenditures of the poll, but shall not interfere with, or in any way influence, the voting.

(8) No person shall canvass for vote within a radius of fifty metres of the polling station.

(9) For the purpose of holding secret ballot to determine the collective bargaining agent, the Registrar shall—

- (a) fix the date for the poll and intimate the same to each of the contesting trade unions and also to every employer;

- (b) on the date fixed for the poll so placed in the polling station set up for the purpose the ballot boxes which shall be sealed in the presence of the representatives of the contesting trade unions as to receive the ballot papers;
- (c) conduct the poll at the polling station at which the representatives of the contesting trade unions shall have the right to be present;
- (d) after the conclusion of the poll and in the presence of such of the representatives of the contesting trade unions as may be present, open the ballot boxes and count the votes; and
- (e) after the conclusion of the count, certify the trade union which has received the highest number of votes to be the collective bargaining agent:

Provided that no trade union shall be certified to be the collective bargaining agent for an establishment or group of establishments unless the number of votes received by it is not less than one-third of the total number of votes of workmen mentioned in the voters' list employed in such establishment or group of establishments:

Provided further that, if no trade union secures such number of votes in the first poll, a second poll shall be held between the trade unions which secure the two highest numbers of votes in the first poll and the trade union which secures a majority of the votes cast at the second poll shall be certified in the prescribed manner to be the collective bargaining agent:

Provided also that, if the number of votes secured by two or more trade unions securing the highest number of votes is equal, further poll shall be held between them until one of them secures a majority of the votes cast at such further poll.

(10) If no trade union indicates under clause (a) of sub-section (3) that it desires to be a contestant in the secret ballot, the Registrar shall certify the trade union which has made the application under sub-section (2) to be the collective bargaining agent for a period of two years.

(11) Where a registered trade union has been certified under clause (e) of sub-section (9) and sub-section (10) to be the collective bargaining agent for an establishment or group of establishments, no application for the determination of the collective bargaining agent for such establishment or group shall be entertained within a period of two years from the date of such certification except where the registration of such a registered trade union is cancelled before the expiration of the period:

Provided that for the trade unions having membership of more than five thousand and presence in more than one province, the period of two years will be enhanced to three years.

(12) The Registrar may authorize in writing an officer to perform all or any of his functions under this section.

(13) After an application under sub-section (2) is made to the Registrar, no employer shall transfer, remove, retrench or terminate any worker who is officer of any contestant trade union save with the permission of the Registrar.

20. Functions of the Collective Bargaining Agent.— (1) The collective bargaining agent in relation to an establishment or group of establishments shall be entitled to—

- (a) undertake collective bargaining with the employer or employers on matters connected with employment, non-employment, the term of employment or the conditions of work other than matters which relate to the enforcement of any right guaranteed or secured to it or any workman by or under any law, other than this Act, or any award or settlement;
- (b) represent all or any of the workmen in any matter or judicial proceedings under this Act;
- (c) give notice of, and declare, a strike in accordance with the provisions of this Act; and
- (d) nominate representatives of workmen on the Board of Trustees of any welfare institutions or Provident Funds and of the Workers Participation Fund established under the Companies Profits (Workers Participation) Act, 1968 (XII of 1968).

(2) A collective bargaining agent may, without prejudice to its own position, implead as a party to any proceedings under this Act to which it is itself a party or any federation of trade unions of which it is a member.

21. Performance of functions pending ascertainment of collective bargaining agent.— Any act or function which is by this Act required to be performed by or has been conferred upon a collective bargaining agent may, until a collective bargaining agent has been certified under the provisions of this Act, be performed by a registered trade union which has been recognized by the employer or employers.

22. Check off.— (1) If a collective bargaining agent so requests, the employer shall deduct from the wages of the workmen such amounts towards their subscription to the funds of the trade union as may be specified by each individual workman named in the demand statement furnished by the trade union.

(2) An employer making any deductions under sub-section (1) shall, within fifteen days of the end of the period for which the deduction have been made, deposit the entire amount so deducted by him in the account of the trade union on whose behalf he has made the deductions.

(3) A collective bargaining agent shall maintain with a branch of the National Bank of Pakistan, or with a scheduled bank with “AAA” credit-rating recognised by the State Bank of Pakistan, or with a Post Office Savings Bank an account to which shall be credited the entire amount deducted by the employer under sub-section (1) from the wages or the members of the trade union.

(4) The employer shall provide facilities to the collective bargaining agent for ascertaining whether deductions from the wages of its members are being made under sub-section (1).

CHAPTER-IV WORKERS PARTICIPATION

23. Shop steward.— (1) In every factory/establishment in which twenty-five or more workmen are employed, shop stewards, from amongst the workmen in a shop, Section or department of the factory/establishment, shall,—

- (a) where there is a collective bargaining agent in the factory/establishment, be nominated by it, or
- (b) where there is no collective bargaining agent in the factory/establishment, be elected at a secret ballot held in the prescribed manner.

(2) The employer shall provide all such facilities in his factory/ establishment as may be required for the holding of a ballot under sub-section (1) but shall not interfere with, or in any way influence, the voting.

(3) A shop steward shall hold office for a period of one year from date of his election or nomination as the case may be.

(4) Any dispute arising out of, or in connection with, the election of a shop steward shall be referred to the Registrar whose decision shall be final and binding on all parties to the dispute.

24. Functions of Shop Steward.— The shop steward shall act as a link between the workers and the employer, assist in the improvement of arrangements for the physical working conditions and production work in the shop section or department for which he is elected and help workers in the settlement of their problems either connected with work or with any such individual grievance of a workman as is referred to in sub-section (1) of Section 33.

25. Works Council.— (1) In every factory/establishment in which fifty or more workmen are employed or were employed on any day in the preceding twelve months, the employer shall constitute, in the prescribed manner, a work council consisting of representatives of the employer and the workmen in such a manner that the number of the representatives of the workmen is not less than the number of the representatives of the employer in the works council.

(2) In the case of any factory establishment where there are one or more trade unions, the collective bargaining agent shall nominate the representatives of the workmen on such Works Council:

Provided that if there is no collective bargaining agent, representatives of workmen on Works Council shall be chosen in the prescribed manner from amongst the workmen engaged in the factory/establishment for which the Works Council is constituted.

26. Functions of Works Council.— The functions of Works Council shall be to promote measure for securing and preserving good relation between an employer and his workmen and, in particular;

- (a) To endeavour to maintain continuous sympathy and understanding between the employer and the workmen;
- (b) To promote settlement of differences and disputes through bilateral negotiations;
- (c) To promote security of employment for the workmen and conditions of safety, health and job satisfaction in their work;
- (d) To take measures of facilitating good and harmonious working condition in the factory/establishment; to provide vocational training and educational facilities for children of workmen in secretarial and accounting procedures and to promote their absorption in these departments of the factory/establishment; and
- (e) To discuss any other matter of mutual interest with a view to promoting better labour-management relations.

27. Workers' Participation in Management.— (1) In every factory/establishment employing fifty persons or more there shall be elected or nominated workers' representatives to participate to the extent of fifty per cent in the management of the factory/establishment:

Provided that there shall be elected or nominated at least one worker's representative to participate in the management of such factory establishment:

Provided further that, for the purpose of determining the number of workers' representatives in the management of the factory/establishment, fractions equal to, or greater than one half shall be regarded as one and lesser fractions shall be ignored.

(2) The workers representatives shall be workmen employed in the same factory/establishment and shall,—

- (a) where there is a collective bargaining agent in the factory/ establishment, be nominated by it, or
- (b) where there is no collective bargaining agent in the factory/establishment, be elected by simple majority at a secret ballot by all workmen employed in the factory/establishment.

(3) The workers representative shall hold office for a period of two years from the date of their election or nomination, as the case may be.

(4) The workers' representatives shall participate in all the meetings of the management committee constituted in the prescribed manner and all matters relating to the management of the factory/establishment, except commercial and financial transaction, may be discussed in such meetings.

(5) The management shall not take any decision in the following matters without the advice in writing of the workers' representative, namely:—

- (a) framing of services rules and policy about promotion and discipline of workers;
- (b) changing physical working conditions in the factory/ establishment;
- (c) in-service training of workers;
- (d) recreation and welfare of workers;
- (e) regulation of daily working hours and breaks;
- (f) preparation of leave schedule; and
- (g) matters relating to the order and conduct of workers within the factory/establishment.

(6) The workers' representatives may on their own initiative give advice in writing concerning the matters specified in sub-section (5) and, where they do so, the management shall convene a meeting within two weeks of the receipt of the advice to discuss its merits with them.

(7) The management shall give reply to the workers' representative within two weeks of the receipt of their advice given under sub-section (5) or sub-section (6) and any such advice shall not be rejected except by the person holding the highest position in the management of the factory/establishment.

(8) In case the advice of the workers' representatives is rejected by the management of the factory/establishment, the matter may, within fifteen days of the advice being so rejected, be taken up by the collective bargaining agent in the Works Council for bilateral negotiations and thereupon the provisions of Section 35 shall apply as they apply to the settlement of an industrial dispute in relation to which the views of the employer or the collective bargaining agent have been communicated to the Works Council under sub-section (1) of the section.

28. Joint Management Board.— (1) Every company which owns or manages an factory/establishment, and in every factory/establishment which is not so owned or managed, and which employs fifty persons or more, the management shall, in the prescribed manner set up a joint management board in which the workers' participation shall be to the extent of thirty percent.

(2) The employer's representatives on the joint management board shall be from amongst the Directors or senior executives and the workers' representatives shall be workmen employed in the factory/establishment.

(3) The joint management board shall look after the following matters, namely:—

- (a) improvement in production, productivity and efficiency;
- (b) fixation of job and piece-rates;
- (c) planned regrouping or transfer of the workers;
- (d) laying down the principles of remuneration and introduction of new remuneration methods; and
- (e) provision of minimum facilities for such of the workers employed through contractors as are not covered by the laws relating to welfare of workers.

(4) The joint management board may call for reasonable information about the working of the company or factory/establishment from its management and the management shall supply the information called for.

(5) The joint management board shall meet at such intervals as may be prescribed.

(6) The workers' representative shall hold office for such period as may be prescribed.

(7) In this section,—

- (a) “company” has the same meaning as in the Companies Act, 1984 (XLVII of 1984); and
- (b) “management” means the employer.

(8) In the case of an factory/establishment where there are one or more trade unions, the collective bargaining agent shall nominate the representatives of the workmen on such join management board:

Provided that where there is no collective bargaining agent, representatives of workmen on the join management board shall be chosen in the prescribed manner from amongst the workmen engaged in the factory/establishment for which the joint management board is constituted.

29. Inspector.— The inspectors appointed under Section 10 of the Factories Act, 1934 (XXV of 1934), and such other persons, not being Conciliators appointed under this Act, as the Government may, by notification in the official Gazette appoint, shall be inspectors for ensuring compliance with the provisions of this Act within the local limits assigned to each.

30. Functions of the Inspector.— (1) The inspector may—

- (a) at all reasonable hours enter any premises and make such examination of any register and document relating to the provisions of Section 27 and Section 28 and

take on the spot or otherwise such evidence of any person, and exercise such other powers of inspection, as he may deem necessary for discharging his duty;

- (b) call for such information from the management as he may deem necessary for the discharge of his functions and the management shall provide the information called for within such period as may be specified by him; and
- (c) make a report in writing to the Registrar having jurisdiction of any offence punishable under this Act.

(2) Every Inspector shall be deemed to be a public servant within the meaning of Section 21 of the Pakistan Penal Code. 1860 (XLV of 1860).

CHAPTER-V

UNFAIR LABOUR PRACTICES

31. Unfair labour practices on the part of employers.— (1) No employer or trade union of employers and no person acting on behalf of either shall—

- (a) impose any condition in a contract of employment seeking to restrain the right of a person who is a party to such contract to join a trade union or continue his membership of a trade union;
- (b) refuse to employ or refuse to continue to employ any person on the ground that such person is, or is not a member or officer of a trade union;
- (c) discriminate against any person in regard to any employment, promotion, condition of employment or working condition on the ground that such person is, or is not, a member or officer of a trade union;
- (d) dismiss, discharge, remove from employment or transfer or threaten to dismiss, discharge or remove from employment or transfer a workman or injure or threaten to injure him in respect of his employment by reason that the workman:
 - (i) is or proposes to become, or seeks to persuade any other person to become, a member or officer of a trade union; or
 - (ii) participates in the promotion, formation or activities of a trade union;
- (e) induce any person to refrain from becoming, or to cease to be a member or officer of a trade union, by conferring or offering to confer any advantage on, or by procuring or offering to procure any advantage for such person or any other person;

- (f) compel or attempt to compel any officer of the collective bargaining agent to arrive at a settlement by using intimidation, coercion, pressure, threat, confinement to a place, physical injury, disconnection of water, power and telephone facilities and such other methods;
- (g) interfere with or in any way influence the balloting for the determination of the Collective Bargaining Agent;
- (h) recruit any new workman during the period of a notice of strike under Section 41 or during the currency of a strike which is not illegal except where the Conciliator having been satisfied that complete cessation of work is likely to cause serious damage to the machinery or installation, has permitted temporary employment of a limited number of workmen in the section where the damage is likely to occur;
- (i) close down the whole of the establishment in contravention of Standing Order 11-A of the industrial and Commercial Employment (Standing Orders) Act, 1968 (W.P. Ord. VI of 1968); or
- (j) Commence, continue, instigate or incite others to take part in or expend or supply money or otherwise act in furtherance or support of, an illegal lockout.

(2) Nothing in sub-section (1) shall be deemed to preclude an employer from requiring that a person upon his appointment or promotion to managerial position shall cease to be, and shall be disqualified from being, a member or officer of a trade union of workmen.

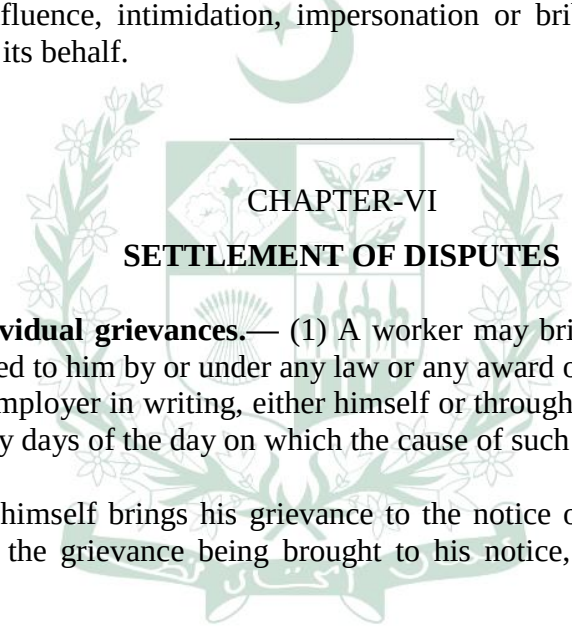
32. Unfair labour practices on the part of a workmen.— (1) No workmen or other person or trade union of workmen shall—

- (a) persuade a workman to join or refrain from joining a trade union during working hours; or
- (b) intimidate any person to become, or refrain from becoming, or to continue to be, or to cease to be a member or officer of a trade union; or
- (c) induce any person to refrain from becoming, or cease to be a member or officer of a trade union, by intimidating or conferring or offering to confer any advantage on, or by procuring or offering to procure any advantage for such person or any other person; or
- (d) compel or attempt to compel the employer to accept any demand by using intimidation, coercion, pressure threat, confinement to, or ouster from, a place, dispossession, assault, physical injury, disconnection of telephone, water or power facilities or such other methods; or

- (e) commence, continue, instigate or incite others to take part in, or expend or supply money or otherwise act in furtherance or support of, an illegal strike or a go-slow; or

Explanation.— In clause (e) the expression ‘go-slow’ means an organized, deliberate and purposeful slowing down of normal output, or the deterioration of the normal quality of work by a body of workmen acting in a concerted manner, but does not include the slowing down of normal output, or the deterioration of the normal quality of work which is due to mechanical defect, breakdown of machinery, failure or defect in power supply or in the supply of normal materials and spare parts of machinery.

(2) It shall be an unfair practice for a trade union to interfere with a ballot held under Section 19 by the exercise of undue influence, intimidation, impersonation or bribery through its executive or through any person acting on its behalf.



CHAPTER-VI SETTLEMENT OF DISPUTES

33. Redress of individual grievances.— (1) A worker may bring his grievance in respect of any right guaranteed or secured to him by or under any law or any award or settlement for the time being in force to the notice of his employer in writing, either himself or through his shop steward or collective bargaining agent within ninety days of the day on which the cause of such grievance arises.

(2) Where a worker himself brings his grievance to the notice of the employer, the employer shall, within fifteen days of the grievance being brought to his notice, communicate his decision in writing to the worker.

(3) Where a worker brings his grievance to the notice of his employer through his shop steward or collective bargaining agent, the employer shall, within seven days of the grievance being brought to his notice, communicate his decision in writing to the shop steward or as the case may be the collective bargaining agent.

(4) If the employer fails to communicate a decision within the period specified in sub-section (2) or, as the case may be sub-section (3), or if the worker is dissatisfied with such decision, the worker or the shop steward may take the matter to his collective bargaining agent or to the Commission or, as the case may be, the collective bargaining agent may take the matter to the Commission, and where the matter is taken to the Commission, it shall give a decision within seven days from the date of the matter being brought before it as if such matter were an industrial dispute:

Provided that a worker who desires to so take the matter to the Commission shall do so within a period of sixty days from the date of the communication of the employer or, as the case may be, from the expiry of the period mentioned in sub-section (2), or sub-section (3), as the case may be.

(5) In adjudicating and determining a grievance under sub-section (4), the Commission shall go into all the facts of the case and pass such orders as may be just and proper in the circumstances of the case.

(6) If a decision under sub-section (4) or an order under sub-section (5) given by the Commission or a decision in an appeal against such a decision or order is not given effect to or complied with within seven days or within the period specified in such order or decision, the defaulter shall be punishable with imprisonment for a term which may extend to one year, or with fine which may extend to seventy-five thousand rupees, or with both.

(7) No person shall be prosecuted under sub-section (6) except on a complaint in writing—

- (a) by the workman if the order or decision in his favour is not implemented within the period specified therein; or
- (b) by the Commission if an order or decision thereof is not complied with.

(8) For the purposes of this section, workers having common grievance arising out of a common cause of action may make a joint application to the Commission.

(9) Any collective bargaining agent or any employer may apply to the Commission for the enforcement of any right guaranteed or secured to it or him by or under any law or any award or settlement.

(10) There shall be a Tripartite Council for review of grievances of workers in the Islamabad Capital Territory comprising not less than three members each of the workers, employers and the Government:

Provided that the representatives of the workers and the employers shall be nominated by the Government after consultation with registered trade unions and employers' organizations to be notified in the Official Gazette.

34. Raising of industrial disputes.— (1) No industrial dispute shall be deemed to exist unless it has been raised in the prescribed manner by a collective bargaining agent or an employer;

(2) Notwithstanding anything contained in this Act, a federation of trade unions or federation may, if it is a collective bargaining agent, raise an industrial dispute affecting all employers or workers of the establishments represented by that federation and a decision of the Commission shall be binding on all such employers and workers.

(3) No collective bargaining agent shall, at any time when a decision of the Commission in respect of any matter is effective, be entitled to raise a demand relating to that matter.

35. Negotiations relating to differences and disputes.— (1) If at any time an employer or a collective bargaining agent finds that an industrial dispute has arisen or is likely to arise, the employer or, as the case may be, the collective bargaining agent, may communicate his or its views in writing

either to the Works Council or to the other party and where the views are so communicated to the Works Council, a copy of the communication shall also be sent to the other party.

(2) On receipt of the communication under sub-section (1) the Works Council or the party receiving it shall try to settle the dispute by bilateral negotiations within ten days of receipt of the communication or within such further period as may be agreed upon by the parties and, if the parties reach a settlement, a memorandum of settlement shall be recorded in writing and signed by both the parties and a copy thereof shall be forwarded to the Conciliator and the authorities mentioned in clause (xxx) of Section 2.

(3) Where a settlement is not reached between the employer and the collective bargaining agent or, if the views of the employer or collective bargaining agent have been communicated under sub-section (1) to the Works Council, there is a failure of bilateral negotiations in the Works Council, the employer or the collective bargaining agent may, within seven days from the end of the period referred to in sub-section (2), serve on the other party to the dispute a notice of lock-out or strike, as the case may be, in accordance with the provisions of this Act.

36. Conciliator.— The Commission may, appoint as many persons as it considers necessary to act as Conciliators under this Act.

37. Conciliation after notice of strike or lock-out.— Where a party to an industrial dispute serves a notice of strike or lock-out under sub-section (3) of Section 35, it shall, simultaneously with the service of such notice, deliver a copy thereof to the Conciliator and to the Commission.

38. Proceedings before Conciliator.— (1) The Conciliator shall within fifteen days call a meeting of the parties to the dispute for the purpose of bringing about a settlement.

(2) The parties to the dispute shall be represented before the Conciliator by persons nominated by them and authorized to negotiate and enter into an agreement binding on the parties:

Provided that if, in the opinion of the Conciliator, the presence of the employer or any officer of the trade union connected with the dispute is necessary in a meeting called by him, he shall give notice in writing requiring the employer or such officer to appear in person before him at the place, date and time, specified in the notice and it shall be the duty of the employer or the officer of the trade union to comply with the notice.

(3) The Conciliator shall perform such functions in relation to a dispute before him as may be prescribed and may, in particular, suggest to either party to the dispute such concessions or modifications in its demand as are in the opinion of the Conciliator likely to promote an amicable settlement of the dispute.

(4) If a settlement of the dispute or of any matter in dispute is arrived at in the course of the proceedings before him, the Conciliator shall send a report thereof to the Commission together with a memorandum of settlement signed by the parties to the dispute.

(5) If no settlement is arrived at within the period of the notice of strike or lock-out, the conciliation proceedings may be continued for such further period as may be agreed upon by the parties.

39. Commencement and conclusion of proceedings.— (1) A conciliation proceeding shall be deemed to have commenced on the date on which a notice of strike or lock-out is received by the Conciliator under sub-section (3) of Section 35.

(2) A conciliation proceeding shall be deemed to have concluded:

- (a) where a settlement is arrived at, on the date on which a memorandum of settlement is signed by the parties to the dispute; and
- (b) where no settlement is arrived at—
 - (i) if the dispute is referred to an arbitrator under Section 40 on the date on which the arbitrator has given his award or otherwise; or
 - (ii) on the date on which the period of the notice of strike or lock-out expires.

(3) Proceedings before the Commission shall be deemed to have commenced—

- (a) in relation to an industrial dispute, on the date on which an application has been made under Section 42 or Section 60, or on the date on which it is referred to the Commission by the Federal Government under Section 42 or Section 45; and
- (b) in relation to any other matter, on the date on which it is referred to the Commission.

(4) Proceedings before the Commission in relation to a dispute referred to it under Section 42 or Section 45 or to a dispute raised under sub-section (2) Section 34, shall be deemed to have commenced on the date on which the reference is made to it or, as the case may be, the dispute is raised before it.

(5) Proceedings before the Commission shall be deemed to have concluded on the date on which the decision is delivered under sub-section (5) of Section 42.

40. Arbitration.— (1) If the conciliation fails, the Conciliator shall try to persuade the parties to agree to refer the dispute to an arbitrator. In case the parties agree, they shall make a joint request in writing for reference of the dispute to an arbitrator agreed upon by them.

(2) The arbitrator to whom a dispute is referred under sub-section (1) may be a person borne on a panel to be maintained by the Commission or any other person agreed upon by the parties.

(3) The arbitrator shall give his award within a period of thirty days from the date on which the dispute is referred to him under sub-section (1) or such further period as may be agreed upon by the parties to the dispute.

(4) After he has made an award, the arbitrator shall forward a copy thereof to the parties and to the Government for publication in the official Gazette.

(5) The award of the arbitrator shall be final and no appeal shall lie against it.

(6) The award shall be valid for a period not exceeding two years, as may be fixed by the arbitrator.

CHAPTER-VII

STRIKES AND LOCK-OUT

41. Notice of strike or lock-out.— The period of a notice of lock-out or strike given under subsection (3) of Section 35 shall be fourteen days.

42. Strike and lock-out.— (1) If no settlement is arrived at during the course of conciliation proceedings and the parties to the dispute do not agree to refer it to an arbitrator under Section 40, the workmen may go on strike or, as the case may be, the employer may declare a lock-out, on the expiration of the period of the notice under Section 41 or upon a declaration by the Conciliator that the conciliation proceedings have failed, whichever is the later.

(2) The party raising a dispute may at any time either before or after the commencement of a strike or lock-out make an application to the Commission for adjudication of the dispute.

(3) Where a strike or lock-out lasts for more than thirty days, the Government, may by order in writing, prohibit the strike or lock-out:

Provided that the Government may, with respect to any other strike or lock-out relating to a dispute which the Commission is competent to adjudicate and determine, by order in writing, prohibit a strike or lock-out at any time before the expiry of thirty days, if it is satisfied that the continuance of such a strike or lock-out is causing serious hardship to the community or is prejudicial to the national interest.

(4) In any case in which the Government prohibits a strike or lock-out, it shall forthwith refer the dispute to the Commission.

(5) The Commission shall, after giving both the parties to the dispute an opportunity of being heard, make such order as it deems fit as expeditiously as possible but not exceeding thirty days from the date on which the dispute referred to it:

Provided that the Commission may also make an interim order on any matter in dispute:

Provided further that any delay by the Commission in making an order shall not affect the validity of any order made by it.

(6) An award of the Commission shall be for such period as may be specified in the award which shall not be more than two years.

43. Illegal strikes and lock-out.— (1) A strike or lock-out shall be illegal if—

- (a) it is declared, commenced or continued without giving to the other party to the dispute, in the prescribed manner, a notice of strike or lock-out or before the date of strike or lock-out specified in such notice, or in contravention of Section 46;
- (b) it is declared, commenced or continued in consequence of an industrial dispute raised in a manner other than that provided in Section 34;
- (c) it is continued in contravention of an order made under Section 42, Section 45, or Section 61 or sub-section (6) of Section 44; or
- (d) it is declared, commenced or continued during the period in which a settlement or award is in operation in respect of any of the matters covered by a settlement or award.

(2) A lock-out declared in consequence of an illegal strike and a strike declared in consequence of an illegal lock-out shall not be deemed to be illegal.

44. Procedure in cases of illegal strikes or lock-out.— (1) Notwithstanding anything contained in any other provision of this Act or in any other law for the time being in force, an Officer of the Commission not below the rank of Deputy Registrar, hereinafter in this section referred to as the Officer, may be assigned by the Commission the duty to make enquiries in such manner as he may deem fit into an illegal strike or illegal lock-out in an establishment and make a report to the Commission.

(2) The officer may, for the purpose of enquiry under sub-section (1), enter with such assistance by the persons in the service of Pakistan, as he thinks fit, in an establishment, where he has reason to believe an illegal strike or lock-out to be in progress, and make such examination of the premises and plant and of any registers maintained therein and take on the spot or otherwise such evidence of persons and exercise such other powers as he may deem necessary for carrying out the purposes of this section.

(3) The officer shall have authority to call any party to such dispute to his office or secure his presence in the establishment and shall also have the power to bind any party to the dispute to appear before the Commission.

(4) Where a party to an illegal strike or lock-out, on being required or bound under this section to appear before the officer or the Commission, does not so appear, the officer or the Commission, as the case may be, may, besides taking such other action as may be admissible under this Act, proceed *ex-parte*.

(5) After receiving the enquiry report the Commission shall serve a notice on the employer and the collective bargaining agent or the registered trade union concerned with the dispute to appear before the Commission on a date which shall not be later than seven days.

(6) The Commission may, within ten days following the day on which it receives a report under sub-section (1), and after considering the report and hearing such of the parties as may appear before it, order the strike to be called off or the lock-out to be lifted.

(7) If the employer contravenes the order of the Commission under sub-section (6) and the Commission is satisfied that the continuance of the lock-out is causing serious hardship to the community or is prejudicial to the national interest, it may issue an order for the attachment of the establishment and for the appointment of an official receiver for such period as it deems fit, and such period may be varied from time to time.

(8) The official receiver shall exercise the powers of management and may transact business, enter into contracts, give valid discharge of all moneys received and do or omit to do all such acts as are necessary for conducting the business of the establishment.

(9) The Commission may, in appointing and regularizing the work of an official receiver exercise the powers of a Civil Court under the Code of Civil Procedure, 1908 (Act V of 1908).

(10) If the workers contravene the order of the Commission under sub-section (6), the Commission may pass orders of dismissal against all or any of the striking workers and, notwithstanding anything to the contrary contained in this Act, if the Commission, after holding such inquiry as it deems fit, records its finding that any registered trade union has committed or abetted the commission of such contravention, the finding shall have the effect of cancellation of the registration of such trade union and debarring all officers of such trade union from holding office in that or in any other trade union for the un-expired term of their offices and for the term immediately following:

Provided that the Court may review its orders if good and sufficient cause is shown by an affected worker within seven days of such orders of dismissal.

45. Strike or lock-out in public utility services.— (1) The Government, in the case of a strike or lock-out relating to—

- (a) an industrial dispute of national importance; or
- (b) an industrial dispute in respect of any of the public utility services which the Commission is competent to adjudicate and determine, may, by order in writing, prohibit a strike or lock-out at any time before or after the commencement of the strike or lock-out.

(2) The provisions of sub-Sections (4), (5) and (6) of Section 42 shall also apply to an order made under Sub-section (1) above as they apply to an order made under sub-section (3) of that section.

46. Prohibition of serving notice of strike or lock-out while proceedings pending.— No notice of strike or lock-out shall be served by any party to an industrial dispute during the pendency of any conciliation proceedings or proceedings before an Arbitrator or Commission in respect of any matter constituting such industrial dispute.

47. Removal of fixed assets.— No employer shall remove any fixed assets of the establishment during the currency of an illegal lock-out or a strike which is not illegal:

Provided that the Commission may, subject to such conditions as it may impose, cause to be removed any such fixed assets for safe custody to avoid damage to such assets due to flood, fire, catastrophe or civil commotion.

48. Protection of certain persons.— (1) No person refusing to take part or to continue to take part in any illegal strike or illegal lock-out shall, by reasons of such refusal, be subject to expulsion from any trade union or to any fine or penalty or to the deprivation of any right or benefit which he or his legal representatives would otherwise have been entitled, or be liable to be placed in any respect, either directly or indirectly, under any disability or disadvantage as compared with other members of the trade union.

(2) Any contravention of the provisions of sub-section (1) may be made the subject matter of an industrial dispute, and nothing in the constitution of a trade union providing the manner in which any dispute between its executive and members, shall be settled shall apply to any proceedings for enforcing any right or exemption granted by sub-section (1). In any such proceeding, the Commission may, in lieu of ordering a person who has been expelled from membership of a trade union to be restored to membership, order that he be paid out of the funds of the trade union such sum by way of compensation or damages as the Commission thinks just.

CHAPTER—VII

AWARDS AND SETTLEMENTS

49. Settlements and awards on whom binding.— (1) A settlement arrived at in the course of conciliation proceedings, or otherwise between the employer and the collective bargaining agent or an award of an arbitrator prescribed under Section 40, or an award or decision of the Commission delivered under Section 54 and Section 57 shall—

- (a) be binding on all parties to the industrial dispute;
- (b) be binding on all other parties summoned to appear in any proceedings before the Commission as parties to the industrial dispute, unless the Commission specifically otherwise directs in respect of any such party;
- (c) be binding on the heirs, successors or assignees of the employer in respect of the establishment to which the industrial dispute relates where an employer is one of the parties to the dispute; and
- (d) where a collective bargaining agent is one of the parties to the dispute, be binding on all workmen who were employed in the establishment or industry to which the

industrial dispute relates on the date on which the dispute first arose or who are employed therein after that date:

Provided that, where a collective bargaining agent or a trade union performing the functions of a collective bargaining agent under Section 21 exists, the employer shall not enter into a settlement with any other trade union, and any contravention of this provision shall be deemed to be an unfair labour practice under Section 31.

(2) A settlement arrived at by agreement between the employer and a trade union otherwise than in the course of conciliation proceedings shall be binding on the parties to the agreement.

50. Effective date of settlement, award, etc.— (1) A settlement shall become effective—

- (a) if a date is agreed upon by the parties to the dispute to which it relates, on such date; and
- (b) if a date is not so agreed upon, on the date on which the memorandum of the settlement is signed by the parties.

(2) A settlement shall be binding for such period as is agreed upon by the parties, and if no such period is agreed upon for a period of one year from the date on which the memorandum of settlement is signed by the parties to the dispute and shall continue to be binding on the parties after the expiry of the aforesaid period until the expiry of two months from the date on which either party informs the other party in writing of its intention no longer to be bound by the settlement.

(3) An order passed by the Commission shall, unless an appeal against it is preferred to the Full Bench, become effective on such date and remain effective for such period, not exceeding two years, as may be specified therein. The Arbitrator or the Commission shall specify dates from which the award or decision on various demands shall be effective and the time limit by which it shall be implemented in each case;

Provided that if, at any time before the expiry of the said period, any party bound by an award or decision applies to the Commission for reduction of the said period on the ground that the circumstances in which the award or decision was made have materially changed, the Commission may, by order made after giving to the other party an opportunity of being heard, terminate the said period on a date specified in the order.

(4) Notwithstanding the expiry of the period for which an award is to be effective under subsection (3), the award shall continue to be binding on the parties until the expiry of two months from the date on which either party informs the other party in writing of its intention no longer to be bound by the award.

51. Interpretation of settlement and awards.— (1) If any difficulty or doubt arises as to the interpretation of any provisions of an award or settlement, it shall be referred to the Full Bench constituted under this Act.

(2) The Full Bench to which a matter is referred under sub-section (1) shall after giving the parties an opportunity of being heard, decide the matter, and its decision shall be final and binding on the parties.

52. Recovery of money due from an employer under settlement or award.— (1) Any money due from an employer under a settlement, or under an award or decision of the Arbitrator, the Commission may be recovered as arrears of land revenue or as a public demand if, upon the application of the person entitled to the money, the Commission so directs.

(2) Where any workman is entitled to receive from the employer any benefit, under a settlement or under an award or decision of the Arbitrator, the Commission, which is capable of being computed in terms of money, the amount at which such benefit shall be computed may, subject to the rules, be determined and recovered as provided for in sub-section (1) and paid to the workman concerned within a specified date.

(3) The Commission shall have the powers of Collector Grade-I and shall exercise such powers of recovery as determined by it.

CHAPTER-VIII

NATIONAL INDUSTRIAL RELATIONS COMMISSION

53. National Industrial Relations Commission.—(1) The Federal Government shall constitute a National Industrial Relations Commission.

(2) The Commission shall consist of not less than ten full time members, including the Chairman.

(3) the qualification for appointment as a member or as the Chairman or the Commission shall be such as may be prescribed.

(4) The Chairman and other members of the Commission shall be appointed by the Government in the prescribed manner.

(5) Two of the members shall be appointed in the prescribed manner to advise the Chairman, one to represent the employers and the other to represent trade unions and the federations of such trade unions.

(6) The Chairman of the Commission may, in addition to the representatives of workers appointed to the Commission, co-opt, in cases where he deems it necessary, from amongst workers belonging to federations such representatives of workers as he may deem fit.

(7) The worker's representative co-opted under sub-section (6) shall be entitled to such honorarium as may be prescribed.

54. Functions of the Commission.— The following shall be the functions of the Commission, namely:—

- (a) to adjudicate and determine an industrial dispute in the Islamabad Capital Territory and trans-provincial to which a trade union or a federation of such trade unions is a party and which is not confined to matters of purely local nature and any other industrial dispute which is, in the opinion of the Government, of national importance and is referred to it by that Government;
- (b) to register trade unions and industry-wise trade unions of an establishment or group of establishments in the Islamabad Capital Territory and trans-provincial, and federations of such trade unions;
- (c) to determine the collective bargaining agents amongst trade unions and industry-wise trade unions in the Islamabad Capital Territory and trans-provincial and federations of such trade unions;
- (d) to try offences punishable under—
 - (i) Section 67 other than sub-sections (1) and (6) thereof; and
 - (ii) any other section, in so far as they relate to employers or workers in relation to a trade union or an industry-wise trade union in the Islamabad Capital Territory and trans-provincial, and a federation of such trade unions, or officers of such union or federation;
- (e) to deal with cases of unfair labour practices specified in Sections 31 and 32 on the part of employers, workers, trade unions of either of them or persons acting on behalf of any of them, whether committed individually or collectively, in the manner laid down under Section 33 or sub-section (9) Section 33 or in such other way as may be prescribed, and to take, in such manner as may be prescribed by regulations under Section 66, measures calculated to prevent an employer or workman from committing an unfair labour practice;
- (f) to advise the Government, trade unions and industry-wise trade unions in the Islamabad Capital Territory and trans-provincial, and federations in respect to the education of workers in the essentials of trade unionism, including education in respect of their right and obligations, and to secure the provision of facilities required thereof, and to apportion the cost thereof between the Government, trade unions and federations of such trade unions, and the employers, in such manner as may be considered equitable by the Commission, subject to the approval of the Government;
- (g) to take measures calculated to prevent an employer or workman from committing an unfair labour practice in such manner as may be determined by regulations;
- (h) to deal with cases of individual grievance in the manners prescribed in Section 33.

- (i) to exercise exclusive jurisdiction over the establishment or group of establishments situated in the Islamabad Capital Territory and trans-provincial; and
- (j) such other powers and functions as the Government may, by notification in the official Gazette, assign to it from time to time.

55. Benches of the Commission, etc.— (1) The Chairman shall exercise general superintendence over its affairs.

(2) For the efficient performance of the functions of the Commission, the Chairman shall constitute—

- (a) a Full Bench of the Commission which shall consist of not less than three members of the Commission; and
- (b) as many other Benches of the Commission consisting of one member of the Commission, as he may deem fit.

(3) The Benches shall—

- (a) adjudicate and determine an industrial dispute or any other matter which has been referred to, or brought before it under this Act;
- (b) enquire into and adjudicate any matter relating to the implementation or violation of a settlement which is referred to it by the Federal Government.
- (c) try offences under this Act ; and
- (d) exercise and perform such other powers and functions as are or may be conferred upon or assigned to it by or under this Act or any other law:

Provided that, in the performance of those functions and in the exercise of those powers, the Benches shall, unless otherwise provided in this Act, follow the procedure laid down in the regulations.

(4) If any member of the Commission is absent from, or is otherwise unable to attend any sitting of the Commission or of a Bench consisting of more than one members of which he is a member, the Chairman may reconstitute the Bench.

(5) No act, proceedings, decision, or award of the Commission or Bench shall be invalid or be called in question merely on the ground of absence or of the existence of a vacancy in or any defect in the constitution of the Commission or Bench.

56. Resolution of difference of opinion.— (1) If the members of a Bench differ in opinion as to the decision to be given on any point,—

- (a) the point shall be decided according to the opinion of the majority, if there is a majority; and
- (b) If the members are equally divided, they shall state, the point on which they differ and the case shall be referred by them to the Chairman for hearing on such point by one or more of the other members of the Commission, and such point shall be decided according to the opinion of the majority of the members of the Commission who have heard the case, including those who first heard it:

Provided that if, upon any matter requiring the decision of a Bench which includes the Chairman of the Commission as one of its members, there is a difference of opinion among its members and the members so constituting the Bench are equally divided, the opinion of the Chairman shall prevail and the decision of the Bench shall be expressed in terms of the views of the Chairman.

(2) Any order or decision made, award given, sentence passed, power exercised, functions performed or proceedings taken by any Bench of the Commission in accordance with this Act and the order constituting the Bench shall be deemed to be the order or decision made, award given, sentence passed, power exercised, functions performed or proceedings taken, as the case may be, by the Commission.

Explanation.— In this section, the expression “The Chairman of the Commission” includes such member of the Commission to be known as Senior Member as the Chairman may nominate to perform the functions, and exercise the powers of the Chairman during his absence.

57. Additional powers of the Commission.— (1) In addition to powers which the Commission has under this Act—

- (a) the Commission shall have power to punish any person who obstructs or abuses its process or disobeys any of its orders or directions, or does anything which tends to prejudice the case of a party before it, or tends to bring it or any of its members in relation to proceedings of the Commission into hatred or contempt, or does anything which, by law, constitutes contempt of Court, with simple imprisonment which may extend to six months or with fine which may extend to fifty thousand rupees, or with both; and
- (b) for the purposes of any investigation, enquiry or adjudication to be made by the Commission under this Act, the Chairman or any member of the Commission may at any time between the hours of sunrise and sunset, and any other person authorised in writing by the Chairman or any member of the Commission in this behalf may, after he has given reasonable notice, enter any building, factory, establishment, workshop or other place or premises whatsoever and inspect the same or any work, machinery, appliance or article therein or interrogate any person therein in respect of anything situated therein or any matter relevant to matters before the Commission; and

(2) The Commission may, on the application of a party, or of its own motion,

- (a) initiate prosecution, trial or proceedings, or take action, with regard to any matter relating to its functions;
- (b) withdraw from a Labour Court of Province any application, proceedings or appeal relating to unfair labour practice, which fall within jurisdiction of the Commission; and
- (c) grant such relief as it may deem fit including interim injunction.

(3) For the purpose of dealing with a case of unfair labour practice of which the Commission is seized, the Commission may—

- (a) proceed directly with the case;
- (b) ask the Provincial Registrar within whose jurisdiction the case has occurred or is likely to occur to enquire into it and submit a report; or
- (c) refer the case to a Provincial Labour Court within whose jurisdiction the case has occurred or is likely to occur, either for report or for disposal.

(4) The Labour Court to whom the case is so referred shall enquire into it and, if the case was referred to it for report, forward its report thereon to the Commission or, if the case was referred to it for disposal, continue the proceedings and dispose of the case as if the proceedings had originally commenced before it and grant such relief as the Commission has the power to grant.

(5) Save as provided in sub-section (4) no Registrar, Labour Court or Labour Appellant Tribunal shall take any action, or entertain any application or proceedings, in respect of any matter which falls within the jurisdiction of the Commission:

Provided that no Court, including Labour Court, shall take any action or entertain any application or proceedings in respect of a case of unfair labour practice which is being dealt with by the Commission.

Explanation.— The expressions “industry-wise trade union” and “federation of such trade unions” refer to a trade union membership of which extends to establishments in more than one Province and a federation of trade unions whose membership extends to registered trade unions in more than one Province.

58. Appeals.— (1) Notwithstanding anything contained in this Act, or in any other law for the time being in force, any person aggrieved by an award or decision given or a sentence or order determining and certifying a collective bargaining unit passed by any Bench of the Commission, may, within thirty days of such award, decision, sentence or order prefer an appeal to the Commission.

(2) An appeal preferred to the Commission under sub-section (1) shall be disposed of by the Full Bench of the Commission which shall—

- (a) if the appeal is from an order determining and certifying a collective bargaining unit, have the power to confirm, set aside, vary or modify such an order.
- (b) if the appeal relates to any other matter, the Full Bench may, confirm, set aside, vary or modify the decision or sentence passed and shall exercise all the powers required for the disposal of an appeal.
- (c) The decision of the Full Bench shall be delivered as expeditiously as possible, within a period of sixty days following the filing of the appeal, provided that such decision shall not be rendered invalid by reasons of any delay in its delivery.
- (d) The Full Bench may, on its own motion at any time, call for the record of any case or proceedings under this Act in which a Bench within its jurisdiction has passed an order for the purpose of satisfying itself as to the correctness, legality, or propriety of such order, and may pass such order in relation thereto as it thinks fit:

Provided that no order under this sub-section shall be passed revising or modifying any order adversely affecting any person without giving such person a reasonable opportunity of being heard.

(3) In an appeal preferred to it against the order of a Bench directing the re-instatement of a workman, the Full Bench may make an order staying the operation of the order of the Bench.

(4) The Full Bench shall decide such appeal within twenty days of its being preferred:

Provided that, if such appeal is not decided within the period aforesaid, the stay order of the Full Bench shall stand vacated on the expiration of that period.

59. Finality of order.— No Court shall entertain any plea as to the jurisdiction of the Commission or as the legality or propriety of anything done or purporting to be done by the Commission or any of its Benches, and no order, decision, judgment or sentence of the Commission shall be called in question in any manner, whatsoever, in or before any Court or other authority.

60. Enforcement of guaranteed rights.— Any collective bargaining agent or any employer may apply to the Commission for the enforcement of any right guaranteed or secured to it or him or to the workers collectively by or under any law, award, settlement or decision.

61. Powers of the Commission to prohibit strike, etc.— (1) When a strike or lock-out in pursuance of an industrial dispute has already commenced and is in existence at the time when, in respect of such industrial dispute, there is made to, or is pending before, the Commission, an application under sub-section (9) Section 33, the Commission may, by an order in writing prohibit continuance of the strike or lock-out.

(2) When an appeal in respect of any matter arising out of an industrial dispute is preferred to the Full Bench under Section 55, the Full Bench may, by an order in writing, prohibit continuance of

any strike or lock-out in pursuance of such industrial dispute which had already commenced and was in existence on the date on which the appeal was preferred.

62. Determination, etc., of collective bargaining unit.— (1) Where the Commission, on an application made in this behalf, by a trade union of Workmen or a federation of such trade unions, or on a reference made by the Federal Government, after holding such inquiry as it deems fit, is satisfied that for safeguarding the interest of the workmen employed in an establishment or group of establishments belonging to the same employer and the same industry, in relation to collective bargaining, it is necessary, just and feasible to determine one or more collective bargaining units of such workmen in such establishment or group, it may, having regard to the distribution of workers, existing boundaries of the components of such establishment, or group, facilities of communication, general convenience, sameness or similarity of economic activity and other cognate factors,—

- (a) determine and certify one or more collective bargaining units in such establishment or group;
- (b) Specify the modifications which, in consequence of the decision under this section, will take effect in regard to the registration of the trade unions and federations of trade unions affected by such decision and certification of collective bargaining agents among such unions and federations, nomination or election of shop stewards, and workers' representatives for participation in the management of the factories, if any, affected by such decision;
- (c) specify the date or dates from and the period, for which all or any of such changes shall take effect:

Provided that the date so specified shall not be a date falling within the period of two years specified in sub-section (11) of Section 19, in its application to a collective bargaining agent certified in respect of an establishment or establishments:

Provided further that, after the receipt of a reference for determination of a collective bargaining unit, the Commission may stop or prohibit the proceedings to determine collective bargaining agent under Section 19 for any establishment or group of establishments which is likely to be affected by a decision under this section:

- (d) take such measures or issue such directions to the Registrar as may be necessary to give effect to such modifications; and
- (e) determine and certify a collective bargaining agent for each such unit in accordance with Section 19 insofar as applicable and with the necessary modifications, if such a unit relates to more than one province, or direct the Registrar to take such action, if such a unit relates to the Islamabad Capital Territory.

(2) Where the Commission issues any directions to the Registrar under this section, the Registrar shall comply with them within such period as the Commission may from time to time determine.

(3) After the certification of a collective bargaining unit, no trade union shall be registered in respect of that unit except for the whole of such unit and no certification or proceedings for determination of collective bargaining agent under Section 19 shall take place for a part of a collective bargaining unit or a group of collective bargaining units.

63. Certain matters to be kept confidential.— Any information obtained by a Registrar, Conciliator, Arbitrator or Commission in the course of any investigation or inquiry as to a trade union or as to any individual business (whether carried on by a person, firm or company) which is not available otherwise than through the evidence given before such authority shall not be included in any report, award or decision under this Act, if the trade union, person, firm, or company in question has made a request in writing to the authority that such information shall be treated as confidential, nor shall such proceedings disclose any such information without the consent in writing of the Secretary of the trade union or the person, firm or company in question, as the case may be:

Provided that nothing contained in this section shall apply to disclosure of any such information for the purpose of a prosecution under Section 193 of the Pakistan Penal Code (Act XLV of 1860).

64. Conditions of service to remain unchanged while proceedings pending.— (1) No employer shall, while any conciliation proceedings or proceedings before an Arbitrator or the Commission in respect of an industrial dispute are pending, alter to the disadvantage of any workman concerned in such dispute, the conditions of service applicable to him before the commencement of such conciliation proceedings, or of the proceedings before an arbitrator, as the case may be, nor shall he save with the permission of the Conciliator, the Arbitrator or the Commission, discharge, dismiss or otherwise punish any workman except for misconduct not connected with such dispute.

(2) Notwithstanding anything contained in sub-section (1), an officer of a registered trade union shall not, during the pendency of any proceedings referred to in sub-section (1), be discharged, terminated, dismissed or otherwise punished for misconduct, except with the previous permission of the Commission. However, the terms and conditions of employment secured by the workers through collective bargaining agreements, awards and decisions of Courts shall continue to be binding upon the parties until revised for betterment of workers.

65. Representation of parties.— (1) A workman who is a party to an industrial dispute shall be entitled to be represented in any proceedings under this Act by an officer of a collective bargaining agent and subject to the provisions of sub-section (2) and sub-section (3) any employer who is a party to an industrial dispute shall be entitled to be represented in any such proceedings by a person duly authorised by him.

(2) No party to an industrial dispute shall be entitled to be represented by a legal practitioner in any conciliation proceedings under this Act.

(3) A party to an industrial dispute may be represented by a legal practitioner in any proceedings before the Commission, or before an Arbitrator, with the permission of the Commission or the Arbitrator, as the case may be.

66. Power to make regulations.— (1) Subject to the provisions of this Act, the Commission may make such regulations relating to its procedure and the performance of its functions as it may deem fit.

(2) In particular and without prejudice to the generality of the foregoing power, such regulations may provide for all or any of the following matters, namely:—

- (a) registration of trade unions and industry-wise trade unions in the Islamabad Capital Territory and trans provinces, and federations of such trade unions and the procedure, for such registration;
- (b) determination of collective bargaining units;
- (c) determination of collective bargaining agent from amongst the industry-wise trade unions, federations of such trade unions and the procedure thereof;
- (d) procedure, including rules of evidence, for adjudication of industrial dispute;
- (e) procedure, including rules of evidence, for trial of offences;
- (f) procedure for dealing with unfair labour practices;
- (g) superintendence of the Chairman over the affairs of the Commission;
- (h) forms of registers; processes and returns in respect of matters relating to the functions of the Commission; and
- (i) fixing of places and times of its sitting and deciding whether to sit in public or in private.

CHAPTER-IX

PENALTIES AND PROCEDURES

67. Penalty for unfair labour practices.— (1) Whoever contravenes the provisions of Section 17 shall be liable to imprisonment which may extend to fifteen days or fine which may extend to ninety days thirty thousand rupees, or both.

(2) Whoever contravenes the provisions of Section 31 shall be liable to imprisonment which may extend to thirty days or fine which may extend to fifty thousand rupees, or both.

(3) Whoever contravenes the provisions of Section 32, other than those of clause (d) of sub-section (1) thereof, shall be liable to imprisonment which may extend to thirty days or fine which may extend to twenty thousand rupees, or both.

(4) An officer of a trade union, a workman or person other than a workman who contravenes or abets the contravention of the provisions of clause (d) of sub-section (1) of Section 32 shall be liable to imprisonment which may extend to thirty days or fine which may extend to thirty thousand rupees, or both.

(5) Where the person convicted of an offence under sub-section (4) is an officer of a trade union, the Commission may, in addition to any other punishment which it may award to such person under that sub-section, direct that he shall cease to hold the office of such officer and be disqualified from holding any office in any trade union during the term immediately following the term in which he so ceases to hold office.

(6) Whoever contravenes the provisions of Section 47 shall be liable to imprisonment which may extend to thirty days or fine which may extend to seventy-five thousand rupees, or both.

(7) Nothing in this Act shall be deemed to exclude the jurisdiction of a Labour Court of a province or the Court of a Magistrate to try a case under this section if it is authorized to do so by general or special order of the Commission.

68. Penalty for committing breach of settlement.— Whoever commits any breach of any term of any settlement, award or decision which is binding on him under this Act shall be punishable—

- (a) for the first offence, with imprisonment which may extend to thirty days or fine which may extend to thirty thousand rupees, or with both; and
- (b) for each subsequent offence, with fine which may extend to seventy-five thousand rupees.

69. Penalty for failing to implement settlement, etc.— Whoever wilfully fails to implement any term of any settlement, award or decision which is his duty under this Act to implement shall be punishable with imprisonment which may extend to fifteen days or a fine which may extend to thirty thousand rupees, or with both and, in the case of continuing failure, with a further fine which may extend to five thousand rupees for every day after the first during which the failure continues.

70. Penalty for false statement, etc.— Whoever wilfully makes or causes to be made in any application or other document submitted under this Act or the rules made thereunder, any statement which he knows or has reason to believe to be false, or wilfully neglects or fails to maintain or furnish any list, document or information he is required to maintain or furnish, under this Act or the rules made thereunder shall be punishable with imprisonment which may extend to fifteen days or fine which may extend to seventy-five thousand rupees, or with both.

71. Penalty for discharging officer of trade union in certain circumstances, etc.— Any employer who contravenes the provision of Section 64 shall be punishable with imprisonment which may extend to fifteen days or fine which may extend to thirty thousand rupees, or with both.

72. Penalty for embezzlement or misappropriation of funds.— Any officer or any employee of a registered trade union, guilty of embezzlement or misappropriation of trade union funds, shall be liable to imprisonment which may extend to thirty days and shall also be liable to a fine which shall not exceed the amount found by the Court to have been embezzled or misappropriated. Upon realisation, the amount of fine shall be reimbursed by the Court to the trade union concerned.

73. Penalty for obstructing inspector.— Whoever wilfully obstructs an inspector in the exercise of any power under Section 29, or fails to produce on demand by an inspector any register or other document in his custody required by him under the provisions of this Act, or conceals or prevents any worker in an establishment from appearing before or being examined by an inspector, shall be punishable with fine which may extend to seventy-five thousand rupees.

74. Penalty for contravening Section 27 or Section 28, etc.— (1) Whoever contravenes the provisions of Section 27 or Section 28 shall be punishable with imprisonment which may extend to fifteen days or fine which may extend to one hundred thousand rupees, or with both.

(2) No Court shall take cognizance of any offence punishable under sub-section (1) except upon a complaint in writing made by the Registrar.

75. Penalty for other offences.— Whoever contravenes, or fails to comply with, any of the provisions of this Act shall, if no other penalty is provided by this Act for such contravention or failure, be punishable with fine which may extend to ten thousand rupees.

76. Offences to be non-cognisable.— Notwithstanding anything contained in the Code of Criminal Procedure, 1898 (Act V of 1898) no police officer shall be competent to arrest without warrant an employer or a worker for an offence under this Act.

77. Offences by corporation.— Where the person guilty of any offence under this Act is a company or other body corporate, every director, manager, secretary or other officer or agent thereof shall, unless he proves that the offence was committed without his knowledge or consent or that he exercised all due diligence to prevent the commission of the offence, be deemed to be guilty of such offence:

Provided that, where a company has intimated to Government in writing the name of any of its directors resident in Pakistan whom it has nominated for the purpose of this section and the offence is committed while such director continues to be so nominated, only such director shall be so deemed to be guilty of such offence.

78. Trial of offences.— Save as provided in this Act, no Court other than a Labour Court or that of a Magistrate of the first class, as the case may be, shall try any offence punishable under this Act.

79. Indemnity.—No suit, prosecution or other legal proceedings shall lie against any person for anything which is in good faith done or intended to be done in pursuance of this Act or any rule.

CHAPTER-X

SUPPLEMENTAL

80. Conformity with Ratified International Conventions.— The Government may co-ordinate with the provinces before enacting any law or rules for the effective enforcement of obligations of the State to international labour-related and employer related Conventions so ratified by the State and in case of difference of opinion, shall refer such matter, to the Council of Common interests for decision.

81. Law of conspiracy limited in application.— No officer or member of a registered trade union or a collective bargaining agent as certified by the Registrar shall be liable to punishment under sub-section (2) of Section 120-B of the Pakistan Penal Code, 1860 (XLV of 1860), in respect of any agreement made between the members thereof for the purpose of furthering any such object of the trade union as is specified in its constitution, unless the agreement is an agreement to commit an offence, or otherwise violates any other law for the time being in force.

82. Immunity from civil suit in certain cases.— (1) No suit or other legal proceedings shall be maintainable in any civil Court against any registered trade union or a collective bargaining agent or any officer or member thereof in respect of any action done in contemplation or furtherance of an industrial dispute to which the trade union is a party on the ground only that such act induces some other person to break a contract of employment, or that it is an interference with the trade, business or employment of some other person or with the right of some other person to dispose of his capital or of his labour as he desires.

(2) A trade union shall not be liable in any suit or other legal proceedings in any civil Court in respect of any tortuous act done in good faith in contemplation or furtherance of an industrial dispute by an agent of the trade union if it is proved that such person acted without the knowledge of, or contrary to express instructions given by, the executive of the trade union.

83. Enforceability of agreement.— Notwithstanding anything contained in any other law for the time being in force, an agreement between the members of a trade union shall not be void or voidable by reason only that any of the objects of the agreement are in restraint of trade:

Provided that nothing in this section shall enable any civil Court to entertain any legal proceedings instituted for the express purpose of enforcing, or covering damages for the breach of any agreement concerning the conditions on which any member of a trade union shall or shall not sell their goods, transact business or work, employ or be employed.

84. Registrar, etc., to be public servants.— A Registrar, a Conciliator, the Chairman and a Member of the Commission shall be deemed to be a public servant within the meaning of Section 21 of the Pakistan Penal Code (Act XLV of 1860).

85. Limitation.— The provisions of Section 5 of the Limitation Act, 1908 (IX of 1908), shall apply in computing the period within which an application is to be made, or any other thing is to be done, under this Act.

86. Power to make rules.— (1) The Government may make rules for carrying out the purposes of this Act.

(2) Rules made under this section may provide that a contravention thereof shall be punishable with fine which may extend to ten thousand rupees.

87. Act to override other laws.— The provisions of this Act shall have effect notwithstanding anything to the contrary contained in any other law for the time being in force.

88. Repeal and savings.— The Industrial Relations Act, 2008 (IV of 2008), having been repealed by virtue of sub-section (3) of Section 87 thereof, notwithstanding the repeal of the said Act, hereinafter to be called the repealed Act, and without prejudice to the provisions of Sections 6 and 24 of the General Clauses Act, 1897 (X of 1897)—

- (a) every trade union of an establishment or industry located in the Islamabad Capital Territory, or in more than one province and existing immediately before the commencement of this Act, which was registered under the repealed Act shall be deemed to be registered under this Act and its constitution shall continue in force until altered or rescinded;
- (b) anything done, rules made, notification or order issued, officer appointed Court constituted, notice given, proceedings commenced or other actions taken under the repealed Act shall be deemed to have been done, made, issued, appointed, constituted, given, commenced or taken, as the case may be, under the corresponding provisions of this Act; and
- (c) any document referring to the repealed Act relating to industrial relations shall be construed as referring to the corresponding provisions of this Act.

89. Former registration offices, officers, etc., to continue.— (1) The offices existing at the commencement of this Act for registration of trade unions shall be continued as if they had been established under this Act.

(2) Any person appointed to any office under, or by virtue of the provisions of the repealed Act shall be deemed to have been appointed to that office under or by virtue of this Act.

(3) Any books of accounts, book, paper, register or document kept under the provisions of the repealed Act relating to companies shall be deemed to be part of the books of accounts, book, paper, register or document to be kept under this Act.

90. Removal of difficulties.— If any difficulty arises in giving effect to any provisions of this Act, the Government may, by notification in the official Gazette, make such order, not inconsistent with the provisions, of this Act, as may appear to it to be necessary for the purpose of removing the difficulty:

Provided that no such power shall be exercised after the expiry of six months from the coming into force of this Act.

91. Rights and duties of employers and workers.— The employers and workers shall within the bounds of this Act and other laws for the time being in force shall abide by a code of conduct to respect their rights and duties in accordance with the guidelines in Schedule II.

SCHEDULE-I

PUBLIC UTILITY SERVICES

[See Section 2(xxv)]

1. The generation, production, manufacture, or supply of electricity, gas, oil or water to the public.
2. Any system of public conservancy or sanitation.
3. Hospitals and ambulance services.
4. Fire-fighting service.
5. Any postal, telegraph or telephone service.
6. Railways and Airways.
7. Ports.
8. Watch and Ward Staff and security services maintained in any establishment.

SCHEDULE-II

RIGHTS AND DUTIES OF EMPLOYERS AND WORKERS

[See Section 91]

Rights and Duties of Workers and Employers

Workers and employers to respect each others' rights: Without prejudice to the provision of this Act and any other labour law in vogue, workers and employers in each establishment will respect

each others' rights and the rights of the enterprise to reasonable returns on investments and to expansion and growth. Such rights, among other, will include the following:—

Employers' Rights and Duties

- a. **Right to conduct business.**— The employer has the right to manage, control and use enterprise property and conduct its business in any manner considered prudent and satisfactory by it.
- b. **Right to manage.**— The employer has the right to manage the enterprise effectively and efficiently by finding the best use of its available resources, including human resource, in most prudent and fruitful manner in the general interest of the enterprise.
- c. **Duties of the Employer.**— (i) While exercising the right to conduct business and the right to manage the enterprise, it will be duty of the employer to act in accordance with the principles and guidelines provided under the law.
 - (ii) The employee will implement all laws, including labour laws, in letter and spirit.
 - (iii) The employer will protect and safeguard the interest and welfare of its workers to obtain maximum productivity and output to the mutual advantage of the enterprise.
 - (iv) The Employer will respect the workers' rights to decent work, wages, decent living and quality of life, subject to the resources of the enterprise.

Workers' Rights and Duties

- a. **Right to work, wage and welfare.**— It is the right of a worker to work according to the job assigned and to receive wages as per agreed terms and conditions of employment and to such welfare benefits and safety measures as one is entitled to according to law, agreement settlement and/or award.
- b. **Right to Freedom of association and collective bargaining and other rights secured or guaranteed under the Industrial Relations Act, 2011, and other laws.**— Worker has unfettered right to enjoy the benefits guaranteed to him under the law, rules, settlement, agreement, award and in line with the principles of social justice.
- c. **Duties of the Workers.**— (i) Worker will perform their duties, as assigned by the employer or his representatives, according to his best ability with due diligence, care, honesty and commitment.

- (ii) Worker will fully observe norms of organizational discipline.
- (iii) Worker, in exercise of his right, will fully respect the rights of the employer and will fully cooperate with the employer in efficient conduct of the business of the establishment.

d. **Mutual obligations of employers and workers,—** (1) Both employers and workers will promote and foster an atmosphere of trust confidence and understanding for each others' viewpoint and will at the first place make every effort not to let conflict arise among their relationship and if and when a conflict arises they will make every effort to resolve the same by bilateral negotiation at the establishment level.

- (ii) Both employers and workers will accept the same degree of responsibility for industrial relations as for other functions within their respective establishment and will establish formal and informal climate of communication and social dialogue on at the establishment level for discharging the responsibility.
- (iii) Both employers and workers will strive to develop good industrial relations within the framework of efficiency in the establishment.
- (iv) Both employers and workers take all reasonable steps to ensure compliance with agreements and agreed procedures so that the objectives of productivity and growth are served in atmosphere of industrial peace.
- (v) Both employers and workers in their mutual interaction will demonstrate mutual respect for each other and will not indulge in any act or insinuation to show person disrespect in any form in keeping with the Islamic tradition of love, fraternity, brotherhood and accepted social norms and civilized society.

e. **Incentives and Recognition for Promoting Good Industrial Relations.—** Such establishment, which maintains a track record of good industrial relations through bilateral efforts of employers and workers and their representative organizations in the establishment, shall be recognized by the Government as a “Model Organisation in Industrial Relations” to be determined on the basis of such criterion and in such manner as may be prescribed in the rules to be provided for the purpose. Such recognition shall be in the form of a Certificate prescribed for the purpose which will entitle the establishments and their unions to inscribe the word “Model Organisation in Industrial Relations” on their letter-heads and official logo and monograms.



THE FACTORIES ACT, 1934



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THE FACTORIES ACT, 1934

¹ACT NO. XXV OF 1934

[20th August, 1934]

An Act to consolidate and amend the law regulating labour in factories.

WHEREAS it is expedient to consolidate and amend the law regulating labour in factories ;

It is hereby enacted as follows :—

CHAPTER I PRELIMINARY

1. Short title, extent and commencement.—(1) This Act may be called the Factories Act, 1934.

²[(2) It extends to the whole of Pakistan.]

(3) It shall come into force on the 1st day of January, 1935.

2. Definitions.—In this Act, unless there is anything repugnant in the subject or context,—

- (a) “adolescent” means a person who has completed his fifteenth but has not completed his seventeenth year ;
- (b) “adult” means a person who has completed his seventeenth year ;
- (c) “child” means a person who has not completed his fifteenth year ;
- (d) “day” means a period of twenty-four hours beginning at midnight ;
- (e) “week” means a period of seven days beginning at midnight on Saturday night ;
- (f) “power” means electrical energy, and any other form of energy which is mechanically transmitted and is not generated by human or animal agency ;

¹The Act has been applied to Phulera in the Excluded Area of Upper Tanawal to the extent the Act is applicable in the N.W.F.P., subject to certain modifications, *see* N.W.F.P. (Upper Tanawal) (Excluded Area) Laws Regulation, 1950, and extended to the Excluded Area of Upper Tanawal (N.W.F.P.) other than Phulera with effect from such date and subject to such modifications as may be notified, *see* N.W.F.P. (Upper Tanawal) (Excluded Area) Laws Regulation, 1950.

The Act in its application in the Punjab has been amended by Factories (Punjab Amdt.) Act, 1940 (Punjab 7 of 1940), in N.W.F.P., by the Factories (North-West Frontier Province Amdt.) Act, 1940 (N.W.F.P.7 of 1947),

This Act has been extended to the—

(i) Leased Areas of Baluchistan, *see* the Leased Areas (Laws) Order, 1950 (G.G.O.3 of 1950); and also applied in the Federated Areas of Baluchistan, *see* Gazette of India, 1937, Pt.I, p.1499;

(ii) Baluchistan States Union, *see* the Baluchistan States Union (Federal Laws) (Extension) Order, 1953 (G.G.O.4 of 1953), as amended;

(iii) Khairpur State, *see* G.G.O.5 of 1953, as amended; and

(iv) State of Bahawalpur by the Bahawalpur (Extension of Federal Laws) Order, 1953 (G.G.O.11 of 1953), as amended.

The Act has been and shall be deemed to have been brought into force in Gwadar, (w. e. f. the 18th September, 1958), by the Gwadar (Application of Central Laws) Ordinance, 1960 (37 of 1960), s.2

The Act has been applied to the Provincially Administrated Tribal Areas or to the parts or those areas to which it does not already, apply *see* Regulation No. I of 1972, s.2 and Sch.

²Subs. by the Central Laws (Statute Reform) Ordinance, 1960 (Ordinance No. XXI of 1960), s.3 and Sch. 2., (w. e. f. the 14th October, 1955).

- (g) “manufacturing process” means any process—
- (i) for making, altering, repairing, ornamenting, finishing or packing, or otherwise treating any article or substance with a view to its use, sale, transport, delivery or disposal, or
 - (ii) for pumping oil, water or sewage, or
 - (iii) for generating, transforming or transmitting power ;
- (h) “worker” means a person employed ¹[directly or through an agency], whether for wages or not, in any manufacturing process, or in cleaning any part of the machinery or premises used for a manufacturing process, or in any other kind of work whatsoever incidental to or connected with the manufacturing process or connected with the subject of the manufacturing process, but does not include any person solely employed in a clerical capacity in any room or place where no manufacturing process is being carried on ;
- (j) “factory” means any premises including the precincts thereof whereon ¹[ten] or more workers are working, or were working on any day of the preceding twelve months, and in any part of which a manufacturing process is being carried on ¹[or is ordinarily carried on whether with or without the aid of power] ;
- but does not include a mine subject to the operation of the Mines Act, 1923 (IV of 1923).
- (k) “machinery” includes all plant whereby power is generated, transformed, transmitted or applied ;
- (l) “occupier” of a factory means the person who has ultimate control over the affairs of the factory :

Provided that where the affairs of a factory are entrusted to a managing agent, such agent shall be deemed to be the occupier of the factory ;

- (m) where work of the same kind is carried out by two or more sets of workers working during different periods of the day, each of such sets is called a “relay”, and the period or periods for which it works is called a “shift”; and
- (n) “prescribed” means prescribed by rules made by the ²[Provincial Government] under this Act.

¹Ins. and subs. by Act No. XVI of 1973, s. 2.

²Subs. by A. O., 1937.

3. References to time of day.—References to time of day in this Act are references—¹[* * *]
²[* *], to ³[*] Standard Time, which is five ³[* * *] hours ahead of Greenwich Mean Time, ¹[*]

²[* * * * * * *]

Provided that for any area ¹[* * *] in which ³[*] Standard Time is not ordinarily observed the
²[Provincial Government] may make rules—

- (i) specifying the area,
- (ii) defining the local mean time ordinarily observed therein, and
- (iii) permitting such time to be observed in all or any of the factories situated in the area.

4. Seasonal factories.—(1) For the purposes of this Act, a factory which is exclusively engaged in one or more of the following manufacturing processes, namely, cotton ginning, cotton or jute pressing, the decortication of groundnuts, the manufacture of coffee, indigo, lac, rubber, sugar (including *gur*) or tea, or any manufacturing process which is incidental to or connected with any of the aforesaid processes, is a seasonal factory :

Provided that the ²[Provincial Government] may, by notification in the ²[official Gazette], declare any such factory in which manufacturing processes are ordinarily carried on for more than one hundred and eighty working days in the year, not to be a seasonal factory for the purposes of this Act.

(2) The ²[Provincial Government] may, by notification in the ²[official Gazette], declare any specified factory in which manufacturing processes are ordinarily carried on for not more than one hundred and eighty working days in the year and cannot be carried on except during particular seasons or at times dependent on the irregular action of natural forces, to be a seasonal factory for the purposes of this Act.

⁴[5. Power to apply provisions applicable to factories to certain other places.]—(1) The Provincial Government may, by notification in the official Gazette, declare that all or any of the provisions of this Act applicable to factories shall apply to any place wherein a manufacturing process is being carried on or is ordinarily carried on whether with or without the use of power whenever ³[five] or more workers are working therein or have worked therein any one day of the twelve months immediately preceding.

¹Omitted by A. O., 1949, (w. e. f. 28th March, 1949).

²Omitted and subs. by A. O., 1937.

³Omitted and subs. by Act No. XVI of 1973, ss. 3 and 4.

⁴Subs. by Act No. XVI of 1941, s. 2.

(2) A notification under sub-section (1) may be made in respect of any one such place or in respect of any class of such places or generally in respect of all such places.

(3) Notwithstanding anything contained in clause (j) of section 2, a place, to which all or any of the provisions of this Act applicable to factories are for the time being applicable in pursuance of a declaration under sub-section (1), shall, to the extent to which such provisions are so made applicable but not otherwise, be deemed to be a factory.]

6. Power to declare departments to be separate factories.—The ¹[Provincial Government] may, by order in writing, direct that the different departments or branches of a specified factory shall be treated as separate factories for all or any of the purposes of this Act.

7. Power to exempt on a change in the factory.—Where the ¹[Provincial Government] is satisfied that, following upon a change of occupier of a factory or in the manufacturing process carried on therein, the number of workers for the time being working in the factory is less than twenty and is not likely to be twenty or more on any day during the ensuing twelve months, it may, by order in writing, exempt such factory from the operation of this Act :

Provided that any exemption so granted shall cease to have effect on and after any day on which twenty or more workers work in the factory.

²**[7A. Exemption from certain provisions of the Act.**—The provisions of section 14, clause (b) of sub-section (1) of section 15, sections 16, 17, 18, 21, 22, 23, 25 and sub-section (3) of section 33Q shall not apply in the first instance to any factory wherein not more than nineteen workers are working or were working on any one day of the twelve months immediately preceding :

Provided that the Provincial Government may, by notification in the official Gazette, apply all or any of the said provisions to any such factory or class of such factories.]

8. Power to exempt during public emergency.—In any case of public emergency the ¹[Provincial Government] may, by notification in the ¹[official Gazette], exempt any factory from any or all of the provisions of this Act for such period as ¹[it] may think fit.

9. Notice to Inspector before commencement of work.—(1) Before work is begun in any factory after the commencement of this Act, or before work is begun in any seasonal factory each season, the occupier shall send to the Inspector a written notice containing—

- (a) the name of the factory and its situation,
- (b) the address to which communications relating to the factory should be sent,
- (c) the nature of the manufacturing processes to be carried on in the factory,
- (d) the nature and amount of the power to be used, ³[*]

¹Subs.by A. O., 1937.

²Ins by Act No. XVI of 1973, s. 5.

³Omitted by Act No. XIV of 1944, s. 2.

- (e) the name of the person who shall be the manager of the factory for the purposes of this Act, ¹[and
- (f) such other particulars as may be prescribed for the purposes of this Act].

²[(1A) In respect of all factories which come within the scope of this Act for the first time on the commencement of the Factories (Amendment) Ordinance, 1972 (XLII of 1972), the occupier shall send a written notice to the Inspector containing particulars specified in sub-section (1) within thirty days of such commencement.]

(2) Whenever another person is appointed as manager, the occupier shall send to the Inspector a written notice of the change, within seven days from the date in which the new manager assumes charge.

(3) During any period for which no person has been designated as manager of a factory under this section, or during which the person designated does not manage the factory, any person found acting as manager, or, if no such person is found, the occupier himself, shall be deemed to be the manager of the factory for the purposes of this Act.

CHAPTER II THE INSPECTING STAFF

10. Inspectors.—(1) The ³[Provincial Government] may, by notification in the ³[official Gazette], appoint such persons as it thinks fit to be Inspectors for the purposes of this Act within such local limits as it may assign to them respectively.

(2) The ³[Provincial Government] may, by notification as aforesaid, appoint any person to be a Chief Inspector, who shall, in addition to the powers conferred on a Chief Inspector under this Act, exercise the powers of an Inspector throughout the Province.

(3) No person shall be appointed to be an Inspector under sub-section (1) or a Chief Inspector under sub-section (2) or, having been so appointed, shall continue to hold office, who is or becomes directly or indirectly interested in a factory or in any process or business carried on therein or in any patent or machinery connected therewith.

(4) Every District Magistrate shall be an Inspector for his district.

(5) The ³[Provincial Government] may also, by notification as aforesaid, appoint such public officers as it thinks fit to be additional Inspectors for all or any of the purposes of this Act, within such local limits as it may assign to them respectively.

(6) In any area where there are more Inspectors than one, the ³[Provincial Government] may, by notification as aforesaid, declare the powers which such Inspectors shall respectively exercise, and the Inspectors to whom the prescribed notices are to be sent.

¹Added by Act No. XIV of 1944, s. 2.

²Ins. by Act No. XVI of 1973, s. 6.

³Subs by A. O., 1937.

(7) Every Chief Inspector and Inspector shall be deemed to be a public servant within the meaning of the Pakistan Penal Code (XLV of 1860) and shall be officially sub-ordinate to such authority as the ¹[Provincial Government] may specify in this behalf.

11. Powers of Inspector.—Subject to any rules made by the ¹[Provincial Government] in this behalf, an Inspector may, within the local limits for which he is appointed,—

- (a) enter, with such assistants (if any), being persons ²[in the service of the state] or of any municipal or other public authority, as he thinks fit, any place which is, or which he has reason to believe to be, used as a factory or capable of being declared to be a factory under the provisions of section 5 ;
- (b) make such examination of the premises and plant and of any prescribed registers, and take on the spot or otherwise such evidence of any persons as he may deem necessary for carrying out the purposes of this Act ; and
- (c) exercise such other powers as may be necessary for carrying out the purposes of this Act :

Provided that no one shall be required under this section to answer any question or give any evidence tending to criminate himself.

12. Certifying surgeons.—(1) The ¹[Provincial Government] may appoint such registered medical practitioners as it thinks fit to be certifying surgeons for the purposes of this Act within such local limits as it may assign to them respectively.

(2) A certifying surgeon may authorise any registered medical practitioner to exercise any of his powers under this Act:

Provided that a certificate of fitness for employment granted by such authorised practitioner shall be valid for a period of three months only, unless it is confirmed by the certifying surgeon himself after examination of the person concerned.

Explanation.—In this section a “registered medical practitioner” means any person registered ³[* * *] under any Act of ⁴[the ⁵[Federal] Legislature or any Provincial Legislature] (21 & 22 Vict., c 90.)] providing for the maintenance of a register of medical practitioners, and includes, in any area where no such register is maintained, any person declared by the ¹[Provincial Government], by notification in the ⁶[official Gazette], to be a registered medical practitioner for the purposes of this section.

¹Subs. by A. O., 1937.

²Subs. by A. O., 1961, Art 2 and Sch. (w. e. f. 23 March 1956).

³Omitted by the Federal Laws (Revision and Declaration) Ordinance, 1981 (Ordinance No. XXVII of 1981), s. 3 and Sch., 2.

⁴Subs. by A.O., 1949 (w.e.f. 28th March, 1949).

⁵Subs. by the Federal Adaptation of Laws Order, 1975 (President’s Order No. 4 of 1975), Art. 2 and Table (w.e.f. 28th July 1975).

⁶Subs. by A.O., 1937 (w.e.f. 1st April, 1937).

¹[CHAPTER III HEALTH AND SAFETY

13. Cleanliness.—(1) Every factory shall be kept clean and free from effluvia arising from and drain, privy or other nuisance, and in particular,___

- (a) accumulation of dirt and refuse shall be removed daily by sweeping or by any other effective method from the floors and benches of workrooms and from stair-cases and passages and disposed of in a suitable manner ;
- (b) the floor of every workroom shall be cleaned at least once in every week by washing, using disinfectant where necessary or by some other effective method ;
- (c) where the floor is liable to become wet in the course of any manufacturing process to such extent as is capable of being drained, effective means of drainage shall be provided and maintained ;
- (d) all inside walls and partitions, all ceilings, or tops, of rooms, and walls, sides and tops or passages and stair-cases shall—
 - (i) where they are painted or varnished, be repainted or revarnished at least once in every five years ;
 - (ii) where they are painted or varnished and have smooth impervious surfaces, be cleaned at least once in every fourteen months, by such methods as may be prescribed ;
 - (iii) in any other case, kept whitewashed or colour washed and the whitewashing or colour washing shall be carried out at least once in every fourteen months ; and
- (e) the dates on which the processes required by clause (d) are carried out shall be entered in the prescribed register.

(2) If, in view of the nature of the operations carried on in a factory it is not possible for the occupier to comply with all or any of the provisions of sub-section (1), the Provincial Government may, by an order, exempt such factory or class or description of factories from any of the provisions of that sub-section and specify alternative methods for keeping the factory in a clean state.

14. Disposal of wastes and effluents.—(1) Effective arrangements shall be made in every factory for the disposal of wastes and effluents due to the manufacturing process carried on therein.

(2) The Provincial Government may make rules prescribing the arrangements to be made under sub-section (1) or requiring that the arrangements made in accordance with that sub-section shall be subject to the approval of such authority as may be prescribed.

¹Subs. by the Labour Laws (Amdt.) Ordinance, 1972 (Ordinance No. IX of 1972), s. 2, Sch. 1 and 4. (w. e. f. 13th April 1972).

15. Ventilation and temperature.—(1) Effective and suitable provisions shall be made in every factory for securing and maintaining in every work-room—

- (a) adequate ventilation by the circulation of fresh air, and
- (b) such temperature as will secure to workers therein reasonable conditions of comfort and prevent injury to health, and in particular—
 - (i) the walls and roofs shall be of such material and so designed that such temperature shall not be exceeded but kept as low as practicable ;
 - (ii) where the nature of the work carried on in the factory involves, or is likely to involve, the production of excessively high temperature, such adequate measures as are practicable, shall be taken to protect the workers therefrom by separating the process which produces such temperature from the work-room by insulating the hot parts or by other effective means.

(2) The Provincial Government may prescribe a standard of adequate ventilation and reasonable temperature for any factory or class or description of factories or parts thereof and direct that a thermometer shall be provided and maintained in such place and position as may be specified.

(3) If it appears to the Provincial Government that in any factory or class or description of factories excessively high temperature can be reduced by such methods as whitewashing, spraying or insulating and screening outside walls or roofs or windows, or by raising the level of the roof, or by insulating the roof either by an air space and double roof or by the use of insulating roof materials, or by other methods, it may prescribe such of these or other methods to be adopted in the factory.

16. Dust and fume.—(1) In every factory in which, by reason of the manufacturing process carried on, there is given off any dust or fume or other impurity of such a nature and to such an extent as is likely to be injurious or offensive to the workers employed therein, effective measures shall be taken to prevent its accumulation in any work-room and its inhalation by workers, and if any exhaust appliance is necessary for this purpose, it shall be applied as near as possible to the point of origin of the dust, fume or other impurity, and such point shall be enclosed so far as possible.

(2) In any factory no stationary internal combustion engine shall be operated unless the exhaust is conducted into open air and exhaust pipes are insulated to prevent scalding and radiation heat, and no internal combustion engine shall be operated in any room unless, effective measures have been taken to prevent, such accumulation of fumes therefrom as are likely to be injurious to the workers employed in the work-room.

17. Artificial humidification.—(1) The Provincial Government may, in respect of all factories in which humidity of the air is artificially increased, make rules—

- (a) prescribing standards of humidification ;
- (b) regulating the methods used for artificially increasing the humidity of the air ;
- (c) directing prescribed test for determining the humidity of the air to be correctly carried out and recorded ; and

- (d) Prescribing methods to be adopted for securing adequate ventilation and cooling of the air in the work-rooms.

(2) In any factory in which the humidity of the air is artificially increased, the water used for the purpose shall be taken from a public supply, or other source of drinking water, or shall be effectively purified before it is so used.

(3) If it appears to an Inspector that the water used in a factory for increasing humidity which is required to be effectively purified under sub-section (2) is not effectively purified, he may serve on the Manager of the factory an order in writing specifying the measures which, in his opinion, should be adopted, and requiring them to be carried out before a specified date.

18. Overcrowding.—(1) No work-room in any factory shall be overcrowded to an extent injurious to the health of the workers employed therein.

(2) Without prejudice to the generality of the provisions of sub-section (1) there shall be provided for every worker employed in a work-room—

- (a) at least three hundred and fifty cubic feet of space in the case of a factory in existence on the date of the commencement of the Labour Laws (Amendment) Ordinance, 1972 ; and
- (b) at least five hundred cubic feet of space in the case of a factory built after the commencement of the Labour Laws (Amendment) Ordinance, 1972.

Explanation.—For the purpose of this sub-section no account shall be taken of a space which is more than fourteen feet above the level of the floor of the room.

(3) If the Chief Inspector by order in writing so requires, there shall be posted in each work-room of a factory a notice specifying the maximum number of workers who may in compliance with the provisions of this section be employed in the room.

(4) The Chief Inspector may, by order in writing, exempt, subject to such conditions as he may think fit to impose, any work-room from the provisions of this section if he is satisfied that compliance therewith in respect of such room is not necessary for the purpose of health of the workers employed therein.

19. Lighting.—(1) In every part of a factory where workers are working or passing, there shall be provided and maintained—

- (a) sufficient and suitable lighting, natural or artificial, or both ; and
- (b) emergency lighting of special points in work-room and passages to function automatically in case of a failure of the ordinary electric supply system.

(2) In every factory all glazed windows and sky-lights used for the lighting of the work-room shall be kept clean on both the outer and inner surfaces and free from obstruction as far as possible under the rules framed under sub-section (3) of section 15.

(3) In every factory effective provisions shall, so far as is practicable, be made for the prevention of—

- (a) glare either directly from any source of light or by reflection from a smooth or polished surface ; and
- (b) the formation of shadows to such an extent as to cause eye strain or risk of accident to any worker.

(4) The Provincial Government may prescribe standards of sufficient and suitable lighting for factories or for any class or description of factories or for any manufacturing process.

20. Drinking water.—(1) In every factory effective arrangement shall be made to provide and maintain at suitable points conveniently situated for all workers employed therein a sufficient supply of wholesome drinking water.

(2) All such points shall be legibly marked “Drinking Water” in a language understood by the majority of the workers and no such point shall be situated within twenty feet of any washing place, urinal or latrine, unless a shorter distance is approved in writing by the Chief Inspector.

(3) In every factory wherein more than two hundred and fifty workers are ordinarily employed, provision shall be made for cooling the drinking water during the hot weather by effective means and for distribution thereof and arrangements shall also be made for—

- (a) the daily renewal of water if not laid on ; and
- (b) a sufficient number of cups or other drinking vessels, unless the water is being delivered in an upward jet.

(4) The Provincial Government may, in respect of all factories or any class or description of factories, make rules for securing compliance with the provisions of this section.

21. Latrines and urinals.—(1) In every factory—

- (a) sufficient latrines and urinals of prescribed types shall be provided conveniently situated and accessible to workers at all times while they are in the factory ;
- (b) enclosed latrines and urinals shall be provided separately for male and female workers ;
- (c) such latrines and urinals shall be adequately lighted and ventilated and no latrine and urinal shall, unless specially exempted in writing by the Chief Inspector, communicate with any work-room except through an intervening open space or ventilated passage ;
- (d) all such latrines and urinals shall be maintained in a clean and sanitary condition at all times with suitable detergents or disinfectants or with both ;

- (e) the floors and internal walls of the latrines and urinals and the sanitary blocks shall, up to a height of three feet, be finished to provide a smooth polished imperious surface ; and
- (f) washing facilities shall be provided near every sanitary convenience.

(2) The Provincial Government may prescribe the number of latrines and urinals to be provided in any factory in proportion to the number of male and female workers ordinarily employed therein and such further matters in respect of sanitation in the factories as it may deem fit.

22. Spittoons.—(1) In every factory there shall be provided, at convenient places, a sufficient number of spittoons which shall be maintained in a clean and hygienic condition.

(2) The Provincial Government may make rules prescribing the type and the number of spittoons to be provided and their location in any factory and such further matters as may be deemed necessary relating to their maintenance in a clean and hygienic condition.

(3) No person shall spit within the premises of a factory except in the spittoons provided for the purpose. A notice containing this provision and the penalty for its violation shall be prominently displayed at suitable places in the premises.

(4) Whosoever spits in contravention of sub-section (3) shall be punishable with a fine not exceeding two rupees.

23. Precaution against contagious or infectious disease.—(1) Each worker in a factory shall be provided with a 'Hygiene Card' in which during the ¹[months of January and July every year entries] shall be recorded after examination by appointed factory doctor to the effect that the worker is not suffering from any contagious or infectious disease. The fee of such an examination shall be fixed by the Provincial Government and will be borne by the occupier or manager of the factory.

(2) If a worker is found to be suffering from any contagious or infectious disease on an examination under sub-section (1), he shall not be appointed on work till he is declared free of such a disease.

¹[**23A. Compulsory vaccination and inoculation.**—Each worker in a factory shall be vaccinated and inoculated against such diseases and at such intervals as may be prescribed. The expenses, if any, of such vaccination and inoculation shall be borne by the occupier or manager of the factory.]

24. Power to make rules for provision of canteens.—(1) The Provincial Government may make rules requiring that in any specified factory wherein more than two hundred and fifty workers are ordinarily employed, an adequate canteen shall be provided for the use of the workers.

(2) Without prejudice to the generality of the foregoing power, such rules may provide for—

¹Subs. and ins. by Act No. XVI of 1973, ss. 7 and 8.

- (a) the date by which such canteen shall be provided ;
- (b) the standards in respect of construction, accommodation, furniture and other equipment of the canteen ;
- (c) the foodstuffs to be served therein and the charges which may be made, therefor ;
- (d) representation of the workmen in the management of the canteens ;
- (e) enabling, subject to such conditions, if any, as may be specified, the power to make rules under clause (c) to be exercised also by the Chief Inspector.

¹[**24A. Welfare Officer.**—In every factory wherein not less than five hundred workers are ordinarily employed, the occupier or manager shall employ such number of welfare Officers, having such qualifications, to perform such duties and on such terms and conditions as may be prescribed.]

25. Precautions in case of fire.—(1) Every factory shall be provided with such means of escape in case of fire as may be prescribed.

(2) If it appears to the Inspector that any factory is not provided with the means of escape prescribed under sub-section (1), he may serve on the manager of the factory an order in writing specifying the measures which, in his opinion, should be adopted before a date specified in the order.

(3) In every factory the doors affording exit from any room shall not be locked or fastened so that they can be easily and immediately opened from inside while any person is within the room, and all such doors, unless they are of the sliding type, shall be constructed to open outwards or where the door is between two rooms, in the direction of the nearest exit from the building and such door shall not be locked or obstructed while work is being carried on in the room and shall at all times be kept free from any obstruction.

(4) In every factory every window, door, or other exit affording means of escape in case of fire, other than means of exit in ordinary use, shall be distinctively marked in a language understood by the majority of the workers and in red letters of adequate size or by some other effective and clearly understood sign.

(5) In every factory there shall be provided effective and clearly audible means of giving warning in case of fire to every person employed therein.

(6) A free passage-way giving access to each means of escape in case of fire shall be maintained for the use of all workers in every room of the factory.

(7) In every factory wherein more than ten workers are ordinarily employed in any place above the ground floor, or explosive or highly inflammable materials are used or stored, effective measures shall be taken to ensure that all the workers are familiar with the means of escape in case of fire and have been adequately trained in the routine to be followed in such case.

(8) The Provincial Government may make rules prescribing in respect of any factory, or class or description of factories, the means of escape to be provided in case of fire and the nature and amount of fire fighting apparatus to be provided and maintained.

¹Ins. by Act No. XVI of 1973, s. 9.

26. Fencing of machinery.—(1) In every factory the following shall be securely fenced by the safeguards of substantial construction which shall be kept in position while the parts of machinery required to be fenced are in motion or in use, namely—

- (a) every moving part of a prime mover, and every fly wheel connected to a prime mover ;
- (b) the headrace and tailrace of every water wheel and water turbine ;
- (c) any part of a stock-bar which projects beyond the head stock of a lathe ; and
- (d) unless they are in such position or of such construction as to be as safe to every person employed in the factory as they would be if they were securely fenced—
 - (i) every part of an electric generator, a motor or rotary convertor ;
 - (ii) every part of transmission machinery ; and
 - (iii) every dangerous part of any machinery :

Provided that, in the case of dangerous parts of machinery that cannot be securely fenced by reason of the nature of operation, such fencing may be substituted by other adequate measures, such as—

- (i) devices automatically preventing the operation from coming into contact with the dangerous parts ; and
- (ii) automatic stopping devices :

Provided further that, for the purpose of determining whether any part of machinery is in such position or is of such construction as to be safe as aforesaid, account shall not be taken of any occasion when it being necessary to make an examination of the machinery while it is in motion or, as a result of such examination, to carry out any mounting or shipping of belts, lubrication or other adjusting operation while the machinery is in motion, such examination or operation is made or carried out in accordance with the provisions of section 27.

(2) Without prejudice to any other provisions of this Act relating to the fencing of machinery, every set screw, belt and key on any revolving shaft, spindle wheel or pinion and all spur, worm and other toothed or friction gearing in motion with which such worker would otherwise be liable to come into contact, shall be securely fenced to prevent such contact.

(3) The Provincial Government may exempt, subject to such conditions as may be imposed, for securing the safety of the workers, any particular machinery or part from the provisions of this section.

(4) The Provincial Government may, by rules, prescribe such further precautions as it may consider necessary in respect of any particular machinery or part thereof.

27. Work on or near machinery in motion.—(1) Where in any factory it becomes necessary to examine any part of machinery referred to in section 26 while the machinery is in motion, or as a

result of such examination, to carry out any mounting or shipping of belts, lubrication or other adjusting operation while the machinery is in motion, such examination or operation shall be made or carried out only by a specially trained adult male worker wearing tight fitting clothing whose name has been recorded in the register prescribed in this behalf and while he is so engaged, such worker shall not handle a belt at a moving pulley unless the belt is less than six inches in width and unless the belt joint is either laced or flush with the belt.

(2) No woman or child shall be allowed in any factory to clean, lubricate or adjust any part of machinery while that part is in motion, or to work between moving parts or between fixed and moving parts of any machinery which is in motion.

(3) The Provincial Government may, by notification in the official Gazette, prohibit, in any specified factory or class or description of factories, the cleaning, lubricating or adjusting by any person, of specified parts of machinery when those parts are in motion.

28. Employment of young persons on dangerous machines.—(1) No ¹[child or adolescent] shall work at any machine unless he has been fully instructed as to the dangers arising in connection with the machine and the precautions to be observed and—

- (a) has received sufficient training in work at the machine, or
- (b) is under adequate supervision by a person who has thorough knowledge and experience of the machine.

(2) This section shall apply to such machines as may be notified by the Provincial Government to be of such a dangerous character that ¹[children or adolescents] ought not to work at them unless the foregoing requirements are complied with.

29. Striking gear and devices for cutting off power.—(1) In every factory—

- (a) suitable striking gear or other efficient mechanical appliances shall be provided and maintained and used to move driving belts to and from fast and loose pulleys which form part of the transmission machinery, and such gear or appliances shall be so constructed, placed and maintained as to prevent the belt from creeping back on the fast pulleys ;
- (b) driving belts when not in use shall not be allowed to rest or ride upon shafting in motion.

(2) In every factory suitable devices for cutting off power in emergencies from running machinery shall be provided and maintained in every work-room.

(3) In respect of factories in operation before the commencement of this Ordinance the provisions of sub-section (2) shall apply only to work-rooms in which electricity is used for power.

¹Subs. by Act No. XVI of 1973, s. 10.

30. Self-acting machines.—No traversing part of a self-acting machine in any factory and no material carried thereon shall, if the space over which it runs is a space over which any person is liable to pass whether in the course of his employment or otherwise be allowed to run on it outward or inward traverse within a distance of eighteen inches from any fixed structure which is not part of the machine :

Provided that the Chief Inspector may permit the continued use of a machine installed before the commencement of the Labour Laws (Amendment) Ordinance, 1972, which does not comply with the requirements of this section on such conditions for ensuring safety as he may think fit to impose.

31. Casing of new machinery.—(1) In all machinery driven by power and installed in any factory after the commencement of the Labour Laws (Amendment) Ordinance, 1972—

- (a) every set screw, belt or key on any revolving shaft, spindle, wheel or pinion shall be so sunk, encased or otherwise effectively guarded as to prevent danger ; and
- (b) all spur, worm and other toothed or friction gearing which does not require frequent adjustment while in motion shall be completely encased unless it is so situated as to be as safe as it would be if it were completely encased.

(2) Whoever sells or lets on hire or, as agent of a seller or hirer, causes or procures to be sold or let on hire, for use in a factory any machinery driven by power which does not comply with the provisions of sub-section (1), shall be punishable with imprisonment, for a term which may extend to three months, or with fine which may extend to five hundred rupees, or with both.

(3) The Provincial Government may make rules specifying further safe-guards to be provided in respect of any other dangerous part of any particular machine or class or description of machines.

32. Prohibition of employment of women and children near cotton openers.—No woman or child shall be employed in any part of a factory for pressing cotton in which a cotton opener is at work :

Provided that if the feed end of a cotton opener is in a room separated from the delivery end by a partition extending to the roof or to such height as the Inspector may in any particular case specify in writing, women and children may be employed on the side of the partition where the feed end is situated.

33. Cranes and other lifting machinery.—(1) The following provisions shall apply in respect of cranes and all other lifting machinery, other than hoists and lifts in any factory—

- (a) every part thereof, including the working gear, whether fixed or moveable, ropes and chains and anchoring and fixing appliances shall be—
 - (i) of good construction, sound material and adequate strength ;
 - (ii) properly maintained ;
 - (iii) thoroughly examined by a competent person at least once in every period of twelve months, and a register shall be kept containing the prescribed particulars of every such examination ;

- (b) no such machinery shall be loaded beyond the safe working load which shall be plainly marked thereon ;
- (c) while any person is employed or working on or near the wheel tract of a travelling crane in any place where he would be liable to be struck by the crane effective measures shall be taken to ensure that the crane does not approach within twenty feet of that place or come into accidental contact with live electrical lines ;
- (d) limit switches shall be provided to prevent over running ; and
- (e) jib cranes, permitting the raising or lowering of the jib shall be provided with an automatic safe load indicator or have attached to them a table indicating the safe working load at corresponding inclinations of the jib.

(2) The Provincial Government may make rules in respect of any lifting machinery or class or description of lifting machinery in factories—

- (a) prescribing requirements to be complied with in addition to those set out in this section ; or
- (b) exempting from compliance with all or any of the requirements of this section, where in its opinion such compliance is unnecessary or impracticable.

33A. Hoists and lifts.—(1) In every factory—

- (a) every hoist and lift shall be—
 - (i) of good mechanical construction, sound material and adequate strength ;
 - (ii) properly maintained, and shall be thoroughly examined by a competent person authorised by the Chief Inspector in this behalf at least once in every period of six months, and a register shall be kept containing the prescribed particulars of every such examination of which a copy shall be forwarded to the Chief Inspector ;
- (b) every hoistway and liftway shall be sufficiently protected by an enclosure fitted with gates, and the hoist or lift and every such enclosure shall be so constructed as to prevent any person or thing from being trapped between any part of the hoist or lift and any fixed structure or moving part ;
- (c) the maximum safe working load shall be plainly marked on every hoist or lift, and no load greater than such load shall be carried thereon ;
- (d) the cage of every hoist or lift used for carrying persons shall be fitted with a gate on each side from which access is afforded to a landing ;
- (e) every gate referred to in clause (b) or clause (d) shall be fitted with interlocking or other efficient device to secure that the gate cannot be opened except when

the cage is at the landing and that the cage cannot be moved unless the gate is closed.

(2) The following additional requirements shall apply to hoists and lifts used for carrying persons and installed or reconstructed in a factory after the commencement of the Labour Laws (Amendment) 1972, namely :—

- (a) Where the cage is supported by rope or chain there shall be at least two ropes or chains separately connected with the cage and balance weight, and each rope or chain with its attachments shall be capable of carrying the whole weight of the cage together with its maximum load ;
- (b) efficient devices shall be provided and maintained capable of supporting the cage together with its maximum load in the event of breakage of the ropes, chains or attachments ;
- (c) an efficient automatic device shall be provided and maintained to prevent the cage from over-running.

(3) The Chief Inspector may permit the continued use of a hoist or lift installed in a factory before the commencement of this Ordinance which does not fully comply with the provisions of sub-section (1) upon such conditions for ensuring safety as he may think fit to impose.

(4) The Provincial Government may, if, in respect of class or description of hoist or lift, it is of opinion that it would unreasonable to enforce any requirement of sub-sections (1) and (2), by order direct that such requirements shall not apply to such class or description of hoist or lift.

33B. Revolving machinery.—(1) In every room in a factory in which the process of grinding is carried on there shall be permanently affixed to, or placed near, each machine in use a notice indicating the maximum safe working peripheral speed of every grind stone or abrasive wheel, the speed of the shaft or spindle upon which the wheel is mounted and the diameter of the pulley upon such shaft or spindle necessary to secure such safe working peripheral speed.

(2) The speeds indicated in the notice under sub-section (1) shall not be exceeded.

(3) Effective measures shall be taken in every factory to ensure that the safe working peripheral speed of every revolving vessel, cage basket, flywheel, pulley disc or similar appliance driven by power is not exceeded.

33C. Pressure plant.—(1) If in any factory any part of the plant or machinery used in a manufacturing process is operated at a pressure above atmospheric pressure, effective measures shall be taken to ensure that safe working pressure of such part is not exceeded.

(2) The Provincial Government may make rules providing for the examination and testing of any plant or machinery such as is referred to in sub-section (1) and prescribing such other safety measures in relation thereto as may, in its opinion, be necessary in any factory or class or description of factories.

33D. Floors, stairs and means of access.—In every factory—

- (a) all floors, stairs, passages and gangways shall be of sound construction and properly maintained and where it is necessary to ensure safety, steps, stairs, ladders, passages and gangways shall be provided with substantial handrails ;
- (b) there shall so far as is reasonably practicable be provided and maintained safe means of access to every place at which any person is at any time required to work ;
- (c) all places of work from which a worker may be liable to fall a distance exceeding three feet and six inches shall be provided with fencing or there suitable safeguards ; and
- (d) adequate provision shall be made for the drainage of floors in wet processes and for the use of slatted stands and platforms.

33E. Pits, sumps, opening, in floors, etc.—(1) In every factory, every fixed vessel, sump, tank pit or opening in the ground or in a floor which by reason of its depth, situation, construction or contents, is or may be a source of danger, shall be either securely covered or securely fenced.

(2) The Provincial Government may, by order in writing, exempt, subject to such conditions as may be imposed, any factory or class or description of factories in respect of any vessel sump, tank pit or opening from compliance with the provisions of this section.

33F. Excessive weights.—(1) No person shall be employed in any factory to lift, carry or move any load so heavy as to be likely to cause him injury.

(2) The Provincial Government may make rules prescribing the maximum weights which may be lifted, carried or moved by adult men, adult women, adolescents and children employed in factories or in any class or description of factories or in carrying on any specified process.

33G. Protection of eyes.—The Provincial Government may, in respect of any manufacturing process carried on in any factory, by rules require that effective screens or suitable goggles shall be provided for the protection of persons employed on, or in the immediate vicinity of, a process which involves:—

- (a) risk of injury to the eyes from particles or fragments thrown off in the course of the process, or
- (b) risk to the eyes by reason of exposure to excessive light or heat.

33. H. Powers to require specifications of defective parts or tests of stability.—If it appears to the Inspector that any building or part of a building, or any part of the ways, machinery or plant in a factory, is in such a condition that it may be dangerous to human life or safety, he may serve on the Manager of the factory an order in writing, requiring him before a specified date—

- (a) to furnish such drawings, specifications and other particulars as may be necessary to determine whether such building, ways, machinery or plant can be used with safety, or
- (b) to carry out such tests as may be necessary to determine the strength or quality of any specified parts and to inform the Inspector of the results thereof.

33I. Safety of building, machinery and manufacturing process.—(1) If it appears to the Inspector that any building or part of a building or any part of the ways, machinery or plant or manufacturing process in a factory is in such a condition that it is dangerous to human health or safety, he may serve on the Manager of the factory an order in writing specifying the measures which, in his opinion, should be adopted, and requiring them to be carried out before a specified date.

(2) If it appears to the Chief Inspector that the requisitions made under sub-section (1) are not satisfactorily fulfilled thereby involving exposure of workers to serious hazards, he may serve on the Manager of the factory an order in writing, containing a statement of the grounds of his opinion, prohibiting until the danger is removed, the employment, in or about the factory or part thereof, of any person whose employment is not in his opinion reasonably necessary for the purpose of removing the danger.

(3) If it appears to the Inspector that the use of any building or part of a building or of any part of the ways, machinery or plant or manufacturing process in a factory involves imminent danger to human health or safety he may serve on the Manager of the factory an order in writing prohibiting, until the danger is removed, the employment, in or about the factory or part thereof, of any person whose employment is not in his opinion reasonably necessary for the purpose of removing the danger.

(4) Nothing in sub-section (2) or (3) shall be deemed to affect the continuance in the employment of the factory of a person whose employment in or about the factory or part thereof is prohibited under that sub-section.

33J. Power to make rules to supplement this Chapter.—The Provincial Government may make rules requiring that—

(1) in any factory or in any class or description of factories, such further devices and measures for securing the safety of the persons employed therein as it may deem necessary shall be adopted ; and

(2) work on a manufacturing process carried on with the aid of power shall not be begun in any building or part of a building erected or taken into use as a factory until a certificate of stability in the prescribed form and signed by a person possessing the prescribed qualifications has been sent to the Chief Inspector.

33K. Precautions against dangerous fumes.—(1) In any factory no person shall enter or be permitted to enter any chamber, tank, vat, pit, pipe, flue or other confined space in which dangerous fumes are likely to be present to such an extent as to involve risk of persons being overcome thereby, unless it is provided with a manhole of adequate size or other effective means of egress.

(2) No portable electric light of voltage exceeding twenty-four volts shall be permitted in any factory for use inside any confined space such as is referred to in sub-section (1) and, where the fumes

present are likely to be inflammable, a lamp or light other than of flame proof construction shall not be permitted to be used in such confined space.

(3) No person in any factory shall enter or be permitted to enter any confined space such as is referred to in sub-section (1) until all practicable measures have been taken to remove any fumes which may be present and to prevent ingress of fumes and unless either—

- (a) a certificate in writing has been given by a competent person, based on a test carried out by himself, that the space is free from dangerous fumes and fit for persons to enter, or
- (b) the worker is wearing suitable breathing apparatus and a belt securely attached to a rope, the free end of which is held by a person standing outside the confined space.

(4) Suitable breathing apparatus, reviving apparatus and belts and ropes shall in every factory be kept ready for instant use beside any such confined space as aforesaid which any person has entered, and all such apparatus shall be periodically examined and certified by a competent person to be fit for use ; and a sufficient number of persons employed in every factory shall be trained and practiced in the use of all such apparatus and in the method of restoring respiration.

(5) No person shall be permitted to enter in any factory, any boiler furnace, boiler flue, chamber, tank, vat, pipe or other confined space for the purpose of working or making any examination therein until it has been sufficiently cooled by ventilation or otherwise to be safe for persons to enter.

(6) The Provincial Government may make rules prescribing the maximum dimensions of the mainholes referred to in sub-section (1) and may, by order in writing, exempt, subject to such conditions as it may think fit to impose, any factory or class or description of factories from compliance with any of the provisions of this section.

33L. Explosive or inflammable dust, gas, etc.—(1) Where in any factory any manufacturing process produces dust, gas, fume or vapour of such character and to such extent as to be likely to explode on ignition, all practicable measures shall be taken to prevent any such explosion by—

- (a) effective enclosure of the plant or machinery used in the process ;
- (b) removal or prevention of the accumulation of such dust, gas, fume or vapour ;
- (c) exclusion or effective enclosure of all possible sources of ignition.

(2) Where in any factory the plant or machinery used in a process such as is referred to in sub-section (1) is not so constructed as to withstand the probable pressure which such an explosion as aforesaid would produce, all practicable measures shall be taken to restrict the spread and effects of the explosion by the provision in the plant or machinery of chokes, Baffles, vents or other effective appliances.

(3) Where any part of the plant or machinery in a factory contains any explosive or inflammable gas or vapour under pressure greater than atmospheric pressure, that part shall not be opened except in accordance with the following provisions, namely :—

- (a) before the fastening of any joint of any pipe connected with the part of the fastening of the cover of any opening into the part is loosened.
any flow of the gas or vapour into the part or any such pipe shall be effectively stopped by a stop-valve or other means ;
- (b) before any such fastening as aforesaid is removed, all practicable measures shall be taken to reduce the pressure of the gas or vapour in the part or pipe to atmospheric pressure ;
- (c) where any such fastening as aforesaid has been loosened or removed, effective measures shall be taken to prevent any explosive or inflammable gas or vapour from entering the part or pipe until the fastening has been secured or, as the case may be, securely replaced :

Provided that the provisions of this sub-section shall not apply in the case of plant or machinery installed in the open air.

(4) No plant, tank or vessel which contains or has contained any explosive or inflammable substance shall be subjected in any factory to any welding, brazing, soldering or cutting operation which involves the application of heat or to any drilling or other operation which is likely to create heat or sparks, unless adequate measures have first been taken to remove such substance and any fumes arising therefrom or to render such substance and fumes non-explosive or non-inflammable, and no such substance shall be allowed to enter such plant, tank or vessel after any such operation until the metal has cooled sufficiently to prevent any risk of igniting the substance.

(5) The Provincial Government may by rules exempt, subject to such condition as may be prescribed, any factory or class or description of factories from compliance with all or any of the provisions of this section.

33M. Power to exclude children.—(1) The Provincial Government may make rules prohibiting the admission to any specified class of factories, or to specified parts thereof, of children who cannot be lawfully employed therein.

(2) If it appears to the Inspector that the presence in any factory or part of a factory of children who cannot be lawfully employed therein may be dangerous to them or injurious to their health, he may serve on the manager of the factory an order in writing directing him to prevent the admission of such children to the factory or any part of it.

33N. Notice of certain accident.—Where in any factory an accident occurs which causes death, or which causes any bodily injury whereby any person injured is prevented from resuming his work in the factory during the forty-eight hours after the accident occurred, or which is of any nature which may be prescribed in this behalf, the manager of the factory shall send notice thereof to such authorities, and in such form and within such time, as may be prescribed.

33P. Appeals.—(1) The manager of a factory on whom an order in writing by an Inspector has been served under the provisions of this Chapter, or the occupier of the factory, may, within thirty days of the service of the order, appeal against it to the Provincial Government, or to such authority as the Provincial Government may appoint in this behalf, and the Provincial Government or appointed

authority may, subject to rules made in this behalf by the Provincial Government, confirm, modify or reverse the order.

(2) The appellate authority may, and if so required in the petition or appeal shall, hear the appeal with the aid of assessors, one of whom shall be appointed by the appellate authority and the other by such body representing the industry concerned as the Provincial Government may prescribe in this behalf :

Provided that if no assessor is appointed by such body, or if the assessor so appointed fails to attend at the time and place fixed for hearing the appeal, the appellate authority may, unless satisfied that the failure to attend is due to sufficient cause, proceed to hear the appeal without the aid of such assessor, or if it thinks fit, without the aid of any assessor.

(3) Except in the case of an appeal against an order under sub-section (3) of section 33I or sub-section (2) of section 33M the appellate authority may, suspend the order appealed against pending the decision of the appeal, subject however to such conditions as to partial compliance or the adoption of temporary measures as it may choose to impose in any case.

33Q. Additional power to make health and safety rules relating to shelters during rest.—

(1) The Provincial Government may make rules requiring that in any specified factory wherein more than one hundred and fifty workers are ordinarily employed, an adequate shelter shall be provided for the use of workers during periods of rest, and such rules may prescribe the standards of such shelters.

(2) *rooms for children.*—The Provincial Government may also make rules—

- (a) requiring that in any specified factory, wherein more than fifty women workers are ordinarily employed, a suitable room shall be reserved for the use of children under the age of six years belonging to such women, and
- (b) prescribing the standards for such rooms and the nature of the supervision to be exercised over the children therein.

(3) *certificates of stability.*—The Provincial Government may also make rules, for any class of factories and for the whole or any part of the Province, requiring that work on a manufacturing process carried on with the aid of power shall not be begun in any building or part of a building erected or taken into use as a factory after the commencement of this Act, until a certificate of stability in the prescribed form, signed by a person possessing the prescribed qualifications, has been sent to the Inspector.

(4) *hazardous operations.*—Where the Provincial Government is satisfied that any operation in a factory exposes any persons employed upon it to a serious risk of bodily injury, poisoning or disease, it may make rules applicable to any factory or class of factories in which the operation is carried on—

- (a) specifying the operation and declaring it to be hazardous,
- (b) prohibiting or restricting the employment of women, adolescents or children upon the operation,

- (c) providing for the medical examination of persons employed or seeking to be employed upon the operation and prohibiting the employment of persons not certified as fit for such employment, and
- (d) providing for the protection of all persons employed upon the operation or in the vicinity of the places where it is carried on.]

¹[(5) The Provincial Government may also make rules requiring the occupiers or managers of factories to maintain stores of first-aid appliances and provide for their proper custody and use.]

CHAPTER IV RESTRICTIONS ON WORKING HOURS OF ADULTS

34. Weekly hours. No adult worker shall be allowed to work in a factory for more than ²[forty-eight] hours in any week, or, where the factory is a seasonal one, for more than ²[fifty] hours in any week :

Provided that an adult worker in a ³[*] factory engaged in work which for technical reasons must be continuous throughout the day may work for fifty-six hours in any week.

35. Weekly holiday.—(1) No adult worker shall be allowed to work in a factory on a Sunday unless—

- (a) he has had or will have a holiday for a whole day on one of the three days immediately before or after that Sunday, and
- (b) the manager of the factory has, before that Sunday or the substituted day, whichever is earlier,—
 - (i) delivered a notice to the office of the Inspector of his intention to require the worker to work on the Sunday and of the day which is to be substituted, and
 - (ii) displayed a notice to that effect in the factory :

Provided that no substitution shall be made which will result in any worker working for more than ten days consecutively without a holiday for a whole day.

(2) Notice given under sub-section (1) may be cancelled by a notice delivered to the office of the Inspector and a notice displayed in the factory not later than the day before the Sunday or the holiday to be cancelled, whichever is earlier.

(3) Where, in accordance with the provisions of sub-section (1), any worker works on a Sunday and has had a holiday on one of the three days immediately before it, that Sunday shall, for the purpose of calculating his weekly hours of work, be included in the preceding week.

¹Added by Act No. XVI of 1973, s. 11.

²Subs by Act No. X of 1946, s. 2 (w. e. f. the 1st August 1946).

³Omitted by Act No. V of 1947, s. 3.

¹[**35A. Compensatory holidays.**—(1) Where, as a result of the passing of an order or the making of a rule under the provisions of this Act exempting a factory or the workers therein from the provisions of section 35, a worker is deprived of any of the weekly holidays for which provision is made by sub-section (1) of that section, he shall be allowed, as soon as circumstances permit, compensatory holidays of equal number to the holidays so lost.

(2) The Provincial Government may make rules prescribing the manner in which the holidays, for which provision is made in sub-section (1), shall be allowed.]

36. Daily hours.—No adult worker shall be allowed to work in a factory for more than ²[nine] hours in any day :

Provided that a male adult worker in a seasonal factory may work for ²[ten] hours in any day.

37. Intervals for rest.—The periods of work of adult workers in a factory during each day shall be fixed either—

- (a) so that no period shall exceed six hours, and so that no worker shall work for more than six hours before he has had an interval for rest of at least one hour ;
or
- (b) so that no period shall exceed five hours and so that no worker shall work for more than five hours before he has had an interval for rest of at least half an hours, or for more than eight and a half hours before he has had at least two such intervals.

38. Spread over.—The periods of work of an adult worker in a factory shall be so arranged that alongwith his intervals for rest under section 37, they shall not spread over more than ³[twelve] hours in any day, save with the permission of the ⁴[Provincial Government] and subject to such conditions as it may impose, either generally or in the case of any particular factory.

39. Notice of periods for Work for Adults and preparation thereof.—(1) There shall be displayed and correctly maintained in every factory in accordance with the provisions of sub-section (2) of section 76 a Notice of Periods for Work for Adults showing clearly the periods within which adult workers may be required to work.

(2) The periods shown in the Notice required by sub-section (1) shall be fixed beforehand in accordance with the following provisions of this section and shall be such that workers working for those periods would not be working in contravention of any of the provisions of section 34, 35, 36, 37 and 38.

¹Ins. by Act No. III of 1945, s. 2., (w. e. f. the 1st January 1946).

²Subs. by Act No. X of 1946, s. 3 (w. e. f. the 1st August, 1946).

³Subs. by the Finance Act, 2006 (Act No. III of 2006), s. 3.

⁴Subs. by A. O., 1937.

(3) Where all the adult workers in a factory are required to work within the same periods, the manager of the factory shall fix those periods for such workers generally.

(4) Where all the adult workers in a factory are not required to work within the same periods, the manager of the factory shall classify them into groups according to the nature of their work.

(5) For each group which is not required to work on a system of shifts, the manager of the factory shall fix the periods within which the group may be required to work.

(6) Where any group is required to work on a system of shifts and the relays are not to be subject to predetermined periodical changes of shift, the manager of the factory shall fix the periods within which each relay of the group may be required to work.

(7) Where any group is to work on a system of shifts and the relays are to be subject to predetermined periodical changes of shifts, the manager of the factory shall draw up a scheme of shifts whereunder the periods within which any relay of the group may be required to work and the relay which will be working at any time of the day shall be known for any day.

(8) The ¹[Provincial Government] may make rules prescribing forms for the Notice of Periods for Work for Adults and the manner in which it shall be maintained.

40. Copy of Notice of Periods for Work to be sent to Inspector.—(1) A copy of the Notice referred to in sub-section (1) of section 39 shall be sent in duplicate to the Inspector within fourteen days after the commencement of this Act, or, if the factory begins work after the commencement of this Act, before the day on which it begins work.

(2) Any proposed change in the system of work in a factory which will necessitate a change in the Notice shall be notified to the Inspector in duplicate before the change is made, and, except with the previous sanction of the Inspector, no such change shall be made until one week has elapsed since the last change.

41. Register of Adult Workers.—(1) The manager of every factory shall maintain a Register of Adult Workers showing—

- (a) the name ²[and age] of each adult worker in the factory,
- (b) the nature of his work,
- (c) the group, if any, in which he is included,
- (d) where his group works on shifts, the relay to which he is allotted, and
- (e) such other particulars as may be prescribed :

¹Subs. by A. O., 1937.

²Ins. by Act No. XVI of 1973, s.12.

Provided that, if the Inspector is of opinion that any muster roll or register maintained as part of the routine of a factory gives in respect of any or all of the workers in the factory the particulars required under this section, he may, by order in writing, direct that such muster roll or register shall to the corresponding extent be maintained in place of and be treated as the Register of Adult Workers in that factory :

Provided further that, where the ¹[Provincial Government] is satisfied that the conditions of work in any factory or class of factories are such that there is no appreciable risk of contravention of the provisions of this Chapter in the case of that factory or factories of that class, as the case may be, the ¹[Provincial Government] may, by written order, exempt, on such conditions as it may impose, that factory or all factories of that class, as the case may be, from the provisions of this section.

(2) The ¹[Provincial Government] may make rules prescribing the form of the Register of Adult Workers, the manner in which it shall be maintained and the period for which it shall be preserved.

42. Hours of work to correspond with Notice under section 39 and Register under section 41.—No adult worker shall be allowed to work otherwise than in accordance with the Notice of Periods for Work for Adults displayed under sub-section (1) of section 39 and the entries made beforehand against his name in the Register of Adult Workers maintained under section 41.

43. Power to make rules exempting from restrictions.—(1) The ¹[Provincial Government] may make rules defining the persons who hold positions of supervision or management or are employed in a confidential position in a factory, and the provisions of this Chapter, ²[other than the provisions of clause (b) of sub-section (1) of section 45 and of the provisos to that sub-section], shall not apply to any person so defined.

(2) The ¹[Provincial Government] may make rules for adult workers providing for the exemption, to such extent and subject to such conditions as may be prescribed in such rules,—

- (a) of workers engaged on urgent repairs—from the provisions of sections 34, 35, 36, 37 and 38 ;
- (b) of workers engaged in work in the nature of preparatory or complementary work which must necessarily be carried on outside the limits laid down for the general working of the factory—from the provisions of sections 34, 36, 37 and 38 ;
- (c) of workers engaged in work which is necessarily so intermittent that the intervals during which they do not work while on duty ordinarily amount to more than intervals for rest required under section 37—from the provisions of sections 34, 36, 37 and 38 ;
- (d) of workers engaged in any work which for technical reasons must be carried on continuously throughout the day—from the provisions of sections 34, 35, 36, 37 and 38 ;

¹Subs. by A. O., 1937.

²Ins. by Act No. XI of 1935, s. 2.

- (e) of workers engaged in making or supplying articles of prime necessity which must be made or supplied every day—from the provisions of section 35 ;
- (f) of workers engaged in a manufacturing process which cannot be carried on except during fixed seasons—from the provisions of section 35 ;
- (g) of workers engaged in a manufacturing process which cannot be carried on except at times dependent on the irregular action of natural forces—from the provisions of section 35 and section 37 ; and
- (h) of workers engaged in engine-rooms or boiler-houses—from the provisions of section 35.

(3) Rules made under sub-section (2) providing for any exemption may also provide for any consequential exemption from the provisions of sections 39 and 40 which the ¹[Provincial Government] may deem to be expedient, subject to such conditions as it may impose.

(4) In making rules under this section the ¹[Provincial Government] shall prescribe the maximum limits for the weekly hours of work for all classes of workers, and any exemption given, other than an exemption under clause (a) of sub-section (2), shall be subject to such limits.

(5) Rules made under this section shall remain in force for not more than three years.

44. Power to make orders exempting from restrictions.—(1) Where the ¹[Provincial Government] is satisfied that, owing to the nature of the work carried on or to other circumstances, it is unreasonable to require that the periods of work of any adult workers in any factory or class of factories should be fixed beforehand, it may, by written order, relax or modify the provisions of sections 39 and 40 in respect of such workers to such extent and in such manner as it may think fit, and subject to such conditions as it may deem expedient to ensure control over periods of work.

(2). The ¹[Provincial Government], or subject to the control of the ¹[Provincial Government] the Chief inspector, may, by written order, exempt, on such conditions as it or he may deem expedient, any or all of the adult workers in any factory, or group or class of factories, from any or all of the provisions of sections 34, 35, 36, 37, 38, 39 and 40, on the ground that the exemption is required to enable the factory or factories to deal with an exceptional press of work.

(3) Any exemption given under sub-section (2) in respect of weekly hours of work shall be subject to the maximum limits prescribed under sub-section (4) of section 43.

²[(4) An order under sub-section (2) shall remain in force for such period, not exceeding two months from the date on which notice thereof is given to the manager of the factory, as may be specified in the order :

¹Subs. by A. O., 1937.

²Subs. by Act No. X of 1946, s. 5 (w. e. f. the 1st August, 1946).

Provided that if in the opinion of the Provincial Government the public interest so requires, the Provincial Government may from time to time, by notification in the official Gazette, extend the operation of any such order for a period, not exceeding six months at any one time, as may be specified in the notification.]

45. Further restrictions on the employment of women.—(1) The provisions of this Chapter shall, in their application to women workers in factories, be supplemented by the following further restrictions, namely—

- (a) no exemption from the provisions of section 36 may be granted in respect of any woman ; and
- (b) no woman shall be allowed to work in a factory except between 6 A. M. and 7 P.M. :

¹[Provided that if the employer arranges for the transport facilities, a woman with her consent may work up to 10.00 p.m. in two shifts]

¹[Omitted]

(2) The ²[Provincial Government] may make rules providing for the exemption from the above restrictions, to such extent and subject to such conditions as it may prescribe, of women working in fish-curing or fish-canning factories where the employment of women beyond the said hours is necessary to prevent damage to or deterioration in any raw material.

(3) Rules made under sub-section (2) shall remain in force for not more than three years.

46. Special provision for night-shifts. Where a worker works on a shift which extends over midnight, the ensuing day for him shall be deemed to be the period of twenty-four hours beginning when such shift ends, and the hours he has worked after midnight shall be counted towards the previous day :

Provided that the ²[Provincial Government] may, by order in writing, direct that in the case of any specified factory or any specified class of workers therein the ensuing day shall be deemed to be the period of twenty-four hours beginning when such shift begins and that the hours worked before midnight shall be counted towards the ensuing day.

47. Extra pay for overtime.—³[(1) Where a worker—

- (a) in a non-seasonal factory works for more than nine hours in any day or for more than forty-eight hours in any week, or
- (b) in a seasonal factory works for more than nine hours in any day or for more than fifty hours in any week, —

he shall be entitled in respect of the overtime worked to pay at the rate of twice his ordinary rate of pay.]

¹Subs and omitted by the Finance Act, 2006 (Act No. III of 2006), s. 3.

²Subs. by A. O., 1937.

³Subs. by Act No. X of 1946. s. 7. (w. e.f. the 1st August, 1946).

¹[*Explanation.*—In this sub-section, ‘ordinary rate of pay’ means all remuneration capable of being expressed in terms of money which would, if the terms of the contract of employment, express or implied, were fulfilled, be payable to a worker in respect of his employment or of work done in such employment, but does not include—

- (i) the value of any house-accommodation, supply of light, water, medical attendance or other amenity ;
- (ii) any contribution paid by the employer to any pension fund or provident fund ;
- (iii) any travelling allowance or the value of travelling concession ; or
- (iv) any gratuity, bonus or share in the profits of the factory.]

(3) Where any workers are paid on a piece rate basis, the ²[Provincial Government] in consultation with the industry concerned may for the purposes of this section fix time rates as nearly as possible equivalent to the average rate of earnings of those workers, and the rates so fixed shall be deemed to be the ordinary rates of those workers for the purposes of this section.

(4) The ²[Provincial Government] may prescribe the registers that shall be maintained in a factory for the purpose of securing compliance with the provisions of this section.

48. Restriction on double employment.—No adult worker shall be allowed to work in any factory on any day on which he has already been working in any other factory, save in such circumstances as may be prescribed.

49. Control of overlapping shifts.—The ²[Provincial Government] may make rules providing that in any specified class or classes of factories work shall not be carried on by a system of shifts so arranged that more than one relay of workers is engaged in work for the same kind at the same time save with the permission of the ²[Provincial Government] and subject to such conditions as it may impose, either generally or in the case of any particular factory.

³[CHAPTER IVA HOLIDAYS WITH PAY]

49A. Application of Chapter.—(1) The provisions of this Chapter shall not apply to a seasonal factory.

(2) The provisions of this Chapter shall not operate to the prejudice of any rights to which a worker may be entitled under any other enactment, or under the terms of any award, agreement or contract of service.

¹Added by Act No. XVI of 1973, s. 13.

²Subs. by A.O., 1937.

³Ins. by Act No. III of 1945, s. 3 (w. e. f. the 1st January, 1946).

49B. Annual holidays.—(1) Every worker who has completed a period of twelve months continuous service in a factory shall be allowed, during the subsequent period of twelve months, holidays for a period of ¹[* * *] fourteen consecutive days, inclusive of the day or days, if any, on which he is entitled to a holiday under sub-section (1) of section 35.

(2) If a worker fails in any one such period of twelve months to take the whole of the holidays allowed to him under sub-section (1), any holidays not taken by him shall be added to the holidays to be allowed to him under sub-section (1) in the succeeding period of twelve months, so however that the total number of days holidays which may be carried forward to a succeeding period shall not exceed ¹[* * *] fourteen.

(3) If a worker entitled to holidays under sub-section (1) is discharged by his employer before he has been allowed the holidays, or if, having applied for and having been refused the holidays, he quits his employment before he has been allowed the holidays, the employer shall pay him the amount payable under section 49C in respect of the holidays.

Explanation.—A worker shall be deemed to have completed a period of twelve months continuous service in a factory notwithstanding any interruption in service during those twelve months brought about by sickness, accident or authorised leave not exceeding ninety days in the aggregate for all three, or by a lock-out, or by a strike which is not an illegal strike, or by intermittent periods of involuntary unemployment not exceeding thirty days in the aggregate ; and authorised leave shall be deemed not to include any weekly holiday allowed under section 35 which occurs at beginning or end of an interruption brought about by the leave.

49C. Pay during annual holidays—Without prejudice to the conditions governing the day or days, if any, on which the worker is entitled to a holiday under sub-section (1) of section 35, the worker shall, for the remaining days of the holidays allowed to him under section 49B, be paid at a rate equivalent to the daily average of his wages as defined in the Payment of Wages Act, 1936, for the days on which he actually worked during the preceding three months, exclusive of any earning in respect of overtime.

49D. Payment when to be made.—A worker who has been allowed holidays under section 49B shall, before his holidays begin, be paid half the total pay due for the period of holidays.

49E. Power of Inspector to act for worker.—Any Inspector may institute proceedings on behalf of any worker to recover any sum required to be paid under this Chapter by an employer which the employer has not paid.

49F. Power to make rules.—(1) The Provincial Government may make rules to carry into effect the provisions of this Chapter.

(2) Without prejudice to the generality of the foregoing power rules may be made under this section prescribing the keeping by employers of registers showing such particulars as may be prescribed and requiring such registers to be made available for examination by Inspectors.

²[* * * * *]

¹Omitted by Act No. XVI of 1973, s. 14.

²Omitted by A. O. 1964, Art. 2 and Sch.

49G. Exemption of factories from the provisions of this Chapter.—Where the Provincial Government is satisfied that the leave rules applicable to workers in a factory provide benefits substantially similar to those for which this Chapter makes provision, it may, by written order, exempt the factory from the provisions of this Chapter.]

¹[**49H. Casual leave and sick leave.**—(1) Every worker shall be entitled to casual leave with full pay for ten days in a year.

(2) Every worker shall be entitled to sixteen days' sick leave on half average pay in a year.

49I. Festival holidays.—(1) Every worker shall be allowed holidays with pay on all days declared by the Provincial Government to be festival holidays.

(2) A worker may be required to work on any festival holiday but one day additional compensatory holiday with full pay and a substitute holiday shall be allowed to him in accordance with the provisions of section 35.]

CHAPTER V

SPECIAL PROVISIONS FOR ADOLESCENTS AND CHILDREN

50. Prohibition of employment of young children.—No child who has not completed his ²[fourteenth] year shall be allowed to work in any factory.

51. Non-adult workers to carry tokens giving reference to certificates of fitness.—No child who has completed his ²[fourteenth] year and no adolescent shall be allowed to work in any factory unless—

- (a) a certificate of fitness granted to him under section 52 is in the custody of the manager of the factory, and
- (b) he carries while he is at work a token giving a reference to such certificate.

52. Certificates of fitness.—(1) A certifying surgeon shall, on the application of any ¹[child or adolescent] who wishes to work in a factory, or of the parent or guardian of such person, or of the manager of the factory in which such person wishes to work, examine such person and ascertain his fitness for such work.

(2) The certifying surgeon, after examination, may grant to such person, in the prescribed form,—

- (a) a certificate of fitness to work in a factory as a child, if he is satisfied that such person has completed his ²[fourteenth] year, that he has attained the prescribed physical standards (if any), and that he is fit for such work ; or

¹Added and subs. by Act No. XVI of 1973, ss. 15 and 16.

²Subs. by the Labour Laws (Amdt.) Act, 1977 (Act No. XVII of 1977), s. 2, Sch. 1.

- (b) a certificate of fitness to work in a factory as an adult, if he is satisfied that such person has completed his fifteenth year and is fit for a full day's work in a factory.

(3) A certifying surgeon may revoke any certificate granted under sub-section (2) if, in his opinion, the holder of it is no longer fit to work in the capacity stated therein in a factory.

(4) Where a certifying surgeon or a practitioner authorised under sub-section (2) of section 12 refuses to grant a certificate or a certificate of the kind requested, or revokes a certificate, he shall, if so requested by any person who could have applied for the certificate, state his reasons in writing for so doing.

53. Effect of certificate granted to adolescent.—(1) An adolescent who has been granted a certificate of fitness to work in a factory as an adult, under clause (b) of sub-section (2) of section 52, and who, while at work in a factory, carries a token giving reference to the certificate, shall be deemed to be an adult for all the purposes of Chapter IV.

(2) An adolescent who has not been granted a certificate of fitness work in a factory as an adult under sub-section (2) of section 52 shall, notwithstanding his age, be deemed to be a child for the purposes of this Act.

54. Restrictions on the working hours of a child.—(1) No child shall be allowed to work in a factory for more than five hours in any day.

(2) The hours of work of a child shall be so arranged that they shall not spread over more than seven-and-a-half hours in any day.

(3) No child ¹[or adolescent] shall be allowed to work in a factory except between 6 A. M. and 7 P.M. :

Provided that the ²[Provincial Government] may, by notification in the ²[official Gazette], in respect of any class or classes of factories and for the whole year or any part of it, vary these limits to any span of thirteen hours between 5 A. M. and ³[7-30 P.M.].

(4) The provisions of section 35 shall apply also to child workers, but no exemption from the provisions of that section may be granted in respect of any child.

(5) No child shall be allowed to work in any factory on any day on which he has already been working in another factory.

55. Notice of Periods for Work for Children.—(1) There shall be displayed and correctly maintained in every factory in accordance with the provisions of sub-section (2) of section 76, a Notice of Periods for Work for Children, showing clearly the periods within which children may be required to work.

¹Ins. by Act No. XVI of 1973, s. 17.

²Subs by A. O. 1937.

³Subs. by Act No. XIV of 1944), s. 5.

(2) The periods shown in the Notice required by sub-section (1) shall be fixed beforehand in accordance with the method laid down for adults in section 39 and shall be such that children working for those periods would not be working in contravention of section 54.

(3) The provisions of section 40 shall apply also to the Notice of Periods for Work for Children.

(4) The ¹[Provincial Government] may make rules prescribing forms for the Notice of Periods for Work for Children and the manner in which it shall be maintained.

56. Register of Child Workers.—(1) The manager of every factory in which children are employed shall maintain a Register of Child Workers showing—

- (a) the name ²[and age] of each child worker in the factory
- (b) the nature of his work,
- (c) the group, if any, in which he is included,
- (d) where his group works on shifts, the relay to which he is allotted,
- (e) the number of his certificate of fitness granted under section 52, and
- (f) such other particulars as may be prescribed.

(2) The ¹[Provincial Government] may make rules prescribing the form of the Register of Child Workers, the manner in which it shall be maintained and the period for which it shall be preserved.

57. Hours of work to correspond with Notice and Register.—No child shall be allowed to work otherwise than in accordance with the Notice of Periods for Work for Children displayed under sub-section (1) of section 55 and the entries made before hand against his name in the Register of Child Workers maintained under sub-section (1) of section 56.

58. Power to require medical examination.—Where an Inspector is of opinion—

- (a) that any person working in a factory without a certificate of fitness is a child or an adolescent, or
- (b) that a child or adolescent working in a factory with a certificate is no longer fit to work in the capacity stated therein,

he may serve on the manager of the factory a notice requiring that such person, or that such child or adolescent, as the case may be, shall be examined by a certifying surgeon or by a practitioner authorised under sub-section (2) of section 12, and such person, child or adolescent shall not, if the Inspector so directs, be allowed to work in any factory until he has been so examined and has been granted a certificate of fitness or a fresh certificate of fitness, as the case may be.

¹Subs by A. O. 1937.

²Ins. by Act No. XVI of 1973, s. 18.

59. Power to make rules.—The ¹[Provincial Government] may make rules—

- (a) prescribing the forms of certificates of fitness to be granted under section 52, providing for the grant of duplicates in the event of loss of original certificates, and fixing the fees which may be charged for such certificates and such duplicates ;
- (b) prescribing the physical standards to be attained by children and adolescents ;
- (c) regulating the procedure of certifying surgeons under this Chapter, and specifying other duties which they may be required to perform in connection with the employment of children and adolescents in factories ; and
- (d) providing for any other matter which may be expedient in order to give effect to the provisions of this Chapter.

²[**59A. Provisions to be in addition to Act XXVI of 1938.**—The provisions of this Chapter shall be in addition to, and not in derogation of, the provisions of the Employment of Children Act, 1938 (XXVI of 1938)] .

CHAPTER VI PENALTIES AND PROCEDURE

60. Penalty for contraventions of Act and rules.—If in any factory—

- (a) there is any contravention—
 - (i) of any of the provisions of sections 13 to ³[32] inclusive, or
 - (ii) of any order made under any of the said sections, or
 - (iii) of any of the said sections read with rules made in pursuance thereof under ³[section 33J] or
 - (iv) of any rules made under any of the said sections or under ³[sections 33J and 33Q], or
 - (v) of any condition imposed under sub-section (3) of section ³[33P], or
- (b) any person is allowed to work in contravention—
 - (i) of any of the provisions of sections 34 to 38 inclusive, 42, 45 ⁴[48, 49H and 49I], or

¹Subs by A. O. 1937.

²Subs. by Act No. XVI of 1973, s. 19.

³Subs. by the Labour Laws (Amdt.) Ordinance, 1972 (Ordinance No. IX of 1972), s. 2, Sch. 1.

⁴Subs. by the Labour Laws (Amdt.) Act, 1975 (Act No. XI of 1975), s.2 and Sch.

- (ii) of any rule made under any of the said sections, or under section 49, or
- (iii) of any condition attached or any exemption granted under section 43 or section 44 or section 45 or to any permission granted under section 38 or section 49, or
- (c) there is any contravention of any of the provisions of sections 39 to 41 inclusive or of any rule made under section 39, section 41 or section 47, or of any condition attached to any exemption granted under section 41 or to any modification or relaxation made under section 44, or
- (d) any person is not paid any extra pay to which he is entitled under the provisions of section 47, or
- (e) any adolescent or child is allowed to work in contravention of any of the provisions of sections 50, 51, 54, 55, 57 and 58, or
- (f) there is any contravention of section 55 or section 56 or of any rules made under either of these sections, or under clause (d) of section 59, ¹[or]
- ¹[(g) there is any contravention of section 49B, 49C, or 49D, or of any rule made under section 49F,]

the manager and occupier of the factory shall each be punishable with fine which may extend to five hundred rupees :

Provided that if both the manager and the occupier are convicted, the aggregate of the fines inflicted in respect of the same contravention shall not exceed this amount.

61. Enhanced penalty in certain cases after previous conviction. If any person who has been convicted at any offence punishable under clauses (b) to ²[(g)] inclusive of section 60 is again guilty of an offence involving a contravention of the same provision, he shall be punishable on the second conviction with fine which may extend to seven hundred and fifty rupees and shall not be less than one hundred rupees, and if he is again so guilty, shall be punishable on the third or any subsequent conviction with fine which may extend to one thousand rupees and shall not be less than two hundred and fifty rupees :

Provided that for the purposes of this section no cognizance shall be taken of any conviction made more than two years before the commission of the offence which is being punished :

Provided further that the Court, if it is satisfied that there are exceptional circumstances warranting such a course, may, after recording its reasons writing, impose a smaller fine than is required by this section.

¹Added and ins. by Act No. III of 1945, s. 4. (w. e. f. the 1st January, 1946).

²Subs. by Act No. III of 1945, s.5.

62. Penalty for failure to give notice of commencement of work or of change of manager.—An occupier of a factory who fails to give any notice required by sub-section (1) ¹[sub-section (1A)] or sub-section (2) of section 9 shall be punishable with fine which may extend to five hundred rupees.

63. Penalty for obstructing Inspector.—Whoever wilfully obstructs an Inspector in the exercise of any power under section 11, or fails to produce on demand by an Inspector any registers or other documents in his custody kept in pursuance of this Act or of any of the rules made there-under, or conceals or prevents any worker in a factory from appearing before or being examined by an Inspector, shall be punishable with fine which may extend to five hundred rupees.

64. Penalty for failure to give notice of accidents.—A manager of a factory who fails to give notice of an accident as required under section ²[33N] shall be punishable with fine which may extend to five hundred rupees.

65. Penalty for failure to make returns.—If in respect of any factory any return is not furnished as required under section 77, the manager and the occupier of the factory shall each be liable to fine which may extend to five hundred rupees :

Provided that if both the manager and the occupiers are convicted, the aggregate of the fines inflicted shall not exceed this amount.

66. Penalty for smoking or using naked light in vicinity of inflammable material.—Whoever smokes, or uses a naked light or causes or permits any such light to be used in the vicinity of any inflammable material in a factory shall be punishable with fine which may extend to five hundred rupees.

Exception.—This provision does not extend to the use, in accordance with such precautions as may be prescribed, of a naked light in the course of a manufacturing process.

67. Penalty for using false certificate.—Whoever knowingly uses or attempts to use, as a certificate granted to himself under section 52, a certificate granted to another person under that section, or who, having procured such a certificate, knowingly allows it to be used, or an attempt to use it to be made, by another person, shall be punishable with fine which may extend to twenty rupees.

68. Penalty on guardian for permitting double employment of a child.—If a child works in a factory on any day on which he has already been working in another factory, the parent or guardian of the child or the person having custody of or control over him, or obtaining any direct benefit from his wages, shall be punishable with fine which may extend to twenty rupees, unless it appears to the Court that the child so worked without the consent, connivance or wilful default of such parent, guardian or person.

69. Penalty for failure to display certain notices.—A manager of a factory who fails to display the notice required under sub-section (1) of section 76 or by any rule made under this Act, or to display or maintain any such notice as required by sub-section (2) of that section, shall be punishable with fine which may extend to five hundred rupees.

¹Ins. by Act No. XVI of 1973, s.20.

²Subs. by the Labour Laws (Amdt.) Ordinance, 1972 (Ordinance, No. IX of 1972), s. 2, Sch. 1.

70 Determination of “occupier” for purposes of this Chapter.—(1) Where the occupier of a factory is a firm or other association of individuals, any one of the individual partners or members thereof may be prosecuted and punished under this Chapter for any offence for which the occupier of the factory is punishable :

Provided that the firm or association may give notice to the Inspector that it has nominated one of its number who is resident in ¹[Pakistan] to be the occupier of the factory for the purposes of this Chapter, and such individual shall so long as he is so resident be deemed to be the occupier for the purposes of this Chapter until further notice cancelling his nomination is received by the Inspector or until he ceases to be a partner or member of the firm or association.

(2) Where the occupier of a factory is a company, any one of the directors thereof, or, in the case of a private company, any one of the shareholders thereof, may be prosecuted and punished under this Chapter for any offence for which the occupier of the factory is punishable :

Provided that the company may give notice to the Inspector that it has nominated a director, or, in the case of a private company, a shareholder, who is resident in either case in ¹[Pakistan] to be the occupier of the factory for the purposes of this Chapter, and such director or shareholder shall so long as he is so resident be deemed to be the occupier of the factory for the purposes of this Chapter until further notice cancelling his nomination is received by the Inspector or until he ceases to be a director or shareholder.

71. Exemption of occupier or manager from liability in certain cases.—(1) Where the occupier or manager of a factory is charged with an offence against this Act, he shall be entitled upon complaint duly made by him to have any other person whom he charges as the actual offender brought before the Court at the time appointed for hearing the charge ; and if, after the commission of the offence has been proved, the occupier or manager of the factory proves to the satisfaction of the Court—

- (a) that he has used due diligence to enforce the execution of this Act, and
 - (b) that the said other person committed the offence in question without his knowledge, consent or connivance,
- that other person shall be convicted of the offence and shall be liable to the like fine as if he were the occupier or manager, and the occupier or manager shall be discharged from any liability under this Act.

(2) When it is made to appear to the satisfaction of the Inspector at any time prior to the institution of the proceedings—

- (a) that the occupier or manager of the factory has used all due diligence to enforce the execution of this Act, and
- (b) by what person the offence has been committed, and

¹Subs. by the Central Laws (Statue Reform) Ordinance, 1960 (Ordinance No. XXI of 1960), s. 3, Sch. 2. (w. e. f. the 14th October, 1955).

- (c) that it has been committed without the knowledge, consent or connivance of the occupier or manager, and in contravention of his orders,

the Inspector shall proceed against the person whom he believes to be the actual offender without first proceeding against the occupier or manager of the factory, and such person shall be liable to the like fine as if he were the occupier or manager.

72. Presumption as to employment.—If a child over the age of six years is found inside any part of a factory in which children are working, he shall, until the contrary is proved, be deemed to be working in the factory.

73. Evidence as to age.—(1) When an act or omission would, if a person were under or over a certain age, be an offence punishable under this Act, and such person is in the opinion of the Court apparently under or over such age, the burden shall be on the accused to prove that such person is not under or over such age.

(2) A declaration in writing by a certifying surgeon relating to a worker that he has personally examined him and believes him to be under or over the age set forth in such declaration shall, for the purposes of this Act, be admissible as evidence of the age of that worker.

74. Cognizance of offences.—(1) No prosecution under this Act, except a prosecution under section 66, shall be instituted except by or with the previous sanction of the Inspector.

(2) No Court inferior to that ¹[* * *] of a Magistrate of the first class shall try any offence against this Act or any rule or order made thereunder, other than an offence under section 66 or section 67.

²[* * * * *]

75. Limitation of prosecutions.—No Court shall take cognizance of any offence under this Act or any rule or order made thereunder, other than an offence under section 62 or section 64, unless complaint thereof is made within six months of the date on which the offence is alleged to have been committed.

Provided that when the offence consists of disobeying a written order made by an Inspector, complaint thereof may be made within twelve months of the date on which the offence is alleged to have been committed.

CHAPTER VII SUPPLEMENTAL

76. Display of factory notices.—(1) In addition to the notices required to be displayed in any factory by this Act or the rules made thereunder, there shall be displayed in every factory a notice containing such abstracts of this Act and of the rules made thereunder, in English and in the vernacular of the majority of the workers as the ³[Provincial Government] may prescribe.

¹Repealed by the Federal Laws (Revision and Declaration) Act, 1951 (Act No. XVI of 1951), s. 3, Sch. 2.

²Omitted by Act. No. XVI of 1973, s.21.

³Subs. by A. O. 1937.

(2) All notices required to be displayed in a factory shall be displayed at some conspicuous place at or near the main entrance to the factory, and shall be maintained in a clean and legible condition.

77. Power of Provincial Government to make rules.—The ¹[Provincial Government] may make rules requiring occupiers or managers of factories to submit such returns occasional or periodical, as may in ¹[its] opinion be required for the purposes of this Act.

78. ¹[Repealed]

79. Publication of rules.—(1) All rules made under this Act shall be subject to the condition of previous publication, and the date to be specified under clause (3) of section 23 of the General Clauses Act, 1897 (X of 1897), shall not be less than three months from the date on which the draft of the proposed rules was published.

(2) All such rules shall be published in ¹[* * *] the ¹[official Gazette] ¹[* * *] and shall, unless some later date is appointed, come into force on the date of such publication.

80. Application to Government factories. This Act shall apply to factories belonging to the ²[Government].

81. Protection to persons acting under this Act. No suit, prosecution or other legal proceeding shall lie against any person for anything which is in good faith done or intended to be done under this Act.

82. ³[Repealed]

³[Repealed]

THE PAKISTAN CODE

DATED. 05-05-2025

¹Subs., repealed and omitted by A. O., 1937.

²Subs. by A. O. 1961, Art. 2, (w. e. f. the 23rd March 1956).

³Repealed by the Repealing and Amending Act, 1937 (Act No. XX of 1937), s. 3 and 2nd Sch.



THE EXCISE DUTY ON MINERALS (LABOUR WELFARE) ACT, 1967



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THE SHCEDULE

THE EXCISE DUTY ON MINERALS (LABOUR WELFARE) ACT, 1967

ACT No. VIII of 1967

[10th June, 1967]

An Act to impose a duty of excise on certain minerals for financing measures for promoting the welfare of labour employed in the mining industry.

WHEREAS it is expedient to impose a duty of excise on certain minerals for financing measures for promoting the welfare of labour employed in the mining industry and to provide for the administration and utilisation of the proceeds of such duty and for matters ancillary thereto;

It is hereby enacted as follows:—

1. Short title, extent and commencement.—(1) This Act may be called the Excise duty on Minerals (Labour Welfare) Act, 1967.

(2) It extends to the whole of Pakistan.

(3) It shall come into force on such date as the ¹[Federal Government] may, by notification in the official Gazette, appoint.

2. Definitions.— In this Act, unless there is anything repugnant in the subject or context,—

- (a) “Commissioner” means the Mines Labour Welfare Commissioner appointed under section 9, and includes any officer authorised in writing by the Commissioner to exercise or perform any of his powers or functions under this Act;
- (b) “Fund” means the Mines Labour Housing and General Welfare Fund constituted under section 4;
- (c) “Housing Board” means the Mines Labour Housing Board constituted under section 6;
- (d) “Miners Welfare Board” means the Miners Welfare Board constituted under section 8; and
- (e) “prescribed” means prescribed by rules made under this Act.

3. Imposition and collection of duty.—(1) There shall be levied and collected as a cess for the purposes of this Act a duty of excise on all minerals specified in the Schedule despatched from the mines, at such rate not less than ²[one rupee] and not more than ²[five rupees] per ton as may be fixed by the ¹[Federal Government] by notification in the official Gazette:

Provided that the ¹[Federal Government] may, by notification in the official Gazette, exempt from liability to the duty any of such minerals or any class thereof.

¹Subs. by Federal Adaptation of Laws Order (President’s Order No. 4 of 1975), Art. 2 and Table.

²Subs. by Ordinance No. XXVIII of 1979, s. 2.

(2) The duty levied under sub-section (1) shall, subject to and in accordance with rules made in this behalf under this Act, be collected by such agencies (hereinafter referred to as the collecting agencies) and in such manner as may be prescribed.

4. Mines Labour Housing and General Welfare Fund.— (1) There shall be constituted a fund to be called the Mines Labour Housing and General Welfare Fund.

(2) On the last date of each month or as soon thereafter as may be convenient, the proceeds of the duty levied under section 3 shall be paid by the collecting agencies into the State Bank of Pakistan or into any Government treasury or sub-treasury in the prescribed manner, and shall be credited to the Fund and apportioned under two separate accounts, to be called respectively the housing account of the Fund and the general welfare account of the Fund, in such manner and in such proportion as the ¹[Federal Government] may, by notification in the official Gazette, determine.

(3) There shall also be credited to —

- (a) the housing account Fund —
 - (i) any grants made thereto by the ¹[Federal Government] ;
 - (ii) rents if any, realised from housing accommodation constructed out of such account ; and
 - (iii) any other moneys received by the Housing Board ; and
- (b) the general welfare account of the Fund—
 - (i) any grants made thereto by the ¹[Federal Government] ; and
 - (ii) any other moneys received for the general welfare of the miners.

5. Expenditure from the Fund.—(1) The cost of administering the Fund and the salaries and allowances, if any of the Commissioners, Inspectors, Welfare Officers and other staff appointed to supervise or carry-out measure financed from the Fund shall be defrayed out of the Fund, and shall be apportioned between and debited to the housing account and the general welfare account in such manner as may be prescribed.

(2) The ¹[Federal Government] may out of the general welfare account of the Fund pay annually grants-in-aid to such of the mine owners as maintain to the satisfaction of the Commissioner dispensary services of the prescribed standard for the benefit of labour employed in their mines, so however that the amount payable as grant-in-aid to the owner of a mine shall not exceed—

- (a) such proportion of the duty recovered in respect of the mineral dispatched from the mine less the proportionate cost of recovery as the ¹[Federal Government] may, by notification in the official Gazette, fix, or
- (b) the amount spent by the owner in the maintenance of the dispensary service, as determined by the Commissioner, whichever is less:

¹Subs. by Federal Adaptation of Laws Order (President's Order No. 4 of 1975), Art. 2 and Table.

Provided that no grant-in-aid shall be payable in respect of any dispensary service maintained by the owner of the mine if the amount expended thereon, is determined by the Commissioner, is less than eighty rupees per mensem.

(3) The balance of the moneys in the general welfare account of the Fund shall be applied by the ¹[Federal Government] to meet expenditure incurred in connection with measures which are in the opinion of the ¹[Federal Government] necessary or expedient to promote the welfare of the labour employed in the mining industry.

(4) Without prejudice to the generality of sub-section (3), the moneys in the general welfare account of the Fund may be utilised to defray—

- (a) the cost of measures for the benefit of labour employed in the mining industry directed towards—
 - (i) the improvement of public health and sanitation, the prevention of disease, the provision and improvement of medical facilities, including the provision and maintenance of dispensary services in mines the owners of which do not receive grants-in-aid under sub-section (2) ;
 - (ii) the provision and improvement of water-supplies and facilities for washing;
 - (iii) the provision and improvement of educational facilities ;
 - (iv) the improvement of standards of living, including nutrition, amelioration of social conditions, and the provision of recreational facilities ;
 - (v) the provision of transport to and from work.
- (b) the grant to a Provincial Government, a local authority or the owner, agent or manager of a mine of money in aid of any scheme approved by the ¹[Federal Government] for any purpose for which moneys in the general welfare account of the Fund may be utilised;
- (c) the allowances, if any, of the members of the Miners Welfare Board and the amounts debitable to the account under sub-section (1) ; and
- (d) any other expenditure which the ¹[Federal Government] directs to be defrayed out of the moneys in the general welfare account of the Fund.

(5) The ¹[Federal Government] shall publish annually in the official Gazette an estimate of receipts into and expenditure from the general welfare account of the Fund together with a statement of the accounts and report of the activities financed during the previous year from the general welfare account of the Fund, and shall forward copies of such statement and report to the members of the Miners Welfare Board.

¹Subs. by Federal Adaptation of Laws Order (President's Order No. 4 of 1975), Art. 2 and Table.

(6) The moneys in the housing account of the Fund shall be applied by the Housing Board to defray—

- (a) the cost of erecting, maintaining and repairing housing accommodation for labour employed in the mining industry and of providing services and facilities connected therewith;
- (b) the cost of preparing schemes, and of acquiring any land required, for the purposes referred to in clause (a);
- (c) the grant, subject to the previous approval of the ¹[Federal Government], to a Provincial Government, a local authority or the owner, agent or manager of a mine of money in aid of any scheme approved by the Housing Board for the purposes referred to in clause (a) and (b) ;
- (d) the allowances, if any, of the members of the Housing Board and the amounts debitable to the account under sub-section (1) ; and
- (e) any other expenditure which the ¹[Federal Government] directs to be defrayed out of the moneys in the housing account of the Fund.

(7) In May of each year the Housing Board shall submit to the ¹[Federal Government] a statement in the prescribed form of the estimated receipts into and expenditure from the housing account of the Fund for the ensuing financial year together with a report of the activities financed during the previous year from the housing account of the Fund, and may at any time during the ensuing financial year submit to the ¹[Federal Government] a supplementary statement and shall forward copies of such statements and report to the members of the Miners Welfare Board.

(8) The Housing Board shall comply with such direction as the ¹[Federal Government] may from time to time think fit to give in respect of expenditure from the housing account of the Fund.

(9) The Housing Board may invest moneys in the housing account of the Fund in securities of the ¹[Federal Government] or, with the previous approval of the ¹[Federal Government], in other securities.

(10) The Housing Board shall cause to be maintained such books of account, and prepare an annual statement of accounts in such manner, as may be prescribed.

(11) The Housing Board shall cause the housing account of the Fund to be audited annually by an auditor who shall be a chartered accountant within the meaning of the Chartered Accountants Ordinance, 1961 (XII of 1961), and as soon as the said account has been audited the Housing Board shall forward copies thereof together with copies of the report of the auditor thereon to the ¹[Federal Government] and to the members of the Miners Welfare Board.

(12) The ¹[Federal Government] shall have power to decide whether any particular expenditure is or is not debitable to the housing account or the general welfare account, of the Fund, and its decision shall be final.

¹Subs. by Federal Adaptation of Laws Order (President's Order No. 4 of 1975), Art. 2 and Table.

(13) Before incurring any expenditure from the Fund other than expenditure of a routine or urgent nature, the ¹[Federal Government] or, as the case may be, the Housing Board shall consult the Miners Welfare Board.

6. Constitution, etc., of the Mines Labour Housing Board.—(1) The ¹[Federal Government] shall, by notification in the official Gazette, constitute a Mines Labour Housing Board to prepare and carry out, subject to the previous approval of the ¹[Federal Government], schemes financed from the housing account of the Fund for the provision of suitable housing accommodation for labour employed in mining industry, and to carry out other functions of the Housing Board under this Act.

(2) The Commissioner shall be the Chairman of the Housing Board, and the other members thereof shall be appointed by the ¹[Federal Government] and shall be of such number and chosen in such manner as may be prescribed.

(3) The Housing Board shall be a body corporate by the name of the Mines Labour Housing Board, having perpetual succession and a common seal, with power to acquire and hold property, both movable and immovable, and shall by the said name sue and be sued.

(4) No act done by the Housing Board shall be called in question on the ground merely of the existence of any vacancy in, or defect in the constitution of, the Housing Board.

7. Provisions regarding housing accommodation.—(1) The occupation by any person of any housing accommodation provided out of the housing account of the Fund shall be subject to payment of such rent by that person and compliance by him at all times with such conditions relating to his occupation of such accommodation as may be prescribed.

(2) Before any person occupies any such accommodation he shall be furnished with a copy of the conditions referred to in sub-section (1), and if he so desires the said conditions shall be read over to him in a language which he understands; and the Housing Board shall cause to be published in such manner as it thinks best adapted for informing the persons concerned any changes which may from time to time be made in the said conditions.

(3) If, in the opinion of the Housing Board, any person in occupation of any such accommodation fails or ceases to comply with any of the conditions referred to in sub-section (1), it may, by notice in writing, require him to vacate the accommodation on or before such date, not being less than thirty days after the service of the notice, as may be specified in the notice; and the occupation of such accommodation by such person or any dependent of his after the date so specified shall be unlawful and such person or dependent may be evicted from such accommodation by use of such force as may be necessary.

(4) There shall be payable in respect of the occupation of any such accommodation as aforesaid rent at such rate as may be prescribed:

Provided that the Housing Board may remit, subject to compliance at all times with the conditions referred to in sub-section (1), either the whole or any part of the prescribed rent:

¹Subs. by Federal Adaptation of Laws Order (President's Order No. 4 of 1975), Art. 2 and Table.

Provided further that where, in the case of any person who is by virtue of a remission under the first proviso paying either no rent or a reduced rent, the Housing Board has reason to believe that such person has contravened any of the said conditions, it may by notice in writing require such person to pay, for the period of occupation commencing immediately after the expiry of seven days of the service of the notice, rent for the accommodation occupied by him at the full prescribed rate.

(5) All rent payable in respect of the occupation of such accommodation as aforesaid, whether at the full prescribed rate or at a lesser rate, shall be recoverable as an arrear of land revenue.

8. Constitution, etc., of the Miners Welfare Board.— (1) The ¹[Federal Government] shall, by notification in the official Gazette, constitute a Miners Welfare Board to perform such functions as it may be required to perform by or under this Act or as the ¹[Federal Government] may, by notification in the official Gazette, entrust to it.

(2) The members of the Miners Welfare Board shall be appointed by the ¹[Federal Government] and shall be of such number and chosen in such manner as may be prescribed:

Provided that the Board shall include an equal number of members representing Government, the owners of mines and workmen employed in the mining industry, and that at least one member of the Board shall be a woman.

(3) The ¹[Federal Government] shall appoint one of its officers to be the Chairman of the Miners Welfare Board.

9. Appointment and powers of officers.—(1) The ¹[Federal Government] may appoint a Mines Labour Welfare Commissioner and such number of inspectors, Welfare Officers and other staff as it thinks fit to supervise and carry out measures financed from the Fund.

(2) The Commissioner or any Inspector or Welfare Officer may, with such assistance, if any, as he thinks fit, enter at all reasonable times any place which he considers it necessary to enter for the purpose of supervising or carrying out the measures financed from the Fund, and may do therein anything necessary for the proper discharge of his duties.

(3) Any person appointed under sub-section (1) shall be deemed to be a public servant within the meaning of section 21 of the Pakistan Penal Code (Act V of 1860).

10. Power to amend Schedule.—The ¹[Federal Government] may, by notification in the official Gazette, make such amendments and modifications in the Schedule as it thinks fit.

11. Power to make rules.— (1) The ¹[Federal Government] may, by notification in the official Gazette, and subject to the condition of previous publication, make rules to carry into effect the purposes of this Act.

(2) In particular and without prejudice to the generality of the foregoing power, rules made under this section may provide for all or any of the following matters, namely:—

¹Subs. by Federal Adaptation of Laws Order (President's Order No. 4 of 1975), Art. 2 and Table.

- (i) the manner in which the duty levied under sub-section (1) of section 3 shall be collected, the agencies by whom the duty shall be collected, the persons who shall be liable to make the payments, the making of refunds, remissions and recoveries, the deduction by collecting agencies of a percentage of the realizations to cover the cost of collection, and the procedure to be followed in paying the proceeds into the State Bank of Pakistan or into any Government treasury or sub-treasury;
- (ii) the composition of the Housing Board, the manner in which its members shall be chosen, the term of office of its members, the allowances if any payable to them and the manner in which the Housing Board shall conduct its business, including the number of members necessary to form a quorum at a meeting thereof ;
- (iii) the books of account to be maintained by the Housing Board, and the form of its financial estimates and statements of account ;
- (iv) the composition of the Miners Welfare Board, the manner in which its members shall be chosen, the term of office of its members, the allowances, if any, payable to them and the manner in which the Board shall conduct its business ;
- (v) the apportionment between the housing account and the general welfare account of the Fund of the expenditure on the administration of the Fund and on the salaries and allowances of the Commissioner, Inspectors, Welfare Officers and other staff employed for the purposes of this Act ;
- (vi) the standard of dispensary services to be provided by owners of mines for the purposes of sub-section (2) of section 5, and the inspection and supervision of the dispensaries and other places at which such services are provided ;
- (vii) the application by owners of mines for grants-in-aid, the authority to whom and the manner in which such applications shall be made and the particulars to be specified in such applications;
- (viii) the manner in which dispensary services may be provided by the ¹[Federal Government] ;
- (ix) the conditions governing the grant of money from the general welfare account of the Fund to a Provincial Government, a local authority or the owner, agent or manager of a mine;
- (x) the rate of rent for housing accommodation provided out of the housing account of the Fund;
- (xi) the conditions of services and the duties of Inspectors, Welfare Officers and other staff appointed to supervise or carry out measures financed from the Fund;
- (xii) the duties and functions of the Commissioner;

¹Subs. by Federal Adaptation of Laws Order (President's Order No. 4 of 1975), Art. 2 and Table.

- (xiii) the furnishing by owners, agents or managers of mines of statistical or other information, and the punishment by fine not exceeding two hundred rupees on failure to comply with the requirements of any rules made under this clause;
- (xiv) any other matter which under this Act is to be or may be prescribed.

12. Repeal of Act XXXII of 1947.—(1) On the coming into force of this Act, the Coal Mines Labour Welfare Fund Act, 1947, hereinafter referred to as the said Act, shall stand repealed.

(2) Upon the repeal of the said Act,—

- (a) any balance remaining in the Fund constituted under the said Act shall be credited to the Fund constituted under this Act, and shall be apportioned between the housing account and the general welfare account of such Fund in such manner as the ¹[Federal Government] may determine ;
- (b) the Housing Board and the Advisory Committee constituted under the said Act shall be deemed respectively to be the Housing Board and the Miners Welfare Board under this Act and the members thereof shall continue to hold office till the expiry of the term of their office or the constitution of the Housing Board or, as the case may be, Miners Welfare Board under this Act, whichever is earlier;
- (c) every appointment, rule and notification made or issued under the said Act and in force immediately before the repeal of the said Act shall, so far as it is not inconsistent with the provisions of this Act, be deemed to have been made or issued under this Act as if this Act were in force at the time at which such appointment, rule or notification was made or issued;
- (d) all assets, properties, investments and rights and all debts and liabilities and obligations of whatever kind of the Housing Board subsisting immediately before the repeal of the said Act shall stand transferred to and vest in the Housing Board constituted under this Act ; and
- (e) all suits and other legal proceedings instituted by or against the Housing Board before the repeal of the said Act shall be deemed to be suits and proceedings by or against the Housing Board constituted under this Act and shall be proceeded or otherwise dealt with accordingly.

¹Subs. by Federal Adaptation of Laws Order (President's Order No. 4 of 1975), Art. 2 and Table.

THE SHCHEDULE

(See sections 3 and 10)

***TABLE**

S. No.	Minerals	Rates per ton
1	2	3
1.	Coal	Rs. 5/-
2.	Limestone	Rs. 3/-
3.	Gypsum	Rs. 3/-
4.	Sandstone	Rs. 3/-
5.	Stone	Rs. 3/-
6.	Silica Sand	Rs. 3/-
7.	Aragonite	Rs. 3/-
8.	Barite	Rs. 3/-
9.	Bauxite	Rs. 3/-
10.	Bentonite	Rs. 5/-
11.	Celestite	Rs. 3/-
12.	Chromite	Rs. 5/-
13.	Dolomite	Rs. 3/-
14.	Feldspar	Rs. 3/-
15.	Fluorite	Rs. 5/-
16.	Fireclay	Rs. 3/-
17.	Fuller's Earth	Rs. 3/-
18.	Gravel Ordinary Stone	Rs. 3/-
19.	Iron Ore	Rs. 5/-
20.	Marble	Rs. 5/-

*The schedule have successfully been amended in S. R. O. 607(I)/79, S. R. O. 608(I)/79, S. R. O. 101(KE)/2004, S. R. O. 102 (KE)/ 2004, S. R. O. 1005(I)/2006, S. R. O. 1006(I)/2006.

1	2	3
21.	Lead	Rs. 5/-
22.	Maganese	Rs. 5/-
23.	Magnesite	Rs. 3/-
24.	Quartz	Rs. 3/-
25.	Soap-tone	Rs. 5/-
26.	Sulphur	Rs. 5/-
27.	Antimony	Rs. 3/-
28.	Aquamarine	Rs. 3/-
29.	Asbestos	Rs. 3/-
30.	Ball Clay	Rs. 3/-
31.	Basalt	Rs. 3/-
32.	Calcite	Rs. 3/-
33.	China Clay	Rs. 3/-
34.	Corundum	Rs. 3/-
35.	Dolerite	Rs. 3/-
36.	Ebry Stone	Rs. 3/-
37.	Gabbro	Rs. 3/-
38.	Granite	Rs. 3/-
39.	Graphite	Rs. 3/-
40.	Lead Zinc Based	Rs. 3/-
41.	Laterite	Rs. 3/-
42.	Mica (all kinds)	Rs. 3/-
43.	Molybdenum	Rs. 3/-

1	2	3
44.	Nephline Synite	Rs. 3/-
45.	Olivine (three separate minerals)	Rs. 3/-
46.	Onyx	Rs. 3/-
47.	Orpiment Phosphate Red Ochre (Yellow) (three separate minerals)	Rs. 3/-
48.	Oxide Yellow	Rs. 3/-
49.	Ordinary Sand	Rs. 3/-
50.	Peridote	Rs. 3/-
51.	Pumice	Rs. 3/-
52.	Red Oxide	Rs. 3/-
53.	Rock Salt (all kinds)	Rs. 3/-
54.	Sea Salt	Rs. 3/-
55.	Serpentine	Rs. 3/-
56.	Shale	Rs. 5/-
57.	Slatestone.	Rs. 3/-
58.	Talc Stone	Rs. 3/-
59.	Zinc	Rs. 3/-
60.	Phosphate	Rs. 3/-
61.	Red Ochre	Rs. 3/-



THE EMPLOYMENT OF CHILDREN ACT, 1991



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THE SCHEDULE.

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OCCUPATIONS

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THE EMPLOYMENT OF CHILDREN ACT, 1991

¹*ACT NO. V OF 1991

[2nd April, 1991]

An Act to prohibit the employment of children in certain occupations and to regulate the conditions of work of children

PART I

PRELIMINARY

1. Short Title, Extent and Commencement.—(1) This Act may be called the Employment of Children Act, 1991.

(2) It extends to the whole of Pakistan.

(3) The provisions of this Act, shall come into force at once.

2. Definitions. In this Act, unless the context otherwise requires

- (i) “adolescent” means a person who has completed his fourteenth but has not completed his eighteenth year;
- (ii) “appropriate Government” means the Federal Government in relation to an establishment under the control of the Federal Government, and in all other cases, the Provincial Government concerned;
- (iii) “child” means a person who has not completed his fourteenth year of age;
- (iv) “day” means a period of twenty-four hours beginning at mid-night;
- (v) “establishment” includes a shop, commercial establishment, workshop, factory, farm, residential hotel or restaurant;
- (vi) “factory” means any premises, including the precincts thereof, whereon ten or more workers are working or were working on any day of the preceding twelve months, and in any part of which a manufacturing process is being carried on or is ordinarily, carried on with or without the aid of power but does not include a mine, subject to the operation of the Mines Act, 1923 (IV of 1923).
- (vii) “family” in relation to an occupier, means the individual, the wife or husband, as the case may be, of such individual, and their children, brother or sister of such individual;

¹*This Act shall apply to FATA. vide S.R.O. No.1294 (1)/98, dated 16-11-1998.

- (viii) “occupier” in relation to an establishment, means the person who has the ultimate control over the affairs of the establishment;
- (ix) “Inspector” means an official duly appointed and notified, as an inspector for the purpose of this Act by the Federal Government or the Provincial Government concerned;
- (x) “port authority” means any authority administering a port;
- (xi) “prescribed” means prescribed by rules made under section 18 of this Act;
- (xii) “week” means a period of seven days beginning at mid-night on Thursday night or such other night as may be approved in writing for a particular area by the Inspector;
- (xiii) “workshop” means any premises (including the precincts thereof) wherein any industrial process is carried on.
- (xiv) “mine” means any excavation where any operation for the purpose of searching for or obtaining minerals has been or is being carried on, and includes all work, machinery, tramways and sidings, whether above or below grounds, in or adjacent to or belonging to a mine:

Provided that it shall not include any part of such premises on which a manufacturing process is being carried on unless such process is a process for coke making on the dressing of minerals.

PART II

PROHIBITION OF EMPLOYMENT OF CHILDREN IN CERTAIN OCCUPATIONS AND PROCESSES

3. Prohibition on Employment. — No child shall be employed or permitted to work in any of the occupations set forth in Part I of the Schedule or in any workshop wherein any of the processes set forth in Part II of that Schedule is carried on:

Provided that nothing in this section shall apply to any establishment wherein such process is carried on by the occupier with the help of his family or to any school established, assisted or recognized by Government.

4. Amendment of Schedule. — The Federal Government, may by notification in the official Gazette, add any occupation or process to the Schedule and thereupon the Schedule shall be deemed to have been amended accordingly three months after the date of the notification.

5. National Committee on the Rights of the Child. — (1) The Federal Government may, by notification in the official Gazette, constitute a National Committee to be called the National Committee on the “Rights of the Child”, to perform the functions visualized in Article 43 of the US

Convention on the Rights of the Child, and to advise the Federal Government for the purpose of addition of occupations and processes to the Schedule.

(2) The Committee shall consist of a Chairman and 10 other experts of high moral standing and recognized competence.

PART III

REGULATION OF CONDITIONS OR WORK OF CHILDREN

6. Application of Part.— The provisions of this Part shall apply to an establishment or a class of establishments in which none of the occupations or processes referred to in section 3 is carried on.

7. Hours and Period of Work. — (1) No child or adolescent shall be required or permitted to work in any establishment in excess of such number of hours as may be prescribed for such establishment or class of establishments.

(2) The period of work on each day shall be so fixed that no period shall exceed three hours and that no child shall work for more than three hours before he has an interval of at least one hour for rest.

(3) The period of work of a child shall be so arranged that inclusive of the interval for rest, under sub-section (2), it shall not exceed seven hours, including the time spent in waiting for work on any day.

(4) No child shall be permitted or required to work between 7.00 p.m. to 8.00 a.m.

(5) No child shall be required or permitted to work overtime.

(6) No child shall be required or permitted to work in any establishment on any day on which he has already been working in another establishment.

8. Weekly Holidays. — Every child employed in an establishment shall be allowed in each week, a holiday of one whole day, which day shall be specified by the occupier in a notice permanently displayed in a conspicuous place in the establishment and the day so specified shall not be altered by the occupier more than once in three months.

9. Notice to Inspector. — (1) Every occupier in relation to an establishment in which a child was employed or permitted to work immediately before the date of commencement of this Act in relation to such establishment shall, within a period of thirty days from such commencement, send to the Inspector within whose local limits the establishment is situated, a written notice containing the following particulars, namely.

(a) the name location and address of the establishment;

(b) the name of the person in actual management of the establishment;

- (c) the address to which communications relating to the establishment should be sent; and
- (d) the nature of the occupation or process carried on in the establishment.

(2) Every occupier, in relation to an establishment, which employs, or permits to work, any child after the date of commencement of this Act in relation to such establishment, shall, within a period of thirty days from the date of such employment, send to the Inspector within whose local limits the establishment is situated, a written notice containing the particulars mentioned in sub-section (1).

(3) Nothing in sections 7, 8 and 9 shall apply to any establishment wherein any process is carried on by the occupier with the aid of his family or to any school established, assisted or recognized by Government.

10. Dispute as to Age. — If any question arises between an Inspector and an occupier as to the age of any child who is employed or is permitted to work by him in an establishment, the question shall, in the absence of a certificate as to the age of such child granted by the prescribed medical authority, be referred by the Inspector for decision to the prescribed medical authority.

11. Maintenance of Register. — There shall be maintained by every occupier in respect of children employed or permitted to work in any establishment, a register to be available for inspection by an Inspector at all times during working hours showing:—

- (a) the name and date of birth of every child so employed or permitted to work;
- (b) hours and periods of work of any such child and the intervals of rest to which he is entitled;
- (c) the nature of work of any such child; and
- (d) such other particulars as may be prescribed.

12. Display of Notice containing abstract of section 3 and 14. — Every occupier shall cause to be displayed in a conspicuous and accessible place a notice in the local language and in the English language containing an abstract of sections 3 and 14.

13. Health and Safety. — (1) The appropriate Government may, by notification in the official Gazette, make rules for the health and safety of the children employed or permitted to work in any establishment or class of establishments.

(2) Without prejudice to the generality of the foregoing provisions, the said rules may provide for all or any of the following matters, namely:—

- (a) cleanliness in the place of work and its freedom from nuisance;
- (b) disposal of wastes and effluents;
- (c) ventilation and temperature;
- (d) dust and fume;

- (e) artificial humidification;
- (f) lighting;
- (g) drinking water;
- (h) latrine and urinals;
- (i) spittoons;
- (j) fencing of machinery;
- (k) work at or near machinery in motion;
- (l) employment of children on dangerous machines;
- (m) instructions training and supervision in relation to employment of children on dangerous machines;
- (n) device for cutting off power;
- (o) self-acting machines;
- (p) easing of new machinery;
- (q) floor, stairs and means of access;
- (r) pits, sums, opening in floors, etc.;
- (s) excessive weights;
- (t) protection of eyes;
- (u) explosive or inflammable dust, gas, etc.;
- (v) precaution in case of fire;
- (w) maintenance of buildings; and
- (x) safety of buildings and machinery.

PART IV

MISCELLANEOUS

14. Penalties. —(1) Whoever employs any child or permits any child to work in contravention of the provisions of section 3 shall be punishable with imprisonment for a term which may extend to one year or with fine which may extend to twenty thousand rupees or with both.

(2) Whoever, having been convicted of an offence under section 3, commits a like offence afterwards, he shall be punishable with imprisonment for a term which shall not be less than six months but which may extend to two years.

(3) Whoever:—

- (a) fails to give notice as required by section 9; or
- (b) fails to maintain a register as required by section 11 or makes any false entry in any such register; or
- (c) fails to display a notice; or
- (d) fails to comply with or contravenes any provisions of this Act or the rules made thereunder,

shall be punishable with simple imprisonment which may extend to one month or with fine which may extend to ten thousand rupees or with both.

15. Modified Application of Certain Laws in relation to Penalties. — (1) Where any person is found guilty and convicted of contravention of any of the provisions regarding children and adolescents mentioned in sub-section (2), he shall be liable to penalties as provided in sub-sections (1) and (2) of section 14 of this Act and not under other relevant Acts.

(2) The provisions mentioned in section (1) are the provisions regarding children and adolescents in the following Acts:

- (a) The Mines Act 1923.
- (b) The Factories Act 1934.
- (c) The Shops and Establishments Ordinance 1969.

16. Procedure relating to Offences. — (1) Any person, police officer or Inspector may file a complaint of the commission of an offence under this Act in any Court of competent jurisdiction.

(2) Every certificate as to the age of a child which has been granted by a prescribed medical authority shall, for the purposes of this Act, be conclusive evidence as to the age of the child to whom it relates.

(3) No Court inferior to that of a Magistrate of the first class shall try any offence under this Act.

17. Appointment of Inspectors. — The appropriate Government may appoint Inspectors for the purposes of securing compliance with the provisions of this Act and any Inspector so appointed shall be deemed to be a public servant within the meaning of the Pakistan Penal Code.

18. Power to make Rules. — The appropriate Government may, by notification in the Official Gazette and subject to the condition of previous publication, make rules for carrying into effect the provisions of this Act.

19. Certain other provisions of Law not barred. — Subject to the provisions contained in section 15, the provisions of this Act and the rules made thereunder shall be in addition to, and not in derogation of, the provisions of the Mines Act, 1923, the Factories Act, 1934, the Sindh Children Act, 1955; the Shops and Establishments Ordinance, 1969, and the Punjab Children Ordinance, 1983. The definition of ‘child’ and ‘adolescent’ in these provisions shall be deemed to have been amended in accordance with the definitions in section 2 of this Act.

20. Power to remove difficulties. — (1) If any difficulty arises in giving effect to the provisions of this Act, the Federal Government may by order published in the official Gazette, make such provisions not inconsistent with the provisions of this Act as appear to it to be necessary or expedient for removal of the difficulty:

Provided that no such order shall be made after the expiry of a period of three years from the date on which this Act receives the assent of the President.

(2) Every order made under this section shall, as soon as may be after it is made, be laid before each House of Parliament.

21. Repeal and Savings. — (1) The Employment of Children Act, 1938, is hereby repealed.

(2) Notwithstanding such repeal, anything done or any action taken or purported to have done or taken under the Act so repealed shall, in so far as it is not inconsistent with the provisions of this Act, be deemed to have been done or taken under the corresponding provisions of this Act.

¹ [THE SCHEDULE

[See section 3]

PART I

OCCUPATIONS

Any occupation connected with:—

- (1) Transport of passengers, goods or mail;
- (2) Work in a catering establishment at a railway station, involving the movement of a vendor or any other employee of the establishment from one platform to another or into or out of a moving train;
- (3) Work relating to the construction of a railway station or with any other work where such work is done in close proximity to or between the railway lines; and
- (4) a port authority within the limits of any port.

PART II

PROCESSES

- (1) Work inside underground mines and above ground quarries including blasting and assisting in blasting.
- (2) Work with power driven cutting machinery like saws, shears, guillotines and agricultural machines, thrashers, fodder cutting machines.
- (3) Work with live electrical wires over 50 volts.
- (4) All operations related to leather tanning process e.g., soaking, dehairing, liming chrome tanning, deliming, pickling, defleshing, ink application.
- (5) Mixing and manufacture of pesticides and insecticides; and fumigation.
- (6) Sandblasting and other work involving exposure to free silica.
- (7) Work with exposure to all toxic, explosive and carcinogenic chemicals e.g., asbestos, benzene, ammonia, chlorine, manganese, cadmium, Sulphur dioxide, hydrogen sulphide, sulphuric acid, hydrochloric acid, nitric acid, caustic soda, phosphorus, benzidine dyes, isocyanates, carbon tetrachloride, carbon disulphide, epoxy resins, formaldehyde, metal fumes, heavy metals like nickel, mercury chromium, lead, arsenic, beryllium, fiber glass.
- (8) Work with exposure to cement dust in cement industry.
- (9) Work with exposure to coal dust.

¹Subs. by S.R.O. 1280 (I)/05, dated 20-12-2005

- (10) Manufacture and sale of fireworks and explosives.
- (11) Work at the sites where liquid petroleum gas (LPG) and compressed natural gas (CNG) is filled in cylinders.
- (12) Work on glass and metal furnaces; and glass bangles manufacturing.
- (13) Work in the cloth weaving, printing, dyeing and finishing sections.
- (14) Work inside sewer pipelines, pits and storage tanks.
- (15) Stone crushing.
- (16) Lifting and carrying of heavy weight (15 Kg and above) specially in transport industry.
- (17) Carpet weaving.
- (18) Working two meters or more above the floor.
- (19) All scavenging including hospital waste.
- (20) Tobacco processing and manufacturing including *niswar* and *bidi* making.
- (21) Deep-sea fishing, commercial fishing and processing of fish and seafood.
- (22) Sheep casing and wool industry.
- (23) Ship breaking.
- (24) Surgical instruments manufacturing specially in vendors' workshops.
- (25) Spice grinding.
- (26) Work in boiler house.
- (27) Work in cinemas, mini cinemas and cyber clubs.
- (28) Mica-cutting and splitting.
- (29) Shellas manufacturing.
- (30) Soap manufacture.
- (31) Wool cleaning.
- (32) Building and construction industry.
- (33) Manufacture of slate pencils including packing.
- (34) Manufacture of products from agate.]

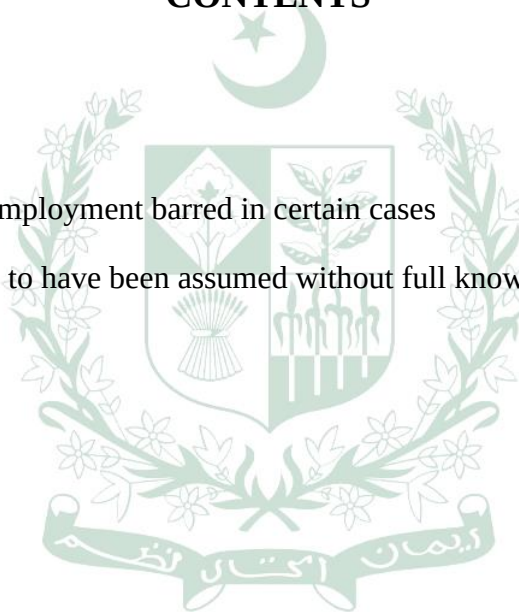


THE EMPLOYERS' LIABILITY ACT, 1938



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2. Definitions
3. Defence of common employment barred in certain cases
4. Risk not to be deemed to have been assumed without full knowledge
5. Saving



THE PAKISTAN CODE

THE EMPLOYERS' LIABILITY ACT, 1938

¹ACT NO. XXIV OF 1938

[24th September, 1938]

An Act to declare that certain defences shall not be raised in suits for damages in ²[Pakistan] in respect of injuries sustained by workmen.

WHEREAS it is expedient to declare that certain defences shall not be raised in suits for damages in ²[Pakistan] in respect of injuries sustained by workmen ;

It is hereby enacted as follows:—

1. Short title and extent.—(1) This Act may be called the Employers' Liability Act, 1938.

²[(2) It extends to the whole of Pakistan.]

2. Definitions. In this Act, unless there is anything repugnant in the subject or context,—

- (a) “workman” means any person who has entered into, or works under a contract of service or apprenticeship with an employer whether by way of manual labour, clerical work or otherwise, and whether the contract is expressed or implied, oral or in writing; and
- (b) “employer” includes any body of persons whether incorporated or not, any managing agent of an employer, and the legal representatives of a deceased employer, and, where the services of a workman are temporarily lent or let on hire to another person by the person with whom the workman has entered into a contract of service or apprenticeship, means such other person while the workman is working for him.

3. Defence of common employment barred in certain cases. Where personal injury is caused to a workman—

- (a) by reason of the omission of the employer to maintain in good and safe condition any way, works, machinery or plant connected with or used in his trade or business, or by reason of any like omission on the part of any person in the service of the employer who has been entrusted by the employer with the duty of seeing that such way, works, machinery or plant are in good and safe condition ; or
- (b) by reason of the negligence of any person in the service of the employer who has any superintendence entrusted to him, whilst in the exercise of such superintendence ; or

¹The Act has been applied to Baluchistan, see the Leased Areas (Laws) Order, 1950 (G. G. O. 3 of 1950) ; and applied in the Federal Areas of Baluchistan, see Gazette of India, 1937, Pt. I, p. 1499 ;

It has also been extended to —

(i) the Leased Area of Baluchistan, see the Leased (Laws) Order, 1950 (G. G. O. 3 of 1950) ; and applied in the Federal Areas of Baluchistan, see Gazette of India, 1937, Pt. I, p. 1499 ;

(ii) the Baluchistan States Union, see the Baluchistan States Union (Federal Laws) (Extension) Order, 1953 (G. G. O. 4 of 1953), as amended ;

(iii) the Khairpur States, see Khairpur (Federal Laws) (Extension) Order, 1953 (G. G. O. 11 of 1953), as amended ; and

(iv) the State of Bahawalpur, see the Bahawalpur (Extension of Federal Laws) Order, 1953 (G. G. O. 11 of 1953), as amended.

The Act has been and shall be deemed to have been brought into force in Gwadur with effect from the 8th September, 1958, by the Gwadur (Application of Central Laws) Ordinance 1960 (XXXVII of 1960), s. 2.

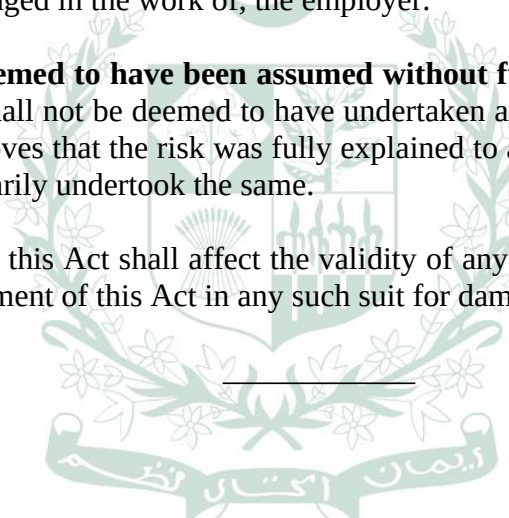
²Subs. by the Central Laws (Statute Reform) Ordinance, 1960 (Ordinance No. XXI of 1960), s. 3 and 2nd Sch.

- (c) by reason of the negligence of any person in the service of the employer to whose orders or directions the workman at the time of the injury was bound to conform and did conform, where the injury resulted from his having so conformed ; or
- (d) by reason of any act or omission of any person in the service of the employer done or made in obedience to any rule or bye-law of the employer (not being a rule or bye-law which is required by or under any law for the time being in force to be approved by any authority and which has been so approved) or in obedience to particular instructions given by any person to whom the employer has delegated authority in that behalf or in the normal performance of his duties ;

a suit for damages in respect of the injury instituted by the workman or by any person entitled in case of his death shall not fail by reason only of the fact that the workman was at the time of the injury a workman of, or in the service of, or engaged in the work of, the employer.

4. Risk not to be deemed to have been assumed without full knowledge. In any such suit for damages, the workman shall not be deemed to have undertaken any risk attaching to the employment unless the employer proves that the risk was fully explained to and understood by the workman and that the workman voluntarily undertook the same.

5. Saving. Nothing in this Act shall affect the validity of any decree or order of a civil Court passed before the commencement of this Act in any such suit for damages.



THE PAKISTAN CODE

Date: 24-09-2024



THE EMPLOYEES SOCIAL INSURANCE ORDINANCE, 1962



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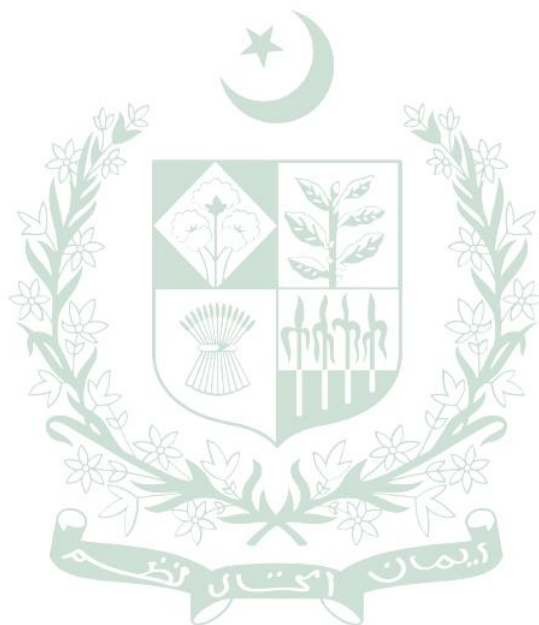
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THE SCHEDULE



THE PAKISTAN CODE

THE EMPLOYEES' SOCIAL INSURANCE ORDINANCE, 1962

ORDINANCE NO. XXII OF 1962

[25th May, 1962]

AN

ORDINANCE

to introduce a scheme of social insurance for providing benefits to certain employees or their dependants in the event of sickness, maternity, employment injury or death, and for matters ancillary thereto

WHEREAS it is expedient to introduce a scheme of social insurance for providing benefits to certain employees or their dependants in the event of sickness, maternity, employment injury or death, and for matters ancillary thereto;

NOW, THEREFORE, in pursuance of the Proclamation of the seventh day of October, 1958, and in exercise of all powers enabling him in that behalf, the President is pleased to make and promulgate the following Ordinance:—

CHAPTER I PRELIMINARY

1. Short title, extent, commencement and application.—(1) This Ordinance may be called the Employees' Social Insurance Ordinance, 1962.

(2) It extends to the whole of Pakistan.

(3) It shall come into force at once, but apply only to such areas, classes of persons, industries or establishments, and from such date or dates, as the ¹[Federal Government] may, by notification in the official Gazette, specify in this behalf.

2. Definitions.—In this Ordinance, unless there is anything repugnant in the subject or context,—

(1) “appointed day” means, in relation to any area, class of persons, industries or establishments, the day on which this Ordinance is applied to such area or in respect of such class of persons, industries or establishments;

(2) “appropriate Government” means in respect of any industry or establishment carried on by or under the authority of the ¹[Federal Government], the ¹[Federal Government], and in other cases the Provincial Government;

(3) “casual employment” means employment (other than employment in construction work) which is not in the course of employer's ordinary trade or business and is normally expected to last less than three days;

(4) “confinement” means labour resulting in the issue of a living child, or labour after twenty-six weeks of pregnancy resulting in the issue of a child whether alive or dead;

(5) “contribution” means the sum of money payable to the Institution by the employer in respect of an employee and includes any amount payable by, or on behalf of, the employee in accordance with the provisions of this Ordinance;

¹Subs. by F.A.O., 1975, Art. 2 and Table, for “Central Government”.

(6) “dependant” means the wife or a needy invalid husband and any of the unmarried children under the age of sixteen years dependant upon the insured person or the recipient of a disablement pension;

(7) “Director-General” means the Director-General of the Institution;

(8) “disablement” means such incapacity caused by employment injury as is certified by a medical practitioner authorized in accordance with the regulations to have permanently disabled or to be likely to permanently disable the insured person from earning from his usual or any other occupation more than ninety five percent of the average rate of earnings in his usual occupation, and disablement shall be “minor” where the loss of earning capacity ranges from five percent. to twenty percent and “partial” where the loss of earning capacity ranges from twenty percent to sixty six percent and “total” where the loss of earning capacity is in excess of sixty six percent.;

(9) “employee” means any person working for wages in any industry, business, undertaking or establishment under any contract of service or apprenticeship, whether written or oral, express or implied, but does not include—

- (a) persons in the service of the State, including members of the armed forces and railway servants;
- (b) persons employed in any undertaking under the control of any defence organization or railway administration;
- (c) persons in the service of a local council, a municipal committee, a cantonment board or any other local authority;
- (d) any person in the service of his father, mother, wife, son or daughter, or of her husband;
- (e) domestic servants; and
- (f) workmen employed in any factory, within the meaning of the Factories Act, 1934 (XXV of 1934), on wages exceeding five hundred rupees per mensem;

(10) “employer” means, in the case of works executed or undertaking carried on behalf of the State, the contractor or licensee working for the State, and in every other case the owner of the industry, business, undertaking or establishment in which an employee works and includes the agent, manager and representative of the owner;

(11) “employment injury” means a personal injury to an employee caused by accident or by an occupational disease to be specified in the regulations, arising out of and in the course of his employment;

(12) “establishment” means an organization, public or private, industrial, commercial, agricultural or otherwise;

(13) “Governing Body” means the Governing Body of the Institution;

(14) “Institution” means the Employees' Social Insurance Institution established under section3;

- (15) “insurance area” means an area to which this Ordinance has been applied;
- (16) “insured person” means a person in respect of whom contributions are or were payable under this Ordinance;
- (17) “Medical Advisory Council” means the Medical Advisory Council established under section 12;
- (18) “member” means a member of the Governing Body;
- (19) “rescribed” means prescribed by rules;
- (20) “regulations” means regulations made under this Ordinance;
- (21) “rules” means rules made under this Ordinance;
- (22) “sickness” means a morbid condition which requires medical treatment and attendance;
- (23) “wages” means remuneration for services paid or payable in cash or in kind to an insured person under a contract of service or apprenticeship, express or implied, but does not include-
- (a) any sum paid to the person employed to defray special expenses entailed by the nature of his employment; or
 - (b) any gratuity payable on discharge; or
 - (c) any sum paid as bonus by the employer; and shall be deemed to include payment to an insured person in respect of any period of authorized leave, lockout or legal strike;
- (24) “week” means a period of seven days beginning with a specific weekly holiday.

CHAPTER II

ORGANIZATION

3. Establishment and incorporation of Employees, Social Insurance Institution.— (1) As soon as may be after the commencement of this Ordinance, the ¹[Federal Government] shall establish an institution to be called the Employees' Social Insurance Institution.

(2) The Institution shall be a body corporate having perpetual succession and a common seal with power, subject to the provisions of this Ordinance, to acquire, hold and dispose of property, both movable and immovable, and shall by the aforesaid name sue and be sued.

4. Management.—(1) The general direction and superintendence of the affairs of the Institution shall vest in a Governing Body which, with the assistance of a Director-General, may exercise all powers and do all acts and things which may be exercised or done by the Institution.

(2) In discharging its functions, the Board shall be guided by such instructions on questions of policy as may be given to it from time to time by the ¹[Federal Government], which shall be the sole judge as to whether any instructions are on a question of policy or not.

¹Subs. by F.A.O., 1975, Art. 2 and Table, for “Central Government”.

5. Governing Body.—(1) The Governing Body shall consist of the following members to be appointed by the ¹[Federal Government], by notification in the official Gazette, namely:—

- (a) a person who is, or has been, or is qualified to be, a Judge of the High Court, and he shall be the Chairman of the Governing Body;
- (b) two persons to represent the ¹[Federal Government], of whom one shall be a representative of the Labour and Social Welfare Division of the Ministry of Health, Labour and Social Welfare and the other of the Industries Division of the Ministry of Industries and Natural Resources;
- (c) one person to represent the Government of East Pakistan, and one to represent the Government of West Pakistan;
- (d) four persons to represent the employers;
- (e) two persons to represent insured persons; and
- (f) Chairman, Medical Advisory Council, *ex-officio*.

(2) Members to be appointed under clause (d) or clause (e) of sub-section (1) shall be chosen from a list, comprising twice as many names as there be vacancies to be filled, 6 and drawn in the prescribed manner respectively by the organizations of employers and employees recognized by the ¹[Federal Government] for that purpose, so that the employers and insured persons of both the Provinces are adequately represented.

(3) Subject to other provisions of this Ordinance, a member of the Governing Body shall hold office for three years from the date on which his appointment is notified under sub-section (1).

6. Powers and functions of the Governing Body.—Besides the powers conferred on, and the functions entrusted to it by the provisions of this Ordinance or by the rules or regulations, the Governing Body shall have the power-

(1) to approve the budget estimates, the audited accounts and the annual report of the Institution for submission to the ¹[Federal Government] in accordance with the provisions of this Ordinance; and

(2) to call for any information, or direct any research to be made for the furtherance of the objects of this Ordinance.

7. Meetings of the Governing Body.—(1) The meetings of the Governing Body shall be held at such times and at such places as may be provided by regulations and until regulations are made in this behalf, such meetings shall be convened by the Chairman.

(2) To constitute a quorum at a meeting of the Governing Body, the number of members present shall be five.

(3) Each member shall have one vote, and, in the event of equality of votes, the Chairman shall have a second or casting vote.

¹Subs. by F.A.O., 1975, Art. 2 and Table, for “Central Government”.

(4) The meetings of the Governing Body shall be presided over by the Chairman, and in the absence of the Chairman by the person elected for the purpose by the members present, from amongst themselves.

8. Head Office.— The head office of the Institution shall be at Karachi but the ¹[Federal Government] may, by notification in the official Gazette, transfer it to such other place as may be specified in such notification.

9. Provincial institutions.—(1) There shall be established in the prescribed member two provincial institutions, one for East Pakistan and the other for West Pakistan, for carrying out the purposes of this Ordinance.

(2) Each provincial institution shall have such constitution, composition and powers as may be prescribed.

(3) Each provincial institution shall have its own fund which shall as far as may be comprise of such portion of the Employees' Social Insurance Fund as is collected in that Province, and the institution may incur such expenditure out of the said fund as may be necessary.

(4) Subject to rules, a provincial institution may, within the Province, exercise all or any of the powers of the Institution, and anything done or any action taken by a provincial institution in exercise of such powers shall be deemed to have been done or taken on behalf of the Institution.

(5) In discharging its functions a provincial institution shall be guided by such instructions on questions of policy as may be given to it from time to time by the Governing Body which shall be the sole judge as to whether any instructions are on a question of policy or not.

10. Authentication of orders, etc., —All orders and decisions of the Governing Body shall be authenticated by the signature of the Chairman or of such other member as may have been authorized by the Governing Body in writing for the purpose.

11. Supersession of the Governing Body.—(1) If, in the opinion of the ¹[Federal Government], the Governing Body has persistently failed to perform the duties imposed upon it by or under this Ordinance, or has abused its powers, the ¹[Federal Government] may, by notification in the official Gazette, supersede the Governing Body

Provided that before such supersession the ¹[Federal Government] shall give the Governing Body a reasonable opportunity to show cause why it should not be superseded and shall consider any explanations or objections which it submits.

(2) Upon the publication of a notification under sub-section (1), all members of the Governing Body shall cease to be such members.

(3) Immediately upon the supersession of a Governing Body, the ¹[Federal Government] shall constitute another Governing Body by appointing new members in accordance with the provisions of section 5.

12. Medical Advisory Council.— (1) As soon as may be, the ¹[Federal Government] shall establish a Medical Advisory council consisting of the following members, namely:—

¹Subs. by F.A.O., 1975, Art. 2 and Table, for “Central Government”.

- (a) the Director-General, Health, who shall be the Chairman of the Council;
- (b) the Deputy Director-General, Health;
- (c) three physicians to be appointed by the ¹[Federal Government] of whom one shall be a woman and one a representative of such medical association as may be recognized for the purpose by the ¹[Federal Government].

(2) A member appointed under clause (c) of sub-section (1) shall, unless sooner removed, hold office for a period of three years from the date of his appointment.

13. Duties of Medical advisory Council.—The Medical Advisory Council shall-

- (a) advise the Governing Body on matters relating to the administration of medical care and the prevention and treatment of diseases among insured persons;
- (b) perform such other duties in connection with medical care as may be specified in the regulations.

14. Filling of casual vacancies.—A member of the Governing Body or of the Medical Advisory Council appointed to fill a vacancy other than a full term vacancy shall hold office only for so long as the member in whose place he is appointed would have been entitled to hold office if the vacancy had not occurred.

15. Fees and allowance.—The members of the Governing Body and of the Medical Advisory Council shall receive such fees and allowances as may be prescribed.

16. Registration.—A member of the Governing Body or of the Medical Advisory Council, other than a member *ex-officio*, may resign his office by notice in writing to the ¹[Federal Government] and his seat shall fall vacant on the acceptance of the resignation.

17. Disqualifications.—(1) No person shall be or shall continue to be a member of the Governing Body or of the Medical Advisory Council, if he-

- (a) has been convicted of an offence involving moral turpitude ; or
- (b) is declared to be of unsound mind by a competent court ; or
- (c) is an undischarged insolvent ; or
- (d) is a member of a legislature ; or
- (e) is a member of the staff of the Institution ; or
- (f) has any direct or indirect interest in a contract with, or in any work being done for, the Institution, except as a shareholder (not being a Director) of a company ; or
- (g) owes to the Institution contributions to the extent specified in the regulations; or

¹Subs. by F.A.O., 1975, Art. 2 and Table, for "Central Government".

- (h) has lost the capacity by virtue of which he was appointed as such member ; or
- (i) has failed to attend more than one-third of the number of meetings of the Governing Body or the Medical Advisory Council, as the case may be, held during any year.

(2) The ¹[Federal Government] may, by order in writing, remove the Chairman or a member of the Governing Body or the Chairman or member of the Medical Advisory Council, if he—

- (a) refuses or fails to discharge or becomes, in the opinion of the ¹[Federal Government], incapable of discharging his responsibilities under this Ordinance ; or
- (b) has in the opinion of the ¹[Federal Government], abused his position as such member ; or
- (c) has absented himself from three consecutive meetings of the Governing Body or of the Medical Advisory Council, as the case may be, without the leave of the ¹[Federal Government] in the case of Chairman, or of the Chairman in the case of a member.

18. Regional boards, local committees and medical boards.—(1) The appropriate Government shall appoint regional boards and local committees in such insurance areas and in such manner as may be provided by regulations.

(2) The regional boards shall appoint medical boards in such Insurance areas and in such manner as may be provided by regulations.

(3) The powers and functions of the regional boards, local committees and medical boards, as well as the fees and allowances to be paid to their members shall be such as may be provided by regulations.

19. Director-General and Deputy Director-General.—(1) There shall be a Director-General of the Institution and a Deputy Director-General of the Institution, both to be appointed by the ¹[Federal Government].

(2) The Director-General shall be the chief executive of the Institution and shall act as Secretary to the Governing Body.

(3) He shall be responsible to the Governing Body in respect of all matters in respect of the structure, administration and personnel of the Institution.

(4) He shall have such powers regarding appointment, transfer, promotion, dismissal and other matters affecting the staff of the Institution as are provided for by regulations.

(5) The Deputy Director-General shall perform the duties of the Director-General when the latter is absent or prevented from acting and the Director General may assign to the Deputy Director-General the responsibility for the direction of certain services, or delegate to him any of his own powers.

¹Subs. by F.A.O., 1975, Art. 2 and Table, for “Central Government”.

20. Officers and staff of the Institution.—The Governing Body may employ such officers and staff in the headquarters office of the Institution and in the offices of the provincial institutions referred to in section 9 as the regulation may provide.

CHAPTER III CONTRIBUTION

21. Contribution.—(1) Subject to the other provisions of this Chapter, the employer shall, in respect of every employee, whether directly employed by him or through any other person, pay to the Institution a contribution at such rate and subject to such conditions as may be prescribed.

(2) Such contribution shall comprise the share payable by the employer (hereinafter referred to as employer's contribution) and the share payable by the employee (hereinafter referred to as employee's contribution) and the rate of such share shall be determined by rules:

Provided that the amount of the employee's contribution shall in no case exceed one-third of the whole amount of contribution.

(3) The employer shall deduct the amount of employee's contribution from his wages:

Provided that—

- (a) the employer shall not deduct the amount of employee's contribution from any wages other than wages for the period to which the contribution relates ;
- (b) the employer shall not be entitled to deduct from the employee's wages or to otherwise recover from him any portion of the employer's contribution, notwithstanding any agreement to the contrary ;
- (c) where the whole or part of the wages are not payable by the employer, deductions in respect of employee's contribution shall be made in such manner as may be provided by regulations.

(4) Subject to the provisions of sub-section (2) of section 72—

- (a) no contribution shall be payable on wages in excess of rupees twenty per day ; and
- (b) no deduction on account of employee's contribution shall be made from wages which are less than rupees two per day.

(5) For the purposes of determining the amount of contribution, daily wages shall be calculated in such manner as may be prescribed.

(6) Where the mode of payment of remuneration makes it difficult to determine the amount of wages for computing the employee's contribution, the Director-General may, subject to rules and in consultation with the representatives of the employers and the employees, determine and fix such wages and may also for that purpose determine classes and categories of employees.

(7) Any sum deducted from an insured person's wages by the employer under this Ordinance shall be deemed to have been entrusted to him for the purpose of paying the insured person's share of the contribution in respect of which it was paid.

(8) In the case of construction work the owner of the building shall guarantee the payment of contributions by the contractor.

(9) In the case of works executed or undertakings carried on behalf of the State by a contractor or licensee, the competent public authority shall, before final settlement of the claims of the contractor or licensee arising out of the contract, require the production of a certificate from the Institution showing that the necessary contribution have been paid and in default of such certificate, it shall deduct the appropriate amount of contribution payable and pay it direct to the Institution.

22. Records and returns by employers.—Every employer shall keep such records and shall submit to the Institution such returns, in such form and containing such particulars relating to persons employed by him, as may be provided in the regulations.

23. Officials of Institution to check employers books.—(1) Any official of the Institution specified in the regulations, may, for the purpose of inquiring into the correctness of any of the particulars stated in the records or returns referred to in section 22, or for the purpose of ascertaining whether any the provisions of this Ordinance have been complied with,-

- (a) require an employer to furnish to him such information as he may consider necessary; or
- (b) at any reasonable time enter any establishment or other premises occupied by such employer and require any person found in charge thereof to produce and allow him to examine such accounts, books and other documents relating to the employment of persons and payment of wages, or to furnish to him such information as he may consider necessary; or
- (c) examine, with respect to any matter relevant to the purpose aforesaid, the employer, his agent, or any person found in such establishment or other premises, or any other person whom the said official has reasonable cause to believe to be or to have been an insured person.

(2) The official mentioned in sub-section (1) shall be bound to secrecy as regards all matters with which he becomes acquainted in the performance of his duties and which do not relate to matters provided for in this Ordinance.

(3) If the employer fails to maintain records or to submit returns as required by regulations, or otherwise fails to comply with sub-section (1) and thereby makes ¹[if] difficult to ascertain the identity of persons required to be insured or the amount of contributions payable, contributions shall be assessed on the basis of such evidence as the Institution may find satisfactory for this purpose.

24. Increase of unpaid contributions and recovery of contributions, etc., as arrears of land revenue.—(1) If any employer fails to pay his contribution on the due date, it shall be increased by such percentage or amount may be prescribed but in no case such increase shall exceed fifty percent of the amount of contribution due.

(2) Without prejudice to any other remedy, the amount of contribution due, together with the increase accruing under subsection (1), may be recovered as arrears of land revenue.

¹Sic. Should read "it".

25. Safeguard of insured person's rights in default of payment of contribution by employer.—In the event of default of payment of contribution by the employer in respect of an insured person, the rights of that person to benefits under this Ordinance shall be safeguarded to such extent and in such manner as may be provided in the regulations, provided such default has not been with the consent or connivance of the insured person.

26. Return of contribution paid erroneously.—Every person or his employer shall be entitled to the return of any contribution paid to the Institution under the erroneous belief that it was payable in respect of such person under the provisions of this Ordinance or was payable at a higher rate than the rate prescribed:

Provided that where contribution was paid under the erroneous belief that a person was an insured person, any sum paid to such person or his dependants by way of benefits shall be deducted from the amount of contribution:

Provided further that contributions shall not be returned except on application made within six months of the date on which they were paid.

27. Increase of contributions where safety rules not observed.—If an employer fails to observe rules of safety or hygiene prescribed by or under any enactment applicable to an establishment, the Director-General may by order in writing, subject to rules, increase the employer's rate of contribution, provided that such increase shall not exceed twenty percent of the contribution otherwise payable.

28. Extinguishment of claims to contributions.— The claim of the Institution for unpaid contributions shall be extinguished after five years following the financial year within which the liability for contributions was determined.

CHAPTER IV FINANCE AND AUDIT

29. Employees Social Insurance Fund.—(1) All contributions paid under this Ordinance and all other moneys received by or on behalf of the Institution shall be paid into a fund to be called the Employees' Social Insurance Fund, which shall be held and administered by the Institution for the purposes of this Ordinance.

(2) The Institution may accept grants, donations and gifts from the ¹[Federal] or Provincial Government, or from a local authority or other body for all or any of the purposes of this Ordinance.

(3) All moneys accruing or payable to the said Fund shall be received by such officers of the Institution as may be prescribed and shall be deposited forthwith with the State Bank of Pakistan or such other bank as may be approved by the Governing Body, to the credit of the Employees' Social Insurance Fund.

(4) The Institution shall maintain separate accounts in the Fund for the branch of insurance covering employment injuries, for the branch of insurance covering sickness, maternity and death grants, for administrative expenses, and for such other branches of insurance or for such other purposes as may be prescribed.

¹Subs. by F.A.O., 1975, Art. 2 and Table, for "Central".

(5) Appropriation of moneys in the Fund to each of the said accounts and the allocation of moneys for meeting the cost of medical care and other expenses shall be made by the Governing Body with the approval of the ¹[Federal Government].

30. Security reserves.—(1) Subject to such conditions as may be prescribed, the Institution shall establish and maintain a separate security reserve—

- (a) in the account covering employment injuries, equal to at least twenty-five percent. of the average annual expenditure incurred in the last preceding three financial years on the payment of benefits in respect of employment injuries other than pensions plus the prospective value of all pensions arising out of employment injuries accruing before the end of the last preceding financial year; and
- (b) in the account covering sickness, maternity and death, equal to at least twenty-five percent of the average annual expenditure incurred during the last preceding three financial years on the payment of benefits in respect of sickness, maternity and death:

Provided that before the expiry of three financial years from the coming into force of this Ordinance, the minimum limit of each of the said security reserves shall be such as the ¹[Federal Government] may determine.

(2) Whenever any such reserve falls below the aforesaid limits, the ¹[Federal Government] shall, on the recommendation of the Governing Body, fix such higher rate of contribution for the next ensuing financial year as may be necessary to avoid a deficit in the security reserve and shall notify such higher rate in the official Gazette before it becomes effective:

Provided that the ¹[Federal Government] may, instead of fixing such higher rate of contribution, grant to the Institution a sum equal to the annual receipts estimated to accrue from the increase in the rate of contribution.

31. Investment and loans.—(1) Subject to rules, the Institution may from time to time invest any moneys which are not immediately required for expenses under this Ordinance and may reinvest or realise such investments.

(2) The Institution may, with the previous sanction of the ¹[Federal Government] and on such terms as it may specify, raise loans and take measures for discharging such loans.

32. Budget estimates.—The Institution shall frame a budget annually showing the estimated receipts and expenditure for the following year, and shall submit it to the ¹[Federal Government], whose approval with respect to anticipated administrative expenditures shall be necessary.

33. Accounts and audit.—(1) The Institution shall maintain accounts of its income and expenditure in such form and manner as may be prescribed.

(2) The accounts of the Institution shall be audited at such times and in such manner as may be prescribed by auditors appointed by the ¹[Federal Government].

¹Subs. by F.A.O., 1975, Art. 2 and Table, for “Central Government”.

(3) The auditors shall have access to the books, accounts and other documents of the Institution at all reasonable times, and may call for such explanations and information as they may require, or examine any officer of the Institution.

(4) The auditors shall forward their report to the ¹[Federal Government] together with an audited copy of the accounts of the Institution.

34. Annual Reports.—The Institution shall submit to the ¹[Federal Government] an annual report of its work and activities

35. Valuation of assets and liabilities.—The Institution shall, at intervals of not more than five years, have a valuation of its assets and liabilities:

Provided that the ¹[Federal Government] may direct a valuation to be made at such other times as it may consider necessary.

CHAPTER V

BENEFITS

36. Sickness benefits.— (1) An insured person who is certified by a medical practitioner to be incapable of attending to his work on account of sickness shall be entitled to receive sickness benefit at the rate specified in the Schedule, if during the six calendar months immediately preceding the date on which his incapacity for work was so certified, contributions in respect of him were paid or payable for not less than ninety days.

(2) Sickness benefit shall be paid throughout the period of sickness of an insured person but for not more than ninety-one days in any continuous period of three hundred and sixty-five days:

Provided that no sickness benefit shall be paid for the first three days of sickness, unless it is sickness following, within fifteen days, another sickness for which sickness benefit was paid.

37. Maternity benefits.— An insured woman shall be entitled to receive maternity benefit at the rate specified in the Schedule, if contributions in respect of her were paid or payable for not less than one hundred and eighty days during the twelve calendar months immediately preceding the date from which she claims the benefit, and such benefit shall be paid for all days on which she does not work for remuneration during a period of twelve weeks, of which not more than six weeks shall precede the expected date of confinement.

38. Death grant in case of death following sickness.—On the death of an insured person receiving or entitled to receive sickness benefit or medical care at the time of his death, the surviving widow or widower, or if there be no surviving widow or widower, the person who provided for the funeral, shall be entitled to a death grant equal to the daily rate of sickness benefit multiplied by thirty, but in no case less than fifty rupees.

39. Medical care during sickness and maternity.—(1) An insured person and his dependants shall be entitled to medical care for so long as he is or would be entitled to sickness benefit, whether he is or is not incapacitated for work, and after the termination of the period of sickness benefit, the insured person shall be entitled to medical care for thirty days and thereafter for such period and to such items of medical care, if any, as may be prescribed in respect of any disease.

¹Subs. by F.A.O., 1975, Art. 2 and Table, for “Central Government”.

(2) An insured woman shall be entitled to pre-natal, confinement and post-natal medical care, if she is entitled to maternity benefit under section 37 and to pre-natal medical care if during the six calendar months immediately preceding her claim, contributions in respect of her were paid or payable for not less than ninety days.

40. Injury benefit.—An insured person shall be entitled to receive injury benefit at the rate specified in the Schedule in respect of any day on which, as a result of an employment injury, he is incapable of work, but for not more than one hundred and eighty days, except for the first three days including the day on which the inquiry was received, for which days the employer shall pay to the insured person full wages.

41. Disablement pension.—(1) An insured person who sustains total or partial disablement shall be entitled to receive disablement pension at the rate specified in the Schedule upon the expiration of his entitlement to injury benefit.

(2) Disablement pension shall terminate with the death of the recipient or when disablement ceases or ceases to be total or partial disablement:

Provided that if a disablement pension has been paid for five years, it shall be payable for life.

42. Disablement gratuity.—(1) An insured person who sustains minor disablement shall be entitled to a disablement gratuity at the rate provided in the Schedule.

(2) Where a person receiving disablement pension ceases to suffer from total or partial disablement but continues to suffer from minor disablement, he shall, on the termination of his disablement pension, be entitled to disablement gratuity.

43 Survivors' pension.—(1) Where an insured person dies as a result of an employment injury, survivors' pension shall be payable to his dependents as follows, that is to say,—

- (a) to the widow during life, an amount equal to three-fifths of the full rate of total disablement pension provided in paragraph 8(a) of the Schedule and where there are two or more widows, the amount of pension shall be divided equally between them;
- (b) to each dependent child an amount equal to one-fifth of the full rate of total disablement pension provided in paragraph 8(a) of the Schedule:

Provided that if the child is a full orphan the amount shall be two-fifths of such full rate.

(2) In case the deceased person does not leave a widow, a survivors' pension shall be payable for life to a dependant father or mother equal to one-fifth of the full rate of the total disablement pension provided in paragraph 8 (a) of the Schedule:

Provided that if and so long as the total of the dependants' pension distributed among the widow or widows, dependant children, or dependant children and parents, exceeds the full rate of disablement pension the share of each of the survivors shall be reduced proportionately so that the total amount payable to them does not exceed the amount of the said full rate.

(3) Survivors' pension shall be payable upon the death of the insured person and shall be terminated upon the death of the dependant child or parent or widow, upon the widow's marriage, or upon the child having attained the age of sixteen years, as the case may be.

44. Death grant in case of death resulting from employment injury.—Where an insured person dies as a result of an employment injury, or when he is in receipt of a total disablement pension, the widow or widower, or if there is no widow or widower, the person who provided for the funeral, shall be entitled to a death grant equal to the daily rate of injury benefit multiplied by thirty, but in no case less than fifty rupees.

45. Medical care in case of employment injury.—(1) When medical care is required as a result of an employment injury,—

- (a) no conditions as regards payment of contribution shall apply;
- (b) it shall be afforded for so long as required and shall include dental care in addition to the services referred to in section 46;
- (c) the provisions of section 46 in so far as they relate to sharing of cost shall not apply.

(2) A person in receipt of a disablement pension (in case the loss of his earning capacity is at least fifty percent. of the average rate of his earning in the usual occupation) or injury benefit and his dependants, and where the disablement pension is being received by the dependants of the insured person such dependants, shall be entitled to medical care for so long as the disablement pension or injury benefit, as the case may be, continues, and in the case of a disablement pension being received by the insured person for six months after the termination of the pension.

46. Content of medical care.— (1) Medical care shall include—

- (a) general practitioner care, including domiciliary visiting;
- (b) specialist care in hospitals for in-patients and out-patients and such specialist care as may be available outside hospitals;
- (c) essential pharmaceutical supplies as prescribed by medical or other qualified practitioners;
- (d) hospitalisation where necessary, including cases of pregnancy and confinement;
- (e) prenatal, confinement and post-natal care, either by medical practitioners or by qualified midwives.

(2) Regulations may provide that the beneficiary shall be required to share the costs of medical care referred to in clauses (a) and (c) of sub-section (1), and of medical care referred to in clause (b) of that sub-section if it is provided outside hospitals but in no case the beneficiary's share of such costs shall be more than one-fifth.

47. Manner of providing medical care.—(1) Regulations shall specify the manner in which medical care shall be provided.

(2) The Institution may, with the approval of the appropriate Government, establish and maintain such hospitals, dispensaries and other facilities as it finds necessary for providing medical care in pursuance of the provisions of this Ordinance.

(3) The Institution may buy or import and dispense pharmaceutical supplies direct to the beneficiaries.

(4) The Institution may enter into agreements with the appropriate Government, establish and maintain such hospitals, dispensaries and to the provision of medical care to persons entitled to it under this Ordinance.

(5) The Institution may enter into an agreement with an employer who maintains a hospital or dispensary or any other medical facility for the benefit of his employees for the utilisation of such hospital, dispensary or facility for the purposes of the Institution, and such agreement may, among other things, specify persons to whom medical care shall be provided, the type of benefits to be made available, the minimum level of such benefits, the conditions under which such benefits shall be provided the extent of supervision which the Institution may exercise the submission of reports to the Institution by the employer and the extent and manner of reimbursement to the employer.

48. Institution's power to promote measures for health, welfare, etc., of insured persons.— The Institution may, in addition to the benefits specified in this Ordinance, undertake other measures for improving the health and welfare of insured persons and for the rehabilitation and settlement of such insured persons as might have been disabled or injured, and may for that purpose incur expenditure from the Employees, Social Insurance Fund to such extent as may be prescribed.

49. Claims for benefits.—(1) All claims for benefits under this Ordinance shall be made in such form and manner, and shall be accompanied by such documents, information and evidence as to entitlement as may be specified in the regulations.

(2) No claim for any benefit under this Ordinance shall be payable, unless it is duly preferred within six months, or in the case of disablement pension, survivors' pension and disablement gratuity, within twelve months of its accruing due, and every claim not so preferred shall be deemed to have been extinguished.

(3) Subject to the provisions of this Ordinance, payment in respect of benefits may be made weekly or monthly or at other intervals, or, in the case of small amounts, in lump sums, according as the regulations may provide.

50. Benefit not assignable or attachable.—(1) The right to receive any payment in respect of any benefit under this Ordinance shall not be transferable or assignable.

(2) No benefit payable under this Ordinance shall be liable to attachment or sale in execution of any decree or order of any court.

51. Exemption from stamp duty.—Stamp duty shall not be chargeable upon any draft or order or receipt in respect of any benefit payable under this Ordinance.

52. Non-duplication of benefits.—(1) An insured person shall not be paid for the same Non-duplication period more than one of the benefits referred to in sections 36, 37 and 40, namely, sickness benefit, maternity benefit and injury benefit, and where any person is entitled to more than one of these benefits he shall be given only one benefit which he chooses.

(2) No person shall be entitled to sickness benefit or maternity benefit or injury benefit for any day for which he receives wages.

53. Repayment of benefit improperly received.—When a person has received any benefit or payment under this Ordinance to which he is not lawfully entitled, he shall be liable to repay to the Institution the value of the benefit or the amount of such payment, or in the case of his death, his representative shall be liable to repay the same from the assets of the deceased, if any, in his hands:

Provided that the Institution may waive repayment where there was no misrepresentation on the part of the claimant and the repayment would cause undue hardship to him or, as the case may be, to his survivors.

(2) For purposes of this section, the value of any benefit received, other than in cash, shall be determined in accordance with regulations.

(3) The amount recoverable under this section may be recovered as an arrear of land revenue.

54. Institution's right to recover damages from employer in certain cases.—Where, according to the finding of a court, an employment injury was sustained by an insured person by reason of a wrongful act of the employer or his agent, the employer or his agent shall reimburse the institution for the actuarial present value of the periodical payments or the amount of any lump sum payment which the Institution is liable to make under this Ordinance, such actuarial value shall be determined in accordance with the regulations.

55. Institution's right to be indemnified in certain cases.— Where an insured person is entitled to receive or to recover (but has not received or recovered) from any person, compensation or damages in respect of any sickness or employment injury caused under circumstances creating a legal liability in some person other than, in case of employment injury, the employer or his agent, the Institution shall be entitled to be indemnified by the person so liable.

CHAPTER VI

DETERMINATION OF QUESTIONS AND CLAIMS

56. Questions and claims to be decided by the authority specified in the regulations.— All claims under this Ordinance and all questions as to—

- (a) whether any person is an insured person within the meaning of this Ordinance or whether he is liable to pay the insured person's contribution ; or
- (b) the rate of wages or average daily wages of an insured person for the purposes of this Ordinance ; or
- (c) the rate of contribution payable by employer in respect of an employee ; or
- (d) the person who is or was the employer in respect of any insured person ; or
- (e) any benefit and the amount and duration thereof ; or
- (f) any other matter in respect of any contribution or benefit or other dues payable or recoverable under this Ordinance;

shall be decided by such authority and in such manner as the regulations may provide.

57. Medical Boards to assess disablement.—All questions as to the assessment of the degree of disablement shall be determined by a medical board appointed under section 18.

58. Decisions to be in writing in certain cases.—(1) When the authority referred to in section 56 decides to reject or reduce any claim for a benefit under this Ordinance, it shall record its decision in writing stating therein reasons for such rejection or reduction and shall communicate the decision to the claimant concerned.

(2) The said authority may, on new facts being brought to its notice, review a decision given by it on any claim or question:

Provided that no decision shall be so reviewed after six months from the date on which it is given.

59. Appeal from authority's decision.—Any person aggrieved by a decision of the authority referred to in section 56 may appeal to an insurance court constituted under section 60 or to a local committee appointed under section 18, in accordance with the regulations.

60. Constitution of insurance court.—(1) The appropriate Government may, for purposes of this Ordinance, constitute by notification in the official Gazette, a court hereinafter referred to as the insurance court for any insurance area or areas specified in the notification.

(2) An insurance court shall consist of three members to be appointed by the appropriate Government.

(3) Any person who is or has been a judicial or law officer or a legal practitioner shall be qualified to be appointed as a member of an insurance court.

(4) All decisions of an insurance court shall be taken by majority.

61. Jurisdiction of insurance courts.—Except where appeals lie to a local committee in accordance with the provisions of the regulations, an insurance court shall have exclusive jurisdiction to hear and decide appeals from decisions of the authority referred to in section 56 in respect of all claims and questions arising in the insurance area.

62. Transfer of appeals from one insurance court to another.—Appeals may be transferred from one insurance court to another in such manner and in such circumstances as may be specified in the regulations.

63. Powers of insurance courts etc.—(1) An insurance court shall have all the powers of a civil court for the purposes of summoning and enforcing the attendance of witnesses, compelling the discovery and production of documents and material objects, administering oath and recording evidence, and such a court shall be deemed to be a civil court within the meaning of section 195 of the Code of Criminal Procedure, 1898 (Act V of 1898),.

(2) Notwithstanding anything contained in any other law, an insurance court may for the purpose of deciding any appeal examine such witnesses and take such evidence as it considers necessary.

(3) Subject to regulations, an insurance court may make such order with regard to costs incidental to any appeal as it thinks fit.

(4) An order of the insurance court shall be enforceable as if it were a decree of a civil court.

(5) A person shall be guilty of contempt of an insurance court if he, without lawful excuse,—

- (a) offers any insult to the insurance court or any member thereof while the court is functioning as such ; or
- (b) causes any interruption in the work of the insurance court ; or
- (c) fails to produce or deliver a document when ordered by the insurance court to do ; or
- (d) refuses to answer any question of the insurance court which he is bound to answer ; or
- (e) refuses to take oath to state the truth or to sign any statement made by him when required by the insurance court to do so; and the insurance court may, without any complaint having been made to it forthwith try such person for such contempt and sentence him to a fine not exceeding fifty rupees.

64. Appearance by legal practitioners, etc.—Any application, appearance or act required to be made or done by any person to or before an insurance court (other than appearance of a person required for the purposes of his examination as a witness) may be made or performed by a legal practitioner or by an officer of a registered trade union authorized in writing by such person, or, with the permission of the court, by any other person so authorized.

65. Appeal.—(1) Save as expressly provided in this section, no appeal shall lie from an order of an insurance court.

(2) An appeal shall lie to the High Court from an order of an insurance court if it involves a substantial question of law.

(3) The period of limitation for an appeal under this section shall be thirty days.

(4) The provisions of sections 5 and 12 of the Limitation Act, 1908, shall apply to appeals under this section.

66. Stay of payment pending appeal.—Where the Institution has appealed against an order of an insurance court, that court may, and if so directed by the High Court, shall, pending the decision of the appeal, withhold the payment of any sum directed to be paid by the order appealed against.

CHAPTER VII

PENALTIES

67. Offences and penalties.—(1) If any person—

- (a) for the purpose of obtaining the allowance or denial of any payment or benefit under this Ordinance whether for himself or some other person or for the purpose of avoiding any payment to be made by himself or any other person under this Ordinance—

- (i) knowingly makes or causes to be made any false statement or false representation; or
- (ii) produces or furnishes, or causes or knowingly allows to be produced or furnished, any document or information which he knows to be false in a material particular; or
- (b) fails to pay any contribution which under this Ordinance he is liable to pay; or
- (c) recovers or attempts to recover from an insured person or deducts or attempts to deduct from his wages the whole or any part of the employer's contribution; or
- (d) fails or refuses to submit any return required by the regulations or makes a false return; or
- (e) obstructs any official of the Institution in the discharge of his duties; or
- (f) is guilty of any contravention of or non-compliance with any of the requirements of this Ordinance or the rules or regulations; he shall be punished with imprisonment which may extend to three months or with fine not exceeding one thousand rupees or with both.

68. Prosecutions.—(1) No prosecution under this Ordinance shall be instituted except with the previous sanction of the Director-General or of an officer authorized by him in writing in this behalf.

(2) No court inferior to that of a Magistrate of the first class shall try any offence under this Ordinance.

(3) No court shall take cognizance of any offence under this Ordinance except on a complaint made in writing within six months of the date on which the offence is discovered.

CHAPTER VIII

MISCELLANEOUS

69. Contributions, etc., to have priority over other debts.—In any proceedings of insolvency against a person or proceedings for the winding up of a company, any contribution or other amount payable under this Ordinance by such person or company shall be deemed to be included among debts to be paid in priority to all other debts.

70. Exemption from taxes.—Notwithstanding anything contained in any other law the ¹[Federal Government] or the Provincial Government may, by order in writing, exempt the Institution from any tax, rate or duty leviable by such Government or by a local authority under the control of such Government.

71. Exemption from Chapters III and V and levy of special tax.—(1) The ¹[Federal Government] may, after consultation with the Institution, by notification in the official Gazette, exempt any area or establishment from the operation of the provisions of Chapters III and V and shall in such area or establishment levy a tax equal to two percent of the total wages paid by the employer.

¹Subs by F.A.O., 1975, Art. 2 and Table, for "Central Government".

(2) The said tax shall be assessed and collected in such manner as may be prescribed and the proceeds thereof shall be paid into a special account in the Employees' Social Insurance Fund and shall be utilized for building up and improving medical facilities with a view to providing in due course medical care under this Ordinance to the employees of the area or establishment.

72. Review and modification of wage class.—(1) In September of each year the Governing Body shall review the wage classes and the rates of benefit specified in the Schedule in the light of any changes in wage levels or living costs and shall submit a report together with its recommendations to the ¹[Federal Government].

(2) The ¹[Federal Government] may, after considering the said report and recommendations, by notification in the official Gazette, enhance or reduce the wage limits specified in the sub-section (4) of section 21 and the wage limits and rates of benefit and pension specified in the Schedule.

73. Employer not to dismiss or punish employee during the period of sickness, etc.—(1) No employer shall dismiss, discharge, or reduce or otherwise punish an employee during the period the employee is in receipt of sickness benefit, maternity benefit, injury benefit or medical care.

(2) No notice of dismissal or discharge or reduction given to an employee during the period specified in sub-section (1) shall be valid or operative.

74. Bar of benefits under other laws.—When a person is entitled to any of the benefits provided by this Ordinance, he shall not be entitled to any similar benefit under any other law.

75. Suit for damages in a civil court.—No suit for damages shall be instituted by an insured person against his employer in any civil court in respect of employment injury covered by this Ordinance.

76. Members and servants of the Institution to be public servants.—The members of the Governing Body and every servant of the Institution shall be deemed to be a public servant within the meaning of the Pakistan Penal Code (XLV of 1860).

77. Removal of difficulties.—(1) If any difficulty arises in giving effect to the provisions of Chapters III and V, the ¹[Federal Government] may, by order notified in the official Gazette, make such provision or give such direction as appears to it to be necessary for the removal of the difficulty.

(2) Any order made under sub-section (1) shall have effect notwithstanding anything inconsistent therewith in any rules or regulations.

78. Delegation of powers.—The Governing Body may direct that all or any of its powers and functions may, in relation to such matters and subject to such conditions, if any, as may be specified, be also exercisable by the Director-General, Deputy Director-General or any officer or authority subordinate to the Institution.

79. Power to make rules.—(1) The ¹[Federal Government] may, subject to the condition of previous publication, by notification in the official Gazette, make rules to carry out the purposes of this Ordinance.

¹Subs by F.A.O., 1975, Art. 2 and Table, for "Central Government".

(2) In particular and without prejudice to the generality of the foregoing power, such rules may provide for all or any of the following matters, namely:—

(1) the manner in which lists of persons from whom members of the Governing Body may be appointed shall be drawn by organizations of employers and employees;

(2) the manner of establishing provincial institutions and the constitution, composition and powers of such institutions;

(3) powers and functions of the Governing Body;

(4) fees and allowances of the members of the Governing Body and Medical Advisory Council;

(5) rate of, and conditions pertaining to, contributions; the ratio of employer's contribution and employee's contribution;

(6) manner of calculating daily wages for the purpose of determining the amount of contribution;

(7) determination of wages by the Director-General where mode of payment of remuneration makes it difficult to determine such wages;

(8) percentage or amount by which contributions due may be increased under section 24;

(9) increase of employers contribution where rules of safety or hygiene are not observed by employer;

(10) officers of the Institution who may receive moneys or make payments on behalf of the Institution;

(11) purposes for which separate accounts may be maintained in the Employees' Social Insurance Fund;

(12) conditions applying to security reserves;

(13) investment of surplus moneys; raising and repayment of loans;

(14) the preparation of budget; the form and manner in which the Institution shall maintain accounts and the manner in which accounts shall be audited;

(15) the period and the items of medical care for which an insured person shall be entitled in respect of any disease after the expiry of thirty days from the termination of sickness benefit;

(16) extent to which the Institution may incur expenditure on measures for improving the health and welfare of insured persons and for rehabilitating and settling disabled persons;

(17) assessment and collection of tax under section 71; and

(18) any other matter which is required or allowed by this Ordinance to be prescribed.

80. Power to make regulations.—(1) The Governing Body may, subject to the condition of previous publication, by notification in the official Gazette, make regulations not inconsistent with the provisions of this Ordinance or the rules.

(2) In particular, and without prejudice to the generality of the foregoing power, such regulations may provide for all or any of the following matters, namely:-

(1) the authority by which and the manner in which a medical practitioner may be authorized to give a certificate required under any provision of this Ordinance; the form of such certificate; the duties of medical practitioner;

(2) occupational diseases which may amount to employment injury;

(3) time and place for the meetings of the Governing Body, and Medical Advisory Council;

(4) duties of the Medical Advisory Council;

(5) extent of contributions which remaining unpaid a person shall be disqualified to be a member of the Governing Body or of the Medical Advisory Council;

(6) the manner in which contributions shall be assessed and collected;

(7) areas for which and the manner in which regional boards, local committees and medical bodies may be appointed;

(8) the powers and functions of the regional boards, local committees and medical boards and fees and allowances to be paid to their members;

(9) powers of the Director-General with regard to appointment, transfer, promotion, dismissal and other matters affecting the staff of the Institution;

(10) powers of the Governing Body to employ officers and staff in headquarters office of the Institution and in offices of the Provincial institutions;

(11) the method of recruitment, pay and allowances, discipline, superannuation benefits and other conditions of service of officers and servants of the Institution;

(12) manner of making deductions in respect of employee's contribution where whole or part of the wages are not payable by employer;

(13) records to be kept by employers, returns to be submitted by them; form of such returns, and particulars relating to employees to be stated in such returns;

(14) the manner in which any benefit including medical care shall be provided and conditions applying to benefits;

(15) the extent to which and the manner in which rights of insured persons shall be safeguarded in the event of default of payment of contribution by employers;

(16) sharing of costs of medical care by beneficiaries, subject to sub-section (2) of section 46;

(17) form and manner in which claims for benefits shall be made, and the documents, information and evidence which shall accompany such claims;

(18) determination of the value of any benefit for the purpose of repayment to the Institution;

(19) determination of the actuarial present value of any payments for which the Institution become liable on account of employment injury sustained by an insured person by reason of a wrongful act of the employer or his agent;

(20) the authority by which and the manner in which claims and questions shall be decided;

(21) the cases in which and the manner in which appeals shall be made to the insurance court or to a local committee;

(22) the circumstances and the manner in which appeals may be transferred from one insurance court to another;

(23) awarding of costs incidental to any appeal;

(24) the manner in which supplies for the use of the Institution shall be obtained and immovable property hired or acquired, and such supplies or property shall be sold or disposed of; and

(25) any other matters not provided for in the Ordinance or rules and necessary to give effect to the provisions of this Ordinance.

81. Supersession of certain laws and insurance policies.—(1) Workmen's compensation and maternity benefit payable under the Workmen's Compensation Act, 1923 (VIII of 1923), the Employer's Liability Act, 1938 (XXIV of 1938), the Mines Maternity Benefit Act, 1941 (XIX of 1941), or under any other law shall not be payable in respect of any employment on or after the appointed day and the enactments and law aforesaid shall, in so far as they are inconsistent with the provisions of this Ordinance, cease to have effect.

(2) As from the appointed day, any insurance policy made by the employer towards insuring his liability for employment injury arising out of the Workmen's Compensation Act, 1923 (VIII of 1923), shall be terminated, and the insurer shall be liable to refund such portion, if any, of the premia already paid as may be prescribed.

THE SCHEDULE

(1) For the purpose of computing sickness benefit, maternity benefit and injury benefit, the insured person shall be assigned to the wage class specified in the first column of the Table appended to this Schedule (hereinafter referred to as the Table) on the basis of his average daily wages, as determined in paragraphs (2) and (3) below, as appropriate. Apprentices who do not receive any wages shall be assigned to the first wage class in that Table.

(2) For purposes of sickness and maternity benefit, an insured person's average daily wages shall be determined by dividing the wages liable to contribution which he received in the three calendar months preceding the month in which his incapacity occurred, or the month in which she stopped work in anticipation of confinement by the difference between 90 and the number of days for which he or she received sickness benefit, maternity benefit or injury benefit during the same

period; if he or she received no wages liable to contribution during that period, he or she shall be assigned to the first wage class in the Table.

(3) For the purposes of injury benefit the average daily wages of an insured person shall be determined by dividing the wages liable to contribution which he received in the three calendar months preceding the month in which employment injury occurred by the number of days he worked:

Provided that if he did not receive any wages in the said three months, his average daily wages shall be computed by dividing the wages which he received during the month in which the injury occurred by the number of days for which he received such wages:

Provided further, that if he had received no wages prior to the employment injury, his average daily wages shall be the wages specified in his contract of employment.

(4) For the wage classes specified in column 1 of the Table the daily rate of sickness benefit, maternity benefit and injury benefit shall be the amount specified in the second and third columns of the Table:

Provided that in no case shall the daily rate of maternity benefit be less than Re. 1.12.

(5) Sickness benefit, maternity benefit and injury benefit shall be payable for seven days per week.

(6) Sickness benefit and injury benefit payable to an insured person without dependents shall be reduced by half during any period during which he is undergoing medical or other treatment as an in-patient in a hospital or similar institution.

(7) If an insured person entitled to sickness benefit or injury benefit in respect of a period of incapacity for work receives wages from his employer in respect of that period, the rate of sickness benefit or injury benefit shall be reduced, if necessary, to that amount which, if added to the wages paid, would reach a total not exceeding his average daily wage.

(8) (a) The monthly rate of disablement pension in case of total disablement shall be equal to the daily rate of injury benefit multiplied by thirty;

(b) the monthly rate aforesaid shall be increased by 50 percent. Where as a result of the disablement, the pensioner requires constant attendance.

(9) The monthly rate of disablement pension in case of partial disablement shall be equal to that percentage of the rate of disablement pension referred to in paragraph (8)

(a) as is represented by the insured person's degree of partial disablement increased by one-half.

(10) The amount of disablement gratuity shall be equal to six times the monthly rate of the disablement pension referred to in paragraph (8) (a) above.

THE TABLE

Wage-classes		Rate of sickness and maternity benefit.	Rate of injury benefit.
1		2	3
		Rs.	Rs.
1.	Insured persons whose average daily wages are below Rs. 2.00.	0.75	0.94
2.	Insured persons whose average daily wages are Rs. 2 and above but below Rs. 3.00.	1.25	1.50
3.	Insured persons whose average daily wages are Rs. 3 and above but below Rs. 4.00.	1.75	2.12
4.	Insured persons whose average daily wages are Rs. 4 and above but below Rs. 6.00.	2.50	3.00
5.	Insured persons whose average daily wages are Rs. 6 and above but below Rs. 8.00.	3.50	4.25
6.	Insured persons whose average daily wages are Rs. 8 and above but below Rs. 12.00.	5.00	6.00
7.	Insured persons whose average daily wages are Rs. 12 and above but below Rs. 16.00.	7.00	8.44
8.	Insured persons whose average daily wages are Rs. 16 and above.	10.00	12.00

THE PAKISTAN CODE

Dated: 05.04.24



THE EMPLOYEES' OLD-AGE BENEFITS ACT, 1976



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SCHEDULE

THE EMPLOYEES' OLD-AGE BENEFITS ACT, 1976

¹ACT No. XIV OF 1976

[15th April, 1976]

An Act to repeal and re-enact the law relating of old-Age benefits for the persons employed in industrial, commercial and other organizations.

WHEREAS it is expedient to repeal and re-enact the law relating to old-age benefits for the persons employed in industrial, commercial and other organizations and matters connected herewith;

It is hereby enacted as follows:—

CHAPTER I

PRELIMINARY

1. Short title, extent, commencement and application.— (1) This Act may be called the Employees' Old-Age Benefits Act, 1976.

(2) It extends to the whole of Pakistan.

(3) It shall come into force at once.

²[(4) It applies to every industry or establishment—

- (i) wherein ³[five] or more persons are employed by the employer, directly or through any other person, whether on behalf of himself or any other person, or were so employed on any day during the preceding twelve months, and shall continue to apply to every such industry or establishment even if the number of persons employed therein is, at any time after this Act becomes applicable to it, reduced to less than ³[five]³[.]

³* * * * *

- ⁴[(ia) wherein less than ³[five] persons are employed if such industry or establishment voluntarily applies for application of this Act and this Act shall apply to such industry or establishment from the date of submission of an application by such industry or establishment; or]

- (ii) which the Federal Government may, by notification in the official Gazette, specify in this behalf.]

¹For Statement of Objects and Reasons, see Gaz., of P., 1976, Ext., Pt. III, p.146.

²Subs. by the Employees' Old-Age Benefits (Amdt.) Ordinance, 1983 (17 of 1983), s. 3, (w.e.f. 1-7-83).

³Subs. and Omitted by Finance Act I of 2008, s. 9 (w.e.f. 1-07-08).

⁴Ins. by ord. LIII of 2001 s.2.sch.

2. Definitions. In this Act, unless the context otherwise requires, —

¹[(a) ‘benefits’ mean old-age pension, invalidity pension ²[survivor’s] pension, old-age grant and such other payments as may be determined by the Federal Government from time to time;]

¹[(aa)] “Board” means the Board of Trustees constituted under section 7 ;

(b) “contribution” means the sum of money payable to the Institution by the employer ³[or by the Federal Government] in respect of an insured person under the provisions of the Act;

¹[(bb) “employee” means any person employed, whether directly or through any other person, for wages or otherwise, to do any skilled or unskilled, supervisory, clerical, manual or other work in, or in connection with the affairs of, an industry or establishment, under a contract of service or apprenticeship, whether written or oral express or implied, and includes such person when laid off ;] ⁴[:]

⁵* * * * *

Provided ⁶* that a director of a limited company or of a corporation set up under any law shall not be treated as an employee under this Act, irrespective of his wages or emoluments.] ;

⁷[(c) ‘employer’, in relation to an industry or establishment, means any person who employs, either directly or through any other person, any employee, and includes —

(i) in the case of an individual, an heir, successor, administrator or assign;

(ii) a person who has ultimate control over the affairs of an industry or establishment, or where the affairs an industry or establishment are entrusted to any other person (whether called a managing agent, managing director, manager, superintendent, secretary or by any other name), such other person; and

³* * * * *

(d) “employment injury” means a personal injury to an insured person caused by an accident, or by such occupational disease as may be specified in the regulations, arising out of and in the course of his employment;

¹Re-numbered and ins. by the Employees’ Old Age Benefits (Amdt.) Ordinance, 1983 (17 of 1983), s. 4 (w.e.f. 1-7-83).

²Subs. by Ord. 46 of 02, s. 2.

³Ins. and Omitted by the Finance Act, 1986 (1 of 1986), s. 11.

⁴Added, *ibid.*

⁵Proviso omitted by the Labour Laws (Amdt.) Act, 1994 (11 of 1994), s. 8 and fourth Sch.

⁶The word “further” omitted *ibid.*

⁷Subs. by Ord. 17 of 1983, s. 4, (w.e.f. 1-7-83).

- ¹[(e) “establishment” means-
- (i) an establishment to which the West Pakistan shops and Establishments Ordinance, 1969 (West Pakistan Ordinance No. VIII of 1969) for the time being applies, and, notwithstanding anything contained in section 5 thereof, includes clubs, hostels, organisations and messes not maintained for profit or gain and establishments, including hospitals, for the treatment or care of sick, infirm, destitute or mentally unfit persons;
 - (ii) a construction industry as defined in the West Pakistan Industrial and Commercial Employment (Standing Orders) Ordinance, 1968 (West Pakistan Ordinance No. VI of 1968);
 - (iii) a factory as defined in the Factories Act, 1934 (XXV of 1934);
 - (iv) a mine as defined in the Mines Act, 1923 (IV of 1923);
 - (v) a road transport service as defined in the Road Transport Workers Ordinance, 1961 (XXVIII of 1961) ; and includes any class of industries or establishments which the Federal Government may, by notification in the official Gazette, declare to be establishments for the purposes of this Act,];
- (f) “fund” means the Employees’ Old-Age Benefits Fund set up under section 17 ;
- (g) “industry” means any business, trade, undertaking, manufacture or calling of employers, and includes any calling, service, employment, handicraft industrial occupation or a vocation of workmen ;
- (h) “institution” means the Employees’ Old-Age Benefits Institution established or nominated under section 4 ¹[or section 5];
- (i) “insured person” means ²[an employee] who is or was in insurable employment;
- (j) “insurable employment” means employment of a person under a contract of service or apprenticeship, whether written or oral, express or implied and in respect of which contributions are payable under this Act;
- (k) “invalidity” means a condition, other than that caused by an employment injury, as a result of which an insured person is permanently incapacitated to such an extent as to be unable earn from his usual or other occupation more than one third of the normal rates of earning in his usual occupation ;
- (l) “member” means a member of the Board ;
- (m) “prescribed” means prescribed by rules ;
- (n) “regulations” means regulations made by the Board ;
- (o) “rules” means rules made under this Act;

¹Subs. and Added by the Employees’ Old Age Benefits (Amdt.) Ordinance, 1983 (17 of 1983), s. 4, (w.e.f. 1-7-83).

²Subs. by the Finance Act, 1986 (1 of 1986), s. 11.

(oa) ¹* * * * *

¹[(p) “wages” means the rates of wages as declared under the Minimum Wages for Unskilled Worker Ordinance, 1969 (W.P. Ordinance XX of 1969)]

²[(q) “year”, with respect to insurable employment, means a total of three hundred and sixty-five days for which contribution are payable, or, in the case of insured persons who are not paid for weekly holidays, a minimum of three hundred and twelve days.]

CHAPTER II

INSURED PERSONS

³[**3. Compulsory insurance.** All employees in an industry or establishment shall be insured in the manner prescribed by or under this Act.]

4. Administration.— (1) As soon as may be, after the commencement of this Act, the Federal Government shall establish or nominate by notification an Institution to be called the Employees’ Old-Age Benefits Institution.

(2) The Institution shall be a body corporate having perpetual succession and a common seal, with powers, subject to the provisions of this Act, to acquire, hold and dispose of property, both movable and immovable, and shall by the aforesaid name sue or be sued.

5. Nomination of a body corporate pending establishment of an institution.—(1) Notwithstanding anything contained in section 4, the Federal Government may, pending the establishment of an Institution, by notification in the official Gazette, nominate a body corporate to exercise and perform all the powers and functions of the Institution under this Act and appoint the head of such body corporate, by whatever name called, to be the ²[Chairman] of the Institution.

(2) The nomination of a body corporate under sub-section (1) shall be subject to such terms and conditions as the Federal Government may, from time to time, determine.

6. Management.—(1) The general direction and superintendence of the affairs of the Institution shall vest in a Board which may, with the assistance of the ²[Chairman] of the Institution, exercise all powers and do all acts and things which may be exercised or done by the Institution.

(2) In discharging its functions, the Institution shall be guided by such instructions on questions of policy as may be given to it from time to time, by the Federal Government, which shall be the sole judge as to whether any instructions are on a question of policy or not.

¹Omitted and subs. by Finance Act 7 of 05, s. 5.

²Subs. by the Employees’ Old Age Benefits (Amdt.) Ordinance, 1983 (17 of 1983), ss. 4-6, (w.e.f. 1-7-83).

³Subs. by the Finance Act, 1986 (1 of 1986), s. 11.

7. Board of Trustees. — (1) The Board of Trustees shall consist of the following members to be appointed by the Federal Government, by notification, namely:—

- (a) the Secretary or Additional Secretary in the Labour Division, who shall also be the ¹[President] of the Board of Trustees;
- (b) ²[two] persons to represent the Federal Government, one each from the Ministries of Finance, ^{2*} * and Labour;
- (c) four persons to represent the Provincial Governments, one to be nominated by each by the Provincial Government;
- (d) four persons to represent employers;
- (e) four persons to represent insured persons; and
- (f) ²[one] persons to represent the Institution.

(2) Members to be appointed under clauses (d) and (e) of sub-section (1) shall respectively be chosen from a list of names submitted in the prescribed manner by the organisations of employers and employees recognised by the Federal Government for that purpose:

Provided that, pending the making of rules in this behalf, the first members to be so appointed shall be chosen from such persons as the Federal Government may deem fit.

8. Powers and Functions of the Board of Trustees. In addition to the powers conferred on, and the functions entrusted to it by the other provisions of this Act or by the rules, the Board shall have powers—

- (a) to approve the budget estimates, the audited accounts and the annual report of the Institution for submission to the Federal Government in accordance with the provisions of this Act; ^{3*}
- (b) to call for any information or direct any research to be made for the furtherance of the objects of the Act ³[; and]
- ³[(c) to co-opt any other technical person by name as member on the Board for the specific purpose and such limited period as decided by the Board.]

⁴[8A. Appointment, powers and functions of Chairman. —(1) The Chairman of the Institution shall be appointed by the Federal Government for such term and on such terms and conditions as it may determine.

(2) The Chairman of the Institution shall exercise such powers and perform such functions as may be prescribed.]

¹Subs. by the Finance Act, 1986 (1 of 1986), s. 11.

²Subs. and Omitted by Finance Act VII of 05, s. 5.

³Omitted, subs. and added by Ord. 46 of 02, s. 3.

⁴Ins. by the Employees' Old Age Benefits (Amdt.) Ordinance, 1983 (17 of 1983), s. 7 (w.e.f. 1-7-83).

CHAPTER III

CONTRIBUTIONS

9. Rates and assessment. — (1) On and from the first day of July, 1976, contributions shall be payable every month by the employer to the Institution in respect of every person in his insurable employment, at the rate of ¹[five] percent of his wages in the prescribed manner ²[:]

³* * * * * * *

⁴[Provided ³ [*] that no contribution shall be payable in respect of an insured person who is in receipt of ⁵[old-age pension] under this Act or has attained the age of sixty years, or fifty-five years in the case of a woman ³[.]]

³* * * * * * *

(2) Where an insured person does not receive any wages from the employer for any period, the Institution shall, subject to regulations, determine the amount of wages with reference to which the contributions shall be computed.

(3) Notwithstanding any agreement to the contrary, the employer shall not deduct from the wages of an insured person or otherwise recover from him any portion of ⁵[employer's share of contribution].

³* * * * * * *

⁶**[9A. Contribution by Government.** The Federal Government may make such contribution to the Institution as it may determine from time to time.]

⁷**[9B. Contribution by insured person.** — On and from the 1st day of July, 2001 the contribution shall be payable every month by an insured person at the rate of ³[one per cent of the wages] in the prescribed manner.]

10. Records and returns by employers. Every employer shall keep such records and shall submit to the Institution such returns, at such times, in such form and containing such particulars relating to persons employed by him, as may be provided in regulations.

11. Registration of establishments, etc.— (1) Every employer shall, before the expiration of thirty days from the day on which this Act becomes applicable to the industry or establishment in respect of which he is the employer, communicate to the Institution the name and other prescribed particulars of the industry or establishment and of every insured person employed in the industry or establishment.

(2) Every insured person may also communicate his name and other prescribed particulars to the Institution.

(3) On receipt of a communication under sub-section (1) or sub-section (2), the Institution shall register the name of the industry or establishment or the insured person in such manner, and issue to the insured person a registration card in such form, as may be prescribed.

¹Subs. by Finance Act I of 08, s. 9 (w.e.f. 1-7-08).

²Subs. Employees' Old Age Benefits (Amdt.) Ordinance, 1983 (17 of 1983), s. 8 (w.e.f. 1-7-83).

³Omitted and Subs. by Finance Act VII of 05, s. 5.

⁴Subs. by the Finance Act, 1986. (1 of 1986), s. 11.

⁵Subs. by Ord. 46 of 02, s. 4.

⁶Subs. by the Finance Act, 1995, (I of 1995) s 8 for section 9A. which was previously ins. by Act I of 1986, s. 11.

⁷Ins. by Ord. 53 of 2001, s. 2 and Sch.

¹[**11A. Cancellation of registration of establishments, etc.** The Board may, on the basis of such evidence as the Board may find satisfactory for the purpose, cancel the registration of any establishment or industry which has ceased to exist:

Provided that the cancellation of the registration of an establishment or industry shall not affect its liabilities incurred before the date of such cancellation.]

12. Officials of Institution to check employer's books.—(1) Any official of the Institution, duly authorised by a certificate in a form specified in the regulations, may, for the purpose of inquiring into the correctness of any of the particulars stated in the records or returns referred to in section 10 or for the purpose of ascertaining whether any of the provisions of this Act have been compiled with—

- (a) require an employer to furnish to him such information as he may consider necessary; or
- (b) at any reasonable time, enter any establishment or other premises occupied by such employer and require any person found in charge thereof to produce and allow him to examine such accounts books and other documents relating to the employment of persons and payment of wages, or to furnish to him such information, as he may consider necessary; or
- (c) examine, with respect to any matter relevant to the purposes aforesaid, the employer, his agent or any other person found in such establishment or other premises, or any other person whom the said official has reasonable cause to believe to be or to have been an insured person ²[.]

2* * * * *

³[(2) The official referred to in sub-section (1) shall not demand production of account book and other documents referred to in clause (b) of sub-section (1) for a period of two years from the date of registration of the establishment or the 1st day of July, 2005, whichever is later, if the employer does not reduce the number of insured persons in respect of whom contribution are paid under section 9:

Provided that on expiry of two years' period, if the employer enhances the number of insured persons by at least ten percent, it shall be accepted without any question otherwise checking of record shall be done as provided in sub-section (1), by an officer not below the rank of Assistant Director, duly authorized in this behalf and no question shall be asked about the previous two years.]

(3) If an employer fails to maintain records or to submit returns as required by the regulations, or otherwise fails to comply with the provisions of sub-section (1) and thereby makes it difficult to ascertain the identity of persons required to be insured or the amount of contribution payable, the contribution shall be assessed on the basis of such evidence as the Institution may find satisfactory for this purpose ³[in the prescribed manner].

12A.³ * * * * *

¹Ins by the Finance Act, 1986 (1 of 1986) s.11.

²Subs. & Omitted by ord. 46 of 2002, s. 5.

³Subs. added and omitted by Finance Act VII of 05, s. 5

13. Increase of unpaid contribution and recovery of contribution etc., as arrears of land revenue. — (1) If any employer fails to pay, on the due date the contribution payable by him under sub-section (1) of section 9, the amount so payable by him shall be increased by such percentage or amount as may be prescribed :

Provided that in no case shall such increase exceed fifty per cent of the amount due.

(2) Without prejudice to any other remedy, the amount of contribution due, together with the increase provided for under sub-section (1), may be recovered as an arrears of land revenue.

¹[**14. Safeguard of insured person's right in default of payment of contributions by employer.** Notwithstanding anything contained in this Act, if an insured person has communicated his name and other prescribed particulars to the Institution under sub-section (2) of section 11 and has been issued by the Institution a registration card under sub-section (3) thereof and, in case of changing employment from one industry or establishment to another industry or establishment, has also informed the Institution about such change of employment, then, in the event of default in payment of contributions by the employer in respect of such insured person, such insured person shall have and enjoy the same rights under this Act as if no such default had occurred.]

15. Refund of contributions paid erroneously. An employer shall be entitled to the refund of any contribution paid to the Institution under erroneous belief that it was payable under the provisions of this Act, and shall be entitled to the refund of excess amount of the contribution where such contribution had been paid at a higher rate than the rate prescribed:

Provided that no contribution or excess amount of any contribution shall be refunded unless an application for such refund is made within six months of the date on which the contribution was paid.

16. Extinguishment of claims to contributions. Any claims of the Institution for unpaid contributions shall be extinguished in the manner provided in the regulations.

CHAPTER IV FINANCE AND AUDIT

17. Employees' Old-Age Benefits Fund.—(1) The Institution shall have its own fund, to be called the Employees' Old-Age Benefits Fund and may incur out of the Fund such expenditure as may be necessary for the purposes of this Act.

(2) All contributions paid under this Act and all other moneys received by or on behalf of the Institution shall be paid into the Fund.

(3) The Institution shall derive its revenues from the following sources—

- (a) contributions payable under this Act and the rules;
- (b) all other payments made by the employers under this Act and the regulations;
- (c) income from investment of the moneys of the Institution; and
- (d) donations and bequests for the purposes of this Act.

(4) The assets of the Institution shall be utilized solely for the purposes of this Act.

(5) The moneys of the Institution shall be deposited in such banks as may be approved by the Board for the purpose.

¹Subs. by the Employees' Old Age Benefits (Amdt.) Ordinance, 1983 (17 of 1983), s. 9 (w.e.f. 1783).

18. Investment and loans. — (1) Subject to rules, the Institution may, from time to time, invest any moneys which are not immediately required for expenses under this Act, and may reinvest or realise such investment.

(2) The Institution may, with the previous sanction of the Federal Government and on such terms as it may specify, raise loans and take measures for discharging such loans.

19. Budget, accounts and audit.—(1) The Institution shall draw up annually a budget showing the anticipated receipts and expenditure during the following year and shall submit it to the Board for the approval of the Federal Government.

(2) The Institution shall maintain accounts of its income and expenditure in such form and manner as may be prescribed.

(3) The books of account of the Institution shall be balanced on the thirtieth of June each year and its accounts shall be audited by auditors approved by the Federal Government at such time and in such manner as may be prescribed.

(4) The auditors shall at all reasonable times have access to the books of accounts and other documents of the Institution and may, for the purposes of the audit call for such explanation and information as they may require and may examine any principal or other officer of the Institution.

(5) The auditors shall forward to the Federal Government their report together with an audited copy of the accounts of the Institution.

20. Annual Report. The Institution shall submit to the Federal Government an annual report of its work and activities.

¹[**21.** The Institution shall, at intervals of not more than three years, have an actuarial valuation made in the prescribed manner of its assets and liabilities and no change in rate of contribution or benefit under this Act shall be made without proper actuarial valuation.]

CHAPTER V

BENEFITS

22. ²[Old-age pension].—²[(1)An insured person shall be entitled to a monthly old-age pension at the rate specified in the Schedule:

Provided that—

- (a) he is over ³[sixty] years of age, or ³[fifty-five] years in the case of a women; and

¹Subs. by Ord. 46 of 02, s. 7.

²Subs. by the Employees' Old-Age Benefits (Amdt) Ordinance, 1983 (17 of 1983). ss. 2 & 10, (w.e.f. 1-7-83),

³Subs. by the Finance Act, 1986 (I of 1986), s. 11.

(b) contribution in respect of him were ¹[paid] for not less than fifteen years ²[:]

³[Provided further that the age specified in clause (a) will be reduced by five years in the case of an insured person employed in the occupation of mining for at least ten years immediately preceding retirement ¹[:]]

¹[Provided also that where the employee was insured under the provisions of this Act on or before 30th June 2002, and contributions payable under the Act by the employer prior to 30th June, 2002, in respect of said insured person had not been paid, the insured person shall enjoy the rights under this Act as if for the word “payable” the word “paid” were not substituted:

Provided further that where the contribution under section 9B is paid regularly by the insured person himself in accordance with prescribed procedure, his entitlement, to the benefit shall not be affected by default in payment of employer’s share of contribution under section 9.]

(2) If an insured person was on the first day of July, 1976 or is on any day thereafter on which this Act becomes applicable to an industry or establishment,—

- (i) over forty years of age, or thirty-five years in the case of a woman, clause (b) of sub-section (1) shall have effect as if for the word “fifteen” therein the word “seven” were substituted; or
- (ii) over forty-five years of age, or forty years in the case of a woman, clause (b) of sub-section (1) shall have effect as if for the word “fifteen” therein the word “five” were substituted ⁴[:]

⁴[Provided that nothing in this section shall apply to an employee insured under this Act on or after 1st day of July, 2008.]

³[(2A) Notwithstanding anything contained in sub-section (1), an insured person—

- (a) who was insured under the provisions of this Act on or before the 30th June, 1986, and will attain the age of fifty-five years (fifty years in the case of a woman) on or before the 30th June, 1991, and
- (b) in respect of whom contributions were payable to the Institution for the period required under the provisions of this Act,

shall be entitled to old-age pension at the age of fifty-five year (fifty years in the case of a woman).

(2B) An insured person already in receipt of an old-age or invalidity pension, or entitled to an old-age pension under the provisions of sub-section (2A), shall be entitled to a minimum pension at the rate specified in the Schedule.

¹Subs. and added by Ord. 46 of 02, s. 8.

²Subs. by the Finance Act, 1986 (I of 1986), s. 11.

³Added and Ins., *ibid*.

⁴Subs. and added by Finance Act, 2008 (I of 08), s. 9 (w.e.f. 1-07-08).

(2C) An insured person who retires from insurable employment before attaining the age of sixty years (fifty-five years in the case of a woman) but after attaining the age of fifty-five years (fifty years in the case of a woman) shall be entitled to a reduced old-age pension on fulfilling the following conditions, namely:—

- (a) the Institution is satisfied through documentary evidence that the employer has a definite established retirement age of less than sixty years (fifty-five years in the case of a woman);
- (b) the employer certifies that the insured person has been retired by him on attaining the age of superannuation; and
- (c) the contributions in respect of him were ¹[paid] for the period required under the provisions of this Act.

(2D) The old age pension shall be reduced by one-half per cent of the old-age pension specified in the Schedule for each completed month by which the age falls short of sixty years (fifty-five years in the case of a woman) and the minimum old age pension shall also be reduced in the aforesaid manner in the case of retirement from insurable employment before attaining the age of sixty years (fifty-five years in the case of a woman).

(2E) The reduction in old-age pension specified in sub-section (2D) shall be for life and shall not be restored on the insured person's attaining the normal pension age.]

(3) Subject to regulations, the ²[old-age pension] shall commence as from the month following that in which the insured person satisfies the condition for entitlement thereto, provided that no allowance shall be payable retroactively for more than six months preceding the month in which an application for ²[old-age pension] is submitted.

(4) Insurable employment of a person for the purposes of this Act shall commence on the date from which the first contribution in respect of him becomes payable.

(5) The ²[old-age pension] payable to an insured person shall be terminated at the end of the month in which the death of such person occurs.

³* * * * *

⁴**[22A. Old-age grant.** If an insured person, not otherwise entitled to old-age pension, retires from insurable employment after attaining the age of sixty years, or fifty-five years in the case of a woman and a mine workers, and contributions in respect of him were ¹[paid] for less than fifteen years, but not less ⁵[than two] years, he shall be entitled to an old-age grant ¹[paid] in a lump sum equal to his one month's average monthly wages for every completed year of insurable employment or part thereof in excess of six months ¹[:]

¹Subs. by Ord. 46 of 02, ss. 8 and 9.

²Subs by Employees' Old-Age Benefits (Amdt) Ordinance. 1983 (17 of 1983), s. 2. (w.e.f. 1-7-83).

³Omitted by the Finance Act, 1986 (I of 1986), s. 11.

⁴Subs. *ibid*.

⁵Subs. by the Labour Laws (Amdt.) Act 1994. (11 of 1994), Sr. no.8 of Sch., for "than five".

¹[Provided that where the employee was insured under the provisions of this Act on or before 30th June, 2002, and contributions payable under the Act by the employer prior to 30th June, 2002, in respect of said insured person had not been paid, the insured person shall enjoy the rights under this Act as if for the word “payable” the word “paid” were not substituted:

Provided further that where the contribution under section 9B is paid regularly by the insured person himself in accordance with prescribed procedure, his entitlement to the benefit shall not be affected by default in payment of employer’s share of contribution under section 9.]

22B. Survivors’ pension. —(1) In the case of the death of an insured person while in insurable employment but after he had completed not less than thirty six months insurable employment, the surviving spouse, if any, shall be entitled to a life pension ²[at the rate specified in the Schedule.]

³[(1A) In the case of the death of an insured person, while not in insurable employment but after he had completed five years insurable employment, the surviving spouse, if any, shall be entitled to a life pension ²[at the rate specified in the Schedule.]]

(2) In the case of the death of an insured person who had become entitled to old-age pension ⁴[or invalidity pension], before his death, the surviving spouse shall, if the spouse had married the deceased person before he had attained the minimum age prescribed for old-age pension ⁴[or invalidity pension], receive a life pension ⁵[equal to] the pension of such person.

⁶[(3) In the case of death of the surviving spouse in receipt of survivor’s pension, the minor children of the deceased insured person, if any, shall be entitled to the survivors; pension, in the following equal shares, namely :

- (i) in case of a male child, until he attains eighteen years of age, and
- (ii) in case of a female child, until she attains eighteen years of age or until marriage, whichever is earlier.

(3A) In the case of cessation of survivor’s pension of any of the children of the deceased insured person on his attaining the age of eighteen years or marriage in case of female, or death, as the case may be the share of survivor’s pension received by such child shall be distributed equally among the rest of the minor children of the deceased insured person.

¹added by Ord. 46 of 02, s.9.

²Subs. by Finance Act IV of 07, s. 12 (w.e.f. 1-7-07)

³New sub-section (1A) ins. by the Labour Laws (Amdt.) Act 1994, (II of 1994) s. 8 and Sch.

⁴The certain words ins. *ibid.*

⁵Subs. *ibid.*, for “of sixty per cent of”.

⁶Subs. *ibid.*, for sub-section (3).

(3B) In the case of death of the surviving spouse in receipt of a survivor's pension within five years after the death of the insured person and not survived by any minor child of the deceased insured person, the survivor's pension shall be paid to the surviving parents of the deceased insured person, if any, for a period of five years from the death of the said spouse.].

¹[(4) In the case of death of an insured person who is not survived by a spouse, the survivors' pension shall be paid to the minor children of the deceased insured person referred to in sub-section (3) and sub-section (3A), and in the case of the insured person not surviving by any minor child, the survivor's pension shall be paid to the surviving parents of the deceased insured person, if any, for a period of five years from the death of the insured person.]]

23. ² [Invalidity pension]. —(1) An insured person who sustains invalidity shall be entitled to ²[invalidity pension] at the rate ³[to be calculated according to the formula set out in the schedule] provided that—

- (a) contribution in respect of him were ⁴[paid] for not less than fifteen years ; or
- (b) contributions in respect of him were ⁴[paid] for not less than five years since his entry into insurable employment and for not less than three years during the period of five years preceding the month in which he sustains invalidity ; and
- (c) in either case, he is under ⁵[sixty] years of age, or ⁵[fifty-five] years in the case of woman ⁴[:]

⁴[Provided that where the employee was insured under the provision of this Act on or before 30th June 2002, and the contribution payable under the Act by the employer prior to 30th June 2002, in respect of said insured person had not been paid, the insured person shall enjoy the rights under this Act as if for the word “payable” the word “paid” were not substituted in clause (a) and (b):

Provided further that where the contribution under section 9B is paid regularly by the insured person himself in accordance with prescribed procedure, his entitlement to the benefit shall not be affected by default in payment of employer's share of contribution under section 9.]

(2) Subject to regulations the ²[invalidity pension] shall be payable from the month following that in which the insured person satisfies the conditions for entitlement thereto :

Provided that the ²[invalidity pension] shall not be ⁴[paid] retroactively for more than six months preceding the month in which an application for the ²[invalidity pension] is submitted.

¹Subs. sub-section (4) by the Labour Laws (Amdt.) Act 1994, (II of 1994) s. 8 and Sch.

²Subs. by the Employees' Old-Age Benefits (Amdt.) Ordinance, 1983 (17 of 1983), s. 2 (w.e.f. 1-7-83).

³Subs. *ibid.*, s. 12 (w.e.f. 1-7-83).

⁴Subs. and added by Ord. 46 of 02, s.10.

⁵Subs. by the Finance Act, 1986 (1 of 1986) s. 11.

(3) The ¹[invalidity pension] shall be ²[paid] so long as invalidity continues:

Provided that an insured person who has been in receipt of the ¹[invalidity pension] for not less than five continuous years or attains the age specified in clause (a) of sub-section (1) of section 22 shall be entitled to the ¹[invalidity pension] for life.

CHAPTER VI

PROVISIONS COMMON TO ALL BENEFITS

24. Calculation of qualifying contribution periods. In calculating the contribution periods for entitlement to a benefit under this Act, periods in respect of which ¹[invalidity pension] has been paid to an insured person prior to his reaching the age of ³[sixty] years, or ³[fifty-five] years in the case of woman, or periods in respect of which maternity benefit, or sickness benefit or injury benefit or total disablement pension have been paid under the West Pakistan Employees' Social Security Ordinance, 1965(W.P. Ordinance No. X of 1965), to an insured person shall be deemed to be contribution periods to such extent as may be provided by regulations.

25. Benefit claims and payments.—(1) All claims for an allowance under this Act shall be made in writing and shall be accompanied by such documents, information and evidence as to entitlement as may be provided, by regulations.

(2) Payment of an allowance shall be made in such manner, and at such times and places, as may be provided by regulations.

26. Extinguishment of benefits. A right to the ¹[any benefit] shall stand extinguished where a claim therefor is not made within twelve months of the date on which the allowance becomes payable ⁴[:]

⁴[Provided that the Institution may condone the delay and admit the claim if it is satisfied that the delay was caused for reasons, beyond the control of the insured person or the ³[survivor].]

¹[**27. Suspension of old-age pension and ³[survivor's pension].** Subject to regulations, payment of old-age pension and ³[survivor's pension] shall be suspended when and so long as the insured person or the ³[survivor] entitled to it is absent from Pakistan, except where the regulations provide otherwise.]

28. Non-duplication of allowance.—(1) An insured person shall not be paid for the same period more than one of the ¹[benefit] provided for in this Act.

(2) Where an insured person is entitled to more than one allowance under this Act, he shall be given the higher of such ¹[benefit].

¹Subs. by the Employees' Old-Age Benefits (Amdt.) Ordinance, 1983 (17 of 1983), ss. 2, 13 and 14 (w.e.f. 1-7-83).

²Subs. by Ord. 46 of 2002, s.10.

³Subs. by the Finance Act, 1986 (1 of 1986) s. 11.

⁴Subs. and added by the Employees' Old-Age Benefits (Amdt.) Ordinance. 1983 (17 of 1983), s. 13 (w.e.f. 1-7-83).

(3) Where an insured person is entitled to an allowance under this Act and to a disablement pension under the West Pakistan Employees' Social Security Ordinance, 1965(W.P. Ordinance No. X of 1965) he shall be given the higher of the two.

(4) The ¹[invalidity pension] shall not be payable to an insured person so long as he receives the sickness benefit under the West Pakistan Employees' Social Security Ordinance, 1965(W.P. Ordinance No. X of 1965).

29. ¹[Benefit] not attachable, chargeable or assignable. An allowance payable under this Act shall not be liable to attachment in the execution of a decree, nor shall it be chargeable or assignable; and any agreement to charge or assign an allowance shall be void, and on the bankruptcy of an insured person, the allowance payable to him shall not pass to any trustee or person acting on behalf of his creditors.

30. Repayment of allowance improperly received.—(1) When a person has received any allowance under this Act to which he is not lawfully entitled, he shall be liable to repay to the Institution the amount of the allowance in such manner as may be provided by regulations :

Provided that the Institution may waive repayment of an allowance where payment thereof was not due to misrepresentation on the part of the insured person receiving it and the repayment would cause undue hardship to him.

(2) Sums due to the Institution by virtue of the foregoing sub-section may be recovered by deduction from an allowance payable under this Act.

31. Institution's right to be indemnified in certain cases. Where the contingency for which an allowance is payable under this Act was caused under circumstances creating a legal liability in some person, the Institution shall be entitled to substitute itself for the insured person in bringing a suit for damages against that person.

32. Recovery of amounts due. Any amount recoverable under this Chapter may be recovered as an arrear of land revenue.

CHAPTER VII

DETERMINATION OF QUESTIONS AND CLAIMS

33. Decisions on complaints, questions and disputes. If any complaint is received or any question or dispute arises as to—

- (a) whether a person is an insured person within the meaning of this Act;
- (b) the amount of wages of an insured person for the purposes of this Act;
- (c) the amount of contribution payable by an employer in respect of an insured person;
- (d) the person who is the employer in respect of an insured person;
- ²[(e) entitlement to any benefit under this Act or as to the amount and duration thereof;]

¹Subs. by the Employees' Old-Age Benefits (Amdt.) Ordinance, 1983 (17 of 1983), s. 2 (w.e.f. 1-7-83).

²Subs, *ibid.* s.15 (w.e.f. 1-7-83), for "Clause (e)".

¹[(ee) registration of an industry or establishment; or]

- (f) any other matter in respect of any contribution or any allowance referred to in clause (e), or dues payable or recoverable under this Act relating to contributions Or the aforesaid ²[benefit]

the matter shall be decided by the Institution, in such manner, and within such time, as the regulations may provide and the Institution shall notify its decision to the person concerned in writing, stating therein the reason for its decision.

34. Review of decisions. The Institution may, subject to regulations, on new facts being brought to its notice, review a decision given by it under section 33:

Provided that no decision shall be so reviewed without giving the person concerned an opportunity of being heard and adducing evidence in support of, or against, the decision, as the case may be.

35. Appeal to Board. Subject to rules, a person aggrieved by a decision of the Institution under section 33 or on a review under section 34, may appeal to the Board.

36. Assessment of invalidity. The Institution shall appoint medical boards which shall, in such manner as may be provided by regulations, assess the degree of invalidity sustained by an insured person.

CHAPTER VIII

OFFENCES AND PENALTIES

37. Offences. If any person—

- (a) for the purpose of obtaining an allowance or denial of any payment or allowance, under this Act, whether for himself or some other person, or for the purpose of avoiding any payment to be made by himself or any other person under this Act—
 - (i) knowingly makes or causes to be made false statement or false representation ; or
 - (ii) produces or furnishes, or causes or knowingly allows to be produced or furnished, any document or information which he knows to be false in any material particular; or
- (b) fails to pay any contribution which under this Act he is liable to pay; or

¹Ins. by the Employees' Old-Age Benefits (Amdt.) Ordinance. 1983 (17 of 1983), s. 15, (w.e.f. 1-7-83).

²Subs. *ibid.*, s. 2, (w.e.f. 1-7-83).

- (c) recovers or attempts to recover from an insured person, or deducts or attempts to deduct from his wages the whole or any part of the ¹[employers share of contribution]; or
- (d) fails or refuses to submit any return required by this Act, or regulations or makes a false return; or
- (e) obstructs any official of the Institution in the discharge of his duties; or
- (f) is guilty of any contravention of, or non-compliance with, any of the provisions of this Act or the rules or the regulations;

he shall be punished with imprisonment for a term which may extent to two years, or with fine which may extent to ten thousand rupees, or with both.

38. Prosecution. (1) No prosecution under this Act shall be instituted except with the previous sanction of the Federal Government or any officer or authority authorised in this behalf by it.

(2) No court inferior to that of a Magistrate of the first class shall try any offence under this Act.

(3) No court shall take cognizance of any offence under this Act except on a complaint made in writing within six months of the date on which the offence comes to the knowledge of the Federal Government or an officer or authority referred to in sub-section (1).

CHAPTER IX

MISCELLANEOUS

39. Contributions, etc. In any proceedings of insolvency against a person or proceedings for winding up of a company, any contribution or other amount payable under this Act by such person or company shall be deemed to be included among debts to be paid in priority to all other debts.

40. Exemption from stamp duty. Stamp duty shall not be chargeable upon any documents used in connection with ²[benefit] payable under this Act.

41. Exemption from taxes. Notwithstanding anything contained in any other law, the Federal Government may, by order in writing, exempt the Institution from any tax, duty, or rate leviable by the Federal Government or by a local authority under the control of the Federal Government.

42. Member and servants of the Institution to be public servants. The members and employees of the Board and all officers and servants of the Institution shall be deemed to be public servants within the meaning of section 21 of the Pakistan Penal Code (Act XLV of 1860).

¹ Subs. by Ord. 46 of 2002, s.11.

² Subs. by the Employees' OldAge Benefits (Amdt.) Ordinance, 1983 (17 of 1983). s. 2 (w.e.f. 1783).

43. Delegation of powers. The Board may direct that all or any of its powers and functions may, in relation to such matters and subject to such conditions, if any, as may be specified, be also exercisable by any, officer or authority subordinate to the Institution.

44. Power to make rules.—(1) The Federal Government may, subject to the condition of previous publication, by notification in the official Gazette, make rules ¹to carry out the purposes of this Act.

(2) In particular, and without prejudice to the generality of the foregoing power, such rules may provide for all or any of the following matters, namely:—

- (i) the tenure of office of members of the Board, other than the ²[President], and other terms and conditions of appointment of the members of the Board and the manner in which the Board shall conduct its business, including the number of members required to form a quorum at the meetings thereof;
- (ii) the manner in which names of persons from whom member of the Board may be appointed shall be submitted by organisations of employers and employees recognised by the Federal Government for that purpose;
- (iii) powers and functions of the Board;
- (iv) fees and ³[a benefit] of the members of the Board;
- (v) times and rates at which, and conditions subject to which, contributions shall be payable;
- (vi) percentage or amount by which contributions in arrears may be increased under section 13;
- (vii) investment of surplus moneys, realisation of investments and reinvestment of proceeds;
- (viii) terms at which and the manner in which the budget of the Institution shall be prepared and submitted to the Federal Government;
- (ix) the forms and manner in which the Institution shall keep accounts of its income and expenditure and of its assets and liabilities;
- (x) the times at which, and the manner in which, the accounts of the Institution shall be audited;

¹For the Employees' Old-Age Benefit (Contributions) Rules, 1976, see S.R.O. No. 802(I)/76, dated 9-8-1976, vide Gaz., of P., 1976, Ext. (Islamabad) Pt. II, page 1642. For the Employees' Old-Age Benefits (Registration of Employees and Insured Persons) Rules, 1976, see S.R.O. No. 709(I)/76 dated 12-7-76, *ibid.*, page 1427; and for Employee's Old-Age Benefits (Board of Trustees) Rules, 1977, see S.R.O. No. 438(I)/77, dated 12-5-77. *ibid.*, Pages 849—853 ; and for the Employees' Old-Age Benefits (Audit and Accounts) Rules, 1977, see S.R.O. No. 349(I)/77, dated 19-3-77. *ibid.*

²Subs. by Ord. 46 of 02, s. 12.

³Subs. by the Employees' OldAge Benefits (Amdt.) Ordinance, 1983 (17 of 1983). s. 2 (*w.e.f.* 1783).

- (xi) the matters which the annual report of Institution shall cover;
- (xii) the times in which claims for an allowance shall be made;
- (xiii) the manner and procedure for disposal of appeals by the Board; and
- (xiv) any other matter which is required to be or may be prescribed.

45. Power to make regulations.—(1) The Board may subject to the condition of previous publication, by notification in the official Gazette, make regulations not inconsistent with the provision of this Act or the rules.

(2) In particular, and without prejudice to the generality of the foregoing power, such regulation may provide for all or any of the following matters, namely:—

- (i) the time and places at which meetings of the Board shall be held;
 - (ii) the manner in which daily wages shall be calculated for the purpose of determining the contribution payable;
 - (iii) determination of wages for computation of contributions where the mode of payment of remuneration, in cash or kind, makes such computation difficult;
 - (iv) records to be kept and returns to be submitted by employers, time at which and the form in which such returns are to be submitted, and particulars relating to be insured persons to be stated in such returns and the manner and form for registration of employers and insured persons;
 - (v) the manner in which any claims of the Institution for unpaid contributions may be extinguished;
 - (vi) powers and duties of internal auditors;
- 1* * * * * * *
- (viii) the form and manner in which claims for an allowance shall be preferred, and the documents, information and evidence which shall accompany such claims;
 - (ix) the manner in which and the time and places at which payment in respect of an allowance shall be made;
 - (x) the manner in which and the time within which complaints questions and disputes shall be decided;
 - (xi) circumstances and the manner in which, on new facts coming to light, the Institution may review decisions;
 - (xii) the method of payment of contributions and liability thereof;

¹Omitted by the Finance Act. 1986 (1of 1986) s. 11.

- (xiii) the manner in which invalidity shall be assessed and the procedure thereof;
- (xiv) the manner in which proof of age shall be furnished for the purposes of this Act;
- (xv) the manner in which the services of the Institution shall be organised; and
- (xvi) any other matter not provided for in this Act or the rules and necessary to give effect to the provisions of this Act.

46. Power to exempt. The Federal Government may, subject to such conditions as it thinks fit to impose, by notification in the official Gazette, exempt any establishment or industry from all or any of the provisions of this Act.

47. Act not to apply to certain persons. Nothing in this Act shall apply to—

- (a) persons in the service of the State, including members of the armed forces, police force and Railway servants;
- (b) persons in the service of a local council, a municipal committee, a cantonment board or any other local authority;
- (c) persons who are employed in services or installations connected with or incidental to the Armed Forces of Pakistan including an ordnance factory maintained by the Federal Government or Railway administration;
- (c) persons in the service of Water and Power Development Authority;
- ¹* * * * *
- (f) persons in the service of statutory bodies other than those employed in or in connection with the affairs of a factory ²[as defined in] section 20 (j) of the Factories Act, 1934 (XXV of 1934) ²[or a mine as defined in the] Mines Act (IV of 1923), 1923:

Provided that workshops maintained exclusively for the purposes of repair or maintenance of equipment or vehicles used in such statutory bodies shall not be treated as factories for the purposes of this clause;

- (g) members of the employer's family ²[that is to say, the husband or wife and dependent children of the employer.] living in his house, in respect of their work for him; and

³* * * * *

48. [Repeal.] *Omitted by the Federal Laws (Revision and Declaration) Ordinance, 1981 (XXV/I of 1981), s. 3 and Sch., II.*

¹Omitted by Finance Act I of 08, s.9 (w.e.f. 1-7-08).

²Subs. & Ins. by the Employee's Old-Age Benefits (Amdt.) Ordinance 1983 (17 of 1983), s. 16.

³Omitted by the Finance Act, 1986 (I of 1986), s. 11.

¹[SCHEDULE

(See sections 22 ²[22-B] and 23)

(1) The monthly rate of old-age pension or invalidity pension payable to an insured person ²[and survivors's pension payable to surviving spouse] shall be calculated in accordance with the following formula, namely:—

²* monthly wages x Number of years of insurable employment.

A period of six months or more of insurable employment shall be treated as one full year. No account shall be taken of any period of insurable employment completed by the insured person after becoming entitled to old-age pension.

³[(2) The monthly wages of an insured person, referred to in paragraph (1), shall be calculated on the basis of wages on which contributions were paid in respect of the twelve calendar months immediately preceding the date on which the insured person fulfils the conditions for entitlement to any benefits under this Act:

Provided that the old-age pension or invalidity pension payable to an insured person and survivor's pension payable to the survivors of the deceased insured person shall not be less than two thousands rupees per month for pension commencing on or after 1st day of July, 2008.]

²[(3) The monthly rate of old-age pension, invalidity pension and survivors pension being paid on or before first day of July, ³[2008], under paragraph (1) shall be increased by fifteen per cent.]]

¹Sch. added by Ordinance, 17 of 1983, s. 17 have been subs. by Act I of 1986, s. 11.

²Added, ins. & omitted by Finance Act IV of 07, s. 12 (w.e.f. 1-7-07).

³Subs. by Finance Act I of 08, s. 9 (w.e.f. 1-7-08).



THE EMPLOYEES COST OF LIVING (RELIEF) ACT, 1974



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THE EMPLOYEES COST OF LIVING (RELIEF) ACT, 1974.

¹ACT NO. I OF 1974

[31st December, 1973]

An Act to provide for payment of a cost of living allowance to employees.

WHEREAS it is expedient to provide for payment of a cost of living allowance to employees and for matters ancillary thereto;

It is hereby enacted as follows:—

1. Short title, extent and commencement.—(1) This Act may be called the (Relief) Act, 1973.

(2) It shall come into force at once.

(3) It extends to the whole of Pakistan.

2. Definitions. In this Act, unless there is anything repugnant in the subject or context,—

- (a) “cost of living allowance” means ²[an amount] payable under the provisions of this Act;
- (b) “employee” means any person employed, whether directly or through any other person, for wages, to do any skilled or unskilled, intellectual, technical, clerical, manual or other work in, or in connection with the affairs of, an undertaking, under any contract of service or apprenticeship, whether written or oral, express or implied, and includes such a person when laid off, but does not include ³*
* a person for whom a provision has been, or may be, made by the Federal Government or a Provincial Government for grant of an allowance intended to provide relief due to a rise in the cost of living;
- (c) “employer”, in relation to an undertaking, means any person who employs, either directly or through any other person, whether on behalf of himself or any other person, any employee, and includes—
 - (i) a body or persons, whether incorporated or not;

¹ For Statement of Objects and Reasons, see Gaz. of P., 1973, Pt. III, p. 1883.

The Act has been applied to the Provincially Administered Tribunal Areas of the N.W.F.P., 1974, Ext., p. 199-a

This Act has been applied to the Provincially Administered Tribunal Areas of Baluchistan by Notification No. SO (TA) 3/30/73, dated 25th September, 1974, see Gaz. of Baluchistan Extraordinary issue No. 71 of 1974.

² Subs. by the Employees Cost of Living (Relief) (Amdt.) Act, 1974 (47 of 1974), s. 2, for “the amount”

³ The words “a person employed on wages equal to, or exceeding one thousand and one hundred rupees per month, or” omitted by the Employees’ Cost of Living (Relief) (Amdt.) Act, 1975 (61 of 1975), s. 2. The words in crochets were subs. by Act, 47 of 1974, s. 2 for “seven hundred and thirty-five”.

- (ii) a person who has ultimate control over the affairs of an undertaking, including the owner of the undertaking, or where the affairs of any undertaking are entrusted to any other person (whether called a managing agent, director, manager, agent, superintendent, secretary, representative of the owner or by any other name), such other person, or in any other case, any person responsible to the owner for supervision and control of an employee or for payment of his wages; and
 - (iii) an heir, successor, administrator or assign, as the case may be, of such person or association of persons;
- (d) “undertaking” means—
- (i) an establishment to which the West Pakistan Shops and Establishments Ordinance, 1969 (WP Ord. VIII of 1969.), for the time being applies, and, notwithstanding anything contained in section 5 thereof, includes clubs, hostels and messes not maintained for profit or gain and establishments for the treatment or care of the sick, infirm, and destitute or mentally unfit persons;
 - (ii) a construction industry to which the West Pakistan Industrial and Commercial Employment (Standing Orders) Ordinance, 1968 (W.P. Ord. VI of 1968.), for the time being applies;
 - (iii) a factory as defined in the Factories Act, 1934 (XXV of 1934).
 - (iv) a mine as defined in the Mines Act, 1923 (IV of 1923.);
 - (v) a road transport service as defined in the Road Transport Workers Ordinance, 1961 (XXVIII of 1961).
 - (vi) a newspaper establishment as defined in the Newspaper Employees (Conditions of Service) Act, 1973 (LVIII of 1973); and

includes any class of establishments which the Federal Government may, by notification in the official Gazette, declare to be undertakings for the purposes of this Act;

- (e) “wages” means remuneration for services¹ * * * payable in cash to an employee without taking account of deductions for any purpose, under a contract of service or apprenticeship, written, oral, express or implied, and includes any dearness allowance or other addition in respect of the cost of living payable or paid for the period preceding the first day of August, 1973, and any payment by the employer to an employee in respect of any period of authorised leave, but does not include—

¹ The words “, other than cost of living allowance,” omitted by the Employees’ Cost of Living (Relief) (Amdt.) Act, 1977 (26 of 1977), s. 2, (w.e.f. 1-5-77).

- (i) any payment for overtime, or
- (ii) any sum paid to an employee to defray special expenses entailed by the nature of his employment; or
- (iii) any gratuity payable on discharge; or
- (iv) any sum paid as bouns, house rent, conveyance allowance, travelling allowance or any other allowance.

¹[3. **Cost of living allowance.**—(1)] Every employee ²[whose wages do not exceed seven hundred and thirty-five rupees] shall, in respect of his employment on or after the first day of August, 1973, whether on time-work or piece-work basis, be paid by his employer a cost of living allowance—

- (a) equal to thirty-five rupees per month, if his wages do not exceed seven hundred rupees; or
- (b) at such rate as, together with his wages, makes a total of seven hundred and thirty-five rupees per month, if his wages are more than seven hundred rupees.

Explanation.—In this section, “month” means a normal working period of twenty-six days, calculated at the rate of forty-eight hours of work per week.

³[(2) In addition to the cost of living allowance admissible under sub-section (1), if any, every employee ⁴[whose wages do not exceed one thousand and one hundred rupees] shall, in respect of his employment, on or after the eighth day of June, 1974, whether on time-work or piece-work basis, be paid by his employer a cost of living allowance,—

- (a) equal to fifty rupees per month or ten per cent of his monthly wages, whichever is more, if his wages do not exceed one thousand rupees; or
- (b) at such rate as, together with his wages, makes a total of one thousand and one hundred rupees per month, if his wages exceed one thousand rupees ⁵[but are less than one thousand and one hundred rupees].

⁶[(3) In addition to the cost of living allowance admissible under sub-section (1) or, as the case may be, sub-section (2), if any, every employee shall in respect of his employment, on or after the seventh day of April, 1975, whether on time-work or piecework basis, be paid by his employer a cost of living allowance equal to twenty-five rupees per month.].

¹ Re-numbered as sub-section (1) of that section by the Employees' Cost of Living (Relief) (Amdt.) Act, 1974 (47 of 1974), s. 3.

² Ins. ibid.,

³ New Sub-section (2) ins. ibid.,

⁴ Ins. by the Employee's Cost of Living (Relief) (Amdt.) Act, 1975 (61 of 1975), s. 3.

⁵ Ins. by the Employees' Cost of Living (Relief) (Amd.) Act, 1975 (61 of 1975), s. 3. 6 New sub-section (3) added ibid.,

⁶ New sub-section (3) added ibid.,

¹[(4) In addition to the cost of living allowance admissible under sub-section (1) and (2) or, as the case may be sub-section (3), if any, every employee whose wages do not exceed one thousand and five hundred rupees shall, in respect of his employment on or after the first day of July, 1980, whether on time-work or piecework basis, be paid by his employer a cost of living allowance equal to forty rupees per month:

Provided that the said cost of living allowance shall be set off—

- (a) against the amount payable under an agreement or settlement reached, or an award given, under the Industrial Relations Ordinance, 1969 (XXIII of 1969), which has been announced and become effective on or after the first day of January, 1980 or which is announced and becomes effective within a period of one year of the commencement of the Employees Cost of Living (Relief) (Amendment) Ordinance, 1980; and
- (b) against the amount payable under an award given under the Newspaper Employees (Conditions of Service) Act, 1973 (LVIII of 1973), which becomes effective from the fifteenth day of April, 1980.]

²[(5) In addition to the cost of living allowance admissible under sub-sections (1), (2) and (3) or, as the case may be, subsection (4), if any, every employee whose wages do not exceed one thousand five hundred rupees shall, in respect of his employment on or after the first day of July, 1981 whether on time-work or piece-work basis, be paid by his employer a “cost of living allowance equal to forty rupees per month:

Provided that the said cost of living allowance shall be set off—

- (a) against the amount payable as a relief due to rise in the cost of living under an agreement or settlement reached, or an award given, under the Industrial Relations Ordinance, 1969 (XXIII of 1969), which has been announced and become effective on or after the first day of January, 1981, or which is announced and becomes effective within a period of one year of the commencement of the Employees' Cost of Living (Relief) (Amendment) Ordinance, 1981; and
- (b) against the amount payable under an agreement or settlement reached and in force on the first day of July, 1981, under which employees get increases at regular intervals on the basis of a rise in the cost of living [.] 2

3 * * * * *

Explanation.—For the purposes of this sub-section ¹[subsection (6) and sub-section (7)] any increase in wages accruing by virtue of the usual annual increment or promotion to a higher grade, or an allowance not specifically given to provide relief due to a rise in the cost of living, shall not be deemed to be an, increase intended to provide relief due to a rise in the cost of living.]

¹ New sub-section (4) added by the Employees' Cost of Living (Relief) (Amdt.) Ordinance, 1980 (32 of 1980), s.2.

²New sub-section (5) added by the Employee' Cost of Living (relief) (Amdt.) Ordinance, 1981 (25 of 1981), s. 2.

³ Subs. and omitted by the Finance Act, 1986 (1 of 1986), s. 9.

¹[(6) In addition to the cost of living allowance admissible under sub-sections (1), (2), (3) and (4), or, as the case may be, subsection (5), if any, every employee whose wages do not exceed one thousand five hundred rupees shall, in respect of his employment on or after the first day of July, 1985, whether on time-work or piece-work basis, be paid by his employer an increase in wages at the rate of 13.5 per cent of his wages:

Provided that the said increase in wages shall be set off—

- (a) against the amount payable as a relief due to rise in the cost of living under an agreement or settlement reached, or an award given, under the Industrial Relations Ordinance, 1969, which has been announced and become effective on or after the first day of January, 1984; and
- (b) against the amount payable under an agreement or settlement reached and in force on the first day of July, 1985, under which employees get increases at regular intervals on the basis of a rise in the cost of living [.]²

²[* * * * *]

²[(7) In addition to the cost of living allowance admissible under sub-section (1), (2), (3), (4), (5), or, as the case may be, subsection (6), if any, every employee whose wages do not exceed one thousand five hundred rupees shall, in respect of his employment on or after the first day of July, 1986, whether on time-work or piece-work basis, be paid by his employer an increase in wages at the rate of 18 per cent of his wages:

Provided that the said increase in wages shall be set off—

- (a) against the amount payable as a relief due to rise in the cost of living under an agreement or settlement reached, or an award given, under the Industrial Relations Ordinance, 1969 (XXIII of 1969), which has been amended and became effective on or after the first day of January, 1984;
- (b) against the amount payable under an agreement or settlement reached and in force on the first day of July, 1986, under which employees get increase at regular intervals on the basis of a rise in the cost of living; and
- (c) against the amount payable as an increase in wages under sub-section (6).]

³[3A. **Cost of living allowance in addition to that admissible under section 3.** In addition to the cost of living allowance admissible under section 3, if any, every employee shall, in respect of his employment on or after the first day of December, 1990, whether on time-work or piece-work basis, be paid by his employer a cost of living allowance at such rate and in such area or areas, as the Federal Government may, from time to time, by notification in the official Gazette, specify.]

¹Added by the Employees' Cost of Living (Relief) (Amdt.) Act, 1985 (14 of 1985), s. 2.

²Subs. Omitted and added by the Finance Act, 1986 (1 of 1986), s. 9.

³New section 3A ins. by the Employees' Cost of Living (Relief) (Amdt.) Act, 1992 (27 of 1992), s. 2 (w.e.f. 1-12-90).

4. Responsibility for payment of cost of living allowance. Every employer shall be responsible for the payment of the cost of living allowance required to be paid under this Act.

5. Time for payment of cost of living allowance. The cost of living allowance shall be paid alongwith wages in accordance with any custom, usage; practice or law applicable to the undertaking:

¹[Provided that where an employee employed in an undertaking has not been paid the cost of living allowance payable under sub-section (1) of section 3 for any period commencing on or after the first day of August, 1973, but preceding the commencement of the Employees' Cost of Living (Relief) Act, 1973,, or, as the case may be, under sub-section (2) of that section for any period commencing on or after the eighth day of June, 1974, but preceding the commencement of the Employees Cost of Living (Relief) (Amendment) Act, 1974 (I of 1974) ²[or under sub-section (3) of that section for any period commencing on or after the seventh day of April, 1975, but preceding the commencement of the Employees Cost of Living (Relief) (Amendment) Ordinance, 1975,] the employer shall pay it to him within thirty days of the commencement,—

- (a) in the case of the cost of living allowance payable under sub-section (1) of section 3, of the Employees Cost of Living Allowance (Relief) Act, 1973; ^{3*}
- (b) in the case of the cost of living allowance payable under sub-section (2) of that section, of the Employees' Cost of Living (Relief) (Amendment) Act, 1974 ⁴[; and]]
- ⁵[(c) in the case of the cost of living allowance payable under sub-section (3) of that section, of the Employees Cost of Living (Relief) (Amendment) Ordinance, 1975.]

6. Claims for recovery, or delay in payment, of cost of living allowance. Where contrary to the provisions of this Act, the cost of living allowance of any employee has been withheld or delayed, such worker himself or through any other person authorised by him in this behalf may apply—

- (a) in the case of an establishment to which the West Pakistan Shops and Establishments Ordinance, 1969 (W.P. Ord. VIII of 1969), for the time being Applies, to the authority appointed under sub-section (1) of section 12 thereof having jurisdiction and the provisions of the said section and sections 11, 13, 21, 23, 30 and 32 of that Ordinance shall, so far as may be and with the necessary modifications, apply for the purposes of recovery of the cost of living allowance: and

¹ Subs. by the Employee's Cost of Living (Relief) (Amdt.) Act, 1974 (47 of 1974), s. 4., for the original proviso.

² Ins. by the Employees' Cost of Living (Relief) (Amendment) Act, 1975 (61 of 1975), s. 4.

³ The word "and" omitted ibid.

⁴ Subs. ibid., for the full-stop.

⁵ New cl. (c) added ibid.,

- (b) in any other case, to the authority appointed under sub-section (1) of section 15 of the Payment of Wages Act, 1936 (IV of 1936), having jurisdiction and the provisions of the said section and sections 6,16,17,18, 19, 22, 23 and 26 of the said Act shall, so far as may be and with the necessary modifications, apply for the purposes of recovery of the cost of living allowance.

7. Cost of living allowance to form part of Wages. Notwithstanding anything contained in this Act or any other law for the time being in force, the cost of living allowance shall ^{1*} form part of wages of a worker for the purposes of any other law, including the purposes of contribution to provident fund, gratuity, bonus, social security scheme ² [, indexation of wages] and calculating wages for over-time work ³[:]

⁴[Provided that, for the purposes of the Workmen's Compensation Act, 1923 (VIII of 1923), except section 4 thereof the Payment of Wages Act, 1936 (V of 1936.), the Companies Profits (Workers' Participation) Act, 1968 (XII of 1968), or the Industrial Relations Ordinance, 1969 (XXIII of 1969), the cost of living allowance shall not form part of the wages of a worker.]

⁵[8. Saving of certain right and privileges. Nothing in this Act shall affect any right or privilege to which an employee was entitled,—

- (a) in the case of the cost of living allowance payable under sub-section (1) of section 3, immediately before the commencement of the Employees' Cost of Living (Relief) Ordinance, 1973 (XXII of 1973), or
- (b) in the case of the cost of living allowance payable under sub-section (2) of section 3, immediately before the commencement of the Employees' Cost of Living (Relief) (Amendment) Act, 1974, ⁶[or]
- ⁷[(c) in the case of the cost of living allowance payable under sub-section (3) of section 3, immediately before the commencement of the Employees' Cost of Living (Relief) (Amendment) Ordinance, 1975.],

under any law for the time being in force or under any award, decision, agreement settlement contract, custom or usage in force immediately before such commencement:

¹ The word "not" omitted by the Employees' Cost of Living (Relief) (Amdt.) Act, 1977 (26 of 1977) (26 of 1977), s. 3 (w.e.f. 1-5-1977).

² ins. by the Employees' Cost of Living (Relief) (Amdt.) Act, 1987 (6 of 1987), s. 9.

³ Subs. *ibid.*, for the full-stop, (w.e.f. 1-5-1977).

⁴ Proviso added *ibid.*, (w.e.f. 1-5-1977).

⁵ Subs. by the Employees' Cost of Living (Relief) (Amdt.) Act, 1974 (47 of 1974), s.5 for the original section 8.

⁶ The word "or added by the employees' Cost of Living (Relief) (Amdt.) Act, 1975 (61 of 1975), s. 5.

⁷ New cl. (c) ins. *ibid.*,

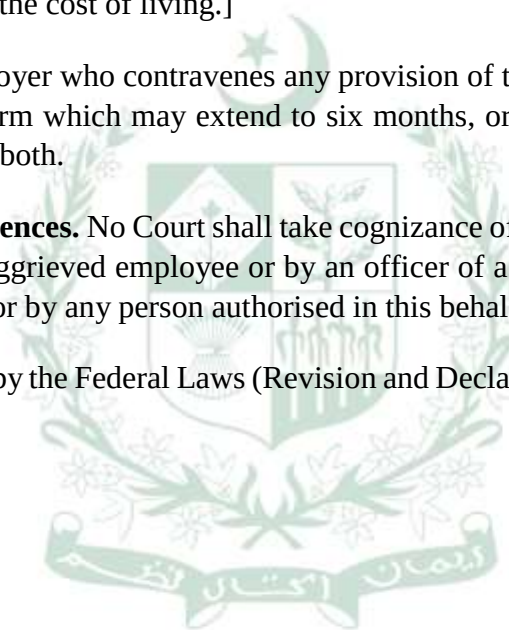
Provided that, if, at any time commencing on or after the first day of August, 1973, but preceding the commencement of the said Ordinance or, as the case may be, commencing at or after the commencement of the said Ordinance but preceding the commencement of the Employees' Cost of Living (Relief) (Amendment) Act, 1974, any employer has paid, or become liable to pay, whether by virtue of an award, decision, agreement, settlement, contract, custom or usage, to any employee, in respect of any period, any sum of money, which is intended to provide relief due to a rise in the cost of living, such employer shall not be required to pay to such employee in respect of such period any amount in excess of the difference if, any, between the amount so paid by him or the amount which he has so become liable to pay, and the cost of living allowance payable to such employee.

Explanation.—For the purposes of this proviso, any increase in wages accruing by virtue of the usual annual increment for promotion to a higher grade, or an allowance not specifically given to provide relief due to a rise in the cost of living, shall not be deemed to be an increase intended to provide relief due to a rise in the cost of living.]

9. Penalty. Any employer who contravenes any provision of this Act shall be punishable with simple imprisonment for a term which may extend to six months, or with fine which may extend to two thousand rupees, or with both.

10. Cognizance of offences. No Court shall take cognizance of any offence under this Act save on a complaint made by an aggrieved employee or by an officer of a registered trade union of which such employee is a member, or by any person authorised in this behalf by the Provincial Government.

11. [Repeal] Omitted by the Federal Laws (Revision and Declaration) Ordinance, 1981 (XXVII of 1981), s. 3 and Sch., II.



THE PAKISTAN CODE



THE DOCK WORKERS (REGULATION OF EMPLOYMENT) ACT, 1974



CONTENTS

1. Short title, extent and commencement
2. Definitions
3. Power to make scheme
4. [Omitted]
5. Funds to be handed over to Federal Government, etc.
6. Recovery of money due
7. Cognizance of offences
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9. Repeal

THE PAKISTAN CODE

THE DOCK WORKERS (REGULATION OF EMPLOYMENT) ACT, 1974

ACT NO. IX OF 1974

[1st March, 1974]

An Act to provide for regulating the employment of dock workers

WHEREAS it is expedient to provide for regulating the employment of dock workers to ensure efficient performance of dock work, expeditious and economic turn-round of ships and vessels and speedy transit of goods through the port;

It is hereby enacted as follows:—

1. Short title, extent and commencement.—(1) This Act may be called the Dock Workers (Regulation of Employment) Act, 1974.

(2) It extends to the whole of Pakistan.

(3) It shall come into force at once.

2. Definitions.—In this Act, unless there is anything repugnant in the subject or context,—

- (a) “cargo” means goods and merchandise carried or to be carried on a ship or other vessel;
- (b) “dock worker” means a person employed or to be employed in any port on loading or unloading of ships or other vessels or on work in connection therewith;
- (c) “employer” in relation to a dock worker, means the person by whom a dock worker is employed or is to be employed; and
- (d) “scheme” means a scheme made under this Act.

3. Power to make scheme.—(1) The Federal Government may, by notification in the official Gazette, make a scheme for the registration of dock workers with a view to ensuring greater regularity of employment and for efficient and economic turn-round of ships and vessels.

(2) In particular and without prejudice to the generality of the foregoing power, such scheme may provide for—

- (a) the application of the scheme to such classes of dock workers and employers as may be specified therein;

- (b) defining the obligations of dock workers and employers subject to the fulfilment of which the scheme may apply to them and the circumstances in which the scheme shall cease to apply to any dock workers or employers;
- (c) regulating the recruitment and entry of dock workers into the scheme and their registration including the preparation and maintenance of registers, the removal, either temporarily or permanently, of names from the register and the imposition of fees for registration;
- (d) regulating the employment and conduct of dock workers and the terms and conditions of such employment, including rates of remuneration, hours of work and conditions as to holidays and pay in respect thereof and safeguarding the rights, privileges and interests of dock workers under the scheme;
- (e) securing that, in respect of periods during which employment or full employment is not available for dock workers to whom the scheme applies and who are available for work, such workers will, subject to the conditions of the scheme, receive a minimum pay;
- (f) managing the property and funds created for the benefit of dock workers;
- (g) prohibiting, restricting or otherwise controlling the employment of dock workers to whom the scheme does not apply;
- (h) the training and welfare of dock workers in so far as satisfactory provision thereof does not exist apart from the scheme;
- (i) health and safety measures in places where dock workers are employed in so far as satisfactory provision therefor does not exist apart from the scheme;
- (j) the manner in which, and the person by whom, the cost of operating the scheme is to be defrayed;
- (k) constituting, whether as a body corporate or otherwise, the authority to be responsible for the administration of the scheme; and
- (l) such incidental and supplementary matters as may be necessary or expedient for the purpose of the scheme.

(3) A scheme shall apply to such port or group of ports as the Federal Government may, by notification in the official Gazette, specify in this behalf.

(4) A scheme may further provide that a contravention of any provision thereof shall be punishable with imprisonment for such term as may be specified but in no case exceeding six months in respect of a first contravention or one year in respect of any subsequent contravention, or with fine which may extend to such amount as may be specified but in no case exceeding two thousand five hundred rupees in respect of a first contravention or five thousand rupees in respect of any subsequent contravention, or with both imprisonment and fine as aforesaid.

4. ¹[Omitted]

5. Funds to be handed over to Federal Government, etc.—(1) Notwithstanding anything to the contrary contained in any other law or in any memorandum of settlement or award, all funds created for the benefit of the dock workers in any manner whatsoever and under the control or management of any person, board or organisation or committee shall, immediately on the commencement of this Act, be transferred, alongwith all records and accounts, to the Federal Government or to such other body as the Federal Government may, by notification in the official Gazette, specify in this behalf.

(2) The person or persons in control or management of any such fund shall not, after the commencement of this Act, spend any amount of such fund and shall be personally liable to make good any amount so spent.

(3) Whoever contravenes the provisions of sub-section (1) or sub-section (2) shall, without prejudice to any action that may be taken against him under this Act, be punishable with imprisonment for a term which may extend to two years, or with fine which may extend to five thousand rupees, or with both.

6. Recovery of money due.—Any money due from any person, board, organisation or committee under sub-section (1) or sub-section (2) of section 5 shall be recoverable as an arrear of land revenue on the request of the body nominated by the Federal Government under the said sub-section (1).

7. Cognizance of offences.—(1) No court shall take cognizance of any offence punishable under this Act or of any abetment thereof except on a report in writing of the facts constituting such offence or abetment made by an Inspector or a person specially authorised in this behalf by the Federal Government.

(2) Notwithstanding anything contained in the Code of Criminal Procedure, 1898 (Act V of 1898), an offence punishable under this Act or an abetment thereof shall be triable only by a Magistrate of the first class.

8. Act to over-ride other laws.—The provisions of this Act and any scheme prepared thereunder shall have effect notwithstanding anything to the contrary contained in any other law for the time being in force.

9. Repeal.—The Dock Workers (Regulation of Employment) Ordinance, 1973 (XXVIII of 1973), is hereby repealed.

RGN Date: 29-05-2024

¹Omitted by the Federal Laws (Revision and Declaration) Ordinance No. XXVII of 1981, s.3 and Sch. II.



THE DOCK LABOURERS ACT, 1934



CONTENTS

1. Short title, extent, commencement and application
2. Definitions
3. Inspectors
4. Powers of Inspector
5. Power to Federal Government to make regulations
6. Power to Federal Government to make rules
7. General provisions relating to regulations and rules
8. Abstracts of Acts and regulations to be conspicuously posted
9. Penalties
10. Provisions relating to jurisdiction
11. Power to exempt
12. Protection to persons acting under this Act

THE PAKISTAN CODE

THE DOCK LABOURERS ACT, 1934

ACT No. XIX OF 1934

[19th August, 1934]

An Act to give effect in ¹[Pakistan] to the Convention concerning the protection against accidents of workers employed in loading and unloading ships.

WHEREAS a Revised Draft Convention concerning the protection against accidents of workers employed in loading or unloading ships was adopted at Geneva on the twenty-seventh day of April, nineteen hundred and thirty-two ;

AND WHEREAS it is expedient to give effect in ¹[Pakistan] to the said Convention;

It is hereby enacted as follows:—

1. Short title, extent, commencement and application.—(1) This Act may be called the ²[*] Dock Labourers Act, 1934.

¹[(2) It extends to the whole of Pakistan.]

(3) It shall come into force on such date as the ³[Federal Government] may, by notification in the ⁴[official Gazette], appoint.

(4) It shall not apply to any ship of war of any nationality.

2. Definitions. In this Act, unless there is anything repugnant in the subject or context,—

(a) “the processes” includes all work which is required for or is incidental to the loading or unloading of cargo or fuel into or from a ship and is done on board the ship or alongside it ; and

(b) “worker” means any person employed in the processes.

3. Inspectors.—(1) The ⁶[Federal Government] may, by notification in the ⁴[official Gazette], appoint such persons as it thinks fit to be Inspectors for the purposes of this Act within such local limits as it may assign to them respectively.

(2) All Principal Officers of the Mercantile Marine Department shall be Inspectors under this Act, *ex-officio*, within the limits of their charges.

(3) Every Inspector shall be deemed to be a public servant within the meaning of the Pakistan Penal Code (XLV of 1860), and shall be officially subordinate to such authority as the ³[Federal Government] may direct.

¹Subs. by the Central Laws (Statute Reform) Ordinance, 1960 (XXI of 1960), s. 3 and 2nd Sch.

²Omitted by the Federal Laws (Revision and Declaration) Act, 1951 (XXVI of 1951), s. 3 and 2nd Sch.

³Subs. by Federal Adaptation of Laws Order, 1975 (President's Order No. 4 of 1975), Art. 2 and Table.

⁴Subs. by Adaptation Order, 1937.

4. Powers of Inspector. Subject to any rules made in this behalf under section 6, an Inspector may, within the local limits for which he is appointed,—

- (a) enter, with such assistants (if any) as he thinks fit, any premises or ship where the processes are carried on ;
- (b) make such examination of the premises or ship and the machinery and gear, fixed or loose, used for the processes, and of any prescribed registers and notices, and take on the spot or otherwise such evidence of any person as he may deem necessary for carrying out the purposes of this Act ; and
- (c) exercise any other powers which may be conferred upon him by the regulations made under section 5.

5. Power to Federal Government to make regulations.— (1) The ¹[Federal Government] may make regulations—

- (a) providing for the safety of working places on shore and of any regular approaches over a dock, wharf, quay or similar premises which workers have to use for going to or from a working place at which the processes are carried on, and for the lighting and fencing of such places and approaches ;
- (b) prescribing the nature of the means of access which shall be provided for the use of workers proceeding to or from a ship which is lying alongside a quay, hulk or other vessel;
- (c) prescribing the measures to be taken to ensure the safe transport of workers proceeding to or from a ship by water and the conditions to be complied with by the vessels used for the purpose ;
- (d) prescribing the nature of the means of access to be provided for the use of the workers from the deck of a ship to a hold in which the processes are carried on;
- (e) prescribing the measures to be taken to protect hatchways accessible to the workers and other openings in a deck which might be dangerous to them ;
- (f) providing for the efficient lighting of the means of access to ships on which the processes are carried on and of all places on board at which the workers are employed or to which they may be required to proceed ;
- (g) providing for the safety of the workers engaged in removing or replacing hatch coverings and beams used for hatch coverings ;
- (h) prescribing the measures to be taken to ensure that no hoisting machine, or gear, whether fixed or loose, used in connection therewith, is employed in the processes on shore or on board ship unless it is in a safe working condition ;
- (i) providing for the fencing of machinery, live electric conductors and steam pipes ;

¹Subs. by Federal Adaptation of Laws Order, 1975 (President's Order No. 4 of 1975), Art.2 and Table.

- (j) regulating the provision of safety appliances on derricks, cranes and winches ;
- (k) prescribing the precautions to be observed in regard to exhaust and live steam;
- (l) requiring the employment of competent and reliable persons to operate lifting or transporting machinery used in the processes, or to give signals to a driver of such machinery, or to attend to cargo falls on winch ends or winch drums, and providing for the employment of a signaller where this is necessary for the safety of the workers;
- (m) prescribing the measures to be taken in order to prevent dangerous methods of working in the stacking, unstacking, stowing and unstowing of cargo, or handling in connection therewith ;
- (n) prescribing the precautions to be taken to facilitate the escape of the workers when employed in a hold or between decks in dealing with coal or other bulk cargo ;
- (o) prescribing the precautions to be observed in the use of stages and trucks ;
- (p) prescribing the precautions to be observed when the workers have to work where dangerous or noxious goods are, or have been, stowed or have to deal with or work in proximity to such goods ;
- (q) providing for the rendering of first-aid to injured workers and removal to the nearest place of treatment ;
- (r) prescribing the provision to be made for the rescue of immersed workers from drowning ;
- (s) prescribing the abstracts of this Act and of the regulations required by section 8 ;
- (t) providing for the submission of notices of accidents and dangerous occurrences and prescribing the forms of such notices, the persons and authorities to whom they are to be furnished, the particulars to be contained in them and the time within which they are to be submitted ;
- (u) specifying the persons and authorities who shall be responsible for compliance with regulations made under this Act ;
- (v) defining the circumstances in which and conditions subject to which exemptions from any of the regulations made under this section may be given, specifying the authorities who may grant such exemptions and regulating their procedure ;
- (w) defining the additional powers which Inspectors may exercise under clause (c) of section 4 ; and
- (x) providing generally for the safety of workers.

(2) Regulations made under this section may make special provision to meet the special requirements of any particular port or ports.

(3) In making a regulation under this section, the ¹[Federal Government] may direct that a breach of it shall be punishable with fine which may extend to five hundred rupees, and when the breach is a continuing breach, with a further fine which may extend to twenty rupees for every day after the first during which the breach continues.

6. Power to Federal Government to make rules. ²[* * *], the ¹[Federal Government] may make rules regulating—

- (a) the inspection of premises or ships where the processes are carried on ; and
- (b) the manner in which Inspectors are to exercise the powers conferred on them by this Act.

7. General provisions relating to regulations and rules.—(1) The power to make regulations and rules conferred by sections 5 and 6 is subject to the condition of the regulations and rules being made after previous publication.

(2) Regulations and rules shall be published in ²[the official Gazette].

8. Abstracts of Acts and regulations to be conspicuously posted. There shall be affixed in some conspicuous place near the main entrance of every dock, wharf, quay or similar premises where the processes are carried on, in English and in the language of the majority of the workers, the abstracts of this Act and of the regulations made thereunder which may be prescribed by the regulations.

9. Penalties. Any person who—

- (a) wilfully obstructs an Inspector in the exercise of any power under section 4, or fails to produce on demand by an Inspector any registers or other documents kept in pursuance of the regulations made under this Act, or any gear, fixed or loose, used for the processes, or conceals or prevents or attempts to prevent any person from appearing before, or being examined by, an Inspector, or
- (b) unless duly authorised, or in case of necessity, removes any fencing, gangway, gear, ladder, life-saving means or appliance, light, mark, stage or other thing required to be provided by or under the regulations made under this Act, or
- (c) having in case of necessity removed any such fencing, gangway, gear, ladder, life-saving means or appliance, light, mark, stage or other thing, omits to restore it at the end of the period for which its removal was necessary,

Shall be punishable with fine which may extend to five hundred rupees.

¹Subs. by Federal Adaptation of Laws Order, 1975 (President's Order No. 4 of 1975), Art. 2 and Table.

²Rep. and subs. by Adaptation Order, 1937.

10. Provisions relating to jurisdiction.—(1) No Court inferior to that of ¹[* * *] a Magistrate of the first class shall try any offence under this Act or the regulations made thereunder.

(2) No prosecution for any offence under this Act or the regulations made thereunder shall be instituted except by or with the previous sanction of an Inspector.

(3) No Court shall take cognizance of any offence under this Act or the regulations made thereunder, unless complaint thereof is made within six months of the date on which the offence is alleged to have been committed.

11. Power to exempt. The ²[Federal Government] may, by notification in the ³[official Gazette], exempt from all or any of the provisions of this Act and of the regulations made thereunder, on such conditions, if any, as ³[it] thinks fit,-

(a) any port or place, dock, wharf, quay or similar premises at which the processes are only occasionally carried on or the traffic is small and confined to small ships, or

(b) any specified ship or class of ship.

12. Protection to persons acting under this Act. No suit, prosecution or other legal proceeding shall lie against any person for anything which is in good faith done or intended to be done under this Act.

THE PAKISTAN CODE

Date: 08-01-2025

¹Omitted by Adaptation Order, 1949.

²Subs. by Federal Adaptation of Laws Order, 1975 (President's Order No. 4 of 1975), Art 2 and Table.

³Subs. by Adaptation Order, 1937.



THE COTTON TRANSPORT ACT, 1923



CONTENTS

1. Short title and extent
2. Definitions
3. Power to issue notification prohibiting import of cotton into protected area
4. Refusal to carry unlicensed cotton
5. Procedure where cotton arrives at notified station
6. Penalties
7. Power to make rules
8. Previous approval of Provincial Legislature to issue of notifications and rules
9. Protection for acts done under Act

THE PAKISTAN CODE

THE COTTON TRANSPORT ACT, 1923

ACT No. III OF 1923

[23rd February, 1923]

An Act to provide for the restriction and control of the transport of cotton in certain circumstances.

WHEREAS it is expedient for the purpose of maintaining the quality and reputation of the cotton grown in certain areas in ¹[Pakistan] to enable the restriction and control of the transport by rail and the import of cotton into those areas; It is hereby enacted as follows: —

1. Short title and extent.—(1) This Act may be called the Cotton Transport Act, 1923.

¹[(2) It extends to the whole of Pakistan.]

2. Definitions.—In this Act, unless there is anything repugnant in the subject or context, —

- (a) “certified copy”, in relation to a licence, means a copy of the licence certified in the manner described in section 76 of the Evidence Act, 1872 (I of 1872), by the authority by which the licence was granted;
- (b) “cotton” means every kind of unmanufactured cotton, that is to say, ginned and unginned cotton, cotton waste and cotton seed;
- (c) “cotton waste” means droppings, strippings, fly and other waste products of a cotton-mill other than yarn waste;
- (d) “licence” means a licence granted under this Act;
- (e) “notified station” means a railway station specified in a notification under section 3;
- (f) “prescribed” means prescribed by rules made under this Act; and
- (g) “protected area” means an area into which the import of cotton or of any kind of cotton has been prohibited ²[wholly or partly] by a notification under section 3 ³[;]
- ³[(h) “appropriate Government” means in relation to the transport of cotton across the customs frontiers and interprovincial trade and commerce, the Federal Government and, for other purposes, the Provincial Government.]

¹Subs. by the Central Laws (Statute Reform) Ordinance, 1960 (XXI of 1960). s. 3 and 2nd Sch. (With Effect From the 14th October, 1955).

²Ins. by Act No. XXXIV of 1925, s. 2.

³Subs. and ins. by the Federal Adaptation of laws Order, 1975 (P. O. No. 4 of 1975), Art. 2 and Sch.

3. Power to issue notification prohibiting import of cotton into protected area.—(1) The ¹[appropriate Government] may, for the purpose of maintaining the quality or reputation of the cotton grown in any area in the Province, by notification in the ²[official Gazette], prohibit the import of cotton or of any specified kind of cotton into that area ³[by rail, road, river and sea, or by any one or more of such routes] save under, and in accordance with the conditions of, a licence:

Provided that no such notification shall be deemed to prohibit the import into any protected area of packages containing any kind of cotton and not exceeding ten pounds avoirdupois weight.

(2) Any such notification may prohibit the delivery to, and the taking of delivery by, any person, at any specified railway station situated in the protected area, of any cotton, the import of which ³[by rail] into that area is prohibited when such cotton has been consigned from a railway station not situated in that area, unless such person holds a licence for the import ³[by rail] of the cotton into that area.

4. Refusal to carry unlicensed cotton.—(1) Notwithstanding anything contained in the Railways Act, 1890 (IX of 1890), or any other law for the time being in force, the station master of any railway station or any other railway servant responsible for the booking of goods or parcels at that station may refuse to receive for carriage at, or to forward or allow to be carried on the railway from, that station any cotton consigned to a notified station, being cotton of a kind of which the delivery at such notified station has been prohibited unless both stations are in the same protected area, or unless the consignor produces a certified copy of a licence for the import of the cotton ³[by rail] into the protected area in which such notified station is situated.

(2) Every certified copy of a licence when so produced shall be attached to the invoice or way-bill, as the case may be, and shall accompany the consignment to its destination, and shall there be dealt with in the prescribed manner.

(3) ⁴[* * * * *]

5. Procedure where cotton arrives at notified station.—(1) Where any cotton, the import of which ³[by rail] into any protected area has been prohibited, has been consigned to and arrives at a notified station in any such protected area, the station master or other railway servant responsible for the receipt and delivery to the consignee of goods or parcels, as the case may be, at that station shall, unless both the notified station and the railway station from which the cotton has been consigned are situated in the same protected area, refuse to deliver the cotton until he is satisfied that the consignee holds a licence for the import of the cotton ³[by rail] into the protected area in which such notified station is situated ; and, if he is not so satisfied, or if within fourteen days the consignee or some person acting on his behalf does not appear in order to take delivery, shall return the cotton to the railway station from which it was consigned, together with an intimation that delivery of the cotton has been refused or has not been taken, as the case may be.

(2) Any station master or other railway servant receiving any cotton returned under sub-section (1), or returned with a like intimation from a railway station specified in a notification under sub-section (3) of section 4, shall cause to be served on the consignor in any manner authorised by section

¹Subs. by the Federal Adaptation of laws Order, 1975 (P. O. No. 4 of 1975), Art. 2 and Sch.

²Subs. by Adaptation Order, 1937.

³Ins. by Act No. XXXIV of 1925, ss. 3-5.

⁴Omitted by the Federal Laws (Revision and Declaration) Ordinance, 1981 (XXVII of 1981), s. 3 and Sch. II.

141 of the Railways Act, 1890 (IX of 1890), a notice stating that the cotton has been so returned and requiring the consignor to pay any rate, terminal or other charges due in respect of the carriage of the cotton to and from the railway station to which it was consigned, and such charges shall be deemed to be due from the consignor for all the purposes of section 55 of that Act.

6. Penalties.—Any person who, in contravention of the provisions of this Act or of any notification or rule made hereunder, knowingly takes delivery of any cotton from a notified station or imports, or attempts to import, any cotton into a protected area, and any station master or other railway servant who, in contravention of the provisions of sub-section (1) of section 5, without reasonable excuse, the burden of proving which shall lie upon him, delivers any cotton to a consignee or other person, shall be liable to a fine not exceeding one thousand rupees, and upon any subsequent conviction to imprisonment which may extend to three months, or to fine which may extend to five thousand rupees, or to both.

7. Power to make rules.—(1) The ¹[appropriate Government] may, by notification in the ²[official Gazette], make rules to provide for any of the following matters, namely:—

- (a) the prevention of the import into a protected area by road, river or sea, save under and in accordance with the conditions of a licence, of cotton the import of which into that area has been prohibited ³[wholly or partly] by a notification under section 3;
- (b) the terms and conditions to be contained in licences and the authorities by which they may be granted; and
- (c) the manner in which licences and certified copies thereof shall be dealt with on and after the delivery of the cotton to which they relate.

(2) Any such rules may provide that any contravention thereof or of the conditions of any licence, not otherwise made punishable by this Act, shall be punishable with fine which may extend to five hundred rupees.

8. Previous approval of Provincial Legislature to issue of notifications and rules.—No notification under section 3 or rule under section 7 shall be issued by the ¹[appropriate Government] ⁴[* * *], unless it has been laid in draft before ²[the ¹[Parliament or, as the case may be, the Provincial Assembly], and has been approved by a Resolution ²[of ¹[Parliament or of] that Assembly], either with or without modification or addition, but upon such approval being given the notification or rule, as the case may be, may be issued in the form in which it has been so approved:

⁵[* * * * *]

9. Protection for acts done under Act.—No suit or other legal proceeding shall be instituted against any person in respect of anything which is in good faith done or intended to be done under this Act.

Date: 30-12-2024

¹Subs. by the Federal Adaptation of laws Order, 1975 (P. O. No. 4 of 1975), Art. 2 and Sch.

²Subs. by Adaptation Order, 1937.

³Ins. by Act No. XXXIV of 1925, s. 6.

⁴Omitted by the Repealing and Amending Ordinance, 1961 (I of 1961), s. 3 and 2nd Sch.

⁵Omitted by Adaptation of Central Acts and Ordinance Order, 1949 (Order No. 4 of 1949), s. 3 and Sch.



THE COTTON INDUSTRY (STATISTICS) ACT, 1926



CONTENTS

1. Short title and extent
2. Definitions
3. Delivery of monthly returns of goods and yarn manufactured by mill-owners
4. Power to inspect mills and take copies of records
5. Publication of returns
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7. Penalties
8. Exemption
9. Protection for acts done under this Act

THE PAKISTAN CODE

THE COTTON INDUSTRY (STATISTICS) ACT, 1926

ACT No. XX OF 1926

[25th March, 1926]

An Act to provide for the regular submission of returns of quantities of cotton goods manufactured and cotton yarn spun in ¹[Pakistan]

WHEREAS it is expedient, notwithstanding the repeal of the Cotton Duties Act, 1896 (II of 1896), to provide for the regular submission of returns of the quantities of cotton goods manufactured and cotton yarn spun in ¹[Pakistan] It is hereby enacted as follows:—

1. Short title and extent.—(1) This Act may be called the Cotton Industry (Statistics) Act, 1926.

¹[(2) It extends to the whole of Pakistan.]

2. Definitions.—For the purposes of this Act, unless there is anything repugnant in the subject or context,—

- (a) “cotton goods” or “goods” includes all tissues and other articles (except yarn and thread) woven, knitted or otherwise manufactured wholly or partly from cotton yarn;
- (b) “cotton yarn” or “yarn” means yarn wholly or partly composed of cotton fibres;
- (c) “mill” means any building or place where cotton goods are woven, knitted or otherwise manufactured, or where cotton yarn is spun, by machinery moved otherwise than by manual labour, and includes every part of such building or place;
- (d) “owner”, in relation to any mill, includes the managing agent or other principal officer of the mill ; and
- (e) “prescribed” means prescribed by rules made under this Act.

3. Delivery of monthly returns of goods and yarn manufactured by mill-owners.—(1) The owner of every mill shall each month prepare and deliver, or cause to be prepared and delivered, to the prescribed officer a return of all cotton goods manufactured and all cotton yarn spun in the mill during the preceding month by machinery moved otherwise than by manual labour, and shall subscribe a declaration of the truth of the return at the foot thereof.

(2) Save as may be otherwise prescribed, every such return shall state, in respect of each description of goods and of yarn, the quantity manufactured during the period to which the return relates, and shall contain such further information, and be in such form and be subject to such conditions as to verification and otherwise, as may be prescribed.

¹Subs. by the Central Laws (Statute Reform) Ordinance, 1960 (Ordinance No. XXI of 1960), s. 3 and 2nd Sch. (with effect from the 14th October, 1955).

(3) Every such return shall be delivered to the prescribed officer or posted to his address within seven days after the end of the month to which it relates.

4. Power to inspect mills and take copies of records.—(1) Any officer authorised by the ¹[Provincial Government] by order in writing in this behalf shall have free access at all reasonable times during working hours to any mill and may at any time, with or without notice to the owner, examine and take copies of, or extracts from, the records of the mill for the purpose of testing the accuracy of any return made under section 3, or of informing himself as to any particulars regarding which information is required for the purposes of this Act or any rules made thereunder:

Provided that no officer not especially empowered by the ¹[Provincial Government] in this behalf shall be entitled to inspect any record containing the description or formulae of any trade process.

(2) All copies and extracts and all information acquired by any officer in the inspection of any mill under this section shall be treated as strictly confidential.

5. Publication of returns. The ¹[Provincial Government] shall, from the returns delivered under section 3, cause to be compiled and published, in such form as ¹[it] may direct, statements showing for each month the total quantities of goods manufactured and of yarn spun in mills in ¹[the Province].

6. Power to make rules.—(1) The ¹[Provincial Government] may, by notification in the ¹[official Gazette], make rules consistent with this Act to carry out the purposes thereof.

(2) In particular and without prejudice to the generality of the foregoing power, such rules may provide for all or any of the following matters, namely:—

- (a) the form of any return required under this Act, the Particulars to be contained therein, and the manner in which the return shall be verified;
- (b) the nature of the records to be maintained by the owners of mills;
- (c) the powers and duties, in regard to the inspection of mills under this Act, of the officers authorised to make such inspections; and
- (d) any other matter which may be or is to be prescribed.

7. Penalties.—(1) Any person who—

- (a) knowingly falsifies any record of manufacture or production kept in a mill, or
- (b) being required to deliver a return under section 3, knowingly delivers a false return, or

¹Subs. by the Government of India (Adaptation of Indian Laws) Order, 1937.

- (c) omits to make any return required by section 3, or refuses to sign or complete the same, or
- (d) knowingly does any act, not otherwise punishable under this Act, in contravention of the provisions of any rule made under this Act,

shall be punishable with fine which may extend to five hundred rupees.

(2) Any person who discloses any particulars or other information acquired by him in the inspection of any mill under this Act shall be punishable with fine which may extend to one thousand rupees:

Provided that nothing in this sub-section shall apply to the disclosure—

- (a) of any such particulars or information for the purpose of a prosecution under section 193 of the Pakistan Penal Code (XLV of 1860) or under this Act, in respect of any return kept or record made for the purposes of this Act, or
- (b) of any such particulars or information to any person acting in the execution of any duty imposed upon him by this Act, where the disclosure is necessary for the purposes of this Act.

8. Exemption.—The ¹[Provincial Government] may, by notification in the ¹[official Gazette], exempt from the operation of this Act or of any specified provision thereof any mill or class of mills, or any goods or class of goods, specified in the notification.

9. Protection for acts done under this Act.—No suit or other legal proceeding shall be instituted against any person in respect of anything which is in good faith done or intended to be done under this Act.

THE PAKISTAN CODE

¹Subs. by the Government of India (Adaptation of Indian Laws) Order, 1937.



THE COTTON GINNING AND PRESSING FACTORIES ACT, 1925



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- 5A. Returns from cotton ginning factories
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THE COTTON GINNING AND PRESSING FACTORIES ACT, 1925

ACT NO. XII OF 1925

[18th March, 1925]

An Act to provide for the better regulation of cotton ginning and cotton pressing factories

WHEREAS it is expedient to provide for the better regulation of cotton ginning and cotton pressing factories; it is hereby enacted as follows:—

1. Short title, extent and commencement—(1) This Act may be called the Cotton Ginning and Pressing Factories Act, 1925.

¹[(2) It extends to the whole of Pakistan.]

(3) It shall come into force on such date² as the ³[Federal Government] may, by notification in the ⁴[official Gazette], appoint.

2. Definitions. In this Act, unless there is anything repugnant in the subject or context,—

- (a) “bale” means any pressed package of cotton of whatever size or density;
- (b) “cotton” means ginned or unginned cotton or cotton waste;
- (c) “cotton ginning factory” means any place where cotton is ginned or where cotton fibre is separated from cotton seed by any process whatever involving the use of steam, water or other mechanical power or of electrical power;
- (d) “cotton pressing factory” means any factory as defined in the ⁵[Indian Factories Act, 1911 (XII of 1911)], in which cotton is pressed into bales;
- (e) “cotton waste” means droppings, strippings, fly and other waste products of a cotton mill or of a cotton ginning factory or of a cotton pressing factory, but does not include yarn waste;
- (f) “⁶[Pakistan Central Cotton Committee]” means the ⁶[Pakistan Central Cotton Committee] constituted under the ⁷[Cotton Cess (Amendment) Act, 1948] and includes any sub-committee appointed by it to perform any function of the ⁶[Pakistan Central Cotton Committee] under this Act; and
- (g) “occupier” includes a managing agent or other person authorised to represent the occupier;
- (h) “prescribed” means prescribed by or under rules made under this Act.

¹Subs. by the Central Laws (Statute Reform) Ordinance, 1960 (XXI of 1960), s. 3 and 2nd Sch. (with effect from the 14th October, 1955), for sub-section (2), as amended by A. O., 1937, A. O. 1949 and the Federal Laws (Revision and Declaration) Act, 1951 (XXVI of 1951).

²The 8th August, 1925; see Gen. R. & O..

³Subs. by the Federal Adaptation of Laws Order, 1975 (P. O. No. 4 of 1975), Art. 2 and Table.

⁴Subs. by A. O., 1937.

⁵“Indian Factories Act, 1911” were subs. with “Factories Act, 1934 (XXV of 1934)” by the Federal Laws (Revision and Declaration) Ordinance, 1981 (XXVII of 1981), s. 5, and Sch., IV, (only to the extent of Islamabad Capital Territory).

⁶Subs. by the Adaptation of Central Acts & Ordinances Order, 1949 (Order No. 4 of 1949), Art. 3 and Sch.

⁷“Cotton Cess (Amendment) Act, 1948” were subs. with “Cotton Cess Act, 1923 (XIV of 1923)” by the Federal Laws (Revision and Declaration) Ordinance, 1981 (XXVII of 1981), s. 5, and Sch., IV, (only to the extent of Islamabad Capital Territory). Earlier, the words “Cotton Cess (Amendment) Act, 1948,” were subs. by the Adaptation of Central Acts and Ordinances Order 1949 (Order No. 4 of 1949).

3. Maintenance of registers.—(1) The owner of every cotton ginning factory shall cause to be maintained at the factory in such form, if any as may be prescribed, a ginning register containing a record of all cotton ginned in the factory and of the names of the persons for whom and the dates on which the cotton has been ginned and of the amount ginned for each person.

(2) The owner of every cotton pressing factory shall cause to be maintained at the factory in such form, if any, as may be prescribed, a press register containing a daily record of the number of bales pressed in the factory, the serial number of each bale, and the name of the person for whom it has been pressed.

(3) The owner or the person in charge of a cotton ginning or cotton pressing factory shall be bound to produce any ginning register or press register maintained under this section when required to do so by any person appointed by the ¹[Provincial Government] in this behalf, and the owner or person in charge of any cotton pressing factory shall be bound to furnish to the ²[Pakistan Central Cotton Committee], if so required by it in writing, a copy, certified as correct by the owner or person in charge of the factory, of the entry in any press register maintained at the factory relating to any specified bale.

(4) No register required to be maintained by this section shall be destroyed until after the expiration of three years from the date of the last entry therein.

(5) If—

- (a) in any factory any register required by this section to be maintained is not maintained or is maintained in any form other than the form, if any, prescribed for the purpose, or
- (b) any entry in any such register is proved to be false in any material particular, or
- (c) any such register is destroyed before the expiration of the period referred to in sub-section (4),

the owner of the factory shall be punished with fine which may extend to fifty rupees or, if he has previously been convicted of any offence, under this sub-section, to five hundred rupees.

(6) If the owner or the person in charge of any factory fails to produce any register, or to furnish a certified copy of any entry, when required to do so under sub-section (3), or furnishes a certified copy of an entry knowing or having reason to believe such copy to be false, he shall be punished with fine which may extend to fifty rupees or, if he has previously been convicted of any offence under this sub-section, to five hundred rupees.

4. Marking of bales.—(1) The owner of every cotton pressing factory shall cause every bale pressed in the factory to be marked in such manner as may be prescribed before it is removed from the press-house, with a serial number and with the mark prescribed for the factory.

¹Subs. by A. O., 1937.

²Subs. by the Adaptation of Central Acts and Ordinances Order, 1949 (Order No. 4 of 1949), Art. 3 and Sch.

(2) If any bale is removed from the press-house of any cotton pressing factory without having been marked as required by sub-section (1), the owner of the factory shall be punished with fine which may extend to fifty rupees.

5. Returns.—(1) The owner of every cotton pressing factory shall submit to the prescribed authority, within such time and in such form as may be prescribed, weekly returns showing the total number of bales of cotton pressed during the preceding week and from the commencement of the season to the end of that week, and the approximate average net weight of the bales pressed in that week.

(2) The ¹[Provincial Government] shall compile from the weekly returns, and shall publish in such manner as ¹[it thinks fit], a statement showing the total number of bales pressed in the Province during the week and from the commencement of the season to the end of the week, to which the returns relate:

Provided that the number of bales pressed in any individual factory shall not be published.

(3) If default is made in submitting any return as required by sub-section (1), the owner of the factory shall be punished with fine which may extend to fifty rupees.

(4) Where the owner of a cotton pressing factory has notified to the prescribed authority that the work of pressing bales in that factory has been suspended, it shall not be necessary for the owner to submit returns under sub-section (1) until such work has been resumed.

Explanation.—In this section “season” means the period notified in this behalf by the ¹[Provincial Government] in the ¹[official Gazette].

²[**5A. Returns from cotton ginning factories.**—(1) ³[This section shall be in force in ⁴[the Karachi Division and Baluchistan] only; but the Provincial Government concerned may, by notification in the official Gazette, bring this section into force in ⁵[East Pakistan or the remaining parts of West Pakistan].]

(2) The owner of every cotton ginning factory shall submit to the prescribed authority, within such time and in such form as may be prescribed, weekly returns showing the quantity of cotton ginned in the factory during the preceding week and from the commencement of the season to the end of that week.

(3) The Provincial Government shall compile from the weekly returns so submitted, and shall publish in such manner as it thinks fit, a statement showing the total quantity of cotton ginned in the Province during the week and from the commencement of the season to the end of the week, to which the returns relate:

Provided that the quantity of cotton ginned in any individual factory shall not be published.

(4) If default is made in submitting any return as required by sub-section (2), the owner of the factory shall be punished with fine which may extend to fifty rupees.

¹Subs. by A. O., 1937.

²Ins. by Act No. IX of 1942, s. 2.

³Subs. by the Central Laws (Statute Reform) Ordinance, 1960 (XXI of 1960), s. 3 and 2nd Sch., (with effect from the 14th October, 1955).

⁴Subs. by the Central Adaptation of Laws Order, 1964 (P. O. No. 4 of 1964), Art. 2 and Sch.

⁵“East Pakistan or the remaining parts of West Pakistan” were sub. with “the whole or any specified part of the Province” by the Federal Laws (Revision and Declaration) Ordinance, 1981 (XXVII of 1981), s. 5 and Sch. IV (only to the extent of Islamabad Capital Territory).

(5) The provisions of sub-section (4) of section 5 apply to cotton ginning factories and the returns referred to in sub-section (2) of this section as they apply to cotton pressing factories and the returns referred to in sub-section (1) of section 5, and “season” in this section means the season as notified for the purposes of section 5.]

6. Scales and weights.—(1) No scales or weights shall be used in any cotton ginning or cotton pressing factory other than the scales or weights, if any, prescribed by the ¹[Federal Government] as standard for the district in which the factory is situated.

(2) If in any factory and scale or weight is used in contravention of the provisions of sub-section (1), the owner of the factory shall be punished with fine which may extend to fifty rupees or, if he has been previously convicted of any offence under this sub-section, to five hundred rupees.

7. Liability of lessee as owner.—(1) Where the owner of a cotton ginning or pressing factory has leased the factory for a period of not less than one month in the case of a cotton ginning factory, or three months in the case of a cotton pressing factory, and the lessor retains no interest in the management or profits of the factory and notice of the lease has been given by the lessor and the lessee to the prescribed authority, the lessee shall be deemed to be the owner of the factory, from the date of the notice and for the period of the continuance of the lease, for the purposes of section 3, in respect of the registers maintained or to be maintained from that date and for that period, and for the purposes of sections 4, 5 ²[5A] and 6.

(2) On the termination of the lease the lessee shall hand over to the lessor the registers maintained under section 3, and the lessor shall forthwith report to the prescribed authority any default of the lessee in complying with the provisions of this sub-section or in maintaining the registers in accordance with the provisions of section 3.

(3) If default is made in handing over any register or making any report as required by this section, the lessor or the lessee, as the case may be, shall be punished with fine which may extend to fifty rupees.

8. Liability on transfer of ownership.—(1) On a transfer of the ownership of a cotton ginning or pressing factory, the transferor shall hand over to the transferee the registers maintained under section 3, and the transferee shall forthwith report to the prescribed authority any default of the transferor in complying with the provisions of this sub-section or in maintaining the registers in accordance with the provisions of section 3.

(2) If default is made in handing over any register or making any report as required by sub-section (1), the transferor or the transferee, as the case may be, shall be punished with fine which may extend to fifty rupees.

9. Structural requirements for factories.—(1) In the case of cotton ginning factories the construction of which is commenced after the commencement of this Act—

- (a) gin-houses shall be provided with separate entrances and exits for the bringing in of unginned and the taking out of ginned cotton respectively, and

¹Subs. by Federal Adaptation of Laws Order, 1975 (P. O. No. 4 of 1975), Art. 2 and Table.

²Ins. by Act No. IX of 1942, s. 3.

- (b) the factories shall be constructed in accordance with plans and specifications approved by the prescribed authority:

Provided that nothing in this sub-section shall apply to any factory in which only roller gins are used where the number of such gins is not more than four.

¹[(1A) In any cotton ginning factory, whether erected before or after the commencement of this Act—

- (a) no structural alterations or additions, the construction of which commenced after the 27th day of February, 1939, shall be made so as to minimise the degree of compliance of the factory as a whole with the requirements set forth in clauses (a) and (b) of sub-section (1), and
- (b) every structural addition (whether actually attached to any existing structure in the factory or not), the construction of which commenced after the last-mentioned date, shall be constructed in accordance with plans and specifications approved by the prescribed authority;

Provided that nothing in this sub-section shall apply to any factory in which, after any alteration or addition has been made, only roller gins are used where the number of such gins is not more than four.]

(2) Within such period after the commencement of this Act as may be prescribed, the owner of every cotton pressing factory in which cotton is handled on the ground floor shall cause the press-house to be paved or provided with other suitable flooring to the satisfaction of the prescribed authority.

(3) If the owner of any factory fails to comply with any provision of this section which is applicable to the factory, he shall be punished with fine which may extend to one hundred rupees.

(4) (a) Where the owner of a factory has been convicted under sub-section (3), the prescribed authority may serve on the owner of the factory an order in writing directing that such alterations shall be made in the factory, before a specified date, as in the opinion of the said authority are necessary to secure compliance with the provisions of sub-section (1), ¹[sub-section (1A)] or sub-section (2), as the case may be.

(b) Where the alterations are not made in accordance with the order served under clause (a) of this sub-section, the prescribed authority may serve on the owner and on the occupier, if any, of the factory an order in writing directing that the work of ginning or pressing cotton in such factory shall be suspended until the alterations have been made in accordance with the order served under clause (a) of this sub-section and the owner and the occupier, if any, shall be jointly and severally liable to fine which may extend to fifty rupees for each day on which cotton is ginned or pressed in the factory in contravention of the order served under this clause.

¹Ins. by Act No. XIV of 1939, s. 2.

10. Liability of officers of a company. Where the person guilty of an offence under this Act is a company, every director, manager, secretary and other officer thereof who is knowingly a party to the default shall also be guilty of the like offence and liable to the like punishment.

11. Cognizance of offences.—(1) No prosecution under this Act shall be instituted except by or with the previous sanction of the District Magistrate ¹[* * *] ²[or a Magistrate of the first class specially empowered in this behalf by the ³[Provincial Government]]

(2) No offence punishable under this Act shall be tried by any Court inferior to that ¹[* * *] of a Magistrate of the first class.

12. Power of the ⁴[Federal Government] to make rules. The ⁴[Federal Government] may make rules to provide for—

- (a) the allotment of a special mark to be used by each pressing factory for the purpose of the marking of bales;
- (b) the manner in which bales shall be marked; and
- ³[(c) the standard weights and scales to be used in cotton ginning and cotton pressing factories in any part of ⁵[Pakistan] and the inspection of the same.]

13. Power of the Provincial Government to make rules. The ³[Provincial Government] may, by notification in the ³[official Gazette], make rules consistent with this Act to provide for all or any of the following matters, namely:—

- (a) the forms in which registers, records and returns are to be maintained or submitted, and the inspection of records and registers;
- (b) the appointment of the authority to whom and the time within which the returns required by ⁶[sections 5 and 5A] shall be made;
- (c) ³[* * * * *]
- (d) the appointment of authorities for the purposes of sections 7, 8 and 9;
- (e) the manner of service of orders made under section 9;
- (f) the powers of entry and inspection which may be exercised by District Magistrates or by any officer specially empowered in this behalf by the ³[Provincial Government];
- (g) any other matter which is to be or may be prescribed or for which provision is necessary in order to carry out the purposes of this Act.

¹Omitted by the Adaptation of Central Acts & Ordinances Order, 1949 (Order No. 4 of 1949), Art. 3 and Sch.

²“or a Magistrate of the first class specially empowered in this behalf by the Provincial Government” omitted by the Federal Laws (Revision and Declaration) Ordinance, 1981 (XXVII of 1981), s. 5 and Sch. IV (only to the extent of Islamabad Capital Territory).

³Subs. and omitted by A. O., 1937.

⁴Subs. by the Federal Adaptation of Laws Order, 1975 (P. O. No. 4 of 1975), Art. 2 and Table.

⁵Subs. by the Central Laws (Statute Reform) Ordinance, 1960 (XXI of 1960), s. 3 and 2nd Sch. (with effect from the 14th October 1955).

⁶Subs. by Act No. IX of 1942, s. 4.

14. Power to reject unmarked bales in fulfillment of contracts.—¹[(1)] After the expiration of one year from the commencement of this Act, any person who has made a contract for the purchase of baled cotton may require that no bales other than bales marked ¹[with the mark prescribed under section 4 for the factory in which they were pressed] shall be supplied in fulfilment of such contract, and, if he does so require, no bale not so marked shall be tenderable in fulfilment of the contract:

¹[* * * * *]

¹[(2) Any bale marked in accordance with the provisions of section 4 shall, within the meaning of the Evidence Act, 1872 (I of 1872), be presumed. for all purposes as between the parties to a contract for the purchase of baled cotton, to have been so marked before leaving the factory in which it was pressed.]

15. Protection for acts done under Act. No suit or other legal proceeding shall be instituted against any person in respect of anything which is in good faith done or intended to be done under this Act.



THE PAKISTAN CODE



THE COTTON CLOTH AND YARN (CONTRACTS) ORDINANCE, 1944



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2. Sales in pursuance of contracts



THE PAKISTAN CODE

THE COTTON CLOTH AND YARN (CONTRACTS) ORDINANCE, 1944.

ORDINANCE No. II OF 1944

[13th January, 1944]

An Ordinance to regulate the prices which may be charged in sales of cotton cloth and yarn under contracts.

WHEREAS an emergency has arisen which makes it necessary to regulate the prices which may be charged in sales of cotton cloth and yarn under contracts;

Now, THEREFORE, in exercise of the powers conferred by section 72 of the Government of India Act, as set out in the Ninth Schedule to the Government of India Act, 1935 (26 Geo 5,c.2), the Governor-General is pleased to make and promulgate the following Ordinance:—

1. Short title, extent and commencement.—(1) This Ordinance may be called the Cotton Cloth and Yarn (Contracts) Ordinance, 1944.

¹[(2) It extends to the whole of Pakistan.]

(3) It shall come into force at once.

2. Sales in pursuance of contracts.—(1) Where after the making of any contract for the sale of cotton cloth or cotton yarn by one wholesale dealer to another or by a wholesale dealer to a retail dealer the maximum prices *ex-factory* and retail at which such cloth or yarn may be sold have been fixed by an order made under the Cotton Cloth and Yarn (Control) Order, 1943, then, notwithstanding anything to the contrary in such contract, when any delivery takes place in pursuance of that contract on or after the date of the said order, the maximum price which may be charged for such cloth or yarn shall not in any case exceed the maximum retail price fixed by the said order, nor shall if in the case of a first or any subsequent sale after delivery from the manufacturer exceed by more than a percentage to be fixed in this behalf by the Textile Commissioner the price paid on the occasion of the last preceding transfer, or, if the said order has fixed a maximum price in respect of such sale, that maximum price; and where, in pursuance of any such contract, the buyer has paid a price exceeding that laid down in this section, whether voluntarily or in execution of a decree passed by a Court or otherwise, he shall be entitled to receive from the seller any sum so paid in excess.

(2) The provisions of this section apply to contracts made whether before or after the commencement of this Ordinance, and to sales made in pursuance of any such contract on or after the 15th day of August, 1943.

Date: 01-07-2024

¹Subs. by the Central Laws (Statute Reform) Ordinance No. XXI of 1960, s. 3 and 2nd Sch. (with effect from the 14th October, 1955).



THE COTTON CLOTH ACT, 1918



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THE COTTON CLOTH ACT, 1918

¹ACT. No. XXIII of 1918

[26th September, 1918]

An Act to take powers to provide for the cheap supply of cotton cloth to the poorer classes of the community.

WHEREAS it is expedient to take powers for the purpose of encouraging or maintaining the supply, at reasonable rates, to the poorer classes of the community, of cotton cloth manufactured in this country ; It is hereby enacted as follows :—

1. Short title. This Act may be called the Cotton Cloth Act, 1918.

2. Definitions. In this Act, unless there is anything repugnant in the subject or context,—

- (a) “Controller” means a Controller appointed under this Act ;
- (b) “cotton cloth” means cotton cloth manufactured in this country ; and
- (c) “standard cloth” means any kind of cotton cloth which a Controller may, from time to time, declare to be standard cloth.

3. Power to appoint Controllers. The ²[Provincial Government] may, by notification³ in the ⁴[official Gazette], appoint one or more persons as ⁵[it] may think fit to be Controllers for the purposes of this Act, and shall specify in any such notification the area in which any Controller so appointed shall exercise his powers.

4. Powers of controller. (1) Whenever it appears to a Controller that such a course is necessary or expedient for the purpose of encouraging or maintaining the supply of standard cloth, at reasonable rates to the poorer classes of the community, he may (subject to this Act and the rules made thereunder and to the control of the ²[Provincial Government]) make general or special orders regulating or giving directions within the area in which he is empowered, with respect to the manufacture, transport, distribution and sale or purchase of, or other dealings in, cotton cloth.

(2) Without prejudice to the generality of the foregoing power, orders may be made by a Controller—

- (a) declaring and defining the classes of standard cloth ;
- (b) prescribing distinctive indications which shall be woven into, impressed or otherwise displayed upon, different classes of standard cloth ;

¹For Statement of Objects and Reasons, see Gazette of India, 1918, Pt. V. p. 58; for Report of Select Committee, see *ibid.*, 1918. V, p.77; and Proceedings in Council, see *ibid.*, 1918, Pt. VI, pp. 754, 953, 1000 and 1147.

²Subs. by A O., 1937, for “G. G. in C”.

³For a notification issued by the G. G. in C. under this section, see Gazette of India, 1918, Pt. I, p. 1558.

⁴Subs. by A. O., 1937, for “Gazette of India”.

⁵Subs. *ibid.*, for “he”.

- (c) requiring any person, who ordinarily manufactures cotton cloth, to manufacture, or provide for the manufacture of, standard cloth in such quantity, of such quality and by such date as the Controller may direct ; and
- (d) fixing the prices to be paid to the manufacturer for standard cloth or for any particular class of standard cloth, and providing for the payment thereof on delivery:

Provided that in fixing prices the Controller shall have regard to the cost of production and to the allowance of a reasonable profit, without necessarily taking into consideration the market-price, and if the Controller is satisfied that the manufacturer has incurred actual loss arising out of forward contracts entered into before the commencement of this Act, and that such loss is immediately attributable to an order under this Act, he may take such loss into account:

Provided further that the Controller may fix different prices in the case of different localities or, if special reasons exist, in respect of different manufacturers in the same locality.

5. Appointment of Advisory Committees. Where a Controller is appointed in exercise of the power conferred by section 3, the ¹[Provincial Government] shall appoint a Committee consisting of such number of persons having knowledge of the cotton or cotton cloth trade as ²[it] thinks fit to assist the Controller with their advice in the performance of his duties. Before a Controller issues any order declaring and defining the classes of standard cloth or fixing the prices to be paid to the manufacturer, he shall consult the Committee, and he may consult the Committee on any other matter connected with his duties:

Provided that, if the opinion of the majority of members of the Committee who are present at any meeting is adverse to the issue of any order, the Controller shall, if he does not accept the Committee's advice, refer the matter for the decision of the ¹[Provincial Government].

6. Manufacture and delivery of standard cloth. Where, by an order made in the exercise of powers conferred by section 4, the Controller has directed a manufacturer to manufacture, or provide for the manufacture of, standard cloth and has fixed the price therefor, the manufacturer shall deliver the same at such time and place and in such manner as the Controller may specify from time to time, and the Controller shall pay or cause to be paid to the manufacturer the said price, together with the freight, if any, actually paid by the manufacturer.

7. Delegation of powers. Subject to the control of the ¹[Provincial Government], a Controller may, from time to time by order in writing, delegate all or any of his powers subject to such conditions and restrictions as may be prescribed therein.

8. Penalty for disobedience of orders under section 4. If any person acts in contravention of, or without reasonable cause, fails to comply with, the provisions of any order made under section 4, or counterfeits upon any cloth a distinctive indication prescribed by the Controller, such person shall be punishable with imprisonment which may extend to six months, or with fine or with both.

¹Subs. by A.O., 1937 for "G.G. in C."

²Subs. *ibid.*, for "he"

9. Power to fix prices of standard cloth.— (1) The ¹[Provincial Government] shall, if standard cloth is sold in the Province, by order in writing which shall be notified in the ²[official Gazette], fix the price at which alone standard cloth or any class of standard cloth shall be sold to the public.

(2) Orders may be made fixing different prices for different localities or for different methods of sale.

(3) Every such order shall be published in such manner as the ¹[Provincial Government] may consider to be best adapted for bringing the prices so fixed to the notice of the poorer classes.

10. Limitation of sale of standard cloth.— (1) No person shall sell or keep, offer or expose for sale to the public, standard cloth otherwise than at such price as may be fixed by the ¹[Provincial Government] and in accordance with the terms and conditions of a licence issued in this behalf.

(2) If any person contravenes the provisions of sub-section (1), he shall be punishable with imprisonment which may extend to six months, or with fine or with both.

11. Grant of licences for sale of standard cloth. A licence for the sale of standard cloth shall be granted by such authority, in such form and subject to such conditions as the ¹[Provincial Government] may prescribe by rules made under this Act.

12. Rule-making power .— (1) The ¹[Provincial Government] may make rules-

- (a) prescribing the powers and duties of the Controller,
- (b) prescribing the manner in which the Controller's orders shall be published or served, as the case may be, and
- (c) generally giving effect to the provisions of this Act.

(2) The ¹[Provincial Government] shall, if standard cloth is sold in the Province, make rules prescribing the authority by which, the form in which and the conditions under which, any licence or class of licences for the sale of standard cloth shall be granted.

(3) Rules made under this Act shall be published in the ²* * * ³[official Gazette], ⁴* * * and on such publication shall have effect as if enacted in this Act.

13. Protection for acts done under Act. No suit, prosecution or other legal proceeding shall lie against any person for anything which is in good faith done or intended to be done under this Act.

14. Power of Act to be cumulative. All powers given by this Act shall be in addition to and not in derogation of any other powers conferred by or under any enactment, and all such powers may be exercised in the same manner and by the same authority as if this Act had not been made.

Date: 11-09-2024

¹Subs. by A. O., 1937, for "L. G".

²The words "the Gazette of India or" rep. by A. O., 1937.

³Subs. *ibid.*, for "local official Gazette"

⁴The words "as the case may be" rep., *ibid.*



THE COTTON CESS ACT, 1923



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THE COTTON CESS ACT, 1923

¹ACT No. XIV of 1923

[16th March, 1923]

An Act to provide for the creation of a fund for the improvement and development of the growing, marketing and manufacture of cotton ² *.*

WHEREAS it is expedient to provide for the creation of a fund to be expended by a Committee specially constituted in this behalf for the improvement and development of the growing, marketing and manufacture of cotton ²* * It is hereby enacted as follows:—

1. Short title and extent. —(1) This Act may be called the ³* Cotton Cess Act, 1923.

⁴[(2) It extends to the whole of Pakistan.]

2. Definitions. In this Act, unless there is anything repugnant in the subject or context,—

- (a) “Collector” means, in reference to cotton consumed in a mill in ⁵[Pakistan], the Collector of the district in which the mill is situated ⁶[or any other officer appointed by the ⁷[Federal Government] to perform the duties of a collector under this Act];
- (b) “the Committee” means the ⁸[Pakistan Central Cotton Committee] constituted under this Act;
- (c) “cotton” means raw cotton, whether baled or loose, which has been ginned;
- ⁹[(d) “Collector of Customs” means an officer appointed as such under section 3 of the Customs Act, 1969 (IV of 1969);
- (dd) “Customs airport” and “customs-port” mean, respectively, a customs- air-port and customs port as defined in section 2 of the Customs Act, 1969 (IV of 1969);]

¹For Statement of Objects and Reasons, see Gaz. of India, 1923, Pt. V, p. 59; and for Report of Joint Committee, see ibid, 1923, Pt. V, p. 97. This Act has been extended to the Leased Areas of Baluchistan, see the Leased Areas (Laws) Order, 1950 (G.G.O. 3 of 1950) ; and applied in the Federated Areas of Baluchistan, see Gazette of India, 1937, Pt. I, p. 1499. The Act has also been extended to the Baluchistan States Union, see the Baluchistan States Union (Federal Laws) (Extension) Order, 1953 (G.G.O. 4 of 1953), as amended. The Act has been and shall be deemed to have been brought into force in Gwadar with effect from the 8th September, 1958 by the Gwadar (Application of Central Laws) Ordinance, 1960 (37 of 1960), s. 2.

² The words “in India” rep. by the Federal Laws (Revision and Declaration) Act, 1951 (26 of 1951), s. 3 and II Sch.

³ The word “Indian” omitted by A.O., 1949.

⁴ Subs. by the Central Laws (Statue Reform) Ordinance, 1960 (21 of 1960), s. 3 and 2nd Sch. (with effect from the 14th October, 1955), for sub-section (2), as amended by A.O., 1937, A.O., 1949 and Act 26 of 1951.

⁵ Subs. by Ordinance 21 of 1960, s. 3 and 2nd Sch. (with effect from the 14th October, 1955), for “the Provinces and the Capital of the Federation” which had been subs. by A.O., 1949, for “British India”.

⁶ Ins. by the Indian Cotton Cess (Amdt.) Act, 1924 (1 of 1924), s. 2.

⁷ Subs. by F.A.O., 1975, Art. 2 and Table, for “Central Government” which was previously amended by A.O., 1937, for “L.G.”.

⁸ Subs. by the Cotton Cess (Amdt.) Act, 1948 (30 of 1948), s. 2, for “Indian Central Cotton Committee” (with effect from the 11th January, 1949).

⁹ Subs. by the Federal Laws (Revision and Declaration) Ordinance, 1981 (27 of 1981), s. 3 and Sch., II, for clause (d).

(e) “mill” means any place which is a factory as defined in section 2 of the ¹[Factories Act, 1934], and in which cotton is converted into yarn or thread either for sale as such or for conversion into cotton goods ²[which includes all tissues and other articles (except yarn and thread) woven, knitted or otherwise manufactured, wholly or partly from cotton yarn]; ³*

(f) “prescribed” means prescribed by rules made under this Act.

4* * * * *

3. Imposition of Cotton Cess. —⁵[(1) There shall be levied and collected on all cotton either exported from the Provinces of Pakistan to any place outside Pakistan or consumed in any mill in the Provinces of Pakistan a cess at such rate as the ⁶[Federal Government] may fix by notification,⁷ in the official Gazette.

8* * * * *

⁹[4. Constitution of Pakistan Central Cotton Committee. —(1) As soon as may be after the commencement of this Act the ⁶[Federal Government] shall set up the Committee.

(2) The Committee shall consist of such members as the ⁶[Federal Government] may, by notification in the official Gazette, appoint to be members, and the ⁶[Federal Government] shall appoint from among them one to be the President and another to be the Vice-President.

(3) The Committee shall be a body corporate by the name of the Pakistan Central Cotton Committee, having perpetual succession and a common seal with powers to acquire and hold property both movable and immovable, and to contract, and shall by the said name sue and be sued.]

¹⁰[(4) Nothing contained in the Industrial Relations Ordinance, 1969, (XXIII of 1969) shall apply to or in relation to the Committee or any of the officers, advisers and employees appointed by it.]

5.[Incorporation of the Committee.] Omitted by the Cotton Cess (Amendment) Act, 1948 (XXX of 1948), s. 5.

6. Delivery of monthly returns. —(1) The owner of every mill shall furnish to the Collector, on or before the seventh day of each month, a return stating the total amount of cotton consumed or brought under process in the mill during the preceding month, together with such further information in regard thereto as may be prescribed:

Provided that no return shall be required in regard to cotton consumed or brought under process before the commencement of this Act.

¹ Subs. by Act 30 of 1948, s. 2, for “Indian Factories Act, 1911”. (with effect from the 11th January, 1949).

² Subs. by Ord. 27 of 1981, s. 3 and Sch. II, for “as defined in section 3 of the (Cotton Duties Act, 1896)”. The words in crotchets were previously amended by the Indian Finance Act, 1926 (19 of 1926), s. 3.

³ The word “and” omitted by the Indian Cotton Cess (Amdt.) Act, 1939 (5 of 1939), s. 2.

⁴ Clause (g) which was added by Act 5 of 1939, s. 2, rep. by the Federal Laws (Revision and Declaration) Act, 1951 (26 of 1951), s. 3 and Sch. II.

⁵ The original section 3 was re-numbered by the Indian Cotton Cess (Amdt.) Act, 1924 (1 of 1924), s. 3, as sub-section (1) of that section, which has been subs. by Act 30 of 1948, s. 3 (a).

⁶ Subs. by F.A.O., 1975, Art. 2 and Table, for “Central Government”.

⁷ For such notifi., see Gaz. of P., 1957, Pt. I, p. 13.

⁸ The proviso to sub-section (1), and sub-section (2) omitted by Act 30 of 1948, s. 3 (b).

⁹ Subs. ibid., s. 4, for section 4, as amended by A.O., 1937 and Acts 14 of 1929, s. 2, 5 of 1939, s.3 and 34 of 1939.

¹⁰ Sub-section (4) added by the Cotton Cess (Amdt.) Ordinance, 1980 (13 of 1980), s. 2.

(2) Every such return shall be made in such form and shall be verified in such manner as may be prescribed.

7. Collection of cess by Collector.—(1) On receiving any return made under section 6, the Collector shall assess the cotton cess payable in respect of the period to which the return relates, and if the amount has not already been paid shall cause a notice to be served upon the owner of the mill requiring him to make payment of the amount assessed within ten days of the service of the notice.

(2) If the owner of any mill fails to furnish in due time return referred to in section 6 or furnishes a return which the Collector has reason to believe is incorrect or defective, the Collector shall assess the amount payable by him in such manner, if any, as may be prescribed, and the provisions of sub-section (1) shall thereupon apply as if such assessment had been made on the basis of a return furnished by the owner:

Provided that, in the case of a return which he has reason to believe is incorrect or defective, the Collector shall not assess the cess at an amount higher than that at which it is assessable on the basis of the return without giving to the owner a reasonable opportunity of proving the correctness and completeness of the return.

(3) A notice under sub-section (1) may be served on the owner of a mill either by post or by delivering it or tendering to it the owner or his agent at the mill.

¹8. Collection of cess on exported cotton.—(1) In respect of cotton exported by air, land or sea, cess shall be assessed and levied by the Collector of Customs at the customs-airport or customs-port of export, and, subject to the provisions of this Act and of any rules made thereunder, shall, for all or any of the purposes of the Customs Act, 1969, (IV of 1969) be deemed to be a duty of customs.

(2) The Central Board of Revenue constituted under the Central Board of Revenue Act, 1924, (IV of 1924) may make rules providing, on such conditions as may be specified in the rules, for the refund of the cess levied where cotton is exported by land and subsequently imported into Pakistan].

9. Finality of assessment and recovery of unpaid cess.—(1) An assessment made in accordance with the provisions of section 7 or section 8 shall not be questioned in any Court.

(2) Any owner of a mill who is aggrieved by an assessment made under section 7 may, within three months of service of the notice referred to in sub-section (1) of that section, apply to the ²[Federal Government] for the cancellation or modification of the assessment and, on such application, the ²[Federal Government] may cancel or modify the assessment and order the refund to such owner of the whole or Part, as the case may be, of any amount paid thereunder.

(3) Any sum recoverable under section 7 may be recovered as an arrear of land revenue.

10. Power to inspect mills and take copies of records and accounts.—(1) The Collector or any officer empowered by general or special order of the ³[Federal Government] in this behalf shall have free access at all reasonable times during working hours to any mill or to any part of any mill.

¹ Subs. by the Federal Laws (Revision and Declaration) Ordinance, 1981 (27 of 1981), s. 3 and Sch. II, for section 8, which was previously amended by various enactments.

² Subs. by F.A.O., 1975, Art. 2 and Table, for "Central Government" which was previously amended by A.O., 1937, for "L.G.".

³ Subs. by F.A.O., 1975, Art. 2 and Table, for "Central Government" which was previously amended by A.O., 1937, for "L.G.".

(2) The Collector or any such officer may at any time, with or without notice to the owner, examine the working records, sale records and accounts of any mill and take copies of or extracts from all or any of the said records or accounts for the purpose of testing the accuracy of any return or of informing himself as to the particulars regarding which information is required for the purposes of this Act or any rules made thereunder.

(3) Where any officer other than the Collector proposes to examine under sub-section (2) any record or account containing the description or formulate of any trade process, the owner of the mill may give to the said officer, for transmission to the Collector, a Written notice of objection and the officer shall thereupon seal up the record or account pending the orders of the Collector.

11. Information acquired to be confidential.—(1) All such copies and extracts and all information acquired by a Collector or any other officer from an inspection of any mill or warehouse or from any return submitted under this Act shall be treated as confidential.

(2) If the Collector or any such officer discloses to any person other than a superior officer any such information as aforesaid without the Previous sanction of the ¹[Federal Government], he shall be punishable with imprisonment which may extend to six months and shall also be liable to fine :

Provided that nothing in this section shall apply to the disclosure of any such information for the purposes of a prosecution in respect of the making of a false return under this Act.

12. Application of proceeds of cess.—(1) On the last day of each month, or as soon thereafter as may be convenient, the proceeds of the cess recovered during that month shall, after deduction of the expenses, if any, of collection and recovery, be paid to the Committee.

(2) Subject to such conditions as may be prescribed, the said proceeds and any other monies received by the Committee shall be applied to meeting the expenses of the Committee and the cost of such measures as it may, with the previous approval of the ²[Federal Government], decide to undertake for promoting agricultural and technological research in the interests of the cotton industry in ³[Pakistan].

12A. [Payment to Government of Burma.] Omitted by the Cotton Cess (Amendment) Act, 1948 (XXX of 1948), s. 8.

13. Validation. No Act done or proceeding taken under this Act shall be questioned on the ground merely of the existence of any vacancy in or any defect in the constitution of the Committee or ⁴[any of its sub-committees].

14. Dissolution of Committee. The ²[Federal Government] may, by notification in the ⁵[official Gazette], declare that, with effect from such date as may be specified in the notification, the Committee shall be dissolved, and on the making of such declaration all funds and other property vested in the Committee shall vest ⁶[in the ⁷[Federal Government] and] this Act shall be deemed to have been repealed.

¹ Subs. by F.A.O., 1975, Art. 2 and Table, for "Central Government" which was previously amended by A.O., 1937, for "L.G.".

² Subs. by F.A.O. 1975, Art. 2 and Table, for "Central Government" which was been Subs. by A.O., 1937, for "G.G. in C.,"

³ Subs. by the Cotton Cess (Amdt.) Act, 1948 (30 of 1948), s. 7, for "India".

⁴ Subs. ibid., s. 9, for "the Standing Finance Sub-Committee, if any"

⁵ Subs. by A.O., 1937, for "Gazette of India".

⁶ The words "in His Majesty and" have successively been amended by A.O., 1937 and A.O., 1961, Art. 2 and Sch. (with effect from the 23rd March, 1956), to read as above.

⁷ Subs. by F.A.O. 1975 Art. 2 and Table for "Central Government".

15. Power of the Federal Government to make rules.—(1) The ¹[Federal Government] may make rules² for the purpose of carrying into effect all or any of the provisions of this Act.

(2) In particular, and without prejudice to the generality of the foregoing power, such rules may provide for all or any of the following matters, namely:—

- (a) for prescribing the time within which nominations shall be made under section 4 whether in the first instance or on the occurrence of vacancies;
- (b) for prescribing the term of office of the members of the Committee;
- (c) for prescribing the circumstances in which and the authority by which any member may be removed;
- (d) for the holding of a minimum number of meetings of the Committee during any year;
- (e) for the maintenance by the Committee of a record of all business transacted and the submission of copies of such records to the ³[Federal Government];
- (f) for the definition of the powers of the Committee and ⁴[its officers] to enter into contracts which shall be binding on the Committee, and the manner in which such contracts shall be executed;
- (g) for the regulation of the travelling allowances of members of the Committee and of their remuneration, if any;
- (h) for the definition of the powers of the Committee and ⁴[its officers] in respect of the appointment, promotion and dismissal of officers and servants of the Committee, and in respect of the creation and abolition of appointments of such officers or servants;
- (i) for the regulation of the grant of pay and leave to officers and servants of the Committee, and the payment of leave allowances to such officers and servants, and the remuneration to be paid to any person appointed to act for any officer or servant to whom leave is granted;
- (j) for the regulation of the payment of pensions, gratuities, compassionate allowances and travelling allowances to officers and servants of the Committee;
- (k) for prescribing the establishment and maintenance of a provident fund for the officers and servants of the Committee, and for the deduction of subscriptions to such provident fund from the pay and allowances of such officers and servants, other than Government servants whose services have been lent or transferred to the Committee;

¹ Subs. by F.A.O.1975, Art.2 and Table, for “Central Government” which was been Subs. by A.O., 1937, for “G.G.inc.,.”

² For such rules, see Gen. R. & O.

³ Subs. F.A.O., 1975, Art. 2 and Table, for “Central Government” which was previously amended by A.O., 1937, for “G.G. in C.”.

⁴ Subs. by the Cotton Cess (Amdt.) Act, 1948 (30 of 1948), s. 11 (a), for “of the Secretary”.

- (1) for prescribing the preparation of budget estimates of the annual receipts and expenditure of the Committee and of supplementary estimates of expenditure not included in the budget estimates, and the manner in which such estimates shall be sanctioned and published;
- (m) for defining the powers of the Committee, ¹[its subcommittees, if any, the President and its officers], in regard to the expenditure of the funds of the Committee, whether provision has or has not been made in the budget estimates or by reappropriation for such expenditure, and in regard to the reappropriation of estimated savings in the budget estimates of expenditure;
- (n) for prescribing the maintenance of accounts of the receipts and expenditure of the Committee and providing for the audit of such accounts;
- (o) for prescribing the manner in which payments are to be made by or on behalf of the Committee, and the officers by whom orders for making deposits or investments or for withdrawals or disposal of the funds of the Committee shall be signed;
- (p) for determining the custody in which the current account of the Committee shall be kept, and the bank or banks at which surplus monies at the credit of the Committee may be deposited at interest, and the conditions on which such monies may be otherwise invested;
- (q) for prescribing the preparation of a statement showing the sums allotted to Provincial Departments of Agriculture or institutions not under the direct control of the Committee for expenditure on research, the actual expenditure incurred, the outstanding liabilities, if any, and the disposal of unexpended balances at the end of the year;
- (r) the assessment, levy, and payment of the cotton cess in respect of cotton exported by sea ²[or by land]; and
- (s) any other matter which is to be or may be prescribed.

16. Power of the Committee to make rules. The Committee may, with the previous sanction of the ³[Federal Government], make rules⁴ consistent with this Act and with any rules made under section 15 to provide for all or any of the following matters, namely:—

- (a) for the appointment of ⁵[appropriate sub-committees] and the delegation thereto of any powers exercisable under this Act by the Committee;
- (b) for prescribing the method of appointment, removal and replacement and the term of office of members of the ⁶[sub-committees], and for the filling of vacancies therein;

¹ Subs. by the Cotton Cess (Amdt.) Act, 1948 (30 of 1948), s. 11(d), for “the Standing Finance Sub-Committee, if any, the President and the Secretary, respectively”.

² ins by hidden cotton cess (amdt) Act, 1924(I of 1924), s.5.

³ Subs. by F.A.O. 1975, Art and Table b are bore, Centrel Govt.

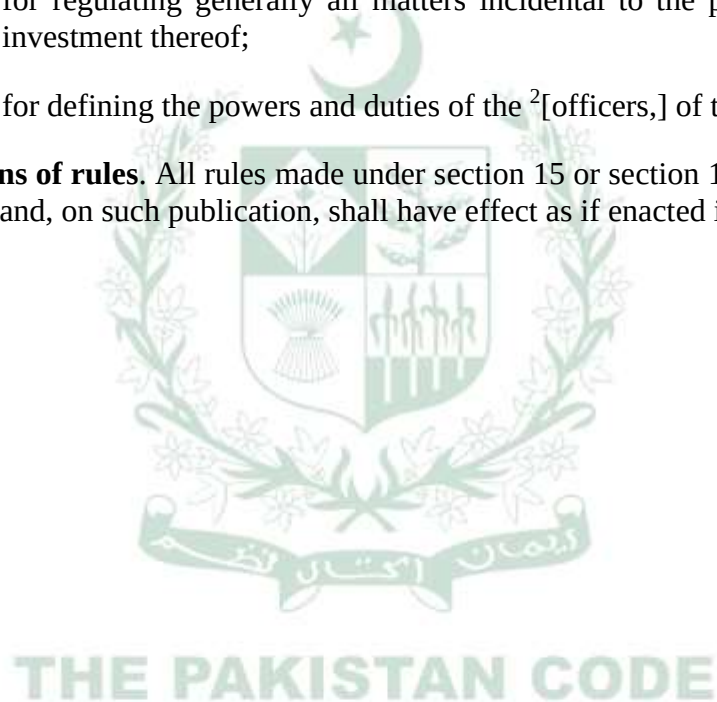
⁴ For such rules, see Gen. R. & O.

⁵ Subs. by the Cotton Cess (Amdt.) Act, 1948 (30 of 1948), s. 12 (a), for “a Standing Finance Sub-Committee”.

⁶ Subs. ibid., s. 12(b), for “Standing Finance Sub-Committee”.

- (c) for the appointment of the dates, times and places for meetings of the Committee and the ¹[Sub-committees], and for regulating the procedure to be observed at such meetings;
- (d) for determining the circumstances in which security may be demanded from officers and servants of the Committee, and the amount and nature of such security in each case;
- (e) for determining the times at which, and the circumstances in which, payments may be made out of the provident fund and the conditions on which such payments shall relieve the fund from further liability;
- (f) for determining the contribution, if any, payable from the funds of the Committee to the provident fund;
- (g) for regulating generally all matters incidental to the provident fund and the investment thereof;
- (h) for defining the powers and duties of the ²[officers,] of the Committee.

17. Publications of rules. All rules made under section 15 or section 16 shall be published in the ³[official Gazette] and, on such publication, shall have effect as if enacted in this Act.



¹ Subs. *ibid.*, s. 12(b), for "Standing Finance Sub-Committee".

² Subs. *ibid.*, s. 12 (c), for "Secretary".

³ Subs. by A.O., 1937, for "Gazette of India".



THE COTTON ACT, 1957



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THE PAKISTAN CODE

THE COTTON ACT, 1957

ACT No. XXXVIII OF 1957

[10th September, 1957]

An Act to provide for measures for the promotion of international trade in cotton.

WHEREAS it is expedient to provide for measures for the promotion of international trade in cotton;

It is hereby enacted as follows:—

1. Short title extent and commencement.—(1) This Act may be called the Cotton Act, 1957.

(2) It extends to the ¹[Karachi Division], and with the exception of section 6, to the rest of Pakistan.

(3) It shall come into force at once.

2. Definitions. In this Act, unless there is anything repugnant in the subject or context,—

- (a) “contract” means a contract for the purchase or sale of cotton, and includes a factory selection contract;
- (b) “cotton” means unginced cotton (kapas) or ginned cotton (*rui*) or pressed and baled cotton but does not include wool cotton or silk cotton;
- (c) “factory selection contract” means a contract for the sale of cotton entered into in Pakistan and providing for selection by the buyer at the factory and for delivery of the cotton selected in full pressed bales at Karachi within the period and at the price specified in the contract;
- (d) “notified order” means an order published in the official Gazette;
- (e) “pressing factory” means a place wherein steam, water or other mechanical power or electric power is used and where cotton is pressed into bales.

3. Constitution of the Cotton Board. The ²[Federal Government] may, for the promotion of international trade in cotton, constitute, by notification in the official Gazette, a Cotton Board with a Chairman and such other members, of whom one ³[each may be nominated by the Governments of Baluchistan, the North-West Frontier Province, the Punjab and Sind], as may be specified in the notification.

¹Subs. by the Central Adaptation of Laws Order, 1964 (P. O. No. 1 of 1964), Art. 2 and Sch.

²Subs. by the Federal Adaption of Laws Order, 1975 (P. O. No. 4 of 1975), Art. 2 and Table.

³Subs. by Ordinance No. XXIV of 1970, s. 4.

4. Functions of the Board. The Board shall have power to supervise and regulate all dealings in cotton, in so far as they are connected with the promotion of international trade therein, and shall perform such functions as the ¹[Federal Government] may, from time to time, direct for the purposes of this Act.

5. Control of the Board. The Board shall be subject to the superintendence and control of the ¹[Federal Government], and in the discharge of its functions shall be guided by such general or special instructions as may, from time to time, be given to it by the ¹[Federal Government].

6. Requisition of factories etc.—(1) The ¹[Federal Government] may, by general or special order, requisition any pressing factory or any place, whether open or enclosed, and use the same for pressing or storing cotton belonging to Government, and for purposes incidental thereto.

(2) If any such factory or place is requisitioned under this section, there shall be paid compensation which shall be determined either with the agreement of the parties concerned, or by an arbitrator chosen with their consent, and in the absence of such consent, by an arbitrator to be appointed in accordance with the provisions of section 8 of the Arbitration Act, 1940 (X of 1940).

(3) The arbitrator in determining the compensation under sub-section (2) shall have regard to the provisions of sub-section (1) of section 23 of the Land Acquisition Act, 1894 (I of 1894), so far as the same can be made applicable to acquisition of a temporary nature.

7. Power to secure fulfillment of contracts. If in the opinion of the ¹[Federal Government] it is expedient or necessary so to do for the purpose of securing the fulfilment of any contract relating to export of cotton on which the exporter has defaulted, it may buy cotton elsewhere and appropriate it to the contract, and the defaulter shall be liable for any loss which the ¹[Federal Government] may sustain on that account, but the defaulter shall not be entitled to any gain on the purchase made against default.

Explanation.— In this section “exporter” means a seller of cotton to a foreign buyer or to his agent in Pakistan.

8. Power to call for information.—(1) The ¹[Federal Government] may, at any time, by an order in writing, direct such person or class of persons as may be specified in the order to furnish such particulars relating to the fulfilment of any contract relating to export of cotton, in such manner and to such person, as may be specified in the order.

(2) The ¹[Federal Government] may, by order in writing, require any person to furnish to it, or to such person as may be specified in this order, any information in his possession, being information which the ¹[Federal Government] may require for the purposes of this Act.

9. Registration of contracts. The ¹[Federal Government] may, by general or special order in writing, require any contract relating to export of cotton to be registered with such organisation and in such manner as may be specified in the order.

¹Subs. by the Federal Adaptation of Laws Order, 1975 (P. O. No. 4 of 1975), Art. 2 and Table.

10. Control of contracts through recognised associations.— (1) The ¹[Federal Government] if satisfied that it could be in the interests of the trade and also of the public to do so, may, by a notified order and subject to such conditions, if any, as may be specified in the order, prohibit any specified kind or class of contracts, such as forward contracts or hedge contracts, unless such contracts are made through and under the control of, and in the manner prescribed by, an association recognised by the ¹[Federal Government] under sub-section (2).

(2) For the purposes of this section, the ¹[Federal Government] may, by a notified order, recognize any association, constituted for the purpose of regulating and controlling contracts, which applies for such recognition.

(3) A recognition under sub-section (2) may be granted subject to the condition that the association shall by such amendments of its articles of association, rules or bye-laws as may be necessary provide for the appointment by the ¹[Federal Government] of not more than four persons, representing interests not directly represented through membership of the association, as members of the governing body of the association.

(4) Every association, which is recognised under sub-section (2), shall furnish to the ¹[Federal Government] such information and such periodical returns relating to the affairs of the association as the ¹[Federal Government] may by order in writing require.

(5) The ¹[Federal Government] may, by order in writing, give such directions, as it considers necessary in the interests of the trade and the public, to an association recognised under sub-section (2) in respect of contracts to which this section applies.

(6) No articles, rules or bye-laws of an association recognised under sub-section (2) shall be altered save with the previous approval of the ¹[Federal Government].

(7) Whenever the ¹[Federal Government] considers it expedient to do so, it may by order in writing direct any association recognised under sub-section (2) to make, repeal or amend any articles, rules or bye-laws of the association in the manner and within a period specified in the order ; and if the recognised association refuses, fails or neglects to comply with the direction within the specified period, the ¹[Federal Government] may, by a notified order, make, repeal or amend the articles, rules or bye-laws in the manner specified in the order giving the direction or with such modifications as the ¹[Federal Government] may think fit, and the making, repeal or amendment of the articles, rules or bye-laws shall be deemed to have been duly effected by the association.

(8) If the ¹[Federal Government] is of the opinion that the interests of the trade and the public require that the recognition accorded to an association under sub-section (2) should be terminated, the ¹[Federal Government] may, after giving the association a reasonable opportunity of being heard in the matter, by a notified order, terminate the recognition on and from the date of such order or any specified date subsequent thereto, and the association shall cease to be an association recognised under sub-section (2) from the date of such termination:

Provided that such termination shall not affect the validity of any contract entered into or made before the date of such termination.

¹Subs. by the Federal Adaptation of Laws Order, 1975 (P. O. No. 4 of 1975), Art. 2 and Table.

11. Delegation of powers.—¹[(1)] The ²[Federal Government] may, by a notified order, direct that any power conferred upon it by or under this Act shall, in relation to such matters and subject to such conditions, if any, as may be specified in the order, be exercisable by the Cotton Board.

²[(2)] The Cotton Board may, by general or special order in writing, direct that such of its powers, including powers which have been directed under sub-section (1) to be exercised by the Cotton Board, shall, in relation to such matters and subject to such conditions, if any, as may be specified in the order, be exercisable also by the Chairman of the Board or such member thereof as may be so specified:

Provided that orders passed under the powers thus delegated shall be laid before the Board at its next meeting.]

12. Penalty, etc.— (1) Any person who contravenes or fails to comply with an order made or direction given under this Act shall be punishable as if he had contravened a provision of this Act.

(2) Any person who contravenes any provision of this Act shall be punishable with imprisonment for a term which may extend to three years or with fine or with both.

(3) Where any person as aforesaid is a company or a body corporate, every director, manager, secretary or other officer, and every agent and servant thereof, and in the case of an unlimited company or a company limited by guarantee, also any of its members, shall, subject to the provisions of the next succeeding sub-section, be punishable as if he had contravened the provisions of this Act.

(4) No such director, manager, secretary or other officer and no such agent, servant or member as is referred to in sub-section (3) shall be prosecuted under this Act unless he has been given an opportunity by the ²[Federal Government] to show cause, within such time as the ²[Federal Government] may specify, why he should not be prosecuted, and if it is made to appear to the satisfaction of the ²[Federal Government] at any time before the institution of the prosecution that he has used due diligence to enforce the observance of the provisions of this Act and the orders and directions issued thereunder and that the offence has been committed without his knowledge or against his consent, the ²[Federal Government] may forbear further proceedings against him:

Provided that nothing in this sub-section shall prevent the ²[Federal Government] from proceeding against him further if it sees reason to do so.

13. False statements. If any person—

- (i) when required by an order under this Act to make any statement or furnish any information, makes any statement or furnishes any information which is false in any material particular and which he knows or has reasonable cause to believe to be false, or does not believe to be true, or
- (ii) makes any such statement as aforesaid in any book, account, record, declaration, return or other documents which he is required by any such order to maintain or furnish,

he shall be punishable with imprisonment for a term which may extend to three years or with fine or with both.

¹Re-numbered and added by Act No. V of 1973, s. 2.

²Subs. by the Federal Adaptation of Laws Order, 1975 (P. O. No. 4 of 1975), Art. 2 and Table.

14. Power to make rules.—(1) The ¹[Federal Government] may, by notification in the official Gazette, makes rules for carrying out the purposes of this Act.

(2) Without prejudice to the generality of the foregoing power, such rules may prescribe the procedure for determining, whether by means of arbitration or otherwise, the loss that may be sustained by Government in securing the fulfilment of any contract on which an exporter has defaulted, and the manner in which the liability of the defaulter for such loss may be discharged by him.

(3) Rules made under this section shall be laid before the National Assembly at its meeting held next after the publication of the notification under sub-section (1).

15. Cognizance of offences. No court shall take cognizance of any offence punishable under this Act except on a report in writing of the facts constituting such offence made by a person who is a public servant as defined in section 21 of the Pakistan Penal Code (Act XLV of 1860).

16. Special provision regarding fines. Notwithstanding anything contained in section 32 of the Code of Criminal Procedure, 1898 (Act V of 1898), it shall be lawful for any Magistrate of the First Class specially empowered by the Provincial Government in this behalf to pass a sentence of fine exceeding one thousand rupees on any person convicted under this Act.

17. Presumption as to orders. Where an order purports to have been made and signed by an authority in exercise of any power conferred by or under this Act, a court shall, within the meaning of the Evidence Act, 1872 (I of 1872), presume that such order was so made by that authority.

18. ²[* * * * *]

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Date: 13-01-2025

¹Subs. by the Federal Adaptation of Laws Order, 1975 (P. O. No. 4 of 1975), Art. 2 and Table, for "Central Government".

²Rep By the Repealing and Amending Ordinance 1965 (10 of 1965), s.2 and 1st Sch.



THE COST AND MANAGEMENT ACCOUNTANTS ACT, 1966



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THE COST AND ¹[MANAGEMENT] ACCOUNTANTS ACT, 1966

²ACT NO. XIV OF 1966

[19th July, 1966]

An Act to make provision for the regulation of the profession of cost and ¹[management] accountants.

WHEREAS it is expedient to make provision for the regulation of the profession of cost and ¹[management] accountants and for that purpose to establish an Institute of ¹[management] accountants;

AND WHEREAS the national interest of Pakistan in relation to the achievement of uniformity within the meaning of clause (2) of Article 131 of the Constitution requires Central legislation in the matter;

It is hereby enacted as follows:—

CHAPTER I PRELIMINARY

1. Short title, extent and commencement.— (1) This Act may be called the ³[Cost and Management Accountants Act, 1966].

(2) It extends to the whole of Pakistan.

(3) It shall come into force on such date⁴ as the ⁵[Federal Government] may, by notification in the official Gazette, appoint in this behalf.

2. Definitions.— (1) In this Act, unless there is anything repugnant in the subject or context,—

(a) “associate” means an associate member of the Institute;

⁶[(aa) “cost and management accountant” means a person who is an associate or a fellow member of the Institute;]

(b) “Council” means the Council of the Institute:

(c) “dissolved company” means the company registered under the Companies Act, 1913, as the Pakistan Institute of Industrial Accountants;

¹Subs. by the Cost and Industrial Accountants (Amdt.) Act, 1976 (70 of 1976), s. 2, for “industrial”.

²For Statement of Objects and Reasons, see Gaz. of P. 1966, Ext., p.331 (R).

³Subs. *ibid.*, s. 3, for “Cost and Industrial Accountants Act, 1966”.

⁴i.e. the 20th day of August, 1966, see, Gaz., of P. 1966, Ext., dated the 18th August, 1966, p.557.

⁵Subs. by F.A.O., 1975, Art. 2 and Table for “Central Government”.

⁶New cl. (aa) ins. by Act 70 of 1976, s.4.

- (d) “fellow” means a fellow member of the Institute;
- (e) ¹* * * * *
- (f) “Institute” means the ²[Institute of Cost and Management Accountants of Pakistan] constituted under this Act;
- (g) “prescribed” means prescribed by regulations made under this Act;
- (h) “President” means the President of the Council;
- (i) “Register” means the Register of members of the Institute maintained under this Act;
- (j) “Vice-President” means the Vice-President of the Council;
- (k) “year” means the financial year.

(2) Save as otherwise provided in this Act, a member of the Institute shall be deemed “to be in practice” when, individually or in partnership with one or more members of the Institute in practice, he, in consideration of remuneration received or to be received,—

- (a) engages himself in the practice of cost and ³[management] accounting; or
- (b) offers to perform service involving the costing or pricing of goods or services, or the preparation, verification or certification of cost accounting and related statements, or holds himself out to the public as a cost and ³[management] accountant; or
- (c) renders professional service or assistance in or about matter of principles or detail relating to the cost and ³[management] accounting procedures, or the recording, presentation or the certification of costing facts or data; or
- (d) renders such other services as, in the opinion of the Council, are or may be rendered by [a cost and management] accountant;

and the expression “to be in practice”, with its grammatical variations and cognate expressions, shall be construed accordingly.

Explanation.— A member of the Institute who is a whole-time salaried employee of any person shall not be deemed “to be in practise” within the meaning of this sub-section.

CHAPTER II

⁴[INSTITUTE OF COST AND MANAGEMENT ACCOUNTANTS OF PAKISTAN].

¹Cl (e) omitted by the Cost and Industrial Accountants (Amdt.) Act, 1976 (70 of 1976), s.4.

²Subs. *ibid.*, for “Pakistan Institute of Industrial Accountants”.

³Subs. *ibid.* for “Industrial”.

⁴Subs. by the Cost and Industrial Accountants (Amdt.) Act 1976 (70 of 1976) s. 5, for heading “Pakistan Institute of Industrial Accountants.”

3. In Corporation of the Institute.— (1) All persons whose names are entered in the Register at the commencement of this Act and all persons who may hereafter have their names entered in the Register under the provisions of this Act, so long as they continue to have their names borne on the said Register are hereby constituted a body corporate by the name of the ¹[Institute of Cost and Management Accountants of Pakistan] and all such persons shall be known as members of the Institute.

(2) The Institute shall have perpetual succession and a common seal, and shall have power to acquire, hold and dispose of property, both movable and immovable, and shall by its name sue or be sued.

4. Entry of names in the Register.— (1) The following persons shall be entitled to have their names entered in the Register, namely:—

- (a) any person who was, immediately before the commencement of this Act, a fellow or associate of the dissolved company;
- (b) any person who has passed such examination and completed such training as may be prescribed for membership of the Institute;
- (c) any person who has passed such other examination and completed such other training outside Pakistan as is recognised by the ²[Federal Government], or by the Council with the approval of the ²[Federal Government], as being equivalent to the examination and training prescribed for membership of the Institute and, in case he is not permanently residing in Pakistan, fulfils such other conditions as the ²[Federal Government], or the Council with the approval of the ³[Federal Government], as the case may be, may deem fit to impose;
- (d) any person domiciled in Pakistan, who is, at the commencement of this Act, whether within or without Pakistan,
 - (i) studying for any foreign examination and also undergoing training and passes such examination and completes such training within three years of such commencement, or
 - (ii) undergoing training, having passed any such foreign examination, and completes such training within the said period,

if such foreign examination and training are recognised by the ²[Federal Government], or by the Council with the approval of ²[Federal Government], as being equivalent to the examination and training prescribed for membership of the Institute.

(2) The Council shall, as early as possible, take such steps as may be necessary for having the names of all such persons as are mentioned in clause (a) of sub-section (1) entered in the Register without any application being made in that behalf or the payment of any fee and the name of every such person so entered shall be deemed to have been entered at the commencement of this Act for the purpose of sub-section (1) of section 3.

¹Subs. *ibid.* s.6, for “Pakistan Institute of Industrial Accountants”.

²Subs. by F.A.O, 1975, Art. 2 and Table for “Central Government”.

(3) Every person belonging to any of the classes mentioned in clauses (b), (c) and (d) of sub-section (1) may have his name entered in the Register on an application made to and granted by the Council in the prescribed manner and on payment of the prescribed fee.

5. Associates and fellows.— (1) Save as otherwise provided in the Act, the members of the Institute shall be divided into two classes designated as fellows and associates.

(2) A person, other than a person mentioned in sub-section (3), shall, on his name being entered in the Register, be an associate and, so long as his name remains so entered, shall be entitled to use the letters ¹[A.C.M.A.] after his name to indicate that he is an associate of the Institute.

(3) The name of a person who was, immediately before the commencement of this Act, a fellow of the dissolved company shall be entered in the Register as a fellow of the Institute and such person, so long as his name remains so entered, shall be entitled to use the letters ²[F.C.M.A.] after his name to indicate that he is a fellow of the Institute.

(4) A person who has been an associate for a continuous period of not less than five years and who possesses such qualifications as the Council may prescribe, may apply to the Council for admission as fellow; and if the Council grants his application his name shall be entered in the Register as a fellow.

Explanation.— In computing the continuous period during which a person has been an associate of the Institute there shall be included any continuous period during which he has been an associate of the dissolved company immediately before he became an associate of the Institute.

(5) The decision of the Council on an application under sub-session (4) shall be final.

6. Certificate of practice.— (1) No member of the Institute shall be entitled to practice within Pakistan unless he holds a certificate of practice granted by the Council.

(2) The Council may grant a certificate of practice to a member of the Institute who applies in the prescribed form and pays the prescribed annual fee for such certificate.

(3) Every member holding a certificate of practice shall pay the annual fee for every year which shall be due on the first day of July of that year.

(4) A certificate or practice shall be liable to be cancelled for default in payment of the annual fee for any year.

7. Members to be known as ³[Cost and Management Accountants].— (1) Every member of the Institute in practice shall, and every other member may, use the designation of ¹[Cost and Management Accountant].

(2) No member of the Institute in practice using the designation of ³[Cost and Management Accountant] shall use, whether in addition thereto or in substitution therefore, any other costing designation:

¹Subs. by the Cost and Industrial Accountants (Amdt.) Act, 1976 (70 of 1976), s. 7, for “A.P.I.A.”

²Subs. *ibid.*, s. 7, for “F.P.I.A.”

³Subs. by the Cost and Industrial Accountants (Amdt.) Act, 1976 (70 of 1976) s. 8, for “Industrial Accountants”.

Provided that nothing in this sub-section shall be deemed to prohibit any such member from adding any other description or designatory letters to his name, if entitled thereto, to indicate membership of such other institute of accountancy whether in Pakistan or elsewhere, as may be recognised by the Council in this behalf, or any other qualification that he may possess, or to prohibit a firm, all the partners of which are members of the Institute in practice, from being known by its firm name as ¹[Cost and Management Accountants].

8. Disabilities. Notwithstanding anything contained in section 4 a person shall not be entitled to have his name entered in or borne on the Register if he—

- (i) has not attained the age of twenty-one years at the time of his application for the entry of his name in the Register; or
- (ii) is of unsound mind and stands so adjudged by a competent court; or
- (iii) is an undischarged insolvent; or
- (iv) having been discharged of insolvency, has not obtained from the court a certificate stating that his insolvency was caused by misfortune without any misconduct on his part; or
- (v) has been convicted by a competent court, whether within or without Pakistan, of an offence involving moral turpitude and punishable with ²* * imprisonment, or of an offence, not of a technical nature, committed by him in his professional capacity unless in respect of the offence committed he has either been granted a pardon, or, on an application made by him in this behalf, the ³[Federal Government] has, by an order in writing, removed the disability; or
- (vi) has been removed from the membership of the Institute on being found on inquiry to have been guilty of professional or other misconduct:

Provided that a person who has been removed from membership for a specified period shall not be entitled to have his name entered in the Register until the expiry of such period.

THE PAKISTAN CODE

CHAPTER III COUNCIL OF INSTITUTE

9. Constitution of the Council.— (1) There shall be a Council of the Institute for the management of the affairs of the Institute and for discharging the functions assigned to it under this Act.

(2) The First Council shall be composed of such of the members of the Council of the dissolved company as are entitled to have their names entered in the Register as fellows; and every other Council shall be composed of the following members, namely:—

¹Subs. by the Cost and Industrial Accountants (Amdt.) Act, 1976 (70 of 1976) s. 8, for “Industrial Accountants”.

²The words “transportation or “ omitted by the Cost and Industrial Accountants (Amdt.) Act, 1976, (70 of 1976), s. 9.

³Subs. by F.A.O., 1975, Art. 2 and Table, for “Central Government”.

- (a) the first President of the dissolved company;
- (b) not more than eight persons elected by members of the Institute from amongst the fellows of the Institute; and
- (c) not more than four persons nominated by the ¹[Federal Government].

10. Election of the Council.— (1) Election of the members of the Council mentioned in clause (b) of sub-section (2) of section 9 shall be held at the annual general meeting of the Institute in such manner as may be prescribed.

(2) Where any dispute arises regarding any such election, it shall be referred by the Council to a Tribunal appointed by the ¹[Federal Government] in this behalf and the decision of such Tribunal shall be final:

Provided that no such reference shall be made except on an application made to the Council by an aggrieved party supported by at least five members of the Institute who had attended the election, within thirty days from the date of the declaration of the result of the election.

(3) The expenses of the Tribunal shall be borne by the Institute or by the aggrieved party as may be ordered by the Tribunal.

(4) If the members of the Institute fail to elect any of the members of the Council mentioned in clause (b) of sub-section (2) of section 9, the ¹[Federal Government] may nominate any person duly qualified for the purpose to fill the vacancy, and the person so nominated shall be deemed to have been duly elected under that clause.

11. President, Vice-President, Secretary and Treasurer.— (1) The Council shall, at its first meeting elect from amongst its members the following honorary office bearers, namely:—

- (a) a President;
- (b) a Vice-President;
- (c) a Secretary; and
- (d) a Treasurer.

(2) If the Council fails to elect any of the honorary office bearers within one month of the election of its members mentioned in clause (b) of sub-section (2) of section 9, the ¹[Federal Government] may appoint, from amongst the members of the Council, any person duly qualified for the purpose to fill the vacancy, and the person so appointed shall be deemed to have been duly elected by the Council on the date of such appointment

(3) The President shall be the chief executive authority of the Council.

¹Subs. by F.A.O., 1975, Art, 2 and Table, for “Central Government”.

(4) Save as provided in sub-section (5), the President and other office bearers shall, subject to their continuance as members of the Council, hold their respective offices from the date on which they are elected or deemed to have been elected until the expiry of the duration of the Council.

(5) Notwithstanding the expiry of their term of office under sub-section (4), the President and other office bearers shall continue to perform their functions until their successors are elected by the new Council.

(6) Where the President or any other office bearer resigns from his office or ceases to be a member of the Council, the Council shall elect from amongst its members a new President or other office bearer, as the case may be.

(7) If the Council fails to elect a new President or office bearer as provided in sub-section (6), the ¹[Federal Government] may appoint, from amongst the members of the Council, any person to fill the vacancy, and the person so appointed shall be deemed to have been duly elected by the Council on the date of such appointment.

12. Resignation of membership and casual vacancies.— (1) Any member of the Council may at any time resign his membership by writing under his hand addressed to the President, and the seat of such member shall become vacant when such resignation is notified in the official Gazette.

(2) A member of the Council shall be deemed to have vacated his seat if he is declared by the Council to have been absent without sufficient excuse from three consecutive meetings of the Council, or if his name is, for any cause, removed from the Register under the provisions of section 20.

(3) A casual vacancy in the Council may be filled by nomination by the ¹[Federal Government,] and the person nominated to fill the vacancy shall hold office until the expiry of the duration of the Council.

(4) No act done by the Council shall be called in question on the ground merely of the existence of any vacancy in, or defect in the constitution of the Council.

13. Duration and dissolution of Council.— (1) The duration of a Council shall be three years from the date of its first meeting on the expiry of which a new Council shall be constituted in accordance with the provisions of this Act.

(2) A Council shall, notwithstanding the expiry of its duration under sub-section (1) continue to perform its function until a new Council is constituted whereupon the Council so functioning shall stand dissolved.

14. Functions of the Council.— (1) The Council shall exercise such powers and perform such functions as may be necessary to carry out the purpose of this Act.

(2) In particular, and without prejudice to the generality of the foregoing provision, the powers and functions of the Council shall include—

- (a) the examination of candidates for membership of the Institute and the prescribing of fees for such examination;
- (b) the registration and training of students;

¹Subs. by F.A.O., 1975, Art. 2 and Table, for “Central Government”.

- (c) the prescribing of qualifications for entry of persons as members of the Institute;
- (d) the recognition of foreign qualifications and training or experience for purposes of membership of the Institute;
- (e) the refusal, granting and cancellation of certificates of practice;
- (f) the maintenance of the Register and publication of the list of members of the Institute and also the names of the members who hold certificates of practice;
- (g) the levy and collection of fees from members, students, examinees and other persons;
- (h) the removal of names from the Register and restoration to the Register of names which have been removed;
- (i) the regulation and maintenance of the status and standard of professional qualifications of the members of the Institute;
- (j) the carrying out, by financial assistance to persons other than members of the Council or in any other manner, of research in cost and ¹[Management] accounting;
- (k) the maintenance of libraries and publication of books and periodicals relating to cost and ¹[Management] accounting and allied subjects;
- (l) the exercise of such disciplinary powers over the members and servants of the Institute as may be prescribed; and
- (m) the exercise of such other powers and the performance of such other functions as are required to be, or may be, exercised or performed by the Council under this Act or regulations made thereunder.

15. Staff remuneration and allowances.— (1) For the efficient performance of its functions, the Council may—

- (a) appoint such officers and servants as it may consider necessary;
- (b) require and take from employees of the Institute such security for the due performance of their duties as it may consider necessary;
- (c) fix the salaries, fees, allowances and other conditions of service of the employees of the Institute; and
- (d) with the previous sanction of the ²[Federal Government,] fix the allowances of the President, the Vice-President, the Secretary, the Treasurer and other members of the Council and its Committees.

¹Subs. by the Cost and Industrial Accountants (Amdt.) Act, 1976 (70 of 1976) s.10 for “industrial”.

²Subs. by F.A.O., 1975, Art. 2 and Table for “Central Government”.

16. Committees of the Council.— (1) The Council shall constitute the following Standing Committees, namely:—

- (a) an Executive Committee;
- (b) an Education Committee;
- (c) an Examination Committee; and
- (d) a Disciplinary Committee.

(2) The Council may also constitute such other Committees as it deems necessary for the purpose of carrying out the provisions of this Act.

(3) The executive Committee shall consist of the President, the Vice-President and three other members nominated by the Council from amongst its members.

(4) The Education Committee shall consist of the President and such other members nominated by the Council from amongst its members as may be prescribed.

(5) The Examination Committee shall consist of the President, or the Vice-President, as the Council may decide, and such other members, nominated by the Council from amongst its members as may be prescribed.

(6) The Disciplinary Committee shall consist of the President and two other members of the Council, one of whom shall be nominated by the ¹[Federal Government] and the other by the Council.

(7) Every other Committee shall consist of such members as the Council may decide.

(8) The President shall be the Chairman of every Committee of which he is a member, and in his absence, the Vice-President, if he is a member of the Committee, shall be the Chairman.

(9) The Standing Committees shall perform such functions as may be prescribed and the other Committees, shall perform such functions as the Council may direct.

17. Branch Councils.— (1) For the purpose of advising and assisting it in the discharge of its functions, the Council may constitute one or more Branch Councils as and when it considers necessary.

(2) A Branch Council shall be constituted in such manner and perform such functions as may be prescribed.

(3) The Council may, at any time, dissolve any Branch Council constituted under sub-section(1).

18. Finances of the Council.— (1) There shall be established a fund under the management and control of the Council into which shall be paid all moneys received by the Council and out of which shall be met all expenses and liabilities properly incurred by the Council.

¹Subs. by F.A.O., 1975, Art. 2 and Table for “Central Government”.

(2) The Council may invest any money for the time being standing to the credit of the fund in any Government security or in any other security approved by the Council.

(3) The Council shall cause maintenance of proper accounts of the funds distinguishing capital from revenue.

(4) The annual accounts of the Institute shall be subject to audit by chartered accountant within the meaning of the Chartered Accountants Ordinance, 1961 (X of 1961):

Provided that no member of the Council or person who is in partnership with such member shall be eligible for appointment as an auditor under this sub-section.

(5) As soon as may be practicable after the close of each year, but not later than the thirtieth day of November next following, the Council shall cause to be published a copy of the audited accounts and the Report of the Council for that year and copies of the said accounts and Report shall be forwarded to the ¹[Federal Government] and to all the members of the Institute.

(6) The Council may borrow from a scheduled bank as defined in the State Bank of Pakistan Act, 1956, (XXXIII of 1956) or from the ¹[Federal Government]:—

- (a) any money required for meeting its liability on capital account on the security of the funds or on the security of any other assets for the time being belonging to it; or
- (b) for the purpose of meeting current liabilities by way of temporary loans or overdraft pending the receipt of income.

CHAPTER IV

REGISTER OF MEMBERS

19. Register.— (1) The Council shall maintain in the prescribed manner a Register of the members of the Institute.

(2) The Register shall include the following particulars about every member of the Institute, namely:—

- (a) his full name, date of birth, domicile, residential and professional addresses;
- (b) the date on which his name is entered in the Register;
- (c) his qualifications;
- (d) whether he holds a certificate of practice; and
- (e) such other particulars as may be prescribed.

(3) The Council shall cause to be published in such manner as may be prescribed a list of members of the Institute as on the first day of July of each year, and a copy of the list shall be sent to every member of the Institute.

¹Subs. by F.A.O., 1975, Act. 2 and Table for “Central Government”.

(4) Every member of the Institute shall, on his name being entered in the Register, pay such annual membership fee as may be prescribed and different fees may be prescribed for associates and for fellows.

20. Removal of name from the Register.— (1) The Council may remove from the Register the name of any member of the Institute:—

- (a) who is dead; or
- (b) from whom a request has been received to that effect; or
- (c) who has not paid any prescribed fee payable by him; or
- (d) who is found to have been subject, at the time when his name was entered in the Register, or who, at any time thereafter, has become subject, to any of the disabilities mentioned in section 8, or who, for any other reason, has ceased to be entitled to have his name borne on the Register.

(2) The Council shall remove from the Register the name of any member who is not entitled to remain a member under this Act.

¹[(3) Before removing from the Register the name of any member under clause (c) or clause (d) of sub-section (1) or sub-section (2), the Council shall afford him an opportunity of being heard.]

CHAPTER V PENALTIES

21. Penalty for falsely claiming to be a member, etc. A person shall, without prejudice to his liability to any disciplinary measure prescribed under section 34, be punishable, on first conviction, with fine which may extend to one thousand rupees, and, on any subsequent conviction, with imprisonment which may extend to six months, or with fine which may extend to five thousand rupees, or with both if he—

(1) not being a member of the Institute, represents that he is a member of the Institute, or uses the designation of Cost and ²[Management Accountant or the letters A.C.M.A., F.C.M.A.]; or

(2) being a member of the Institute but not having a certificate of practice, represents that he is in practice or practices as ²[a cost and management accountant], cost accountant or works accountant or in some similar profession in the field of cost and ³[management accounting].

22. Penalty for using the name of the Council etc.— Save as otherwise provided in this Act, no person shall—

- (a) use any name or common seal which is identical with the name or the common seal of the Institute or so nearly resembles it as to deceive or as be likely to deceive the public; or

¹Added by the Cost and Management Accountants (Amdt.) Ordinance, 1984, (2 of 1984), s. 2.

²Subs. by the Cost and Industrial Accountants (Amdt.) Act, 1976 (70 of 1976), s. 11, for “Industrial Accountant or letters A.P.I.A., F.P.I.A.”.

³Subs. *ibid*, for “industrial accounting”.

- (b) grant or confer any degree, diploma, certificate or designation which indicates or purports to indicate the possession or attainment of any qualification or competence in cost and ¹[management] accounting similar to that of a member of the Institute.

(2) Any person contravening the provisions of sub-section (1) shall, without prejudice to any other proceedings which may be taken against him, be punishable, on first conviction, with fine which may extend to one thousand rupees, and, on any subsequent conviction, with imprisonment which may extend to six months or with fine which may extend to five thousand rupees or with both.

(3) Nothing contained in this section shall apply to any University established by law or to any institution affiliated thereto.

(4) If the ²[Federal Government] is satisfied that any diploma, certificate or designation granted or conferred by any person other than the Institute, which purports to be a qualification in cost or ³[management] accounting but which, in the opinion of the ²[Federal Government] falls short of the standard of qualifications prescribed for cost or ¹[management] accountants and does not in fact indicate or purport to indicate the possession or attainment of any qualifications or competence in cost or ¹[management] accounting similar to that of a member of the Institute, it may, by notification in official Gazette and subject to such conditions as it may think fit to impose, declare that this section shall not apply to such diploma, certificate or designation.

23. Companies not to engage in ³[cost and management accountancy] in Pakistan.—

(1) No company, whether incorporated in Pakistan or elsewhere, shall practice as cost or ¹[management] accountants in Pakistan.

(2) If any company contravenes the provisions of sub-section (1) then, without prejudice to any other proceedings which may be taken against the company, every director, manager, secretary and other officer of such company, who is knowingly a party to such contravention, shall be punishable with fine which may extend, on first conviction, to one thousand rupees and, on any subsequent conviction, to five thousand rupees.

24. Unqualified persons not to sign documents.—(1) No person, other than a member of the Institute, shall sign any document on behalf of ⁴[a cost and management accountant] or a firm of ⁵[cost and management accountants] in his or its professional capacity.

(2) Any person contravening the provisions of sub-section (1) shall be punishable with fine which may extend, on first conviction, to one thousand rupees and, on any subsequent conviction to five thousand rupees.

25. Offences by companies.—(1) If the person committing an offence under this Act is a company, the company as well as every person incharge of, and responsible to, the company for the conduct of its business at the time of the commission of the offence shall be deemed to be guilty of the offence and shall be liable to be proceeded against and punished accordingly:

¹Subs. *ibid.*, s. 4, for “industrial”.

²Subs. by F.A.O., 1975, Art. 2 and Table, for “Central Government”.

³Subs. by the Cost and Industrial Accountants (Amdt.) Act, 1976 (70 of 1976), s. 13, for “industrial accountancy”.

⁴Subs. *ibid.*, s. 14, for “an industrial accountant”.

⁵Subs. *ibid.*, for “industrial accountants”.

Provided that nothing contained in this sub-section shall render any such person liable to any punishment if he proves that the offence was committed without his knowledge or that he exercised all due diligence to prevent the commission of such offence.

Notwithstanding anything contained in sub-section (1), where an offence under this Act has been committed by a company and it is proved that the offence has been committed with the consent or connivance of, or that the commission of the offence is attributable to any neglect on the part of, any director, manager, secretary or other officer of the company, such director, manager, secretary or other officer shall also be deemed to be guilty of that offence and shall be liable to be proceeded against and punished accordingly.

Explanation.— For the purpose of this section—

- (a) ‘company’ with respect to an offence under section 21 or section 24, means any body corporate and includes a firm or other association of individuals and, with respect to an offence under section 23, a body corporate; and
- (b) ‘director’ in relation to a firm means a partner in the firm.

26. Sanction to prosecute. No person shall be prosecuted under this Act except on a complaint made by or under the order of the Council or of the ¹[Federal Government].

CHAPTER VI

DISSOLUTION OF THE EXISTING INSTITUTE OF INDUSTRIAL ACCOUNTANTS.

27. Dissolution of the Institute registered under Act VII of 1913. On the commencement of this Act,—

(1) the company registered under the Companies Act, 1913 as, the Pakistan Institute of Industrial Accountants shall stand dissolved and thereafter no person shall make, asset or take any claims, demands or proceedings against the dissolved company or against any officer thereof in his capacity as such officer, except in so far as may be necessary for enforcing the provisions of this Act;

(2) the right of every member to or in respect of the dissolved company shall be extinguished, and thereafter no member of that company shall make, assert or take any claims or demands or proceedings in respect of that company except as provided in this Act.

28. Assets and liabilities of the dissolved company.— (1) On the commencement of this Act, there shall be transferred to and vested in the Institute all the assets and liabilities of the dissolved company.

(2) The assets of the dissolved company shall be deemed to include all rights and powers, and all property, whether moveable, or immoveable, of the company, including, in particular, cash balance, reserve funds, investment deposits and all other interests and rights in or arising out of such property as may be in the possession of the dissolved company; and all books of accounts or documents, of the dissolved company, and the liabilities of the dissolved company shall be deemed to include all debts, liabilities and obligations of whatever kind of that company existing immediately before the commencement of this Act.

¹Subs. by F.A.O., 1975, Art. 2 and Table, for “Central Government”.

(3) All contracts, debts, bonds, agreements and other instruments of whatever nature to which the dissolved company is a party, subsisting or having effect immediately before the commencement of this Act, shall have full force and effect against or in favour of the Institute, as the case may be, and may be enforced as fully and effectively as if, instead of the dissolved company, the Institute had been a party thereto.

(4) If, on the commencement of this Act, any suit, appeal or other legal proceedings of whatsoever nature by or against the dissolved company is pending the same shall not abate, be discontinued or be in any way prejudicially affected, by reason of the transfer to the Institute of the assets and liabilities of the dissolved company or of anything contained in this Act, but the suit, appeal or other proceedings may be continued, prosecuted and enforced by or against the Institute, in the same manner and to the same extent as it would have been continued, prosecuted and enforced by or against the dissolved company if this Act had not been passed.

29. Employees of the dissolved Company.— (1) Every person employed in dissolved company immediately before the commencement of this Act shall, as from such commencement become an employee of the Institute and shall hold his office or service therein upon the same terms and conditions, and with the same rights and privilege as to pension and gratuity, as would have applied to him in his office or service under the dissolved company if this Act had not been passed, and shall continue to do so until his employment in the Institute is terminated or his remuneration or other terms and conditions of employment are duly altered by the Institute.

(2) Notwithstanding anything contained in any law for time being in force, or in any contract, the transfer of the services of any employee of the dissolved company to the Institute shall not entitle any such employee to any compensation under such law or contract and no such claim shall be entertained by any court, tribunal or authority.

CHAPTER VII

MISCELLANEOUS

30. Alteration in the Register and cancellation of certificate.— (1) Where an order is made under this Act reprimanding a member of the Institute, a record of the punishment shall be entered against his name in the Register.

(2) Where the name of any, member is removed from the Register, the certificate of membership and the certificate of practice, if any granted to him shall be recalled and cancelled.

31. Protection of action taken in good faith. No suit, prosecution or other legal proceedings shall lie against the ¹[Federal Government] or the Council in respect of anything which is in good faith done or intended to be done in pursuance of this Act or of any regulation or order made thereunder.

32. Maintenance of branch offices.— (1) Where ²[cost and management accountant] or a firm of ³[cost and management accountants] has more than one offices in Pakistan each one of such office shall be in the separate charge of a member of the Institute:

¹Subs. by F.A.O., 1975, Art.2 and Table, for “Central Government”.

²Subs. by the Cost and Industrial Accountants (Amdt.) Act. 1976 (70 of 1976) s.15 for “an industrial accountant”.

³Subs. *ibid.*, for “industrial accountants”.

Provided that the Council may in suitable cases exempt any ¹[cost and management accountant] or a firm of ²[cost and management accountants] from the operation of this sub-section.

(2) Every ¹[cost and management accountant] in practice or firm of such accountants maintaining more than one offices shall send to the Council a list of offices together with the names of the persons in charge thereof and shall keep the Council informed of any change in relation thereto.

33. Reciprocity.—(1) Where any country specified by the ³[Federal Government] in this behalf, by notification in the official Gazette, prevents persons of Pakistan domicile from becoming members of any institute similar to the Institute, or from practicing the profession of cost and ⁴[management] accounting or subjects them to unfair discrimination in that country, no citizen of that country shall be entitled to be a member of the Institute or practice the profession of cost and ⁴[management] accounting in Pakistan.

(2) Subject to the provisions of sub-section (1), the Council may prescribe the conditions, if any, subject to which foreign qualifications relating to cost and ⁴[management] accounting shall be recognised for the purpose of entry in the Register.

34. Power to make regulations.—(1) The council may, by notification in the official Gazette, make regulations for carrying out the purposes of this Act.

(2) In particular, and without prejudice to the generality of the foregoing powers, such regulations may provide for all or any of the following matters, namely:—

- (a) the standard and conduct of examinations under this Act;
- (b) the qualifications for entry of the name of any person in the Register as a member of the Institute;
- (c) the qualification for the purpose of sub-section (4) of section 5;
- (d) the conditions under which any examination or training may be treated as equivalent to the examination or training prescribed for membership of the Institute;
- (e) the conditions under which any foreign qualification may be recognised;
- (f) the manner in which and the conditions subject to which applications for entry in the Register may be made;
- (g) the fees payable for membership of the Institute and the annual fees payable for certificates of practice ;
- (h) the manner in which election to the Council and the Branch Councils may be held;
- (i) the particulars to be entered in the Register;

¹Subs. *ibid.* for “Industrial account”.

²Subs. *ibid.*, for “industrial accountants”.

³Subs. by F.A.O., 1975, Art. 2 and Table, for “Central Government”.

⁴Subs. *ibid.* s. 16 for “Industrial”.

- (j) the functions of Branch Councils;
- (k) the regulations and maintenance of the status and standard of professional qualifications of members of the Institute;
- (l) the carrying out of research in cost and ¹[management] accounting;
- (m) the maintenance of libraries and publication of books and periodicals relating to cost and ¹[management] accounting and allied subjects;
- (n) the management of the property of the Institute and the maintenance and audit of its accounts;
- (o) the summoning and holding of meetings of the Council and committees thereof, the times and places of such meetings, the procedure to be followed thereat and the number of members necessary to form a quorum;
- (p) recording and certifying minutes of meetings of the Council and the annual general meetings and extraordinary meetings;
- (q) appointment and removal of auditors of the Institute;
- (r) the manner in which the annual list of members of the Institute shall be published;
- (s) the power, duties and functions of the President and Vice-President;
- (t) the functions of the Standing Committees and other Committees and the conditions subject to which such functions shall be discharged;
- (u) the terms of office, and the powers, duties and functions of the Secretary, Treasurer, and the other employees of the Council;
- (v) rules of professional and other conduct and the exercise of disciplinary powers in relation thereto;
- (w) the terms and conditions of service of the employees of the Institute including persons who have become its employees under section 29;
- (x) the registration of students and the fees to be charged for such registration; and
- (y) any other matter which is required to be or may be prescribed under this Act.

(3) All Regulations made by the Council under this Act shall be subject to the condition of previous publication and to the approval of the ²[Federal Government].

(4) The Council shall, as soon as practicable, send a copy of any Regulation made by it to every member of the Institute.

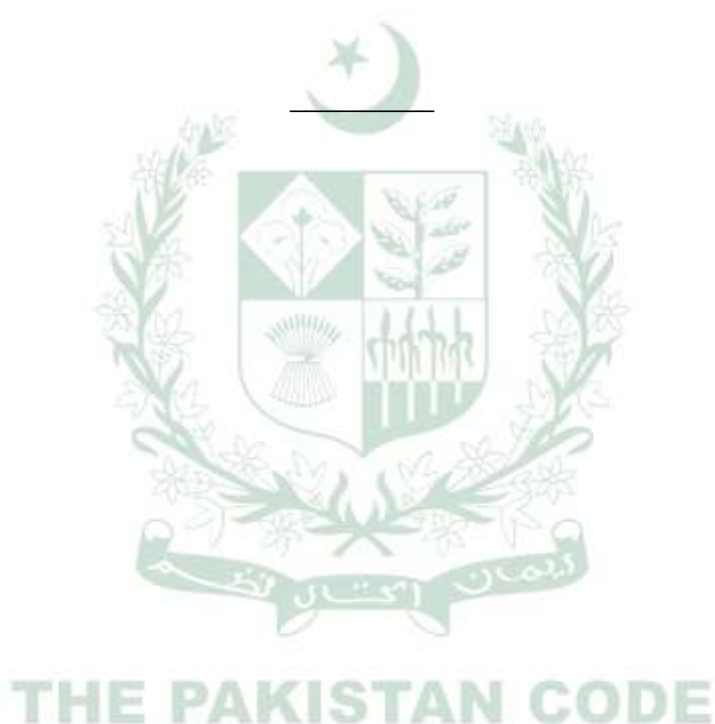
¹Subs. by the Cost and Industrial Accountants (Amdt.) Act, 1976 (70 of 1976), s. 17, for "industrial".

²Subs. by F.A.O., 1975, Art. 2 and Table, for "Central Government".

(5) Notwithstanding anything contained in this section, the ¹[Federal Government] may make the first ²regulations of the Council and such regulations shall be deemed to have been made by the Council and shall have effect accordingly.

35. Power to give directions for making regulations, etc.— (1) Where the ¹[Federal Government] considers it expedient so to do, it may, by order in writing, direct the Council to make any regulation, or to amend or rescind any regulation already made, within such period as it may specify in this behalf.

(2) If the Council fails or neglects to comply with such direction within the specified period, the ¹[Federal Government] may make or amend, with or without modifications, or rescind, any regulation directed to be made, amended or rescinded; and any regulation so made, amended or rescinded by the ¹[Federal Government] shall be deemed to have been made, amended or rescinded by the Council and shall have effect accordingly.



¹Subs. by F.A.O., 1975, Art. 2 and Table, for "Central Government".

²For such Regulations, see Gaz. of P., 1966, Ext. p. 559.

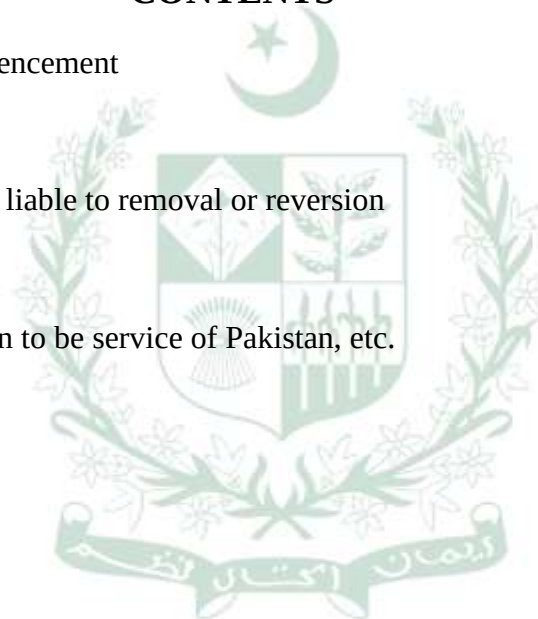


THE CORPORATION EMPLOYEES (SPECIAL POWERS) ORDINANCE, 1978 ORDINANCE XIII OF 1978



CONTENTS

1. Short title and commencement
2. Definitions
3. Certain persons to be liable to removal or reversion
4. Representation
5. Service of corporation to be service of Pakistan, etc.



THE PAKISTAN CODE

THE CORPORATION EMPLOYEES (SPECIAL POWERS) ORDINANCE, 1978

ORDINANCE XIII OF 1978

[19th March, 1978]

An ordinance to invest the President with certain powers in respect of persons in Corporation service;

WHEREAS it is expedient to invest the President with certain powers in respect of persons in Corporation service;

AND WHEREAS the President is satisfied that circumstances exist which render it necessary to take immediate action;

NOW, THEREFORE, in pursuance of the Proclamation of the fifth day of July 1977, read with the Laws (Continuance in Force) Order, 1977 (C. M. L. A. Order No. 1 of 1977), and in exercise of all powers enabling him in that behalf, the President is pleased to make and promulgate the following Ordinance :—

1. Short title and commencement.—(1) This Ordinance may be called the Corporation Employees (Special Powers) Ordinance, 1978.

(2) It shall come into force at once.

2. Definitions. In this Ordinance, unless there is anything repugnant in the subject or context, “person in Corporation service” means every person who is in the employment of a corporation or an institution set up established, managed or controlled by the Federal Government, and includes the Chairman and the Managing Director of, and the holder of any other office in, such corporation or institution.

3. Certain persons to be liable to removal or reversion. Notwithstanding anything contained in any law for the time being in force, or in the terms and conditions of service a, person in corporation service appointed or promoted during the period from the first day of January 1972, to the fifth day of July, 1977, may be removed from service or reverted to his lower post or grade, as the case may be, without notice, by the President, or a person authorised by him in this behalf, on such date as the President, or as the case may be, the person so authorised may, in the public interest, direct.

4. Representation. A person who is removed from service or reverted to a lower post or grade under section 3 may, within fifteen days from the date of receipt of order of removal or reversion prefer a representation to the President ;

Provided that, where the order of removal or reversion has been made by the President, such person may, within the time aforesaid, submit to the President a petition for review of the order.

5. Service of corporation to be service of Pakistan etc. Service of a corporation is hereby declared to be service of Pakistan and every person in corporation service who is removed from service, or reverted to a lower post or grade, under this Ordinance, not being a person who is on deputation to a corporation from any Province, shall be deemed to be a civil servant for the purposes of the Service Tribunals Act, 1973 (LXX of 1973).



THE CONTROL OF EMPLOYMENT ORDINANCE, 1965



CONTENTS

1. Short title, extent, application and commencement.
2. Definitions.
3. Manpower Council.
4. Manpower Board.
5. Functions and powers of the Board.
6. Obligation to comply with the order or direction of the Board, etc.
7. Reinstatement of person released under the orders of the Board.
8. Advisory Committee.
9. Manpower Tribunal.
10. Wetified industrial undertakings.
11. False statements.
12. Offences by Industrial undertakings.
13. Penalty and procedure.
14. Service of notice, etc.
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16. Power to make rules.
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THE CONTROL OF EMPLOYMENT ORDINANCE, 1965

¹ORDINANCE NO. XXXII OF 1965

[18th September, 1965]

An Ordinance to provide for the collection of information relating to employment in industrial undertakings and availability of persons therefor, and for the control and distribution of such employment, and matters connected therewith or incidental thereto.

WHEREAS it is expedient to provide for the collection of information relating to employment in industrial undertakings and availability of persons therefore, and for the control and distribution of such employment, and matters connected therewith or incidental thereto;

AND WHEREAS a Proclamation of Emergency issued under clause (1) of Article 30 of the Constitution is in force;

AND WHEREAS the President is satisfied that immediate legislation is necessary to meet the emergency;

NOW, THEREFORE, in exercise of the powers conferred by clause (4) of Article 30 of the Constitution, read with clause (2) of Article 131 thereof, and of all other powers enabling him in that behalf, the President is pleased to make and promulgate the following Ordinance:—

1. Short title, extent, application and commencement.—(1) This Ordinance may be called the Control of Employment Ordinance, 1965.

(2) It extends to the whole of Pakistan, and also applies to all citizens of Pakistan, and vehicles, vessels and aircraft registered in or chartered for Pakistan wherever they may be.

(3) It shall come into force at once ²[and shall be deemed to have taken effect on the eighth day of September, 1965].

2. Definitions.— In this Ordinance, unless there is anything repugnant in the subject or context, —

- (1) “Board” means a Manpower Board constituted under section 4;
- (2) “essential personnel” has the same meaning as assigned to it in clause (a) of section 2 of the Essential Personnel (Registration) Ordinance, 1948 (X of 1948), as amended from time to time;
- (3) “essential” work means any work relating to the manufacture, production, maintenance or repair of arms, ammunition and equipment or other supplies and any other work which the ¹[Federal Government] or the Provincial Government may, by notification in the official Gazette, declare to be essential work for the purposes of this Ordinance ;

¹Approved by the National Assembly of Pakistan on 26th November, 1965, see Gaz. of P., 1965, Ext., pp. 1424 -1429.

This Ordinance has been applied to the Provincially Administered Tribal Areas or the parts or those areas to which it does not already apply, see, Regulation No. I of 1972, s. 2 and Sch.

²Added by the Control of Employment (Second Amdt.) Ordinance, 1965 (55 of 1965), s. 2.

¹Subs.by F.A.O., 1975 ,Art.2 and Table, for “CentralGovernment”

- (4) “industrial undertaking” means,—
- (a) any concern engaged in—
 - (i) the manufacture or production of any article or commodity,
 - (ii) the supply or distribution of light, power, gas or water,
 - (iii) the supply or maintenance of any kind of mechanised transport;
 - (b) any concern engaged in installing equipment or erecting premises or preparing and producing designs for, or testing the products of, any concern referred to in sub-clause (a);
 - (c) any technical training establishment or centre; and
 - (d) any other undertaking which the ¹[Federal Government] or the Provincial Government may, by notification in the official Gazette, declare to be an industrial undertaking for the purposes of this Ordinance ;
- (5) “Manpower Council” means the National Manpower Council set up by the ¹[Federal Government] in the Labour and Social Welfare Division ;
- (6) “prescribed” means prescribed by rules made under this Ordinance; and
- (7) “Tribunal” means a Manpower Tribunal constituted under section 9.

3. Manpower Council.—(1) The ¹[Federal Government] shall be the policy-making body as regards the purposes of this Ordinance ²[and be responsible for co-ordinating manpower problems with the object of bringing a national approach to the labour-supply policy during an emergency] and may issue such directions in connection with the effective use of manpower to the Provincial Governments and the Manpower Board as it may consider necessary.

(2) For the efficient performance of its functions under this Ordinance, the ¹[Federal Government] may—

- (a) call for such information from the Provincial Governments as it may consider necessary;
- (b) co-ordinate the work of the Manpower Board; and
- (c) appoint such specialised agency to assist it as it may consider necessary.

4. Manpower Board.—³(1) The Provincial Government shall constitute a Manpower Board consisting of—

- (i) the Secretary of the Labour Department of the Provincial Government, who shall be the Chairman of the Board;
- (ii) one member to represent the Industries Department of the Provincial Government, to be nominated by the Department;
- (iii) a Deputy Secretary in the Finance Department of the Provincial Government, to be nominated by that Department;
- (iv) one member to represent the General Headquarters, to be nominated by that Headquarters;
- (v) one member to represent the Railway Board of the Province, to be nominated by that Board;

¹ Subs. by F.A.O., 1975, Art. 2 end table for “Central Government”, which was previously amended by Ord. 35 of 1971, s. 2, for “Manpower Council”.

² Ins. by the Control of Employment (Amdt.) Ordinance, 1971 (35 of 1971), s. 2.

³ Subs. *ibid.*, s. 3, for sub-section (1).

- (vi) one member to represent the Road Transport Corporation of the Province, to be nominated by that Corporation;
- (vii) the Adviser, Technical Education of the Provincial Government; and
- (viii) the Deputy Secretary (Co-ordination) in the Home Department of the Provincial Government.

¹[* * * * *]

(2) In the absence of the Secretary of the Labour Department a person nominated by him shall act as the Chairman of the Board.]

Three members of the Board (including the Chairman) shall constitute a quorum at a meeting of the Board.

(3) The Board may, subject to such conditions, if any, as it may think fit, delegate any of its powers to its Chairman.

5. Functions and powers of the Board.—(1) The functions of the Board shall include collection of information relating to employment in industrial undertakings and availability of persons therefor, and to control and distribution of, and taking measures to make persons available for, such employment :

Provided that the Board shall not ask from any employer any question about the employment of a foreigner except through the Department of Investment Promotion and Supplies.

(2) For the purpose of sub-section (1), the Board may—

- (a) require any person or industrial undertaking to furnish or cause to be furnished, such information and in such manner and form as it may specify;
- (b) take measures, or cause measures to be taken, by the industrial undertaking or other competent authority, to ensure that the required number of persons are available for employment in such undertaking ;
- (c) require any person to undertake any essential work he is competent to do ;
- (d) prohibit any person from accepting any employment or offer of employment ;
- (e) control or regulate the employment in any industrial undertaking ;
- (f) regulate the relinquishment of employment by, and the dismissal of, any person employed in any industrial undertaking ;
- (g) order the release, transfer, interview, training or test of skill of any person employed or to be considered for employment in any industrial undertaking ;
- (h) prohibit persons employed or engaged in any essential work from leaving the work or absenting themselves from duty or slowing down or otherwise impeding their output ;
- (i) lay down the terms and conditions of service of persons employed, or to be employed, in any industrial undertaking ;
- (j) authorize any of its members or officers to enter upon, inspect and search any premises occupied by any industrial undertaking and to ask for and examine any document relating to such undertaking and to enquire any person employed or found therein to furnish any information relating thereto ;

¹ Sub-section (1A) Omitted by F.A.O., 1975 Art. 2 and Sch ;

- (k) authorize any of its officers or any persons employed in a managerial or supervisory capacity in any industrial undertaking to test therein the technical skill of such persons as the Board may, by order in writing direct and require any such undertaking to afford reasonable facilities for such test ;
- (l) require any industrial undertaking to maintain such books of accounts and records and in such form as it may direct ; and
- (m) require the employment exchanges to issue call up notices.

6. Obligation to comply with the order or direction of the Board, etc.—(1) Where the Board makes any order or gives any direction requiring any person or industrial undertaking to furnish any information or document or to afford any facility or to take any measure or to do or refrain from doing anything, such persons and, in the case of an industrial undertaking, the owner, director, manager, secretary or other officer or agent thereof competent for the purpose, shall subject to the other provisions of this section comply with such order or direction.

(2) Any person or industrial undertaking aggrieved by an order or direction of the Board may prefer an appeal against such order or direction to the Provincial Government or to such officer or authority as the Provincial Government may appoint, and the decision of the Provincial Government or such officer or authority, as the case may be, shall be final ¹[:]

²[Provided that no orders on such appeal shall be passed unless the appellant has been given an opportunity of being heard.]

(3) Failure or neglect to comply with any order or direction of the Board or, where an appeal is preferred under sub-section (2), with the final decision thereon shall be an offence under the Ordinance.

7. Reinstatement of person released under the orders of the Board.—³[(1) Subject to the other provisions of this section, every employer by whom a person was released for any essential work or for service under the ⁴[Compulsory Service in the Armed Forces Ordinance, 1971 (XXXI of 1971)], in pursuance of an order or requisition of the Board or of a notice served under section ⁵[5] of the said Ordinance shall, on the termination of, or release from, such work or service, reinstate such person in his former employment from which he was released and, if such reinstatement is less favourable to such person than that to which he would, in the ordinary course, have been entitled, give him such employment as is not so less favourable:

Provided that the employer shall not be required to so reinstate or employ any person if such person does not apply or report to him for the purpose within three months of the termination of, or release from, the essential work or such service.]

(2) Where for any reason reinstatement or employment under sub-section (1) is not practicable, the employer shall, within seven days from the date on which the person to be reinstated or employed applies or reports himself for reinstatement or employment, make an application to the Tribunal for exemption from the provisions of sub-section (1).

¹ Subs. by the Control of Employment (Amdt.) Ordinance, 1984 (8 of 1984) s. 2 for full stop.

² Proviso added *ibid*.

³ Subs. by the Control of Employment (Amdt.) Ordinance, 1969 (4 of 1969) s. 2 for sub, section (1) (w.e.f. 17-2-1969) i.e. the date on which the Ord. No. XXIV of 1965 has ceased to have effect under cl. 7 of Art. 30 of the Constitution.

⁴ Subs. by the Federal Laws (Revision and Declaration) Ordinance, 1981 (27 of 1981), s. 3 and Sch. II, for certain words.

⁵ Subs. *ibid.*, for “6”

(3) Upon an application of the employer under sub-section (2), the Tribunal shall, after such enquiry and hearing as it considers necessary, make an order either—

- (a) exempting the employer from the provisions of sub-section (1); in which case the employer shall be required to pay to such person a compensation of a sum not less than six months' remuneration of the person calculated at the rate he was entitled to when he was released by the employer ; or
- (b) requiring the employer to reinstate or give employment to such person in the terms of sub-section (1) or on such terms and conditions as it may specify in the order.

(4) If any employer contravenes the provisions of sub-section (1), or fails or neglects to carry out the order of the Tribunal under sub-section (3), he shall be guilty of an offence under this Ordinance and be punishable with fine which may extend to one thousand rupees and, if the Court by which he is convicted so directs shall also be liable to pay to the person with respect to whose reinstatement or employment he has been convicted such sum not exceeding six months' remuneration of that person calculated at the rate he was entitled to when he was released as the Court may specify, in addition to pay compensation he is required to pay under clause (a) of sub-section (3).

(5) Any sum which the employer is required to pay under an order of the Tribunal under sub-section (3) or an order of the Court under sub-section (4), shall be recoverable as if it were a fine imposed by a Court.

8. Advisory Committee.—(1) The Board may, for obtaining advice and assistance in the discharge of its functions under this Ordinance, constitute an Advisory Committee for such area and in such place as it may think fit.

¹[(2) An Advisory Committee constituted under sub-section (1) shall consist of—

- (i) the Deputy Commissioner of the District concerned, who shall be the Chairman of the Committee;
- (ii) one member to represent the Industries Department of the Provincial Government, to be nominated by that Department;
- (iii) one member to represent the Railway Board of the Province, to be nominated by that Board;
- (iv) one member to represent the Road Transport Corporation of the Province, to be nominated by that Corporation;
- (v) one member to represent the workers of the area concerned;
- (vi) one member to represent the employers of the area concerned; and
- (vii) the Manager of the Employment Exchange of the area concerned, who shall be the member-secretary of the Committee.

²[* * * * *]

(3) Three members including the Chairman shall constitute a quorum at a meeting of the Advisory Committee.

³[(4) The Chairman of an Advisory Committee may co-opt as a member thereof any person resident in the area concerned whose association with the Committee is, in the opinion of the Chairman, likely to be of assistance to the Committee.]

¹Subs. by the Control of Employment (Amdt.) Ordinance, 1971 (35 of 1971), s. 4, for sub-section (2).

²Sub-section (2A) omitted by F.A.O., 1975, Art. 2 and Sch.

³Added by Ord. 35 of 1971, s. 4.

9. Manpower Tribunal.—¹[(1) A Labour Court established under the Industrial Relations Ordinance, 1969 (XXIII of 1969), hereinafter referred to as the Labour Court, is hereby constituted a Manpower Tribunal for the disposal of applications under sub-section (2) of section 7 in respect of the whole of the Province for which it has been established or, as the case may be, in respect of the territorial limits within which it exercises jurisdiction as such court.

(2) In addition to a Tribunal constituted under sub-section (1), the Provincial Government may constitute one or more Manpower Tribunals for such area or areas as it may consider necessary for the disposal of applications under sub-section (2) of section 7 and, where it constitutes a Tribunal for an area within the territorial limits of the jurisdiction of a Labour Court, shall, by notification in the official Gazette, specify the class of such applications which shall be disposed of by the Tribunal so constituted and not by such Labour Court.

(3) The Tribunal constituted under sub-section (2) shall consist of a chairman and two members, all being appointed by the Provincial Government, one of the members being appointed to represent the workers of the area concerned and the other to represent the employers of the area.

(3A) The Chairman of a Tribunal constituted under sub-section (2) shall be a person who has been, or is, or is qualified to be, a Judge or Additional Judge of a High Court or is a District Judge or Additional District Judge and the members shall be appointed in consultation with the workmen and the employers in such manner and on such terms and conditions as may be prescribed.]

(4) A member of the Board shall not be appointed to be member of a Tribunal.

(5) A Tribunal shall meet at such and places as it thinks fit.

(6) A Tribunal shall, for the purpose of receiving evidence, administering oaths, enforcing the attendance of witnesses and compelling the discovery and production of documents, have the powers of a Civil Court under the Code of Civil Procedure, 1908 (Act V of 1908), and shall be deemed to be such Court within the meaning of sections 480, 482 and 484 of the Code of Criminal Procedure, 1898 (Act V of 1898).

10. Notified industrial undertakings.—(1) The Provincial Government may, by notification in the official Gazette, declare any industrial undertaking to be a notified industrial undertaking for the purpose of this Ordinance.

(2) Every notified industrial undertaking shall report to the Board in such manner and within such period all situations in the undertaking which are vacant or are soon likely to be vacant and employ such essential personnel within such period and on such terms and conditions as the Board may direct and no such industrial undertaking shall, except with the permission of the Board, fill any vacancy in which essential personnel may be employed.

11. False statements.— Any person who,—

- (a) for the purpose of obtaining employment or procuring essential work, knowingly describes himself, or allows himself to be described, to any member of the Board or Advisory Committee as a person practising or engaged in any profession, occupation or employment when in fact he does not practise or engage himself in such profession, occupation or employment, or
- (b) for the purpose of obtaining release from any essential work, knowingly makes, or allows to be made, any false statement to any member of the Board or Advisory Committee, or

¹ Subs. *ibid.*, s.5, for sub-sections (1), (2) and (3).

- (c) being an owner, manager, or officer discharging managerial functions, knowingly furnishes, or allows to be furnished, false information relating to the undertaking, shall be guilty of an offence under this Ordinance.

12. Offences by Industrial undertakings.— Where the person guilty of an offence under the Ordinance or the rules made thereunder is an industrial undertaking, every owner, director, manager, secretary or other officer or agent thereof shall, unless he proves that he made all efforts and exercised all diligence to prevent the commission of the offence, be deemed to be guilty of such offence.

13. Penalty and procedure.—(1) Whoever is guilty of an offence under this Ordinance or the rules made thereunder shall, save as otherwise provided elsewhere in this Ordinance or in the rules, be punishable with imprisonment for a term which may extend to six months or with fine which may extend to one thousand rupees, or with both.

(2) Notwithstanding anything contained in the Code of Criminal Procedure, 1898 (Act V of 1898), an offence under this Ordinance shall be cognizable.

(3) No Court shall take cognizance of an offence under this Ordinance except with the previous sanction in writing of the Board.

(4) No Court inferior to that of a Magistrate of the first class shall try an offence under this Ordinance.

14. Service of notice, etc.— Any notice, direction or order under this Ordinance to be served on any person may be served by being sent by post addressed to such person at his last known address.

15. Indemnity.— No suit, prosecution or other legal proceeding shall be instituted in any Court in respect of anything in good faith done or intended to be done under this Ordinance.

16. Power to make rules.—(1) The ¹[Federal Government] may, by notification in the official Gazette, make rules ²[for carrying out the purposes of this Ordinance].

(2) Rules made under sub-section (1) may provide any contravention thereof shall be punishable with a penalty not exceeding that provided in section 13.

17. Savings.— Nothing in this Ordinance shall apply to any industrial undertaking owned or managed, or person employed, by the ¹[Federal Government] or a Provincial Government or by such authority, body or institution as may be notified in this behalf by the ¹[Federal Government] or the Provincial Government.

¹Subs. by F.A.O., 1975, Art. 2 and Table, for “Central Government”.

²For such rules, See Gaz. of P., 1965, Ext., pp. 1166-1167.

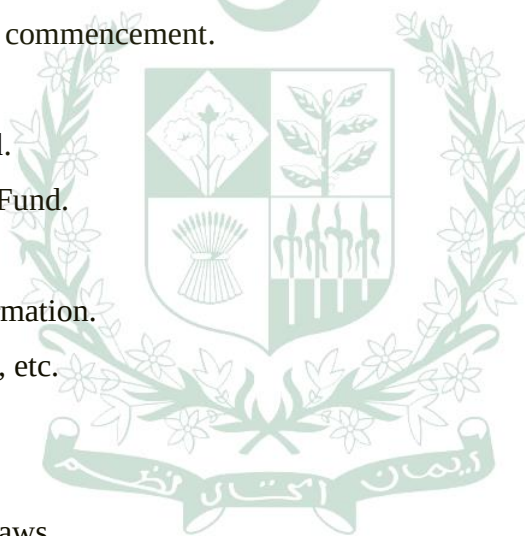


THE COMPANIES PROFITS (WORKERS PARTICIPATION) ACT, 1968



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THE SCHEDULE

THE PAKISTAN CODE

THE COMPANIES PROFITS (WORKERS PARTICIPATION) ACT, 1968.

¹Act No. XII OF 1968

[5th July, 1968]

An Act to provide for Participation of workers in the profits of companies.

WHEREAS it is expedient to provide for participation of workers in the profits of companies and for matters ancillary thereto ;

AND WHEREAS the national interest of Pakistan in relation to the achievement of uniformity within the meaning of clause (2) of Article 131 of the Constitution requires Central legislation in the matter;

It is hereby enacted as follows :—

1. Short title, extent and commencement.—(1) This Act may be called the Companies Profits (Workers Participation) Act, 1968.

(2) It extends to the whole of Pakistan.

(3) It shall come into force at once.

2. Definitions. — In this Act, unless there is anything repugnant in the subject or context,—

(a) “Board” in relation to a Fund means a Board of Trustees constituted under section 4 for the management and administration of the Fund;

(b) “company” means a company within the meaning of ²[Companies Ordinance, 1984 (XLVII of 1984)], and includes—

(i) a body corporate established by or under any law for the time being in force;

(ii) any institution, organization or association whether incorporated or not, declared by the ³[Federal Government] in the official Gazette to be a company for the purposes of this Act;

(c) “Fund” means a Workers Participation Fund established under section 3;

(d) “Profits” in relation to a company means such of the “net Profits” as defined in section 87C of the Companies Act, 1913, as are attributable to its business, trade, undertakings or other operations in Pakistan;

⁴[(dd) “rules” means rules made under this Act;]

¹For Statement of Objects and Reasons, see Gaz., of P., 1968, Extraordinary, p. 461.

*The Act has been applied to the Provincially Administered Tribal Areas or to the parts or those areas to which it does not already apply, see Regulation No. 1 of 1972, s. 2 and Sch.

² Subs. and ins. by Act IV of 2007, s. 7 sub-sect.(1) clauses (a) & (b) (w.e.f. 1-7-2007).

³Subs. and shall be deemed to have been so subs. by the Labour Laws (Amdt.) Act, 1975 (11 of 1975), s. 2 and Sch., for “Central Government” w.e.f. 14-8-1973).

⁴Clause (dd) added by the Companies Profit (Workers Participation) (Amdt.) Ordinance, 1970, (12 of 1970), s.2.

(e) “scheme” means the scheme set out in the Schedule;

¹[(f) “worker” in relation to a company, means an employee of the company ²[including employed by or through the contractors,] who falls within the definition of a worker as defined in clause (xxx) of section 2 of the Industrial Relations Ordinance, 2002 (XCI of 2002) and has been ²[working for or in] the company for a period of not less than six months.]

³**3. Establishment of Fund.** — (1) Every company to which the scheme applies shall—

- (a) establish a Workers Participation Fund in accordance with the scheme as soon as the accounts for the year in which the scheme becomes applicable to it are finalised, but not later than nine months after the close of that year; ⁴[*]
- ⁵[(b) subject to adjustments, if any, pay every year to the Fund not later than nine months after the close of that year five percent of its profits during such year ⁶[* * *]; and
- (c) furnish to the Federal Government and the Board, not later than nine months after the close of every year of account, its audited accounts for that year, duly signed by its auditors.]

(2) The amount paid to the Fund under clause (b) of sub-section (1) in relation to a year shall be deemed to have been allocated to the Fund on the first day of the year next succeeding that year.

4. Management of the Fund.— (1) As soon as may be ⁷[but not later than two months], after the establishment by a company of a Fund under section 3, there shall be constituted a Board of Trustees consisting of the following trustees, namely:—

- (a) two persons elected by the workers of the company from amongst themselves; and
- (b) two persons nominated by the management of the company of whom at least one shall be a person from the accounts branch of the company.

(2) The person’s holding office as trustees shall elect for one year a person to be the chairman of the Board alternately from amongst the trustees elected under clause (a) of sub-section (1) and those nominated under clause (b) of that sub-section, the first Chairman being from amongst the latter.

(3) A trustee shall, unless he sooner ceases to represent the interest he was elected or nominated to represent, hold office for such term and on such conditions as may be prescribed by rules.

¹Subs. by Act. III of o6, s.7.

² Ins. and Subs. by Act IV of 2007, s. 7 (w.e.f. 1-7-2007).

³Subs. by the Companies Profits; Workers’ Participation) (Amdt.) Ordinance, 1970 (12 of 1970) s. 3, for the original sections 3 and 4.

⁴The word “and” omitted by the Labour Laws (Amdt.) Act, 1977 (17 of 1977), s. 2 and Sch.

⁵Subs. ibid., for Cl. (b). which was previously amended by various enactments.

⁶Omitted by Act IV of 07,s.7 (with effect from 01-07-2007).

⁷Ins. by the Labour Laws (Amdt.) Act, 1977 (17 of 1977), s. 2 and Sch.

(4) All decisions of the Board shall be expressed in terms of the opinion of the majority of the trustees and in the event of the trustees being equally divided in their opinions, the Chairman shall have and exercise a second or casting vote.

(5) The Board shall manage and administer the Fund in accordance with the provisions of this Act, the scheme and any rules made in this behalf.

(6) The Board shall, in the exercise of its powers and performance of its functions under this Act, be subject to such directions as the ¹[Federal Government] may from time to time give.

(7) The ¹[Federal Government], if it is of opinion that a trustee or a Board has been persistently failing in the performance of his or its functions or has generally been acting in a manner inconsistent with the objects and interests of the Fund, may, after giving such trustee or, as the case may be, the Board, an opportunity of showing cause against it, by order, —

- (a) remove such trustee from his office or direct that the Board shall stand superseded for such period as may be specified in the order; and
- (b) direct that, pending the election or nomination of a person in place of the trustee removed from office or, as the case may be, the re-constitution of the Board, the powers and functions of the trustee so removed or the Board shall be exercised and performed by a person specified in the order.

(8) A casual vacancy in the office of a trustee shall be filled as soon as may be by the election or, as the case may be, nomination of another person and the person elected or nominated to fill such vacancy shall hold office for the unexpired term of his predecessor.

(9) Upon the supersession of a Board under sub-section (7) the trustees in that Board shall cease to hold office and references to the Board in this Act, the scheme and the rules shall be construed as references to the officer specified in the order under that sub-section.

(10) Before the expiry of the period of supersession, the Board shall be re-constituted in accordance with the provisions of this Act so as to enable it to take over its functions upon the expiry of such period.

(11) No act or proceeding of the Board shall be invalid or questioned merely on the ground of the existence of a vacancy in, or defect in the constitution of the Board.]

5. Penalty.— ²[(1) Where a company to which the scheme applies fails to comply with any of the provisions of this Act or the scheme, every director, manager or other officer responsible for the management of the affairs of the company, shall, if the Federal Government by order so directs, pay by way of penalty a sum which may extend to five thousand rupees and, in case of a continuing failure, a further sum which may extend to one thousand rupees for every day after the first during which the failure continues.]

(3) A penalty imposed by an order under sub-section ³[(1)] shall, if it is not paid within the time specified in the order, be recoverable as an arrears of land revenue.

¹Subs. and shall be deemed to have been so subs. by the Labour Laws (Amdt.) Act, 1975 (11 of 1975) s. 2 and Sch. for “Central Government” (w.e.f.14-8-73)

²Subs. by the Labour Laws (Amdt.) Act, 1977 (17 of 1977), s. 2 and Sch. for sub-sections (1) and (2).

³Subs. ibid. for “(2)”

(4) The ¹[Federal Government] may, upon an application made in this behalf by any person aggrieved by an order made under sub-section (1) ² [* * *] within a period of six months from the date of the order, review the order and may, upon such review, pass such order as it may think fit.

³[(5) Notwithstanding anything contained in this Act or the scheme, if any defaulting employer strictly complies with the provisions of section 3 and distributes the benefits in accordance with paragraph 4 of the scheme for the period of default on or before the date fixed by the Federal Government, no such penalty shall be imposed and the company shall not be liable to pay interest as provided in paragraph 2 of the scheme.]

⁴**[6. Power to call for information.]** — The ¹[Federal Government] may, at any time, call upon a company or a Board to furnish it with such information and documents, including the records of the proceedings of the company or the Board, as may be relevant or useful for the purpose of, or necessary for ensuring proper compliance with, the provisions of this Act, the rules and the scheme.

7. Settlement of disputes, etc.— (1) Any difference arising between the Board and the company relating to the administration of the scheme shall be reported to the ¹[Federal Government] whose decision thereon shall be final.

(2) All claims of a worker relating to the benefits of the scheme, whether against the Board or the company, shall be settled in the same manner as is provided for in the Payment of Wages Act, 1936 (IV of 1936), for the settlement of claims arising out of deductions from wages.

8. Delegation of power.— The ¹[Federal Government] may, by notification in the official Gazette, direct that all or any of its powers or functions under this ⁵[Ordinance] may, subject to such limitations, restrictions or conditions, if any, as may be specified in the notification, be exercised or performed also by any officer subordinate to it or by any authority so specified.

⁷**[8A. Power to exempt.]**— The Federal Government may, through notification in the official Gazette,—

- (a) declare that any company or class of companies shall be exempt from the application of the scheme; and
- (b) exempt any company or class of companies from any amount payable under section 3 of this Act.]

9. Power to make rules.— The ¹[Federal Government] may make rules⁶ to carry out the purposes of this Act.

10. Act to override other laws.— The provisions of this Act shall have effect notwithstanding anything contained in any other law for the time being in force, or in any contract or the memorandum or articles of association of a company.]

¹Subs. and shall be deemed to have been so subs. by the Labour Laws (Amdt.) Act, 1975 (11 of 1975), s. 2 and Sch. for “Central Government”. (w.e.f. 14-8-73).

²The words “or sub-section (2)” omitted by Act 17 of 1977 s.2 and Sch.

³Added by Act III of 06, s.7.

⁴Subs. by the Companies Profits (Workers Participation) (Amendment) Ordinance, 1970 (12 of 1970) s. 4 for the original sections 6 and 7.

⁵Sic. Should read “Act”.

⁶For Companies Profits (Workers Participation) Rules, 1971, see Gazette of Pakistan, 1971, Extraordinary, page 1038.

⁷Ins. by Act. no. XXXV of 2022.

THE SCHEDULE

SCHEME

[See Section 2(e)]

1. **Scope of the scheme.**— The scheme applies to all companies ¹[*] engaged in industrial undertakings which satisfy any one of the following conditions, and to such other companies as the ²[Federal Government] may, by notification in the official Gazette, specify in this behalf, namely :—

- (i) The number of workers employed by the company ³[* **] at any time during a year is ⁴[50] or more.
- (ii) The paid-up capital of the company as on the last day of its accounting year is Rs.20 lakhs or more.
- (iii) The value of the fixed assets of the company (at cost) as on the last day of the accounting year is Rs. 40 lakhs or more⁵[:]

⁵[Provide that for the companies established on or after 1st day of July 2006,—

- (a) clause (ii) shall have effect as if for the figure and word “20 lacs” the figure and word “5 million” were substituted; and
- (b) clause (iii) shall have effect as if for the figure and word “40 lakhs” the figure and word “20 million” were substituted.]

⁶[*Explanation.*— In this scheme,—

- (a) “industrial undertaking” means an institution, organization, enterprise or establishment which involves the use of electrical., mechanical, thermal, nuclear or any other form of energy transmitted mechanically and not generated by human or animal agency and which is engaged in any one or more of the following operation, namely:—
 - (i) the subjection of goods or materials to any manufacturing, assembly, finishing or other artificial or natural process, which changes their original condition or add to their value;
 - (ii) ship-building;
 - (iii) the transformation, generation, conversion, transmission or distribution of electrical energy, including hydraulic power; and
 - (iv) the working of a mine, oil well or any other source of mineral deposit, including blending, refining and purification or oils and gases;

and includes companies engaged in the marketing and distribution of gas or oil or in the carriage of men or goods by sea or air, and any other institution, organization, enterprise or establishment which the ²[Federal Government] may, by notification in the official Gazette, declare to be an industrial undertaking for the purposes of this scheme; and

¹The word “primarily” omitted by the Companies Profits (Workers Participation (Amendment) Ordinance, 1970 (12 of 1970), section 5.

²Subs. and shall be deemed to have been so subs. by the Labour Laws (Amdt.) Act, 1975 (11 of 1975),s.2 and Sch. for “Central Government”, (w.e.f. 14-8-73).

³The words “in any shift” omitted by the Companies Profits (Workers Participation) (Amdt.) Act, 1973 (20 of 1973), s.3.

⁴Subs. ibid., for “100”.

⁵Subs. & added by Act III of 06, s. 7.

⁶*Explanation* added, by Ord. 12 of 1970,s.5.

- (b) references to the paid-up capital and the value of the fixed assets of the company shall, in the case of a company incorporated outside Pakistan but having a branch in Pakistan, be construed as references respectively to the capital invested in such branch and value of the fixed assets of the branch.]

¹**[2. Investment of Fund.—** (1) The amount allocated or accruing to the Fund shall be available to the company for its business operations. The company may, however, request the Board to utilize the amount in the Fund for investment under sub-paragraph (7) and the Board may decide to so invest the amount.

(2) The company shall pay to the Fund in respect of the amount in the Fund available to it for its business operations as aforesaid interest at the rate of 2-1/2 % above the bank rate or 75 percent of the rate at which dividend is declared on its ordinary shares, whichever is higher. In case there is more than one class of ordinary shares on which different rates of dividend have been declared, then the weighted average of the different rates of dividend shall be taken for the purpose of determining the rate of interest. The interest to the Fund shall accrue on and from the first day of the year next succeeding the year in which the scheme becomes applicable to the company. Even when the company does not wish to utilize the amount available to it under sub-paragraph (1), interest at the rate aforesaid shall be payable by the company for the period between the date of allocation of any amount to the Fund and the date of its investment under sub-paragraph (7).

(3) If, at any time after the establishment of the Fund, the company raises any additional capital, otherwise than through the issue of bonus or bonus shares, the Fund shall have the first option to convert any amount available to the company under sub-paragraph (1) or any of the assets of the Fund into ordinary equity capital up to a ceiling of 20 per cent of the paid up capital of the company prior to such conversion on 50 per cent of the additional capital, whichever is less.

Explanation. —In this sub-paragraph, “additional capital” does not include any capital offered or to be offered to foreign participants of the company.

(4) For the exercise of the right of conversion under sub-paragraph (3), the Board shall be given sufficient time to sell assets of the Fund to realise the amount needed for subscription to the additional issue of capital by the company.

(5) The shares acquired in the manner set out in sub-paragraph (3) shall participate in future bonus and right issues in the same manner as other shares.

(6) The shares acquired in the manner set out in sub-paragraph (3) shall carry voting rights in the same manner as other shares and such voting rights shall be exercised by the Board on behalf of the Fund.

(7) The amount in the Fund which, under sub-paragraph (1), the company has requested to be utilized for investment under this paragraph may be invested by the Board for the purchase of any of the following, namely:—

- (a) I.C. P. Mutual Fund Certificate;
- (b) National Investment Trust (Unit) Certificates;

¹Subs. by the companies Profits (Workers Participation) (Amendment) Ordinance, 1970 (12 of 1970), s. 5, for the original para 2.

- (c) Government securities including Defence and Postal Savings Certificates; and
- (d) any other securities approved for the purpose by the ¹[Federal Government].

²[3. **Eligibility to benefits of scheme.**— All workers shall be eligible to the benefits of the scheme and to participate in the Fund. However, a worker not completing six months of employment with the company during a year of account shall not participate in the Fund in respect of that year

4. Distribution of benefits to worker.—The share of a worker in the annual allocation to the Fund shall be expressed in units or fractions of units (worked out to two places of decimal) of the face value of Rs.10 determined in the following manner, namely:—

- ³[a] The number of available units shall be so divided into three parts for the three categories of workers mentioned below that a worker in the first of those categories gets four units for each two units that a worker in the second of those categories gets or for each one unit that a worker in the last of those categories gets.

Categories

- ⁴[1. Workers drawing average monthly wages not exceeding seven thousand five hundred rupees.
- 2. Workers drawing average monthly wages exceeding seven thousand five hundred rupees but not exceeding fifteen thousand.
- 3. Workers drawing average monthly wages exceeding fifteen thousand rupees.]
- (b) The average monthly wages shall be rounded up to the nearest Rs.10.
- (c) The number of units available to each category of workers shall be divided equally among all the workers in that category to determine the share of each workers of that category.
- ⁵[(d) Notwithstanding anything contained in this scheme, no worker shall, in any one year, be entitled out of the annual allocation to units exceeding rupees ⁶[the amount of ⁴[four] times of the minimum wages for unskilled workers as given in the schedule of Minimum Wages for unskilled Workers Ordinance, 1969 (W.P. Ord. XX of 1969)] in value in so far as such allocation is relatable to ⁷ [* * *] of clause b of sub-section (1) of section 3. Any amount left out of annual allocation after the units have been so allocated shall be transferred to the Fund constituted under section 3 of the Workers Welfare Fund Ordinance, 1971 (XXXIV of 1971). No part of such amount shall be deemed to be included in the asset value of the Fund established under this Act and no individual worker shall have any lien on this amount by virtue of holding any units].

¹Subs. and shall be deemed to have been so subs. by the Labour Laws (Amdt.) Act, 1975 (11 of 1975), s. 2 and Sch., for “Central Government”, (w.e.f. 14-8-73).

²Subs. by the Companies Profits (Workers Participation) (Amendment) Ordinance, 1970 (12 of 1970), section 5, for the original paras 3 and 4.

³Subs. by the Labour Laws (Amdt.) Ordinance, 1972 (9 of 1972), s. 2 and Sch., for cl. (a).

⁴Subs. by Act IV of 07.

⁵Subs. by the Labour Laws (Amdt.) Ordinance 1972 (9 of 1972), s. 2 and Sch., for cl. (d)

⁶Subs by Act III of 2006, s. 7.

⁷The words “sub-clause (i) of “omitted by the Companies profits (Workers Participation) (amdt.), Act 1973 (20 of 1973), s. 3.

Explanations. — In this paragraph, “average monthly wages” means total wages drawn during the year of account divided by 12, or by the number of months a worker actually worked during a year in respect of which he is entitled to the benefit under the scheme, as the case may be, and “wages” has the same meaning as in clause (vi) of section 2 of the Payment of Wages Act, 1936 (IV of 1936), but does not include any overtime allowance ¹[or bonus],

5. Disbursement of benefits. — The disbursement of the benefits from the Fund shall be as under: —

(a) 100 % of the annual income of the Fund, including capital gains realized, shall be distributed each year to workers in proportion to their units of entitlement.

²[b) A worker who voluntarily leaves the employment of the company or whose services are terminated shall be entitled to receive 100 per cent of the net asset value of the units standing in his name.];

³[* * * * *]

⁴[(f) A worker who continues in the service of the company shall be entitled to receive 100 per cent of the net asset value of the units in his name each year or he may choose to leave his share in the Fund:

Provided that a worker while in employment may choose to encash all the units standing in his name at any time at his discretion.].

(g) A worker, in the event of his retirement or, his nominated beneficiary, in the event of the worker's death (from whatsoever cause) while in the employment of the company, shall receive 100 % per cent of the, net asset value of the units standing in the worker's name ⁵[* * *].

6. Definition of the net asset value of the unit. — To determine the net asset value of a unit, the total net assets of the Fund, namely, market value of the securities, cash and other assets resulting from the investment and re-investment, capital accretion thereto and all incomes of any kind rising there-from shall be divided by the number of units in the Fund. Net asset value of the entire Fund shall be computed once every year and each worker's unit entitlement determined at the same time. Additional units will be given to the workers according to the amount they voluntarily contribute to the Fund.

⁶[7. Employee's own contribution. — A worker may voluntarily choose to contribute a part of his wages, cash bonus, dividend or interest to the Fund. For each unit of contribution, he shall receive credit for 1-1/4 units. Contribution received during the course of a year of account shall, however, be deemed to be contribution received on the last day of that year. If at any time a worker chooses to leave the employment of the company or ⁷[his services are terminated or in the event of his retirement or death or' on the expiry of three years from the date he voluntarily chooses to contribute a part of his wages, cash bonus, dividend or interest to the Fund, he, at his option, or, in the event of his death, his nominated beneficiary, may], receive the net asset value of the units representing his contribution. The contribution by a worker in any one year of account shall not exceed 10 per cent of his annual wages during such year.]

¹Add by Ordinance 4 of 1985, s. 3.

²Subs. by the Companies Profits (Workers Participation) (Amdt.) Act, 1973 (20 of 1973), s. 3, for cl. (b), which was previously amended by Ord. 12 of 1970, s. 5.

³Cls. (c), (d) and (e) omitted *ibid.*

⁴Subs. by the Companies Profits (Workers' Participation) (Amdt.) Act, 1973 (20 of 1973), s. 3, for cl. (f)

⁵Certain words omitted *ibid.*

⁶Subs. by the Companies Profits (Workers Participation) (Amdt.) Ordinance, 1970 (12 of 1970), s. 5, for the original para 7.

⁷Subs. by Act, 20 of 1973, s. 3, for certain words.

8. Fiscal concessions to the companies.— All companies to whom the scheme applies shall be allowed the allocation made to the scheme as a deduction to arrive at the taxable income.

9. Tax treatment of the income of the fund.— The income of the Fund including capital gains shall be exempt from income-tax.

10. Tax treatment of the income to the workers.— All sums paid out by the Fund shall be exempt from income-tax in the hand of the workers.

¹**[11. Working and location of the Board of Trustees.**— The office of the Board of Trustees shall be located at the factory premises or, if there is more than one factory run by the company, at the registered head office of the company. All expenses of the Board, including the cost of maintaining accounts, shall be borne by the company.]

12. Audit of the Fund accounts.— The Fund accounts shall be audited annually at the company's expense in the same manner as the accounts of the company are audited :

Provided that the ²[Federal Government] may, at its own cost, appoint independent accountants for a special audit of the accounts of the Fund.

13. Scheme's benefits to be in addition to other benefits.— The benefits to a worker under this scheme shall be in addition to, and not in derogation or substitution of, any other benefits to which the worker may be entitled under any other law, contract, terms and conditions of employment or otherwise.

³**[14. Special provision for industries working seasonally.**— Notwithstanding anything contained in this Act or this scheme the ²[Federal Government] may, by ⁴notification in the official Gazette, make special provisions for the participation of workers in the profit of companies engaged in industrial undertakings which operate only for a part of the year.

15. Companies engaged in more than one industrial undertakings.— Notwithstanding anything contained in this Act or this scheme, the ²[Federal Government] may, at the request of a company which is engaged in more than one industrial undertakings located at different places permit the splitting up of the Fund amongst the various undertakings or groups of undertakings and constitution of the Board of Trustees for each such undertaking or group of undertakings; and thereupon the provisions of this Act and this scheme shall have effect in relation to such undertakings or groups as if each such undertaking or group were a company.

16. Entrustment of management of Fund to Investment Corporation of Pakistan etc.— The Board of Trustees may, with the prior approval of the ²[Federal Government], enter into a contract with the Investment Corporation of Pakistan, the National Investment Trust or the National Bank of Pakistan, entrusting the management of the Fund to that Corporation, Trust or Bank on such fee, which shall be payable by the company, and on such terms and conditions as may be mutually agreed upon.]

¹Subs. by the Companies Profits (Workers Participation) (Amdt.), Ordinance, 1970 (12 of 1970), s. 5, for original para 11.

²Subs. and shall be deemed to have been so subs. by the Labour Laws, (Amdt.) Act, 1975 (11 of 1975), s. 2 and Sch., for "Central Government" (w.e.f. 14-8-73).

³Paras.14, 15 and 16 added, ibid., by Ord. 18 of 1970, s. 5.

⁴For Such notification, see Gaz. of Pak., 1971, Ext. page 1037.



THE COAL MINES (FIXATION OF RATES OF WAGES) ORDINANCE, 1960



CONTENTS

1. Short title, extent and commencement
2. Definitions
3. Minimum rates of wages
4. Coal mine workers entitled to minimum wages
5. Ordinance not to affect certain agreements, etc.
6. Provisions of this Ordinance to be in addition to and not in derogation of certain laws

THE PAKISTAN CODE

THE COAL MINES (FIXATION OF RATES OF WAGES) ORDINANCE, 1960

¹ORDINANCE NO. XXXIX OF 1960

[30th September, 1960]

An Ordinance to provide for the fixation of rates of wages in respect of labour employed in coal mines and for matters connected therewith.

WHEREAS it is expedient to provide for the fixation of rates of wages in respect of labour employed in coal mines and for matters connected therewith.

Now THEREFORE, in pursuance of the Proclamation of the seventh day of October, 1958, and in exercise of all powers enabling him in that behalf, the President is pleased to make and promulgate the following Ordinance :—

1. Short title, extent and commencement.—(1) This Ordinance may be called the Coal Mines (Fixation of Rates of Wages) Ordinance, 1960.

(2) It extends to the whole of ²[Pakistan].

(3) It shall come into force at once.

2. Definitions.—In this Ordinance, unless there is anything repugnant in the subject or context, —

- (a) “coal mine” means any excavation where any operation for the purpose of searching for, or obtaining, coal or coke has been or is being carried on, and includes all works, machinery, tramways and sidings, whether above or below ground, in, or adjacent to, or belonging to, a coal mine :

Provided that it shall not include any part of such premises on which a manufacturing process is being carried on unless such process is for the making of coke or the dressing of coal ;

- (b) “owner” means owner of a coal mine and includes a lessee or mortgagee in possession of such coal mine and any partner, managing director, director, agent, manager or any other person authorized to represent the coal mine in its transactions ;

- (c) “wages” shall have the same meaning as are assigned to it in clause (vi) of section 2 of the Payment of Wages Act, 1936 (IV of 1936).

3. Minimum rates of wages.—(1) The ³[Provincial Government] may, from time to time, by notification in the official Gazette, fix minimum rates of wages payable to persons employed in a coal mine.

¹The Ordinance has been applied to the Provincially Administered Tribal Areas or to the parts of those areas to which it does not already apply, see Regulation No.I of 1972,s.2 and Sch.

²Subs. by the Federal Adaptation of Laws Order, 1975 (President’s Order No. 4 of 1975) Art. 2 and Sch.

³Subs. by A.O., 1964, Art.2 and Sch.

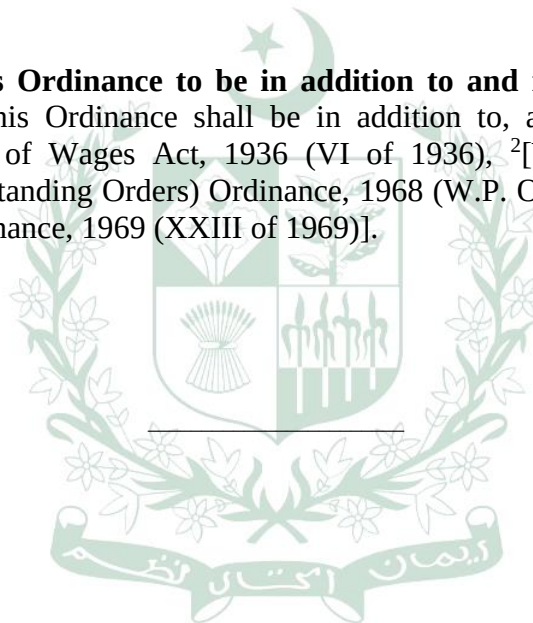
(2) In fixing or revising the minimum rates of wages fixed under this Ordinance, the ¹[Provincial Government] may, if it so considers necessary, consult the ²[Miners Welfare Board] constituted under the ²[Excise Duty on Minerals (Labour Welfare) Act, 1967 (VIII of 1967)].

4. Coal mine workers entitled to minimum wages.—On the issue of a notification under section 3, every person employed in a coal mine shall be entitled to be paid by the owner wages at a rate which shall in no case be less than the rate of wages specified in the notification.

5. Ordinance not to affect certain agreements, etc.—The provisions of this Ordinance shall have effect notwithstanding anything inconsistent therewith in any award, agreement or contract of service, whether made before or after the commencement of this Ordinance :

Provided that where under any such award, agreement, or contract of service a person employed in a coal mine is entitled to higher rates of wages, he shall continue to be entitled to such higher rates.

6. Provisions of this Ordinance to be in addition to and not in derogation of certain laws.—The provisions of this Ordinance shall be in addition to, and not in derogation of, the provisions of the Payment of Wages Act, 1936 (VI of 1936), ²[West Pakistan Industrial and Commercial Employment (Standing Orders) Ordinance, 1968 (W.P. Ordinance No. VI of 1968) and the Industrial Relations Ordinance, 1969 (XXIII of 1969)].



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RGN Date: 03-07-2024

¹Subs. by A.O., 1964, Art.2 and Sch.

²Subs. by the Federal Laws (Revision and Declaration) Ordinance, 1981 (Ordinance No. XXVII of 1981), s.3 and Sch.II.



THE CHILDREN (PLEDGING OF LABOUR) ACT, 1933



CONTENTS

SECTIONS:

1. Short title, extent and commencement.
2. Definitions.
3. Agreements contrary to the Act to be void.
4. Penalty for parent or guardian making agreement to pledge the labour of a child.
5. Penalty for making with the parent or guardian an agreement to pledge the labour of a child.
6. Penalty for employing a child whose labour has been pledged.

THE PAKISTAN CODE

THE CHILDREN (PLEDGING OF LABOUR) ACT, 1933

¹ACT NO. II OF 1933

[24th February, 1933]

An Act to prohibit the pledging of the labour of children

WHEREAS it is expedient to prohibit the making of agreements to pledge the labour of children, and the employment of children whose labour has been pledged; It is hereby enacted as follows:—

1. Short title, extent and commencement.— (1) This Act may be called the Children (Pledging of Labour) Act, 1933.

²[(2) It extends to the whole of Pakistan.]

(3) This section and sections 2 and 3 shall come into force at once, and the remaining sections of this Act shall come into force on the first day of July, 1933.

2. Definitions. In this Act, unless there is anything repugnant in the subject or context, —

“an agreement to pledge the labour of a child” means an agreement, written or oral, express or implied, whereby the parent or guardian of a child, in return for any payment or benefit received or to be received by him, undertakes to cause or allow the services of the child to be utilised in any employment:

Provided that an agreement made without detriment to a child, and not made in consideration of any benefit other than reasonable wages to be paid for the child's services, and terminable at not more than a week's notice, is not an agreement within the meaning of this definition;

“child” means a person who is under the age of fifteen years; and

“guardian” includes any person having legal custody of or control over a child.

3. Agreements contrary to the Act to be void. An agreement to pledge the labour of a child shall be void.

³**[4. Penalty for parent or guardian making agreement to pledge the labour of a child.** Whoever, being the parent or guardian of a child, makes an agreement to pledge the labour of that child, shall be punishable with fine which shall not be less than five thousand rupees and may extend to twenty thousand rupees.]

¹For Statement of Objects and Reasons, see Gazette of India, 1932, Pt. V, page 195.

This Act has been extended to the—

(i) Leased Areas of Baluchistan, see the Leased Areas (Laws) Order, 1950 (G.G.O. 3 of 1950) and also applied in the Federated Areas of Baluchistan, see Gazette of India, 1937, Pt.I.p.1499;

(ii) Baluchistan States Union, see the Baluchistan States Union (Federal Laws) (Extension) Order, 1953 (G.G.O. 4 of 1953), as amended;

(iii) Khairpur State, see the Khairpur (Federal Laws) (Extension) Order, 1953 (G.G.O. 5 of 1953), as amended; and

(iv) State of Bahawalpur by the Bahawalpur (Extension of Federal Laws) Order, 1953 (G.G.O. 11 of 1953).

The Act have been and shall be deemed to have been brought into force in Gwadur with effect from the 8th September, 1958, by the Gwadur (Application of Central Laws) Ordinance, 1960 (37 of 1960), s.2.

This Act has been applied to the Provincially Administered Tribal Areas of Baluchistan Government Notifin. No.S.O. (T.A.)3/21/72, dt.3-7-1979, see Baluchistan Gazette 1979, Ext. (Issue No.69).

²Subs. by the Central Laws (Statute Reform) Ordinance, 1960 (21 of 1960), s.3 and 2nd Sch., (with effect from the 15th October, 1955), for the original sub-section (2), as amended by A.O., 1949, and the Federal Laws (Revision and Declaration) Act, 1951 (26 of 1951), s.8.

³Subs. by the children (pledging of labour) (Amdt.) (Act No. XXXII of 2022) Act, 2022, s.2 (Applicable to the extent of Islamabad Capital Territory).

¹**[5. Penalty for making with the parent or guardian an agreement to pledge the labour of a child.** Whoever makes with the parent or guardian of a child an agreement whereby such parent or guardian pledges the labour of the child shall be punishable with imprisonment which may extend to six months or fine which shall not be less than twenty thousand rupees and may extend to fifty thousand rupees or both, and on every subsequent conviction, the imprisonment shall not be less than six months or fine which shall not be less than fifty thousand rupees or both.]

¹**[6. Penalty for employing a child whose labour has been pledged.** Whoever, knowing or having reasons to believe that an agreement has been made to pledge the labour of a child, in furtherance of such agreement employs such child, or permits such child to be employed in any premises or place under his control, shall be punishable with imprisonment which may extend to six months or fine which shall not be less than twenty thousand rupees and may extend to fifty thousand rupees or both, and on every subsequent conviction, the imprisonment shall not be less than six months or fine which shall not be less than fifty thousand rupees or both.]



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¹Subs. by the children (Pledging of Labour) (Amdt.) (Act No. XXXII of 2022) Act, 2022, ss. 3 & 4 (Applicable to the extent of Islamabad Capital Territory).



THE BONDED LABOUR SYSTEM (ABOLITION) ACT,1992



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7. Property of bonded labour to be freed from mortgage, etc.
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9. Authorities who may be specified for implementing the provisions of this Act.
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13. Punishment for omission or failure to restore possession of property to, bonded labourer.
14. Abetment to be an offence.
15. Vigilance Committees.
16. Offences to be tried by the Magistrate.

17. Cognizance of offences.
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19. Protection of action taken in good faith.
20. Jurisdiction of courts barred.
21. Power to make rules.



THE PAKISTAN CODE

THE BONDED LABOUR SYSTEM (ABOLITION) ACT, 1992

ACT No. III OF 1992

[11th March 1992]

An Act to provide for abolition of bonded labour system

WHEREAS clause (2) of Article 11 of the Constitution of the Islamic Republic of Pakistan prohibits all forms of forced labour;

AND WHEREAS it is necessary to provide for abolition of bonded labour system with a view to preventing the economic and physical exploitation of the labour class in the country and for matters connected therewith or incidental thereto;

It is hereby enacted as follows:—

1. Short title, extent and commencement.— (1) This Act may be called the Bonded Labour System (Abolition) Act, 1992.

(2) It extends to the whole of Pakistan.

(3) It shall come into force at once.

2. Definitions.— In this Act, unless there is anything repugnant in the subject or context,—

- (a) “advance (*peshgi*)” means an advance (*peshgi*), whether in cash or in kind, or partly in cash or partly in kind, made by one person (hereinafter referred to as the creditor) to another person (hereinafter referred to as the debtor);
- (b) “bonded debt” means an advance (*peshgi*) obtained, or presumed to have been obtained, by a bonded labourer under, or in pursuance of, the bonded labour system ;
- (c) “bonded labour” means any labour or service rendered under the bonded labour system ;
- (d) “bonded labourer” means a labour who incurs, or has, or is presumed to have, incurred, a bonded debt;
- (e) “bonded labour system” means the system of forced, or partly forced, labour under which a debtor enters, or has, or is presumed to have, entered into an agreement with the creditor to the effect that,—
 - (i) in consideration of advance (*peshgi*) obtained by him or by any of the members of his family [whether or not such advance (*peshgi*) is evidence by any document] and in consideration of the interest, if any, due on such advance (*peshgi*), or

- (ii) in pursuance of any customary or social obligation, or
- (iii) for any economic consideration received by him or by any of the members of his family ;

he would—

- (1) render, by himself or through any member of his family, or any person dependent on him, labour or service to the creditor, or for the benefit of the creditor, for a specified period or for an unspecified period, either without wages or for nominal wages, or
- (2) forfeit the freedom of employment or adopting other means of livelihood for a specified period or for an unspecified period, or
- (3) forfeit the right to move freely from place to place, or
- (4) forfeit the right to appropriate or sell at market value any of his property or product of his labour or the labour of a member of his family or any person dependent on him,

and includes the system of forced, or partly forced, labour under which a surety for a debtor enters, or has or is presumed to have, entered, into an agreement with the creditor to the effect that, in the event of the failure of the debtor to repay the debt, he would render the bonded labour on behalf of the debtor ;

(f) “family” means,—

- (i) in the case of a male bonded labourer, the wife or wives, and in the case of a female bonded labourer, the husband of the bonded labourer; and
- (ii) the parents, children, minor brother, and unmarried, divorced or widowed sisters of the bonded labourer wholly dependent on him ;

(g) "nominal wages", in relation to any labour, means a wage which is less than,—

- (a) the minimum wages fixed by the Government, in relation to the same or similar labour, under any law for the time being in force ; and
- (b) where no such minimum wage has been fixed in relation to any form of labour, the wages that are normally paid, for the same or similar labour, to the labourers working in the same locality ; and

(h) “prescribed” means prescribed by rules made under this Act.

3. Act to override other laws, etc. The provisions of this Act shall have effect notwithstanding anything contained in any other law for the time being in force or in any instrument having effect by virtue of any such law.

4. Abolition of bonded labour system.— (1) On the commencement of this Act, the bonded labour system shall stand abolished and every bonded labourer shall stand freed and discharged from any obligation to render any bonded labour.

(2) No person shall make any advance under, or in pursuance, of, the bonded labour system or compel any person to render any bonded labour or other form of forced labour.

5. Agreement, custom, etc., to be void. Any custom or tradition or practice or any contract, agreement or other instrument, whether entered into or executed before or after the commencement of this Act, by virtue of which any person, or any member of his family, is required to do any work or render any service as a bonded labourer, shall be void and inoperative.

6. Liability to repay bonded debt to stand extinguished. — (1) On the commencement of this Act, every obligation of a bonded labourer to repay any bonded debt, or such part of any bonded debt as remains unsatisfied immediately before such commencement, shall stand extinguished.

(2) After the commencement of this Act, no suit or other proceeding shall lie in any civil court, tribunal or before any other authority for the recovery of any bonded debt or any part thereof.

(3) Every decree or order for the recovery of bonded debt, passed before the commencement of this Act and not fully satisfied before such commencement, shall be deemed, on such commencement, to have been fully satisfied.

(4) Where, before the commencement of this Act, possession of any property belonging to a bonded labourer or a member of his family was forcibly taken by any creditor for the recovery of any bonded debt, such property shall be restored, within ninety days of such commencement, to the possession of the person from whom it was sized.

(5) Every attachment made before the commencement of this Act for the recovery of any bonded debt shall, on such commencement, stand vacated; and, where, in pursuance of such attachment, any movable property of the bonded labourer was seized and removed from his custody and kept in the custody of any court, tribunal or other authority pending sale thereof, such movable property shall be restored, within ninety days of such commencement, to the possession of the bonded labourer :

Provided that, where any attached property was sold before the commencement of this Act, in execution of a decree or order for the recovery of a bonded debt such sale shall not be affected by any vision of this Act.

(6) Subject to the proviso to sub-section (5), any sale, transfer or assignment of any property of a bonded labourer made in any manner whatsoever before the commencement of this Act for recovery of bonded debt shall not be deemed to have created or transferred any right, or interest in or encumbrance upon any such property and such property shall be restored, within ninety days of such commencement, to the possession of the bonded labourer.

(7) If restoration of the possession of any property referred to in sub-section (4) or sub-section (5) or sub-section (6) is not made within ninety days from the commencement of this Act, the aggrieved person may, within such time as may be prescribed, apply to the prescribed authority for the restoration of the possession of such property and the prescribed authority may, after giving the creditor a reasonable

opportunity of being heard, direct the creditor to restore to the applicant the possession of the said property within such time as may be specified in the order.

(8) An order made by any prescribed authority under sub-section (7) shall be deemed to be an order made by a civil court and may be executed by the court of the lowest pecuniary jurisdiction within the local limits of whose jurisdiction the creditor voluntarily resides or carries on business or personally works for gain.

(9) Where any suit or proceeding for the enforcement of any obligation under the bonded labour system, including a suit or proceeding for the recovery of any advance (*peshgi*) made to a bonded labourer, is pending at the commencement of this Act, such suit or other proceeding shall, on such commencement, stand dismissed.

(10) On the commencement of this Act, every bonded labourer who has been detained in civil prison, whether before or after judgement, shall be released from detention forthwith.

7. Property of bonded labour to be freed from mortgage, etc.— (1) All property vested in a bonded labourer which was, immediately before the commencement of this Act, under any mortgage, charge, lien or other encumbrance in connection with any bonded debt shall, in so far as it is relatable to the bonded debt, stand freed and discharged from such mortgage, charge, lien or other encumbrance ; and where any such property was immediately before the commencement of this Act, in the possession of the mortgagee or the holder of the charge, lien or encumbrance, such property shall, except where it was subject to any other charge, on such commencement, be restored to the possession of the bonded labourer.

(2) If any delay is made in restoring any property referred to in sub-section (1) to the possession of the bonded labourer, such labourer shall be entitled, on and from the date of such commencement, to recover from the mortgagee or holder of the lien, charge or encumbrance, such mesne profits as may be determined by the civil court of the lowest pecuniary jurisdiction within the local limits of whose jurisdiction such property is situated.

8. Creditor not to accept payment against extinguished debt.— (1) No creditor shall accept any payment against any bonded debt which has been extinguished or deemed to have been extinguished or fully satisfied by virtue of the provisions of this Act.

(2) Whoever contravenes the provisions of sub-section (1), shall be punishable with imprisonment for a term which may extend to three years, or with fine which shall not be less than fifteen thousand rupees, or with both.

(3) The court convicting any person under sub-section (2) may, in addition to the penalties which may be imposed under that sub-section, direct such person to deposit, in court, the amount accepted in contravention of the provisions of sub-section (1), within such period as may be specified in the order, for being refunded to the bonded labourer.

9. Authorities who may be specified for implementing the provisions of this Act. The Provincial Government may confer such powers and impose such duties on a District Magistrate as may be necessary to ensure that the provisions of this Act are properly carried out and the District Magistrate may designate an officer subordinate to him to exercise all or any of the powers, and perform all or any of the duties, so conferred or imposed and specify the local limits within which such powers or duties

shall be carried out by such officer.

10. Duty of District Magistrate and other officers designated by him. — (1) The District Magistrate authorised by the Provincial Government under section 9, and the officer designated by the District Magistrate under that section, shall, as far as practicable, try to promote the welfare of the freed bonded labourer by securing and protecting the economic interests of such bonded labourer so that he may not have any occasion or reason to contract any further bonded debt.

(2) It shall be the duty of every District Magistrate and every officer designated by him under section 9 to inquire whether, after the commencement of this Act, any bonded labour system or any other form of forced labour is being enforced by, or on behalf of, any person resident within the local limits of his jurisdiction and if, as a result of such inquiry, any person is found to be enforcing the bonded labour system or any other system of forced labour, he shall forthwith take such action as may be necessary to implement the provisions of this Act.

11. Punishment for enforcement of bonded labour. Whoever, after the commencement of this Act compels any person to render any bonded labour shall be punishable with imprisonment for a term which shall not be less than two years nor more than five years, or with fine which shall not be less than fifty thousand rupees, or with both.

12. Punishment for extracting bonded labour under the bonded labour system. Whoever enforces, after the commencement of this Act any custom, tradition, practice, contract, agreement or other instrument, by virtue of which any person or any member of his family is required to render any service under the bonded labour system, shall be punishable with imprisonment for a term which shall not be less than two years nor more than five years or with fine which shall not be less than fifty thousand rupees, or with both ; and out of the fine, if recovered, payment shall be made to the bonded labourer at the rate of not less than fifty rupees for each day for which bonded labour was extracted from him.

13. Punishment for omission or failure to restore possession of property to, bonded labourer. Whoever, being required by this Act to restore any property to the possession of any bonded labour, omits or fails to do so, within a period of ninety days from the commencement of this Act shall be punishable with imprisonment for a term which may extend to one year, or with fine which may extend to one thousand rupees, or with both ; and out of the fine, if recovered, payment shall be made to the bonded labourer at the rate of ten rupees for each day during which possession of the property was not restored to him.

14. Abetment to be an offence. Whoever abets any offence punishable under this Act shall, whether or not the offence abetted is committed, be punishable with the same punishment as is provided for the offence which has been abetted.

Explanation.— For the purpose of this section, “abetment” has the same meaning as is assigned to it in the Pakistan Penal Code (Act XLV of 1860).

15. Vigilance Committees.— (1) Vigilance Committees shall be set up at the District level in the prescribed manner, consisting, of elected representatives of the area, representatives of the District Administration, Bar associations, Press, recognized Social Services and Labour Departments of the Federal and Provincial Governments.

- (2) The following shall be the functions of the Vigilance Committees, namely:—
- (a) to advise the District Administration on matters relating to the effective implementation of the law and to ensure its implementation in a proper manner ;
 - (b) to help in the rehabilitation of the freed bonded labourer ;
 - (c) to keep an eye on the working of the law ; and
 - (d) to provide the bonded labourers such assistance as may be necessary to achieve the objectives of the law.

16. Offences to be tried by the Magistrate. — (1) A Magistrate of the first class empowered in this behalf by the Provincial Government may try any offence under this Act.

- (2) An offence under this Act may be tried summarily.

17. Cognizance of offences. Every offence under this Act shall be cognizable and bailable.

18. Offences by companies. — (1) Where an offence under this Act has been committed by a company, every person who, at the time the offence was committed, was in charge of, and was responsible to, the company for the conduct of the business of the company, as well as the company, shall be deemed to be guilty of the offence and shall be liable to be proceeded against and punished accordingly.

(2) Notwithstanding anything contained in sub-section (1), where any offence under this Act, has been committed by a company and it is proved that the offence has been committed with the consent or connivance of, or is attributable to, any neglect on the part of any director, manager or other officer of the company, such director, manager or other officer shall be deemed to be guilty of that offence and shall be liable to be proceeded against and punished accordingly.

Explanation.— For the purposes of this section,—

- (a) “company” means any body corporate, and includes a firm or other association of individuals ; and
- (b) “director”, in relation to a firm, means a partner in the firm.

19. Protection of action taken in good faith. No suit, prosecution or other legal proceeding shall lie against Government or any officer of the Government for anything which is in good faith done or intended to be done under this Act.

20. Jurisdiction of courts barred. Save as otherwise provided in this Act no court shall have jurisdiction in respect of any matter to which any provision of this Act applies and no injunction shall be granted by any court in respect of anything which is done or intended to be done under this Act.

21. Power to make rules. The Federal Government may, by notification in the official Gazette, make rules for carrying out the purposes of this Act.



THE PAKISTAN CODE



THE APPRENTICESHIP ORDINANCE, 1962



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THE APPRENTICESHIP ORDINANCE, 1962

¹ORDINANCE No. LVI OF 1962

[6th June, 1962]

An Ordinance to make provision for promoting, developing and regulating systematic apprenticeship programmes in the industries and for securing certain minimum standards of skill.

WHEREAS it is expedient to make provision for promoting, developing and regulating systematic apprenticeship programmes in the industries and for securing certain minimum standards of skill;

NOW, THEREFORE, in pursuance of the Proclamation of the seventh day of October, 1958, and in exercise of all powers enabling him in that behalf, the President is pleased to make and promulgate the following Ordinance:-

1. Short title, extent and commencement.-(1) This Ordinance may be called the Apprenticeship Ordinance, 1962.

(2) It extends to the whole of Pakistan.

(3) It shall come into force on such date or dates and in respect of such undertakings as the ²[Provincial Government] may, by notification in the official Gazette, appoint in this behalf.

2. Definitions. In this Ordinance, unless there is anything repugnant in the subject or context,-

(a) “apprentice” means a person undergoing training through the system of apprenticeship;

(b) “apprenticeable trade” means such trade or occupation as the competent authority may, from time to time, keeping in view-

¹ This Ordinance has been applied to the Provincially Administered Tribal Area or to the parts of those areas to which it does not already apply, see, Regulation No. I of 1972, s. 2 and Sch.

² Subs. by A.O., 1964, Art. 2 and Sch., for “Central Government”.

- (i) the nature of the trade and the degree of skill involved therein; and
 - (ii) the amount of practical training and related theoretical instruction necessary for attaining the laid down standards of skill and proficiency in the trade, declare, by notification in the official Gazette, to be an apprenticeable trade for the purposes of this Ordinance;
- (c) “apprenticeship” means a system of training in which an employer undertakes to employ a person and to train him or have him trained systematically in an apprenticeable trade for a period the duration of which has been fixed in advance and in the course of which the apprentice is bound to work in the employer’s service;
- ¹[(d) “competent authority” means such officer as the Provincial Government may, by notification in the official Gazette, appoint to be a competent authority for the purposes of this Ordinance;]
- (e) “employer” means any person who employs five or more persons in an apprenticeable trade in an under taking, either directly or through another person, whether on behalf of himself or any other person, and includes any person who has ultimate control over, or is responsible to the owner thereof for, the affairs of an undertaking;
- (f) “industrial establishment” shall have the same meaning as assigned to it in the ²[West Pakistan Industrial and Commercial Employment (Standing Orders) Ordinance, 1968 (W.P. Ord. No. VI of 1968)];
- (g) “prescribed” means prescribed by rules;
- (h) “rules” means rules made under this Ordinance;
- (i) “undertaking” means any industrial establishment wherein fifty or more persons are employed, or were employed on any day of the preceding twelve months.

3. Tripartite Advisory Committees. The ³[Provincial Government] may, by notification in the official Gazette, constitute in the prescribed manner such ⁴[Provincial and Regional Tripartite Advisory Committees] to advise the ³[Provincial Government] and the competent authority on matters relating to apprenticeship as it may consider necessary.

¹Subs. by A.O., 1964, Art. 2 and Sch., for original cl. (d)

²Subs. by the Federal Laws (Revision and Declaration) Ordinance, 1981 (27 of 1981), s. 3 and Sch., II, for certain words.

³Subs. by A.O., 1964, Art. 2 and Sch., for “Central Government”.

⁴Subs. *ibid.*, for “National and Regional Tripartite Advisory Committees”.

4. Obligations of employers. Subject to the other provisions of this Ordinance and the rules, an employer-

- (1) shall be bound to ensure proper compliance with the provisions of this Ordinance and the rules in his undertaking;
- (2) shall, in accordance with the rules, introduce and operate an apprenticeship programme in his undertaking and get the programme registered with the competent authority within such time as may be prescribed;
- (3) shall train apprentices in the proportion of a minimum of twenty per cent of the total number of persons employed in apprenticeable trades, on an average in his undertaking, or in such other proportion as the competent authority may, by order in writing, determine in respect of his undertaking;
- (4) who had already introduced an apprenticeship programme in his undertaking prior to the commencement of this Ordinance shall modify the programme so as to bring it in conformity with the provisions of this Ordinance and the rules and register such modified programme with the competent authority within such time as may be prescribed;
- (5) shall be responsible to ensure that an apprentice receives within the normal working hours related theoretical instruction to the extent of at least twenty percent of the total working hours;
- (6) shall initiate and operate an apprenticeship programme entirely at his own cost; and
- (7) shall not, without the approval in writing of the competent authority, engage as an apprentice any person who has been an apprentice with another employer and has left his apprenticeship or been discharged by such other employer on disciplinary grounds.

5. Relief from income-tax etc.-(1) Notwithstanding anything to the contrary contained in the ¹[Income Tax Ordinance, 1979 (XXXI of 1979)] income-tax shall not be payable by an employer in respect of any expenditure incurred by him on the operation of an apprenticeship programme in accordance with the provisions of this Ordinance and the rules.

(2) Notwithstanding anything to the contrary contained in the Imports and Exports (Control) Act, 1950 (XXXIX of 1950), or any rule or order made thereunder, the ²[Federal Government] may, by order, make provision for the grant to the employers of licences for the import of such goods or articles as may in its opinion be required by the employers for operating apprenticeship programmes under this Ordinance.

¹ Subs. by the Federal Laws (Revision and Declaration) Ordinance, 1981 (27 of 1981), s. 3 and Sch., II, for certain words.

² Subs. by F.A.O., 1975, Art. 2 and Table, for "Central Government".

6. Advice and guidance to employers.-(1) Subject to the provisions of this Ordinance and the rules, the competent authority shall offer to the employers all possible technical advice and guidance in all matters relating to the apprenticeship programmes put into operation by the employers in their undertakings in accordance with the provisions of this Ordinance and the rules.

7. Obligations of apprentices.-(1) Subject to the other provisions of this Ordinance and the rules, an apprentice-

- (a) shall learn his trade conscientiously and diligently and shall endeavour to qualify himself as a skilled worker on the completion of his apprenticeship;
- (b) shall attend the practical training and related theoretical instruction according to the programme laid down by the employer;
- (c) shall carry out all lawful orders of the employer or his representative relating to his apprenticeship and shall fulfil his obligations under the contract of apprenticeship;
- (d) shall submit himself to any test or examination held from time to time for assessing the progress of his training;
- (e) shall not become the member of a Trade Union of any class of employees other than his own;
- (f) shall, in case of any grievance against his employer arising out of his apprenticeship, approach the competent authority for the redress of the grievance, if the same is not redressed by the employer, and shall abide by the decision of the competent authority; and
- (g) shall not, without the previous approval in writing of the competent authority, leave his apprenticeship after the completion of his probationary period.

(2) If an apprentice fails to carry out the terms of the contract of apprenticeship, or if at any time during the period of his apprenticeship voluntarily quits such apprenticeship, or there are continued adverse reports regarding the progress of his studies, or he is discharged for misconduct which shall include insubordination, breach of the rules, absence from duty or neglect of his work, then he or, as the case may be, his parent or guardian and the surety shall jointly and severally be liable to the payment of such refund of expenses and compensation as may be prescribed.

8. Powers of entry, inspection, etc.-(1) Subject to any rules made in this behalf, the competent authority may-

- (a) with such assistants, if any, as it thinks fit, enter, inspect and examine any undertaking or part thereof at any reasonable time;
- (b) examine any apprentice employed therein or require the production of any register, record or other documents maintained in pursuance of this Ordinance

and take on the spot or otherwise statements of any person which it may consider necessary for carrying out the purposes of this Ordinance;

(c) make such examination and inquiry as it thinks fit in order to ascertain whether the provisions of this Ordinance and the rules are being observed in the undertaking;

(d) exercise such other powers as may be prescribed.

(2) Notwithstanding anything in sub-section (1), no person shall be compelled under this section to answer any question or make any statement which may tend directly or indirectly to incriminate him.

9. Delegation of powers. Subject to any rules made in this behalf, the competent authority may, by order in writing, direct that any power conferred upon it by or under this Ordinance, shall be exercisable, also by such officer subordinate to it and subject to such conditions, if any, as may be specified in the order.

10. Offences, penalties and procedure.-(1) If any employer-

(a) fails to engage the number of apprentices he is required to engage under section 4; or

(b) fails to carry out the terms and conditions of a contract of apprenticeship; or

(c) refuses or neglects to furnish any information required to be furnished by him; or

(d) furnishes or causes to be furnished any information which is false and which he either knows or believes to be false or does not believe to be true; or

(e) refuses or neglects to afford the competent authority or an officer authorised by it any reasonable facility for making an entry, inspection, examination or inquiry authorized by or under this Ordinance; or

(f) engages an apprentice otherwise than in accordance with the provisions of this Ordinance and the rules; or

(g) otherwise contravenes any provision of this Ordinance or the rules;

he shall be punishable with a fine which may extend to ten thousand rupees or, in default of payment thereof, with imprisonment which may extend to six months, and in the case of a continuing offence with a further fine which may extend to two hundred rupees for every day after the first during which the offence continues:

Provided that an offence repeated ninety days or more after the award of the previous punishment shall not be deemed to be a continuing offence for the purpose of this section.

(2) No court shall take cognizance of any offence punishable under this Ordinance save on complaint made by the competent authority.

(3) No court inferior to that of a Magistrate of the first class shall try any offence punishable under this Ordinance.

11. Power to exempt. The ¹[Provincial Government] may, by notification in the official Gazette, exempt, conditionally or unconditionally, any undertaking or classes of undertakings from all or any of the provisions of this Ordinance.

12. Saving. Nothing in this Ordinance applies to an undertaking which has not been in existence at least for a period of two years, whether before or after the commencement of this Ordinance.

13. Powers to make rules.-(1) The ¹[Provincial Government] may, subject to the condition of previous publication, make rules for carrying out the purposes of this Ordinance.

(2) In particular and without prejudice to the generality of the foregoing power, such rules may provide for all or any of the following matters, namely:-

- (a) the method and conditions of engagement and selection of apprentices and the period of probation and apprenticeship;
- (b) the conditions and terms of a contract of apprenticeship;
- (c) the method and procedure governing settlement of disputes between an apprentice and his employer;
- (d) the conditions of employment of apprentices after training;
- (e) the working hours, leave and holidays for apprentices;
- (f) the procedure of discipline, welfare, supervision and control of apprentices;
- (g) the forms of records to be maintained by the employers pertaining to the training of apprentices;
- (h) the periodical tests and grant of certificates on the successful conclusion of training;
- (i) the standards for practical and related theoretical training;
- (j) the composition, constitution and functions of, and the filling of vacancies in, the Tripartite Advisory Committees, and the procedure to be followed by such Committee in the discharge of their functions;
- (k) any other matter which is to be or may be prescribed.

14. [Repeal.] *Omitted by the Federal Laws (Revision and Declaration) Ordinance, 1981 (XXVII of 1981), s. 3 and Sch., II.*

¹Subs. by A.O., 1964, Art. 2 and Sch., for "Central Government".

